

# Corporate & Other Laws

Concept-First Notes + Exam Q&A — CA Intermediate

Complete conceptual explanations with worked exam questions & answers

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# Chapter 01 — Companies Act 2013: Preliminary & Key Definitions

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*"A company is not a thing you can touch. It is a legal fiction — an artificial person the law agrees to pretend exists. Every definition in this chapter is the law drawing the exact outline of that fiction, because the moment you invent an invisible person who can own property and owe money, clever people will try to abuse the gap between the fiction and reality."*

## 1. The Problem — Why We Needed to Invent the "Company" at All

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Imagine there is **no** company law. You and four friends want to build a railway. It needs crores of rupees, thousands of investors, and it will run for 100 years. Try to do this with only the ordinary law of partnership and contract, and you hit four brick walls:

**Problem 1 — The business dies when a person dies.** A partnership is just an *agreement between specific humans*. Legally, the firm **is** the partners. So the day one partner dies, retires, or goes insane, that partnership legally dissolves. A railway that must run for a century cannot re-form its legal existence every time a shareholder dies. Investors will not commit money to something that evaporates on a funeral.

**Problem 2 — Unlimited, ruinous personal liability.** In a partnership every partner is **jointly and severally liable** for the *whole* debt. If the firm owes ₹10 crore and cannot pay, creditors can seize *your house, your car, your savings* — not just the money you put in. Worse, they can chase *any one* partner for the *entire* amount. No sane small investor will buy ₹5,000 of railway shares if it means their entire net worth is on the hook for the railway's ₹500-crore debts. Without a liability cap, **mass public investment is impossible**.

**Problem 3 — You cannot pool money from thousands of strangers.** A partnership works between a handful of people who trust each other and all manage the business. It collapses at scale. You cannot have 40,000 shareholders each being a "partner" who can bind the firm and is personally liable for everything.

**Problem 4 — Whose name owns the assets?** If the firm *is* the humans, then the land, the trains, the tracks are owned by *the individuals jointly*. Every time ownership changes, title has to be re-registered to a new set of humans. Contracts are with *individuals*, so they must be re-signed. It is legally unworkable.

**The deeper abuse the law also had to prevent:** once you *do* invent a limited-liability artificial person, the opposite danger appears — **fraudsters hiding behind the fiction**. A cheat can set up "XYZ Ltd", take deposits from the public, siphon the money to himself, then let the company "fail" and say *"Sorry, the company owes you, not me, and the company has no money."* So the same law that grants the shield must also define **when the shield can be ripped away**.

Every definition and doctrine in this chapter exists to solve one of these five problems: **death, ruin, scale, ownership, and the fraud that limited liability invites**.

## 2. The Core Idea — The Artificial Person With a Ring-Fence Around It

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The law's solution is one radical move: **create a new legal person**.

When a company is incorporated (registered), the law says: "*A brand-new person now exists — separate from every human who created it or owns it. It has its own name, its own PAN, can own property in its own name, can sue and be sued in its own name, can enter contracts, and — crucially — it lives until the law formally kills it, regardless of what happens to its members.*"

This single fiction dissolves all four practical problems at once:

- Because the person is **separate**, it owns its own assets — ownership problem solved.
- Because the person is **immortal until wound up** (perpetual succession), the death of members is irrelevant — the death problem solved.
- Because the *company* owes the debts (not the members), and members only promised to pay for their shares, member liability is capped at the unpaid value of their shares — **limited liability** — the ruin problem solved.
- Because the shares are transferable and the person is separate, thousands of strangers can invest small sums freely — the scale problem solved.

But the fifth problem — **fraudsters abusing the shield** — cannot be solved by the fiction itself. It is solved by a *counter-doctrine*: **lifting / piercing the corporate veil**. The "veil" is the imaginary curtain between the company and its members. Normally the court respects it. But when the fiction is being used *as a cloak for fraud, evasion, or sham*, the court will **look behind the curtain**, identify the real humans, and hold *them* liable.

So the whole architecture is a **shield plus an exception to the shield**:

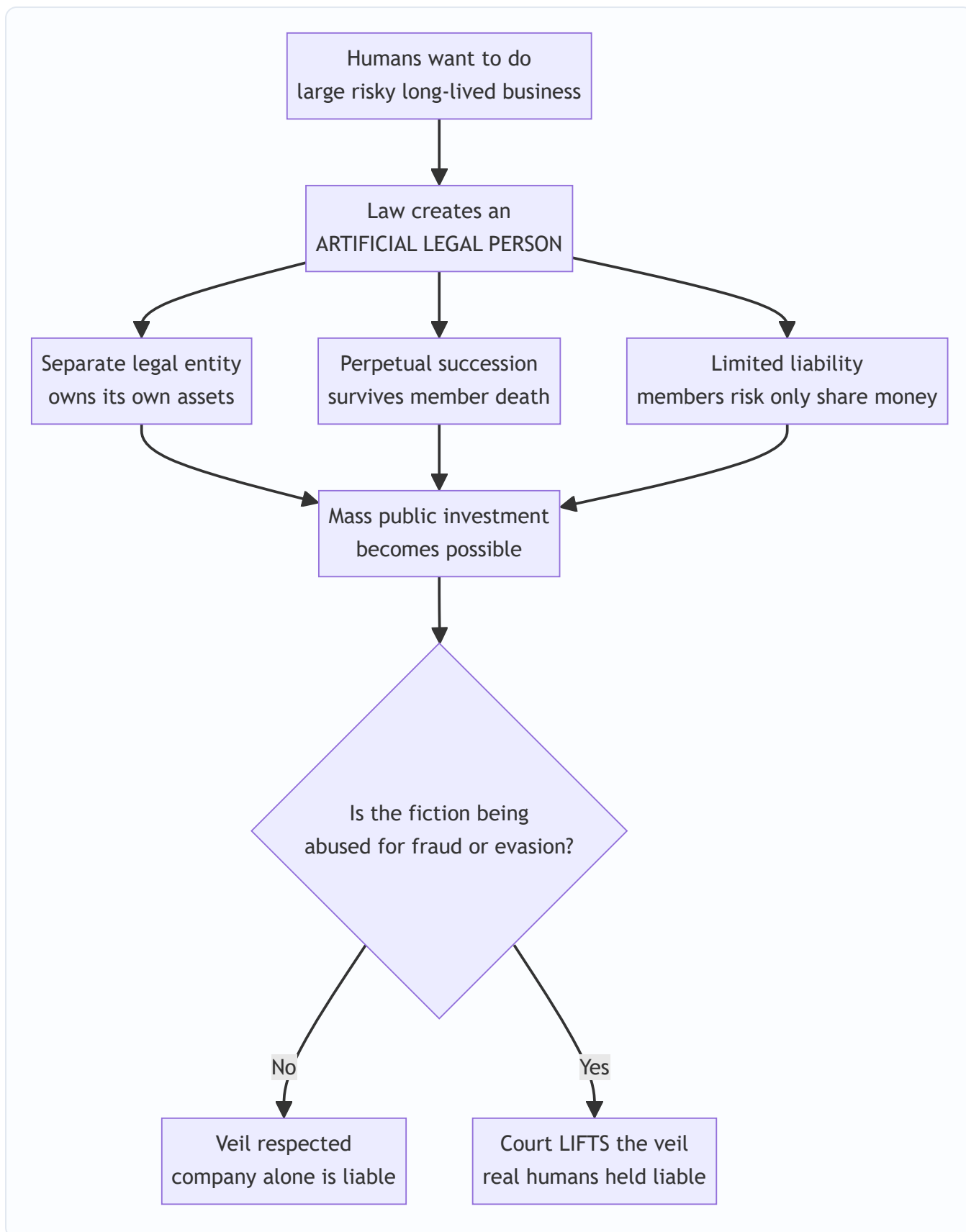


Figure 1 — The company is a shield the law grants, plus a court's power to withdraw the shield when it is abused.

### 3. Why It's Built This Way — The Logic of Each Safeguard

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Before the section numbers, understand *why the machinery has the exact shape it has*. Each design choice is a plugged loophole.

- **Why "separate legal entity" is the foundation stone.** Everything else is a consequence. If the company were *not* a separate person, it could not own assets, could not survive members, and members could not have limited liability. This principle was cemented in **Salomon v. Salomon & Co. Ltd (1897)** — the House of Lords held that even a "one-man company" is legally distinct from that man, so his personal guarantee ranked ahead of unsecured creditors. The company, once validly incorporated, is a real legal person even if one human controls it entirely.
- **Why limited liability is capped at the *unpaid* amount, not zero.** The law does not let members walk away scot-free. If you agreed to buy shares of face value ₹10 and paid only ₹6, you still owe ₹4 — the company (or its liquidator) can call it. This protects **creditors**: the promised capital is a fund creditors can rely on. Limited liability limits your downside to *your promise*, not below it.
- **Why the law forces sub-categories (private, public, OPC, small).** A one-size company law would either over-regulate the corner shop or under-regulate the listed giant. The abuse to prevent is **mismatched regulation** — crushing a small business with disclosure rules meant for a company holding public money, or letting a company with 40,000 public investors escape scrutiny meant for a family firm. So the Act **scales the compliance burden to the public interest at stake**. More public money and more outside stakeholders → more rules.
- **Why holding/subsidiary/associate must be *defined precisely*.** Once a company can *own shares in another company*, fraudsters build **pyramids of companies** to hide control, shift losses into a subsidiary, dodge consolidation, or claim two "separate" companies are unrelated when one secretly controls the other. Precise definitions (based on **share capital, voting power, and board control**) force the true web of control into the open through consolidated accounts.
- **Why "listed" is its own category.** A listed company has taken money from the **anonymous investing public** via a stock exchange. The public cannot individually negotiate protections, so the law (and SEBI) must impose them. Listing status is the trigger for the heaviest disclosure and governance load.
- **Why veil-lifting is deliberately *narrow* and mostly judge-made.** If courts pierced the veil casually, limited liability would be worthless and investment would dry up (back to Problem 2). So piercing is an **exception**, used only for fraud, evasion of law/obligation, sham, or specific statutory commands — never merely because it would be convenient for a creditor.

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### 4. Full Technical Content — Section by Section, Each With Its "Why"

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The Act is the **Companies Act, 2013** (India). Definitions live in **Section 2**. *Always confirm exact sub-clause numbers and current thresholds against the latest ICAI study material / bare Act, as amendments (esp. 2015, 2017, 2019, 2020) and rules revise limits.*

## 4.1 What a "company" is — Section 2(20)

**Section 2(20): "company" means a company incorporated under this Act or under any previous company law.**

*Why so circular?* Because the point is that a company is a **creature of statute** — it exists *only* because a law says it does and it was registered under that law. You cannot "become a company" by agreement, as you can a partnership. This ties company existence to the **register kept by the Registrar of Companies (ROC)**, which is what makes the public able to *check* who they are dealing with.

**The characteristics that flow from incorporation (know these cold):**

| Characteristic              | What it means                                                                                              | Problem it solves                    |
|-----------------------------|------------------------------------------------------------------------------------------------------------|--------------------------------------|
| Separate legal entity       | Company is a person distinct from members                                                                  | Ownership, and shielding members     |
| Limited liability           | Members liable only up to unpaid share value (or guarantee)                                                | Ruinous personal liability           |
| Perpetual succession        | Company lives regardless of member death/exit until wound up                                               | Business dying with a person         |
| Common seal (now optional)  | Historically the company's "signature"                                                                     | Acting as a person in contracts      |
| Separate property           | Company owns assets in its own name; members have <b>no insurable/ownership interest</b> in company assets | Re-registering title on every change |
| Capacity to sue and be sued | In its own name                                                                                            | Enforcing/being held to obligations  |
| Transferability of shares   | Especially in public companies                                                                             | Free flow of investment              |

**Landmark hooks for memory:** - *Salomon v. Salomon (1897)* — separate entity, even a one-man company. - *Lee v. Lee's Air Farming (1961)* — Lee could be **both** the controlling shareholder **and** an *employee* of his own company; when he died flying its plane, his widow claimed workers' compensation *from the company*. Company and man are different persons, so an employment contract between them is real. - *Macaura v. Northern Assurance (1925)* — Macaura owned all the shares of a timber company but insured the timber in his **own** name. Timber burned; insurer refused. Held: the *company* owned the timber, **not** Macaura, so he had **no insurable interest**. Separate property, ruthlessly applied.

## 4.2 Private vs Public company — Sections 2(68) and 2(71)

**Section 2(68) — Private company.** A company which, by its **articles**: 1. **Restricts the right to transfer its shares** — *why?* A private company is a closed circle (often family/friends); it does not want outsiders forcing their way in, and it does not take public money, so shares are not freely tradeable. 2. **Limits the number of members to 200** (excluding present and past employees who are members) — *why 200?* It is the line between a "private, closed" body and one large enough that it is effectively raising money from the public. Joint holders count as one member. 3. **Prohibits any invitation to the public** to subscribe for securities — *why?* This is the core distinction: a private company must **not** tap the public. The moment you solicit the public, you must accept public-company scrutiny. *Minimum members = 2.*

**Section 2(71) — Public company.** A company which is **not** a private company, **and** (per the section's structure) a company that is a **subsidiary of a public company is deemed public** even if its articles say "private" — *why this deeming?* To stop the **pyramid trick**: making a subsidiary "private" on paper to escape rules, while a public company (and thus public money) sits above it controlling it. Substance over form. *Minimum members = 7; no upper limit; minimum directors = 3 (private = 2, OPC = 1).*

**Note on paid-up capital.** The 2013 Act originally prescribed a *minimum paid-up capital* (₹1 lakh private / ₹5 lakh public). The **Companies (Amendment) Act, 2015 removed** the minimum paid-up capital requirement. *Confirm in current material — many old questions still quote the old figures as a trap.*

### 4.3 One Person Company (OPC) — Sections 2(62) and 3

**The problem OPC solves:** A **sole** entrepreneur previously had a cruel choice — run a proprietorship (simple, but **unlimited personal liability**) or find a second person just to satisfy the "minimum 2 members" rule for a private company (artificial, often a sham nominee). Neither is honest. OPC (a J.J. Irani Committee recommendation) gives a **single** person the **limited-liability shield** without needing a fake second member.

**Section 2(62): OPC = a company which has only one person as a member.**

Key built-in safeguards (each solving a specific worry):

| Feature            | Rule                                                                                                                                                                                                                                                                                    | Why                                                                                                            |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|
| Nominee            | The sole member must <b>name a nominee</b> in the memorandum who becomes member on his death/incapacity                                                                                                                                                                                 | Perpetual succession needs a successor — with one member, death would otherwise kill the company               |
| Who can form       | Only a <b>natural person</b> who is an <b>Indian citizen and resident</b> in India; and can form only <b>one</b> OPC and be nominee in only <b>one</b>                                                                                                                                  | Prevents shell-company chains and misuse by non-persons                                                        |
| Conversion trigger | Historically OPC had to convert to private/public if paid-up capital exceeded <b>₹50 lakh</b> or average annual turnover exceeded <b>₹2 crore</b> (over 3 years). <i>The 2021 rules removed these thresholds, allowing OPCs to grow and convert voluntarily — confirm current rule.</i> | Originally to push large businesses out of the "one-man" form; later liberalised to encourage entrepreneurship |
| Restrictions       | OPC <b>cannot</b> carry on Non-Banking Financial Investment activities / invest in securities of other bodies corporate; a minor cannot be member or nominee                                                                                                                            | OPC is for a genuine solo operating business, not a holding/finance vehicle                                    |

*Section 3 (formation) tells you how many people form each type: Public = 7 or more, Private = 2 or more, OPC = 1. Memory hook: 7-2-1 (public-private-OPC).*

### 4.4 Small company — Section 2(85)

**The problem:** A tiny company should not drown in the same compliance as a mid-size one. "Private company" alone is too broad — a ₹90-crore private company is not "small". So the Act carves a **sub-set of**



**private companies** that get *relaxations* (fewer board meetings, no cash-flow statement, lighter penalties, simplified annual return).

**Section 2(85): a small company is a company (not public) whose:** - **paid-up share capital** does **not** exceed a prescribed limit, **and** - **turnover** does **not** exceed a prescribed limit.

*Both* conditions must be met (it is an **AND**). The figures have been raised repeatedly. Originally ₹50 lakh capital / ₹2 crore turnover; the widely-cited revised limits are **paid-up capital ≤ ₹4 crore and turnover ≤ ₹40 crore**. *Confirm the exact current limits in ICAI material — this is a favourite exam-update trap.*

**Who can NEVER be a small company (the exclusions — and their logic):** - a **public company** — by definition too open; - a **holding or subsidiary** company — it is part of a larger group, so not truly "small"; - a company registered under **Section 8** (non-profit) — different regime; - a company governed by a **special Act** (e.g., banks, insurers).

*Why the exclusions?* Each is a way someone might *look* small on its own numbers while actually being embedded in something large or public — the relaxations would then be abused.

#### 4.5 Holding, subsidiary, and associate — Sections 2(46), 2(87), 2(6)

These three define **control relationships between companies**. The abuse to prevent: **hiding true control and shifting profits/losses across a corporate pyramid** so outsiders can't see who really runs and who really owns what.

**Section 2(87) — Subsidiary company.** Company B is a subsidiary of Company A (the holding company) if A: - **controls the composition of B's Board of Directors** (i.e., A can appoint/remove a majority of B's directors), **OR** - **exercises or controls more than one-half of the total voting power** of B, either alone or with subsidiaries.

*Why "OR" and why both a board test and a voting test?* Because control can be exercised **two ways** — by owning the *votes* or by controlling the *board*. A cheat who owns only 40% but has a contractual right to name most directors still *controls* B. Covering both closes the gap.

**Layering restriction:** The Act (via rules under Section 2(87) proviso) restricts the **number of layers of subsidiaries** (generally **not more than two layers**, with exceptions). *Why?* Endless subsidiary-of-subsidary chains are exactly how money and control are hidden. *Confirm the current layer limit and exemptions.*

**Section 2(46) — Holding company.** The mirror image: A is the holding company of B if B is its subsidiary. (Definition simply says a company of which other companies are subsidiaries.) Note the 2017 amendment clarified "company" here includes any **body corporate**.

**Section 2(6) — Associate company.** A company in which another company has a **"significant influence"** — meaning control of **at least 20% of total voting power**, *or* control of business decisions under an agreement — **but which is NOT a subsidiary** and is not a joint venture. *Why 20%?* Below control (>50%) but enough to *materially influence* — the accounting world's threshold for "you influence this company, so you must disclose it." A joint venture is also treated as an associate for this purpose.

**The clean ladder of control (memorise the numbers):**

| Relationship         | Test                  | Threshold                                                 |
|----------------------|-----------------------|-----------------------------------------------------------|
| Associate            | Significant influence | ≥ 20% voting power (but ≤ 50%, not control of board)      |
| Subsidiary / Holding | Control               | > 50% voting power <b>OR</b> control of Board composition |

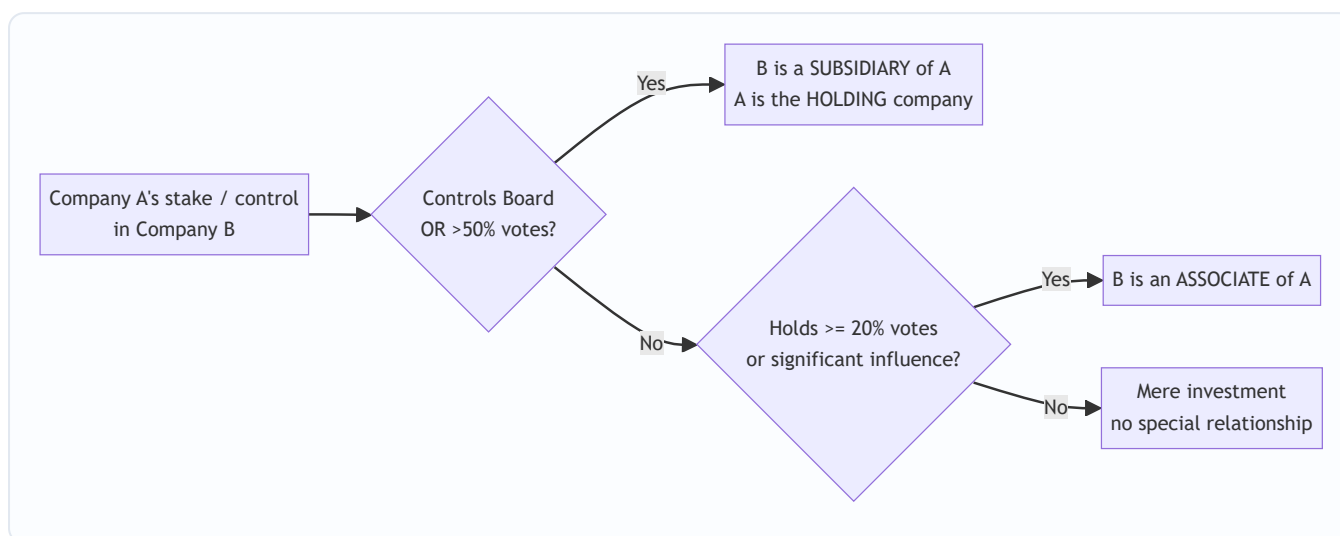


Figure 2 — The control ladder: cross 20% and you "influence"; cross 50% or control the board and you "own".

## 4.6 Listed company — Section 2(52)

**Section 2(52): a listed company means a company which has *any of its securities* listed on a recognised stock exchange.**

*Why a separate label?* Because listing = the company sold securities to the **anonymous public** through an exchange. That public needs the strongest protection, so listing is the trigger for SEBI (LODR) regulations, extra disclosures, independent directors, audit committees, etc. **Note (2020 amendment):** the definition was refined so that companies which list *only certain classes of securities* (e.g., only debt/NCDs on certain terms) may be **excluded** from being "listed" for some purposes — *confirm current carve-outs*. The logic: full listed-company burden should fall where **public equity** is truly in play.

## 4.7 Other key definitions worth exact recall

| Section | Term               | One-line essence                                                                                          | Why it exists                                                   |
|---------|--------------------|-----------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| 2(11)   | Body corporate     | Any incorporated body, incl. foreign companies; <b>excludes</b> co-operative societies & specified bodies | Broader than "company"; used so rules catch all corporate forms |
| 2(20)   | Company            | Incorporated under this/previous Act                                                                      | Creature of statute                                             |
| 2(45)   | Government company | ≥ 51% paid-up capital held by Central/State Govt                                                          | Public money = special audit (CAG)                              |
| 2(42)   | Foreign company    | Incorporated outside India but has a place of business/operations in India                                | Bring foreign firms operating here under Indian disclosure      |
| 2(85)   | Small company      | Private + capital & turnover under limits                                                                 | Proportionate lighter compliance                                |
| 2(62)   | OPC                | One member                                                                                                | Limited liability for a solo founder                            |
| 2(30)   | Debenture          | Instrument evidencing a debt (incl. bonds)                                                                | Defines the borrowing instrument                                |
| 2(84)   | Share              | Share in the share capital of a company                                                                   | The unit of ownership                                           |
| Sec 8   | Non-profit company | Formed to promote commerce, art, science, charity etc.; profits applied to objects, no dividend           | Charitable objects without the "Ltd"/"Pvt Ltd" tag              |

## 4.8 Lifting / Piercing the Corporate Veil — the counter-doctrine

Recall the fifth problem: limited liability **invites** fraud. The veil is the separation between company and members. Courts (and the statute) **lift** it — treat the company and the humans as one — in these situations:

### A. Judicial (judge-made) grounds — the court looks behind the curtain when:

1. **Fraud or improper conduct / to defeat the law.** The classic: *Gilford Motor Co. v. Horne* (1933) — Horne signed a non-compete, then formed a company to solicit his old employer's customers, arguing "the company is competing, not me." Court saw the company as a **sham/cloak** and enforced the covenant against it. *Jones v. Lipman* (1962) — Lipman contracted to sell land, then transferred it to a company he controlled to escape the sale. Court pierced the veil and ordered specific performance.
2. **Enemy character in wartime.** *Daimler Co. v. Continental Tyre* (1916) — a company registered in England but controlled by German nationals during WWI was treated as an **enemy**; the court looked at *who really controlled it*.
3. **Evasion of tax or a legal obligation.** Where a company is a device to dodge tax (*Sir Dinshaw Maneckjee Petit* — a man formed companies purely to receive his own income and reduce tax; veil lifted).
4. **Sham / façade / mere agent.** Where the company is really just the **alter ego or agent** of the members with no independent business.
5. **Protecting public interest / preventing injustice.**

### B. Statutory grounds — the Act itself lifts the veil:

| Situation                                                           | Section (confirm)                   | Who becomes personally liable                                                                    |
|---------------------------------------------------------------------|-------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>Fraudulent conduct of business</b> during winding up / otherwise | <b>Sec 339</b> (fraudulent trading) | Persons who ran the business with intent to defraud creditors — <b>personally, without limit</b> |
| <b>Misrepresentation in prospectus</b>                              | <b>Sec 34 / 35</b>                  | Directors, promoters, experts — for loss to investors                                            |
| <b>Failure to return application money / mis-statement</b>          | Sec 26, 35                          | Persons responsible                                                                              |
| <b>Officer in default</b> provisions                                | Sec 2(60) & various                 | The specific human "officer in default"                                                          |
| <b>Ultra vires / improper acts</b>                                  | various                             | Directors personally                                                                             |

Why the statute keeps some grounds explicit rather than leaving all to judges? For **certainty** — creditors and investors need to know in advance that fraud will not hide behind the shield, and courts need a firm hook.

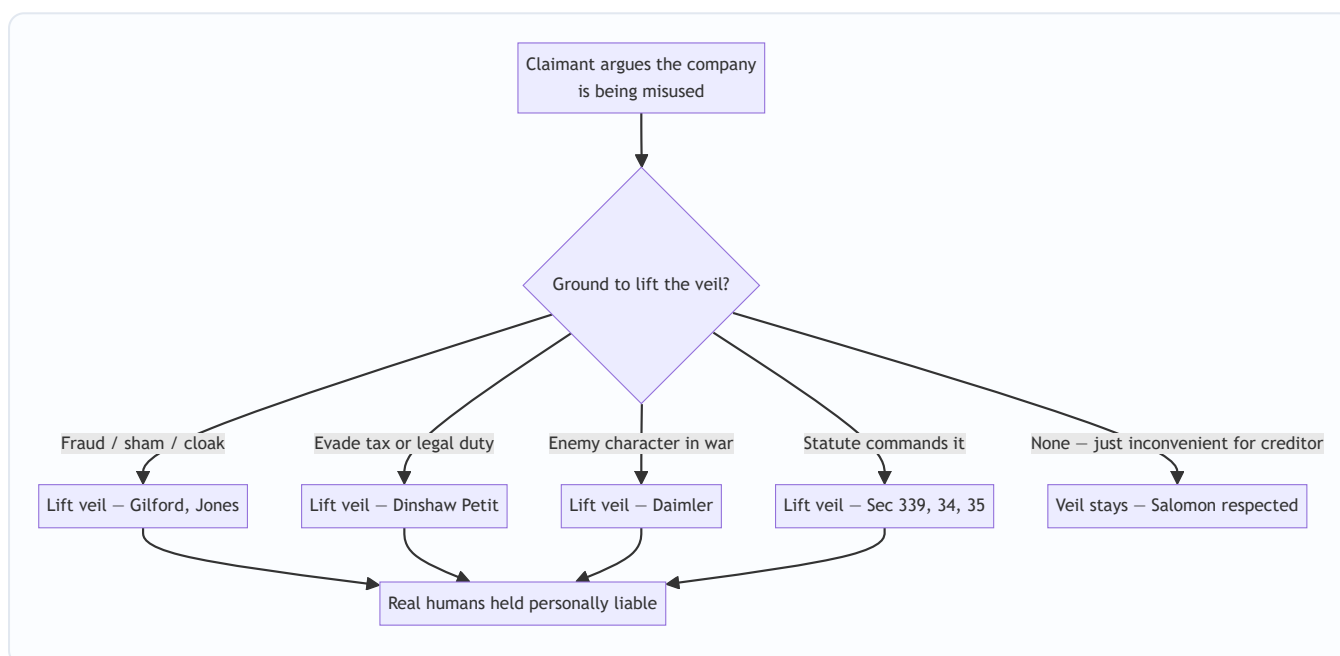


Figure 3 — Veil-lifting decision tree: the shield is withdrawn only for fraud, evasion, enemy character, or a statutory command — never mere convenience.

## 5. Applied Scenarios (exam-style, reasoned to the outcome)

**Scenario 1 — The uninsured sawmill (separate property).** *Facts:* R owns 100% of the shares of Timber Pvt Ltd, which owns a stock of logs. R insures the logs in **his own name**. A fire destroys them. The insurer refuses to pay. *Reasoning:* The logs belong to **Timber Pvt Ltd**, a separate legal person (Sec 2(20)). A shareholder — even a 100% shareholder — has **no ownership or insurable interest** in the company's assets (*Macaura v. Northern Assurance*). R insured property he did not legally own. *Outcome:* Insurer is **not liable**; R cannot recover. The correct step would have been for **the company** to take the policy.

**Scenario 2 — The "private" subsidiary of a public parent.** *Facts:* Alpha Ltd (a public company) holds 90% of Beta's shares. Beta's articles restrict share transfer, cap members at 200, and ban public invitations — so

Beta calls itself a private company and claims private-company relaxations. *Reasoning:* Under Sec 2(71), a company that is a **subsidiary of a public company is deemed to be a public company**, whatever its articles say. Beta is >50% controlled by Alpha, so Beta is Alpha's subsidiary (Sec 2(87)), hence **deemed public**. *Outcome:* Beta must comply as a **public company**; it **cannot** claim private-company or small-company relaxations. (Substance over form defeats the pyramid trick.)

**Scenario 3 — The non-compete dodged through a new company.** *Facts:* H sold his business and signed a covenant not to solicit its customers for 3 years. Six months later he forms "H Solutions Pvt Ltd", of which he is the sole controller, and *the company* starts soliciting those very customers. H argues, "I am not competing — a separate legal person is." *Reasoning:* The company is a **mere cloak / sham** created to evade a legal obligation (*Gilford Motor v. Horne*). Courts lift the veil where the corporate form is a device to defeat the law. *Outcome:* The court **lifts the veil**, treats the company as H himself, and **enforces the covenant** (injunction) against both H and H Solutions Pvt Ltd.

**Scenario 4 — Is it "small"?** *Facts:* Gamma Pvt Ltd has paid-up capital ₹3 crore and turnover ₹50 crore. Delta Pvt Ltd has capital ₹1 crore, turnover ₹20 crore, but is a subsidiary of Omega Ltd. *Reasoning:* Small company (Sec 2(85)) needs **both** capital **and** turnover under the limits ( $\approx ₹4\text{ cr} / ₹40\text{ cr}$  — *confirm current*). Gamma fails the **turnover** test ( $₹50\text{ cr} > ₹40\text{ cr}$ ) → **not small**. Delta meets the numbers but is a **subsidiary**, which is an **express exclusion** → **not small**. *Outcome:* Neither qualifies as a small company. (Remember: numbers are AND, and holding/subsidiary is auto-excluded.)

**Scenario 5 — The lone founder wanting a shield.** *Facts:* S, an Indian resident citizen, wants limited liability but has no partner and no wish to invent a fake second member. *Reasoning:* An **OPC** (Sec 2(62), Sec 3) lets a single natural person incorporate with limited liability. S must **nominate** a person (for perpetual succession) and can form only **one** OPC. Minimum directors = 1. *Outcome:* S incorporates an OPC, names a nominee in the memorandum, and gets the shield honestly.

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## 6. Procedure / Compliance Summary — Choosing and Forming the Right Type

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While detailed incorporation is Chapter 2, the *definitional choices* made at formation are here:

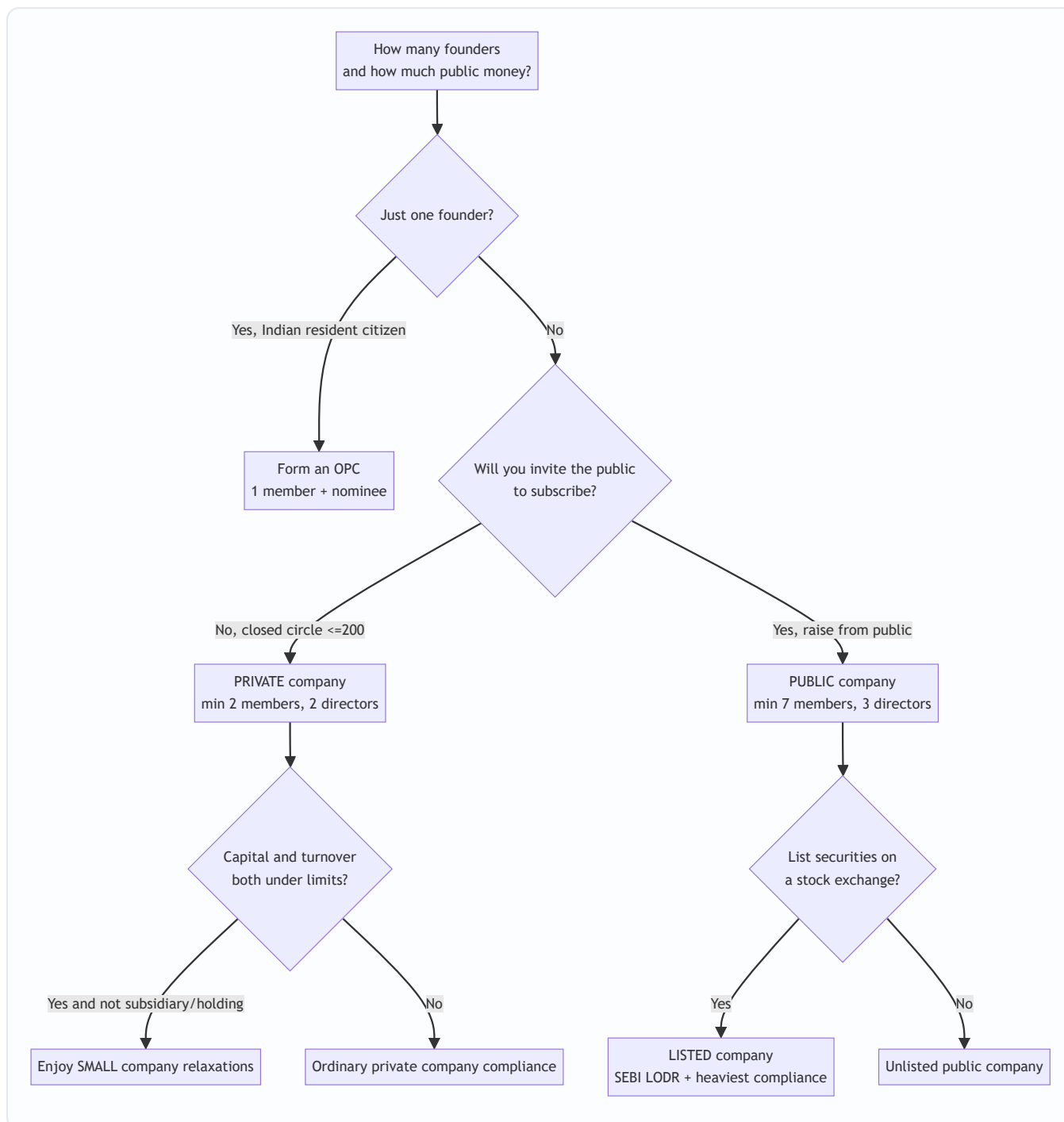


Figure 4 — Formation decision tree: the founder count and the appetite for public money drive the legal category, which drives the compliance load.

#### Formation minimums at a glance:

| Type    | Min members | Max members | Min directors | Public invitation? |
|---------|-------------|-------------|---------------|--------------------|
| OPC     | 1           | 1           | 1             | No                 |
| Private | 2           | 200         | 2             | No                 |
| Public  | 7           | No limit    | 3             | Yes                |

**Key forms/registers (indicative — detailed in Ch. 2):** SPICe+ (INC-32) for incorporation, INC-33/34 (e-MOA/e-AOA), and the ROC register that makes company status publicly verifiable. *Confirm current form*

names.

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## 7. Connections — How This Chapter Wires Into the Rest of the Law

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- **Chapter 2 (Incorporation, MOA/AOA):** The definitions here decide *which* incorporation route, capital clause, and object clause you use. "Separate legal entity" is *born* at incorporation (Sec 9).
  - **Prospectus & Public Deposits:** "Public company" and "listed company" status are the triggers for prospectus rules (Sec 23–42) and deposit rules — because those chapters are about **public money**, the very thing these categories track.
  - **Accounts & Audit:** Holding/subsidiary/associate (Sec 2(6), 2(46), 2(87)) drive **consolidated financial statements** (Sec 129) — the whole point of defining control is to force the group's true picture into the accounts.
  - **Directors:** Minimum director counts (1/2/3) and "officer in default" (Sec 2(60)) connect to Board composition and personal liability.
  - **Winding up / IBC:** Veil-lifting for **fraudulent trading (Sec 339)** connects to insolvency; the shield's limits matter most when the company is dying.
  - **SEBI Act & LODR:** "Listed company" hands off to the securities-law regime.
  - **Other Laws (Interpretation of Statutes):** Reading definitions ("means" vs "includes", inclusive vs exhaustive) is itself an examinable skill in the Other Laws part.
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## 8. Traps & Examiner Tricks

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1. **Minimum paid-up capital is GONE.** The 2015 amendment removed the ₹1 lakh/₹5 lakh minimums. Questions quoting them as *current* are testing whether you know the amendment. There is **no** minimum paid-up capital now.
2. **Small company numbers are "AND", exclusions are automatic.** Both capital **and** turnover must be under the limits. A holding **or** subsidiary company, a Section 8 company, and a company under a special Act can **never** be small — regardless of their numbers.
3. **Subsidiary-of-public is deemed public.** Even with private-company articles, a subsidiary of a public company is public (Sec 2(71)). Classic trap.
4. **Member count: "200" vs "50".** Under the 2013 Act a private company limit is **200** (it was 50 under the 1956 Act). Old figure = trap. Also: **past/present employee-members are excluded** from the count, and **joint holders count as one**.
5. **Associate vs Subsidiary threshold.** Associate = **≥20%** voting power (significant influence, *not* control). Subsidiary = **>50%** or **board control**. Do not confuse "significant influence" (20%) with "control" (50%).
6. **Macaure trap.** A 100% shareholder still does **not** own the company's assets and has **no** insurable interest in them.
7. **Salomon holds even for one-man companies.** A validly incorporated company is separate even if one person owns and runs everything. Do **not** lift the veil merely because one person controls the company — you need fraud/evasion/sham/statute.
8. **Veil-lifting is narrow.** Mere inconvenience to a creditor, or the company simply being unable to pay, is **not** a ground. Look for **fraud, sham, evasion, enemy character, or an express statutory provision**.

9. **"Body corporate" ≠ "company"**. Body corporate (Sec 2(11)) is broader — includes foreign companies — but **excludes** co-operative societies and certain bodies. A question may hinge on this width.
  10. **OPC restrictions**. Only a **natural person, Indian citizen and resident**; can form **one** OPC and be nominee in **one**; **cannot** do NBFI/invest-in-securities activity; a **minor** cannot be member/nominee. The old ₹50 lakh/₹2 crore mandatory-conversion thresholds were **relaxed** in 2021 — check current position.
  11. **Listed definition carve-out (2020)**. Some companies listing only specified securities may be excluded from "listed" for certain purposes. Watch the update.
  12. **Perpetual succession ≠ immortality**. The company survives *members'* deaths, but it **can** be wound up / struck off — it lives *until the law ends it*, not forever unconditionally.
- 

## 9. First-Principles Recap

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Strip everything away and rebuild it from zero:

1. Big, long-lived, risky business needs **money from many strangers**. Strangers won't invest if the venture **dies with a person** or if it **ruins them personally**.
2. The law's fix: **invent an artificial legal person** — separate, immortal-until-wound-up, owning its own assets. From this one fiction fall **separate entity, perpetual succession, separate property, capacity to sue, and (via a promise-cap) limited liability**. (*Salomon, Lee, Macaurea*.)
3. That fiction must be **regulated in proportion to the public interest at stake** — hence the categories. One founder → **OPC**. Closed circle, no public money → **private**; if tiny → **small** (relaxations). Public money → **public**; if traded on an exchange → **listed** (heaviest load).
4. Once companies can **own other companies**, control hides in **pyramids** — so the law defines control precisely: **≥20% = associate (influence)**, **>50% or board control = subsidiary/holding**, forcing the true group into **consolidated accounts**.
5. The shield **invites fraud**, so the law keeps a **counter-power: lift the veil** for fraud, sham/cloak, evasion of law/tax, enemy character, or where a **statute** (Sec 339, 34, 35) commands — and hold the **real humans** liable. But this power is **narrow**, or the shield (and investment) would be worthless.

If you can regenerate the categories and the veil doctrine from "*we invented a person, and we must both trust and police that fiction*," you never need to memorise them.

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## 10. Quick-Revision Sheet

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### Core sections



| Section | Term                    | Key number / rule                                                                                                         |
|---------|-------------------------|---------------------------------------------------------------------------------------------------------------------------|
| 2(20)   | Company                 | Incorporated under this/previous Act                                                                                      |
| 2(68)   | Private company         | Restricts transfer; <b>max 200</b> members; no public invitation; <b>min 2</b>                                            |
| 2(71)   | Public company          | Not private; subsidiary of public = <b>deemed public</b> ; <b>min 7</b> ; <b>min 3 directors</b>                          |
| 2(62)   | OPC                     | <b>One</b> member + nominee; natural Indian resident citizen; one OPC only; <b>min 1 director</b>                         |
| 2(85)   | Small company           | Private + capital $\leq$ ₹4 cr and turnover $\leq$ ₹40 cr (confirm); excludes public/holding/subsidiary/Sec 8/special-Act |
| 2(87)   | Subsidiary              | Control of <b>Board</b> OR <b>&gt;50%</b> voting power; layers limited ( $\approx$ 2)                                     |
| 2(46)   | Holding                 | Company whose subsidiaries exist                                                                                          |
| 2(6)    | Associate               | <b>Significant influence</b> = $\geq$ 20% voting power (not subsidiary)                                                   |
| 2(52)   | Listed                  | Any securities listed on recognised stock exchange (some 2020 carve-outs)                                                 |
| 2(11)   | Body corporate          | Incl. foreign cos; excl. co-op societies, specified bodies                                                                |
| 2(45)   | Government company      | $\geq$ 51% Govt paid-up capital                                                                                           |
| 2(42)   | Foreign company         | Incorporated outside India + place of business/operations in India                                                        |
| Sec 3   | Formation               | Public <b>7</b> / Private <b>2</b> / OPC <b>1</b> (memory: <b>7-2-1</b> )                                                 |
| Sec 9   | Effect of incorporation | Separate legal person, perpetual succession, common seal (optional), capacity to sue                                      |

**Formation minimums (7-2-1):** Public 7 members / 3 directors • Private 2 / 2 • OPC 1 / 1. Max members: Private 200, OPC 1, Public unlimited.

**Control ladder:**  $\geq$ 20% = **Associate** (influence) →  $>$ 50% or board control = **Subsidiary/Holding** (control).

**Characteristics of a company:** Separate legal entity • Limited liability • Perpetual succession • Separate property • Common seal (optional) • Capacity to sue & be sued • Transferable shares.

**Veil-lifting grounds:** Fraud/sham/cloak (*Gilford, Jones*) • Tax/obligation evasion (*Dinshaw Petit*) • Enemy character (*Daimler*) • Statute (Sec **339** fraudulent trading; Sec **34/35** prospectus). **Not** lifted for mere creditor inconvenience.

**Landmark cases:** *Salomon* (separate entity) • *Lee* (member can also be employee) • *Macaura* (no insurable interest in company property) • *Gilford / Jones* (sham to evade obligation) • *Daimler* (enemy character) • *Dinshaw Petit* (tax evasion).

**Amendment flags to verify in current ICAI material / bare Act:** no minimum paid-up capital (2015) • small-company limits (₹4 cr / ₹40 cr) • OPC conversion thresholds removed (2021) • subsidiary layer limit • listed-company carve-outs (2020).

*End of Chapter 01. Next: Chapter 02 — Incorporation of a Company, MOA & AOA — where this artificial person is actually born.*

# Q&A — Companies Act 2013 — Preliminary & Key Definitions

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Coverage: Sec 2(20), 2(68), 2(71), 2(62)/3 (OPC), 2(85) (small), 2(46)/2(87)/2(6) (holding-subsidary-associate), 2(52) (listed), veil-lifting (judicial + statutory Sec 339, 34, 35). All section references are to the **Companies Act, 2013** unless stated. Where a rule flows from the Companies (Incorporation) Rules, 2014 or SEBI, it is flagged as such.

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## SECTION A — Concept-Check (short answer)

**A1. Define "company" under Sec 2(20).** *Answer:* Under **Sec 2(20)**, a "company" means a company **incorporated under this Act or under any previous company law**. The definition is registration-based — a body becomes a company only on incorporation and grant of the certificate under **Sec 7(2)**. It does not, by itself, describe the features (that comes from case law — *Salomon v Salomon*).

**A2. What are the two defining consequences of incorporation?** *Answer:* (i) **Separate legal personality** — the company is an artificial person distinct from members (*Salomon v Salomon & Co Ltd*, affirmed for Indian law); (ii) **Limited liability** — in a company limited by shares, a member's liability is capped at the unpaid amount on his shares (**Sec 2(22)** read with the concept of ring-fencing). Together these create the "corporate veil."

**A3. Distinguish "private company" (Sec 2(68)) from "public company" (Sec 2(71)).** *Answer:* A **private company (Sec 2(68))** restricts the right to transfer shares, limits members to **200** (excluding present/past employee-members and joint holders counted as one), and **prohibits any invitation to the public** to subscribe to securities; minimum paid-up capital as prescribed (currently no minimum since 2015 amendment). A **public company (Sec 2(71))** is one that is **not a private company** and has a minimum paid-up capital as prescribed; a subsidiary of a public company is deemed public even if its articles say otherwise.

**A4. What is a One Person Company (OPC)? — Sec 2(62).** *Answer:* Under **Sec 2(62)**, an OPC is a company which has **only one person as a member**. It is a species of private company (**Sec 3(1)(c)**). The sole member must nominate a person (with consent) to become member on his death/incapacity — memorandum names the nominee.

**A5. State the thresholds for a "small company" — Sec 2(85).** *Answer:* Under **Sec 2(85)** (as amended), a small company is a company (other than a public company) whose **paid-up capital does not exceed the prescribed limit** and **turnover does not exceed the prescribed limit**. Current prescribed limits (Companies (Specification of Definitions Details) Rules): paid-up capital **not exceeding ₹4 crore** and turnover **not exceeding ₹40 crore**. Excluded: holding/subsidiary companies, Sec 8 companies, and companies governed by a special Act.

**A6. When is a company a "subsidiary"? — Sec 2(87).** *Answer:* Under **Sec 2(87)**, Company H is the holding company of S if H (i) **controls the composition of the Board** of S, or (ii) **exercises/controls more than one-half of the total voting power** either on its own or with subsidiaries. Layers of subsidiaries beyond the prescribed number are restricted (Rule permits two layers, with exceptions).

**A7. What is an "associate company"? — Sec 2(6).** *Answer:* Under **Sec 2(6)**, an associate company (in relation to another company) is one in which that other company has **significant influence** (control of **at least 20%** of total voting power, or control/participation in business decisions under an agreement) but which is **not a subsidiary**, and includes a **joint venture** company. "Significant influence" is defined in the explanation to Sec 2(6).

**A8. Define "listed company" — Sec 2(52).** *Answer:* Under **Sec 2(52)**, a listed company means a company which has **any of its securities listed on any recognised stock exchange**. Proviso (added by 2020 amendment) allows certain classes of companies with only specified securities listed to be exempted by rules — flag: exact carve-outs are in the rules read with SEBI.

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## SECTION B — Applied / Scenario Problems (Facts → Law → Conclusion)

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**B1.** *A, a sole trader, incorporates ABC Pvt Ltd and is its principal shareholder. He insures the company's timber stock in his own name. Fire destroys the stock; insurer refuses, saying A has no insurable interest. Advise.*

- **Facts:** Owner-manager insured company property in personal name.
- **Law:** By **Sec 2(20)/Sec 9**, on incorporation the company is a separate legal person owning its own assets; the member has no direct proprietary interest in company assets (*Macaura v Northern Assurance Co*).
- **Analysis:** The timber belongs to ABC Pvt Ltd, not A. A has an interest as shareholder/creditor but **no insurable interest** in the specific asset.
- **Conclusion:** The insurer is correct; A cannot recover. The policy should have been in the company's name.

**B2.** *XYZ Ltd is a public company. It holds 55% of the equity voting shares of PQR Pvt Ltd, whose articles restrict transfer and cap members at 200. Is PQR a private or public company?*

- **Law: Sec 2(87)** — control of >50% voting power makes PQR a subsidiary of XYZ. **Proviso to Sec 2(71)** — a subsidiary of a public company is **deemed to be a public company** even if it continues as a private company in its articles.
- **Conclusion:** PQR is **deemed a public company** and must comply with public-company provisions, despite its private-company articles.

**B3.** *An OPC's paid-up capital is ₹60 lakh and its average annual turnover for the relevant period exceeds ₹2 crore. The member asks whether any conversion obligation arises.*

- **Law:** Post the 2021 amendment to the Companies (Incorporation) Rules, the **earlier mandatory-conversion thresholds (₹50 lakh capital / ₹2 crore turnover) were omitted**; OPCs may now grow and convert **voluntarily** at any time (**Sec 18** read with Rules).
- **Conclusion:** No automatic/mandatory conversion is triggered under the current rules. (Flag: earlier study material citing mandatory conversion at these figures is outdated.) The member may convert voluntarily to a private/public company.

**B4.** *Directors of Insolvent Traders Ltd continue accepting customer advances knowing the company cannot deliver, with intent to defraud creditors. On winding up, creditors seek personal recovery.*

- **Law: Sec 339 (fraudulent conduct of business)** — if in the course of winding up it appears the business was carried on with **intent to defraud creditors**, the Tribunal may hold persons who were knowingly parties **personally liable without limitation** for the company's debts. Reinforced by **Sec 447** (fraud) penal consequences.

- **Analysis:** This is **statutory lifting of the veil**; limited liability is displaced for the culpable directors.
- **Conclusion:** The directors knowingly party to the fraud can be made **personally liable** for the debts.

**B5.** A prospectus of MNO Ltd includes a materially false statement about profits. B subscribes relying on it and suffers loss. What are B's remedies against the company and directors?

- **Law:** **Sec 34** imposes **criminal liability for mis-statements** in a prospectus (attracting **Sec 447**). **Sec 35** imposes **civil liability to compensate** every person who subscribes relying on a mis-statement — directors, promoters and persons authorising the prospectus are liable, subject to statutory defences (e.g., withdrawal of consent, reasonable belief for expert statements).
- **Conclusion:** B may claim **compensation under Sec 35** for the loss; the company/officers also face **criminal liability under Sec 34**. Directors escape only by proving a Sec 35 defence.

## SECTION C — Descriptive (past-paper style) with model answers

**C1. "The company is at law a different person altogether from the subscribers." Explain the doctrine of separate legal personality and its consequences. (5–6 marks)**

*Model answer:* The principle originates in **Salomon v Salomon & Co Ltd** and is embodied in the scheme of the Companies Act, 2013. On incorporation under **Sec 7**, and by virtue of **Sec 9**, a company becomes a **body corporate** — an **artificial legal person** capable of holding property, suing and being sued in its own name, and having **perpetual succession** and a **common seal** (now optional). Consequences: (i) company property is not members' property (*Macaura*); (ii) members enjoy **limited liability**; (iii) the company has perpetual existence unaffected by death/insolvency of members; (iv) it can contract with its own members. The corporate personality thus "ring-fences" the business from its owners — the central design of company law.

**C2. Discuss the circumstances in which the corporate veil may be lifted. (6–8 marks)**

*Model answer:* Lifting the veil means disregarding separate personality to reach the members/controllers. Two heads:

**(a) Statutory lifting** — e.g. **Sec 339** (fraudulent trading — personal liability), **Sec 34 and 35** (mis-statement in prospectus — criminal and civil liability), **Sec 7(7)** (incorporation by furnishing false information), **Sec 251** (fraudulent application for removal of name), reduction of membership below statutory minimum (historically Sec 45 of the 1956 Act; under the 2013 Act the strict personal-liability rule is not re-enacted — flag this change).

**(b) Judicial lifting** — courts pierce the veil where the company is used for **fraud or improper conduct** (*Gilford Motor Co v Horne* — company as a sham to evade a covenant), to determine **enemy character** in wartime (*Daimler Co v Continental Tyre*), to prevent **evasion of tax or legal obligations** (*Vodafone*, *Bacha F. Guzdar* context), or where the company is a mere **agent/façade/alter ego** of its controllers.

Conclusion: The veil is respected as the norm; it is lifted only on established statutory or judicial grounds.

**C3. State the essential features that distinguish a private company from a public company under the Companies Act, 2013. (5 marks)**

*Model answer:* Under **Sec 2(68)** a private company: (i) restricts transfer of shares by its articles; (ii) limits members to **200** (excluding present/former employee-members; joint holders treated as one); (iii) prohibits invitation to the public to subscribe to securities. Under **Sec 2(71)** a public company is one that is **not private** and, if a subsidiary of a public company, is deemed public. Practical distinctions: minimum members

— **2** (private) vs **7** (public); minimum directors — **2** vs **3** (**Sec 149**); a private company may commence with a single member as an **OPC** (Sec 2(62)). Both need minimum capital only as prescribed (no statutory minimum since 2015).

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## SECTION D — MCQs / Case Scenarios (with reasoning)

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**D1.** Maximum number of members in a private company (excluding employee-members) is: A) 50 B) 100 C) 200 D) Unlimited **Answer: C.** *Sec 2(68) caps members at 200.*

**D2.** A company incorporated with a single member is a: A) Small company B) OPC C) Dormant company D) Associate **Answer: B.** *Sec 2(62) — OPC has only one member; it is a private company under Sec 3(1)(c).*

**D3.** H Ltd controls the composition of S Ltd's Board. S Ltd is: A) Associate of H B) Subsidiary of H C) Holding of H D) Unrelated **Answer: B.** *Sec 2(87)(i) — control of Board composition makes S a subsidiary.*

**D4.** "Significant influence" for an associate company means control of at least \_\_\_ of total voting power: A) 10% B) 20% C) 26% D) 51% **Answer: B.** *Sec 2(6) explanation — 20% of total voting power (or control of business decisions under agreement).*

**D5.** Personal liability of directors for carrying on business to defraud creditors, on winding up, arises under: A) Sec 34 B) Sec 35 C) Sec 339 D) Sec 447 **Answer: C.** *Sec 339 — fraudulent conduct of business; unlimited personal liability.*

**D6.** A company is a "listed company" under Sec 2(52) when: A) Capital exceeds ₹5 cr B) Any of its securities is listed on a recognised stock exchange C) It has >200 members D) It is a public company **Answer: B.** *Sec 2(52) — listing of any securities on a recognised stock exchange.*

**D7.** Present small-company thresholds (paid-up capital / turnover) are: A) ₹50 lakh / ₹2 cr B) ₹2 cr / ₹20 cr C) ₹4 cr / ₹40 cr D) ₹10 cr / ₹100 cr **Answer: C.** *Sec 2(85) read with the Definitions Rules (current limits: ₹4 cr / ₹40 cr).*

**D8.** Case scenario: L Ltd owns 22% voting power in M Ltd and participates in M's key business decisions but does not control the Board. M Ltd is L's: A) Subsidiary B) Holding C) Associate D) Small company **Answer: C.** *Sec 2(6) — ≥20% voting power / significant influence, and not a subsidiary, makes M an associate.*

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## Mermaid — Classification decision flow

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Syntax error in text  
mermaid version 10.9.6

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## Traps & Examiner Tricks (quick-fire)

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1. **Sec 2(20) defines only "incorporated under the Act"** — features (limited liability etc.) come from case law, not the definition. Don't attribute *Salomon* consequences to the text of 2(20).

2. **200-member cap excludes employee-members** (present and past) and counts **joint holders as one** — a common mis-count.
  3. **No minimum paid-up capital** since the 2015 amendment for both private and public companies — reject any "₹1 lakh / ₹5 lakh" answer.
  4. **A private subsidiary of a public company is DEEMED public** (proviso to Sec 2(71)) — even if its own articles keep private restrictions.
  5. **OPC mandatory-conversion thresholds were REMOVED** (2021 Rules) — conversion is now voluntary; old ₹50 lakh/₹2 crore triggers are outdated.
  6. **Small company cannot be a public company, holding/subsidiary, Sec 8, or special-Act company** — exclusions are absolute regardless of size.
  7. **Subsidiary test is control of BOARD composition OR  $> \frac{1}{2}$  voting power** (Sec 2(87)) — either limb suffices; not both, and it is *voting power*, not mere equity holding.
  8. **Associate needs "significant influence" ( $\geq 20\%$ )** and must **NOT be a subsidiary** — a JV company is expressly an associate (Sec 2(6)).
  9. **Sec 34 = criminal; Sec 35 = civil** for prospectus mis-statements — do not swap them.
  10. **Sec 339 personal liability arises only in winding up** and needs **intent to defraud** — negligence alone is insufficient.
  11. **"Listed company" hinges on listing of any securities** (Sec 2(52)), not on being public or on capital size — an unlisted public company exists.
  12. **Corporate veil is the rule, lifting the exception** — list the *specific* statutory section or the named case; vague "for fraud" answers lose marks.
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## First-Principles Recap

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The Act solves four owner problems — **death** (perpetual succession), **ruin** (limited liability), **scale** (transferable shares, pooled capital) and **ownership vs management** (Board governance) — by creating an **artificial person** (Sec 2(20)/Sec 9) that **ring-fences** the business. Because that ring-fence can be abused for **fraud**, the law keeps a lever — **veil-lifting** (judicial + statutory Sec 339/34/35) — to reach the humans behind it. Every definition (2(68), 2(71), 2(62), 2(85), 2(87), 2(6), 2(52)) is just a way of **classifying** these artificial persons so the right compliance load attaches.

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## Quick-Revision Sheet

| Concept                  | Section       | Key number / test                                               |
|--------------------------|---------------|-----------------------------------------------------------------|
| Company                  | 2(20)         | Incorporated under the Act                                      |
| Private company          | 2(68)         | Members $\leq$ 200; transfer restricted; no public invite       |
| Public company           | 2(71)         | Not private; subsidiary of public = deemed public               |
| OPC                      | 2(62)/3(1)(c) | One member; nominee required                                    |
| Small company            | 2(85)         | Cap $\leq$ ₹4 cr AND turnover $\leq$ ₹40 cr; exclusions apply   |
| Holding/Subsidiary       | 2(46)/2(87)   | Board control OR $> \frac{1}{2}$ voting power                   |
| Associate                | 2(6)          | Significant influence $\geq$ 20%; JV included                   |
| Listed company           | 2(52)         | Any securities listed on recognised exchange                    |
| Fraudulent trading       | 339           | Winding up + intent to defraud $\rightarrow$ personal liability |
| Prospectus mis-statement | 34 / 35       | Criminal / Civil liability                                      |
| Min members              | —             | 1 (OPC) / 2 (private) / 7 (public)                              |
| Min directors            | 149           | 1 (OPC) / 2 (private) / 3 (public)                              |

*Note on uncertainty:* Monetary thresholds (small company, definitions rules) and the OPC/listing carve-outs are set by **subordinate rules/SEBI** and are periodically amended; always verify against the latest Rules for the applicable exam attempt.



# Chapter 02 — Incorporation of a Company

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Guiding law of these notes: never memorise a section until you have felt the wound it was written to close. A company is an artificial person. It can own property, sue, be sued, borrow crores, and vanish overnight leaving creditors staring at empty offices. The entire law of incorporation exists to answer one dangerous question: *if we are going to let people create an immortal, faceless, limited-liability person out of thin air, how do we stop that person from becoming a weapon?*

## 1. The Problem — What goes wrong when a "company" can be born in secret

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Imagine there were no incorporation law. Anyone could stand up tomorrow, call themselves "Reliance Global Traders Ltd", collect deposits from the public, sign contracts, and — when things went bad — simply disappear. There would be:

- **No public record.** A supplier extending 90 days credit has no way to check whether the "company" even exists, who owns it, where it is registered, or what it is allowed to do.
- **No accountability trail.** When the entity collapses, whom do you sue? Who were the real humans behind it? Where did the money go?
- **No fixed constitution.** The people running it could claim today they are a shoe business and tomorrow a chit-fund, changing their object whenever convenient, so no investor could ever pin down what their money would be used for.
- **Unlimited fraud by "limited liability".** Limited liability is a gift from society — it says "if the business fails, your personal house is safe." That gift is easily abused: promoters could pile up debts, shield themselves, and walk away rich while creditors starve.
- **The "one-way mirror" problem.** Outsiders dealing with the entity cannot see inside it. They don't know which director is authorised to sign, whether a board meeting really happened, whether the loan was properly approved. Either outsiders bear that risk (and stop dealing) or insiders bear it (and are trapped by their own paperwork). Somebody has to lose.

Every single rule in this chapter is a scar from one of these abuses. Incorporation is not bureaucracy for its own sake — it is the **price of admission** for the extraordinary privileges of separate personality and limited liability. The State says: *you may create this artificial immortal person, but only through a public, recorded, verified birth, with a written constitution, identifiable promoters, and clear rules about who the outside world can trust.*

## 2. The Core Idea — Incorporation as a *public, documented birth in exchange for privilege*

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The protective principle is a **bargain**:



Society grants a company two magical powers — **separate legal personality** (it is a person distinct from its members) and **limited liability** (members risk only what they agreed to invest). In return, the company must be **born on a public register**, carry a **written and published constitution** limiting what it may do, and expose enough **identity and authority information** that the outside world can deal with it safely.

From this one bargain, everything flows:

1. **Public birth (registration with the Registrar of Companies).** A neutral State officer verifies documents and issues a birth certificate — the *Certificate of Incorporation* — which becomes the entity's legal DNA.
2. **A written constitution (MOA + AOA).** The **Memorandum of Association (MOA)** is the company's charter facing *outward* — its name, home State, objects, and liability. The **Articles of Association (AOA)** are the rulebook facing *inward* — how the company governs itself. Because these are public, the world can read the limits before dealing.
3. **Doctrines that split risk fairly between insider and outsider.** *Ultra vires* protects members and creditors from managers exceeding the objects. *Constructive notice* protects the company by deeming outsiders to have read the public documents. *Indoor management (Turquand's rule)* protects outsiders from hidden internal irregularities they could not have discovered.

Hold these three pillars in your head. The rest of the chapter is just detail hanging off them.

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### 3. Why it's built this way — the logic behind each safeguard

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Before the section numbers, let us reason out *why each protective device exists*, so the numbers stick.

**Why require promoters to be named and accountable?** Someone conceives the company, arranges its formation, and often profits from selling assets to it. If that person could hide, they could rig the founding deal — e.g., buy land for ₹10 lakh and secretly resell it to the new company for ₹50 lakh. So the law defines the **promoter** and imposes a **fiduciary duty**: full disclosure of any profit, no secret gains. Accountability begins before the company even breathes.

**Why a Memorandum with an objects clause?** An investor hands money to a company on the faith that it will be used for a *stated purpose*. If managers could spend it on anything, the investor's bet is meaningless. The **objects clause** freezes the purpose in a public document. The doctrine of **ultra vires** then makes any act *beyond* those objects void — not merely voidable — precisely because we want investors to be able to rely on the limit absolutely.

**Why Articles at all, and why can outsiders be bound by them?** Internal governance rules (who signs, quorum, borrowing limits) must be knowable. Making the AOA public lets counterparties check authority. The flip side — **constructive notice** — deems everyone to have read them, otherwise the public-document system is pointless.

**Why then soften constructive notice with the indoor management rule?** Because pure constructive notice would be *cruel and impractical*. The public documents show that "the board may authorise a loan," but an outsider can never see whether the board *actually met and voted*. Making outsiders verify internal compliance would freeze commerce. So **Turquand's rule** says: outsiders may assume internal procedures were duly followed. Insider irregularities are the company's problem, not the counterparty's — unless the

outsider knew, or the situation was suspicious (forgery, etc.). This is the law balancing the one-way mirror fairly.

**Why a formal registration certificate that is "conclusive"?** If the validity of a company's birth could be reopened years later ("actually the paperwork was defective"), every contract it ever signed would be under a cloud. So once the Registrar issues the certificate, it is **conclusive evidence** of due incorporation. Certainty for the whole marketplace beats perfect purity of paperwork.

Now, with the *why* in hand, the sections become obvious rather than arbitrary.

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## 4. Full Technical Content — section by section, each with its reason

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Statute base: **Companies Act 2013** and the **Companies (Incorporation) Rules, 2014**. Where a precise number or limit is one commonly mis-stated, I flag "*confirm in ICAI material / bare Act.*"

### 4.1 Promoters — Section 2(69)

**Definition [Sec 2(69)].** A *promoter* is a person: (a) **named as such** in the prospectus or in the annual return (Sec 92); **or** (b) who has **control over the affairs** of the company, directly or indirectly, as shareholder, director or otherwise; **or** (c) in accordance with whose **advice, directions or instructions** the Board is accustomed to act.

*Why three limbs?* Limb (a) catches the openly named promoter; limb (b) catches the person controlling from the shadows; limb (c) catches the puppet-master behind nominee directors. The definition is drawn wide precisely so a real controller cannot escape duty by staying unnamed. *Carve-out:* a person acting **merely in a professional capacity** (lawyer, CA, banker advising on formation) is **not** a promoter — otherwise no professional would help form a company.

**Legal position & duties.** A promoter is **neither an agent nor a trustee** of the company (the company doesn't exist yet), but stands in a **fiduciary relationship** to it. Consequences: - Must **not make secret profit**; any profit must be **disclosed** to an independent Board or the members and, if undisclosed, is **recoverable** and the contract may be rescinded. - Must make **full disclosure** of interest in transactions with the company. - Liable for **misstatements in the prospectus** (Sec 34/35) and may be liable in criminal fraud (Sec 447) for founding frauds.

**Pre-incorporation (preliminary) contracts.** A company cannot be bound by contracts made *before* it existed — it had no legal capacity to authorise them. So: - The company is **not bound**, and **cannot sue or be sued** on such a contract, and **cannot ratify** it (there was no principal at the time). *Memory hook:* *you cannot ratify on behalf of a person who was not yet born.* - The **promoter is personally liable** on the contract. - **Rescue route:** under the **Specific Relief Act 1963 (Secs 15(h) and 19(e))**, if the contract was for the *purposes of the company* and the company *adopts/warrants* it after incorporation, the other party can enforce it against the company. So the modern practical answer is: the company can take the benefit by adoption, but it is not automatic ratification.

### 4.2 The Memorandum of Association (MOA) — Sections 2(56), 4, 13

**What it is.** The MOA is the company's **charter** — its supreme, outward-facing document defining its relationship with the outside world. *Why supreme?* Because it declares the very identity and boundaries of

the artificial person; nothing the company does inside can exceed it.

**Clauses of the MOA [Sec 4] — the mnemonic "N-S-O-L-C-S" (Name, Situation, Object, Liability, Capital, Subscription):**

| # | Clause                                      | What it fixes                                                                    | Why it exists                                                                        |
|---|---------------------------------------------|----------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| 1 | <b>Name</b> clause                          | The company's name, ending "Limited" / "Private Limited" (or licensed exception) | Public identity; the suffix warns the world that liability is limited                |
| 2 | <b>Situation / Registered office</b> clause | The <b>State</b> in which the registered office is situated                      | Fixes jurisdiction — which High Court, which RoC — and a place to serve legal notice |
| 3 | <b>Object</b> clause                        | What the company may do                                                          | The heart of <i>ultra vires</i> ; lets investors know the purpose of their money     |
| 4 | <b>Liability</b> clause                     | Whether members' liability is limited by shares, by guarantee, or unlimited      | Warns creditors how far members' pockets go                                          |
| 5 | <b>Capital</b> clause                       | Authorised (nominal) share capital and its division                              | Caps how many shares can be issued; basis for stamp/fee                              |
| 6 | <b>Subscription (Association)</b> clause    | Subscribers agree to take at least one share and form the company                | The founding act — proof real people chose to associate                              |

*Name-clause safeguards [Sec 4(2)–(4)]:* a name must **not be identical or too nearly resemble** an existing company/trademark, must **not be undesirable** in the Central Government's opinion, and must **not use restricted words** (e.g., "National", "Bank", "Stock Exchange") without approval — *why?* to prevent passing-off and public deception. A proposed name can be **reserved** via **RUN / SPICe+** and is valid for **20 days** (for a new company) from approval — *confirm current limit in ICAI material*.

**Object clause under the 2013 Act.** The old split into "main / ancillary / other objects" is gone. Now the MOA states **the objects for which the company is proposed to be incorporated and matters considered necessary in furtherance thereof**. *Why simplified?* Because the old "other objects" list was abused to smuggle in unrelated businesses.

**Doctrine of Ultra Vires — the reason the object clause has teeth.** "*Ultra*" = beyond; "*vires*" = powers. An act **outside the objects clause** is **ultra vires the company** and **void** — it cannot be ratified even by *unanimous* shareholders, because ratification cannot cure something the company never had capacity to do. Leading case: **Ashbury Railway Carriage & Iron Co. v Riche (1875)** — a contract to finance railway construction was outside the objects (making railway carriages) and was held void even though every shareholder approved. Consequences of ultra vires: - The act/contract is **void ab initio**; neither side can enforce it. - **Injunction:** any member can restrain the company from an ultra vires act. - **Directors personally liable** to restore company funds spent ultra vires (breach of duty). - **Property acquired** ultra vires is still the company's property; and money/property traceable can be recovered. *Distinguish two "ultra vires" traps (examiner favourite):* an act may be ultra vires **the company** (beyond MOA — void, unrescuable) or merely ultra vires **the directors/Articles** (beyond internal authority but within the company's powers — this **can be ratified** by members). Only the first is fatal.

**Alteration of the MOA [Sec 13] — deliberately made hard.** *Why hard?* Because the MOA is the promise on which outsiders relied; changing it lightly would betray that reliance. General rule: **special resolution (SR)**

plus, for sensitive clauses, **extra approval**.

| Clause changed                                                            | What is required                                                                                                                    | Why the extra guard                                                     |
|---------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
| Name                                                                      | SR + <b>Central Government (RoC) approval</b>                                                                                       | Protects other businesses from confusing name changes                   |
| Registered office <b>from one State to another</b>                        | SR + <b>Central Government (Regional Director) confirmation</b> [Sec 13(4)]                                                         | Shifts jurisdiction; creditors/employees of the old State must be heard |
| Registered office within same State but <b>different RoC jurisdiction</b> | SR + <b>Regional Director confirmation</b>                                                                                          | Same protection at RoC level                                            |
| Object clause                                                             | <b>SR</b> (and if the company raised money from public via prospectus and has unutilised amount, extra disclosure/exit) [Sec 13(8)] | Investors gave money for the old objects; they must be protected        |
| Capital clause                                                            | SR (with Sec 61/64 procedure)                                                                                                       | Alters shareholders' rights                                             |
| Liability clause                                                          | Generally not increasable without member consent                                                                                    | You cannot enlarge a member's risk without agreement                    |

Every alteration must be **filed with the RoC** and takes effect on **registration** of the change.

### 4.3 The Articles of Association (AOA) — Sections 2(5), 5, 14

**What it is.** The AOA is the **internal rulebook** — the bye-laws for running the company: share issue and transfer, calls, board and general meetings, voting, directors' powers, dividends, borrowing, winding-up. *Why separate from the MOA?* Because the outside world cares about *what* the company is and may do (MOA), while members care about *how* it is governed (AOA). Two audiences, two documents. **The AOA is subordinate to the MOA** — where they conflict, the MOA prevails; and neither may violate the Act.

**Model articles — Tables F, G, H, I, J [Sec 5, Schedule I].** The Act supplies ready-made articles by company type; a company may adopt them wholly, partly, or write its own. *Why offered?* To make formation cheap and to supply sensible defaults.

| Table    | For which company                                         |
|----------|-----------------------------------------------------------|
| <b>F</b> | Company limited by <b>shares</b>                          |
| <b>G</b> | Company limited by <b>guarantee having share capital</b>  |
| <b>H</b> | Company limited by <b>guarantee without share capital</b> |
| <b>I</b> | <b>Unlimited</b> company having share capital             |
| <b>J</b> | <b>Unlimited</b> company without share capital            |

**Entrenchment [Sec 5(3)–(4)] — a lock inside the rulebook.** The articles may contain **entrenchment provisions** — clauses that can be altered only by conditions *more restrictive* than a special resolution (e.g., unanimous consent). *Why allow this?* To let founders/investors protect vital rights (e.g., a minority's veto) from being stripped by a bare majority. Entrenchment must be noted to the RoC.

**Alteration of Articles [Sec 14] — easier than MOA, but bounded.** Alterable by **special resolution**, filed with RoC. *Why easier than MOA?* Because articles are the members' own internal arrangement; they should be free to re-govern themselves. **Limits (the guardrails):** - Cannot conflict with the **MOA** or the **Act**. - Cannot **increase a member's liability** to contribute more, without written consent. - Must be **bona fide for the benefit of the company as a whole**, not to oppress a minority. - Cannot do anything **illegal or against public policy**, and cannot **override a court/Tribunal order**. - Converting **private** → **public** or **public** → **private** via article change needs the added approvals below (Sec 14 proviso — private conversion needs Tribunal/RD approval).

**The AOA + MOA as a contract [Sec 10].** Once registered, the MOA and AOA **bind the company and its members** as if signed by each, creating a **statutory contract**: member-to-company and member-to-member. *Note the classic limit — outsiders get no rights:* in **Eley v Positive Life Assurance** a solicitor whose appointment was written into the articles could not enforce it, because the articles are a contract among members *qua members*, not with outsiders.

#### 4.4 Doctrine of Constructive Notice — the price of public documents

Because the MOA and AOA are **registered and open to public inspection**, every person dealing with the company is **deemed to have read them and understood their contents** — whether or not they actually did. This is **constructive notice**. *Why?* Otherwise the whole point of publishing the constitution (letting outsiders check limits) would collapse; people would deal blindly and then claim ignorance. So the doctrine **protects the company**: if you contract with it in a way the public documents forbid, you cannot plead "I didn't know."

#### 4.5 Doctrine of Indoor Management (Turquand's Rule) — the humane exception

Constructive notice, left alone, would be brutal: the documents may say "the board *may* borrow if authorised by resolution," but an outsider cannot witness whether the resolution was actually passed. So the courts created the **indoor management rule** (**Royal British Bank v Turquand, 1856**):

An outsider dealing in good faith is entitled to **assume that all internal/procedural requirements have been duly complied with** ("the indoor management"). They need only ensure the transaction is *permitted* by the public documents; they need not verify that internal formalities *actually happened*.

*Why?* It fairly allocates the one-way-mirror risk. Outsiders can read public documents (so constructive notice binds them there); they *cannot* see inside the boardroom (so indoor irregularities are the company's risk).

**Exceptions — when an outsider CANNOT rely on Turquand's rule:** 1. **Knowledge of irregularity** — the outsider actually knew the internal procedure was not followed. 2. **Suspicion / negligence** — circumstances were suspicious and the outsider failed to inquire (put on inquiry). 3. **Forgery** — the rule never validates a **forged** document; a forgery is a nullity (**Ruben v Great Fingall Consolidated**). You cannot "assume" a forged signature is genuine. 4. **Acts outside apparent/ostensible authority** — the act was beyond even the *apparent* authority the office holder could have; no reasonable person would assume it. 5. **No knowledge of the articles at all** — a person who never relied on the articles cannot claim their benefit (limited application).

*Contrast to nail it:* **Constructive notice protects the company against outsiders** (you're deemed to know the public documents). **Indoor management protects outsiders against the company** (you may assume internal compliance). One shields the company; one shields the counterparty. Examiners love reversing these.

## 4.6 The Incorporation Procedure and Documents — Sections 3, 7

**Minimum members to form [Sec 3].**

| Company type                    | Minimum members to subscribe |
|---------------------------------|------------------------------|
| <b>Public</b> company           | <b>7</b> or more             |
| <b>Private</b> company          | <b>2</b> or more             |
| <b>One Person Company (OPC)</b> | <b>1</b>                     |

*Why 7 / 2 / 1?* Public companies raise money from the wide public, so a broad founding base is expected; private companies are close-held; the OPC (a 2013 innovation) legitimises the solo entrepreneur who previously had to find a dummy second member.

**Documents filed for registration [Sec 7(1)] — the birth file.** The application to the RoC (via **SPICE+ / INC-32**, with **e-MOA INC-33** and **e-AOA INC-34**) must include:

| Document                                                                                                                   | Purpose / the abuse it blocks                                                                                             |
|----------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <b>MOA &amp; AOA</b> , signed by subscribers                                                                               | The constitution — objects, liability, governance                                                                         |
| <b>Declaration by professional</b> (advocate/CA/CS/CWA) and by a subscriber/first director — <b>INC-8 / part of SPICE+</b> | States that all Act requirements are complied with — puts a licensed professional's neck on the line against fake filings |
| <b>Declaration by each subscriber &amp; first director [Sec 7(1)(c)] — INC-9</b>                                           | Affirms they are <b>not convicted / not guilty of fraud</b> in company formation — screens out disqualified founders      |
| <b>Address for correspondence</b> until registered office is fixed                                                         | So the RoC can reach the company from day one                                                                             |
| <b>Particulars of subscribers &amp; first directors</b> (name, DIN, identity/address proof)                                | Identity trail — the accountability the whole system is built on                                                          |
| <b>Consent of first directors (DIR-2 / included)</b> and their <b>DIN</b>                                                  | No one becomes a director without knowing/consenting                                                                      |
| <b>Registered office proof</b> (if given at incorporation; else file <b>INC-22 within 30 days</b> )                        | A real, verifiable place of business                                                                                      |

**Effect of registration / Certificate of Incorporation [Sec 7(2), 9].** On satisfaction, the RoC **registers** the documents and issues a **Certificate of Incorporation** with a **Corporate Identity Number (CIN)**. From the date in the certificate: - The company is **born as a body corporate** [Sec 9] — a **separate legal person**, with **perpetual succession** and a **common seal** (seal now optional), capable of owning property, contracting, suing and being sued in its own name. - The subscribers become **members**.

**Conclusiveness of the certificate.** Historically the certificate was treated as **conclusive evidence** that all requirements of registration were complied with and the company is duly incorporated — so its validity cannot be questioned merely for a procedural defect. *Why?* Certainty for everyone who later deals with the company. **But 2013 added an anti-fraud override [Sec 7(5)–(7)]:** if incorporation was obtained by **furnishing false information / suppressing material facts**, the promoters, first directors and persons making the declaration are liable for **fraud under Sec 447**, and the **Tribunal (NCLT)** may pass orders



including regulation of the company, changes to liability of members, or even **removal of the name / winding up**. So: conclusive against *technical* defects, **not** a shield for *fraud*.

**Consequences of incorporation — the famous "separate personality" package.** Anchor case: **Salomon v Salomon & Co Ltd (1897)** — once incorporated, the company is a person **distinct from Salomon himself**; he could be its secured creditor and rank ahead of unsecured creditors, because company debts are the company's, not his. Practical consequences: - **Separate legal entity**: company owns its assets; members do **not** own company property (**Macaura v Northern Assurance** — a member could not insure company timber in his own name, having no insurable interest). - **Limited liability**: members risk only unpaid amount on shares (or guarantee sum). - **Perpetual succession**: members may die or transfer shares; the company lives on. "*Members may come and go, but the company goes on forever.*" - **Capacity to sue and be sued** in its own name; to **contract** and **hold property**. - **Lifting the corporate veil (the counter-safeguard)**: courts/statute will look *behind* the artificial person where it is used for **fraud, tax evasion, to defeat law, or as a sham/agent** — so incorporation cannot be a licence to cheat. Examples: fraud (**Gilford Motor v Horne** — company formed to dodge a non-compete), enemy character in wartime (**Daimler v Continental Tyre**), and statutory lifting (e.g., officer liability for fraudulent conduct of business, misdescription of the company on instruments).

## 4.7 Commencement of Business — Section 10A

**The abuse it fixes.** "Shell" companies were being incorporated with grand paid-up capital figures on paper, never actually receiving the subscription money, then used as fronts. So a **2018 insertion (Sec 10A)** re-introduced a commencement gate for companies **having a share capital and incorporated on or after 2 Nov 2018**.

Such a company **cannot commence business or exercise borrowing powers** unless: 1. Within **180 days** of incorporation, every subscriber files a **declaration (INC-20A)** that they have **paid the value of shares agreed to be taken**; and 2. The company has filed **verification of its registered office (INC-22)** with the RoC (within **30 days** of incorporation).

*Consequence of default*: penalty on the company and every officer in default, and the **RoC may initiate removal of the company's name** if it believes no business is being carried on. *Memory hook*: 180 days to prove the money is real; 30 days to prove the address is real.\*\*

*(Distinguish from the old regime: the 2013 Act originally had a "certificate of commencement" concept under the earlier Sec 11, which was omitted in 2015, then the leaner Sec 10A came in 2018. If an old question refers to Sec 11 commencement certificate, note it was omitted — confirm in ICAI material.)*

## 4.8 Conversion Between Company Types

Because circumstances change — a private company wants public funding, or a bloated public company wants to go private, or an OPC outgrows the solo model — the Act provides orderly conversion, each with safeguards for the affected people.

**Private → Public [Sec 14 + Sec 18]**. Pass **SR** to alter the AOA (delete the private-company restrictions of Sec 2(68)), increase members to at least 7 and directors to at least 3, file with RoC; the RoC issues a fresh certificate reflecting the changed status. *Why easy-ish?* Going public *increases* transparency and public protection, so the law is less anxious.

**Public → Private [Sec 14 + Sec 18]**. Needs **SR** and approval of the **Regional Director (Central Government)** (post-2018 the power shifted from Tribunal to RD). *Why harder?* Going private *reduces* public

oversight and can trap/oppress minority holders and creditors, so an authority must confirm it's fair; creditors and members get a chance to object.

**OPC ↔ Private/Public [Sec 18, Rule 6 & 7 of Incorporation Rules].** - **OPC → Private/Public:** may convert **voluntarily** (after certain conditions/period) or **compulsorily** if it crosses thresholds — historically if **paid-up capital exceeded ₹50 lakh** or **average annual turnover exceeded ₹2 crore**; the **2021 amendment removed these mandatory thresholds**, allowing conversion any time — *confirm current position in ICAI material*. - **Private → OPC:** allowed only for a private company with **paid-up capital and turnover within the OPC-eligibility limits**, by SR and NOC, since an OPC is meant for small solo ventures.

**Company limited by guarantee / unlimited ↔ limited by shares.** Permitted under **Sec 18 (conversion by alteration of MOA/AOA and re-registration)** with member approval and RoC filing; the conversion does **not** affect existing debts/obligations/contracts — *why?* creditors' rights cannot be wiped out by a mere change of corporate clothing.

**Golden thread of all conversions [Sec 18(3)]:** conversion **does not affect** the debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

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## 5. Applied Scenarios — reason your way to the answer

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**Scenario 1 — The pre-incorporation land deal.** *Facts:* Promoter P, before "GreenAgro Pvt Ltd" is incorporated, signs a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, saying "we never signed it." F sues the company. *Reasoning:* At the date of contract the company did **not exist**, hence had no capacity to contract and cannot **ratify** (no principal existed). Under general company law the company is **not bound**; **P is personally liable**. *However*, under **Specific Relief Act 1963 (Sec 15(h)/19(e))**, since the contract was for the *purposes* of the company, if the company **adopts/warrants** it after incorporation, F can enforce it against the company. *Outcome:* If the company adopted the contract, F enforces against the company; if not, F's remedy is against **P personally**. The company cannot "ratify," but it **can adopt**.

**Scenario 2 — The ultra vires loan vs the irregular loan.** *Facts A:* A company whose objects are "manufacture of textiles" lends ₹2 crore to finance a friend's film. *Facts B:* The same company borrows ₹2 crore for its textile mill, but the board resolution authorising the borrowing was never actually passed; the lender bank checked the AOA (which permits borrowing on board authorisation) and lent in good faith. *Reasoning A:* Financing films is **outside the objects → ultra vires the company →** the loan is **void**, not ratifiable even unanimously; directors are personally liable to restore funds (Ashbury principle). *Reasoning B:* Borrowing is **within the objects and powers**; the only defect is an **internal procedural** one (no resolution). The bank read the public documents (constructive notice satisfied) and may **assume internal compliance** under **Turquand's rule** — unless it knew or was put on inquiry. Nothing suspicious here. *Outcome:* Loan A is void and unenforceable; the company is **not** liable. Loan B **binds the company**; the bank recovers. Same amount, opposite result — because one breached the *outer* limit (MOA) and the other only an *inner* limit (procedure).

**Scenario 3 — Separate personality and insurable interest.** *Facts:* Mr. M owns 99% of "Timber Co Ltd," which owns a stock of timber. M personally insures the timber in *his own name*. Fire destroys it; M claims. *Reasoning:* On incorporation the timber belongs to the **company**, a separate person; M, though nearly sole owner, has **no insurable interest** in company property (**Macaura principle**). Ownership of shares ≠



ownership of the company's assets. *Outcome*: The claim **fails**. The very separateness that gives M limited liability also denies him personal ownership of company assets — you cannot enjoy the shield and deny the wall.

**Scenario 4 — The forged share certificate.** *Facts*: A company's secretary forges the directors' signatures on a share certificate and gives it to T, who claims to be a member relying on Turquand's rule. *Reasoning*: Turquand's rule lets outsiders assume *procedural regularity*, but it **never validates forgery** (Ruben v Great Fingall). A forged instrument is a **nullity**; there is nothing to "assume regular." *Outcome*: T acquires **no rights**; the company is not bound.

**Scenario 5 — Shell with no money (Sec 10A).** *Facts*: "Nimbus Trading Ltd" (share capital) is incorporated on 1 Jan 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no INC-20A/INC-22 is filed. *Reasoning*: Under **Sec 10A**, a company with share capital cannot commence business or borrow until the **INC-20A** declaration of paid subscription (within **180 days**) and **INC-22** office verification (within **30 days**). It borrowed prematurely. *Outcome*: Penalty on the company and officers in default; the borrowing power was exercised in violation of Sec 10A, and the **RoC may act to strike off** the company for not carrying on genuine business.

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## 6. Procedure / Compliance Summary

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**Incorporation — step by step (SPICe+ integrated process):**

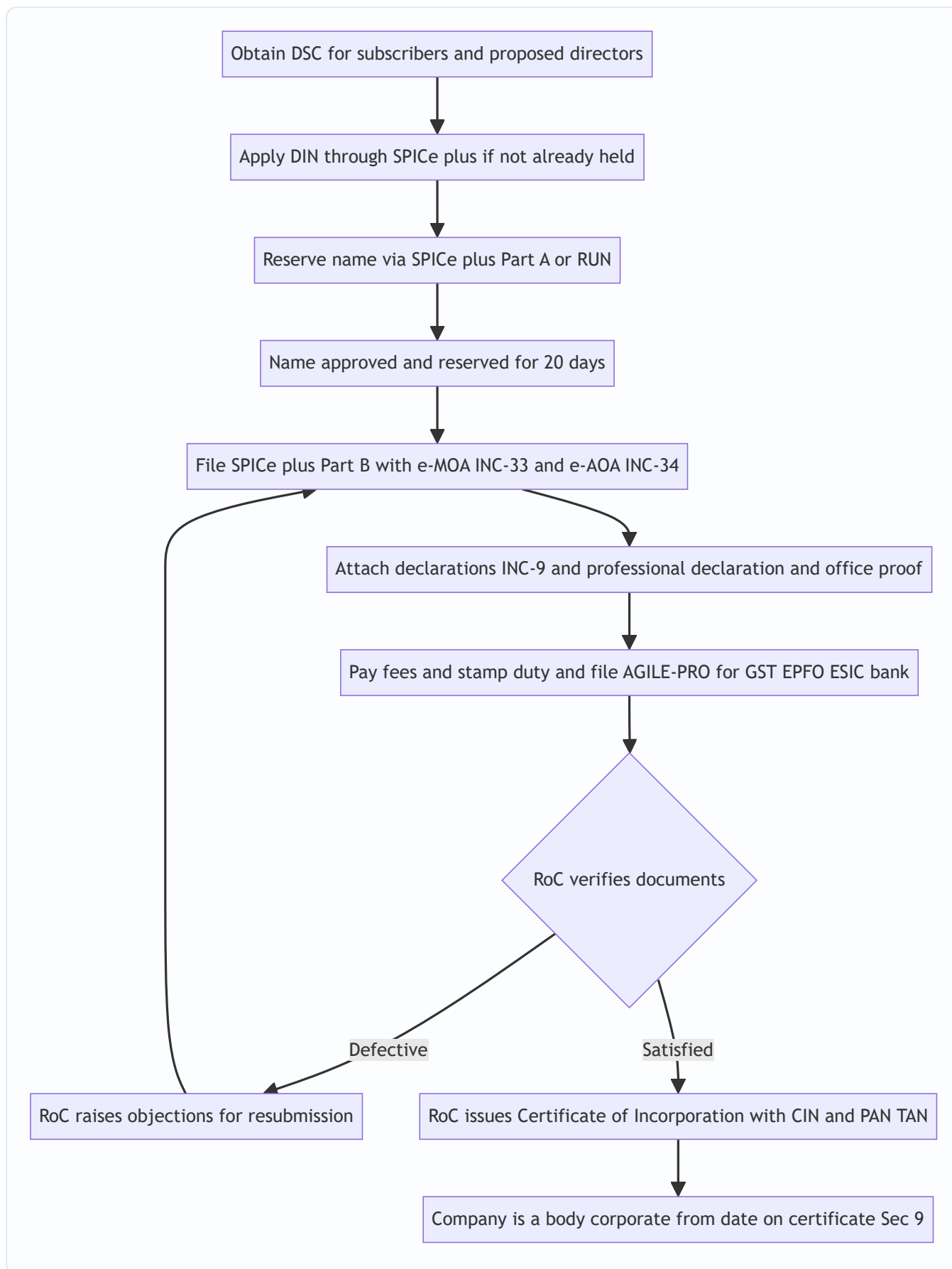


Figure 1: The incorporation pipeline — from digital signatures to a living body corporate.

**Post-incorporation commencement gate (Sec 10A):**

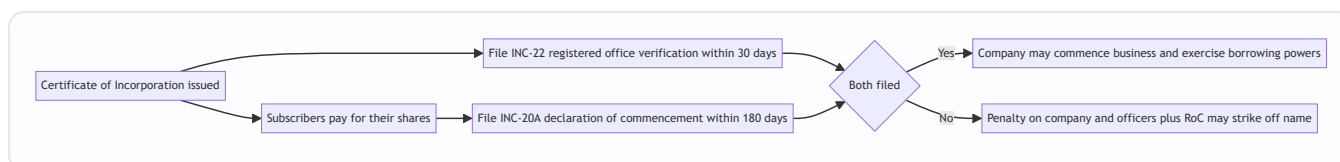


Figure 2: Sec 10A gate — 30 days to prove the address, 180 days to prove the money.

### Key forms and timelines:

| Form                      | Purpose                                                       | Timeline                                |
|---------------------------|---------------------------------------------------------------|-----------------------------------------|
| <b>SPICe+ (INC-32)</b>    | Integrated incorporation application                          | At formation                            |
| <b>INC-33 / INC-34</b>    | e-MOA / e-AOA                                                 | With SPICe+                             |
| <b>INC-9</b>              | Subscriber & first-director declaration (no conviction/fraud) | With SPICe+                             |
| <b>AGILE-PRO (INC-35)</b> | GST, EPFO, ESIC, bank account, profession tax                 | With SPICe+                             |
| <b>INC-22</b>             | Verification of registered office                             | Within <b>30 days</b> of incorporation  |
| <b>INC-20A</b>            | Declaration for commencement of business                      | Within <b>180 days</b> of incorporation |
| <b>DIR-12</b>             | Particulars/appointment of directors                          | As applicable                           |

**Alteration timelines (memory anchors):** most alterations require a **special resolution** and filing with RoC; registered-office change *outside the State* needs **Regional Director** confirmation; special resolutions are generally filed in **MGT-14 within 30 days**. *Confirm exact filing windows in ICAI material.*

## 7. Connections — how this chapter wires into the rest of the syllabus

- **Chapter 01 (Preliminary / definitions):** the types of company — public, private [Sec 2(68)/2(71)], OPC [Sec 2(62)], small company, government company — are the *inputs* to incorporation (minimum members, capital, name suffix).
- **Prospectus & Allotment (Sec 23–42):** the promoter's fiduciary duty and pre-incorporation liability flow directly into prospectus mis-statement liability (Sec 34/35) and the concept of a public offer.
- **Share Capital & Debentures (Sec 43–72):** the capital clause of the MOA, and the alteration of capital, connect here; Sec 10A's "payment for shares" links to allotment.
- **Management & Administration / Meetings (Sec 96–122):** special resolutions used to alter MOA/AOA, entrenchment, and MGT-14 filing.
- **Directors (Sec 149 onward):** first directors, DIN, consent (DIR-2), and disqualifications screened at incorporation (INC-9).
- **Registered office & name change:** ties to Sec 12 (registered office particulars, display of name) and Sec 4 name rules.
- **Other laws:** the **Specific Relief Act 1963** (pre-incorporation contracts), the **Indian Contract Act** (capacity to contract — why an unborn company cannot ratify), and **General Clauses Act** interpretive rules.

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## 8. Traps & Examiner Tricks

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1. **Ratify vs Adopt (pre-incorporation contracts).** The company **cannot ratify** (no principal existed) but **can adopt/enforce** under the Specific Relief Act. Writing "the company ratified" is wrong; "the company adopted" is right.
2. **Ultra vires the company vs ultra vires the directors.** Only *ultra vires the company* (beyond MOA objects) is **void and un-ratifiable**. *Ultra vires the directors/articles* is within company capacity and **can be ratified** by members. Examiners deliberately blur the two.
3. **Constructive notice vs indoor management — who is protected?** Constructive notice **protects the company** (outsider deemed to know public docs). Indoor management **protects the outsider** (may assume internal compliance). Reverse them and you lose the marks.
4. **Turquand exceptions.** Forgery is **never** cured; knowledge or suspicion defeats the rule. A candidate who applies Turquand to a forged document has fallen for the trap (*Ruben v Great Fingall*).
5. **MOA supremacy.** Where AOA conflicts with MOA, **MOA wins**; where MOA/AOA conflict with the **Act**, the **Act wins**. Both are subordinate to the statute.
6. **Certificate conclusiveness is not a fraud shield.** Post-2013, Sec 7(5)–(7) let the NCLT act (even winding up) where incorporation was by fraud/false info. Old notes calling the certificate "absolutely conclusive" are outdated.
7. **Sec 11 vs Sec 10A.** The original commencement certificate (Sec 11) was **omitted in 2015**; the current gate is **Sec 10A (2018)** — 180 days / INC-20A. Don't cite the repealed section as live law.
8. **Minimum members trap.** *Members* to **form**: 7 (public) / 2 (private) / 1 (OPC). Don't confuse with *directors* (3 / 2 / 1) or with the *maximum* members (200 for private, excluding certain persons).
9. **Name reservation validity.** For a new company the reserved name is valid **20 days** from approval (not 60). *Confirm the current figure; it has changed over time.*
10. **Public→Private needs an authority; Private→Public does not.** Because going private reduces public protection, it needs Regional Director approval; going public increases transparency, so a simple SR + filing suffices.
11. **Salomon / Macaura pairing.** Salomon = separate legal person (limited liability upheld). Macaura = members don't own company assets (no insurable interest). They are two faces of the *same* separateness principle.
12. **Veil-lifting is the safeguard on the safeguard.** Incorporation grants separateness; veil-lifting withdraws it where used for fraud/evasion/sham. Expect a scenario testing whether the veil should be lifted.

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## 9. First-Principles Recap

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Strip everything away and this chapter is one sentence: *society will let you conjure an immortal, limited-liability person, but only through a public, verified, documented birth, with a written constitution that fixes what the person is (MOA) and how it runs (AOA), plus a fair set of rules about whom the outside world can trust.*

- The **problem** was faceless, unaccountable, purpose-less entities defrauding the public under the cloak of limited liability.
- The **fix** is registration (public birth), a constitution (MOA outward + AOA inward), and three balancing doctrines: **ultra vires** (managers can't exceed the objects), **constructive notice** (you're deemed to know

the public documents), and **indoor management** (but you may assume the hidden internals were done right).

- The **certificate** gives certainty; **Sec 7(5)–(7)** and **veil-lifting** stop that certainty from becoming a fraudster's shield.
- **Sec 10A** ensures the newborn actually has real money and a real address before it trades.
- **Conversion** lets the company change its clothes without escaping its past debts (Sec 18(3)).

If you can re-derive each section from the abuse it prevents, you never have to memorise it.

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## 10. Quick-Revision Sheet

| Topic                        | Section                                | Key content / limit                                                          | One-line why                               |
|------------------------------|----------------------------------------|------------------------------------------------------------------------------|--------------------------------------------|
| Promoter (definition)        | <b>2(69)</b>                           | Named, or controls affairs, or Board acts on his instructions                | Catch the real controller, named or hidden |
| Promoter duty                | (fiduciary)                            | No secret profit; full disclosure; personally liable pre-incorporation       | Founding deal must be honest               |
| Pre-incorporation contract   | Specific Relief Act <b>15(h)/19(e)</b> | Company can't ratify but can <b>adopt</b> ; promoter personally liable       | Unborn person has no capacity              |
| Formation — min members      | <b>3</b>                               | Public <b>7</b> , Private <b>2</b> , OPC <b>1</b>                            | Match founding base to public exposure     |
| MOA — clauses                | <b>4</b>                               | Name, Situation(State), Object, Liability, Capital, Subscription             | Public charter facing outward              |
| Name rules                   | <b>4(2)-(4)</b>                        | No identical/undesirable/restricted name; reserved <b>20 days</b>            | Prevent deception & passing-off            |
| Ultra vires                  | (Sec 4 objects)                        | Act beyond objects <b>void</b> , un-ratifiable (Ashbury)                     | Protect investors' stated purpose          |
| Alter MOA                    | <b>13</b>                              | SR; +CG for name; +RD for office to another State; object SR                 | MOA promise not changed lightly            |
| AOA                          | <b>5, Sch I Tables F–J</b>             | Internal rulebook; model articles; <b>entrenchment</b> allowed               | Governance facing inward                   |
| Alter AOA                    | <b>14</b>                              | Special resolution; can't breach MOA/Act or increase liability               | Members re-govern themselves               |
| MOA/AOA as contract          | <b>10</b>                              | Binds company & members inter se; outsiders excluded (Eley)                  | Statutory contract                         |
| Constructive notice          | (doctrine)                             | Outsider deemed to know public docs                                          | Protects the <b>company</b>                |
| Indoor management            | (Turquand)                             | Outsider may assume internal compliance; not for forgery/knowledge/suspicion | Protects the <b>outsider</b>               |
| Incorporation filing         | <b>7</b>                               | SPICe+, e-MOA(33)/e-AOA(34), INC-9 declaration, office proof                 | Verified public birth                      |
| Certificate of Incorporation | <b>7(2), 9</b>                         | Body corporate, separate person, perpetual succession, CIN                   | The legal DNA                              |
| Fraud in incorporation       | <b>7(5)-(7)</b>                        | Sec 447 fraud; NCLT may wind up/strike off                                   | Certificate is no fraud shield             |
| Separate personality         | (Salomon)                              | Company distinct from members; Macaura – no member insurable interest        | The core magic                             |
| Veil lifting                 | (case + statute)                       | Pierce for fraud/evasion/sham/enemy character                                | Safeguard on the safeguard                 |

| Topic                          | Section            | Key content / limit                                           | One-line why                    |
|--------------------------------|--------------------|---------------------------------------------------------------|---------------------------------|
| Commencement of business       | <b>10A</b>         | INC-20A within <b>180 days</b> + INC-22 within <b>30 days</b> | No trading by empty shells      |
| Registered office verification | <b>12 / INC-22</b> | Within <b>30 days</b>                                         | A real, reachable address       |
| Conversion (general)           | <b>18</b>          | Re-registration; debts survive <b>[18(3)]</b>                 | Change clothes, keep history    |
| Private→Public                 | 14 + 18            | SR + raise members(7)/directors(3), file RoC                  | Increases transparency – easier |
| Public→Private                 | 14 + 18            | SR + <b>Regional Director</b> approval                        | Reduces oversight – guarded     |
| OPC conversion                 | 18, Rules 6/7      | Voluntary/compulsory; 2021 removed mandatory thresholds       | Solo venture outgrows itself    |

*Flag: verify the current name-reservation window, OPC threshold position (post-2021), and exact filing windows (MGT-14/INC forms) against the latest ICAI Study Material / bare Act before the exam, as these figures have been amended over time.*



# Q&A — Incorporation of a Company

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Exam-oriented question bank for CA Intermediate, Corporate & Other Laws. Every question is followed immediately by a complete model answer citing the relevant Sections of the Companies Act, 2013 (and, where relevant, the Specific Relief Act, 1963). Cases are used only as decided law; no provision is invented.

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## Part A — Concept-Check Questions (short, definitional)

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**A1. Who is a "promoter" under the Companies Act, 2013? Answer.** Under **Section 2(69)**, a promoter is a person: (a) named as such in the prospectus or in the annual return under **Section 92**; or (b) who has control over the affairs of the company, directly or indirectly, whether as a shareholder, director or otherwise; or (c) in accordance with whose advice, directions or instructions the Board of Directors is accustomed to act. A person acting merely in a professional capacity (e.g., a lawyer or CA advising on formation) is expressly excluded.

**A2. What is the legal status of a promoter towards the company? Answer.** A promoter is neither an agent nor a trustee of the company (the company does not exist when he acts), but stands in a **fiduciary relationship** to it. He must not make any secret profit, must make full disclosure of his interest, and any undisclosed profit is recoverable. He may be liable for mis-statements in the prospectus under **Sections 34 and 35** and for fraud under **Section 447**.

**A3. Name the clauses of the Memorandum of Association under Section 4. Answer.** Under **Section 4**, the MOA contains six clauses: (1) **Name** clause, (2) **Situation/Registered office** clause (the State), (3) **Object** clause, (4) **Liability** clause, (5) **Capital** clause, and (6) **Subscription/Association** clause. Mnemonic: N-S-O-L-C-S.

**A4. What is the Doctrine of Ultra Vires? Answer.** An act done beyond the objects stated in the MOA (Section 4 object clause) is **ultra vires the company** and **void ab initio**. It cannot be ratified even by unanimous consent of members, because ratification cannot cure an act the company never had capacity to do. Leading case: *Ashbury Railway Carriage & Iron Co. v Riche* (1875).

**A5. What are the minimum members required to form a company under Section 3? Answer.** Under **Section 3**: a **public** company requires **7 or more** members, a **private** company requires **2 or more** members, and a **One Person Company (OPC)** requires **1** member.

**A6. What is the effect of the Certificate of Incorporation under Sections 7(2) and 9? Answer.** On registration, the Registrar issues a **Certificate of Incorporation** with a Corporate Identity Number (CIN) under **Section 7(2)**. From the date mentioned, under **Section 9**, the company becomes a **body corporate** — a separate legal person with perpetual succession, capable of owning property, contracting, and suing/being sued in its own name — and the subscribers become its members.

**A7. Distinguish the Doctrine of Constructive Notice from the Doctrine of Indoor Management. Answer.** **Constructive notice** deems every person dealing with the company to have read and understood its public documents (MOA and AOA); it **protects the company**. The **doctrine of indoor management (Turquand's rule)** allows an outsider dealing in good faith to assume that internal procedural requirements have been complied with; it **protects the outsider**. Source cases: *Royal British Bank v Turquand* (1856).

**A8. Can a company be bound by a contract made before its incorporation? Answer.** No. Before incorporation the company has no legal existence and no capacity, so it is not bound and **cannot ratify** a pre-incorporation contract; the promoter is personally liable. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was for the purposes of the company and the company **adopts/warrants** it after incorporation, the other party may enforce it against the company.

**A9. What is the requirement for commencement of business under Section 10A? Answer.** A company having share capital incorporated on or after 2 November 2018 cannot commence business or exercise borrowing powers unless: (i) every subscriber files a declaration in **Form INC-20A** within **180 days** of incorporation confirming payment for shares taken, and (ii) it has filed verification of registered office in **Form INC-22** (within **30 days** under **Section 12**).

**A10. What are entrenchment provisions in the Articles? Answer.** Under **Section 5(3) and 5(4)**, articles may contain **entrenchment provisions** requiring conditions **more restrictive than a special resolution** (e.g., unanimous consent) for altering specified provisions. Entrenchment must be notified to the Registrar.

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## Part B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

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**B1. Pre-incorporation contract.** *Facts:* Before "GreenAgro Pvt Ltd" was incorporated, promoter P signed a contract in the company's name to buy farmland from F. After incorporation the company refuses to pay, arguing it never signed the contract. F sues the company. *Legal analysis:* At the date of the contract the company did not exist and had no capacity to contract; therefore it cannot **ratify** the contract (there was no principal in existence). Under general company law the promoter **P is personally liable** on such a pre-incorporation contract. However, under **Sections 15(h) and 19(e) of the Specific Relief Act, 1963**, if the contract was entered into for the purposes of the company and the company **adopts** it after incorporation, F may enforce it against the company. *Conclusion:* If the company adopted/warranted the contract, F can enforce it against the company; if it did not, F's remedy lies against P personally. The company "cannot ratify but can adopt."

**B2. Ultra vires act versus internal irregularity.** *Facts A:* A company whose object is "manufacture of textiles" lends Rs 2 crore to finance a friend's film. *Facts B:* The same company borrows Rs 2 crore for its textile mill; the board resolution authorising the borrowing was never actually passed, but the lender bank read the AOA (which permits borrowing on board authorisation) and lent in good faith. *Legal analysis A:* Financing a film is outside the object clause under **Section 4**, hence **ultra vires the company and void**; it cannot be ratified even unanimously (*Ashbury* principle). Directors are personally liable to restore the funds. *Legal analysis B:* Borrowing is within the company's objects and powers; the defect is purely internal (no resolution). Having read the public documents (constructive notice), the bank may **assume internal compliance under Turquand's rule** as nothing was suspicious. *Conclusion:* Loan A is void and unenforceable — the company is not liable. Loan B binds the company — the bank recovers. Same amount, opposite result, because one breached the outer limit (MOA) and the other only an inner procedure.

**B3. Separate legal personality and insurable interest.** *Facts:* Mr M owns 99% of "Timber Co Ltd", which owns a stock of timber. M insures the timber in his own personal name. Fire destroys it and M claims. *Legal analysis:* On incorporation under **Section 9** the company is a separate legal person and the timber belongs to the company, not to M. A member does not own the company's property and therefore has **no insurable interest** in it (*Macaura v Northern Assurance Co.*). Ownership of shares is not ownership of company assets

(*Salomon v Salomon & Co Ltd*). *Conclusion*: M's claim fails. The separateness that gives M limited liability also denies him personal ownership of company assets.

**B4. Forged share certificate and Turquand's rule.** *Facts*: A company's secretary forges the directors' signatures on a share certificate and issues it to T, who claims to be a member relying on the indoor management rule. *Legal analysis*: Turquand's rule permits an outsider to assume procedural regularity, but it **never validates a forgery**; a forged instrument is a nullity (*Ruben v Great Fingall Consolidated*). There is nothing "regular" to assume where the underlying document is forged. *Conclusion*: T acquires no rights and the company is not bound.

**B5. Shell company trading before commencement.** *Facts*: "Nimbus Trading Ltd" (having share capital) is incorporated on 1 January 2025. On day 40 it takes a bank loan and starts trading, but subscribers have not paid for their shares and no Form INC-20A or INC-22 has been filed. *Legal analysis*: Under **Section 10A**, a company with share capital cannot commence business or exercise borrowing powers until it files the **INC-20A** declaration of paid subscription (within 180 days) and verifies its registered office in **INC-22** (within 30 days under **Section 12**). Nimbus borrowed prematurely. *Conclusion*: Penalty is attracted on the company and every officer in default under Section 10A; the borrowing was in violation of the section, and the Registrar may act to strike off the company for not carrying on genuine business.

**B6. Alteration of registered office from one State to another.** *Facts*: XYZ Ltd, registered in Maharashtra, wants to shift its registered office to Gujarat. It passes a special resolution and files it, then treats the shift as complete. *Legal analysis*: Under **Section 13(4)**, altering the situation clause to shift the registered office from one State to another requires a special resolution **plus confirmation by the Regional Director (Central Government)**, because the change affects jurisdiction and the interests of creditors and employees who must be heard. The alteration takes effect only on registration with the Registrar of both States. *Conclusion*: The special resolution alone is insufficient; the shift is invalid until Regional Director confirmation is obtained and the change is registered.

**B7. Fraud in obtaining incorporation.** *Facts*: Promoters of "Vega Ltd" obtain the certificate of incorporation by furnishing false identity documents and suppressing material facts about a subscriber. *Legal analysis*: Although the certificate is conclusive as to procedural regularity, under **Sections 7(5), 7(6) and 7(7)**, where incorporation is obtained by furnishing false information or suppressing material facts, the promoters, first directors and persons making the declaration are liable for **fraud under Section 447**, and the **Tribunal (NCLT)** may pass orders including regulation of the company, alteration of members' liability, or removal of the name / winding up. *Conclusion*: The certificate is no shield against fraud; the promoters face Section 447 liability and NCLT action.

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## Part C — Past-Paper-Style Descriptive Questions

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**C1. Explain the doctrine of ultra vires and distinguish an act ultra vires the company from one ultra vires the directors. Answer.** The doctrine of ultra vires holds that any act beyond the objects stated in the MOA (**Section 4**) is void and cannot be ratified, protecting members and creditors from managers exceeding the stated purpose (*Ashbury Railway Carriage v Riche*). An act **ultra vires the company** is beyond the object clause itself — it is void ab initio and cannot be ratified even by unanimous shareholders; a member may seek an injunction and directors are personally liable to restore funds. An act **ultra vires the directors or the Articles** is within the company's capacity but exceeds the internal authority conferred on the Board; such an

act is only irregular and **can be ratified** by the members in general meeting. Only the former is fatal — a favourite examiner distinction.

**C2. Explain the doctrine of indoor management and its exceptions. Answer.** Under the doctrine of indoor management (*Royal British Bank v Turquand*), an outsider dealing with a company in good faith is entitled to assume that all internal procedural requirements have been duly complied with; he need only ensure that the transaction is permitted by the public documents, not that internal formalities actually occurred. It is the counterpart to constructive notice — the outsider can read public documents but cannot see inside the boardroom. **Exceptions** (where the rule does not protect the outsider): (1) **actual knowledge** of the irregularity; (2) **suspicion / negligence** where circumstances put the person on inquiry; (3) **forgery**, which the rule never validates (*Ruben v Great Fingall*); (4) acts **beyond apparent/ostensible authority** of the officer; and (5) where the person had **no knowledge of the articles** and did not rely on them.

**C3. Discuss the consequences of incorporation with reference to decided cases. Answer.** On incorporation under **Section 9**, the company becomes a body corporate with these consequences: (a) **Separate legal entity** — the company is distinct from its members (*Salomon v Salomon & Co Ltd*); members do not own company property (*Macaura v Northern Assurance*). (b) **Limited liability** — members risk only the unpaid amount on their shares or the guaranteed sum. (c) **Perpetual succession** — members may change but the company continues. (d) **Capacity to sue, be sued, contract and hold property** in its own name. (e) **Lifting the corporate veil** — courts and statute look behind the entity where it is used for fraud, tax evasion, to defeat law, or as a sham (*Gilford Motor Co v Horne*; *Daimler v Continental Tyre* on enemy character), so incorporation is not a licence to cheat.

**C4. State the documents to be filed with the Registrar for incorporation under Section 7. Answer.** Under **Section 7(1)** (filed via SPICe+/INC-32 with e-MOA INC-33 and e-AOA INC-34): (i) the **MOA and AOA** signed by all subscribers; (ii) a **declaration by a professional** (advocate/CA/CS/CWA) and by a person named as director that all requirements of the Act have been complied with; (iii) a **declaration by each subscriber and first director in INC-9** under Section 7(1)(c) that he is not convicted or guilty of any fraud in connection with formation; (iv) the **address for correspondence** until the registered office is fixed; (v) **particulars of subscribers and first directors** with identity/address proof and DIN; and (vi) **consent of first directors (DIR-2)**. Registered office proof is filed in **INC-22** within 30 days if not given at incorporation.

**C5. Explain the alteration of the Articles of Association under Section 14 and its limits. Answer.** Under **Section 14**, a company may alter its articles by passing a **special resolution**, filing it with the Registrar. This is easier than altering the MOA because the articles are the members' own internal arrangement. The **limits** are: the alteration must not conflict with the MOA or the Act; must not **increase the liability** of a member to contribute more without written consent; must be **bona fide for the benefit of the company as a whole**; must not be illegal or against public policy or override a Tribunal order; and conversion of a public company into a private company by altering the articles requires **Tribunal/Regional Director approval** under the proviso to Section 14. The MOA and AOA constitute a **statutory contract** binding the company and members inter se under **Section 10**, but confer no rights on outsiders (*Eley v Positive Life Assurance*).

**C6. Write short notes on conversion of a company under Section 18, and the effect of conversion on existing liabilities. Answer.** Under **Section 18**, a company may convert from one class to another by altering its MOA/AOA and re-registering; the Registrar issues a fresh certificate reflecting the changed status. A **private-to-public** conversion needs a special resolution and raising members to 7 and directors to 3, and is comparatively easy as it increases transparency. A **public-to-private** conversion needs a special resolution **plus Regional Director approval**, as it reduces public oversight. Crucially, under **Section 18(3)**, conversion

**does not affect** any debts, liabilities, obligations or contracts incurred before conversion — they continue and may be enforced as if there were no conversion. The company changes its coat, not its history.

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## Part D — MCQs and Case Scenarios

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**D1.** An act which is ultra vires the company can be ratified by: (a) An ordinary resolution (b) A special resolution (c) A unanimous resolution of all members (d) None — it cannot be ratified at all **Answer: (d).** An ultra vires act is void ab initio (Section 4 objects; *Ashbury*) and cannot be ratified even unanimously.

**D2.** The minimum number of members required to form a public company under Section 3 is: (a) 2 (b) 3 (c) 7 (d) 1 **Answer: (c) 7.** Section 3 fixes 7 for public, 2 for private, 1 for OPC.

**D3.** The doctrine that deems every outsider to have read the company's public documents is: (a) Indoor management (b) Constructive notice (c) Ultra vires (d) Ratification **Answer: (b) Constructive notice.** It protects the company by deeming knowledge of the registered MOA and AOA.

**D4.** A company having share capital must file Form INC-20A for commencement of business within: (a) 30 days (b) 90 days (c) 180 days (d) 365 days **Answer: (c) 180 days.** Section 10A requires the declaration of commencement within 180 days of incorporation.

**D5.** The rule in *Royal British Bank v Turquand* does NOT protect an outsider where: (a) The board resolution was passed (b) The document was forged (c) The transaction was within objects (d) The outsider acted in good faith **Answer: (b) The document was forged.** Turquand's rule never validates a forgery (*Ruben v Great Fingall*).

**D6.** Shifting the registered office from one State to another requires a special resolution plus confirmation by: (a) The Registrar only (b) The Tribunal (c) The Regional Director (Central Government) (d) The Central Bank **Answer: (c) Regional Director.** Section 13(4) requires Regional Director confirmation for an inter-State shift.

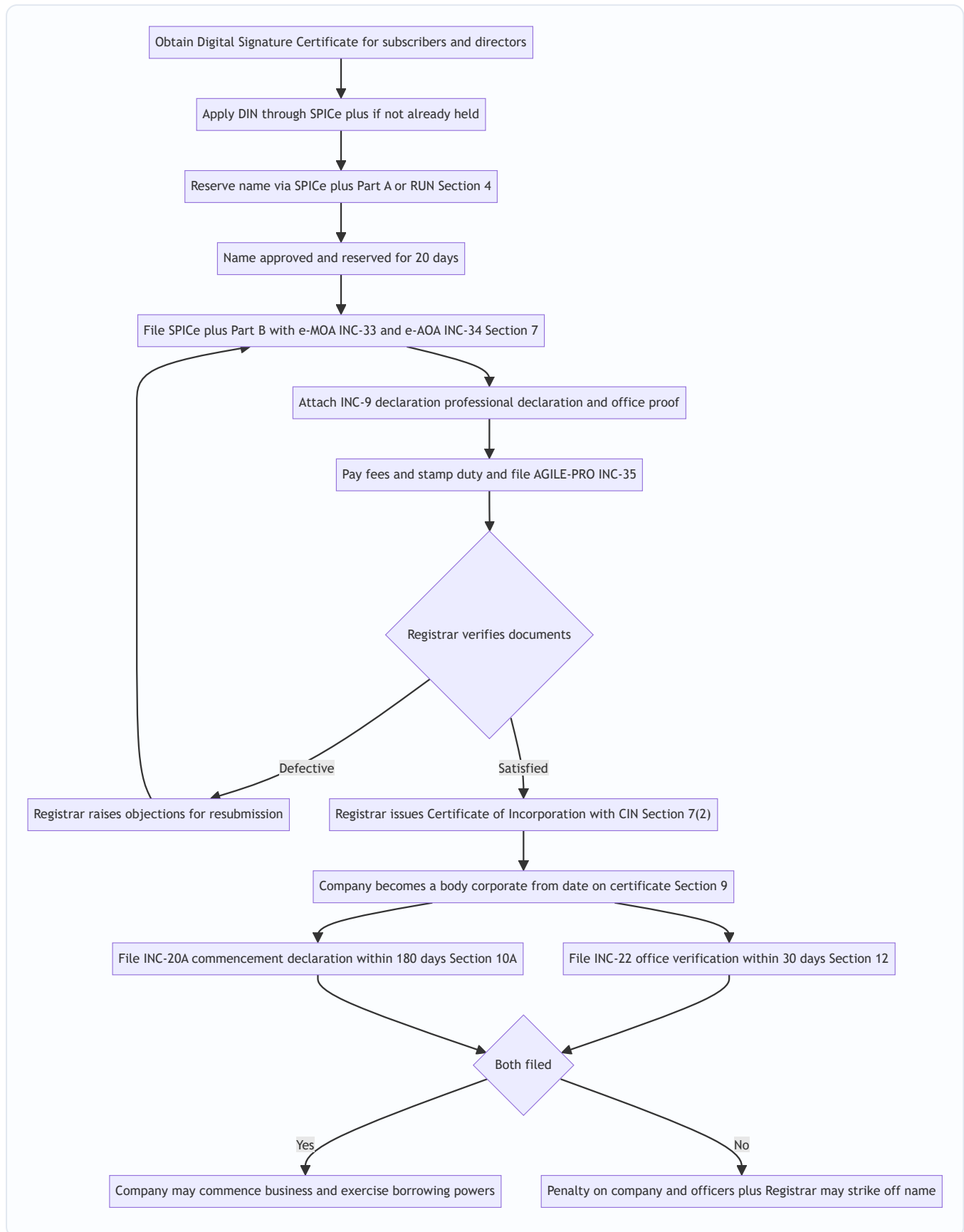
**D7. Case scenario.** Mr A insures, in his own name, a building owned by "Alpha Ltd" in which he holds 95% shares. The building is destroyed and A claims. The insurer denies liability. Which is correct? (a) A can claim as majority shareholder (b) A cannot claim as he has no insurable interest in company property (c) A can claim half the value (d) The company and A share the claim **Answer: (b).** Under Section 9 the property belongs to the company, a separate person; a member has no insurable interest in company assets (*Macauley*).

**D8. Case scenario.** Before incorporation, promoter Q signs a lease "for and on behalf of Beta Ltd (under formation)". After incorporation Beta Ltd wants to enforce the lease against the landlord who now refuses. Which is correct? (a) Beta Ltd can ratify the lease automatically (b) Beta Ltd can never enforce it (c) Beta Ltd can enforce it if it adopts the contract, being for its purposes, under the Specific Relief Act, 1963 (d) Only Q can be sued **Answer: (c).** A company cannot ratify a pre-incorporation contract but may enforce it by adoption under Sections 15(h)/19(e) of the Specific Relief Act, 1963.

**D9.** The certificate of incorporation is conclusive evidence of regular incorporation, EXCEPT where: (a) There is a minor typing error (b) Incorporation was obtained by false information or suppression of material facts (c) A director later resigns (d) The name is later changed **Answer: (b).** Under Sections 7(5)–(7), fraud/false information exposes promoters to Section 447 and NCLT action; the certificate is no fraud shield.

**D10.** Model articles for a company limited by shares are contained in: (a) Table A (b) Table F (c) Table H (d) Table J **Answer: (b) Table F.** Under Section 5 and Schedule I, Table F applies to a company limited by shares.

## Incorporation Procedure — Mermaid Diagram



*Figure: The incorporation pipeline under the Companies Act, 2013 — from digital signatures to a living body corporate, then through the Section 10A commencement gate.*

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*Statute base: Companies Act, 2013 and the Companies (Incorporation) Rules, 2014; pre-incorporation contracts governed by the Specific Relief Act, 1963. Verify the current name-reservation window, OPC threshold position (post-2021) and exact filing windows against the latest ICAI Study Material / bare Act, as these figures have been amended over time.*



# Chapter 03 — Prospectus & Allotment of Securities

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## 1. The Problem — Why This Chapter Exists

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Imagine you have savings and no way to grow them. Down the road, a company wants to build a factory but has no money. There is an obvious match: you give them your savings, they give you a slice of ownership (shares) or a promise to repay with interest (debentures). This is the entire point of a **public offer** — a company reaching into the pockets of thousands of strangers to raise capital.

Now look at the asymmetry that makes this dangerous. The company knows **everything** about itself — its real profits, its lawsuits, the fact that the "revolutionary product" is a prototype that has never worked. You, the investor, know **nothing** except what the company chooses to tell you. You are handing over real money based purely on a document the company wrote about itself. The company writes the exam **and** grades it.

History is a graveyard of what happens when this asymmetry is left unregulated:

- **The pumped-up promise.** A company advertises "guaranteed 40% returns, factory already running, orders worth crores in hand." Fifty thousand people invest. The factory is a bare plot of land. The promoters take the money and vanish. This is the classic **misleading prospectus**.
- **The silent omission.** The document is technically all true — but it forgets to mention that the company is being sued for its entire net worth, or that the promoter was convicted of fraud last year. Nothing false was *said*; the killer fact was simply *left out*.
- **The money that never comes back.** The company says "we need ₹100 crore to build the plant." Only ₹10 crore comes in — nowhere near enough to build anything. Instead of returning the ₹10 crore, the company keeps it, limps along, and eventually collapses. Investors lose everything to a project that was never viable.
- **The rich-man's loophole abused on the public.** A company quietly issues shares to "a few select persons" to dodge all the public-offer rules — but "a few select persons" turns out to be thousands of ordinary investors solicited through a WhatsApp campaign. The company got public money while escaping every public-money safeguard.
- **The allotment games.** The company collects application money, then plays favourites — allotting to friends, sitting on refunds for months (earning interest on your money), or issuing shares without ever collecting the minimum needed to function.

Every single provision in this chapter is a scar left by one of these frauds. **Prospectus law is not paperwork — it is the law that forces the informed party to tell the uninformed party the truth, on pain of jail, before it can touch the public's money.** Learn each rule as the answer to a specific cheat, and you will never need to memorise it.

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## 2. The Core Idea — The Protective Principle

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The whole chapter rests on a single principle, borrowed from a phrase the courts have used for over a century:



**"Disclosure is the price of the privilege of raising public money — and full, honest disclosure at that. The golden rule is that those who issue a prospectus must state the truth without concealment."**

Break this into its working parts:

1. **You may raise money from the public — but only through a controlled, standardised, *written* document (the prospectus).** No verbal promises, no "trust me." A document can be examined, filed, and used as evidence.
2. **That document must contain the whole truth.** Not just no lies (that is the low bar) but no *dangerous silences* either. An omission that misleads is treated exactly like a false statement.
3. **The people who put their names to it are personally on the hook.** Directors, promoters, experts, the company itself — if the document lies, they pay (civil) and can be jailed (criminal). Liability is personal so that no one can hide behind the corporate veil.
4. **The public's money is protected even after it is paid in** — through minimum subscription, escrow-style application accounts, strict refund timelines, and limits on where the money can go.
5. **If you want to escape these rules, you must genuinely not be touching the public** — hence the hard line between a **public offer** and a **private placement**, policed so tightly that any attempt to disguise a public issue as private automatically *becomes* a public issue with all its consequences.

Everything technical that follows is just this principle, sharpened into sections and numbers.

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### 3. Why It's Built This Way — The Logic of Each Safeguard

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Before the section-by-section detail, absorb the *design logic*. If you understand why each safeguard exists, the section numbers become hooks rather than random digits.

| The cheat it stops                                                 | The safeguard                                                                                                      | The logic                                                                                                                                                  |
|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| "I'll just say it verbally / in an ad and deny it later"           | Offer to public <b>must</b> be by a <b>prospectus</b> , a defined written document (Sec 2(70), 26)                 | A writing can be filed with the Registrar, dated, and produced in court. Speech evaporates; documents accuse.                                              |
| "I'll dodge prospectus rules by not calling it a prospectus"       | <b>Deemed prospectus</b> (Sec 25)                                                                                  | Substance over form. If the effect is a public offer, the label doesn't matter.                                                                            |
| "I'll bury the bad facts / omit the lawsuit"                       | Mandatory contents + <b>omission</b> = <b>misstatement</b> (Sec 26, 34, 35)                                        | The dangerous fact is usually the <i>hidden</i> one. Silence that misleads must carry the same penalty as a lie, or every fraudster would just stay quiet. |
| "The document lied but I'm a company, sue the empty shell"         | <b>Personal</b> civil (Sec 35) and criminal (Sec 34) liability of directors, promoters, experts                    | Deterrence needs a human who can be fined and jailed. Companies don't feel fear; people do.                                                                |
| "We collected money for a project we can't fund"                   | <b>Minimum subscription</b> (Sec 39)                                                                               | If you can't even raise the floor amount, the project is unviable — give the money back before it's wasted.                                                |
| "I'll sit on your refund and earn interest"                        | Strict <b>refund timelines</b> + interest penalty (Sec 39, 40, rules)                                              | Delay itself is a form of theft (time-value of money). Deadlines + penal interest remove the incentive to stall.                                           |
| "I'll route the public issue to escape listing/monitoring"         | Money in a <b>separate bank account</b> ; securities in <b>demat</b> ; <b>listing</b> requirement (Sec 40)         | Ring-fence the public's cash so it can't be siphoned, and force transparency through the exchange.                                                         |
| "I'll issue to 'a few friends' — actually 5,000 people"            | Hard cap on private placement (Sec 42) + auto-conversion to public issue if breached                               | The exemption is only fair if it's genuinely non-public. Breach the ceiling and you lose the exemption entirely.                                           |
| "I'll keep changing my mind and issue prospectus after prospectus" | <b>Validity period</b> of prospectus; <b>shelf</b> and <b>red herring</b> variants for genuine multi-tranche needs | Give honest issuers efficient tools (shelf/RHP) so they don't need to cheat, while capping staleness.                                                      |

Notice the pattern: **each safeguard is a lock, and each lock was fitted after a specific burglary.** Now the details.

## 4. Full Technical Content — Section by Section, Each With Its "Why"

Governing law: **Companies Act 2013, Chapter III — "Prospectus and Allotment of Securities"** (Sections 23 to 42), read with the **Companies (Prospectus and Allotment of Securities) Rules, 2014** and, for listed/public issues, **SEBI (ICDR) Regulations**. Where a precise sub-figure varies by rule amendment, I flag it — always confirm the exact limit in current ICAI material / the bare Act.

## 4.1 The gateway — how a company may issue securities (Sec 23)

**The problem:** A company could raise money through any random channel it invents, escaping oversight.

**The fix:** Section 23 lists the *only* permitted routes.

- A **public company** may issue securities: (a) to the public by **prospectus** (public offer); (b) through **private placement** (Sec 42); or (c) through a **rights or bonus issue**. Listed / to-be-listed public issues also attract SEBI ICDR.
- A **private company** may issue securities only by (a) **private placement**, or (b) **rights/bonus issue** — a private company is, by definition, forbidden from inviting the public (Sec 2(68)). That prohibition is *why* it's private.

**Memory hook:** *Public company = three doors (public, private placement, rights/bonus). Private company = two doors (no public door).* The missing door is the whole point of being private.

## 4.2 What a "prospectus" is (Sec 2(70)) and when it's triggered

**Definition — Sec 2(70):** A prospectus is *any document described or issued as a prospectus*, and includes a **red herring prospectus**, a **shelf prospectus**, or **any notice, circular, advertisement or other document inviting offers from the public** for the subscription or purchase of securities.

**The logic of that fat definition:** Notice it doesn't say "a document titled Prospectus." It says *anything that invites the public to subscribe*. This is deliberate — it slams shut the "I didn't call it a prospectus" loophole. The trigger is the **invitation to the public**, not the label.

**"Public" — Sec 2 read with the private-placement rules:** an offer/allotment to **50 or more persons** (excluding QIBs and ESOP employees) in a financial year is deemed to be an **offer to the public**, dragging in the full prospectus regime — even if the company called it "private." (This 50-person trip-wire is the numeric border between Sec 42 and public-offer land.)

## 4.3 The four species of prospectus — each solves a different practical need

**The problem:** One rigid document type can't serve every honest fundraising situation. A giant issuer raising money in tranches, a retail investor who can't read 300 pages, a book-built IPO where the price isn't fixed yet — each needs a tailored instrument. Rather than let issuers improvise (and cheat), the Act gives four **named, regulated** variants.

| Type                                | Section           | The problem it solves                                                                    | Key feature                                                                                                                         | The "why" of its rule                                                                    |
|-------------------------------------|-------------------|------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <b>Ordinary / full prospectus</b>   | Sec 26            | Baseline public offer                                                                    | Full disclosure; filed with Registrar before issue                                                                                  | The gold standard — everything must be in it.                                            |
| <b>Deemed prospectus</b>            | Sec 25            | Company routes shares through an intermediary to dodge prospectus rules                  | Offer-for-sale document by an issuing house is <i>deemed</i> a prospectus of the company                                            | Substance over form — the middleman can't be a laundering point.                         |
| <b>Shelf prospectus</b>             | Sec 31            | Frequent issuer (e.g. a bank/NBFC) shouldn't re-file a full prospectus for every tranche | One prospectus valid up to <b>1 year</b> ; file only a short <b>information memorandum</b> for later tranches                       | Cut repetition for honest repeat issuers; the 1-year cap stops stale disclosure.         |
| <b>Red herring prospectus (RHP)</b> | Sec 32            | Book-built issues where price/quantity isn't fixed until bidding closes                  | Filed <i>before</i> the offer without complete price/number of securities; the final "closing" prospectus with price is filed after | Lets price be discovered by the market while still forcing near-full disclosure upfront. |
| <b>Abridged prospectus</b>          | Sec 2(1) + Sec 33 | A 300-page prospectus is unreadable; every application form must still carry the gist    | A short-form summary of the prospectus <b>must accompany every application form</b>                                                 | Retail investors actually read the short one — disclosure is useless if unreadable.      |

**Memory hook for the species:** - **Deemed = disguise** (25, the offer-for-sale trick). - **Shelf = stock it for a year** (31 → put it "on the shelf"). - **Red Herring = price is Hidden** (32, the "red herring" is the missing price, a deliberate distraction). - **Abridged = tiny, on the form** (33, attached to the application).

**Red herring detail (Sec 32):** *Red herring* literally means a misleading clue — here, the document that deliberately omits the price. Sequence: file RHP → open bidding → discover price → file the **final prospectus** (with price and number) with the Registrar and SEBI. Variations between RHP and final prospectus must be highlighted.

**Shelf detail (Sec 31):** Prescribed classes of companies (mainly financial institutions, banks, NBFCs — confirm the exact class list) may file a shelf prospectus valid for up to **one year** from the opening of the first offer. For each subsequent offer within that year, they file an **information memorandum** (Form PAS-2) disclosing *new* charges created, changes in financial position, and other material changes. The one-year validity is the anti-staleness guillotine.

#### 4.4 Mandatory contents & registration of the prospectus (Sec 26)

**The problem:** If contents were optional, every issuer would disclose only the flattering facts. **The fix:** Sec 26 makes an explicit *minimum* content list, and requires the prospectus be **dated, signed, and filed** with the Registrar **before** it is issued.

Sec 26 broadly requires disclosure of: - Details of the company, its directors, promoters, and their track record; - **Objects of the issue** — exactly what the money will be used for (so you can't quietly divert it); - Capital structure, terms of the issue, and rights attached to the securities; - **Reports** — auditor's report,

financial information, statements by experts; - Material contracts and litigation; - Minimum subscription amount, application money, underwriting details; - A declaration of compliance.

**Registration mechanics:** the prospectus must be signed by every named director/proposed director (or their authorised agent) and **delivered to the Registrar for registration on or before publication**. A prospectus is valid for **90 days** from the date of registration — issue it after that and it's an unauthorised prospectus. **Memory hook:** 26 = "*the contents section*"; 90 days = *one financial quarter of shelf life*.

**Why "objects of the issue" matters:** it is the anchor for later liability. If money raised for Object A is spent on Object B, that misuse traces straight back to this disclosed statement.

#### 4.5 Variation in terms & the exit for dissenters (Sec 27) and misuse of application money (Sec 26/27)

**The problem:** Company raises money promising Object A, then the board changes the plan after your cash is in. **The fix — Sec 27:** the objects/terms stated in the prospectus can be varied **only** by a **special resolution** (postal ballot), and dissenting shareholders (those who didn't agree) must be given an **exit opportunity** by promoters/controlling shareholders at a price set per SEBI norms. You are not trapped in a company that changed the deal on you.

#### 4.6 The heart of the chapter — Liability for mis-statements (Sec 34 & 35)

This is the most examined pair in the chapter. Understand the *split* between them.

**First, what counts as a "misstatement"?** - A statement is deemed **untrue** if it is misleading in the form and context in which it appears; and - An **omission** is treated as a misstatement if the omission is calculated to mislead (Sec 34's framing). - **The killer principle:** *a half-truth is a whole lie*. Leaving out the pending bankruptcy suit misleads exactly as much as inventing a fake profit.

Now the two liabilities:

##### (a) Criminal liability — Section 34

**When:** the prospectus includes a statement that is **untrue or misleading**, or an **omission calculated to mislead**, and it was issued. **Who:** every person who **authorised the issue** of the prospectus. **Punishment:** this attracts the **fraud punishment under Section 447** — imprisonment of **6 months to 10 years** and fine of **the amount involved up to 3× that amount**. (Where the fraud involves public interest, the minimum jail is 3 years.) **The escape (why it's fair):** a person is **not** criminally liable if they prove **either** (i) the statement/omission was **immaterial**, or (ii) they had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the omission necessary. Honest, diligent belief is a defence — the law punishes fraud, not honest error.

**Memory hook:** 34 = *the jail door* → routes to 447 (fraud), the harshest section in the Act. Think "34 knocks on 447's cell."

##### (b) Civil liability — Section 35

**When:** a person **subscribes** for securities **relying on** a prospectus containing an untrue statement and **suffers loss or damage**. **Who is liable (compensate the investor):** - every **director** at the time of issue; - every person who **agreed to be named as a director**; - every **promoter**; - every person who **authorised the issue**; and - an **expert** (to the extent of their part).

**Remedy:** they are **jointly and severally liable** to **compensate** every affected subscriber for loss/damage.

**The defences (why each is fair):** a defendant escapes if they prove: 1. they **withdrew consent** before issue and the prospectus was issued without their authority; **or** 2. it was issued without their **knowledge/consent**, and on becoming aware they gave **public notice**; **or** 3. they had **reasonable grounds to believe** the statement was true (for their own statements) or reasonably relied on an **expert** for the expert's part. **But note:** where the misstatement was made to defraud/induce, these defences **do not** protect a person, and liability can extend without limit.

**The clean contrast to memorise:**

|                            | <b>Sec 34 — Criminal</b>                                  | <b>Sec 35 — Civil</b>                                                                 |
|----------------------------|-----------------------------------------------------------|---------------------------------------------------------------------------------------|
| Purpose                    | Punish the wrongdoer (society's remedy)                   | Compensate the victim (investor's remedy)                                             |
| Trigger                    | Untrue/misleading statement or misleading omission issued | Subscriber <b>relied</b> on it and <b>suffered loss</b>                               |
| Need actual investor loss? | <b>No</b> — the crime is issuing it                       | <b>Yes</b> — no loss, no compensation                                                 |
| Outcome                    | Jail + fine via <b>Sec 447</b>                            | Pay <b>compensation</b>                                                               |
| Core defence               | Immaterial, or honest reasonable belief                   | Withdrew consent / no knowledge + public notice / reasonable belief / expert reliance |

**Memory hook:** 34 before 35 = Crime before Compensation (alphabetical C-C, and 34 < 35). Criminal punishes the act; Civil needs a wounded victim.

### **(c) Fraudulently inducing investment — Section 36**

**Problem:** someone lures investors by knowingly false or reckless statements *outside* a formal prospectus (a road-show promise, a deceptive circular). **Fix — Sec 36:** any person who **knowingly or recklessly** makes a false/deceptive/misleading statement to induce persons to invest is liable for **fraud under Sec 447**. Closes the "it wasn't in the prospectus" gap.

### **(d) Class action / remedy route — Section 37**

Affected persons (a group of subscribers) may take **action** — including under **Sec 245 class action** — against the company, directors, auditors, and experts. **Why:** one small investor can't afford to sue; collective action makes liability real.

## **4.7 Personation for acquisition of shares (Sec 38)**

**Problem:** People apply for shares in **fictitious names** (to grab more of an oversubscribed IPO, or to manipulate allotment). **Fix — Sec 38:** applying under a fictitious name, or making multiple applications under different names, or inducing a company to allot to fictitious persons, is **fraud punishable under Sec 447**. The court may also order **disgorgement** and freezing. **Why so harsh:** fake applications corrupt the fairness of allotment for every genuine investor.

## 4.8 Minimum subscription & application money (Sec 39) — protecting the money at entry

**Problem:** A company collects money for a ₹100-crore project but raises only ₹8 crore. The project is dead on arrival, yet the company keeps the cash. **Fix — Sec 39:**

- **No allotment** shall be made unless the **minimum subscription** stated in the prospectus has been **subscribed** and the application money received (by cheque/other instrument that has been paid). For SEBI-regulated public issues the floor is **90% of the issue**.
- **Application money** per security must be **at least 5% of the nominal amount** of the security (or as SEBI specifies).
- If minimum subscription is **not received within 30 days** of prospectus issue (SEBI norm; the Act says "such period as prescribed"), all application money must be **refunded within the prescribed time** (commonly **15 days** from closure). **Delay** → **interest** at the prescribed rate (e.g. **15% p.a.**) and the money is deemed held in trust.
- Default in filing the return of allotment / refund carries **finest** on company and officers.

**Memory hooks:** 39 = "the floor". 90% = "you must nearly fill the room before you open the doors." 5% application money = "a small deposit to prove you're serious." 15 days / 15% = "refund fast or pay 15% for stalling." (Confirm the current % and day figures in ICAI material, as SEBI ICDR fine-tunes them.)

## 4.9 Securities to be dealt in on stock exchange + application money handling (Sec 40)

**Problem:** A public issue with no listing route traps investors in unsellable paper; and pooled application money is a tempting target for siphoning. **Fix — Sec 40:**

- Before issuing a prospectus, a company making a public offer must **apply to one or more stock exchanges** for **listing permission** and state which exchange(s) in the prospectus. **No listing permission** → **allotment is void**, and money must be **repaid** (with interest if delayed).
- All **application money** received must be kept in a **separate bank account** with a scheduled bank, and used **only** for (i) adjustment against allotment, or (ii) **repayment** where minimum subscription/listing fails. It cannot be dipped into for anything else.
- A company may **pay commission** (underwriting/brokerage) out of this only as permitted.

**Memory hook:** 40 = "the safe" — separate account (ring-fenced cash) + listing (an exit door). Think "40 locks the money in a safe and cuts an escape hatch."

## 4.10 Global Depository Receipts (Sec 41)

**Problem/need:** an Indian company wants to raise money **abroad**. **Fix — Sec 41:** a company may, after a **special resolution**, issue **depository receipts (GDRs)** in any foreign country in the prescribed manner. (Mechanism-level; know that it needs a **special resolution** and prescribed rules.)

## 4.11 Private placement (Sec 42) — the controlled non-public door

**Problem:** Companies abused "private" issues to raise public money without any public-offer safeguards — soliciting thousands under the "private placement" banner. **Fix — Sec 42** built a tight cage around private placement so it stays genuinely private.

**Definition:** private placement = offer/invitation to subscribe securities to a **select group of identified persons** (identified by the Board) through a **private placement offer letter (Form PAS-4)**, and **not** through



a public advertisement/general solicitation.

**The hard limits (each an anti-abuse trip-wire):**

| Rule                   | Limit                                                                                                                                  | The "why"                                                                                     |
|------------------------|----------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| Number of persons      | Offer to ≤ <b>200 persons</b> in aggregate in a <b>financial year</b> (per kind of security), <b>excluding QIBs and ESOP employees</b> | The instant it crosses 200 real investors it <i>is</i> public — so cap it below public scale. |
| Identified persons     | Offer only to persons <b>named/identified</b> by the Board; record maintained in <b>Form PAS-5</b>                                     | "Select persons" must be genuinely selected in advance, not the general public.               |
| No public solicitation | <b>No advertisement / general media / general solicitation</b> allowed                                                                 | Any broadcast to the public destroys the "private" character.                                 |
| Money route            | Subscription only by <b>cheque/DD/banking channel</b> (no cash), kept in a <b>separate bank account</b>                                | Cash = untraceable; banking channel = audit trail, anti-money-laundering.                     |
| Application money use  | Cannot <b>utilise</b> money until <b>allotment is made and return filed</b>                                                            | Stops the company spending money before the issue is even complete.                           |
| Time to allot          | Allot within <b>60 days</b> of receiving money; else <b>refund within 15 days</b> ; delay → <b>12% p.a. interest</b>                   | Don't sit on private investors' money either.                                                 |
| Fresh offer bar        | Generally <b>no fresh offer</b> while a prior offer is pending/incomplete                                                              | Prevents rolling, overlapping issues that dodge the 200 cap.                                  |
| Return of allotment    | <b>Form PAS-3</b> within <b>15 days</b> of allotment                                                                                   | Registrar gets a record; transparency even in private issues.                                 |

**The nuclear consequence (the point of the whole section):** if a company makes an offer/allotment in **breach** of Sec 42 (e.g. exceeds 200 persons, or advertises to the public), the offer is **deemed a public offer** and all provisions of the Act **and SEBI/SCRA** apply — **plus a heavy penalty** (up to the **amount raised or ₹2 crore, whichever lower**) and **refund** to subscribers **within 30 days**. In other words: try to smuggle a public issue through the private door, and the law forcibly re-labels it a public issue with every safeguard attached, and fines you on top.

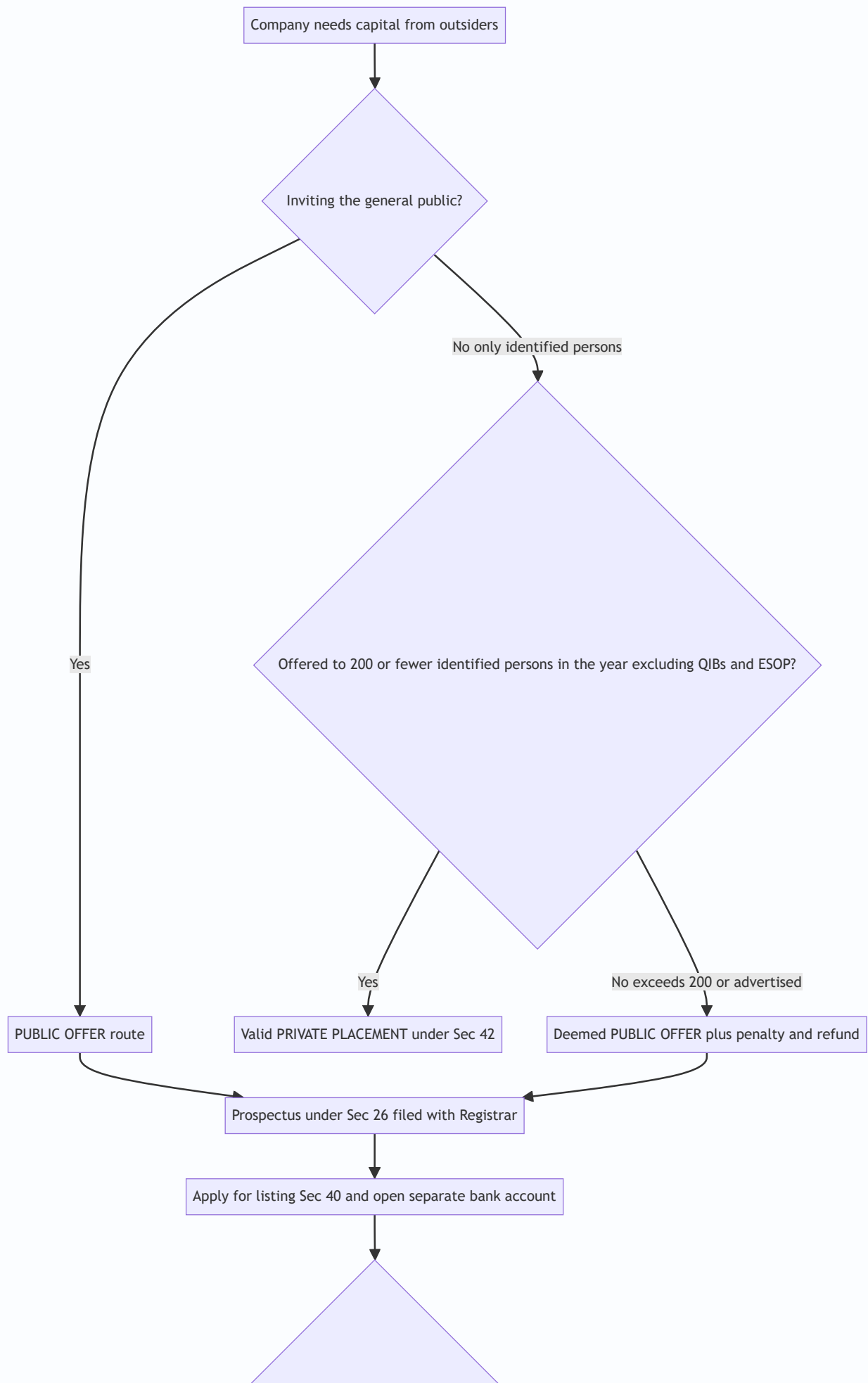
**Memory hooks for Sec 42:** 42 = "*the private club with a 200-seat limit and a strict guest list.*" Numbers: **200 members, 60 days to allot, 15 days to refund, 12% penalty interest, PAS-4 letter / PAS-5 register / PAS-3 return.\*** The forms count 4 → 5 → 3\*\* (offer letter, record of offer, return of allotment).

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## 4.12 Master diagram — the public-vs-private decision





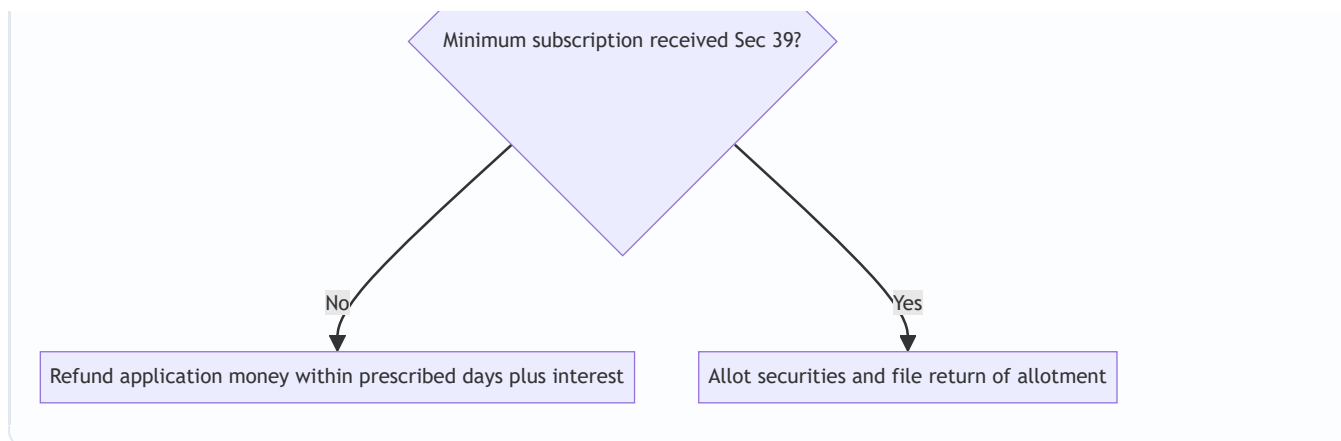


Figure 3.1 — The single most important flow: which door you walked through, and what each door demands.

## 5. Applied Scenarios — Reasoning to the Legal Outcome

**Scenario 1 — The optimistic omission.** *Bright Future Ltd* issues a prospectus showing strong projected profits. It does not mention that a supplier has sued it for ₹50 crore — an amount exceeding its net worth. Investors subscribe; when the suit surfaces, the share price collapses. Ravi, who invested relying on the prospectus, loses ₹4 lakh.

**Reasoning:** Nothing false was stated, but a **material omission calculated to mislead** is treated as a misstatement (Sec 34). Ravi **relied** on the prospectus and **suffered loss** → **civil liability under Sec 35**: the directors, promoters and those who authorised the issue are **jointly and severally liable to compensate** Ravi. Because the omission of a company-threatening lawsuit is plainly *material*, the "immaterial statement" defence fails; a director can only escape by proving he withdrew consent, lacked knowledge and gave public notice, or had reasonable grounds to believe disclosure was unnecessary. Separately, those who **authorised** the misleading prospectus face **criminal liability under Sec 34 → Sec 447** (jail + fine) — and Ravi does **not** need to prove his loss for the *criminal* case, only for compensation. **Outcome:** Ravi recovers compensation; directors risk prosecution.

**Scenario 2 — The "private" issue that wasn't.** *Zoom Tech Pvt Ltd* wants ₹30 crore. It emails a "private placement offer" to 260 hand-picked people and also posts the offer on its public website. 240 subscribe.

**Reasoning:** Two independent breaches of **Sec 42**: (i) offer to **more than 200 persons** in the year, and (ii) **public solicitation** via the website. Either breach alone destroys the private character. **Consequence:** the offer is **deemed a public offer** — but a *private company cannot make a public offer at all* (Sec 23/2(68)). So the company is doubly exposed: the whole issue is treated as a public offer attracting the full prospectus regime and SEBI/SCRA, **plus** a penalty up to the **amount raised or ₹2 crore (whichever lower)** and **refund within 30 days**. **Outcome:** issue invalid as structured; penalty + mandatory refund; a private company simply cannot cure it by "going public" without first converting.

**Scenario 3 — The underfilled issue.** *Mega Infra Ltd's* prospectus states a minimum subscription needed of ₹100 crore for a plant. By the close, only ₹60 crore (60%) has come in. The board wants to allot anyway and start partial construction.

**Reasoning:** **Sec 39** bars allotment unless **minimum subscription** (for SEBI issues, **90%**) is received. 60% is below the floor → **no allotment permitted**. The application money must be **refunded** within the prescribed period (commonly 15 days from closure); if the company delays, it must pay **penal interest** (e.g. 15% p.a.)

and directors/officers face fines, and the money is deemed held in trust in the **separate account (Sec 40)**. **Outcome:** the board **cannot** allot; it must refund on time or bleed interest. The logic: an underfunded project must return the money, not consume it.

**Scenario 4 — The shelf-and-tranche financier.** *Steady Finance Ltd, an NBFC, wants to raise debentures four times over the coming year. It dreads filing a full prospectus four times.*

**Reasoning:** This is exactly what **Sec 31 (shelf prospectus)** exists for. Steady Finance (a permitted class) files **one shelf prospectus valid up to 1 year**; for each subsequent tranche it files only an **information memorandum (PAS-2)** disclosing new charges and material changes. **Outcome:** legitimate efficiency — no cheating needed, because the Act already built the honest shortcut.

## 6. Procedure / Compliance Summary

### 6.1 Public issue by prospectus — the sequence

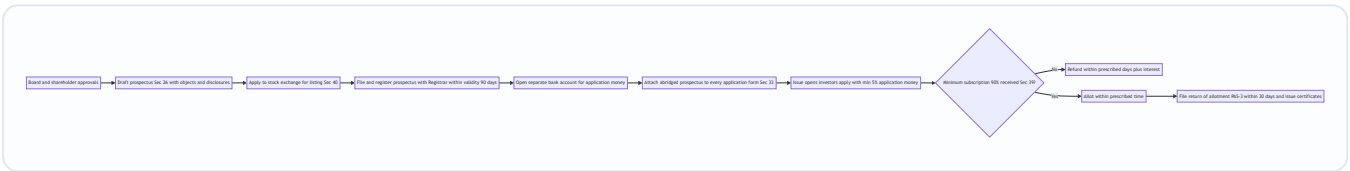


Figure 3.2 — Public-issue compliance chain, each box a statutory checkpoint.

### 6.2 Key forms & timelines (both routes)

| Form  | Purpose                                                   | Route             |
|-------|-----------------------------------------------------------|-------------------|
| PAS-2 | Information memorandum for shelf-prospectus tranches      | Public (shelf)    |
| PAS-3 | Return of allotment (file within 15/30 days of allotment) | Both              |
| PAS-4 | Private placement offer-cum-application letter            | Private placement |
| PAS-5 | Record of private placement offers (identified persons)   | Private placement |

### 6.3 Refund / allotment timeline (memory strip)

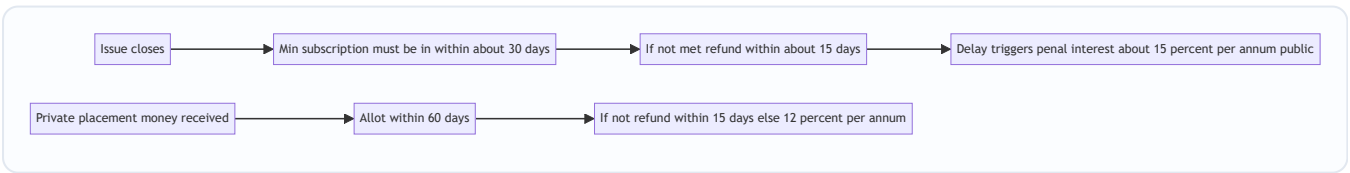


Figure 3.3 — Two parallel clocks: public-issue refund vs private-placement allot-or-refund. Confirm exact day/percent figures in current ICAI/SEBI material.

## 7. Connections — How This Chapter Links to the Rest

- Chapter on Incorporation / Types of Companies:** why a private company (Sec 2(68)) can't make a public offer flows straight into Sec 23 and Sec 42 here. A **One Person Company** and **private company**

are locked out of the public door.

- **Share Capital & Debentures:** allotment completed here becomes the **capital** administered there; **return of allotment (PAS-3)**, share certificates, and calls follow.
- **Sec 447 (Fraud):** the enforcement engine behind Sec 34, 36 and 38 — the same punishment section recurs, so master it once.
- **Sec 245 Class Action & NCLT:** the *forum* where Sec 37 collective remedies are pursued.
- **SEBI Act & SEBI (ICDR) Regulations:** for **listed** public issues, SEBI overlays disclosure, minimum-subscription (90%), and timeline rules on top of the Companies Act — the Act sets the floor, SEBI tightens it.
- **Deposits (Sec 73–76):** contrast — deposits are *borrowing from the public without shares*; both chapters share the theme of protecting public money, but through different machinery.
- **Law of Contract / Misrepresentation:** Sec 34–35 are the company-law specialisation of the general contract idea that inducing a contract by false statements gives rise to liability.

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## 8. Traps & Examiner Tricks

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1. **34 vs 35 swap.** The classic trap: describing Sec 35 as "imprisonment." **Sec 34 = criminal (jail via 447); Sec 35 = civil (compensation).** Civil needs *reliance* + *actual loss*; criminal does not need a suffering investor.
2. **Omission is not "safe."** Students assume only false *statements* are punishable. A **misleading omission** is expressly a misstatement (Sec 34). *Half-truth = whole lie*.
3. **"Public" is a number, not a vibe.** The **50-person** line (Sec 42 area) converts a "private" offer into a public offer; the **200-person** ceiling caps private placement per year. Don't confuse the two: **50** is the public-offer trip-wire baked into the private-placement rules; **200** is the annual private-placement headcount cap. QIBs and ESOP employees are **excluded** from both counts.
4. **Deemed prospectus (Sec 25) ≠ Red herring (Sec 32).** *Deemed* = an offer-for-sale document dressed up to dodge the rules (disguise). *Red herring* = a genuine prospectus with the **price** left out (book-building). Totally different problems.
5. **Shelf validity is 1 year; prospectus registration validity is 90 days.** Don't cross the numbers.
6. **Private company + public offer = impossible, not merely penalised.** A breach of Sec 42 by a *private* company can't be cured by "treating it as a public offer" because a private company is barred from public offers outright — it must first convert.
7. **Application money ≥ 5%; minimum subscription (SEBI) = 90%.** These are different figures for different things: 5% is per-security upfront money; 90% is how much of the *whole issue* must be subscribed. Confirm current figures.
8. **Expert's defence under Sec 35** protects a director who *reasonably relied on an expert*, but the **expert himself** is liable for *his* part. Don't let the director's shield cover the expert.
9. **"Reasonable belief" defence** (Sec 34/35) must exist **up to the time of issue** — a director who *later* discovers the truth but did nothing loses the shield; but honest belief held throughout is a genuine escape. The law targets fraud, not honest mistake.
10. **Sec 39 "no allotment" is a bar, not a formality.** An allotment made without minimum subscription is **irregular** and refundable — examiners love asking whether the board "can just allot anyway." It cannot.

11. **Sec 42 money can't be touched pre-allotment.** Even in a valid private placement, utilising subscription money before allotment + return filing is a breach.
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## 9. First-Principles Recap

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Strip everything away and rebuild it from the single fault line: **the company knows the truth; the investor does not.** Every rule is one of three moves against that asymmetry:

1. **Force the truth out (disclosure).** A defined written **prospectus** (Sec 2(70), 26) with mandated contents, filed with the Registrar, in variants tuned to honest needs (**deemed 25, shelf 31, red herring 32, abridged 33**). *Because* speech evaporates and omissions kill, everything must be written and complete.
2. **Punish the lie (liability).** **Criminal (Sec 34 → 447)** to deter, **Civil (Sec 35)** to compensate, **fraudulent inducement (36)** and **personation (38)** to close side-doors — all personal, so no one hides behind the company. *Because* deterrence needs a human who can be jailed and a victim who can be paid.
3. **Guard the money (entry controls).** **Minimum subscription (39)** so unviable projects refund; **separate account + listing (40)** to ring-fence cash and give an exit; **private placement cage (42)** so the non-public door can't smuggle a public issue. *Because* money, once pooled, is the thing everyone is really fighting over.

If you can regenerate any section from "which cheat does this stop?", you have understood the chapter, not memorised it.

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## 10. Quick-Revision Sheet

| Section      | Topic                    | Key number / limit                                                                                                                                                           | One-line "why"                                   |
|--------------|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| <b>23</b>    | Modes of issue           | Public co = 3 doors; Private co = 2 (no public)                                                                                                                              | Channels the fundraising into controlled routes  |
| <b>2(70)</b> | Prospectus defined       | Any document inviting the public                                                                                                                                             | Kills the "didn't call it a prospectus" loophole |
| <b>25</b>    | Deemed prospectus        | Offer-for-sale via issuing house                                                                                                                                             | Substance over form (disguise)                   |
| <b>26</b>    | Contents & registration  | Valid <b>90 days</b> ; filed before issue                                                                                                                                    | Mandatory minimum disclosure                     |
| <b>27</b>    | Variation in terms       | <b>Special resolution</b> + exit to dissenters                                                                                                                               | Can't change the deal after taking your money    |
| <b>31</b>    | Shelf prospectus         | Valid <b>1 year</b> ; PAS-2 per tranche                                                                                                                                      | Efficiency for frequent honest issuers           |
| <b>32</b>    | Red herring              | Price omitted; final prospectus after bidding                                                                                                                                | Enables book-building price discovery            |
| <b>33</b>    | Abridged prospectus      | Must accompany every application form                                                                                                                                        | Retail investors actually read it                |
| <b>34</b>    | Criminal liability       | Jail via <b>Sec 447</b> (6 mo–10 yr)                                                                                                                                         | Punish issuing an untrue/misleading prospectus   |
| <b>35</b>    | Civil liability          | Compensation; joint & several                                                                                                                                                | Compensate subscriber who relied & lost          |
| <b>36</b>    | Fraudulent inducement    | Fraud → <b>447</b>                                                                                                                                                           | Closes the "not in the prospectus" gap           |
| <b>37</b>    | Class action remedy      | Group action (see Sec 245)                                                                                                                                                   | Makes liability enforceable collectively         |
| <b>38</b>    | Personation              | Fraud → <b>447</b> ; disgorgement                                                                                                                                            | Protects fairness of allotment                   |
| <b>39</b>    | Minimum subscription     | ≥ <b>90%</b> (SEBI); app money ≥ <b>5%</b> ; refund ~ <b>15 days/15%</b>                                                                                                     | No allotment for an underfunded project          |
| <b>40</b>    | Listing + money handling | Separate bank a/c; no listing = void allotment                                                                                                                               | Ring-fence cash + provide an exit                |
| <b>41</b>    | GDR                      | <b>Special resolution</b>                                                                                                                                                    | Route to raise money abroad                      |
| <b>42</b>    | Private placement        | ≤ <b>200</b> persons/yr (ex-QIB/ESOP); allot in <b>60 days</b> ; refund <b>15 days/12%</b> ; PAS-4/5/3; breach = deemed public + penalty up to amount raised or <b>₹2 cr</b> | Keeps the non-public door genuinely non-public   |



**Number-memory ladder:** - **50** = public-offer trip-wire · **200** = private-placement annual cap - **90 days** = prospectus validity · **1 year** = shelf validity - **5%** = application money floor · **90%** = minimum subscription (SEBI) - **60 days** to allot (private) · **15 days** to refund · **12%** (private) / **15%** (public) penal interest - **34** = Criminal → **447** · **35** = Civil (Compensation) · **447** = the fraud hammer behind 34/36/38

**Always confirm the exact current percentages, day-counts, and class lists against the latest ICAI study material, the bare Companies Act 2013, the PAS Rules 2014, and SEBI (ICDR) Regulations — SEBI periodically fine-tunes the numeric thresholds while the underlying principles in this chapter stay fixed.**

# Q&A — Prospectus & Allotment of Securities

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CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 23 to 42 Exam-oriented question bank. Every question is followed immediately by a complete model answer citing the relevant section. Where a point is not settled purely by the bare Act, uncertainty is flagged.

## SECTION A — Concept-Check Questions (with answers)

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### A1. What are the modes by which a public company and a private company may issue securities under Section 23?

*Answer:* Under **Section 23(1)**, a **public company** may issue securities: (a) to the public through a **prospectus** (public offer), (b) through a **private placement** (Sec 42), or (c) through a **rights issue or bonus issue** (Sec 62), and in case of a listed company or intending-to-be-listed company, in compliance with SEBI provisions. Under **Section 23(2)**, a **private company** may issue securities only by (a) **rights/bonus issue** (Sec 62) or (b) **private placement** (Sec 42). A private company cannot make a public offer.

### A2. Define "prospectus" and list the four types of documents that fall within the definition.

*Answer:* Under **Section 2(70)**, a "prospectus" means any document described or issued as a prospectus and includes a **red herring prospectus (Sec 32)**, a **shelf prospectus (Sec 31)**, or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of securities of a body corporate. The essential test is a **public invitation to subscribe/purchase securities**.

### A3. What is a "public offer" versus a "private placement"?

*Answer:* A **public offer** (Sec 23 read with Sec 25/26) is an invitation to the public at large to subscribe to securities via a prospectus. A **private placement** under **Section 42** is an offer/invitation to a **select group of identified persons** (not exceeding **200** in a financial year, excluding QIBs and employees under ESOP) through a **private placement offer-cum-application letter (PAS-4)**, without any public advertisement.

### A4. What is an "abridged prospectus" and when must it be issued?

*Answer:* Under **Section 2(1)**, an abridged prospectus is a memorandum containing the salient features of a prospectus as specified by SEBI. Under **Section 33**, every application form for securities must be accompanied by an abridged prospectus, except where it is a bona fide invitation to a person to enter into an underwriting agreement, or where securities are not offered to the public.

### A5. What is a "shelf prospectus" and a "red herring prospectus"?

*Answer:* A **shelf prospectus (Sec 31)** is a prospectus filed by classes of companies (as SEBI prescribes) allowing them to make multiple issues of securities within **one year** without issuing a fresh prospectus for each offer; an **information memorandum (Form PAS-2)** updates material facts for subsequent offers. A **red herring prospectus (Sec 32)** is a prospectus that **does not contain complete particulars of the quantum or price** of securities and is issued prior to the main prospectus in a book-building issue.

### A6. State the meaning and effect of a "deemed prospectus" under Section 25.

*Answer:* Under **Section 25**, where a company **allots or agrees to allot securities to an issuing house/intermediary with a view to those securities being offered for sale to the public**, the offer-for-

sale document is **deemed to be a prospectus** issued by the company. All provisions on contents and liability apply as if the company itself issued it. This prevents companies from evading prospectus liability by routing the issue through an intermediary.

#### **A7. What is the minimum subscription requirement and its consequence?**

*Answer:* Under **Section 39(1)**, no allotment can be made unless the amount stated in the prospectus as the **minimum subscription** has been subscribed and the **application money (at least 5% of nominal value of the share, or as SEBI specifies)** has been received. Under **Section 39(3)**, if minimum subscription is not received within **30 days** of issue of prospectus (or such period specified by SEBI), the application money must be **refunded** within the prescribed time (15 days from closure per SEBI ICDR); default attracts penalty under **Section 39(5)**.

#### **A8. Distinguish civil liability (Sec 35) from criminal liability (Sec 34) for misstatements in a prospectus.**

*Answer:* **Section 34** imposes **criminal liability** for issuing a prospectus that includes an untrue/misleading statement, punishable under **Section 447 (fraud)**. **Section 35** imposes **civil liability** — the company and specified persons (directors, promoters, experts, persons who authorised issue) are liable to **compensate** every person who subscribed relying on a misstatement and suffered loss. Sec 34/35 target misstatements; **Section 36** targets fraudulently inducing persons to invest.

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## **SECTION B — Applied Problem / Scenario Questions (ICAI style)**

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**B1.** *ABC Ltd, a public unlisted company, wishes to raise capital by inviting subscription from 350 identified high-net-worth individuals through a private placement offer letter, without issuing a prospectus. Advise on validity.*

- **Facts:** Offer to 350 identified persons via private placement route.
- **Law:** **Section 42(2)** limits a private placement to a maximum of **200 persons in the aggregate in a financial year** (per kind of security), excluding QIBs and employees under ESOP. Under **Section 42(7)**, no public advertisement may be made. An offer to more than 200 persons is **deemed to be a public offer**, requiring compliance with prospectus provisions (Sec 23–26) and SEBI regulations, per the second proviso to Sec 25(1)/Sec 42 explanation.
- **Analysis:** The offer to 350 persons exceeds the 200-person ceiling. It therefore ceases to be a private placement and is **deemed a public offer**, mandating a prospectus.
- **Conclusion:** ABC Ltd **cannot** validly raise money from 350 persons via private placement; it must either restrict the number to 200 or issue a prospectus and comply with public-offer requirements. Contravention attracts penalty under **Section 42(10)** (amount raised or ₹2 crore, whichever lower, and refund within 30 days).

**B2.** *A prospectus issued by XYZ Ltd stated that a well-known industrialist had agreed to join the Board. On the strength of this, Mr. P subscribed. The statement was false. What are Mr. P's remedies?*

- **Facts:** Untrue statement in prospectus induced subscription; loss suffered.
- **Law:** **Section 35(1)** provides civil liability — the company, every director, promoter, and person who authorised issue is liable to **compensate** for loss/damage sustained by reason of an untrue statement. **Section 34** provides criminal liability, and **Section 36** covers fraudulent inducement. The investor may also rescind the contract of allotment for misrepresentation under general contract law.

- **Analysis:** The false statement about the industrialist is a **material misstatement**. Mr. P relied on it and suffered loss, satisfying Sec 35.
- **Conclusion:** Mr. P can (i) claim **compensation under Sec 35**, and (ii) **rescind** the allotment. Directors may escape liability under **Section 35(2)** by proving withdrawal of consent before issue, lack of knowledge/consent, or reasonable belief in the truth of the statement.

**B3.** *Directors of LMN Ltd wish to raise the criminal-liability defence under Section 34. On what grounds can they escape liability?*

- **Law:** The proviso to **Section 34** exempts a person if he proves that (a) the **statement/omission was immaterial**, OR (b) he had **reasonable grounds to believe, and did up to the time of issue believe, that the statement was true** or the inclusion/omission was necessary.
- **Conclusion:** Directors escape **Sec 34** criminal liability only by discharging this burden; otherwise punishment is under **Section 447**.

**B4.** *PQR Ltd allotted shares 40 days after issuing the prospectus, having received only 80% of the stated minimum subscription. Advise on the validity of the allotment.*

- **Law:** **Section 39(1)** bars allotment unless minimum subscription is received; **Section 39(3)** requires refund if minimum subscription is not received within **30 days** of issue of prospectus (or the SEBI period).
- **Analysis:** Minimum subscription was not met, and 30 days had elapsed. Allotment is **irregular/void**, and application money should have been refunded.
- **Conclusion:** The allotment is **invalid**; PQR Ltd must refund the application money. Default attracts penalty under **Section 39(5)** — ₹1,000 per day of default or ₹1,00,000, whichever is less, on the company and each officer in default.

**B5.** *DEF Ltd raised money by private placement but utilised the funds before filing the return of allotment. Comment.*

- **Law:** Under **Section 42(4)/42(8)**, money received on private placement must be kept in a **separate bank account** and **cannot be utilised** until the **return of allotment (Form PAS-3)** is filed with the Registrar. Allotment must be completed within **60 days** of receipt of application money (Sec 42(6)); PAS-3 must be filed within **15 days** of allotment.
- **Conclusion:** DEF Ltd's utilisation of funds before filing PAS-3 is a **contravention** attracting penalty under **Section 42(10)**. (Note: post-2018 amendment, allotment money cannot be used until PAS-3 is filed.)

**B6.** *GHI Ltd (unlisted public company) wants to make repeated bond issues over a year without a fresh prospectus each time. Which route applies?*

- **Law:** **Section 31** — a **shelf prospectus** may be filed by prescribed classes of companies, valid for **one year**, with an **information memorandum (PAS-2)** filed for each subsequent offer.
- **Conclusion:** GHI Ltd may use the **shelf prospectus** mechanism, provided it belongs to the class prescribed by SEBI (typically for debt securities / financial institutions). Flag: eligibility depends on SEBI's prescribed classes.

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## SECTION C — Past-Paper-Style Descriptive Questions

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**C1.** Explain the provisions relating to variation in terms of contract or objects referred to in the prospectus (Section 27).

*Answer:* Under **Section 27(1)**, a company shall **not vary the terms of a contract or the objects for which the prospectus was issued** except by way of a **special resolution** passed at a general meeting. Details of the notice must be published (as SEBI/rules prescribe) in newspapers. Under **Section 27(2), dissenting shareholders** (those who have not agreed to the variation) must be given an **exit offer** by promoters/controlling shareholders at a SEBI-prescribed exit price. Under **Section 27(3)**, money cannot be used for any object other than stated in the prospectus except after such approval. This protects investors who subscribed on the faith of stated objects.

## **C2. Discuss the "golden rule" of prospectus and the matters to be stated under Section 26.**

*Answer:* The "**Golden Rule**" (New Brunswick v. Muggeridge) requires that a prospectus disclose the whole truth with **strict and scrupulous accuracy** — nothing should be stated as fact that is not so, and no material fact should be concealed. **Section 26(1)** codifies this by requiring every prospectus to state prescribed information — details of the company, directors, promoters, objects, capital structure, terms of issue, and reports (auditor's report, financial information) — and disclosures required by SEBI. Under **Section 26(4)**, a prospectus must be **dated, signed, and delivered to the Registrar for registration** before publication. A prospectus not registered is **invalid**; issuing an unregistered prospectus attracts penalty under **Section 26(9)**.

## **C3. Write a note on the allotment of securities in the electronic form / return of allotment (Section 39 and Section 42(8)).**

*Answer:* On every allotment of securities, the company must file a **return of allotment in Form PAS-3** with the Registrar. For public issues under **Section 39(4)**, PAS-3 must be filed in the prescribed manner; for private placements under **Section 42(8)**, PAS-3 must be filed within **15 days** of allotment, listing the identity of allottees and the price. This return creates a public record and enables monitoring of the 200-person ceiling and utilisation restrictions. Default attracts penalty under **Sec 39(5)** and **Sec 42(10)** respectively.

## **C4. Explain the criminal and civil liabilities for mis-statements in a prospectus (Sections 34, 35, 36).**

*Answer:* - **Section 34 (Criminal liability):** Where a prospectus includes any **untrue or misleading statement**, or omits a material matter likely to mislead, every person who **authorised its issue** is liable under **Section 447 (fraud)** — imprisonment (6 months–10 years) and fine (up to 3× the amount involved). Defence: immateriality or reasonable belief in truth. - **Section 35 (Civil liability):** The company, directors, promoters, experts and authorisers must **compensate subscribers** who suffered loss relying on an untrue statement. Sec 35(2) provides defences (withdrawal of consent, no knowledge, reasonable belief). Sec 35(3): if the misstatement was made with intent to defraud, liability is **unlimited and personal**. - **Section 36 (Fraudulently inducing investment):** Any person who **knowingly or recklessly makes false/misleading/deceptive statements** to induce another to invest is punishable under **Section 447**.

## **C5. Distinguish between a prospectus and a statement in lieu of prospectus / private placement offer letter, and explain "public offer" limits.**

*Answer:* A **prospectus (Sec 2(70), Sec 26)** is a public invitation registered with the Registrar. A **private placement offer-cum-application letter (Form PAS-4, Sec 42)** is a serially-numbered, address-specific offer to identified persons (≤200), **not** advertised to the public, and not renounceable. Any offer that crosses **200 persons**, or is advertised publicly, becomes a **deemed public offer** (Sec 25/42), triggering full prospectus and SEBI compliance. (Note: the "statement in lieu of prospectus" of the 1956 Act has no direct equivalent; the 2013 Act relies on the private placement/PAS-4 regime — flag as a change from the old law.)

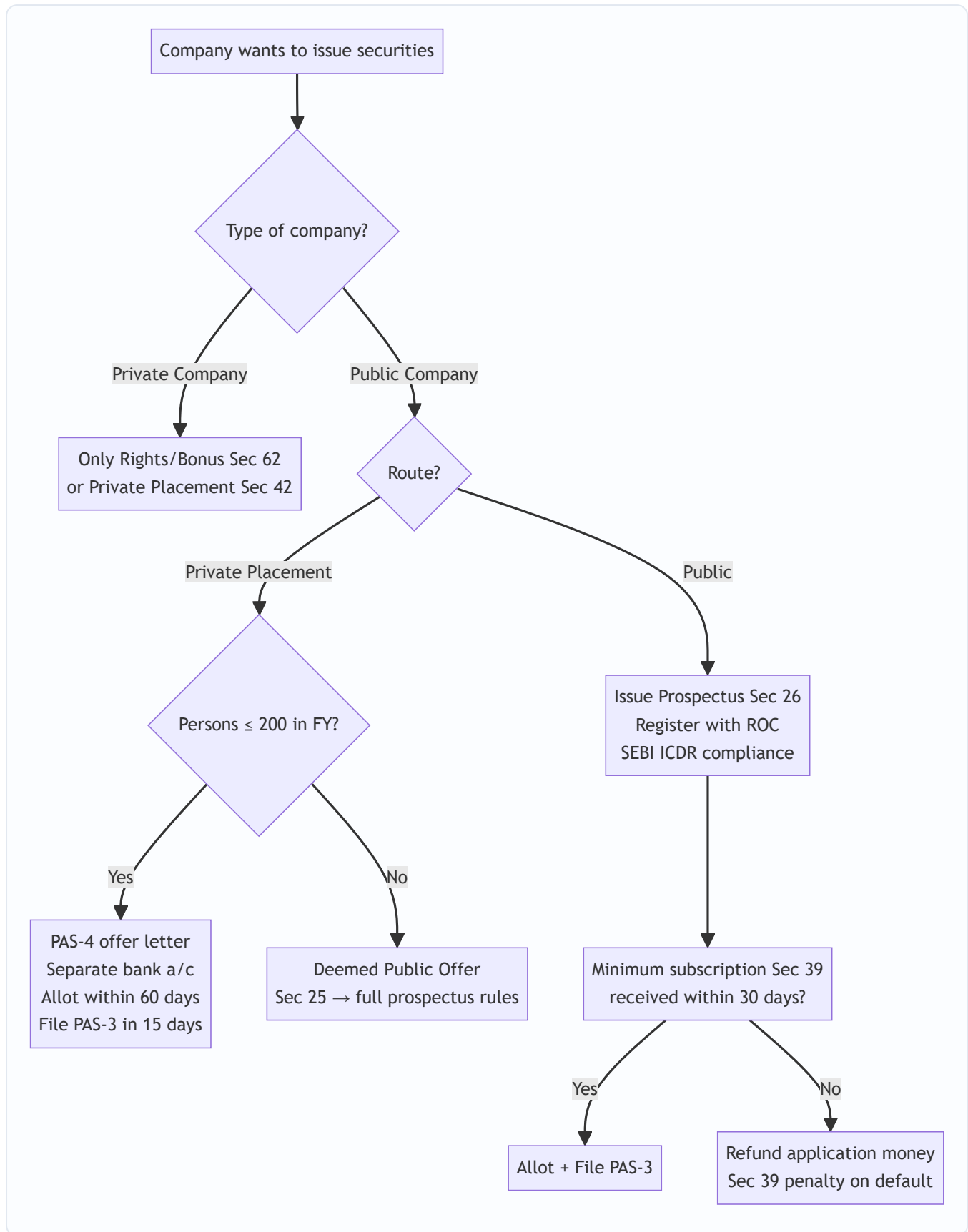
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## SECTION D — MCQs / Case Scenarios

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- D1.** The maximum number of persons to whom securities may be offered under private placement in a financial year (excluding QIBs and ESOP employees) is: (a) 50 (b) 100 (c) 200 (d) 500 **Answer: (c) 200** — Section 42(2); exceeding it makes it a deemed public offer.
- D2.** A "red herring prospectus" is one which: (a) contains false statements (b) does not contain particulars of price or quantum of securities (c) is issued after allotment (d) is a foreign prospectus **Answer: (b)** — Section 32; issued in book-building before the final price is fixed.
- D3.** Minimum subscription, if not received, must trigger refund within the SEBI-prescribed period after the prospectus is open; the base timeline in Section 39(3) is: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Section 39(3) (SEBI ICDR further specifies refund within 15 days of issue closure).
- D4.** Which document is deemed to be a prospectus when shares are allotted to an issuing house for offer to the public? (a) Shelf prospectus (b) Abridged prospectus (c) Offer for sale document (deemed prospectus) (d) Information memorandum **Answer: (c)** — Section 25 (deemed prospectus).
- D5.** Variation in the objects stated in a prospectus requires: (a) Board resolution (b) Ordinary resolution (c) Special resolution + exit to dissenters (d) Central Government approval **Answer: (c)** — Section 27; dissenting shareholders get an exit offer.
- D6.** Private placement money must be kept in a separate bank account and cannot be utilised until: (a) the AGM (b) return of allotment (PAS-3) is filed (c) shares are listed (d) one year passes **Answer: (b)** — Section 42(4)/(8).
- D7.** *Case scenario:* Mr. X, an expert, gave his consent to a statement in the prospectus but withdrew it in writing before the prospectus was delivered for registration. A subscriber sues him under Sec 35. Is he liable? (a) Yes, absolutely (b) No, withdrawal before issue is a valid defence (c) Yes, but only 50% (d) Only criminally liable **Answer: (b)** — Section 35(2)(a); withdrawal of consent before issue is a statutory defence.
- D8.** A private company may issue securities by: (a) public offer (b) rights/bonus issue or private placement (c) only public offer (d) shelf prospectus **Answer: (b)** — Section 23(2); a private company cannot make a public offer.
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## Procedure Diagram — Public Offer vs Private Placement Decision



## Traps & Examiner Tricks (Quick Recall)

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- **200-person limit** is **per financial year and per kind of security** — QIBs and ESOP employees are **excluded** (Sec 42).
- **Minimum subscription base period is 30 days** (Sec 39(3)); students often wrongly write 60 or 120 days.
- **Variation of objects** needs **special resolution + exit to dissenters** (Sec 27), NOT ordinary resolution.
- **Deemed prospectus** (Sec 25) traps offer-for-sale arrangements — company cannot dodge liability via an intermediary.
- **Sec 34 = criminal, Sec 35 = civil, Sec 36 = fraudulent inducement** — do not interchange.
- Private placement money **cannot be used until PAS-3 is filed** (Sec 42(8), post-2018 amendment).
- A **private company can never make a public offer** (Sec 23(2)).

## First-Principles Recap

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Sections 23–42 exist to protect the investing public through **disclosure (prospectus/golden rule)**, **gatekeeping (registration, minimum subscription)**, **accountability (civil & criminal liability)**, and **containment (private-placement ceilings)**. The unifying idea: *money should only be raised on the basis of full, true, registered disclosure, and protected until legitimately allotted.*

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*Provisions cited: Companies Act, 2013 — Sec 2(70), 2(1), 23, 25, 26, 27, 31, 32, 33, 34, 35, 36, 39, 42, 62, 447. Procedural timelines/thresholds are read with SEBI ICDR Regulations and the Companies (Prospectus and Allotment of Securities) Rules; where a threshold is SEBI-driven rather than in the bare Act, this has been flagged in the text.*



# Chapter 04 — Share Capital & Debentures

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## 1. The Problem — Why Money Put Into a Company Keeps Vanishing

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Imagine you lend ₹50 lakh to a company. You did not become an owner; you are a creditor. You looked at the company's balance sheet, saw "Share Capital ₹2 crore," and felt safe — that ₹2 crore is the buffer that absorbs losses before your loan is touched. The owners promised to put ₹2 crore of *their own* money at risk, standing behind your loan.

Now imagine three things happen:

1. The directors, who are also the big shareholders, quietly pay that ₹2 crore back to themselves as "return of capital," leaving nothing between your loan and zero.
2. Or the company issues shares to insiders for ₹1 when they are really worth ₹100, diluting everyone else and funnelling value to friends.
3. Or the company borrows ₹10 crore through debentures from thousands of small public investors, spends it, and there is no independent person watching whether the money is safe or the security real.

Every one of these is a **real historical fraud**. Companies were looted from the inside by manipulating capital. The whole architecture of Chapter IV of the Companies Act, 2013 (Sections 43–72) exists to answer one question: *how do we stop the people who control a company from moving capital in ways that betray the outsiders who relied on it — creditors, minority shareholders, and public debenture-holders?*

The single organising villain of this chapter is the **abuse of control over capital**. Everything else is a specific defence against a specific trick.

## 2. The Core Idea — Capital Maintenance and Fair Dealing

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Two protective principles run through the entire chapter. If you hold these two, you can *derive* almost every section.

**Principle A — Capital Maintenance.** The share capital a company raised must not leak back out to shareholders through the back door. Creditors extended credit trusting that buffer. So the law makes returning capital to shareholders *hard, rare, court-supervised, and never at the creditors' expense*. This is why reduction of capital (Sec 66) needs Tribunal approval, why buy-back (Sec 68) has ceilings and locks, why dividends can't be paid out of capital, and why shares generally can't be issued at a discount (Sec 53).

**Principle B — Fair Dealing / Equality Among Members.** Within the body of shareholders, no group may use control to enrich itself at another group's expense. Existing shareholders must not be secretly diluted; a class whose rights are altered must consent; new shares must first be offered to existing owners in proportion (rights issue, Sec 62). This is the "no unfair dilution, no unfair preference" principle.

Hold these two lamps up to any provision and its purpose lights up. The section number is just an address; the *reason* is the thing.

## 3. Why It's Built This Way — The Logic of Each Safeguard

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Before the technical wall of sections, let's reason out *why* each major safeguard has the shape it has. This is the scaffolding; Part 4 hangs the exact numbers on it.

- **Why forbid issuing shares at a discount (Sec 53)?** If a company could sell ₹10 shares for ₹1, the "capital" figure on the balance sheet becomes a lie — creditors think ₹10 of value backs each share but only ₹1 came in. So discount is banned, *except* the tightly-controlled sweat-equity route (real value came in, just as effort not cash) and the special ESOP/Sec 54 arrangement.
- **Why is a premium (Sec 52) locked into a special reserve?** When shares sell *above* face value, that extra isn't ordinary profit to be handed out as dividend — treating it as distributable profit would let promoters recycle investors' own money back as "returns." So the premium is quarantined in the Securities Premium Account and can be used only for a short capital-like list of purposes.
- **Why must new shares be offered to existing shareholders first (Sec 62 rights issue)?** Because directors could otherwise issue fresh shares to themselves or allies at a low price, shrinking everyone else's percentage. Pre-emption preserves each owner's proportional stake and voting power.
- **Why does altering class rights (Sec 48) need the class's own consent?** Because a controlling group holding ordinary shares could vote to strip preference shareholders of their preference. Only the affected class can agree to have its own rights changed — and even then a dissenting minority can run to the Tribunal.
- **Why is reduction of capital (Sec 66) court-supervised but alteration (Sec 61) not?** Because *reduction* actually shrinks the creditor buffer — it's the dangerous one, so the Tribunal and creditors must be heard. Mere *alteration* (splitting, consolidating, converting) reshuffles the same total capital without returning anything to shareholders, so a Board-plus-ordinary-resolution suffices.
- **Why must debentures to the public have a trustee (Sec 71)?** Ten thousand small debenture-holders cannot each individually police the company. So the law inserts a professional **Debenture Trustee** who holds the security and enforces it on behalf of all — a single watchdog with teeth, replacing a scattered helpless crowd.

Now the technical content will feel like consequences, not commandments.

## 4. Full Technical Content — Section by Section, Each With Its "Why"

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### 4.1 Kinds of Share Capital — Section 43

A company limited by shares can have two kinds of share capital:

- **Equity share capital** — (a) with voting rights, or (b) with *differential rights* as to dividend, voting or otherwise (DVR shares), per prescribed rules.
- **Preference share capital** — carries a preferential right to (i) dividend (fixed amount or rate) and (ii) repayment of capital on winding up, *ahead of* equity.

*Why two kinds?* Different investors want different risk. The preference shareholder wants a fixed, priority return (bond-like); the equity shareholder wants the upside and control. Sec 43 simply names the two boxes the law will then regulate. **Note:** a *private company* may, through its articles/memorandum, override Sec 43 and 47 — a relaxation introduced to give small closely-held companies flexibility.

**Preference shares must be redeemable — Section 55.** A company (other than as specially permitted) *cannot issue irredeemable preference shares*. They must be redeemed within **20 years**; except infrastructure projects may issue preference shares redeemable beyond 20 years (redeemable in a phased manner as prescribed). *Why the ban on irredeemable preference?* An irredeemable preferential claim ranking ahead of

equity forever is effectively perpetual debt masquerading as capital — it would let promoters bleed a fixed charge on profits indefinitely. Forcing redemption keeps the capital structure honest.

Redemption of preference shares (Sec 55) protects creditors by rule: they can be redeemed **only** out of (a) profits otherwise available for dividend, or (b) proceeds of a *fresh issue* of shares made for the purpose. If redeemed out of profits, an equal amount must be transferred to the **Capital Redemption Reserve (CRR)** — a reserve treated almost like capital. *Why CRR?* If you pay shareholders back out of profits, the buffer would shrink; forcing an equal amount into a locked reserve keeps the total buffer intact. Capital maintenance in action.

## 4.2 Voting Rights — Section 47

Equity: one-share-one-vote, voting proportional to paid-up capital. Preference shareholders normally vote *only* on resolutions that directly affect their rights — but if their dividend is unpaid for **two years or more**, they get voting rights on *every* resolution. *Why?* A preference shareholder is a quiet priority-investor as long as the deal is honoured; the moment the company defaults on their promised dividend for two years, the bargain is broken and they earn a full seat at the table.

## 4.3 Certificate of Shares — Section 46

The share certificate under common seal (if any) is **prima facie evidence** of title. Duplicate certificates fraudulently issued attract heavy penalty. *Why the penalty?* A fake certificate lets a fraudster sell the same shares twice — the deterrent guards the register's integrity.

## 4.4 Application of Premium — Section 52

Where shares are issued at a premium, the aggregate premium goes to the **Securities Premium Account**. It may be applied *only* for:

- issuing fully paid **bonus shares**;
- writing off **preliminary expenses**;
- writing off expenses/commission/discount on issue of shares or debentures;
- providing the **premium payable on redemption** of redeemable preference shares or debentures;
- **buy-back** under Sec 68.

*Why this closed list?* Every permitted use is either capital-like (bonus, buy-back, redemption premium) or a genuine cost of raising the capital. The one thing you may **not** do is pay it out as ordinary dividend — that would return investors' own subscription money to them dressed as profit. Memory hook: securities premium is "capital's cousin," not "profit's sibling."

## 4.5 Prohibition on Issue at a Discount — Section 53

Any issue of shares at a discount (below face value) is **void**. Company and every officer in default face penalty; the company must refund with interest. *The one carve-out:* shares issued at a discount to creditors under a **statutory resolution/scheme of reconstruction (Sec 53(2A))** — e.g. debt converted to equity under RBI-directed restructuring. And **sweat equity (Sec 54)** is a separate, lawful non-cash route, not a "discount." *Why so absolute?* Because a discount silently overstates capital — the balance-sheet buffer becomes fictitious.

## 4.6 Sweat Equity Shares — Section 54

Equity shares issued to **directors or employees** at a discount or for consideration other than cash, for providing **know-how, IP, or value additions**. Conditions:

- Issue authorised by a **special resolution**;
- The resolution specifies number, current market price, consideration, and the class of directors/employees;
- **Not before one year** from the date the company was entitled to commence business;
- Same rank/limitations/rights as ordinary equity.

*Why allow this exception to Sec 53?* Because real value *does* flow in — sweat, brains, patents — just not cash. The special resolution and disclosure guard against directors quietly gifting themselves cheap shares under this banner.

## 4.7 Employee Stock Options (ESOP) — Section 62(1)(b)

A company may offer shares to employees under a scheme of ESOP by a **special resolution** (a private company may use an ordinary resolution). *Why part of Sec 62?* Because giving shares to employees is a form of "further issue" that skips the rights-offer to existing members — so it needs the members' special approval as the price of bypassing pre-emption. (See 4.9.)

## 4.8 Issue of Bonus Shares — Section 63

Bonus shares are fully-paid shares given **free** to existing shareholders out of the company's reserves. May be issued out of:

- free reserves;
- securities premium account;
- capital redemption reserve.

**Not** out of reserves created by revaluation of assets. Conditions: authorised by articles; recommended by Board and approved in general meeting; company not defaulted on debt-securities interest/principal or on statutory dues to employees (PF, gratuity, bonus); partly-paid shares must be made fully paid first; once announced, a bonus issue **cannot be withdrawn**.

*Why forbid revaluation reserves and why the conditions?* A bonus issue converts reserves into capital (capitalisation of profits) — it *strengthens* the buffer, which is fine, but only if the reserves are real. Revaluation "profit" is a paper mark-up, not realised value; letting it become capital would inflate capital on air. The no-default condition stops a company that owes its lenders and workers from playing generous-uncle with shareholders.

## 4.9 Further Issue of Capital — Rights Issue — Section 62

This is the heart of Fair Dealing. Where a company **having a share capital** proposes to increase subscribed capital by issuing further shares, those shares must be offered:

**(a) To existing equity shareholders (Rights Issue)** in proportion to their paid-up capital, by a letter of offer subject to:

- the offer is open for **not less than 15 days and not more than 30 days**; if not accepted within that window it is deemed declined;

- the offer must state the shareholder's **right of renunciation** (they may pass the offer to another person);
- after expiry or on decline, the Board may dispose of the unsubscribed shares in a manner **not disadvantageous** to shareholders and the company.

*For a private company, periods/notice can be shortened with 90% consent.*

**(b) To employees under an ESOP** — special resolution (see 4.7).

**(c) To any other persons (Preferential Allotment / Private Placement)** — if authorised by a **special resolution**, either for cash or other consideration, provided the price is determined by a **registered valuer's** report. *Why the valuer?* Allotting shares to outsiders below fair value is exactly how insiders dilute the rest — an independent valuation blocks the underpricing trick.

**Conversion clause (Sec 62(3)):** where a term-loan from a government/bank includes a term (approved by special resolution *before* the loan) to convert the loan into shares, the rights-offer rule doesn't apply. *Why?* The dilution was consented to in advance, with eyes open.

Memory hook for Sec **62**: think "6-to-2" — the company turns to (6) its own existing owners *first*, employees, then others — pre-emption *first*, outsiders *last*. Window **15–30 days**: minimum 15 (long enough to decide), maximum 30 (not so long it stalls fundraising).

#### 4.10 Alteration of Share Capital — Section 61

A limited company with share capital may, **if authorised by its articles**, by an **ordinary resolution** in general meeting:

- **increase** authorised capital;
- **consolidate and divide** shares into larger denomination (note: consolidation that changes voting % of members needs **Tribunal approval**);
- **convert fully paid shares into stock** and vice-versa;
- **sub-divide** shares into smaller denomination (paid-up proportion unchanged);
- **cancel** shares not taken/agreed to be taken (this is *not* a reduction of capital) — called **diminution**.

*Why only an ordinary resolution and no Tribunal?* Because none of these returns money to shareholders or shrinks the real buffer — a ₹10 share split into ten ₹1 shares is the same capital in smaller pieces. It's rearranging furniture, not removing it. Contrast Sec 66 reduction (below), which *does* shrink the buffer and therefore *does* need the Tribunal.

**Notice of alteration — Section 64:** file with Registrar in **Form SH-7 within 30 days** of the resolution. *Why 30 days?* The public register must reflect reality quickly so anyone dealing with the company sees the true capital.

#### 4.11 Variation of Shareholders' Rights — Section 48

Where the share capital is divided into different classes, the rights attached to a class may be varied **only**:

- with **written consent of holders of  $\geq 3/4$  of that class**, or a **special resolution** passed at a separate meeting of that class; **and**
- if the memorandum/articles provide for such variation (or don't prohibit it).

**Protective escape hatch:** if the variation would prejudice another class, that other class must also consent. And a **dissenting minority holding  $\geq 10\%$**  of that class (who did not consent) may apply to the **Tribunal within 21 days** to have the variation cancelled; the Tribunal's decision binds all.

*Why 3/4 + a minority veto route?* Class rights are a bargain. Only the class can rewrite its own bargain, and a supermajority (3/4) is required so a bare majority can't bully. Yet even a 3/4 vote might be a controlled block, so a 10% dissenting minority gets a 21-day window to seek Tribunal protection. Fair Dealing with a safety net.

## 4.12 Transfer & Transmission of Securities — Section 56

**Transfer** = a *voluntary* act — you sell/gift your shares. **Transmission** = *operation of law* — death, insolvency, inheritance; no instrument of transfer needed, only proof (succession certificate, etc.).

Procedure for transfer (Sec 56):

- A proper **instrument of transfer (Form SH-4)**, duly stamped, executed by transferor and transferee, must be delivered to the company **within 60 days** of execution.
- The company must **register** the transfer/transmission and deliver certificates **within 1 month** of receipt (for transfer) / other prescribed periods for allotment (2 months from allotment) / debentures (6 months from allotment).
- Refusal to register must be communicated within 30 days, with reasons; the aggrieved person may appeal to the **Tribunal** (30/60 day windows).

*Why the 60-day SH-4 rule and company registration?* Because the share register is the legal record of ownership. Uncontrolled transfers or forged instruments could strip a true owner of their shares, so the law channels every transfer through a stamped, executed, time-bound instrument and gives the wrongly-refused transferee a Tribunal remedy. *Why is transmission lighter?* Because no one is "selling" — the law is simply recognising that ownership passed by death or insolvency, so proof, not an instrument, suffices.

**Nomination — Section 72:** a holder may nominate a person to whom securities vest on death — bypassing succession disputes. *Why?* To spare families the courtroom for a clear, pre-declared wish.

## 4.13 Debentures — Section 71

A **debenture** is a written acknowledgement of debt by the company — includes debenture stock, bonds and any other instrument evidencing a debt, whether or not constituting a charge. It is *borrowing*, not capital: the debenture-holder is a **creditor**, not an owner — no voting rights in the company's general meetings (a debenture cannot carry voting rights, Sec 71(2)).

Key rules of Sec 71:

- A company may issue debentures with an option to **convert** into shares (wholly/partly) — but such conversion at issue must be approved by **special resolution**.
- Debentures **cannot carry voting rights**. *Why?* Voting belongs to owners who bear residual risk; a creditor with a fixed claim shouldn't also steer the company.
- Secured debentures may be issued subject to prescribed terms (e.g. redemption period, charge over assets).
- Where debentures are offered to the **public or to more than 500 persons**, the company **must appoint a Debenture Trustee** before the issue and must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend (as per Rules — thresholds/percentages have been amended over time; **confirm the current DRR requirement in ICAI material / the Companies (Share Capital and Debentures) Rules**).

**Debenture Trustee — the watchdog (Sec 71(5)–(7)):**

- A person cannot be appointed trustee if he is disqualified (e.g. beneficially holds shares, is indebted to the company, or has given a guarantee for the company's debentures) — the trustee must be **independent**.
- Duty: **protect the interests of debenture-holders** and redress their grievances.
- If the trustee believes the company's assets are insufficient to redeem, it may petition the **Tribunal**, which can restrict the company from incurring further liabilities.
- On default in redemption/interest, holders/trustee may apply to the Tribunal, which may **direct redemption forthwith** with interest.
- The company must **pay interest and redeem** per the terms; default triggers Tribunal enforcement and penalties.

*Why the trustee + DRR architecture?* Return to the Part-1 villain: thousands of small public lenders cannot each police the company. The **trustee** is one independent, empowered agent enforcing the security for all. The **DRR** forces the company to set aside profits *while it can*, so cash actually exists at redemption time instead of a hopeful promise. Watchdog (enforcement) + reserve (funds) = the two things scattered creditors lack.

**Debenture Redemption Reserve (DRR)** — a portion of profits ring-fenced solely for redeeming debentures; cannot be used for any other purpose. Capital-maintenance logic applied to debt: don't distribute what you'll owe.

#### 4.14 Buy-Back of Securities — Section 68 (cross-reference)

Buy-back = a company purchasing its own shares, extinguishing them. It *returns capital to shareholders*, so it is fenced heavily (this is the flip side of Sec 53's discount ban — here the danger is capital *leaving*):

- Sources: **free reserves, securities premium account, or proceeds of a fresh issue** (never out of an earlier issue of the same kind).
- Ceilings: **≤ 25% of paid-up capital + free reserves** in a year (for equity in a financial year, ≤ 25% of paid-up *equity*); post-buy-back **debt-to-capital-and-free-reserves ratio ≤ 2:1**.
- Authorisation: **Board** (up to 10% of paid-up equity + free reserves) or **special resolution** (up to 25%).
- After buy-back the company must **not make a further issue of the same kind of shares within 6 months** (except bonus/discharge of obligations).
- Amount equal to nominal value of shares bought back must go to the **Capital Redemption Reserve (Sec 69)**.
- **No buy-back within one year** of the previous buy-back.

*Why every ceiling and lock?* Buy-back is a legitimate way to return surplus cash — but unrestrained, it becomes a tool to prop up share price, hand controllers an exit, or hollow out the creditor buffer. The 25% cap, 2:1 debt ratio, CRR transfer, and cooling-off periods each plug one abuse. (Full treatment in the Buy-Back / capital restructuring chapter.)

#### 4.15 Reduction of Share Capital — Section 66 (cross-reference)

The most dangerous move — deliberately *shrinking* capital. Requires:

- a **special resolution**, and
- confirmation by the **Tribunal (NCLT)**, which must give **creditors an opportunity to object** and be satisfied their claims are secured/settled.



Forms: extinguish/reduce liability on unpaid capital, cancel lost capital, or pay off surplus capital. *Why Tribunal + creditor hearing?* Because reduction directly removes the buffer creditors relied on — so the state (Tribunal) and the creditors themselves must both sign off. This is Capital Maintenance at its most explicit. (Full treatment in the reduction/restructuring chapter.)

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## 5. Applied Scenarios — Reasoning to the Legal Outcome

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**Scenario 1 — The cheap allotment to a director's cousin.** Alpha Ltd's board issues 1,00,000 new equity shares to the CFO's cousin at ₹10 (face value) when the shares trade at ₹150, calling it a "strategic investment." Existing shareholders get nothing. *Analysis:* This is a "further issue" under **Sec 62**. Because it goes to an outsider (not existing members pro-rata, not employees), it is a **preferential allotment under Sec 62(1)(c)** — requiring a **special resolution** and pricing per a **registered valuer's report**. Issuing at ₹10 against a ₹150 fair value with no valuation and no special resolution is invalid; it unfairly dilutes existing members. *Outcome:* allotment challengeable; the Fair-Dealing principle (independent valuation blocks underpricing) is violated.

**Scenario 2 — Bonus shares from a revaluation reserve.** Beta Ltd revalues its land upward by ₹5 crore, creating a revaluation reserve, and proposes to issue bonus shares out of it. *Analysis:* **Sec 63** expressly forbids bonus issues out of **revaluation reserves** — that "profit" is an unrealised paper mark-up. Capitalising it would inflate capital on air, misleading creditors. *Outcome:* the bonus issue is impermissible; Beta may use only free reserves, securities premium, or CRR — and only if not in default on its debt-securities or statutory employee dues.

**Scenario 3 — Preference shareholders lose their dividend.** Gamma Ltd has not paid the fixed dividend on its preference shares for the last two and a half years, and now the equity majority proposes to pass a resolution altering the preference shares' repayment terms. *Analysis:* Two provisions fire. Under **Sec 47**, because the preference dividend is unpaid for  $\geq 2$  years, the preference shareholders now vote on **every** resolution — they are no longer silent. Under **Sec 48**, varying their class rights needs their own **3/4 consent / special resolution**, and a dissenting **10%** minority may approach the **Tribunal within 21 days**. *Outcome:* the equity majority cannot unilaterally rewrite preference rights; the broken bargain has armed the preference class.

**Scenario 4 — Public debenture issue with no watchdog.** Delta Ltd raises ₹40 crore by issuing debentures to 3,000 retail investors, appoints no trustee, and creates no reserve. *Analysis:* Offering debentures to more than 500 persons triggers the mandatory **Debenture Trustee (Sec 71)** appointment *before* issue and a **Debenture Redemption Reserve**. Skipping both leaves 3,000 scattered creditors with no enforcement agent and no ring-fenced redemption fund — precisely the abuse Sec 71 prevents. *Outcome:* the issue is non-compliant; the company and officers face penalty, and investors are left dangerously exposed.

**Scenario 5 — Transfer instrument lodged late.** Rohan sells shares to Meera; the executed SH-4 is delivered to the company 75 days after execution. *Analysis:* **Sec 56** requires the instrument within **60 days**. Lodged late, the company may refuse to register on that instrument (a fresh/rectified instrument or Tribunal recourse may be needed). *Outcome:* Meera's legal title on the register is jeopardised by the missed 60-day window — the timeline exists to keep the ownership register accurate and forgery-resistant.

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## 6. Procedure / Compliance Summary

### Rights Issue (Sec 62(1)(a)) — flow:

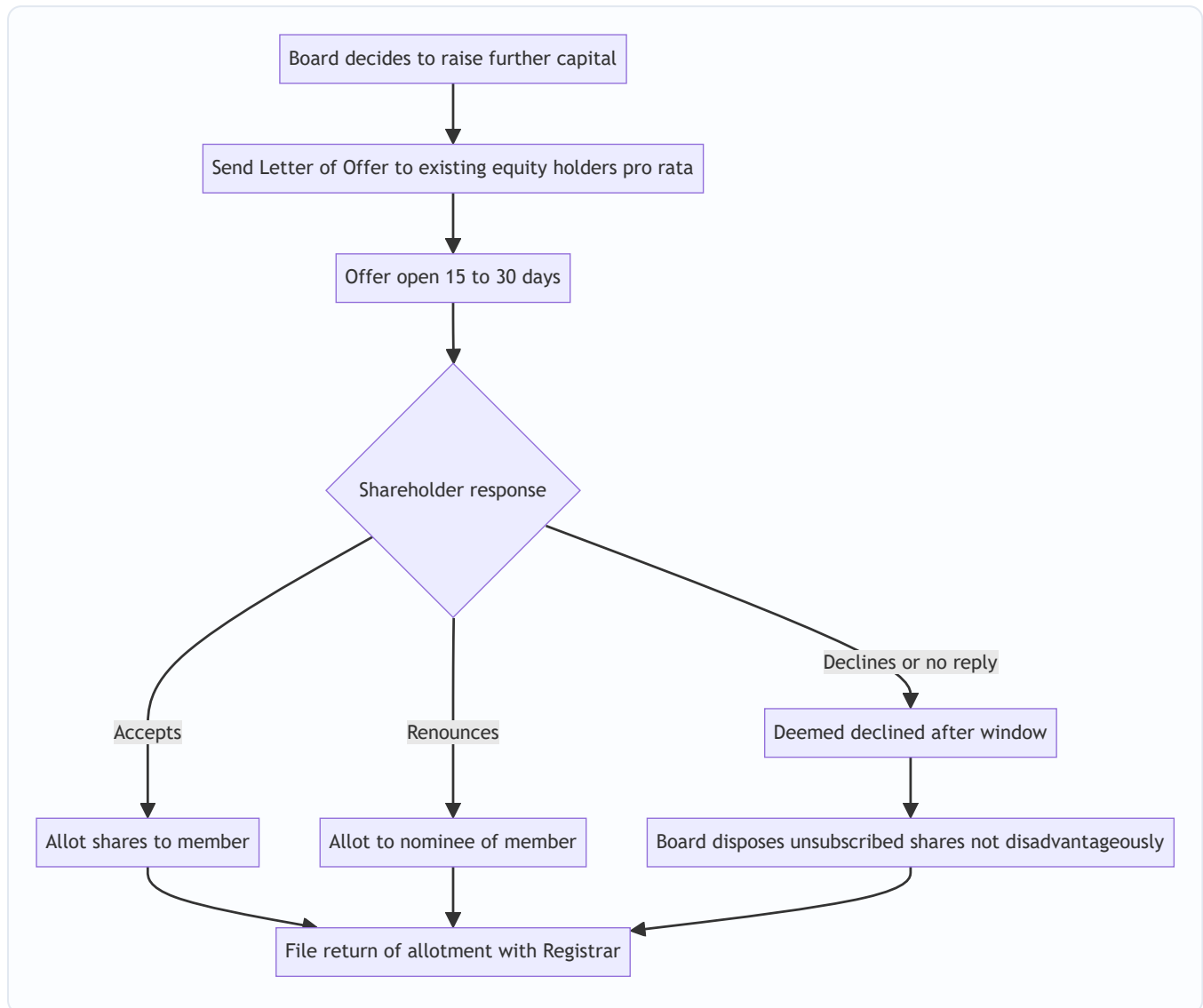
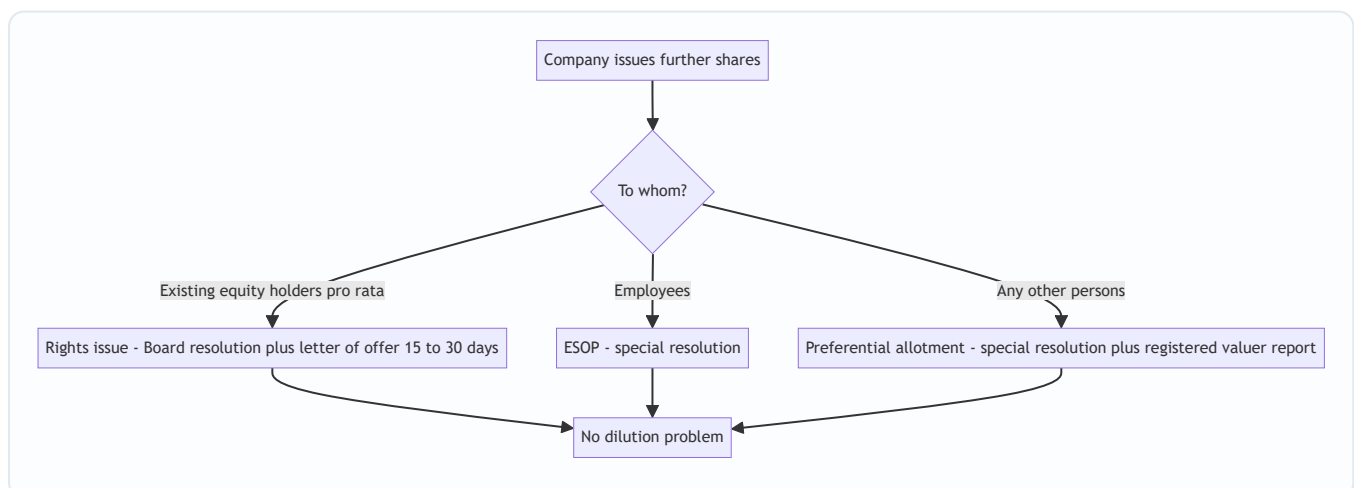


Figure 6.1 — The rights-issue decision path: existing owners first, outsiders only with what's left.

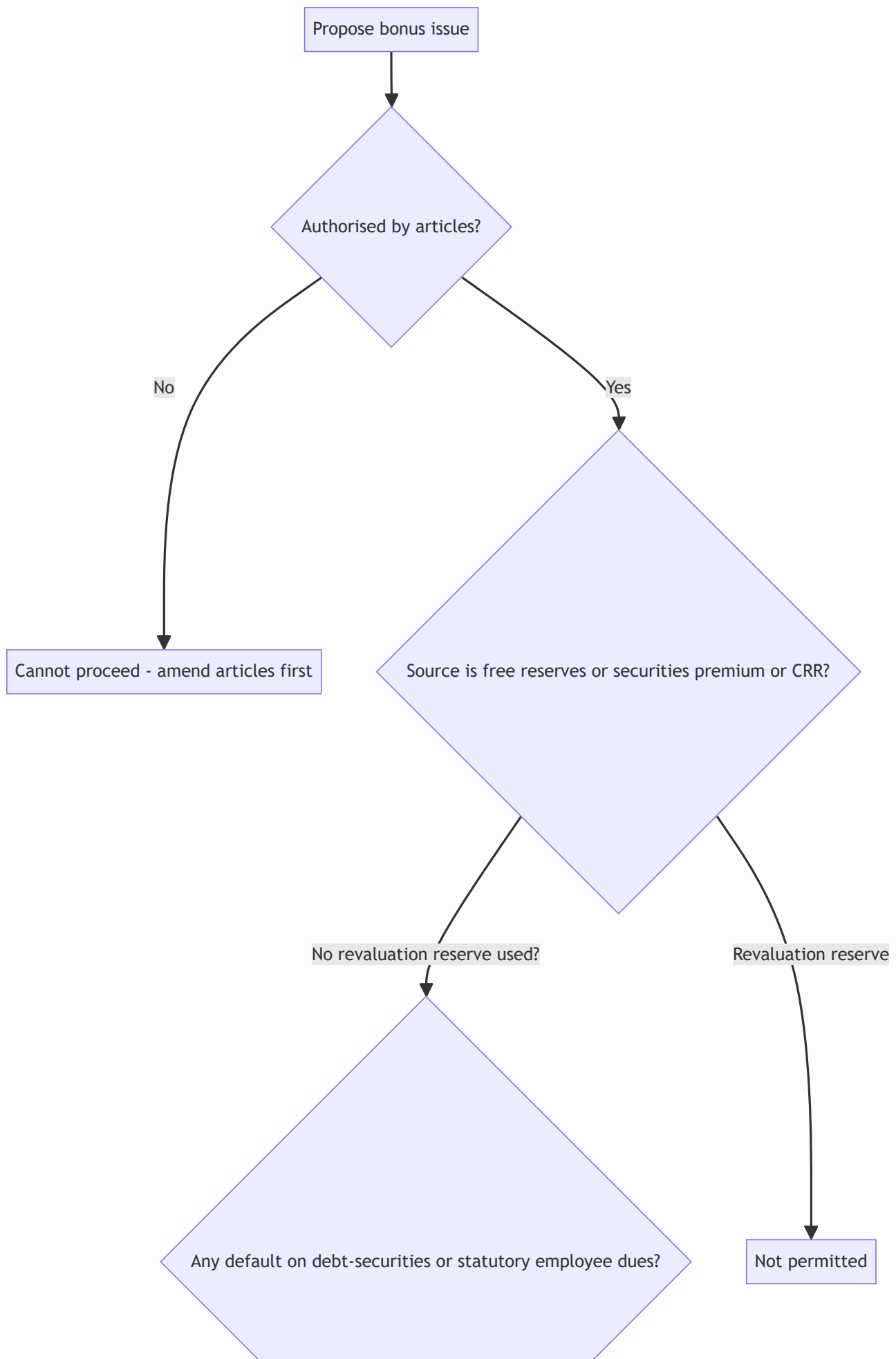
### Deciding which route a "further issue" takes (Sec 62):



*Figure 6.2 — Every further issue must pass through one of three gates; the outsider gate is guarded hardest.*

**Deposit-style eligibility test for issuing bonus shares (Sec 63):**





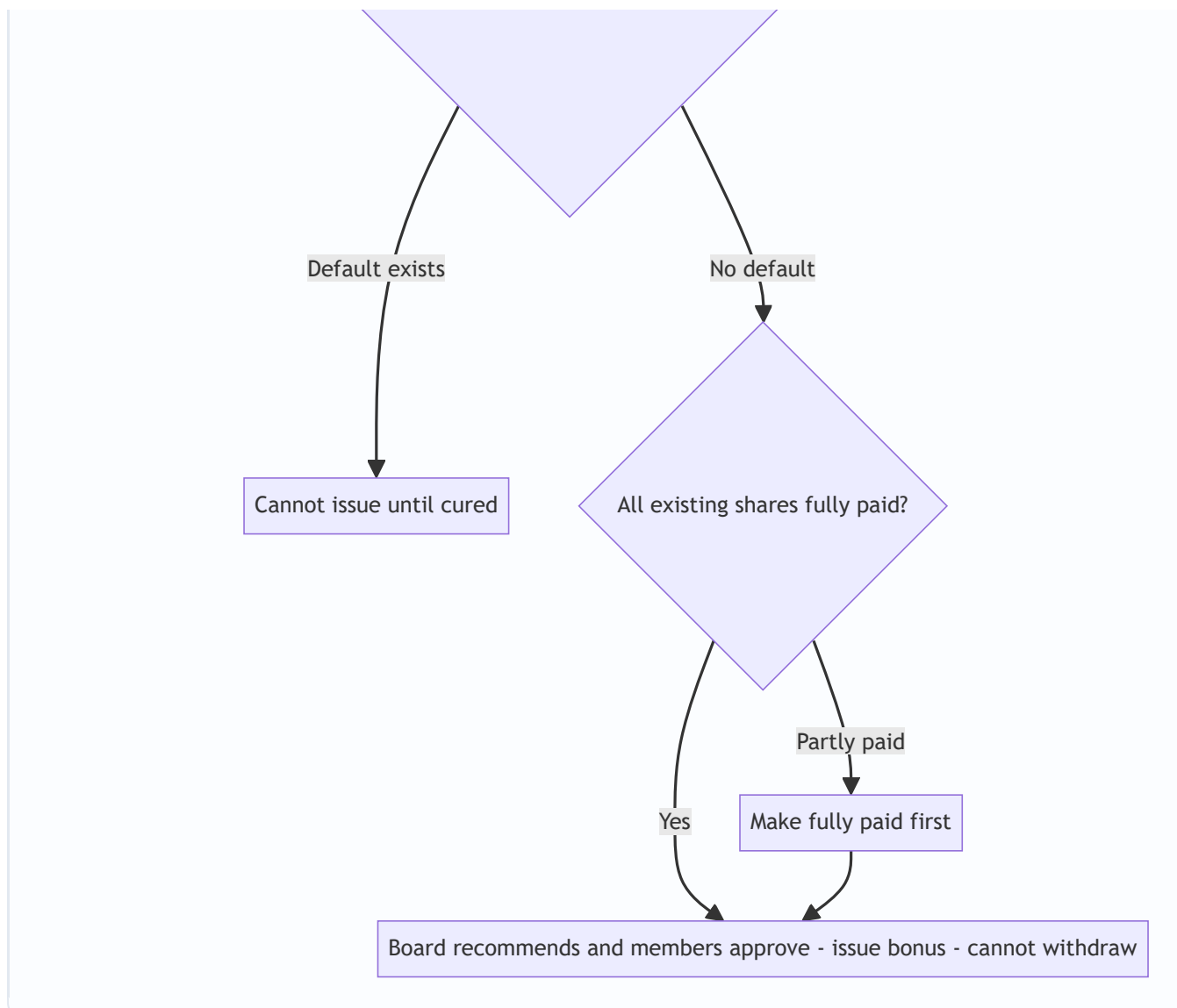


Figure 6.3 — The bonus-issue gate: real reserves, no defaults, fully-paid base.

#### Key forms & timelines:

| Event                                         | Form  | Timeline                                                    |
|-----------------------------------------------|-------|-------------------------------------------------------------|
| Alteration of capital (Sec 61/64)             | SH-7  | Within <b>30 days</b> of resolution                         |
| Instrument of transfer (Sec 56)               | SH-4  | Deliver within <b>60 days</b> of execution                  |
| Register transfer & deliver certificate       | —     | Within <b>1 month</b> of receipt                            |
| Deliver certificate on allotment (shares)     | —     | Within <b>2 months</b> of allotment                         |
| Deliver certificate on allotment (debentures) | —     | Within <b>6 months</b> of allotment                         |
| Rights offer open period                      | —     | <b>15 to 30 days</b>                                        |
| Sec 48 dissenting-minority Tribunal appeal    | —     | Within <b>21 days</b> ; minority $\geq$ <b>10%</b> of class |
| Return of allotment (Sec 39)                  | PAS-3 | Within <b>30 days</b> (confirm in Rules)                    |

## 7. Connections to Other Chapters & Laws

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- **Prospectus & Allotment (Chapter on Sec 23–42):** how shares/debentures are *offered* to the public (prospectus, private placement PAS-4, return of allotment PAS-3) precedes and feeds the capital rules here.
- **Buy-back (Sec 68) & Reduction (Sec 66):** the "capital *leaving*" side, cross-referenced in 4.14–4.15; both are pure Capital-Maintenance chapters.
- **Dividend (Sec 123–127):** dividend can be paid only out of profits, never capital — the same maintenance principle; securities premium and CRR are *not* free for dividend.
- **Charges (Sec 77–87):** secured debentures create charges that must be registered — links to Sec 71 secured debentures.
- **Deposits (Sec 73–76):** debentures vs deposits — a convertible/secured debenture may be excluded from "deposit"; watch the boundary.
- **Meetings & Resolutions (Sec 100–117):** ordinary vs special resolution thresholds power almost every action here (alteration = ordinary; sweat equity, preferential allotment, ESOP, reduction, conversion = special).
- **SEBI (ICDR) Regulations:** for listed companies, SEBI rules overlay the Companies Act on rights issues, preferential allotments and buy-backs.

## 8. Traps & Examiner Tricks

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- **Alteration (Sec 61) vs Reduction (Sec 66):** the classic trap. *Cancellation of unissued/untaken shares (diminution)* under Sec 61 is **not** a reduction and needs **no Tribunal** — only an ordinary resolution. True reduction (Sec 66) needs special resolution + **Tribunal + creditor hearing**. Ask: *did money go back to shareholders / did the buffer shrink?* If no → alteration; if yes → reduction.
- **Discount (Sec 53) vs Sweat Equity (Sec 54):** sweat equity *looks* like a discount but is lawful because non-cash value flows in. Don't call sweat equity "void."
- **Securities premium is NOT free profit:** examiners love "can premium be used to pay dividend?" — **No**. Only the closed Sec 52 list.
- **Sec 47 two-year trigger:** preference shareholders get *full* voting rights only after dividend unpaid **two years or more** — not on the first missed dividend.
- **Rights issue window is 15–30 days, minimum 15.** A trap answer says "at least 30." Also the offer must mention **renunciation**.
- **Sec 48 minority:** the dissenting minority threshold is  $\geq 10\%$  of the class and the appeal window is **21 days** — don't confuse with the 3/4 consent needed to *pass* the variation.
- **Preference shares must be redeemable within 20 years** (infrastructure exception) — irredeemable preference shares are **prohibited** (Sec 55). A trap offers "perpetual preference shares."
- **Debentures carry no voting rights (Sec 71(2)):** a convertible debenture gains voting rights only *after conversion into shares*, not before.
- **Bonus shares cannot be issued from revaluation reserve and cannot be withdrawn once announced** (Sec 63).
- **Private company relaxations:** Sec 43 & 47 (kinds/voting) can be excluded by a private company's MOA/AOA; Sec 62 rights-offer periods can be shortened with 90% consent; ESOP by ordinary resolution.

Watch the "private company" flag in the question.

- **Transfer vs Transmission:** transfer needs SH-4 (voluntary); transmission needs only proof (by law — death/insolvency). Examiners swap the definitions.
- **DRR / trustee trigger:** appointment of a Debenture Trustee is mandatory when debentures are offered to the **public or > 500 persons**, and the trustee must be **appointed before** the issue.

## 9. First-Principles Recap

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Two lamps light the whole chapter:

1. **Capital Maintenance** — capital must not leak back to shareholders and betray creditors. Hence: no discount (53), premium locked (52), preference redeemable with CRR (55), bonus only from real reserves (63), buy-back capped with CRR (68/69), reduction only under the Tribunal (66), DRR for debentures (71). Every one of these is "keep the buffer honest."
2. **Fair Dealing / Equality** — no control-group may enrich itself at another's expense. Hence: rights issue pre-emption (62), valuer-priced preferential allotment (62), class-consent for variation with a minority veto (48), full voting for defaulted preference (47), special resolution for sweat equity/ESOP (54, 62).

Every section number is just an address for one of these two ideas plugging one specific hole. Ask of any provision: *is this stopping capital from leaking out, or stopping one group from cheating another?* You will place it correctly every time.

## 10. Quick-Revision Sheet

| Section | Topic                     | Key number / limit                                                 | One-line why                          |
|---------|---------------------------|--------------------------------------------------------------------|---------------------------------------|
| 43      | Kinds of share capital    | Equity (voting/DVR) + Preference                                   | Name the two boxes                    |
| 46      | Share certificate         | Prima facie evidence                                               | Register integrity                    |
| 47      | Voting rights             | Preference full-vote if dividend unpaid <b>≥ 2 yrs</b>             | Broken bargain arms the class         |
| 48      | Variation of class rights | <b>3/4</b> consent; dissent <b>≥10%</b> appeal in <b>21 days</b>   | Only a class rewrites its own bargain |
| 52      | Securities premium        | Closed-list uses; <b>no dividend</b>                               | Premium is capital's cousin           |
| 53      | Discount prohibited       | Issue at discount <b>void</b>                                      | Don't fake the buffer                 |
| 54      | Sweat equity              | <b>Special resolution</b> ; not before <b>1 yr</b> of commencement | Real non-cash value in                |
| 55      | Preference redemption     | Redeem within <b>20 yrs</b> (infra exception); CRR                 | No perpetual priority debt            |
| 56      | Transfer/transmission     | SH-4 within <b>60 days</b> ; certificate in <b>1 month</b>         | Accurate, forgery-proof register      |
| 61      | Alteration of capital     | <b>Ordinary resolution</b> ; no Tribunal                           | Reshuffling, not returning            |
| 62      | Further issue / rights    | Offer <b>15–30 days</b> ; renunciation; valuer for outsiders       | Existing owners first                 |
| 63      | Bonus shares              | Not from revaluation reserve; <b>cannot withdraw</b>               | Capitalise only real reserves         |
| 64      | Notice of alteration      | <b>SH-7 within 30 days</b>                                         | Public register current               |
| 66      | Reduction of capital      | Special resolution + <b>Tribunal</b> + <b>creditors</b>            | The buffer actually shrinks           |
| 68/69   | Buy-back                  | <b>≤25%</b> ; debt <b>≤ 2:1</b> ; CRR; <b>1-yr</b> gap             | Capped return of capital              |
| 71      | Debentures / trustee      | Trustee if <b>&gt;500</b> persons; no voting; DRR                  | One watchdog + a real fund            |
| 72      | Nomination                | Nominee on death                                                   | Skip the succession fight             |

**Resolution cheat-line:** *Ordinary* → alteration (61), increase capital. *Special* → sweat equity (54), preferential allotment/ESOP/conversion (62/71), buy-back up to 25% (68), reduction (66). **Tribunal** → reduction (66), class-variation dissent (48), refusal of transfer (56), debenture default (71).

Where a specific percentage, DRR rate, or day-count is decisive in an exam, confirm the current figure against the latest ICAI study material and the Companies (Share Capital and Debentures) Rules — several thresholds (notably DRR) have been amended since 2013.



# Q&A — Share Capital & Debentures

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CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 43–72, read with the Companies (Share Capital and Debentures) Rules, 2014). Every question is followed immediately by a complete, section-cited model answer. Where a figure or rule is version-sensitive, it is flagged.

## Section A — Concept-Check Questions (with answers)

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**A1. What are the two kinds of share capital recognised for a company limited by shares?** Under **Section 43**, share capital is of two kinds: **(a) equity share capital** — either with voting rights, or with differential rights as to dividend/voting (DVR); and **(b) preference share capital**. Preference shares carry a preferential right to dividend and to repayment of capital on winding up. Companies producing a private company may be exempt from Sec 43 if its memorandum/articles so provide (exemption notification).

**A2. What is the legal nature of a share? Is it the same as a share certificate?** Per **Section 44**, shares/debentures/other interest of a member are **movable property**, transferable in the manner provided by the articles. A share is a bundle of rights (a chose-in-action); the **share certificate** issued under **Section 46** is only *prima facie* evidence of title, not the share itself.

**A3. Can a company issue shares at a discount?** No. **Section 53** prohibits issue of shares at a discount; any share issued at a discount is **void**. Exceptions: **sweat equity shares** under **Section 54**, and (per Section 53(2A)) shares issued at a discount to creditors on conversion of debt into shares under a statutory resolution/restructuring scheme. Penalty: company and officers liable; refund with interest at 12% p.a.

**A4. What is the "securities premium account" and can it be used to pay dividends?** Under **Section 52**, premium received on issue of securities is credited to the **Securities Premium Account**, treated as if it were paid-up capital for reduction purposes. Permitted uses: issue of **bonus shares**, writing off preliminary expenses, writing off share/debenture issue expenses & commission/discount, providing premium payable on redemption of preference shares/debentures, and **buy-back** under Section 68. It **cannot** be distributed as ordinary dividend.

**A5. Within what period must redeemable preference shares be redeemed?** Under **Section 55**, a company cannot issue **irredeemable** preference shares. Redeemable preference shares must be redeemed **within 20 years** of issue. Exception: companies engaged in **infrastructure projects** may issue preference shares redeemable beyond 20 years (up to 30 years, redeeming a minimum 10% p.a. from year 21 at holder's option, per the Rules).

**A6. Out of what sources may preference shares be redeemed, and what is the CRR?** Section 55 permits redemption only out of **(a) profits available for dividend**, or **(b) proceeds of a fresh issue** of shares made for redemption. Only **fully paid-up** shares may be redeemed. Where redeemed out of profits, a sum equal to the nominal amount redeemed must be transferred to the **Capital Redemption Reserve (CRR)** (**Section 69**), which is treated as paid-up capital and can be used to issue bonus shares.

**A7. Does a preference shareholder have voting rights?** Under **Section 47(2)**, a preference shareholder votes only on resolutions **directly affecting** the rights attached to preference shares, and on winding up/repayment/reduction of capital. However, if **dividend is in arrears for two years or more**, preference shareholders acquire voting rights on **every resolution**.

**A8. What is the debenture redemption reserve, and can debentures carry voting rights?** Under **Section 71**, a company **cannot** issue debentures carrying voting rights. Where required, it must create a **Debenture Redemption Reserve (DRR)** out of profits available for dividend and, per the Rules, also invest/deposit a specified amount for redemption. *Flag:* the DRR percentage requirements have been amended repeatedly by the Companies (Share Capital and Debentures) Rules; listed companies and NBFCs/HFCs are largely exempt from DRR — verify the current Rule 18 threshold before quoting a percentage in the exam.

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## **Section B — Applied / Scenario Questions (ICAI style: Facts → Law → Analysis → Conclusion)**

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**B1. Rights issue vs. bypassing existing shareholders.** *Facts:* ABC Ltd (unlisted) wants to raise ₹50 lakh by issuing fresh equity. Two directors propose allotting all new shares to a friendly investor, ignoring existing members. *Law:* **Section 62(1)** — where a company proposes to increase subscribed capital by further shares, they must **first be offered to existing equity shareholders** in proportion to paid-up capital (**rights issue**), by notice giving **not less than 15 and not more than 30 days**, with a right of renunciation. Shares may go to outsiders only via **preferential allotment (Sec 62(1)(c)) by special resolution**, ESOP (special resolution / ordinary for private co. per exemption), or after the rights offer lapses. *Analysis:* Directly allotting to an outsider without a rights offer or the Sec 62(1)(c) special-resolution route violates pre-emption rights. *Conclusion:* The proposal is invalid unless ABC Ltd either makes a rights offer under Sec 62(1)(a), or passes a **special resolution** for preferential allotment under Sec 62(1)(c) read with Rule 13 (with a registered valuer's report).

**B2. Bonus issue funded from revaluation reserve.** *Facts:* XYZ Ltd wants to issue bonus shares using a surplus created by revaluing its factory building. *Law:* **Section 63** permits bonus shares only out of **free reserves, securities premium account, or capital redemption reserve**. It expressly bars capitalising **reserves created by revaluation of assets**. Conditions: authorised by articles, recommended by Board, approved in general meeting, no default on deposits/debt interest, all partly-paid shares made fully paid-up, and the bonus is not in lieu of dividend. *Analysis:* Revaluation reserve is unrealised and specifically excluded. *Conclusion:* The bonus issue from revaluation reserve is **not permissible** under Section 63(2). XYZ must use free reserves/securities premium/CRR instead.

**B3. Buy-back exceeding limits.** *Facts:* PQR Ltd (paid-up equity ₹10 crore, free reserves ₹6 crore) proposes to buy back shares worth ₹5 crore by a Board resolution alone. Its debt after buy-back would be ₹34 crore. *Law:* **Section 68** — buy-back must be **≤ 25% of aggregate paid-up capital + free reserves** (and in a year, **≤ 25% of paid-up equity capital**). Post-buy-back **debt-equity ratio must not exceed 2:1**. A **Board resolution** authorises buy-back up to **10%** of paid-up equity + free reserves; beyond that up to **25%** needs a **special resolution**. *Analysis:* 10% of (10+6) = ₹1.6 crore is the Board-only ceiling; ₹5 crore exceeds it, so a special resolution is required. Also 25% ceiling = ₹4 crore, so ₹5 crore breaches the absolute limit. Post-buy-back equity ≈ ₹11 crore; debt ₹34 crore gives ~3:1, breaching 2:1. *Conclusion:* The buy-back is **invalid** on two counts — it exceeds the 25% limit and violates the 2:1 debt-equity ceiling under Section 68.

**B4. Financial assistance for purchase of own shares.** *Facts:* A public company lends money to an employee to buy shares in its holding company. *Law:* **Section 67** prohibits a public company (and its subsidiaries) from giving, directly or indirectly, **financial assistance** for purchase of its own shares or those of its holding company. Exceptions: lending by a banking company in ordinary course; a scheme for purchase of fully-paid shares held in trust for employees; and loans to employees (other than directors/KMP) to buy fully-paid

shares up to their salary/wages for six months. *Analysis:* If the loan falls within the employee-scheme exception and the employee is not a director/KMP and the shares are fully paid, it is permitted; otherwise it is barred. *Conclusion:* Permissible **only** within the Section 67(3) exceptions; a general loan for this purpose is prohibited.

**B5. Sweat equity and lock-in.** *Facts:* A start-up wishes to issue sweat equity to its technical founder for know-how, one month after incorporation. *Law:* **Section 54** allows sweat equity to directors/employees for know-how/IP/value additions, subject to a **special resolution**, and the Rules. The company must be carrying on business — sweat equity may be issued only after the class of shares has been issued; the Rules also cap issuance and prescribe a **lock-in of 3 years**. *Analysis:* Sweat equity requires a special resolution specifying number, current market price, consideration and class; issuance is subject to Rule limits and lock-in. *Conclusion:* Permissible under Section 54 if a special resolution is passed and Rule conditions (limits, valuation, lock-in) are met.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. Explain the procedure and grounds for reduction of share capital under Section 66.** Reduction of capital under **Section 66** requires: (i) authorisation by the **articles**; (ii) a **special resolution**; and (iii) confirmation by the **Tribunal (NCLT)**. Modes: (a) extinguishing/reducing liability on unpaid capital; (b) cancelling paid-up capital lost or unrepresented by assets; (c) paying off excess paid-up capital. The Tribunal gives notice to the **Central Government, ROC, SEBI (for listed cos.) and creditors**, considers representations, and may confirm on such terms as it thinks fit. No reduction is allowed if the company is in **arrears of deposits/interest**. The order and minute are registered with the ROC; the reduced capital is then recorded. Reduction is distinct from **buy-back (Sec 68)** and **diminution of unissued capital (Sec 61)**, neither of which needs NCLT confirmation.

**C2. Distinguish between shares and debentures.** A **share** (Sec 43/44) represents **ownership**; the holder is a **member** with voting rights (Sec 47) and receives **dividend** out of profits (payable at the company's discretion). A **debenture** (Sec 71) is an **acknowledgement of debt**; the holder is a **creditor** with **no voting rights** (Sec 71(2)), entitled to **interest** payable whether or not profits are earned, and ranking ahead of shareholders on winding up. Shares generally cannot be issued at a discount (Sec 53); debentures can. Debentures may be secured/convertible; conversion into shares requires a **special resolution**.

**C3. Write a note on calls in advance and variation of shareholders' rights.** **Calls in advance (Section 50):** A company may, if authorised by its articles, **accept from a member the whole or part of the amount remaining unpaid** even though it has not been called up. The member is **not entitled to voting rights** in respect of the money so paid until it is called up. Interest may be paid on calls in advance as per the articles. **Variation of rights (Section 48):** Where a company has different classes of shares, the rights of any class may be varied with **consent of holders of  $\geq 3/4$  in nominal value** of that class (in writing) **or by a special resolution** of that class. Dissenting holders of **not less than 10%** who did not consent may apply to the **Tribunal** to have the variation cancelled within 21 days; the Tribunal's decision is binding.

**C4. Explain the provisions relating to issue of Debenture Trustees and the offer of debentures.** Under **Section 71**, a company may issue debentures with an option to convert (conversion needs special resolution). Where debentures are offered to the **public or to more than 500 persons**, the company must appoint a **debenture trustee** before issue and execute a **debenture trust deed** to protect debenture-holders' interests; a trustee must not have conflicting interests. The company must create a **DRR** out of

profits available for dividend and redeem debentures per the terms. If the company fails to redeem/ pay interest, debenture-holders/trustee may apply to the **Tribunal**, which may direct redemption with interest. *Flag:* exact DRR/investment percentages are governed by Rule 18 (amended several times) — confirm current text.

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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**D1.** A company issues equity shares at a discount. The issue is: A) Valid B) Voidable C) **Void** D) Valid with CG approval **Answer: C** — Section 53(1)/(2) declares any share issued at a discount void (except Sec 54 sweat equity / Sec 53(2A) conversion).

**D2.** Redeemable preference shares (non-infrastructure) can be redeemed after a maximum of: A) 10 years B) **20 years** C) 30 years D) No limit **Answer: B** — Section 55(2): redemption within 20 years.

**D3.** In a rights issue under Section 62(1)(a), the offer notice period is: A) 7–15 days B) **15–30 days** C) 21–30 days D) 30–60 days **Answer: B** — Section 62(2): not less than 15 nor more than 30 days, with right of renunciation.

**D4.** Bonus shares may NOT be issued out of: A) Free reserves B) Securities premium C) Capital redemption reserve D) **Revaluation reserve** **Answer: D** — Section 63(2) bars capitalising revaluation reserves.

**D5.** Preference shareholders get voting rights on every resolution when dividend is in arrears for: A) 1 year B) **2 years or more** C) 3 years D) 5 years **Answer: B** — Section 47(2) proviso.

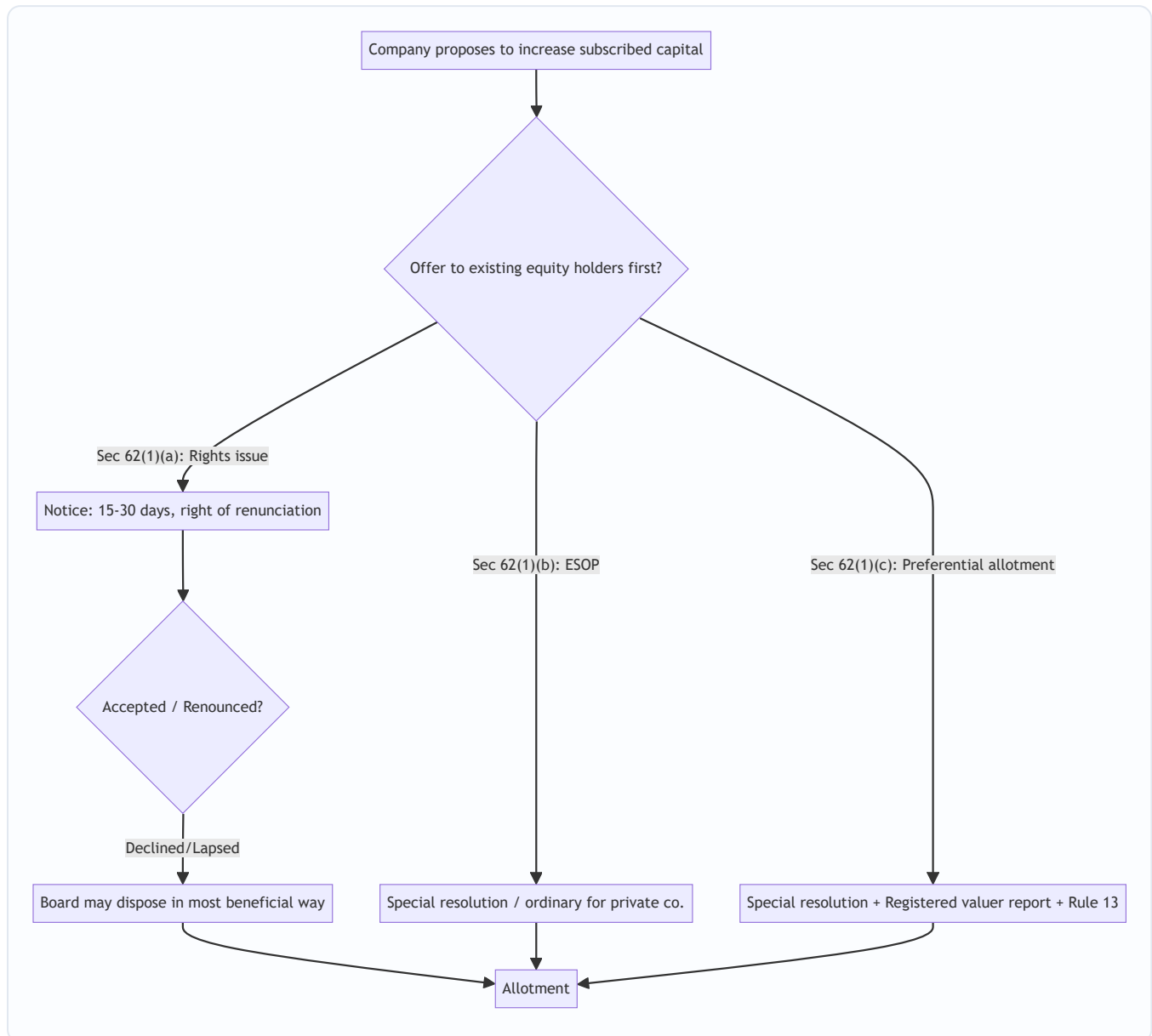
**D6.** Buy-back authorised by only a Board resolution is limited to: A) 5% B) **10%** C) 15% D) 25% of paid-up equity + free reserves **Answer: B** — Section 68(2)(b) proviso; beyond 10% up to 25% needs special resolution.

**D7.** *Case scenario:* Sunrise Ltd's articles are silent on reduction of capital, yet the Board passes a special resolution and reduces capital without approaching NCLT. This is: A) Valid B) **Invalid — needs articles authorisation + NCLT confirmation** C) Valid if ROC informed D) Valid if creditors consent **Answer: B** — Section 66 requires authorisation by articles, special resolution, and Tribunal confirmation.

**D8.** The Capital Redemption Reserve created under Section 69 may be used for: A) Paying dividend B) **Issuing fully paid bonus shares** C) Writing off revaluation loss D) Redeeming debentures **Answer: B** — CRR is treated as paid-up capital and may be applied for bonus shares.

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## Mermaid — Decision Flow: Further Issue of Share Capital (Section 62)



### One-Line Section Map (quick revision)

Sec 43 kinds of capital · 44 shares = movable property · 46 certificate · 47 voting rights · 48 variation of rights · 50 calls in advance · 52 securities premium · 53 no discount · 54 sweat equity · 55 redeemable preference (20 yrs) · 62 further issue · 63 bonus · 66 reduction (NCLT) · 67 financial assistance bar · 68 buy-back (25% / 2:1 / 10% board) · 69 CRR · 71 debentures (no voting, DRR, trustee >500). Rules: Companies (Share Capital and Debentures) Rules, 2014.

*Uncertainty flags: DRR percentages under Rule 18 and infrastructure preference-share redemption schedule are amendment-sensitive — verify against the latest Rules before the exam.*

# Chapter 05 — Acceptance of Deposits

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Companies Act 2013 — Sections 73 to 76A, read with the Companies (Acceptance of Deposits) Rules, 2014. Cross-references to Sections 2(31), 2(85), 179, 42, 62 and the CSR/Audit chapters.

## 1. The Problem — How Depositors Got Burned

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Imagine you run a company. You need money. You have three honest options: sell shares (dilute ownership), borrow from a bank (face collateral checks and interest), or issue debentures (formal, rated, secured). All three have a gatekeeper who asks hard questions.

Now imagine a fourth option that has **no gatekeeper**: put out a newspaper advertisement — *"Invest with us! 15% interest, far above the bank's 7%!"* — and collect money directly from thousands of ordinary members of the public. No collateral. No credit check on you. No trustee watching. Just cash flowing in from schoolteachers, retirees, and small shopkeepers who saw a fat interest rate and believed a glossy promise.

This is a **deposit**: money a company borrows from the public (or its members) *without* the discipline that shares, bank loans, and secured debentures impose.

Here is exactly how this cheated people, historically and repeatedly:

- **The Ponzi trap.** A company with a weak business could offer 15% not because it earned 15%, but because it paid old depositors with new depositors' money. The moment fresh deposits slowed, the pyramid collapsed and the last lakh of depositors lost everything. India saw this again and again with "finance companies" and chit-fund-style operators.
- **The unsecured gap.** A bank lends against collateral; if the borrower defaults, the bank seizes assets. A public depositor gets *nothing* — no charge on assets, no priority in liquidation. They stood behind secured creditors and got the crumbs.
- **The information asymmetry.** The company knew it was insolvent; the depositor, dazzled by the rate, knew nothing. There was no rating, no disclosure, no independent watchdog.
- **The diversion.** Money raised "for the business" was quietly siphoned to promoters' pet projects or personal accounts, leaving nothing to repay.
- **The runaway maturity mismatch.** Companies took *short-term* deposits (repayable in months) and sank them into *long-term* illiquid assets. When deposits matured, there was no cash to repay — a liquidity death spiral.

The abuse is simple to state: **a company can collect the public's savings with a promise, spend or lose the money, and leave the saver with a worthless IOU.** Deposit regulation exists to make that abuse hard, expensive, and — where it still happens — punishable and reversible.

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## 2. The Core Idea — Trust, But Ring-Fence

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The protective principle is this:

**If a company wants to hold the public's money, it must first prove it is safe to hold it, then keep provable safety nets in place, then honour repayment on the dot — and if it defaults, the law claws the money back and punishes the people responsible.**

Deposit law is not a ban. It is a **graduated permission system**. The riskier the source of money (strangers vs. your own members vs. related parties), the more safeguards the law bolts on. And critically, the safeguards are **provable and independent** — a Deposit Repayment Reserve you must actually fund, insurance you must actually buy, a rating an outside agency must actually give, a return you must actually file. The company cannot merely *say* it is safe; it must *demonstrate* safety through instruments other people control.

Three ideas run through the whole chapter:

1. **Members are trusted more than strangers.** Your own shareholders chose to be part of the company and have some voice; the anonymous public has neither. So most private companies can take deposits from members with light conditions, but only strong public companies ("eligible companies") may touch the general public — and even then, heavily fenced.
2. **Every promise must have a matching provision.** Promise to repay in 3 years? Then set aside cash now (the reserve). Say the money is safe? Then insure it. Say you're creditworthy? Then get rated by someone independent.
3. **Default is not just a private breach — it is a public wrong.** Because the victims are diffuse and helpless, the State steps in: the Tribunal can order repayment, and directors face fines and jail.

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### 3. Why It's Built This Way — The Logic of Each Safeguard

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Before the technical grind, internalise *why* each fence exists. If you understand the fear each rule answers, you will never confuse the rules.



| The fear (abuse)                                       | The safeguard that answers it                                                                      | Section / Rule      |
|--------------------------------------------------------|----------------------------------------------------------------------------------------------------|---------------------|
| Company spends the money and has nothing at maturity   | <b>Deposit Repayment Reserve Account</b> — park liquid funds equal to a slice of maturing deposits | 73(2)(c)            |
| Depositor loses everything on default                  | <b>Deposit insurance</b> (where notified) — an insurer pays out                                    | 73(2)(d)            |
| A weak company disguises itself as strong              | <b>Credit rating</b> by an approved agency, renewed yearly                                         | 76 + Rules          |
| Depositor invests blind, no disclosures                | <b>Circular / advertisement</b> with financials, credit rating, defaults history                   | 73(2)(a), Rules     |
| Company welshes on old promises then raises more       | Must <b>certify no subsisting default</b> before accepting fresh deposits                          | 73(2)(e)            |
| Money vanishes to promoters                            | <b>Charge / trustee</b> for secured deposits; audited use of funds                                 | Rules               |
| Public has no recourse when default happens            | <b>Tribunal power to order repayment; penalties; officer liability</b>                             | 73(4), 74, 75, 76A  |
| Companies dodge the rules by calling it something else | Broad <b>definition of "deposit"</b> with a closed list of exemptions                              | 2(31), Rule 2(1)(c) |

Notice the architecture: **define widely, exempt narrowly, then fence what remains**. That is the entire chapter in one line.

## 4. Full Technical Content — Section by Section, Each With Its Why

### 4.1 What is a "deposit"? — Section 2(31) + Rule 2(1)(c)

**Section 2(31)** gives the deliberately broad definition:

"Deposit" **includes any receipt of money by way of deposit or loan or in any other form**, by a company, but does **not** include such categories as may be prescribed in consultation with the RBI.

**Why so broad?** Because the cheat was always to *rename* the money — "it's not a deposit, it's an advance / a loan / a subscription / a security". By saying deposit means money received "in any other form", the law defeats the disguise. Substance over label.

The actual carve-outs live in **Rule 2(1)(c) of the Companies (Acceptance of Deposits) Rules, 2014**, which lists **exempted receipts** — money that is *not* treated as a deposit. Learn these as a family, because "is X a deposit?" is the single most common exam question.

**Exempted receipts (NOT deposits) — the logic:** each item is money whose *source already has its own protection*, so deposit rules would be redundant.



| Exempted receipt (not a deposit)                                                                                                                                                                                                               | Why it's exempt                                                          |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------|
| Money from <b>Central/State Government</b> , or guaranteed by them; money from foreign govts/banks/multilateral bodies                                                                                                                         | The State/multilateral is not a vulnerable public saver                  |
| <b>Loans from banks / banking companies / co-op banks</b>                                                                                                                                                                                      | Banks are their own regulated gatekeepers                                |
| <b>Loans from Public Financial Institutions, insurance companies, scheduled banks</b>                                                                                                                                                          | Sophisticated regulated lenders                                          |
| <b>Commercial paper</b> or other instruments per RBI guidelines                                                                                                                                                                                | Already RBI-regulated                                                    |
| Inter-corporate: <b>amount received from another company</b>                                                                                                                                                                                   | Company-to-company; the lender is not a helpless individual              |
| <b>Subscription money for securities</b> (share application money) pending allotment — <i>provided securities are allotted within 60 days</i> ; if not allotted and not refunded within 15 days thereafter, it <b>becomes a deposit</b>        | Genuine capital-raising, but with an anti-parking clock (see trap below) |
| Money from a <b>director</b> — if the director gives a <b>written declaration that it is not from borrowed funds</b>                                                                                                                           | A director has skin in the game and internal knowledge                   |
| Money from a <b>member of a private company</b> / relative of director (with same non-borrowed declaration for relatives per amendments)                                                                                                       | Insiders, not the anonymous public                                       |
| <b>Secured / listed</b> non-convertible debentures with a charge or a trustee                                                                                                                                                                  | Debenture regime already protects them                                   |
| <b>Non-interest-bearing security deposit / advance</b> for supply of goods or provision of services — <i>if appropriated within 365 days</i> ; if the company has no legal right to receive it or fails to supply, it <b>becomes a deposit</b> | Genuine trade advance, with an anti-parking clock                        |
| <b>Advance against immovable property</b> under an agreement, to be adjusted against the property                                                                                                                                              | Genuine business transaction                                             |
| <b>Employee security deposit</b> not exceeding the employee's annual salary, under a non-interest-bearing contract                                                                                                                             | Genuine employment arrangement                                           |
| <b>Promoters' unsecured loans</b> brought in pursuant to a <b>stipulation by a lending bank/FI</b> (mandatory promoter contribution)                                                                                                           | Forced by the lender; exists only while the bank loan subsists           |
| <b>Startup</b> money: up to Rs. 25 lakh or more by a convertible note in a single tranche (recognised startups)                                                                                                                                | Encourage genuine early-stage funding                                    |

**Memory hook for the clocks:** *Shares 60/15, Trade advance 365.* Share application money must be allotted in **60** days, refunded in **15** after that, else it's a deposit. A trade/service advance must be adjusted in **365** days, else it's a deposit. Money parked "temporarily" past the clock is the classic disguised deposit.

**Confirm exact list against the current Rule 2(1)(c) in ICAI material / the bare Rules** — the list has been amended several times and ICAI tests the precise wording.

## 4.2 The three-lane structure: who may take deposits, and from whom

This is the spine of the chapter. There are **three lanes**:

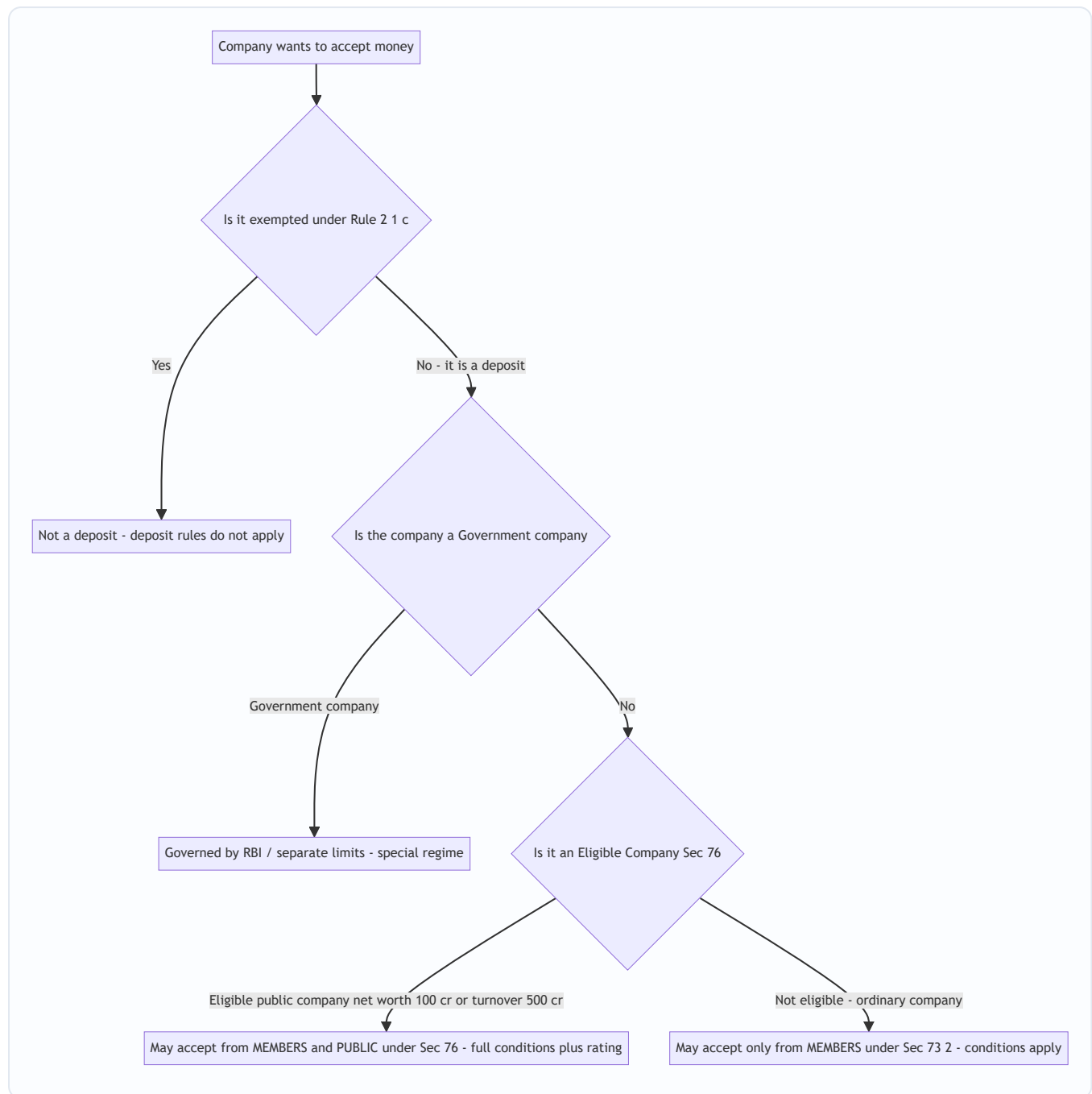


Figure 4.2 — The deposit-eligibility decision tree: exempt first, then classify the company, then the source.

### Section 73 — the general rule and the default lane (deposits from members).

- **Section 73(1):** A company **cannot invite, accept or renew deposits from the public** except as provided in this Chapter. This is the baseline prohibition — the public is off-limits unless you earn the right.
- **Section 73(2):** A company may, after passing a **resolution in general meeting** and subject to the Rules, accept deposits **from its members** on the conditions listed below. This lane is open to companies generally (both private and public that are not "eligible companies"), because members are trusted more than strangers.

### Section 76 — the special lane (eligible companies → public).

- Only an "**eligible company**" may accept deposits from the **general public**. An eligible company is a **public company** having:
  - **net worth of not less than Rs. 100 crore, or**
  - **turnover of not less than Rs. 500 crore,**
  - *and* which has passed a **special resolution** in general meeting and filed it with the Registrar (a special resolution because inviting the public is a graver act than inviting members).
- Section 76 applies **all the Section 73(2) conditions** to eligible companies, **plus** mandatory **credit rating** and (for the invitation) more stringent limits.

**Memory hook:** "100 or 500 lets you touch the public." Net worth **100** crore **OR** turnover **500** crore = eligible. Below that, members-only.

**Private companies — a lighter members' lane.** A private company may accept deposits from its members. The general ceiling is that members' deposits plus paid-up-capital-linked limits apply, but **certain private companies** (e.g., those meeting conditions on borrowings, no default, being a startup for its first 5 years, or a "specified IFSC" / small company category per the Rules) may accept from members **up to 100% of paid-up capital + free reserves + securities premium** and with relaxed compliance — *confirm the exact eligibility conditions and the exemption notification in ICAI material.*

### 4.3 The limits (thresholds) — Rules under Sections 73 & 76

The Rules cap **how much** can be taken, tying the cap to the company's own financial strength (paid-up capital + free reserves + securities premium account). The logic: *you may borrow from savers only in proportion to your own buffer to absorb losses.*

| Lane                                                              | Ceiling on deposits (of paid-up capital + free reserves + securities premium)            |
|-------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <b>Ordinary / non-eligible company — from members</b> [Rule 3(3)] | Up to <b>35%</b>                                                                         |
| <b>Eligible company — from members</b> [Rule 3(4)]                | Up to <b>10%</b>                                                                         |
| <b>Eligible company — from public</b> [Rule 3(4)]                 | Up to <b>25%</b>                                                                         |
| <b>Eligible Government company — from public</b>                  | Up to <b>35%</b>                                                                         |
| <b>Exempt private companies (qualifying)</b>                      | Up to <b>100%</b> of paid-up capital + free reserves + securities premium (members only) |

**Memory hook:** *Eligible company splits its 35 into 10 + 25.* The **10%** slice is reserved for its own **members**, the **25%** slice for the **public** — total 35%, mirroring the ordinary company's single 35% members' bucket. Government companies get the full **35%** even from the public because there is implicit sovereign backing.

**Tenure:** A company can accept a deposit for a term of **6 months minimum to 36 months maximum**. *Why the floor and ceiling?* The **6-month floor** stops companies from running quasi-current-account demand

deposits (that's banking, which needs an RBI licence). The **36-month ceiling** stops indefinite locking-in of savers' money. (A short-term deposit down to **3 months** is permitted only to meet short-term needs and capped at **10% of paid-up capital + free reserves** — the narrow exception, not the rule.)

**Interest / brokerage:** Cannot exceed the maximum rate prescribed by the **RBI** for NBFC deposits. *Why?* The above-market rate was the Ponzi bait; capping it removes the incentive to lure savers into reckless companies.

#### 4.4 The conditions (the safety nets) — Section 73(2)(a)–(e) and Section 76

Every company accepting deposits must satisfy **all** of these. Learn them as **five promises, each with its provable proof**:



Figure 4.4 — The chain of conditions: disclose, file, reserve, insure, certify — then repay.

**(a) Section 73(2)(a) — Circular to members.** Issue a **circular** (for public offers, an **advertisement** in newspapers) showing the company's **financial position, credit rating (if any), total deposits, and the amount due on account of deposits accepted earlier**. *Why:* directly attacks the **information-asymmetry** abuse. The saver now sees the company's real health and its track record of past deposits before parting with money.

**(b) Section 73(2)(b) — File the circular with the Registrar.** File a copy of the circular **at least 30 days before** issuing it. *Why:* creates an **independent, dated public record**, so the company cannot later deny what it promised, and the regulator can spot dodgy offers early.

**(c) Section 73(2)(c) — Deposit Repayment Reserve Account (DRRA).** On or **before 30th April** each year, deposit into a **separate bank account** (scheduled bank) a sum **not less than 20%** of the deposits **maturing during the following financial year**, and keep it **only** for repaying those deposits. *Why:* this is the heart of depositor protection — it directly attacks the **"spent it all, nothing at maturity"** abuse. Real cash, ring-fenced, cannot be touched for anything except repayment. (*Note: originally 15%; increased to 20% by amendment. Confirm the current figure and date in ICAI material.*)

**Memory hook:** "20 by April, for next year's maturity." Twenty percent, deposited by the thirtieth of April, covering deposits maturing in the coming financial year.

**(d) Section 73(2)(d) — Deposit insurance.** Provide **deposit insurance** in the manner and to the extent prescribed. *Why:* the last line of defence — if the company still fails, the insurer pays the saver. (*In practice this requirement has repeatedly been deferred/relaxed because no viable insurance product emerged. Know the section, and flag that its operation has been postponed — confirm current status in ICAI material.*)

**(e) Section 73(2)(e) — Certify no subsisting default.** Certify that the company **has not defaulted** in the repayment of deposits (or interest) accepted earlier — and if there was a default, that **5 years have elapsed** since it was made good. *Why:* stops the **serial defaulter** from raising fresh money to plug old holes. A company that already broke a promise must clean its slate before making new ones.

**Additional condition — security.** Deposits may be **secured or unsecured**. If secured, the company must create a **charge on its assets** within the prescribed time and appoint a **trustee for depositors** (execute a

deposit trust deed at least 7 days before issuing the circular). Unsecured deposits must be **clearly stated as unsecured** in every document. *Why:* attacks the "**no recourse on default**" and **information-asymmetry** abuses simultaneously — a trustee independently watches over the depositors' interest, and savers know exactly whether they have security.

**For eligible companies (Section 76) — extra condition: Credit rating.** Obtain **credit rating every year** from a recognised credit rating agency, disclose it in the circular/advertisement, and ensure the rating is **not below the minimum prescribed**. *Why:* the public cannot assess a company itself, so an **independent professional gatekeeper** grades it, yearly, so a deteriorating company is caught before it collects more money.

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#### 4.5 Repayment, deposit trustee, register, and returns

- **Register of deposits:** The company must maintain, at its registered office, a **register of deposits** with all particulars, preserved for **8 years** from the financial year in which the latest entry is made. *Why:* an auditable trail so no deposit can be "forgotten" or hidden.
  - **Return of deposits — Form DPT-3:** File a **return of deposits** with the Registrar **on or before 30th June** every year, giving the position as on **31st March**, duly audited. DPT-3 also captures **money received that is not a deposit** (exempted receipts / outstanding loans) — the MCA uses it to keep sight of *all* borrowings. *Why:* annual, audited, independent reporting — the regulator sees the true deposit exposure and can act before a collapse.
  - **Circular filing — Form DPT-1** (circular/advertisement); **Deposit trust deed — Form DPT-2.**
- 

#### 4.6 Consequences of default — Sections 73(4), 74, 75, 76A

This is where the law bares its teeth. Because the victims are the diffuse public, the sanctions are unusually harsh.

**Section 73(4) — depositor's direct remedy.** If the company **fails to repay** the deposit or interest on the due date, the **depositor may apply to the Tribunal (NCLT)** for an order directing repayment. *Why:* gives the helpless saver a fast, direct route to a court order without suing for breach of contract from scratch.

**Section 74 — repayment of deposits accepted before the 2013 Act.** Deposits that existed under the *old* Companies Act 1956 regime had to be dealt with: file a **statement** of such deposits with the Registrar and **repay** them within the time the Tribunal allows (as amended, broadly within the remaining tenure or as extended). The Tribunal can grant time to a company that will suffer if forced to pay immediately, balancing depositor protection against company survival. *Why:* a transition bridge so the new law's protections reach *old* depositors too, without instantly bankrupting companies mid-tenure.

**Section 75 — damages for fraud.** Where a company **fails to repay** and it is proved the deposits were accepted with **intent to defraud** or for a fraudulent purpose, **every officer responsible** becomes **personally liable, without limitation of liability**, for all losses or damages suffered by the depositors — *in addition* to the Section 447 (fraud) punishment. *Why:* pierces the corporate veil for the worst abuse. When the money was taken by deceit, the individuals — not just the shell company — pay the depositors from their own pockets. This is the anti-Ponzi hammer.

**Section 76A — punishment for contravention (the omnibus penalty).** If a company accepts or invites deposits in contravention, or fails to repay within the allowed time:

- The **company** shall pay a **fine of not less than Rs. 1 crore or twice the amount of deposits accepted, whichever is lower, up to Rs. 10 crore; plus** the amount due to depositors **with interest; and**
- **every officer in default** is punishable with **imprisonment up to 7 years and/or fine of not less than Rs. 25 lakh up to Rs. 2 crore.**
- If it is proved the officer acted with **intent to deceive** the company, shareholders, depositors or creditors, the officer also attracts **Section 447** (fraud).

**Memory hook for 76A:** "1 to 10 for the company, 25 lakh to 2 crore + up to 7 years for the officer." The company's floor fine is the **larger** of a real deterrent; the officer faces **jail**, because deposit fraud steals from the most vulnerable.

*Why so severe?* Ordinary contract breach hurts one counterparty who chose the deal; deposit default hurts thousands of unsophisticated savers who trusted a public promise. The penalty scales with the social harm.

## 5. Applied Scenarios — Reasoning to the Right Legal Outcome

**Scenario 1 — The "advance" that overstayed.** *Facts:* Zenith Pvt Ltd receives Rs. 40 lakh from a customer in April 2025 as an advance against future supply of machinery. By April 2026 (13 months later) no machinery has been supplied and the advance is still sitting in Zenith's account, earning the customer nothing.

*Reasoning:* An advance for supply of goods is an **exempted receipt (not a deposit)** — but **only if appropriated within 365 days**. Once the 365-day clock runs out without supply, and the company has no legal right to retain it, the receipt **converts into a deposit** by operation of Rule 2(1)(c). *Outcome:* From the moment the 365 days lapse, the Rs. 40 lakh is a **deposit**. Zenith (a private company) can only hold deposits from members; a **customer is not a member**, and Zenith has not complied with Section 73(2). It is now in **contravention** — exposed to Section 76A, and the customer can approach NCLT under 73(4). Lesson: exemptions are conditional; the clock matters.

**Scenario 2 — Members-only company eyes the public.** *Facts:* Apex Ltd, an unlisted public company with net worth Rs. 60 crore and turnover Rs. 200 crore, wants to raise Rs. 20 crore by advertising deposits to the general public at attractive rates. *Reasoning:* Only an **eligible company** may take deposits from the public — net worth  $\geq$  **100 crore OR turnover  $\geq$  500 crore**. Apex has **neither** ( $60 < 100$ ;  $200 < 500$ ). Therefore Apex is **not eligible** and is barred by Section 73(1) from inviting the public. *Outcome:* Apex may accept deposits **only from its members** under Section 73(2), subject to the **35%** ceiling and all five conditions (circular, DPT-1 filing, DRRA, insurance where notified, no-default certificate). Advertising to the public would breach Section 73(1) and trigger Section 76A. Lesson: the 100/500 test is a hard gate to the public lane.

**Scenario 3 — The reserve that wasn't funded.** *Facts:* Corley Ltd (eligible company) has Rs. 50 crore of public deposits maturing in FY 2026-27. By 30 April 2026 it has set aside only Rs. 4 crore in the Deposit Repayment Reserve Account, and it used part of even that to pay a supplier. *Reasoning:* Section 73(2)(c) requires depositing **at least 20%** of deposits maturing next year into a **separate account by 30 April**, usable **only** for repaying those deposits. 20% of Rs. 50 crore = **Rs. 10 crore** required; Corley has Rs. 4 crore, and worse, **diverted** part of the reserve. Both the shortfall and the diversion are contraventions. *Outcome:* Corley is in **default of a core condition**. The company faces Section 76A penalty; officers who authorised the diversion face fine and possible imprisonment, and if intent to deceive is shown, Section 447. Depositors maturing in FY 2026-27 are precisely the people the reserve was meant to protect. Lesson: the DRRA is real cash, ring-fenced — touching it is not a technical slip, it is the exact abuse the section exists to stop.

**Scenario 4 — Director's loan vs. relative's loan.** *Facts:* Nova Pvt Ltd receives Rs. 15 lakh from Director A (who declares in writing the money is his own, not borrowed) and Rs. 10 lakh from A's brother. *Reasoning:* Money from a **director** with a **written non-borrowed declaration** is an **exempted receipt** — not a deposit. Money from a **relative of a director** in a **private company** is also exempt, but the amendments require a similar **written declaration** that it is not from borrowed funds, and it must be disclosed in the Board's report. *Outcome:* Director A's Rs. 15 lakh is safely **not a deposit**. The brother's Rs. 10 lakh is **not a deposit only if** the written declaration is obtained (Nova being private) and disclosed; without it, it risks reclassification as a deposit. Lesson: the exemption for insiders hinges on the **declaration** — the paperwork is the safeguard against laundering borrowed public money in through the back door.

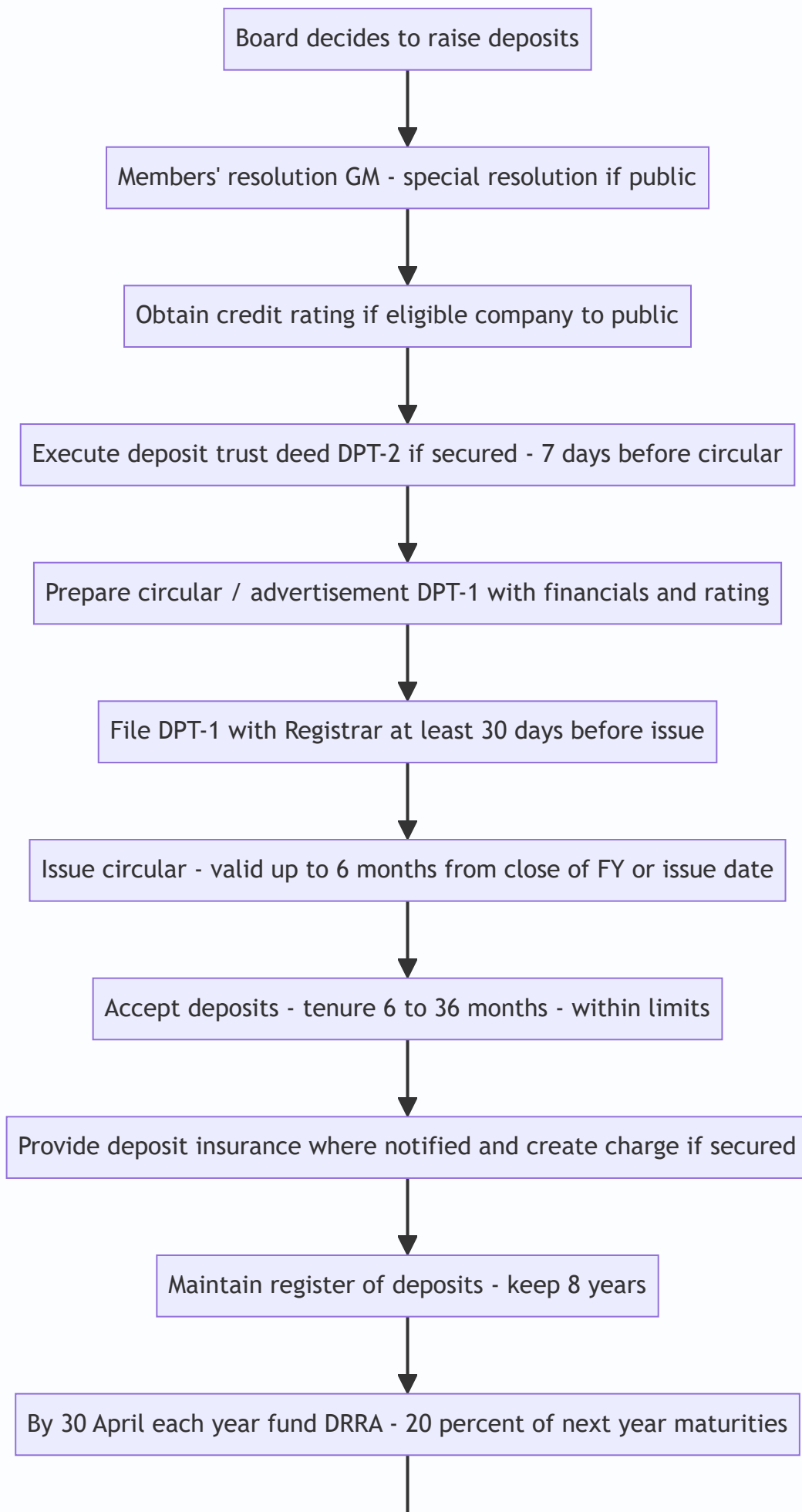
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## 6. Procedure / Compliance Summary

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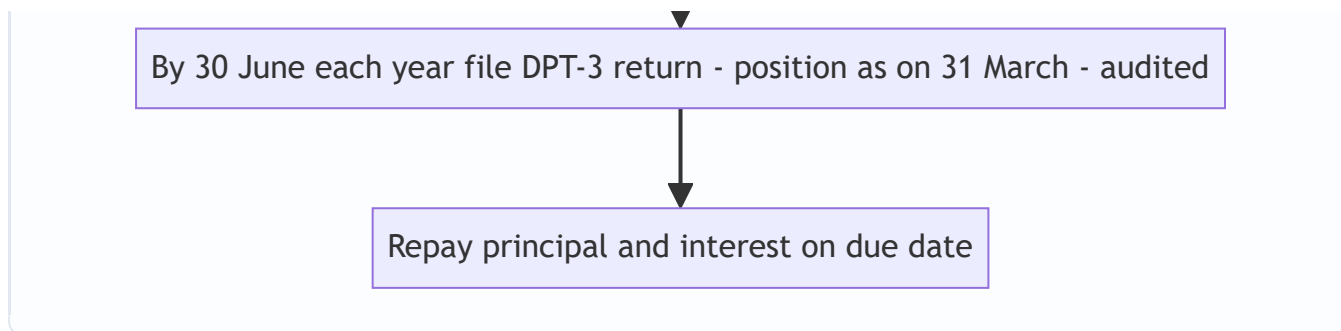


Figure 6 — End-to-end deposit compliance lifecycle, with the two annual anchors: 30 April (reserve) and 30 June (return).

#### Timeline of the recurring dates:



Figure 6b — The compliance calendar: snapshot on 31 March, reserve by 30 April, return by 30 June.

**Key forms:** **DPT-1** (circular/advertisement), **DPT-2** (deposit trust deed), **DPT-3** (annual return of deposits and particulars of non-deposit receipts), **DPT-4** (statement of pre-Act deposits under Section 74).

## 7. Connections to Other Chapters and Laws

- **Definitions (Ch. on Definitions):** "Deposit" **2(31)**; "private company" **2(68)**; "public company" **2(71)**; "free reserves" **2(43)** feed the ceiling calculations; "relative" **2(77)** governs the insider exemption.
- **Board & General Meeting powers:** the members' **ordinary/special resolution** authorising deposits ties to **Section 179** (Board powers) and the general-meeting machinery of **Sections 96–114**.
- **Share capital vs. deposits:** share application money is exempt *only* if allotted in 60 days — links to **Section 42** (private placement) and **Section 62** (further issue). Money that should have become shares but didn't becomes a deposit.
- **Charges:** secured deposits require **registration of charge** under **Sections 77–87**.
- **Fraud:** Sections 75 and 76A both hook into **Section 447** (punishment for fraud) — the same anti-fraud spine that runs through the whole Act.
- **NBFC / RBI regime:** deposit-taking as a *business* is an NBFC activity regulated by the **RBI Act 1934**; the Companies Act carve-outs are drawn **in consultation with RBI**, and the interest cap references RBI's NBFC ceiling. Banks are excluded because they are separately regulated.
- **Audit & Directors' Report:** the auditor reports on deposit compliance (CARO), and the Board's report discloses details of deposits and any non-compliance.

## 8. Traps & Examiner Tricks

1. **"Includes loan" is the whole trap.** A "loan" from the public **is** a deposit. Candidates wrongly assume only fixed-deposit-style receipts count. Under 2(31) money "in any other form" is caught — the exemption list is the *only* escape.

2. **The 60/15 and 365 clocks.** Share application money and trade advances are exempt *only while within their clocks*. Examiners love the fact pattern where the clock has expired — the receipt silently **becomes** a deposit. Watch the dates.
  3. **Members vs. public.** Ordinary company = **members only (35%)**. Only an **eligible company** (100 cr net worth OR 500 cr turnover) can touch the **public (25%)**, and its members' slice shrinks to **10%**. Don't apply the 35% members' figure to an eligible company's public deposits.
  4. **OR, not AND, for eligibility.** Net worth 100 crore **OR** turnover 500 crore — meeting **either** makes it eligible. Candidates wrongly require both.
  5. **Special vs. ordinary resolution.** Public deposits (Section 76) need a **special resolution**; members' deposits (Section 73) need an ordinary resolution in general meeting. Easy to swap.
  6. **DRRA percentage and date.** It is **20%** (raised from 15%) of deposits maturing in the **next** financial year, funded by **30 April**. Common wrong answers: "15%", "of total deposits", "by 31 March". The reserve is for **next year's** maturities, not this year's total.
  7. **Deposit insurance is on paper but deferred.** Know Section 73(2)(d) exists; also know its operation has been **postponed** repeatedly. Stating it as fully operative can be marked wrong — flag it.
  8. **Director vs. relative declaration.** A **director's** loan needs a written declaration it's **not borrowed**. A **relative's** loan is exempt only for **private companies** and (post-amendment) also needs the declaration. Don't extend the relative exemption to public companies.
  9. **6 to 36 months, not 6 to 60.** Maximum tenure is **36 months** (3 years), not 5. The **3-month** short-term deposit is a narrow exception capped at 10%.
  10. **DPT-3 is not only for deposits.** It also reports **exempted receipts / outstanding loans**. A company with *no* deposits but with loans may still have to file DPT-3. Students think "no deposits, no return" — wrong.
  11. **Government company limits differ.** An eligible **Government** company can take **35%** from the public (vs. 25% for a private-sector eligible company) because of implicit State backing.
  12. **Section 74 is about old deposits.** Don't confuse Section 74 (transition of pre-2013-Act deposits) with the ongoing repayment obligation. Section 74 is a one-time bridge.
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## 9. First-Principles Recap

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Strip everything away and the chapter is one causal chain:

- A company can collect the **public's savings** with only a **promise**. That promise can be **empty** — spent, lost, or stolen — and the saver is **diffuse, uninformed, and unsecured**. That is the abuse.
- So the law **defines "deposit" widely** (2(31)) to defeat disguises, then **exempts narrowly** (Rule 2(1)(c)) only money whose source already has protection.
- It then **grades permission by risk**: strangers are hardest (only **eligible** public companies, Section 76, with **rating**), members are easier (Section 73), insiders are exempt (director/relative declarations).
- Every promise gets a **provable, independent provision**: disclose (circular), record (file with Registrar), **fund** (20% reserve by 30 April), insure, and certify no default — plus rating and trustee for the riskiest lane.
- It **caps quantity** to the company's own buffer (35% / 10% / 25% / 100%) and **caps price** to RBI's rate so the Ponzi bait disappears.

- And it makes **default a public wrong**: NCLT can order repayment (73(4)), officers can be **personally, unlimitedly liable** for fraud (75), and the omnibus penalty (76A) reaches **Rs. 10 crore** on the company and **7 years' jail** for the officer.

Learn the *fears*, and every number — 100, 500, 35, 25, 10, 20%, 60, 15, 365, 6–36 months, 30 April, 30 June — hangs on a reason instead of floating in memory.

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## 10. Quick-Revision Sheet

| Item                                | Provision                   | Number / Limit                                                      | The "why" in three words            |
|-------------------------------------|-----------------------------|---------------------------------------------------------------------|-------------------------------------|
| Definition of deposit               | Sec <b>2(31)</b>            | "loan or any other form"                                            | Defeat disguises                    |
| Exempted receipts                   | Rule <b>2(1)(c)</b>         | closed list                                                         | Source already safe                 |
| Share application money clock       | Rule 2(1)(c)                | allot in <b>60</b> days, refund in <b>15</b>                        | Anti-parking                        |
| Trade/service advance clock         | Rule 2(1)(c)                | adjust in <b>365</b> days                                           | Anti-parking                        |
| General prohibition / members' lane | Sec <b>73</b>               | members-only for ordinary cos                                       | Trust members over public           |
| Eligible company (public lane)      | Sec <b>76</b>               | net worth $\geq$ <b>100 cr</b> OR turnover $\geq$ <b>500 cr</b>     | Earn the right to the public        |
| Resolution needed                   | Sec 73 / 76                 | ordinary (members) / <b>special</b> (public)                        | Graver act, higher bar              |
| Limit — ordinary co (members)       | Rule 3(3)                   | <b>35%</b> of cap+reserves+premium                                  | Borrow within your buffer           |
| Limit — eligible co (members)       | Rule 3(4)                   | <b>10%</b>                                                          | Reserve slice for insiders          |
| Limit — eligible co (public)        | Rule 3(4)                   | <b>25%</b>                                                          | Fenced public exposure              |
| Limit — Govt eligible co (public)   | Rule 3(4)                   | <b>35%</b>                                                          | Sovereign backing                   |
| Limit — exempt private co           | Notification                | up to <b>100%</b> (members)                                         | Insider trust                       |
| Tenure                              | Rules                       | <b>6 to 36 months</b> (short-term 3 mo, $\leq$ 10%)                 | No demand banking, no infinite lock |
| Interest cap                        | Rules                       | $\leq$ RBI NBFC max rate                                            | Remove Ponzi bait                   |
| Circular                            | Sec <b>73(2)(a)</b> / DPT-1 | financials + rating + past deposits                                 | Kill information asymmetry          |
| File circular                       | Sec <b>73(2)(b)</b>         | <b>30 days</b> before issue                                         | Independent dated record            |
| Deposit Repayment Reserve           | Sec <b>73(2)(c)</b>         | <b>20%</b> of next-yr maturities, by <b>30 April</b> , separate a/c | Real cash for real repayment        |
| Deposit insurance                   | Sec <b>73(2)(d)</b>         | as prescribed (deferred)                                            | Last line of defence                |
| No-default certificate              | Sec <b>73(2)(e)</b>         | 5 yrs since default cured                                           | Stop serial defaulters              |
| Credit rating                       | Sec <b>76</b> + Rules       | every year, min grade                                               | Independent gatekeeper              |

| Item                       | Provision             | Number / Limit                                                                             | The "why" in three words     |
|----------------------------|-----------------------|--------------------------------------------------------------------------------------------|------------------------------|
| Deposit trustee / charge   | Rules / DPT-2         | trust deed 7 days before circular                                                          | Watchdog + recourse          |
| Register of deposits       | Rules                 | keep <b>8 years</b>                                                                        | Auditable trail              |
| Annual return              | Rules / <b>DPT-3</b>  | by <b>30 June</b> , position as on 31 March                                                | Regulator oversight          |
| Depositor remedy           | Sec <b>73(4)</b>      | apply to <b>NCLT</b>                                                                       | Fast route for the helpless  |
| Pre-Act deposits           | Sec <b>74</b> / DPT-4 | statement + repay in Tribunal's time                                                       | Transition bridge            |
| Fraud — personal liability | Sec <b>75</b>         | unlimited personal liability + Sec 447                                                     | Pierce the veil              |
| Contravention penalty      | Sec <b>76A</b>        | company <b>1 cr–10 cr</b> (or 2× deposits); officer <b>25 lakh–2 cr and/or up to 7 yrs</b> | Social harm = harsh sanction |

**Confirm the exact current figures (DRRA %, penalty bands, exemption list, insurance status, private-company exemption conditions) against the latest ICAI Study Material and the bare Companies Act 2013 / Deposit Rules before the exam — these have been amended multiple times.**

# Q&A — Acceptance of Deposits

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CA Intermediate | Corporate & Other Laws | Companies Act, 2013 — Sections 73–76A read with the Companies (Acceptance of Deposits) Rules, 2014.

**Scope note:** Section numbers refer to the Companies Act, 2013. Rule numbers refer to the Companies (Acceptance of Deposits) Rules, 2014. Where a figure or nuance is subject to periodic amendment (limits, DPT-3 dates), it is flagged. Nothing below invents a provision; uncertain points are marked [verify].

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## SECTION A — Concept-Check Questions (with answers)

**A1. Define "deposit" under the Companies Act, 2013. Answer:** Under **Section 2(31)**, "deposit" includes any receipt of money by way of deposit or loan or in any other form by a company, but does **not** include such categories as may be **prescribed** in consultation with the RBI. The exclusions are listed in **Rule 2(1)(c)** of the Deposit Rules — i.e., the Act gives a wide inclusive definition and the Rules carve out what is *not* a deposit.

**A2. Name any five receipts that are NOT treated as deposits. Answer:** Under **Rule 2(1)(c)**, the following (among others) are excluded: (i) amounts received from the Central/State Government or guaranteed by them; (ii) loans from banks and financial institutions; (iii) amounts received from another company (inter-corporate loans); (iv) money raised through issue of commercial paper; (v) amounts received against subscription to securities (share application money) pending allotment, **provided allotment is made within 60 days** and refunded within 15 days thereafter; (vi) amounts from a director (or a member, for private companies) out of own funds with a declaration; (vii) amounts from an employee not exceeding annual salary as a non-interest bearing security deposit.

**A3. Distinguish "eligible company" from other public companies for deposit purposes. Answer:** Under **Rule 2(1)(e)**, an **eligible company** is a public company having (a) net worth of not less than **Rs. 100 crore**, OR (b) turnover of not less than **Rs. 500 crore**, and which has passed a **special resolution** (and filed it with ROC) to accept deposits from the **public**. Only eligible companies may accept deposits from persons other than members, under **Section 76**. Ordinary public companies and private companies can accept deposits only from **members** under **Section 73(2)**.

**A4. What is the DRR / Deposit Repayment Reserve Account and how much must be deposited? Answer:** Under **Section 73(2)(c)** read with **Rule 13**, a company accepting deposits must, on or before **30th April** each year, deposit into a scheduled bank in a separate "**Deposit Repayment Reserve Account**" a sum not less than **20%** of the amount of deposits **maturing during the following financial year**. This sum cannot be used for any purpose other than repayment of deposits.

**A5. State the ceiling limits on deposits for a members-scheme (Section 73) eligible/other company. Answer:** Under **Rule 3**: For a **private company**, deposits from members may not exceed **100%** of aggregate of paid-up share capital, free reserves and securities premium (certain start-ups/specified private companies are exempt from limits [verify current exemption notification]). For a **non-eligible public company** accepting from members under Section 73, the limit is **35%** of paid-up capital + free reserves + securities premium. For an **eligible company** from members, **10%**, and from public, up to **25%** of the same aggregate.



**A6. What credit rating requirement applies to eligible companies? Answer:** Under **Rule 3(8)**, every eligible company must obtain, at the time of inviting deposits and every year during the tenure, a **credit rating** from a recognised credit rating agency, and the rating must not be below the **minimum investment grade** prescribed for the relevant rating instrument. The rating must be disclosed in the circular/advertisement.

**A7. What is the minimum and maximum tenure of a deposit? Answer:** Under **Rule 3(1)**, deposits may be accepted for a term of **not less than 6 months and not more than 36 months**. Shorter deposits (min 3 months) are allowed only to meet short-term needs and only up to **10%** of paid-up capital + free reserves + securities premium.

**A8. What is deposit insurance and its current status? Answer:** **Rule 5** originally required a company to enter into a **deposit insurance contract** at least 30 days before inviting deposits. However, this requirement has been kept in **abeyance/deferred** repeatedly because insurance products were unavailable in the market. **[verify current abeyance status]** — in exams, state the rule and note it stands deferred.

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## SECTION B — Applied Problem / Scenario Questions (ICAI style)

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**B1. Members-only vs public deposits. Facts:** Sunrise Ltd, an unlisted public company with paid-up capital + free reserves of Rs. 40 crore and net worth of Rs. 45 crore, wishes to accept Rs. 20 crore of deposits from the general public. **Provision:** Under **Section 76(1)** read with **Rule 2(1)(e)**, only an **eligible company** (net worth  $\geq$  Rs. 100 crore or turnover  $\geq$  Rs. 500 crore) may accept deposits from the public. A non-eligible public company can accept deposits only from its **members** under **Section 73(2)**, subject to a **35%** ceiling (**Rule 3**). **Analysis:** Sunrise Ltd's net worth (Rs. 45 cr) and (assumed) turnover fall below the eligibility thresholds. Hence it is **not** an eligible company and cannot accept public deposits. From members, it could accept only up to 35% of Rs. 40 crore = **Rs. 14 crore**. **Conclusion:** Sunrise Ltd cannot accept Rs. 20 crore from the public; it may accept up to Rs. 14 crore from members after complying with Section 73 conditions.

**B2. Loan from a director. Facts:** Mr. Rao, a director of Zeal Pvt Ltd, gives the company Rs. 50 lakh from his personal savings. The company does not treat it as a deposit. Is this correct? **Provision:** Under **Rule 2(1)(c)(viii)**, any amount received from a **director** of the company (or a relative of a director in the case of a private company) is **excluded from "deposit"**, provided the director furnishes a **written declaration** that the amount is **not given out of borrowed funds** and is from his own funds. **Analysis:** As Mr. Rao gave the amount from personal savings and (assuming) files the declaration, it is not a deposit. The company must disclose the details in the **Board's report**. **Conclusion:** Correct — the Rs. 50 lakh is not a deposit, provided the declaration is obtained and disclosed.

**B3. Share application money pending allotment. Facts:** Orbit Ltd received Rs. 2 crore as share application money on 1 Jan; it allotted shares only on 20 March (78 days later). **Provision:** Under **Rule 2(1)(c)(vii)**, advance for securities is not a deposit only if shares are **allotted within 60 days**; if not allotted and not refunded within 15 days thereafter, the amount is **deemed to be a deposit** from the expiry of 60 days. **Analysis:** Allotment happened on day 78 ( $> 60$  days). The amount thus became a **deemed deposit** on the 61st day, and Orbit Ltd contravened the deposit provisions retrospectively. **Conclusion:** The Rs. 2 crore is treated as a deposit accepted in violation of Section 73/76, attracting penalties under **Section 76A**.

**B4. Repayment default and Tribunal. Facts:** Delta Ltd, an eligible company, is unable to repay Rs. 5 crore of matured public deposits on the due date. **Provision:** Under **Section 73(4)**, on failure to repay, the **depositor** may apply to the **National Company Law Tribunal (NCLT)**, which may order repayment. Further, under

**Section 74**, deposits accepted before the commencement of the Act had a repayment mechanism; and **Section 76A** imposes penalties for contravention. The company and officers in default face fine and imprisonment. **Analysis:** Delta's depositors can approach the NCLT for a repayment order. Continued default triggers **Section 76A**: company fine of not less than Rs. 1 crore or twice the deposit amount (whichever is lower), extendable to Rs. 10 crore; and every officer in default may face imprisonment up to 7 years and fine. **Conclusion:** Depositors may seek NCLT relief; Delta and its officers are exposed to Section 76A penalties, including possible fraud liability under Section 447 if wilful.

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## SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Explain the conditions a company must satisfy before accepting deposits from its members under Section 73(2)." (6 marks) Model Answer:** Under **Section 73(2)**, a company (other than a banking/NBFC) may accept deposits from members after passing a resolution in general meeting and complying with **Rule 3** conditions, namely: (a) **Circular to members** — issue a circular showing financial position, credit rating (if applicable), total deposits, etc.; (b) **File circular** with the Registrar at least 30 days before issue (Form **DPT-1**); (c) **Deposit Repayment Reserve** — deposit at least **20%** of deposits maturing next year in a scheduled bank by 30 April [Sec 73(2)(c), Rule 13]; (d) **Deposit insurance** — provide insurance (currently in abeyance) [Sec 73(2)(d)]; (e) **Certify no default** — certify the company has not defaulted in repayment of deposits; (f) **Security** — provide security or declare it as unsecured; (g) Comply with tenure (6–36 months) and ceiling limits (Rule 3).

**C2. "Describe the penal consequences for contravention of the deposit provisions." (5 marks) Model Answer:** Under **Section 76A**, where a company accepts or invites deposits in contravention of Sections 73/76 or the Rules, or fails to repay deposits/interest within the time specified: - The **company** is punishable with fine not less than **Rs. 1 crore or twice the amount of deposit** accepted (whichever is **lower**), extendable up to **Rs. 10 crore**; and this is **in addition** to repayment of deposit and interest. - Every **officer in default** is punishable with **imprisonment up to 7 years** and fine of not less than Rs. 25 lakh up to Rs. 2 crore. - If it is proved the officer acted **wilfully / with intent to defraud**, he is also liable under **Section 447** (fraud).

**C3. "What amounts are excluded from the definition of 'deposit'? List any eight." (6 marks) Model Answer:** Per **Rule 2(1)(c)**, excluded amounts include: (1) from Central/State Govt or govt-guaranteed; (2) from foreign govts/foreign banks (subject to FEMA); (3) loans from banking companies and public financial institutions; (4) money via commercial paper; (5) from another company; (6) share application money pending allotment (60-day rule); (7) from a director/relative with declaration of own funds; (8) secured bonds/debentures or those convertible/listed; (9) non-interest security deposit from an employee up to annual salary; (10) advance for supply of goods/services (subject to time limits); (11) amounts brought in by promoters as unsecured loans in fulfilment of a lending stipulation. (Any eight suffice.)

**C4. "Explain Sections 74 and 75 relating to repayment of deposits accepted before the Act and damages for fraud." (5 marks) Model Answer:** **Section 74** deals with deposits accepted **before the commencement of the 2013 Act** that remained unpaid: the company had to file a statement (Form **DPT-4**) of all outstanding deposits and repay them within the time specified/ as ordered by the Tribunal. **Section 75** provides that where a company **fails to repay deposits** and it is proved the deposits were accepted with **intent to defraud** depositors or for a fraudulent purpose, every officer responsible is **personally liable, without limitation of liability**, for all losses/damages suffered by the depositors — over and above Section 76A penalties and Section 447 fraud liability.

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## SECTION D — MCQs / Case Scenarios

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**D1.** Maximum tenure for which a company may accept a deposit is: A) 12 months B) 24 months C) **36 months** D) 60 months **Answer: C.** Rule 3(1) caps deposit tenure at 36 months.

**D2.** An "eligible company" must have net worth of at least \_\_\_ or turnover of at least \_\_\_: A) Rs. 50 cr / Rs. 250 cr B) **Rs. 100 cr / Rs. 500 cr** C) Rs. 500 cr / Rs. 100 cr D) Rs. 10 cr / Rs. 100 cr **Answer: B.** Rule 2(1)(e).

**D3.** Minimum percentage of next year's maturing deposits to be kept in the Deposit Repayment Reserve Account: A) 10% B) 15% C) **20%** D) 25% **Answer: C.** Section 73(2)(c) read with Rule 13.

**D4.** Return of deposits to be filed annually with the Registrar is in Form: A) DPT-1 B) DPT-2 C) **DPT-3** D) DPT-4 **Answer: C.** Rule 16 — DPT-3 filed on or before 30 June for the year ended 31 March.

**D5.** Share application money not allotted within 60 days and not refunded within the next 15 days is: A) Refunded automatically B) A loan C) **Deemed a deposit** D) Forfeited **Answer: C.** Rule 2(1)(c)(vii).

**D6. Case scenario:** Nova Pvt Ltd accepts Rs. 30 lakh from a person who is neither a member nor a director. This is: A) Valid deposit from public B) **A contravention — private companies cannot accept from public** C) Valid inter-corporate loan D) Exempt **Answer: B.** A private company may accept deposits only from members (Section 73) — not from the public (Section 76 is limited to eligible public companies).

**D7.** Penalty on the company under Section 76A is minimum: A) Rs. 10 lakh B) **Rs. 1 crore or twice the deposit, whichever lower** C) Rs. 5 crore fixed D) Rs. 25 lakh **Answer: B.**

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## Mermaid — Deposit Acceptance Decision Flow

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Syntax error in text  
mermaid version 10.9.6

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## Traps & Examiner Tricks

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- **Members vs public:** Private companies can NEVER accept public deposits; only *eligible* public companies can (Sec 76). Examiners test this with a private company scenario.
- **20% DRR vs 15%:** The Deposit Repayment Reserve is **20%** (post-amendment); older material said 15% — quote 20% under Rule 13. **[verify latest]**
- **"Whichever is lower"** in Section 76A company fine (Rs. 1 cr or twice deposit) — students wrongly write "higher".
- **60 + 15 day rule** for share application money — both limbs must be recalled.
- **Director's declaration** must state funds are *not borrowed*; for members giving loans to a **private** company the same relative exclusion applies.

- **DPT-4** is the one-time statement under Section 74 (pre-Act deposits), not the annual return (that is DPT-3).

## First-Principles Recap

Depositors got burned because companies took public money with no ring-fence. The Act's answer: **restrict who can take deposits** (only members, or eligible companies from public), **cap how much** (Rule 3 limits), **reserve repayment cash** (20% DRR), **disclose and rate** (DPT-1, credit rating), **file and track** (DPT-3), and **punish default hard** (Sec 76A, 75, 447). Trust, but ring-fence.

## Quick-Revision Sheet

| Item              | Provision                | Figure                               |
|-------------------|--------------------------|--------------------------------------|
| Definition        | Sec 2(31) + Rule 2(1)(c) | inclusive, with exclusions           |
| Members deposits  | Sec 73(2)                | Pvt 100%*, Public 35%                |
| Public deposits   | Sec 76                   | eligible co., 25%                    |
| Eligible company  | Rule 2(1)(e)             | NW $\geq$ 100cr / TO $\geq$ 500cr    |
| DRR               | Sec 73(2)(c), Rule 13    | 20% by 30 Apr                        |
| Tenure            | Rule 3(1)                | 6–36 months                          |
| Circular          | Rule 4                   | DPT-1                                |
| Annual return     | Rule 16                  | DPT-3 by 30 Jun                      |
| Pre-Act statement | Sec 74                   | DPT-4                                |
| Penalty           | Sec 76A                  | co. Rs.1cr–10cr; officer up to 7 yrs |
| Fraud liability   | Sec 75 / 447             | unlimited personal                   |

*Certain private companies/start-ups exempt from limits [verify notification]\*.*

# Chapter 06 — Registration of Charges

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Companies Act 2013 — Chapter VI, Sections 77 to 87, read with the Companies (Registration of Charges) Rules, 2014.

## 1. The Problem — the invisible mortgage

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Imagine you run a bank. A company called Zenith Manufacturing Ltd walks in and asks for a ₹50 crore loan. It offers its factory, its machinery, and its stock of raw material as security. You inspect the factory — it looks real, it's operating, the machines are humming. Satisfied, you lend the money against a charge on those assets. If Zenith defaults, you seize the factory and recover your money. Simple.

Now here is the abuse. **What if Zenith had *already* pledged that same factory to another bank six months ago?** The factory doesn't *look* mortgaged. A building doesn't wear a sign saying "already promised to State Bank." When Zenith goes bankrupt, both banks show up to seize the same factory. Only one can win. The other lent ₹50 crore against nothing — it was tricked by an asset that was already spoken for.

This is the core problem: **security interests are secret by nature.** Ownership of land can be checked in a land registry, but a *charge* — a claim over an asset that still belongs to and is used by the company — leaves no visible trace. A dishonest company can pledge the same asset to five different lenders, each believing they are first in line. When the crash comes, four of them discover their "security" was an illusion.

The problem is worse than individual fraud. If lenders *cannot trust* that the security offered is genuinely unencumbered, they will do one of two things: refuse to lend, or lend only at ruinous interest rates to cover the risk. Either way, honest companies that genuinely have free assets to pledge suffer, because they cannot credibly *prove* their assets are free. The market for secured credit breaks down for everyone.

There is a second, subtler abuse. Suppose Zenith is sliding toward insolvency. The directors know unsecured trade creditors and workers will soon come knocking. So, at the last minute, the directors quietly create a charge in favour of a friendly party (say, a company owned by the managing director's brother) over all the good assets. Now, when Zenith collapses, that "secured" friend walks away with everything, and the genuine creditors — the suppliers, the employees, the taxman — get nothing. A hidden, unregistered, backdated charge is a perfect tool for **stripping a dying company of its assets** to the benefit of insiders.

So the law must solve two things at once: warn *future* lenders about *existing* claims, and prevent *secret* claims from being used to defeat *genuine* creditors.

## 2. The Core Idea — turn a private secret into a public fact

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The protective principle is disarmingly simple: **a charge that is not on the public record does not count where it matters most.**

The law does not ban companies from creating charges — borrowing against assets is healthy and normal. Instead, it attaches a condition: if you want your charge to be *effective against the world* (specifically against a liquidator and against other creditors when the company dies), you must **register it publicly** with the

Registrar of Companies within a strict time limit. The register is open for anyone to inspect. A new lender can walk in, search the company's file, and see every prior claim on its assets.

This converts an invisible private arrangement into a visible public fact. The logic is a bargain:

- **Register your charge** → the whole world is deemed to know about it → you get priority and your security is safe even in liquidation.
- **Don't register** → the charge is treated as if it never existed *against the liquidator and creditors* → your "security" evaporates exactly when you need it.

Notice the elegance. The law doesn't fine you into compliance (though penalties exist too). It removes the *entire benefit* you were seeking. A secured lender registers not because a policeman forces them to, but because an unregistered charge is worthless as security. The self-interest of the lender is harnessed to produce public disclosure. This is why the duty to register is placed on **both** the company *and* the charge-holder — the charge-holder has the strongest incentive to make sure it actually happens.

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### 3. Why it's built this way — the logic of each safeguard

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Every rule in Chapter VI is a direct answer to a way the system could be gamed. Learn the *attack* and the *rule* becomes obvious.

**"Why a time limit of 30 days?"** — Because without a deadline, a company could create a charge today and register it only years later, when a crisis makes it convenient — perhaps backdated to defeat creditors who lent in the meantime. A short, fixed window (30 days from creation) forces the charge onto the public record *promptly*, close to when it was actually created, so the record stays honest and current. A lender searching the file next month sees a near-real-time picture.

**"Why is non-registration void only against the liquidator and creditors, but *not* against the company itself?"** — This is the most misunderstood point, so grasp the logic. The *company* created the charge; the company *knew* about it. It would be absurd to let the company escape its own promise just because it forgot to file a form. So *between the company and the lender*, the charge is perfectly valid — the lender can still sue on the debt. But the registration rule exists to protect *third parties* (other creditors, the liquidator representing all creditors) who *couldn't have known* about the secret charge. So the charge is void only *against those it was meant to warn*. The punishment is precisely targeted at the mischief.

**"Why put the duty on the charge-holder too (Section 78)?"** — Because if only the company had the duty, a colluding company could simply "forget" to register a friendly insider's charge, keeping it secret, then spring it on creditors later. By giving the charge-holder the right and incentive to register (and recover the fee from the company), the law ensures that any *genuine* lender will register to protect itself — and a charge that *nobody* bothers to register looks suspiciously like one meant to stay hidden.

**"Why must satisfaction (repayment) also be registered?"** — Because a *stale* charge is as misleading as a hidden one. If Zenith repays State Bank and the charge is discharged, but the register still shows State Bank's ₹40 crore claim, a new lender will wrongly believe the factory is fully mortgaged and refuse to lend. The company's genuine borrowing capacity is frozen by a ghost entry. So repayment must be recorded within 30 days to *release* the asset on the public record.

**"Why keep TWO registers — one with the Registrar and one at the company?"** — The Registrar's register (Section 81) is the *public, authoritative, searchable* record for outsiders. The company's own register of charges (Section 85) is an *internal* accountability record kept at the registered office, open to members

and creditors, so they can monitor how heavily the company has pledged itself without travelling to the Registrar. Two audiences, two registers.

## 4. Full Technical Content — section by section, each with its "why"

### 4.1 What is a "charge"? — Section 2(16)

**Definition:** A *charge* means an **interest or lien created on the property or assets of a company or any of its undertakings, or both, as security, and includes a mortgage.**

Unpack it: (a) it's an *interest as security* — the asset stays owned by the company, but a lender has a claim over it; (b) it covers *property or assets* — tangible or intangible; (c) it *includes a mortgage* — so mortgages of immovable property are squarely covered.

*Why so wide?* Because a company could otherwise dress up a security as something not called a "charge" to escape registration. By defining it functionally — *any interest created as security* — the law captures the substance, not the label.

**Fixed charge vs Floating charge** — you must know both cold:

| Feature           | Fixed Charge                                                                       | Floating Charge                                                                                                                                             |
|-------------------|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Attaches to       | A <i>specific, identified</i> asset (e.g., a particular building, a named machine) | A <i>shifting class</i> of assets (e.g., stock-in-trade, book debts, "all present and future current assets")                                               |
| Company's freedom | Cannot sell/deal with the asset freely without the lender's consent                | Can buy, sell, and use the assets in the <i>ordinary course of business</i>                                                                                 |
| Nature            | Rigid — clamped to one thing                                                       | Hovers over a fluctuating pool, like a cloud over a moving crowd                                                                                            |
| Crystallisation   | Already fixed                                                                      | On default/winding-up/cessation of business, it <i>crystallises</i> — descends and becomes a fixed charge on whatever assets are in the pool at that moment |

*Why does the distinction matter?* A **fixed charge** gives the lender strong priority over that specific asset but chokes the company's ability to trade it. A **floating charge** lets the company keep running its business (you can't run a shop if every sale needs the bank's sign-off on the inventory), but the lender's security is weaker and shifting — and ranks *behind* certain preferential claims. The memory hook: **fixed = frozen to one asset; floating = free to trade until it crystallises.**

**Crystallisation** — the floating charge "settles" and becomes fixed on: (i) the company defaulting and the lender intervening, (ii) winding-up commencing, or (iii) the company ceasing to carry on business. Logic: the floating charge's whole point was to let the business trade; once the business stops or defaults, there's no reason to keep letting assets slip away, so the charge clamps down.

### 4.2 Duty and time limit to register — Section 77

**The rule:** It is the **duty of the company** creating a charge — whether within or outside India, on its property or undertaking, whether tangible or intangible — to **register the particulars of the charge with the**



**Registrar within 30 days of its creation**, in the prescribed form and on payment of fees.

*Why "within or outside India" and "tangible or intangible"? To close escape routes. A company can't argue "the asset is abroad" or "it's only intellectual property, not real property" to avoid registration. All security, everywhere, of every kind, counts.*

**The extension / condonation timeline** — this is the most tested factual area, and it changed after the **Companies (Amendment) Ordinance / Act, 2019** (effective **2nd November 2018**). You must know *both* regimes because the answer depends on *when the charge was created*.

**Category A — charge created BEFORE 2nd November 2018:** - Register within **30 days**. - If missed, the Registrar may, on application (Form CHG-1/CHG-9 + CHG-10 reasons), allow registration within **300 days** of creation on payment of *additional fees*. - If still not registered within 300 days, the company had to complete it within **six months from 2nd November 2018** on payment of *ad valorem fees*.

**Category B — charge created ON OR AFTER 2nd November 2018:** - Register within **30 days**. - If missed, the Registrar may, on application, allow registration within **60 days of creation** on payment of *additional fees* (i.e., a further 30 days). - If *still* not registered within that 60 days, the company must make a fresh application, and the Registrar may allow registration within a **further 60 days** (so up to **120 days** from creation) on payment of *ad valorem fees*.

**Memory hook for the new regime:** think **30 → 60 → 120**. Base 30 days; buy 30 more (to 60) with additional fees; buy 60 more (to 120) with the heavier *ad valorem* fees. After 120 days, the door is shut — the charge simply cannot be registered under Section 77 for post-2018 charges. *Why the tightening?* The old 300-day/condonation route was being abused to register charges very late; the 2019 amendment slammed the window shut to keep the register honest and current.

**First proviso logic:** the extension never operates automatically — it needs an *application* and *fees*, because the whole point is that late filing is a privilege, not a right, and the fee is the price of the extra risk you created by keeping the charge secret longer.

**Effect of the Registrar's registration — the Certificate:** On registration, the Registrar issues a **certificate of registration (Form CHG-2)**, which is **conclusive evidence** that the requirements of registration have been complied with. *Why conclusive?* So that a lender who has done its duty and holds the certificate need never fear that some technical defect in the filing will later be used to attack its security. Certainty is the product being sold.

**Section 77(3) — the sting:** Notwithstanding anything in any other law, **no charge created by a company shall be taken into account by the liquidator (appointed under this Act or the Insolvency and Bankruptcy Code, 2016) or any other creditor unless it is duly registered and a certificate of registration has been issued**. This is the enforcement engine — explained fully in 4.6.

**Section 77(4):** However, nothing in sub-section (3) prejudices any *contract or obligation for repayment of the money secured*. Translation: the *debt* survives even if the *security* is void. The lender can still sue the company for the money as an unsecured creditor.

#### 4.3 Registration by the charge-holder — Section 78

**The rule:** If the *company fails* to register the charge within the (initial 30-day) period, the **person in whose favour the charge is created** (the charge-holder / lender) **may apply to register it**. The Registrar then gives the company 14 days' notice to show why it should not be registered on the charge-holder's application; if



the company doesn't register it or show sufficient cause, the Registrar registers it. The charge-holder is entitled to **recover the registration fees from the company**.

*Why give this right to the lender?* Because the lender is the one who *loses everything* if registration fails. Relying on the debtor to protect the creditor's security is naïve. So the law arms the lender with a self-help remedy — register it yourself and bill the company. This is a crucial safeguard: it ensures a genuine charge almost always gets registered, and it exposes charges that *nobody* registers as likely shams.

#### 4.4 Modification of charges — Section 79

A "modification" is any change to the terms of an existing charge — e.g., the amount secured increases, the rate of interest changes, the property covered is extended or reduced, or the charge is assigned to a new lender.

**The rule:** The provisions of Section 77 (duty, time limits, certificate, consequences) **apply equally to the modification of a charge**. Registered in **Form CHG-1 (other than debentures) / CHG-9 (debentures)** within the same **30-day** window (with the same extension mechanics).

*Why treat modification like a new registration?* Because a modification changes the picture a new lender relies on. If the secured amount silently jumps from ₹10 crore to ₹40 crore, an outsider trusting the old figure is misled just as badly as by a hidden charge. So every material change must hit the public record on the same terms.

#### 4.5 Deemed notice — Section 80

**The rule:** Where a charge is registered under Section 77, **any person acquiring the property, assets or undertaking (or any share/interest therein) is deemed to have notice of the charge from the date of registration**.

This is the doctrine of **constructive (deemed) notice** applied to charges. Once registered, you *cannot* claim "I didn't know." The register is public; the law treats you as having read it.

*Why is this the linchpin?* This is what makes the whole scheme work. Registration is only useful as a *warning* if outsiders are *legally bound* to have heeded the warning. Section 80 says: the information is out there, so you are *deemed* to know it. A person who buys or takes security over a charged asset can't later plead ignorance. This is *exactly why* an honest lender searches the register before lending — because they will be *treated as knowing* whatever it contains.

#### 4.6 Effect of non-registration — the "void against liquidator and creditors" rule (Section 77(3))

This is the heart of the chapter. Read it slowly.

**An unregistered charge is:** - **VALID** as between the company and the charge-holder (the debt and the security agreement bind those two parties — Section 77(4) preserves the repayment obligation). - **VOID against the liquidator and other creditors** — meaning, in a winding-up or insolvency, the charge is *ignored*. The "secured" lender is demoted to the rank of an *unsecured* creditor and must line up with everyone else, sharing whatever crumbs remain after registered secured creditors are paid.

**Worked logic:** Zenith takes ₹50 crore from Bank X against a factory but *never registers* the charge. Zenith goes into insolvency. Bank X marches in claiming the factory. The liquidator says: "Show me your certificate of registration." Bank X has none. Under Section 77(3), the liquidator **cannot take that charge into account**.

Bank X's security is void *against the liquidator*. Bank X now stands as an *unsecured* creditor for its ₹50 crore — likely recovering a few paise on the rupee. Meanwhile, the factory is available to satisfy the *registered* secured creditors and the general pool.

*Why is this the perfect punishment?* Because it strikes at the precise reason the charge existed — to give priority in insolvency. An unregistered charge fails *at the only moment it was supposed to matter*. This makes registration effectively compulsory without banning anything: no rational lender leaves a charge unregistered, because an unregistered charge is not security at all where security counts.

*Why "against the liquidator AND creditors" and not the company?* (Repeat this until it's reflexive.) The rule protects those who *couldn't have known* about the secret charge — the general body of creditors and the liquidator who represents them. The *company* knew — it made the charge — so it can't hide behind non-registration to escape its own bargain.

#### 4.7 Satisfaction of charge — Section 82

**The rule:** A company shall give **intimation to the Registrar of the payment or satisfaction (in full)** of any registered charge **within 30 days** from the date of such satisfaction, in **Form CHG-4**.

**Proviso:** The Registrar may, on an application by the company or charge-holder, allow intimation of satisfaction **within 300 days** of the satisfaction on payment of additional fees. (Note: satisfaction retained the 300-day condonation window even after the 2019 amendment tightened *creation* — because a stale *release* is a lesser mischief than a stale *creation*.)

**Procedure (Section 82 read with Section 83):** On receiving the intimation, the Registrar issues a **notice to the charge-holder** calling for a show-cause within 14 days as to why the satisfaction should not be recorded. If no cause is shown, or the charge-holder confirms, the Registrar records a **memorandum of satisfaction (Form CHG-5)** and informs the company. *Exception:* if the intimation is signed by the charge-holder too (i.e., the lender confirms it's paid off), the Registrar can record satisfaction without the 14-day notice — because the person whose interest is being released has already agreed.

*Why 30 days again?* Symmetry and honesty of the register — repayment must be recorded as promptly as creation, so the register never overstates a company's encumbrances.

#### 4.8 Registrar's power to record satisfaction/release — Section 83

Even without the company's intimation, the **Registrar may, on evidence to his satisfaction**, enter a memorandum of satisfaction where he is convinced that (a) the debt has been paid or satisfied in whole or in part, or (b) part of the property has been released from the charge or has ceased to form part of the company's property. He must inform the company within 30 days. *Why?* So a company can't keep a paid-off charge alive on the record out of laziness or malice, choking its own credit — the Registrar can clean the record on proof.

#### 4.9 Intimation of appointment of a receiver / manager — Section 84

Where a person obtains an order (or appoints a receiver/manager of the company's property under powers in a debenture or charge instrument), that person must give **notice to the company and the Registrar within 30 days**, and the Registrar registers the particulars (**Form CHG-6**). On ceasing to act, a similar notice of cessation is filed. *Why?* A receiver taking control of charged assets is a major event affecting all stakeholders — it must be on the public record.

## 4.10 Company's own Register of Charges — Section 85

**The rule:** Every company shall keep at its **registered office** a **register of charges in Form CHG-7**, containing particulars of *all* charges and floating charges affecting its property, and the instruments creating them.

- The register and instruments of charge are **open to inspection** during business hours by **members and creditors without fee**, and by **any other person on payment of fees**.
- The **instruments creating charges** (or copies) must be preserved for a period.

*Why a second, internal register?* The Registrar's file is authoritative but external. Members and creditors have a direct interest in monitoring how much the company has mortgaged itself, and Section 85 gives them a local, inspectable record at the registered office. Note the access hierarchy: members and creditors (the people with a stake) inspect *free*; strangers pay.

## 4.11 Punishment for contravention — Section 86

**Section 86(1):** If a company contravenes any provision of Chapter VI, the **company** is liable to a penalty, and **every officer of the company in default** is liable to a penalty. (Confirm the exact monetary figures in current ICAI material / the bare Act, as amounts were revised by the 2019 amendment to a civil-penalty structure — the principle is a penalty on the company *and* on each officer in default.)

**Section 86(2):** If **any person wilfully furnishes false or incorrect information, or knowingly suppresses material information** required to be registered under Section 77, he shall be **liable for action under Section 447 (fraud)**. *Why the fraud hook?* Because a *lie* on the charge register isn't mere non-compliance — it actively deceives future lenders and can be a tool to defraud creditors, so it attracts the serious anti-fraud machinery.

## 4.12 Rectification by the Central Government — Section 87

**The rule:** The **Central Government** (power delegated to the **Regional Director**) may, on being satisfied that: - the omission to give intimation of *satisfaction* within time, or - the omission/misstatement of any particulars in a filing regarding *satisfaction* or *any other entry*,

was **accidental, due to inadvertence, or some other sufficient cause, and not prejudicial to creditors/shareholders**, order that the **time be extended or the omission/misstatement be rectified**.

**Crucial post-2019 point:** After the 2019 amendment, Section 87 **no longer covers condonation of delay in registering the creation or modification of a charge** — that is now governed *exclusively* by the tightened Section 77 timeline (the 30→60→120-day regime). Section 87 today is essentially about rectifying the register in relation to **satisfaction** and errors, *not* about reviving a late-registered *creation*. *Why removed?* The whole thrust of the 2019 reform was to stop late registration of charges; leaving a Central Government condonation backdoor open would have defeated that purpose.

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## 5. Applied Scenarios

**Scenario 1 — The forgotten filing.** On 10th June 2026, Alpha Ltd creates a charge over its warehouse in favour of Beta Bank for a ₹20 crore loan. Everyone gets busy and nobody files anything. On 20th September 2026, Alpha Ltd is admitted to insolvency. Beta Bank claims the warehouse as secured creditor.

*Reasoning:* The charge was created after 2nd Nov 2018, so the new regime applies. Registration was due by 10th July (30 days). Extension to 60 days (up to 9th August) with additional fees, then to 120 days (up to ~8th October) with ad valorem fees. As of the insolvency date, the charge was **never registered and no certificate issued**. Under **Section 77(3)**, the liquidator/resolution professional **cannot take the charge into account**. Beta Bank's security is **void against the liquidator**; it ranks as an **unsecured creditor** for ₹20 crore (Section 77(4) preserves the debt but not the priority). *Lesson:* the security is worthless precisely when it was needed. Beta Bank should have invoked its **Section 78** right to register the charge itself.

**Scenario 2 — Modification not registered.** Gamma Ltd has a duly registered charge with Delta Bank securing ₹5 crore. In 2026 they increase the facility to ₹15 crore but never register the modification. Gamma later winds up.

*Reasoning:* Section 79 applies Section 77's regime to modifications. Only the **originally registered ₹5 crore** is protected; the *additional* ₹10 crore secured by the **unregistered modification is void against the liquidator**. Delta Bank is secured for ₹5 crore and unsecured for the extra ₹10 crore. *Lesson:* a modification is as important to register as the original charge — outsiders relied on the ₹5 crore figure on the register.

**Scenario 3 — The ghost charge choking new credit.** In 2024, Omega Ltd registered a charge with PNB for ₹8 crore. Omega repaid it fully in January 2026 but never filed satisfaction. In June 2026, Omega approaches HDFC for a fresh loan against the same asset. HDFC searches the register, sees PNB's ₹8 crore charge still live, and refuses.

*Reasoning:* Omega breached **Section 82** (satisfaction must be intimated in Form CHG-4 within 30 days). The stale entry misleads HDFC via **Section 80 deemed notice** — HDFC is *entitled* to treat the asset as still charged. Omega can now file satisfaction (within 300 days on additional fees under the proviso), and if PNB cooperates by signing, the Registrar records satisfaction in **Form CHG-5** without the 14-day notice. Alternatively, PNB or Omega can rely on the Registrar's power under **Section 83**, or seek **Section 87** rectification if the omission was inadvertent. *Lesson:* an unrecorded *release* damages the company itself by freezing its borrowing capacity.

**Scenario 4 — The false particulars.** A director of Sigma Ltd, to make the company look less indebted, knowingly files charge particulars showing ₹2 crore secured when the true figure is ₹12 crore.

*Reasoning:* This is not a mere delay — it is **wilful furnishing of false information under Section 86(2)**, exposing the director to **Section 447 (fraud)** consequences (which are severe — imprisonment and fine). *Lesson:* lying to the register is treated as fraud on future creditors, not a paperwork slip.

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## 6. Procedure / Compliance Summary

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*Figure 6.1 — Decision flow for registering a newly created charge (post-2 Nov 2018 regime).*

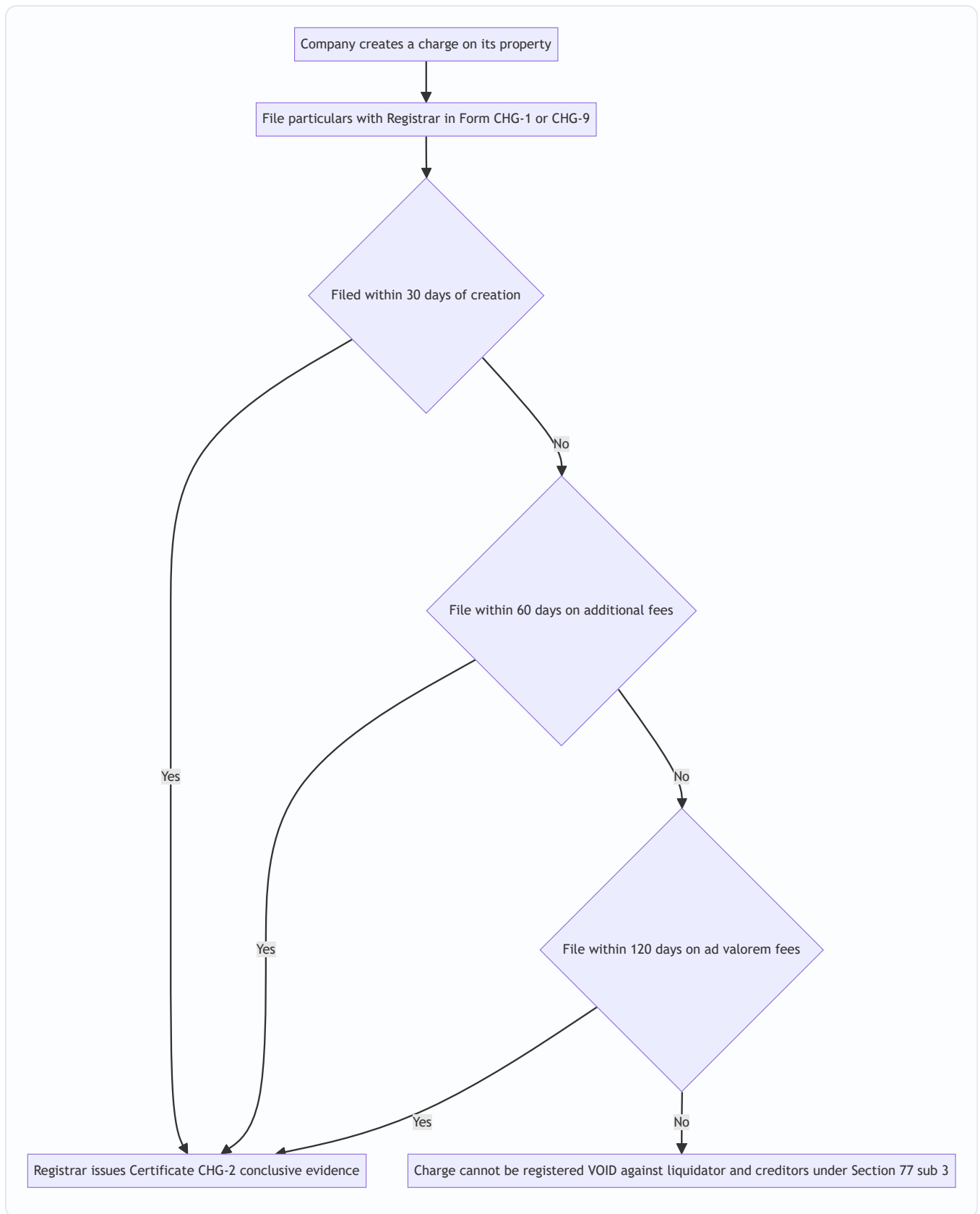
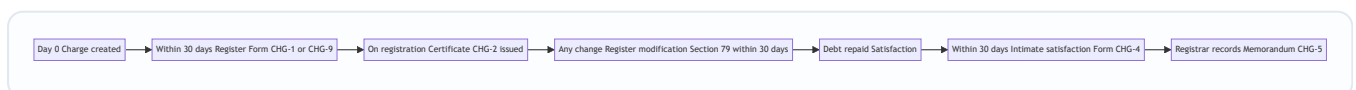


Figure 6.2 — The life-cycle timeline of a charge from creation to release.



## Forms cheat-sheet:

| Event                                                       | Form  | Time limit              |
|-------------------------------------------------------------|-------|-------------------------|
| Registration/modification of charge (other than debentures) | CHG-1 | 30 days (ext. 60/120)   |
| Registration/modification of charge for debentures          | CHG-9 | 30 days (ext. 60/120)   |
| Certificate of registration issued by Registrar             | CHG-2 | On registration         |
| Certificate of modification                                 | CHG-3 | On modification         |
| Intimation of satisfaction of charge                        | CHG-4 | 30 days (ext. 300 days) |
| Memorandum of satisfaction (issued by Registrar)            | CHG-5 | On recording            |
| Notice of appointment/cessation of receiver or manager      | CHG-6 | 30 days                 |
| Company's own register of charges                           | CHG-7 | Maintained continuously |
| Application for condonation / to Central Government (RD)    | CHG-8 | As applicable           |

(Confirm each form number and fee against current ICAI material / the bare Rules, as e-form numbering is occasionally revised.)

## 7. Connections

- **Insolvency and Bankruptcy Code, 2016:** Section 77(3) expressly ties into the IBC — the *liquidator* under the Code ignores unregistered charges. Whether a creditor is "secured" (and thus enjoys priority in the IBC waterfall) depends on registration under this chapter. This is the practical payoff of the whole scheme.
- **Deposits (Chapter V, Sections 73–76):** Secured deposits require a charge on assets — that charge must be registered under Chapter VI. The two chapters interlock: the *deposit* rules demand security; the *charge* rules make that security real.
- **Prospectus & Debentures:** Debentures are almost always secured by a charge (often a floating charge on the undertaking). Section 71 (debentures) and the debenture trust deed connect to charge registration via Form CHG-9.
- **Doctrine of Constructive Notice (foundational company law):** Section 80 is a statutory application of the broader idea that public documents filed with the Registrar are deemed known to those dealing with the company — the same logic that once underpinned the (now diluted) constructive-notice doctrine for the MOA/AOA.
- **Charges on immovable property** also engage the **Transfer of Property Act, 1882** (mortgages) and, for land, state registration laws — but company-law registration under Section 77 is *additional* and independent.

## 8. Traps & Examiner Tricks

1. **"Void against the company" — WRONG.** The charge is void against the *liquidator and creditors*, never against the company. The company is bound; the debt is recoverable (Section 77(4)). Examiners love this trap.
2. **The debt does NOT vanish.** Non-registration kills the *security/priority*, not the *loan*. The lender drops to unsecured status — it doesn't lose the right to be repaid.

3. **Old 300-day rule vs new 30→60→120 rule.** For *creation/modification* of charges made **on or after 2 Nov 2018**, the maximum is **120 days** — the 300-day route is *gone*. The 300-day window survives **only for satisfaction (Section 82)** and for charges created *before* 2 Nov 2018. Mixing these up is the classic error.
  4. **Section 87 no longer condones late creation.** Post-2019, you cannot run to the Central Government to revive a charge you failed to register in time. Section 87 is now about *satisfaction/rectification*. Don't cite it for late registration of a new charge.
  5. **Whose duty to register?** *Primarily the company* (Section 77); the *charge-holder* may do it if the company fails (Section 78) and recover the fee. Both have standing — a question saying "only the company can register" is false.
  6. **Fixed vs floating — crystallisation.** A floating charge is *not* fixed to specific assets until it *crystallises* (default / winding-up / cessation of business). Until then the company trades the assets freely. Watch for questions testing whether a company could sell charged stock — under a floating charge, yes; under a fixed charge, no.
  7. **Certificate is conclusive evidence.** Once CHG-2 is issued, the *fact of due registration* cannot be challenged for technical defects. Don't say registration can be "reopened" for a filing error.
  8. **Two registers, don't conflate.** Section 81 = Registrar's public register. Section 85 = company's own register at its registered office. Members/creditors inspect the company's register *free*; others pay.
  9. **Satisfaction needs the charge-holder's confirmation or a 14-day notice.** The Registrar won't just delete a charge on the company's say-so alone unless the charge-holder has signed off or been notified (Section 82/83). This protects the lender from a company falsely claiming repayment.
  10. **False information = fraud (447), not a mere penalty.** Distinguish *delay* (penalty under 86(1)) from *lying* (fraud under 86(2)/447).
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## 9. First-Principles Recap

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Strip everything away and the chapter is one idea: **a security you keep secret is a security the law won't honour where it counts.**

- Charges are *invisible* — an asset can be pledged without any outward sign → future lenders can be tricked, and dying companies can be stripped by insider charges. **(The problem.)**
- The fix: **make the charge public** by registering it with the Registrar within a tight window → outsiders can search and are *deemed to know* (Section 80). **(The core idea.)**
- To make the public record *trustworthy*, the law adds: a **prompt deadline** (30 days, extendable but capped), a **charge-holder's self-help right** (Section 78), mandatory **registration of modifications** (Section 79) and **satisfactions** (Section 82) so the record is neither stale nor understated, and a **company-level register** (Section 85) for direct stakeholder monitoring. **(The safeguards.)**
- Enforcement is by *removing the benefit*, not just fining: an unregistered charge is **void against the liquidator and creditors** (Section 77(3)) — worthless in insolvency — while remaining valid between company and lender (Section 77(4)), because the rule protects only those who *couldn't have known*. **(The mechanism.)**
- Lies on the register escalate to **fraud** (Sections 86(2)/447), because a false entry actively deceives. **(The backstop.)**



Every section number is just a labelled bolt in this single machine for turning private security into public fact.

## 10. Quick-Revision Sheet

| Section      | Subject                         | Key content / limit                                                                                                                                                                                                                                                                                                                  |
|--------------|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>2(16)</b> | Definition of <i>charge</i>     | Interest/lien on company property as security; <i>includes mortgage</i>                                                                                                                                                                                                                                                              |
| <b>77</b>    | Duty to register                | Company must register within <b>30 days</b> ; post-2 Nov 2018: ext. to <b>60 days</b> (additional fee) then <b>120 days</b> (ad valorem); pre-2 Nov 2018: up to <b>300 days</b> ; Certificate <b>CHG-2</b> is <i>conclusive evidence</i> ; <b>77(3)</b> unregistered charge void vs liquidator/creditors; <b>77(4)</b> debt survives |
| <b>78</b>    | Registration by charge-holder   | If company fails, <i>lender</i> may register (14-day notice to company) and <b>recover fee</b> from company                                                                                                                                                                                                                          |
| <b>79</b>    | Modification                    | Section 77 rules apply to modifications; <b>30 days</b> ; Form <b>CHG-1/CHG-9</b>                                                                                                                                                                                                                                                    |
| <b>80</b>    | Deemed notice                   | Anyone acquiring the property is <b>deemed to have notice</b> from date of registration                                                                                                                                                                                                                                              |
| <b>81</b>    | Registrar's register of charges | Public, searchable register kept by the Registrar                                                                                                                                                                                                                                                                                    |
| <b>82</b>    | Satisfaction                    | Intimate within <b>30 days</b> (ext. <b>300 days</b> on additional fee); Form <b>CHG-4</b> → Registrar records <b>CHG-5</b>                                                                                                                                                                                                          |
| <b>83</b>    | Registrar's power               | Registrar may enter satisfaction/release on evidence; inform company in 30 days                                                                                                                                                                                                                                                      |
| <b>84</b>    | Receiver/Manager                | Notice to company + Registrar within <b>30 days</b> ; Form <b>CHG-6</b>                                                                                                                                                                                                                                                              |
| <b>85</b>    | Company's register of charges   | Kept at registered office, Form <b>CHG-7</b> ; open to members/creditors <i>free</i> , others on fee                                                                                                                                                                                                                                 |
| <b>86</b>    | Punishment                      | <b>86(1)</b> penalty on company + every officer in default; <b>86(2)</b> wilful false info → <b>Section 447 (fraud)</b>                                                                                                                                                                                                              |
| <b>87</b>    | Rectification by CG (RD)        | Extend time / rectify for <b>satisfaction</b> & errors if accidental/inadvertent & not prejudicial; <b>NOT</b> for late registration of creation post-2019                                                                                                                                                                           |

**Time-limit memory hooks:** - **30 – 60 – 120**: register a charge (base → additional fee → ad valorem), post-2018. - **30 → 300**: satisfaction intimation (Section 82) — the only place 300 days still lives (besides pre-2018 charges). - **30 days everywhere else**: modification (79), receiver (84) — the "30-day habit" of Chapter VI. - **Void where it counts, valid where it was made**: void vs liquidator/creditors, valid vs company.

(Where exact penalty amounts or a form number is needed, verify against current ICAI study material / the amended bare Act, as figures were revised by the Companies (Amendment) Act, 2019 and subsequent notifications.)



# Q&A — Registration of Charges

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CA Intermediate · Corporate & Other Laws · Companies Act, 2013 (Sections 2(16), 77–87)

All section references are to the **Companies Act, 2013** and the **Companies (Registration of Charges) Rules, 2014**, incorporating the **Companies (Amendment) Act, 2019** timelines. Where a point is unsettled or fact-dependent, it is flagged.

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## Section A — Concept-Check (Short Questions + Answers)

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**A1. Define "charge" under the Companies Act, 2013. Answer.** Under **Section 2(16)**, a "charge" means *an interest or lien created on the property or assets of a company or any of its undertakings, or both, as security and includes a mortgage*. The essence is a **security interest** over company property to secure a debt — it need not transfer ownership.

**A2. Distinguish a fixed charge from a floating charge. Answer.** A **fixed charge** attaches to a specific, identifiable asset (e.g., land, machinery); the company cannot deal with that asset freely without the charge-holder's consent. A **floating charge** hovers over a class of assets that changes in the ordinary course (e.g., stock-in-trade, book debts); the company may deal with them until the charge **crystallises** (on default, winding-up, or cessation of business), whereupon it fixes on the assets then existing. The Act (S.2(16), S.77) covers **both**.

**A3. Within what period must a charge be registered, and with whom? Answer.** Under **Section 77(1)**, the company must register **every charge** it creates with the **Registrar of Companies** within **30 days** of creation, in **Form CHG-1** (non-debenture charges) or **Form CHG-9** (debentures), with the instrument creating the charge.

**A4. What is the effect of registration on third parties? Answer.** Under **Section 80**, registration operates as **constructive (deemed) notice** to any person acquiring the property or an interest in it — from the date of registration the whole world is deemed to know of the charge. This is the statutory purpose of the whole scheme: converting a private security into a public fact.

**A5. If a charge is not registered, is the loan itself wiped out? Answer.** No. Under **Section 77(4)**, non-registration does **not** prejudice the **contract or obligation to repay** the money secured. Only the **security** is affected: under **Section 77(3)** an unregistered charge is **not taken into account by the liquidator** (including under the IBC) or any creditor — the charge-holder is demoted to an **unsecured creditor** but the debt survives.

**A6. Who else, apart from the company, may apply to register a charge? Answer.** Under **Section 78**, if the company fails to register within the 30-day period, the **person in whose favour the charge is created** (the charge-holder) may apply for registration. The Registrar gives the company **14 days' notice** to show cause; if the company does not register or object, the Registrar registers it on the charge-holder's application. The charge-holder may recover the registration fee from the company.

**A7. What is Form CHG-7 and where is it kept? Answer.** Under **Section 85**, every company must keep, at its **registered office**, its **own register of charges in Form CHG-7**, recording all charges and floating charges with particulars. It is open to inspection by members and creditors (free) and any other person (on fee) — this is **separate** from the Registrar's register.

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## Section B — Applied Problem/Scenario Questions (Facts → Law → Conclusion)

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**B1.** *Zenith Ltd created a charge over its factory land on 5 April 2024 to secure a bank loan. Due to an oversight the charge was not filed with the Registrar. On 20 October 2024 Zenith went into liquidation. The bank claims priority as a secured creditor.*

**Facts.** Charge created 05.04.2024; never registered; company in liquidation. **Law. Section 77(1)** required registration within 30 days (extendable up to 120 days under the provisos). **Section 77(3)** provides that a charge required to be registered but not registered *shall not be taken into account by the liquidator or any other creditor*. **Section 77(4)** preserves the debt itself. **Analysis.** The bank missed the entire registration window. Its security interest is therefore void against the liquidator; it cannot claim priority over the factory land. **Conclusion.** The bank ranks as an **unsecured creditor** for the loan amount. The debt is still owed under S.77(4), but the security is disregarded in liquidation.

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**B2.** *Orion Ltd created a charge on 10 January 2025 but forgot to register it. Its finance manager realises the omission on 25 March 2025 (74 days later). Can it still be registered, and how?*

**Facts.** Charge created 10.01.2025; discovered on day 74. **Law. Section 77(1)** first proviso allows the Registrar, on application, to permit registration within **60 days** of creation on payment of **additional fees**. The second proviso allows a **further 60 days** (total **120 days** from creation) on payment of **ad valorem fees**. **Analysis.** Day 74 is beyond 60 days but within 120 days. Registration is therefore still possible, but only under the **second proviso**, requiring an application to the Registrar and payment of **ad valorem fees** (Form CHG-1 with the instrument). **Conclusion.** Orion can register within the 120-day outer limit by paying ad valorem fees. Had it crossed 120 days, it would need **condonation of delay by the Central Government under Section 87**.

*(Timeline flag: the 30/60/120 structure applies to charges created on or after 02.11.2018. Charges created before that date follow the old 300-day rule.)*

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**B3.** *Vega Ltd repaid its term loan in full on 1 June 2025 and the bank issued a no-dues letter. The charge remains on the Registrar's records. What must Vega do?*

**Facts.** Charge fully satisfied on 01.06.2025. **Law. Section 82** requires the company to give **intimation of satisfaction** to the Registrar within **30 days** of payment/satisfaction, in **Form CHG-4**. The proviso allows the Registrar to permit intimation within **300 days** on application with additional fees. Under **Section 83**, the Registrar may, even without intimation, enter a memorandum of satisfaction on evidence. **Analysis.** Vega must file **CHG-4** within 30 days (by ~01.07.2025). The Registrar then issues notice to the charge-holder and records satisfaction under **Section 82/83**. **Conclusion.** File Form CHG-4 within 30 days; otherwise seek the 300-day extension. Failure attracts penalties under **Section 86**.

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**B4.** *A debenture-holder of Comet Ltd appoints a receiver over the company's assets under the terms of a floating charge. Comet's directors argue no filing is needed since the charge is already registered.*

**Facts.** Receiver appointed under a registered floating charge. **Law. Section 84** requires the person appointing a **receiver or manager** of company property under powers in an instrument to give **notice to the company and the Registrar within 30 days** in **Form CHG-6**; the Registrar enters it in the register of

charges. This is **independent** of the original charge registration. **Analysis.** Registration of the charge does not dispense with the separate S.84 intimation of the receiver's appointment. **Conclusion.** The appointer must file **Form CHG-6** within 30 days. The directors are incorrect.

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## Section C — Past-Paper-Style Descriptive Questions (Model Answers)

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### C1. Explain the consequences of non-registration of a charge under the Companies Act, 2013.

**Answer.** The consequences flow mainly from **Sections 77(3), 77(4) and 86**:

1. **Void against liquidator and creditors (S.77(3)).** A charge required to be registered but not registered is **not taken into account** by the liquidator (including a liquidator/RP under the Insolvency and Bankruptcy Code) or by any other creditor. The charge-holder loses secured status and its priority.
2. **Debt survives (S.77(4)).** Non-registration does not prejudice the contract to repay the money secured — it becomes **immediately payable** and the creditor may sue as an **unsecured creditor**.
3. **Penalty (S.86).** The company and every officer in default are punishable with fine; furnishing **false or incorrect information** for registration attracts liability for **fraud under Section 447**.
4. **Practical effect.** The security is worthless in insolvency, defeating the lender's protection — hence lenders insist on timely CHG filing.

### C2. Describe the time limits for registration of a charge, including the powers of the Registrar and the Central Government to allow delayed registration.

**Answer.** Under **Section 77(1)** (as amended by the 2019 Amendment, for charges created on or after 02.11.2018):

- **Normal period:** within **30 days** of creation of the charge.
- **First proviso:** the Registrar may, on application, allow registration within **60 days** of creation, on payment of **additional fees**.
- **Second proviso:** if still not registered, the Registrar may, on application, allow a **further period of 60 days** (i.e., up to **120 days** from creation), on payment of **ad valorem fees**.
- **Beyond 120 days:** registration under S.77 is no longer available. The company must apply to the **Central Government under Section 87** for **rectification / condonation of delay** in Form CHG-8, if the omission was accidental, inadvertent, or does not prejudice creditors/shareholders.

*(For charges created before 02.11.2018, the older regime of 300 days / six-month window applies — flag this distinction in dated problems.)*

### C3. Write short notes on: (a) Company's register of charges; (b) Rectification by Central Government.

**Answer. (a) Company's register of charges (S.85).** Every company keeps, at its **registered office**, a register in **Form CHG-7** with particulars of all charges and floating charges and copies of the instruments. It is preserved permanently (the instrument copies for 8 years after satisfaction) and is open to inspection by members/creditors without fee and others on payment. It supplements — but does not replace — the Registrar's register.

**(b) Rectification by Central Government (S.87).** Where there is an **omission or misstatement** in registering a charge, or a **delay** beyond the S.77 limits, the **Central Government** (powers delegated to the Regional Director) may, on being satisfied that the default was **accidental / inadvertent / due to sufficient**

**cause or not prejudicial to creditors/shareholders**, order the delay/omission to be **rectified** — effectively condoning the delay. Application is made in **Form CHG-8**.

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## Section D — MCQs / Case Scenarios (Correct Option + Reasoning)

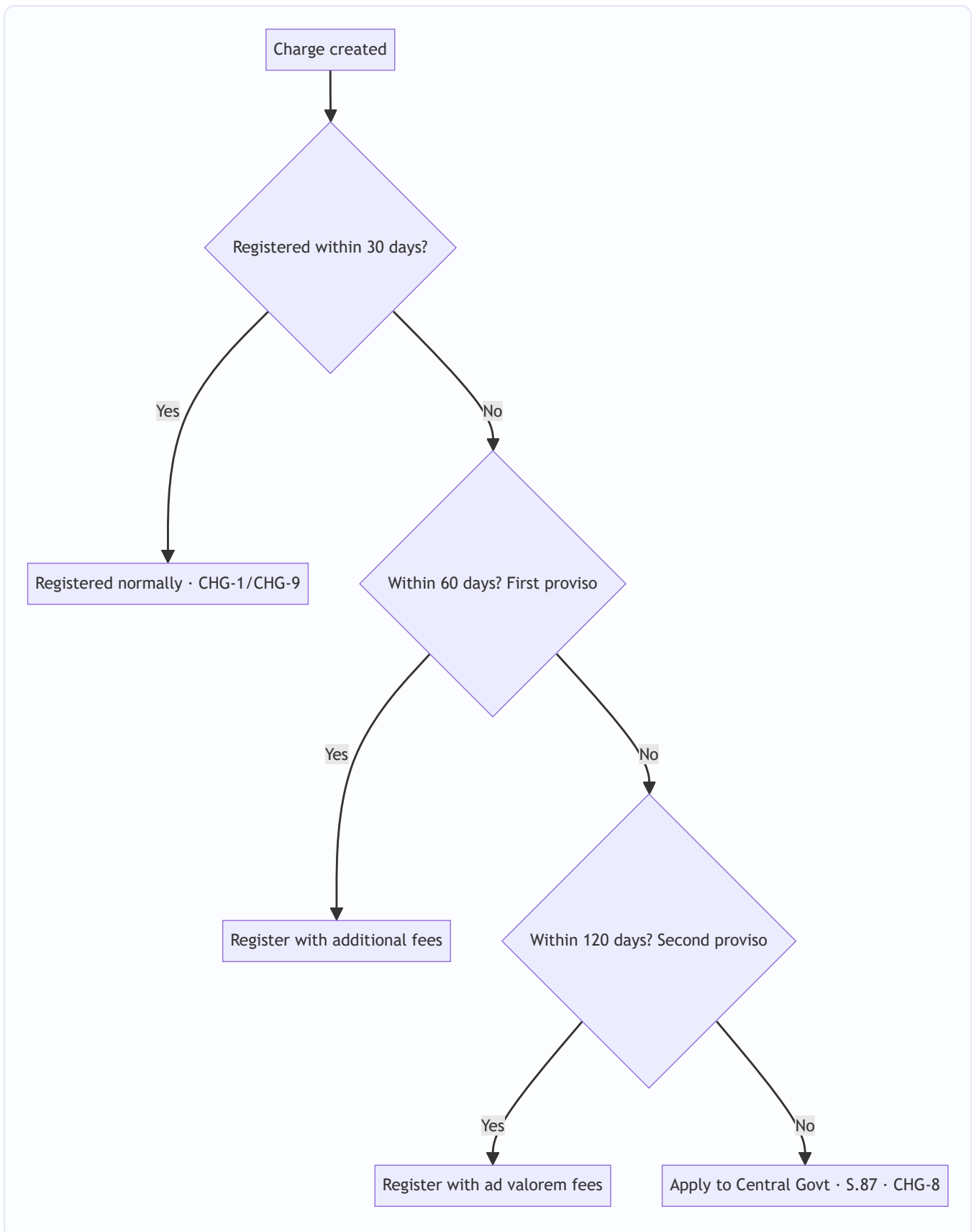
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- D1.** The definition of "charge" is contained in — A. S.2(15) B. **S.2(16)** C. S.77 D. S.2(30) **Answer: B.** Section 2(16) defines "charge" as an interest/lien created as security, including a mortgage.
- D2.** The normal period for registration of a charge under S.77(1) is — A. 15 days B. **30 days** C. 60 days D. 90 days **Answer: B.** Registration is within 30 days of creation, extendable via provisos.
- D3.** The **outer limit** (with ad valorem fees, second proviso) for registering a charge created after 02.11.2018 is — A. 60 days B. 90 days C. **120 days** D. 300 days **Answer: C.** 30 + 60 (first proviso) + a further 60 (second proviso) = 120 days from creation.
- D4.** An unregistered charge, in the winding-up of the company — A. Gives full priority B. **Is not taken into account by the liquidator** C. Extinguishes the debt D. Is automatically registered **Answer: B.** Under S.77(3) the liquidator/creditors disregard it; the debt still stands under S.77(4).
- D5.** Registration of a charge operates as notice to the world under — A. S.79 B. **S.80** C. S.82 D. S.85 **Answer: B.** Section 80 makes registration deemed (constructive) notice.
- D6.** Intimation of **satisfaction** of a charge is filed in — A. CHG-1 B. **CHG-4** C. CHG-7 D. CHG-9 **Answer: B.** Form CHG-4 under Section 82, within 30 days of satisfaction (extendable to 300 days).
- D7.** A charge created to secure **debentures** is registered in — A. CHG-1 B. CHG-4 C. **CHG-9** D. CHG-6 **Answer: C.** Form CHG-9 is used for charges relating to debentures; CHG-1 for others.
- D8.** If a company fails to register within 30 days, the **charge-holder** may apply under — A. S.77 B. **S.78** C. S.83 D. S.87 **Answer: B.** Section 78 lets the charge-holder register; the Registrar gives the company 14 days' notice.
- D9.** Notice of appointment of a **receiver/manager** is filed under S.84 in — A. CHG-4 B. **CHG-6** C. CHG-7 D. CHG-8 **Answer: B.** Form CHG-6 within 30 days of appointment.
- D10.** Condonation of delay beyond the S.77 limits is granted by — A. The Registrar B. The Tribunal (NCLT) C. **The Central Government (S.87)** D. The Court **Answer: C.** Section 87 empowers the Central Government (via Regional Director) using Form CHG-8.
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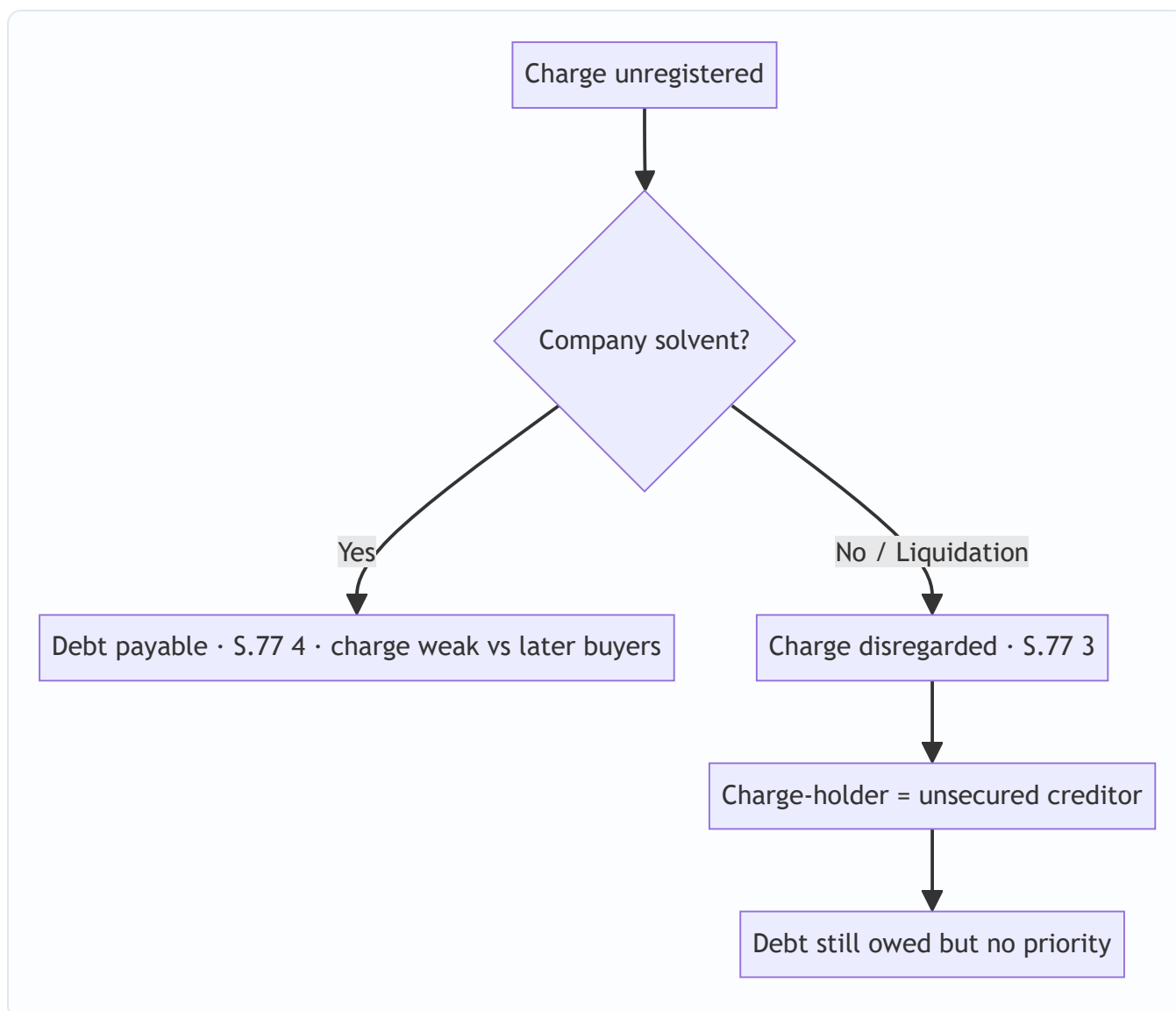
## Procedure Diagrams

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**Registration timeline (charge created on/after 02.11.2018):**



**Non-registration consequence (decision logic):**



## Connections, Traps & Quick Revision

**Connections.** (i) **IBC** — S.77(3) expressly ties into insolvency: an unregistered charge is ignored by the resolution professional/liquidator, so the lender falls into the unsecured pool under the IBC waterfall. (ii)

**Deposits/Debentures** — secured debentures require a charge registered via CHG-9; links to Chapter on Deposits and to debenture trustees. (iii) **Constructive notice (S.80)** — a buyer of company property is deemed to know registered charges, so cannot claim to be a bona fide purchaser without notice.

**Examiner traps.** - *Debt vs security:* Non-registration voids the **security**, not the **debt** (S.77(4)). Do not write "loan is cancelled." - *"Void" nuance:* The charge is void **against the liquidator and creditors**, not void inter se between company and charge-holder. - *Timeline confusion:* 30 → 60 → 120 days is measured **from creation**, not sequentially added after each stage; beyond 120 days go to **S.87**, not the Registrar. - *Right form:* CHG-1 (others) vs **CHG-9 (debentures)**; CHG-4 (satisfaction); CHG-6 (receiver); CHG-7 (company register); CHG-8 (condonation). - *Two registers:* Registrar's register (S.81) **and** company's own register (S.85, CHG-7) — both exist.

**First-principles recap.** A charge is invisible — a secret pact between borrower and lender (S.2(16)). Left secret, later lenders and buyers are deceived and priority is chaotic. The Act converts the private security into

a **public fact** by compelling registration (S.77), backs it with **deemed notice** (S.80), and enforces it with a **penalty that bites where it hurts** — the charge is disregarded in insolvency (S.77(3)) — while sparing the honest borrower's debt (S.77(4)).

**Quick-revision section/limit table.**

| Provision | Subject                           | Key limit / form                    |
|-----------|-----------------------------------|-------------------------------------|
| S.2(16)   | Definition of charge              | Includes mortgage; fixed & floating |
| S.77      | Duty to register                  | 30 days → 60 → 120; CHG-1/CHG-9     |
| S.77(3)   | Effect of non-registration        | Void vs liquidator/creditors        |
| S.77(4)   | Saving                            | Debt remains payable                |
| S.78      | Charge-holder registration        | On company default; 14-day notice   |
| S.79      | Modification of charge            | Same rules as creation              |
| S.80      | Deemed notice                     | Registration = constructive notice  |
| S.81      | Registrar's register              | Index of charges                    |
| S.82      | Satisfaction                      | 30 days → 300; CHG-4                |
| S.83      | Registrar's entry of satisfaction | Suo motu on evidence                |
| S.84      | Receiver/manager                  | 30 days; CHG-6                      |
| S.85      | Company's register                | CHG-7 at registered office          |
| S.86      | Penalty                           | Fine; false info → S.447 fraud      |
| S.87      | Rectification/condonation         | Central Govt; CHG-8                 |

# Chapter 07 — Management & Administration

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Companies Act 2013 — Chapter VII, Sections 88 to 122, read with Section 12 (registered office) and the Companies (Management and Administration) Rules, 2014. Confirm exact rule numbers in the latest ICAI material / bare Act, as rules are periodically amended.

## 1. The Problem — power without a paper trail

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A company is a strange creature. It owns property, signs contracts, sues and is sued — yet it has no body, no voice, no signature of its own. Every act it performs is really an act of *some human being* claiming to speak for it: a director, a manager, a majority of shareholders in a room. This is the source of an entire family of abuses.

**Abuse one — the vanishing company.** Suppose you are a supplier who sold ₹20 lakh of goods on credit to Orion Traders Ltd. Orion defaults. You go to sue. But *where* is Orion? A company is not a place. If the law let a company exist without a fixed, publicly known address, a fraudster could incorporate a company, collect money, and then simply be *unfindable*. Nobody could serve a legal notice, no regulator could inspect, no creditor could knock on a door.

**Abuse two — the secret owner.** You want to know who really controls Orion — because you are deciding whether to trust it, or because you are a regulator hunting for money laundering. The directors say "the shareholders own it." But the share register might list a nominee — a driver, a clerk, a shell — who *holds* the shares while a hidden person pulls the strings. Ownership becomes a hall of mirrors.

**Abuse three — the phantom meeting.** The company's biggest decisions — changing its constitution, removing a director, approving a merger — are supposed to be made by the *members* collectively. But what stops the directors from claiming a meeting happened when it didn't? Or holding it at 6 a.m. in a remote village with 4 hours' notice so no dissenting shareholder can attend? Or letting the chairman "declare" a resolution passed by show of hands when the hands actually said no? Or writing minutes afterward that record a decision nobody made?

**Abuse four — the frozen minority.** Even when a real meeting happens, a shareholder with 5% might be steamrolled — denied notice, denied the chance to send someone in their place, denied an accurate count of votes, denied even the right to see what was decided.

Every one of these is a way to exercise the company's enormous power *without accountability*. Chapter VII of the Companies Act 2013 is the law's answer: it forces the company to have a **findable address**, a **truthful record of who owns and controls it**, a **regular public report of its state**, and a **fair, provable, well-documented process for every collective decision**.

## 2. The Core Idea — every collective act must be visible, fair, and recorded

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The unifying principle of "Management & Administration" is this: **because a company acts only through people, the law surrounds every act with three guarantees — visibility, fairness, and a permanent record — so that power can always be traced back to a legitimate source.**



Break it into its three pillars:

1. **Visibility (where and who).** The company must have a registered office that never hides (Section 12), a register of members that names its owners (Section 88), disclosure of who *beneficially* owns shares behind nominees (Sections 89–90), and an annual return that snapshots the whole picture for the public (Section 92).
2. **Fairness of decision-making (how members decide).** No decision counts unless the members had a genuine, informed opportunity to participate: adequate notice (Section 101), an honest explanation of what they are voting on (Section 102), a minimum turnout (quorum, Section 103), the right to send a proxy (Section 105), and a fair way to count votes — show of hands, poll, e-voting, or postal ballot (Sections 107–110).
3. **Proof (the permanent record).** A decision that cannot be proved is a decision that can be denied or invented. So resolutions must be filed (Section 117) and minutes must be kept as near-conclusive evidence (Section 118).

The elegance is that each rule is a *fix for a specific cheat*. You never need to memorize a bare number — you reconstruct it from the abuse it stops.

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### 3. Why it's built this way — the logic of each safeguard

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**"Why must a company have a registered office within 30 days (Section 12)?"** Because a company that cannot be *served* cannot be *sued* or *regulated*. The registered office is the company's legal home — the single address where every notice, summons, and communication is validly delivered. Thirty days from incorporation is enough time to arrange premises but short enough that the company cannot operate for months as an untraceable ghost.

**"Why publish the name and address on every document and outside the office?"** Because people dealing with the company must instantly know *whom they are dealing with* and that it is a *limited* entity (so they are on notice that shareholders' liability is capped). Painting the name outside the office and printing the CIN on letterheads turns the company's identity into a public, unavoidable fact.

**"Why a register of members (Section 88), when share certificates already exist?"** Because a certificate is in *one person's pocket*; the register is the company's *single source of truth* about who its members are at any moment. Dividends, voting rights, and notices all flow from the register. Without it, ownership disputes would be unwinnable and the company wouldn't know whom to pay or invite.

**"Why force disclosure of *beneficial* interest (Section 89) and *significant beneficial owners* (Section 90)?"** Because the register names the *legal* holder, who may be a mere nominee. The real mischief — tax evasion, money laundering, benami control, evading takeover thresholds — hides in the gap between the *name on the register* and the *person who enjoys the benefit*. Sections 89 and 90 close that gap by compelling the hidden beneficiary to step into the light.

**"Why an annual return (Section 92) on top of financial statements?"** Because financial statements show the *money*; the annual return shows the *structure* — who the members are, how shares moved, who the directors and KMP are, indebtedness, and compliance. It is the yearly "census" of the company, filed with the Registrar so any outsider can reconstruct the company's shape without visiting it.

**"Why compel an AGM every year (Section 96)?"** Because directors, once in the saddle, have every incentive to *avoid* facing the owners. Left alone they would present accounts late, never stand for re-election,

and never answer questions. A mandatory annual meeting forces a yearly reckoning: accounts are laid, auditors and directors face the members, dividends are declared. It is the heartbeat of accountability.

**"Why 21 clear days' notice (Section 101)?"** Because a decision taken by ambush is not a decision by the members — it is a decision by whoever controls the calendar. A fixed, generous notice period guarantees every member, however small or distant, has real time to study the agenda, form a view, and arrange to attend or appoint a proxy.

**"Why an explanatory statement for special business (Section 102)?"** Because a bare agenda line ("to consider item 5") tells a member *nothing*. Directors could bury a self-serving related-party deal under a vague heading. Section 102 forces full disclosure of *what* the resolution really does and *who* is materially interested, so consent is *informed*, not blind.

**"Why a quorum (Section 103)?"** Because two people in a room cannot bind thousands of owners. A minimum turnout ensures a decision reflects a meaningful cross-section of members, not a stealth meeting of insiders.

**"Why the right to a proxy (Section 105)?"** Because a member who cannot physically attend would otherwise be *disenfranchised*. The proxy lets absent owners still cast their weight, so control cannot be seized simply by whoever shows up in person.

**"Why a poll (Section 109) when a show of hands already exists?"** Because a show of hands counts *heads*, not *shares* — one tycoon holding 60% has the same single hand as a man holding one share. That is absurd for a body where power tracks capital. A poll re-counts by *shareholding*, so the true owners' weight prevails when it matters. E-voting (Section 108) and postal ballot (Section 110) extend the same fairness to those who never enter the room.

**"Why ordinary vs special resolutions (Section 114)?"** Because not all decisions are equal. Routine matters need a simple majority; but decisions that *change the fundamental bargain* — altering the constitution, reducing capital, winding up — could crush a large minority. Requiring a 75% supermajority for these means no faction can rewrite the deal without overwhelming consent.

**"Why file resolutions (Section 117) and keep minutes (Section 118)?"** Because the entire edifice collapses if decisions can be *invented or denied* after the fact. Filed resolutions put major acts on the public record; minutes, signed and dated within 30 days, are near-**conclusive evidence** that the meeting happened and decided what they say. Proof is the final safeguard.

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## 4. Full Technical Content — section by section, each with its "why"

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### 4.1 Registered office & publication — Section 12

- **The rule:** A company must have a registered office **within 30 days of incorporation** and at all times thereafter, capable of receiving and acknowledging all communications and notices. *Why: a fixed legal home so the company is always findable.*
- **Verification:** The company must furnish verification of the registered office to the Registrar within 30 days in **Form INC-22**. *Why: prevents a fake or borrowed address.*
- **Publication (Section 12(3)):** Every company must —
- Paint/affix its **name and registered-office address** outside every office/place of business, in legible letters, in English and the local language;

- Have its **name engraved** on its seal (if it has one);
- Print name, registered-office address, **CIN**, telephone/fax/email/website on all business letters, billheads, notices and official publications;
- **One Person Company** must additionally print the words "One Person Company" in brackets below its name. *Why: instant identification and notice of limited liability.*
- **Change of registered office:** Notice of any change filed with Registrar within **15 days** in Form INC-22. *Why: keeps the "findable home" current.*
- Change **within same city/town/village** — Board resolution suffices.
- Change **outside local limits but within same ROC jurisdiction / state** — **special resolution**.
- Change from **one state to another**, or shifting ROC — special resolution **plus approval of the Central Government (Regional Director)**. *Why: an interstate move can strip a state's creditors and revenue of local jurisdiction, so a higher authority polices it.*
- **Default (Section 12(8)):** Company and every officer in default liable to a penalty of **₹1,000 per day** of default, up to a **maximum of ₹1,00,000**.
- **Trap — Section 12(9):** If the Registrar has reasonable cause to believe the company is **not carrying on business**, he may cause a **physical verification** of the registered office; if found in default, he may initiate action to **strike off** the company. *Why: an address with no real business is the classic shell-company red flag.*

## 4.2 Register of members and other security holders — Section 88

- **The rule:** Every company shall keep and maintain a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders**. *Why: the single source of truth on ownership.*
- **Index (Section 88(2)):** Where members exceed **50**, an index of names must be maintained (unless the register itself is in a form serving as an index). *Why: usability — you must be able to find a member fast.*
- **Foreign register (Section 88(4)):** A company may keep a **foreign register** of members/debenture-holders/other security holders residing outside India. *Why: practical access for overseas holders.*
- **Rule detail:** Registers maintained in **Form MGT-1** (members) etc.; entries within **7 days** of the Board (or its committee) approving allotment or transfer.
- **Default (Section 88(5)):** Company liable to penalty and every officer in default liable to penalty. *(Confirm the exact revised penalty figures in current ICAI material — amended by the Amendment Acts.)*

## 4.3 Declaration of beneficial interest — Section 89

- **The problem:** The register names the *legal* holder, who may only be a **nominee** for someone else who truly enjoys the dividends and rights.
- **The rule:**
- The person whose name is entered but who **does not hold the beneficial interest** (the registered owner / nominee) must file a declaration in **Form MGT-4** within **30 days**.
- The person who **holds the beneficial interest** but is not the registered owner must declare in **Form MGT-5** within **30 days** of acquiring it.
- The **company**, on receiving these, must record it and file a return in **Form MGT-6** with the Registrar within **30 days**.

- **Consequence (Section 89(8)):** Until the declaration is made, **no right in the shares** (e.g. voting) shall be **enforceable** by the beneficial owner. *Why: removes the benefit of hiding — an undeclared beneficiary cannot use the very rights he concealed.*
- **Section 89(10) definition:** "Beneficial interest" includes, directly or indirectly through contract/arrangement, the right to exercise **any or all rights attached** to a share (voting, dividend, transfer, etc.).

#### 4.4 Significant Beneficial Owner (SBO) — Section 90

- **The deeper problem:** Even Section 89 only catches simple nominee arrangements. Control can hide behind **layers of companies and trusts**. Section 90 hunts the *ultimate individual* controlling a company.
- **Who is an SBO:** An **individual** who, acting alone or together, or through one or more persons/trusts, holds **beneficial interest of at least 10%** of shares (or voting rights, or right to receive dividend), **or** exercises **significant influence or control** over the company (threshold prescribed by rules — confirm the 10% figure in current SBO Rules).
- **Duties:**
  - The SBO must declare his interest to the company in **Form BEN-1**.
  - The company files a return in **Form BEN-2** with the Registrar.
  - The company maintains a **register of SBOs in Form BEN-3**.
  - The company must **give notice (Form BEN-4)** to any person it believes to be, or to know of, an SBO.
- **Enforcement teeth (Section 90(7)–(9)):** If a person fails to respond, the company may apply to the **Tribunal** for an order imposing **restrictions on the shares** (transfer, dividend, voting suspended). *Why: freezes the very shares used to hide, forcing disclosure.*
- **Exemption:** Certain holdings (e.g. by IEPF Authority, mutual funds, holding reporting companies) are exempt. *Why: these are already transparent/regulated.*

#### 4.5 Place of keeping registers & returns — Section 94

- **The rule:** Registers under Section 88 and copies of annual returns are kept at the **registered office**. They may be kept **elsewhere in India** where more than **1/10th of members reside**, if approved by a **special resolution**. *Why: brings records physically closer to where owners actually are, but only with supermajority consent to prevent hiding records in an inconvenient place.*
- **Inspection:** Members/debenture-holders may inspect **free of charge**; others on payment of prescribed fee. Copies to be provided within the prescribed period. *Why: transparency is meaningless without access.*
- **Amendment note:** The earlier requirement to file a copy of a proposed special resolution in advance with the Registrar (old Section 94 proviso) was **omitted** by the 2017 Amendment — confirm current position.

#### 4.6 Annual Return — Section 92

- **The rule:** Every company shall prepare an annual return in **Form MGT-7** (small companies and OPC use **MGT-7A**) containing, as they stood at the **close of the financial year**, particulars of: registered office, principal business activities; holding/subsidiary/associate companies; shares, debentures, other securities and shareholding pattern; members and debenture-holders with **changes** since last year; promoters, directors, KMP and changes; meetings of members/Board/committees and attendance; remuneration of

directors and KMP; penalties/punishments and compounding; matters relating to certification of compliances; shareholding of the FI; and other prescribed matters.

- **Signing:** Signed by a **director and the Company Secretary**; where there is no CS, by a **company secretary in practice**.
- **Certification (Section 92(2)):** A **listed company** or a company with **paid-up capital  $\geq$  ₹10 crore** or **turnover  $\geq$  ₹50 crore** must have the annual return **certified by a company secretary in practice** in **Form MGT-8**. *Why: independent professional attestation for larger companies where errors affect many.*
- **Filing (Section 92(4)):** File with the Registrar within **60 days of the AGM**; if no AGM is held, within 60 days of the date the AGM *should* have been held, with reasons for not holding it. *Why: a fixed public deadline keeps the census current.*
- **Abridged / web note:** The requirement for an **extract of the annual return (MGT-9)** in the Board's report was replaced — companies now place the annual return on the **website** and give the web link in the Board's report. *(Confirm current wording.)*
- **Default (Section 92(5)/(6)):** Company and every officer in default liable to penalty (₹ per day continuing default, subject to cap); a PCS certifying wrongly is liable to penalty. *(Confirm exact revised figures.)*

*The census reflex — remember MGT: Members, Governance, Transactions all get filed on Forms MGT.*

#### 4.7 Annual General Meeting — Section 96

- **The rule:** Every company **other than a One Person Company** must hold an AGM **every year**.
- **Gaps and first AGM:**
- First AGM: within **9 months** from the close of the **first** financial year. (If held, no AGM needed in the year of incorporation.)
- Subsequent AGMs: within **6 months** from the close of the financial year.
- Gap between two AGMs **not more than 15 months**.
- The Registrar may, for special reasons, **extend** the time for holding an AGM (not the first AGM) by up to **3 months**. *Why: rare genuine difficulties (e.g. delayed accounts) accommodated, but the first AGM is never extendable.*
- **Time and place:** Held during **business hours (9 a.m. to 6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or some other place within the **city/town/village** where the registered office is situated. (Unlisted companies may hold the AGM **anywhere in India** if all members consent — 2017 Amendment.) *Why: no ambush at odd hours or unreachable places.*
- **Business:** *Ordinary business* — (a) consideration of financial statements and reports; (b) declaration of dividend; (c) appointment of directors in place of those retiring; (d) appointment/re-appointment of auditors and fixing remuneration. Everything else is *special business* needing an explanatory statement.
- **Default (Section 99):** If an AGM is not held, company and every officer in default liable to a fine up to **₹1,00,000**, and **₹5,000 per day** for continuing default.

#### 4.8 Tribunal's power to call meetings — Sections 97 & 98

- **Section 97 — default in holding AGM:** If a company fails to hold an AGM, **any member** may apply to the **Tribunal**, which may **call/direct the calling of** an AGM and give ancillary directions (including that **one member present in person or by proxy shall constitute the meeting**). *Why: members are not left helpless when directors stonewall.*

- **Section 98 — impracticability:** If for any reason it is **impracticable** to call or conduct a meeting (other than an AGM), the Tribunal may, on its own motion or on application of a director/member, **order a meeting** to be called and conducted as it directs. *Why: deadlock (e.g. quorum can never be met because a faction boycotts) must not paralyse the company.*

#### 4.9 Extraordinary General Meeting — Section 100

- **The idea:** Any general meeting **other than the AGM** is an EGM — for urgent matters that cannot wait.
- **Who calls it:**
- The **Board** may call an EGM whenever it thinks fit.
- The Board **must** call an EGM on a valid **requisition** by members holding at least **1/10th of the paid-up share capital** carrying voting rights (or, for a company without share capital, 1/10th of total voting power).
- The Board must proceed to call the meeting **within 21 days** to be held **within 45 days** of receiving the requisition.
- If the Board fails, the **requisitionists themselves** may call the EGM within **3 months** of the requisition; reasonable expenses are **recovered from the company** (and may be deducted from defaulting directors' fees). *Why: owners can force a reckoning even against an unwilling Board.*
- **Place (2017 Amendment proviso):** An EGM of a **wholly-owned subsidiary of a company incorporated outside India** may be held **anywhere in the world**; other companies' EGMs are held in India.

#### 4.10 Notice of meeting — Section 101

- **The rule:** A general meeting is called by giving **not less than 21 clear days' notice** in writing or electronic mode.
- **"Clear days":** Exclude the **day of service** and the **day of the meeting**; add ~2 days for postal service where notice is sent by post. *Why: 21 usable days, not 21 counted-from-the-envelope.*
- **Shorter notice:** A meeting may be called on **shorter notice** if consented to by:
- **AGM — 95%** of the members entitled to vote;
- **other meetings (EGM)** — members holding **95%** of the paid-up voting capital (or 95% of voting power where no share capital). *Why: near-unanimity means nobody is ambushed.*
- **To whom (Section 101(3)):** To every **member, legal representative of a deceased member, assignee of an insolvent member, auditor, and every director.**
- **Contents:** Place, date, day, hour of the meeting, and the **agenda**. Accidental omission to give notice to, or non-receipt by, any member does **not** invalidate proceedings (Section 101(4)) — *provided the omission was truly accidental, not deliberate.*

#### 4.11 Statement to be annexed to notice — Section 102

- **The rule:** For every item of **special business**, the notice must annex an **explanatory statement** setting out —
- the **material facts** concerning each item;
- the **nature of the concern or interest**, financial or otherwise, of **every director, manager, KMP and their relatives** in each item;



- where an item relates to another company, the **shareholding interest** in that other company of every director/KMP/their relatives, **if it is 2% or more**.
- **Consequence of default (Section 102(4))**: If, as a result of non-disclosure or insufficient disclosure, any **benefit accrues** to a director/promoter/manager/KMP/relative, they must **compensate the company** to the extent of the benefit. Default also attracts a penalty of **₹50,000 or 5 times the benefit, whichever is more**. *Why: disgorges the profit gained through concealment — you cannot keep what you hid.*

#### 4.12 Quorum — Section 103

- **The rule (public company)**: Minimum members personally present —
- **5 members** if the number of members on the date of meeting is  $\leq 1,000$ ;
- **15 members** if members are  $> 1,000$  but  $\leq 5,000$ ;
- **30 members** if members are  $> 5,000$ .
- **Private company: 2 members** personally present. *Why: smaller bodies need a smaller floor.*
- **If quorum absent within half an hour**:
- Meeting called on **requisition** by members → **dissolved**.
- Any other meeting → **adjourned** to the same day next week, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting within half an hour, the **members present shall be the quorum**. *Why: a persistently boycotting faction cannot paralyse the company forever.*

#### 4.13 Chairman, proxies and voting — Sections 104 to 108

- **Chairman (Section 104)**: Unless the articles provide otherwise, members personally present **elect a chairman by show of hands**; if a poll is demanded on the election of chairman, it is taken **forthwith**. *Why: a meeting needs a neutral steward from the first minute.*
- **Proxy (Section 105)**:
- Any member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf.
- A proxy **need not be a member**.
- **A proxy cannot vote on a show of hands** and (unless articles allow) **cannot speak**. *Why: a proxy is a stand-in vote-carrier, not a debater.*
- **Members of a company not having share capital** cannot appoint a proxy unless the articles allow; a **Section 8 company** member may appoint a proxy only if the proxy is also a member.
- **Proxy instrument** must be deposited **not more than 48 hours** before the meeting. *Why: gives the company time to verify without letting last-minute forgeries slip in.*
- **Aggregation limit (Rules)**: A person can act as proxy for **not more than 50 members** and members holding in aggregate **not more than 10% of total voting share capital**; but a member holding **more than 10%** may appoint a **single** proxy who then cannot be proxy for anyone else. *Why: prevents proxy-farming to hijack meetings.*
- Notice of the meeting must state, "with reasonable prominence," that a member entitled to attend and vote may appoint a proxy.
- **Restriction on voting rights (Section 106)**: Articles may bar a member from voting if **calls are unpaid** or the company has a lien/exercised a right over his shares. Except as so provided, a member's voting right cannot otherwise be restricted. *Why: you shouldn't vote with shares you haven't fully paid for.*

- **Voting by show of hands (Section 107):** At any general meeting a resolution is decided by a **show of hands** in the first instance, unless a poll is demanded (Section 109) or e-voting is used. *One member = one hand, regardless of shareholding — the flaw a poll cures.*
- **Voting through electronic means (Section 108): Prescribed classes** of companies (notably **listed companies and those with  $\geq 1,000$  members**) must provide members the facility to exercise their vote by **electronic means (remote e-voting)**. *Why: extends the franchise to owners who cannot travel — especially scattered public shareholders.*

#### 4.14 Poll — Section 109

- **The rule:** Before or on the declaration of the result of a show of hands, a **poll** may be **demand**ed by —
- In a company **having share capital** — members holding at least **1/10th of the total voting power** or holding **paid-up shares of  $\geq ₹5,00,000$**  (in aggregate);
- In a company **without share capital** — members having at least **1/10th of the total voting power**.
- **The chairman** may also **order a poll suo motu**.
- **Timing:** A poll on **adjournment** or **election of chairman** is taken **forthwith**; any other poll within **48 hours**. *Why: procedural matters can't wait; substantive ones get a short verification window.*
- **Effect:** On a poll, votes are counted by **shareholding** — the true weight of capital prevails. A demand for a poll may be **withdrawn** by the person(s) who made it.

#### 4.15 Postal ballot — Section 110

- **The idea:** Some decisions are put to members **entirely by post/e-voting** without a physical meeting — every member votes from home.
- **The rule:** A company **may**, and in respect of items of business the Central Government declares to be transacted **only by postal ballot, shall**, get any resolution passed by means of a **postal ballot** (which includes voting by electronic means).
- **Exception: Ordinary business** and any business in respect of which **directors or auditors have a right to be heard** cannot be transacted by postal ballot. *Why: matters requiring live debate/hearing need a meeting.*
- **OPC /  $\leq 200$  members:** A **2017 Amendment proviso** allows any item required to be transacted by postal ballot to instead be transacted at a **general meeting** by a company that is required to provide **e-voting** to its members.
- **Deeming (Section 110(2)):** A resolution assented to by the requisite majority through postal ballot is **deemed to have been duly passed at a general meeting**.
- **Items generally requiring postal ballot (Rules):** e.g. alteration of the objects clause; change of registered office outside local limits; variation of rights attached to a class of shares; buy-back; election of a small shareholders' director; sale of the whole/substantially the whole of an undertaking; giving loans/guarantees beyond limits. *(Confirm the current list in the Management & Administration Rules.)*

#### 4.16 Circulation of members' resolution — Section 111

- **The rule:** Members holding the requisite stake (as for a requisition under Section 100 — **1/10th** of voting capital, or 100 members holding shares on which prescribed aggregate paid-up sum has been paid) can require the company to (a) give **notice of a resolution** they intend to move, and (b) **circulate a**



**statement** (up to ~1,000 words) about any matter on the agenda. *Why: the minority gets a voice on the official agenda, not just a heckle from the floor.*

- Expenses are borne by the requisitionists unless the company resolves otherwise. The company may apply to have a defamatory statement not circulated.

#### 4.17 Representation — Sections 112 & 113

- **Section 112:** The **President of India** or a **Governor of a State**, if a member, may appoint a person to act as its **representative** at meetings, who then enjoys the same rights as an individual member. *Why: the State as shareholder needs a human proxy.*
- **Section 113:** A **body corporate** that is a member may, by **resolution of its Board**, authorise a person as its **representative**; that representative may exercise **all the rights** of the member, including voting on a show of hands and a poll, and is counted for **quorum**. *Why: a company-member also acts only through a human — this makes that human fully empowered (unlike a mere proxy).*
- **Trap:** A **corporate representative** (Section 113) is *not* the same as a **proxy** (Section 105). The representative counts for quorum and can vote on a show of hands; a proxy does neither.

#### 4.18 Ordinary and special resolutions — Section 114

- **Ordinary resolution (Section 114(1)):** Passed when votes cast **in favour exceed the votes cast against** (a **simple majority**) by members entitled to vote, in person or by proxy/postal ballot.
- **Special resolution (Section 114(2)):** (a) the **intention to propose it as a special resolution** is stated in the notice; and (b) votes cast **in favour are not less than three times** the votes cast against — i.e. a **75% supermajority**. *Why: fundamental changes need overwhelming, not bare, consent.*
- **When a special resolution is required (examples to remember):** change of name; alteration of the **articles**, and the objects clause of the **memorandum**; shift of registered office outside local limits/to another state; **reduction of share capital** (Section 66); **buy-back** (Section 68); issue of **sweat equity** and **private placement/preferential allotment**; loans and investments beyond Section 186 limits; voluntary winding-up; conversion of a public company into private; removal of an auditor before term; keeping registers at a place other than the registered office (Section 94). *(A resolution is ordinary unless the Act or articles specifically demand a special one — that is the default.)*

#### 4.19 Resolutions requiring special notice — Section 115

- **The rule:** Where the Act or the articles require **special notice** for a resolution, notice of the **intention to move** it must be given to the company by members holding **not less than 1% of total voting power or shares on which ₹5,00,000 aggregate has been paid up**, at least **14 days before the meeting** (excluding the day of receipt and day of meeting). The company then notifies members. *Why: certain sensitive resolutions (e.g. removing a director under Section 169, or appointing an auditor other than the retiring one) must not surprise the person affected — they get advance warning and a chance to be heard.*

#### 4.20 Resolution passed at adjourned meeting — Section 116

- A resolution passed at an **adjourned meeting** is treated as passed on the **date it was actually passed**, not on any earlier date. *Why: prevents back-dating the effect of a decision to before it was really taken.*

#### 4.21 Resolutions and agreements to be filed — Section 117

- **The rule:** A copy of every resolution or agreement of the specified types, together with the explanatory statement (if any), must be **filed with the Registrar in Form MGT-14 within 30 days**.
- **Which resolutions must be filed (Section 117(3)):** all **special resolutions**; resolutions of the Board or agreements that the company has **agreed to** which bind classes of members though not all agreed; resolutions requiring a company to be **wound up voluntarily**; resolutions passed under **Section 179(3)** (key Board powers — e.g. borrowing, investing, issuing securities); and others prescribed. *Why: the public record must capture every fundamental and financially significant decision.*
- **Default:** Company and every officer in default (including liquidator) liable to penalty. *(Confirm revised figures.)*
- **Exemption: Banking company** resolutions granting loans / giving guarantees in the ordinary course of business are exempt from filing.

#### 4.22 Minutes — Section 118

- **The rule:** Every company must keep **minutes** of every **general meeting**, every meeting of the **Board and its committees**, and every resolution passed by **postal ballot**, in books kept for that purpose, with pages consecutively numbered.
- **Time limit:** Minutes must be entered within **30 days** of the meeting.
- **Signing:** Each page initialled/signed and the last page signed and dated by the **chairman** of that meeting or the **chairman of the next meeting**. *Why: authentication ties the record to a responsible person.*
- **Contents & fairness (Section 118(5)–(6)):** Minutes must contain a **fair and correct summary**. The chairman has discretion to **exclude** matters that are defamatory, irrelevant, or detrimental to the company's interests — but must include **all appointments of officers**.
- **Evidentiary force (Section 118(8)):** Minutes kept in accordance with this section are **evidence of the proceedings**; where minutes exist, the meeting is **deemed to have been duly held and convened**, all proceedings deemed duly taken, and all appointments valid, **until the contrary is proved**. *Why: this is the whole point — near-conclusive proof that stops decisions being invented or denied.*
- **No tampering (Section 118(7)/(9)):** Minutes are **not to be altered** and must follow **Secretarial Standards (SS-1 for Board, SS-2 for general meetings)** issued by ICSI and approved by the Central Government. *Why: a record you can edit later proves nothing.*
- **Default (Section 118(11)/(12)):** Penalty on the company and officer in default; a person who **tampers** with minutes is punishable. *(Confirm figures.)*

#### 4.23 Inspection of minute books — Section 119

- **General-meeting** minute books are kept at the **registered office**, open to **inspection by members free of charge** during business hours, and members are entitled to a **copy within 7 working days** on payment of prescribed fee. *Why: owners must be able to check what was decided in their name.*
- **Board** minutes are **not** open to member inspection (they are management-confidential).

#### 4.24 Maintenance in electronic form; AGM report; OPC — Sections 120–122

- **Section 120:** Prescribed classes of companies must keep registers, returns, records and minutes in **electronic form** (with prescribed security). *Why: modern, tamper-evident, searchable records.*

- **Section 121 (Report on AGM):** Every **listed public company** must prepare a **report on each AGM** confirming it was convened, held and conducted as per the Act and Rules, and file it with the Registrar in **Form MGT-15 within 30 days** of the AGM. *Why: independent assurance for public investors that the AGM was proper.*
- **Section 122 (Applicability to OPC):** Sections 98 and 100 to 111 (general-meeting machinery) **do not apply** to a **One Person Company**. For an OPC, where the **sole member** takes a decision requiring a resolution, it is **entered in the minutes book, signed and dated by the member**, and that date is deemed the date of the meeting. *Why: a one-person company has nobody to "meet" — the fiction of a meeting is replaced by a signed minute.*

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## 5. Applied Scenarios — facts → analysis → conclusion

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**Scenario A — The 20-days notice.** *Facts:* Vega Ltd (unlisted, 300 members) calls its AGM giving 20 clear days' notice. Only 90% of members entitled to vote consented to short notice. A member challenges the resolutions passed. *Analysis:* Section 101 requires **21 clear days**. A shorter notice is valid only if **95%** of members entitled to vote consent (Section 101(1) proviso). Here consent is only 90%, so the statutory threshold fails; the notice is invalid and the meeting is not validly convened. *Conclusion:* The AGM is **invalidly called**; resolutions passed are liable to be set aside. Vega must re-issue proper notice.

**Scenario B — The show-of-hands tycoon.** *Facts:* At Nimbus Ltd's EGM, a resolution to sell an undertaking is put to a **show of hands** and declared *lost* 8 hands to 5. Mr. Rao, present and holding **30% of the paid-up capital**, immediately demands a poll. The chairman refuses, saying "the hands have spoken." *Analysis:* Under **Section 109**, a poll may be demanded by members holding **≥ 1/10th of voting power** or ₹5,00,000 paid-up value. Mr. Rao alone holds 30% — well above the threshold — so his demand is **valid and must be honoured**. A show of hands counts heads, not shares; the poll re-counts by shareholding. The chairman **cannot refuse** a validly demanded poll. Note also that sale of substantially the whole undertaking needs a **special resolution** (and typically postal ballot), reinforcing that the show-of-hands result was never final. *Conclusion:* The refusal is **illegal**; the poll must be taken (within 48 hours), and the result on a poll — reflecting Rao's 30% — governs.

**Scenario C — The buried related-party deal.** *Facts:* Comet Ltd's AGM notice lists "Item 6 — to consider and approve a contract." The explanatory statement omits that the contract is with a firm in which Director X holds a **40% interest**. The resolution passes; X's firm earns ₹15 lakh. *Analysis:* Item 6 is **special business** requiring a **Section 102** explanatory statement disclosing the **nature and extent of X's interest**. The omission means consent was not informed. Under **Section 102(4)**, because a benefit accrued to a director through non-disclosure, **X must compensate the company** to the extent of the benefit (₹15 lakh), plus penalty (₹50,000 or 5× benefit, whichever higher). *Conclusion:* X must **disgorge ₹15 lakh** to Comet Ltd and faces penalty; the resolution is vulnerable to challenge.

**Scenario D — The stonewalling Board.** *Facts:* Members holding 12% of Polaris Ltd's paid-up voting capital requisition an EGM to remove a director. The Board sits on it for two months and does nothing. *Analysis:* Under **Section 100**, a valid requisition needs **≥ 1/10th** — 12% qualifies. The Board must call the meeting **within 21 days** to be held within **45 days**. Having failed, the **requisitionists may themselves call** the EGM within **3 months** of the requisition, and recover **reasonable expenses from the company** (deductible from the defaulting directors' fees). *Conclusion:* The members can **self-convene the EGM** and reclaim costs; the directors' inaction does not defeat them.

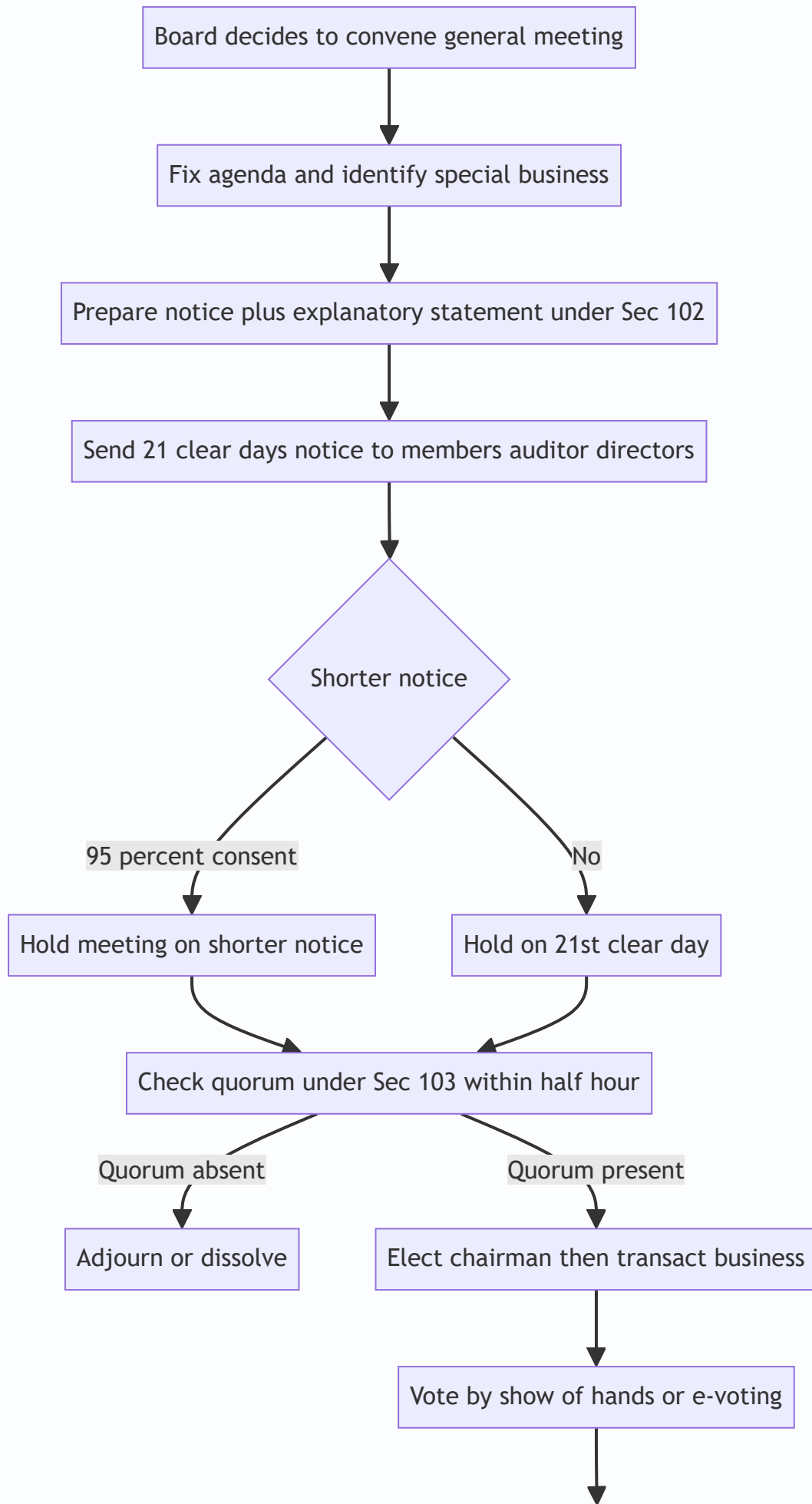
**Scenario E — The one-member "meeting."** *Facts:* Sirius (OPC) Ltd's sole member wants to shift the registered office and asks whether he must hold a general meeting and issue 21 days' notice. *Analysis:* Under **Section 122**, Sections 100–111 (including notice and quorum) **do not apply to an OPC**. The sole member simply **records the decision in the minutes book, signs and dates it**; that date is the deemed meeting date. *Conclusion:* **No formal meeting or 21-day notice is needed** — a signed, dated minute suffices.

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**6. Procedure / Compliance summary**

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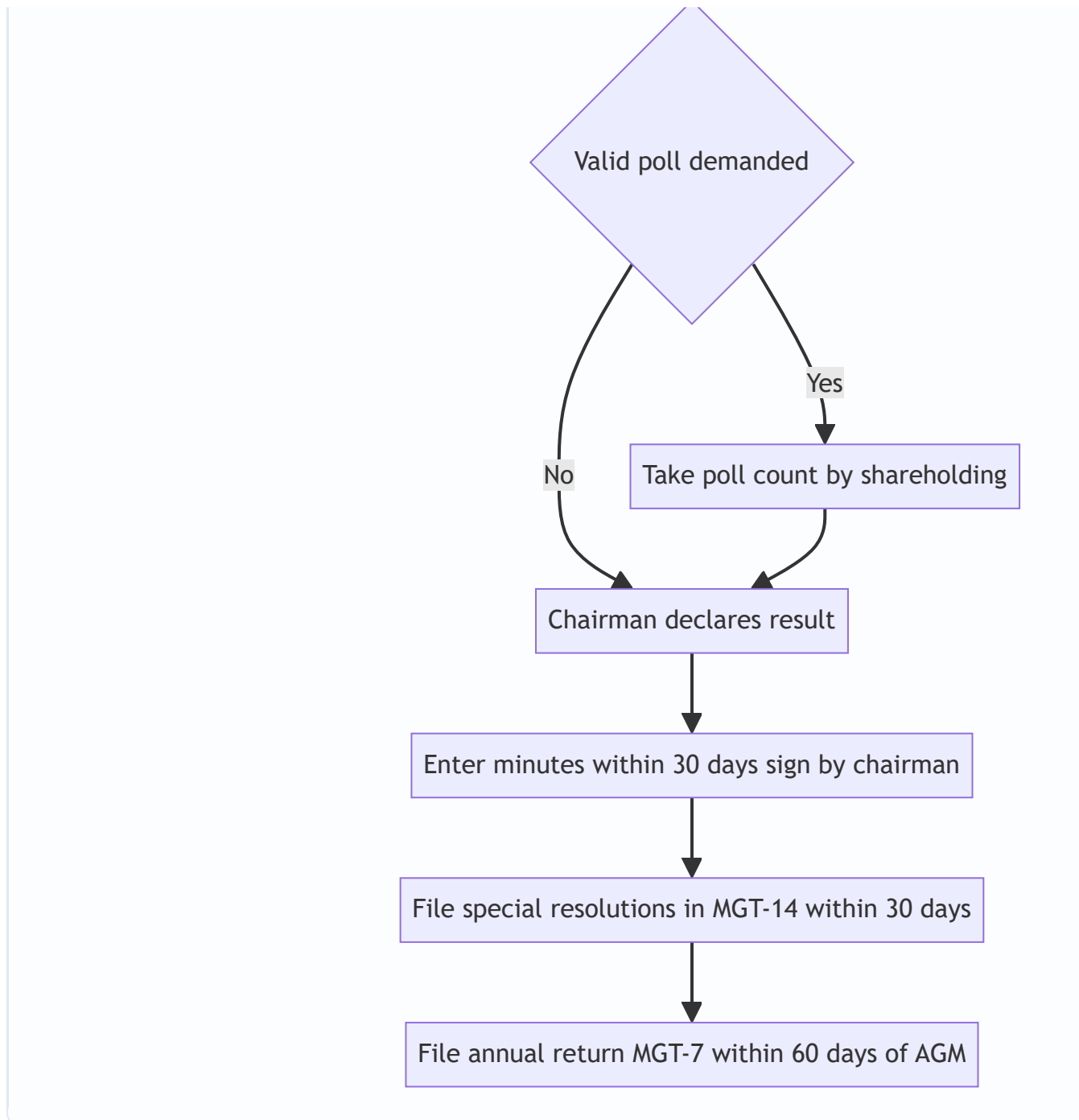


Figure 1 — the end-to-end life of a general meeting, from convening to post-meeting filings.

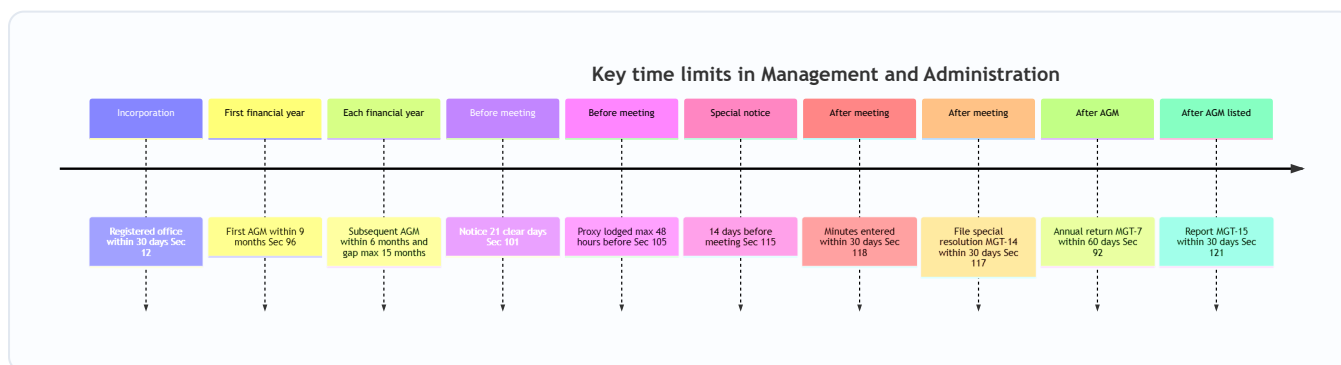


Figure 2 — the timeline of statutory deadlines a company must never miss.



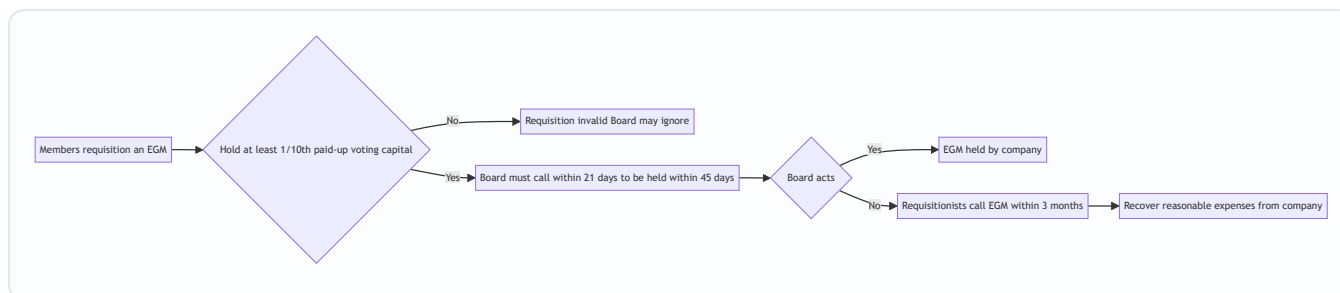


Figure 3 — the members' self-help route when the Board refuses to call an EGM under Section 100.

## 7. Connections — how this chapter links to the rest of the Act

- **To incorporation (Ch. 2):** The registered office (Section 12) is fixed at birth and its CIN comes from incorporation; publication carries forward the identity created there.
- **To share capital (Ch. 4):** Voting rights, class rights, and their **variation** (Section 48) are exercised through the meeting machinery here; **buy-back** (Section 68) and **reduction** (Section 66) need special resolutions passed under Section 114.
- **To Board of Directors (Ch. 11–13):** Directors are **appointed and retire by rotation at the AGM** (Section 152); **removal** of a director (Section 169) uses **special notice** (Section 115). Board resolutions under **Section 179(3)** feed into the filing net of Section 117.
- **To audit (Ch. 10):** Auditor appointment/removal happens at general meetings; removal before term needs special notice and Central Government approval.
- **To related-party transactions (Section 188):** Section 102's disclosure of interest is the meeting-level cousin of the substantive RPT controls.
- **To Secretarial Standards:** SS-1 and SS-2 (ICSI) operationalise Sections 118 and the meeting rules — the exam expects awareness that they are **mandatory**.
- **To inspection/investigation (Ch. 14):** Accurate registers and minutes are what inspectors rely on; SBO disclosure (Section 90) feeds anti-money-laundering enforcement.

## 8. Traps & Examiner Tricks

1. **"Clear days" is the classic trap.** 21 clear days **excludes** both the day of sending and the day of the meeting, plus ~2 days for postal transit. Counting 21 from the notice date is wrong.
2. **Proxy vs corporate representative.** A **proxy (Sec 105)** cannot vote on a show of hands, cannot (usually) speak, and is **not counted for quorum**. A **corporate representative (Sec 113)** can do all three. Examiners love blurring the two.
3. **Show of hands vs poll.** Show of hands = **one member one vote (heads)**; poll = **votes by shareholding**. A validly demanded poll **overrides** the show-of-hands result and the chairman **cannot refuse** it.
4. **Special resolution ≠ two-thirds.** It is votes in favour  $\geq 3 \times$  votes against, i.e. **75%**, and the notice must state the intention to move it as special. Missing either limb defeats it.
5. **First AGM = 9 months; subsequent AGM = 6 months; max gap 15 months.** And the **first AGM cannot be extended** — only later AGMs get up to a 3-month extension.

6. **Quorum thresholds (public co.) key on member count: 5 / 15 / 30** for  $\leq 1,000$  /  $> 1,000-5,000$  /  $> 5,000$ . Private company is always **2**. Watch the boundary values.
  7. **Requisition threshold is 1/10th (10%)**, the same as for a poll's voting-power test and Section 111 circulation — but the **₹5,00,000 paid-up value** alternative applies only to the **poll** and **special-notice** tests, not to the EGM requisition.
  8. **Postal ballot cannot be used for ordinary business** or matters where directors/auditors have a right to be heard.
  9. **Proxy deposit is "not more than 48 hours before"** — a company demanding proxies be lodged more than 48 hours in advance is acting invalidly.
  10. **Section 102(4) remedy is disgorgement + penalty**, not just a fine — the interested person **compensates the company** for the benefit gained.
  11. **Board minutes are NOT open to members** (Section 119 covers only general-meeting minutes). A question offering member inspection of Board minutes is a trap.
  12. **OPC exemption (Sec 122)**: no AGM, and Sections 100–111 don't apply — but the sole member must still **record and sign** the decision.
  13. **Accidental omission of notice (Sec 101(4))** does not void the meeting — but **deliberate** omission does. The word "accidental" is load-bearing.
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## 9. First-Principles Recap

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Start from the single truth that a company has **no mind and no hands of its own**. Everything follows:

- Because it has no body, it needs a **fixed address** to be found and served → *registered office (Sec 12)*.
- Because it acts for owners who may hide behind nominees, the law must **name the owners and unmask the real ones** → *register of members (Sec 88), beneficial-interest and SBO disclosure (Secs 89–90)*.
- Because outsiders can't see inside, the company must **publish an annual census** → *annual return (Sec 92)*.
- Because directors won't face owners voluntarily, the law **forces an annual reckoning** → *AGM (Sec 96)*, with a **member/Tribunal fallback** when they stonewall (Secs 97–98, 100).
- Because a decision by ambush isn't a decision by the members, the law guarantees **notice, information, turnout, representation, and fair counting** → *Secs 101–113*.
- Because some decisions rewrite the fundamental bargain, they need **overwhelming consent** → *special resolution (Sec 114)*, and sensitive ones need **advance warning** → *special notice (Sec 115)*.
- Because a decision that can't be proved can be invented or denied, everything must be **filed and minuted as evidence** → *Secs 117–121*.
- And because a one-person company has nobody to meet, the meeting fiction is replaced by a **signed minute** → *Sec 122*.

Master the abuse, and the section number is just a label you can recover on demand.

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## 10. Quick-Revision Sheet

### Key sections at a glance

| Section   | Subject                                                  | One-line core                                                                                                                         |
|-----------|----------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| 12        | Registered office & publication                          | Office within <b>30 days</b> ; name/CIN published; change filed in <b>15 days</b>                                                     |
| 88        | Register of members / debenture / other security holders | Maintain in <b>MGT-1</b> etc.; index if members > <b>50</b>                                                                           |
| 89        | Declaration of beneficial interest                       | <b>MGT-4/5/6</b> , each within <b>30 days</b> ; undeclared rights unenforceable                                                       |
| 90        | Significant Beneficial Owner                             | Individual with $\geq 10\%$ or control; <b>BEN-1/2/3/4</b> ; Tribunal can freeze shares                                               |
| 92        | Annual return                                            | <b>MGT-7 / 7A</b> ; file within <b>60 days of AGM</b> ; <b>MGT-8</b> certification for large cos                                      |
| 94        | Place of keeping registers                               | At registered office; elsewhere by <b>special resolution</b>                                                                          |
| 96        | AGM                                                      | 1st within <b>9 months</b> ; later within <b>6 months</b> ; gap $\leq 15$ months; business hours, not a national holiday              |
| 97 / 98   | Tribunal calls meeting                                   | Default in AGM / impracticability                                                                                                     |
| 100       | EGM                                                      | Board, or requisition by $\geq 1/10$ th; Board calls in <b>21 days</b> , holds in <b>45</b> ; else requisitionists in <b>3 months</b> |
| 101       | Notice                                                   | <b>21 clear days</b> ; shorter needs <b>95%</b> consent                                                                               |
| 102       | Explanatory statement                                    | Special business; disclose interest $\geq 2\%$ ; default → <b>disgorge benefit</b>                                                    |
| 103       | Quorum                                                   | Public <b>5/15/30</b> by member count; Private <b>2</b>                                                                               |
| 105       | Proxy                                                    | Need not be member; no show-of-hands vote; lodge $\leq 48$ hrs before; max <b>50 members / 10%</b>                                    |
| 106       | Restriction on voting                                    | Only for unpaid calls / lien                                                                                                          |
| 107 / 108 | Show of hands / e-voting                                 | Heads first; e-voting for listed & $\geq 1,000$ members                                                                               |
| 109       | Poll                                                     | Demand by <b>1/10th</b> voting power or <b>₹5,00,000</b> paid-up; counted by shareholding                                             |
| 110       | Postal ballot                                            | Not for ordinary business; deemed passed at GM                                                                                        |
| 111       | Members' resolution circulation                          | Same <b>1/10th</b> threshold                                                                                                          |
| 113       | Corporate representative                                 | Board resolution; counts for quorum, votes on hands & poll                                                                            |
| 114       | Ordinary / special resolution                            | Ordinary = simple majority; Special = <b>for <math>\geq 3\times</math> against (75%)</b> + stated in notice                           |
| 115       | Special notice                                           | Members $\geq 1\%$ or ₹5,00,000; <b>14 days</b> before meeting                                                                        |

| Section         | Subject                      | One-line core                                                                               |
|-----------------|------------------------------|---------------------------------------------------------------------------------------------|
| 116             | Adjourned-meeting resolution | Passed on actual date, no back-dating                                                       |
| 117             | Filing of resolutions        | <b>MGT-14</b> within <b>30 days</b> ; all special resolutions + Sec 179(3)                  |
| 118             | Minutes                      | Enter within <b>30 days</b> ; signed by chairman; <b>evidence</b> of proceedings; SS-1/SS-2 |
| 119             | Inspection of minutes        | GM minutes open to members; <b>copy in 7 working days</b> ; Board minutes closed            |
| 120 / 121 / 122 | E-records / AGM report / OPC | Electronic records; listed <b>MGT-15</b> in 30 days; OPC exempt from Secs 100–111           |

## Time-limits table

| Trigger                                | Limit                                 | Section / Form     |
|----------------------------------------|---------------------------------------|--------------------|
| Registered office after incorporation  | 30 days                               | Sec 12 / INC-22    |
| Notice of change of registered office  | 15 days                               | Sec 12 / INC-22    |
| Declaration of beneficial interest     | 30 days each                          | Sec 89 / MGT-4,5,6 |
| First AGM                              | 9 months from 1st FY end              | Sec 96             |
| Subsequent AGM                         | 6 months from FY end; gap ≤ 15 months | Sec 96             |
| ROC extension of AGM (not first)       | up to 3 months                        | Sec 96             |
| Board to call requisitioned EGM        | 21 days to call, 45 days to hold      | Sec 100            |
| Requisitionists' self-called EGM       | within 3 months                       | Sec 100            |
| Notice of general meeting              | 21 clear days                         | Sec 101            |
| Proxy instrument deposit               | not more than 48 hours before         | Sec 105            |
| Poll (other than chairman/adjournment) | within 48 hours                       | Sec 109            |
| Special notice by members              | 14 days before meeting                | Sec 115            |
| Entry of minutes                       | 30 days                               | Sec 118            |
| Filing of resolutions (MGT-14)         | 30 days                               | Sec 117            |
| Filing annual return (MGT-7)           | 60 days from AGM                      | Sec 92             |
| Report on AGM (listed, MGT-15)         | 30 days from AGM                      | Sec 121            |

## Resolution-type quick map

| Decision                                                                          | Resolution                                    |
|-----------------------------------------------------------------------------------|-----------------------------------------------|
| Adoption of accounts, dividend, retiring-director & auditor appointment           | <b>Ordinary</b> (ordinary business)           |
| Change of name, alter articles, alter objects                                     | <b>Special</b>                                |
| Shift registered office outside local limits / to another state                   | <b>Special</b> (+ RD approval for interstate) |
| Reduction of capital (Sec 66), buy-back (Sec 68), sweat equity, private placement | <b>Special</b>                                |
| Loans/investments beyond Sec 186 limits                                           | <b>Special</b>                                |
| Keeping registers away from registered office (Sec 94)                            | <b>Special</b>                                |
| Voluntary winding-up                                                              | <b>Special</b>                                |
| Removal of director (Sec 169) / auditor before term                               | <b>Ordinary + special notice (Sec 115)</b>    |

Reminder: a resolution is **ordinary by default** — a **special** resolution is needed **only** where the Act or the articles expressly say so. When in doubt in the exam, quote the specific section demanding "special resolution."

*Confirm exact penalty figures and any rule-number changes against the latest ICAI Study Material and the amended bare Act before the exam, as the Amendment Acts of 2017, 2019 and 2020 revised several penalties from "fine" to "penalty".*

# Q&A — Management & Administration

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Chapter: **Management & Administration** (Companies Act, 2013 — Sections 12, 88–94, 96–122). Exam-oriented question bank. Every question is followed by a **complete model answer citing the relevant Section**. Cross-verify only against the bare Act — no invented provisions.

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## SECTION A — Concept-Check (short, direct)

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**A1. Within how many days must a company have a registered office, and within how many days must a change be notified to the Registrar? Answer (Sec 12):** A company must have a registered office capable of receiving communications **within 30 days of incorporation** [Sec 12(1)]. Verification of the registered office is filed within 30 days. Notice of **any change** in the situation of the registered office must be given to the Registrar in **Form INC-22 within 30 days** of the change [Sec 12(4)]. A change of registered office **outside the local limits of a city/town** requires a **special resolution** [Sec 12(5)]; a shift from the jurisdiction of one Registrar to another within a State requires **Regional Director** confirmation.

**A2. What must every company paint/affix and print under Sec 12(3)? Answer (Sec 12(3)):** Every company must (a) **paint or affix its name and registered office address** outside every office/place of business, in legible letters and in the local language too; (b) **engrave its name on its seal** (if it has one); (c) **print its name, registered office address, CIN, telephone, fax, e-mail and website** (if any) on all business letters, billheads, letter papers, notices and official publications; and (d) print its name on hundis, promissory notes, bills of exchange. A company that changed its name in the last 2 years must also print the **former name**.

**A3. Where must the Register of Members be maintained and what does it contain? Answer (Sec 88):** Every company must keep a **register of members** (equity and preference separately), a **register of debenture-holders**, and a **register of any other security holders** [Sec 88(1)]. It contains details of each member/holder. An **index** is required where members exceed 50 (unless the register itself is in index form). A company may keep **foreign registers** of members/debenture-holders resident outside India [Sec 88(4)].

**A4. Distinguish Sec 89 (declaration of beneficial interest) from Sec 90 (Significant Beneficial Owner). Answer:** **Sec 89** deals with **declaration where the registered holder is not the beneficial owner** — the registered owner (Form MGT-4), the beneficial owner (Form MGT-5), and the company (Form MGT-6 to Registrar within 30 days) file declarations. **Sec 90** deals with the **Significant Beneficial Owner (SBO)** — an individual who ultimately holds (alone/together) **not less than 10%** of shares/voting rights/right to distributable dividend, or exercises significant influence/control. The SBO files **Form BEN-1**; the company maintains **Form BEN-3** register and files **Form BEN-2** with the Registrar.

**A5. What is the time limit for filing the Annual Return and who signs it? Answer (Sec 92):** The annual return in **Form MGT-7** (MGT-7A for OPC/small company) must be filed with the Registrar **within 60 days from the date of the AGM** (or, if no AGM is held, within 60 days from the date the AGM should have been held, with reasons) [Sec 92(4)]. It is **signed by a director and the company secretary**; where there is no CS, by a **company secretary in practice**. For **listed companies** and companies with **paid-up capital ≥ ₹10 crore or turnover ≥ ₹50 crore**, the annual return must be certified by a PCS in **Form MGT-8** [Sec 92(2)].

**A6. Where are statutory registers kept, and can they be kept elsewhere? Answer (Sec 94):** Registers under Sec 88 and returns are kept at the **registered office**. They may be kept at **any other place in India** where more than one-tenth of the members entered in the register reside, if approved by a **special resolution** and a copy filed with the Registrar in advance [Sec 94(1) proviso]. They are open to **inspection** by members/debenture-holders **free of charge** and by others on payment [Sec 94(2)].

**A7. State the time limits for holding the first AGM and subsequent AGMs. Answer (Sec 96):** The **first AGM** must be held within **9 months** from the close of the first financial year. **Subsequent AGMs** must be held within **6 months** from the close of the financial year, and the gap between two AGMs must **not exceed 15 months**. The Registrar may extend the time for holding an AGM (other than the first AGM) by up to **3 months** for special reasons. AGM is held during **business hours (9 a.m.–6 p.m.)**, on a day that is **not a National Holiday**, at the registered office or within the same city/town/village. **One Person Company is not required to hold an AGM** [Sec 96(1) proviso].

**A8. What length of notice is required for a general meeting and how may it be given? Answer (Sec 101):** A general meeting is called by **not less than 21 clear days' notice** in writing or through electronic mode. A meeting may be called at **shorter notice** if consent is given by **not less than 95% of the members entitled to vote** (in the case of an AGM), and for other meetings, by members holding 95% of the paid-up capital / voting power. "Clear days" excludes the day of service and the day of meeting.

**A9. What is the quorum for a general meeting? Answer (Sec 103):** **Private company: 2 members** personally present. **Public company: 5 members** personally present if members ≤ 1000; **15 members** if members are 1000–5000; **30 members** if members exceed 5000. If quorum is not present within **half an hour**, the meeting (if called on requisition) stands **cancelled**; otherwise it is **adjourned to the same day next week**, same time and place (or as the Board decides). If quorum is still absent at the adjourned meeting, the **members present shall be the quorum**.

**A10. Who can appoint a proxy and what are the key restrictions (Sec 105)? Answer (Sec 105):** A member entitled to attend and vote may appoint a **proxy** to attend and vote **on a poll** on his behalf. A proxy **need not be a member**. A proxy **cannot speak** at the meeting and **cannot vote except on a poll** (i.e., not on a show of hands). The proxy instrument must be deposited **at least 48 hours before the meeting**. A person can act as proxy for **not more than 50 members** and members holding **not more than 10%** of total voting share capital; if a member holds more than 10%, that member's proxy is for that member only. Companies **without share capital** cannot appoint proxies unless the articles allow.

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## SECTION B — Applied Scenario Questions (Facts → Law → Conclusion)

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**B1. Registered office change across cities. Facts:** XYZ Ltd wishes to shift its registered office from Pune to Nagpur (both in Maharashtra, different Registrar jurisdiction within the same State). The Board passes only an ordinary resolution. **Answer:** - **Law:** Under **Sec 12(5)**, a change of registered office **outside the local limits of the city/town** requires a **special resolution**. Where the shift is from the jurisdiction of **one Registrar to another within the same State**, the change also requires **confirmation by the Regional Director** [Sec 12(6)], to be filed with the Registrar within 60 days who registers it within 30 days. - **Analysis:** An ordinary resolution is insufficient. XYZ Ltd needs (i) a **special resolution**, and (ii) **RD confirmation** because the Registrar's jurisdiction changes. - **Conclusion:** The Board action is invalid; the company must pass a special resolution, obtain RD approval, and file Form INC-22/INC-23 accordingly.



**B2. Beneficial interest not declared.** *Facts:* Mr. A holds 5,000 shares of PQR Ltd in his name but the beneficial interest belongs to Mr. B. Neither files any declaration. B later claims dividend rights. **Answer:** - *Law:* Under **Sec 89**, the **registered owner (A)** files a declaration (Form MGT-4), the **beneficial owner (B)** files (Form MGT-5), and the **company** files a return (Form MGT-6) with the Registrar within **30 days**. Under **Sec 89(8), no right in relation to a share** in respect of which a declaration is required but **not made** shall be **enforceable** by the beneficial owner. - *Analysis:* Because B has not filed the required declaration, his beneficial rights (including dividend/voting enforcement) are **not enforceable** against the company. Penalties also apply for non-filing. - *Conclusion:* B cannot enforce his beneficial interest until the Sec 89 declarations are duly made.

**B3. Shorter notice AGM.** *Facts:* LMN Ltd, a public company with 400 members, calls its AGM at 10 days' notice with consent of 90% of members entitled to vote. **Answer:** - *Law:* **Sec 101(1)** requires **21 clear days' notice**; a shorter notice AGM is valid only with consent of **not less than 95%** of members entitled to vote. - *Analysis:* Only 90% consent was obtained, below the 95% threshold. - *Conclusion:* The shorter notice is **invalid**; the AGM so convened is not validly called. LMN Ltd must obtain 95% consent or give full 21 clear days' notice.

**B4. Quorum failure.** *Facts:* RST Ltd (public, 800 members) convenes an AGM; only 4 members are present half an hour after the scheduled time. The meeting was NOT called on requisition. **Answer:** - *Law:* Under **Sec 103**, quorum for a public company with  $\leq 1000$  members is **5 members** personally present. If quorum is absent within half an hour and the meeting was **not requisitioned**, it stands **adjourned to the same day in the next week**, same time and place. - *Analysis:* Only 4 present — quorum (5) not met. Since not a requisitioned meeting, it is adjourned, not cancelled. - *Conclusion:* The AGM is **adjourned to the same day next week**; at the adjourned meeting, if quorum is again absent, the **members present** constitute the quorum.

**B5. Ordinary vs Special resolution.** *Facts:* DEF Ltd passes a resolution to alter its articles; votes cast — 60% in favour, 40% against, on a poll. **Answer:** - *Law:* Alteration of articles requires a **special resolution** (Sec 14). Under **Sec 114(2)**, a special resolution requires votes cast in favour to be **not less than three times** the votes against (i.e.,  $\geq 75\%$ ). An **ordinary resolution** [Sec 114(1)] needs a **simple majority (>50%)**. - *Analysis:* 60% in favour meets ordinary-resolution majority but **fails the 75% special-resolution threshold**. - *Conclusion:* The special resolution is **not passed**; the alteration of articles cannot take effect.

**B6. Proxy validity.** *Facts:* Mr. P is appointed proxy by 60 members of GHI Ltd. He also wishes to speak and vote on a show of hands. **Answer:** - *Law:* Under **Sec 105**, a proxy can act for **not more than 50 members**; a proxy **cannot speak** and can **vote only on a poll**, not on a show of hands. - *Analysis:* P is appointed by 60 members (exceeds 50) and seeks to speak and vote on show of hands, all impermissible. - *Conclusion:* P can validly act for a **maximum of 50 members**; the appointment beyond 50 is invalid, and he may **neither speak nor vote on a show of hands** — only on a poll.

**B7. Failure to file resolution.** *Facts:* JKL Ltd passes a special resolution but does not file it with the Registrar; 45 days pass. **Answer:** - *Law:* **Sec 117(1)** requires **specified resolutions and agreements** (including all special resolutions — Sec 117(3)) to be filed in **Form MGT-14 within 30 days** of passing. **Sec 117(2)** imposes penalties on the company and officers in default for non-filing. - *Analysis:* The 30-day period has lapsed; the resolution is unfiled. - *Conclusion:* JKL Ltd and its officers are **liable to penalty** under Sec 117(2); the resolution should be filed immediately with additional fees.

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## SECTION C — Past-Paper-Style Descriptive Questions

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**C1. Explain the provisions relating to e-voting / voting by electronic means and postal ballot (Sec 108, 110). Answer: - Sec 108 (voting through electronic means):** The Central Government may prescribe classes of companies (Rule 20 of the Companies (Management and Administration) Rules — **every listed company** and companies with **≥ 1000 members**) that must provide members the facility to exercise votes by **electronic means** at general meetings. E-voting rules require a notice, remote e-voting window, appointment of a **scrutinizer**, and a secured platform. - **Sec 109 (demand for poll):** On a resolution, a **poll** may be ordered by the Chairman *suo motu* or demanded by members holding **≥ 1/10th of voting power** or shares of paid-up value **≥ ₹5,00,000**. A poll on adjournment/appointment of Chairman is taken forthwith; on other questions within 48 hours. - **Sec 110 (postal ballot):** Certain items must be transacted **only by postal ballot** (except by OPC and companies with **≤ 200 members**). Items which cannot be transacted by postal ballot include **ordinary business** and business requiring the presence of directors/auditors to be heard. A resolution assented to by the requisite majority via postal ballot is deemed **duly passed at a general meeting**. Items which are required to be transacted through postal ballot may be transacted at a general meeting where the company is required to provide **e-voting** facility.

**C2. Describe the provisions relating to minutes of meetings (Sec 118) and inspection (Sec 119).**

**Answer: - Sec 118 — Minutes:** Every company must, within **30 days** of every general meeting, Board meeting, and committee meeting, prepare and keep **minutes** in books maintained for the purpose, with pages consecutively numbered. Minutes must contain a **fair and correct summary** of proceedings. The Chairman may exclude matters that are **defamatory, irrelevant/immaterial, or detrimental to the company's interests**. Minutes are **evidence** of the proceedings [Sec 118(7)]. Where minutes are duly kept, the meeting is **deemed duly held** and all proceedings deemed valid [Sec 118(8)] until contrary proved. Companies must observe **Secretarial Standards (SS-1 and SS-2)** issued by ICSI and approved by the Central Government [Sec 118(10)]. **Tampering** with minutes attracts penalty [Sec 118(12)]. - **Sec 119 — Inspection of minute books of general meeting:** The minute books of general meetings are kept at the **registered office** and open to **inspection by members free of charge**. A member may obtain **copies within 7 working days** on payment of prescribed fees. Refusal attracts penalty; the Tribunal may direct immediate inspection/copies.

**C3. State the provisions for extraordinary general meeting (EGM) including calling by requisition and by the Tribunal (Sec 100 / Sec 98). Answer: - Sec 100 — EGM:** The **Board may call an EGM** whenever it deems fit. The Board **must call** an EGM on **requisition** of members holding **≥ 1/10th of paid-up share capital** carrying voting rights (or, for a company without share capital, **≥ 1/10th of total voting power**). On a valid requisition, the Board must, **within 21 days**, call a meeting to be **held within 45 days**. If the Board fails, the **requisitionists themselves** may call the meeting within **3 months** of the requisition, and reasonable expenses are **reimbursed by the company** (recoverable from defaulting directors). - **Sec 98 — Power of Tribunal to call meetings:** If it is **impracticable** to call, hold, or conduct a meeting (other than an AGM) in the manner prescribed, the **Tribunal** may, on application or *suo motu*, order a meeting to be called and conducted as it directs, including directing that **one member present shall be deemed to constitute the meeting**.

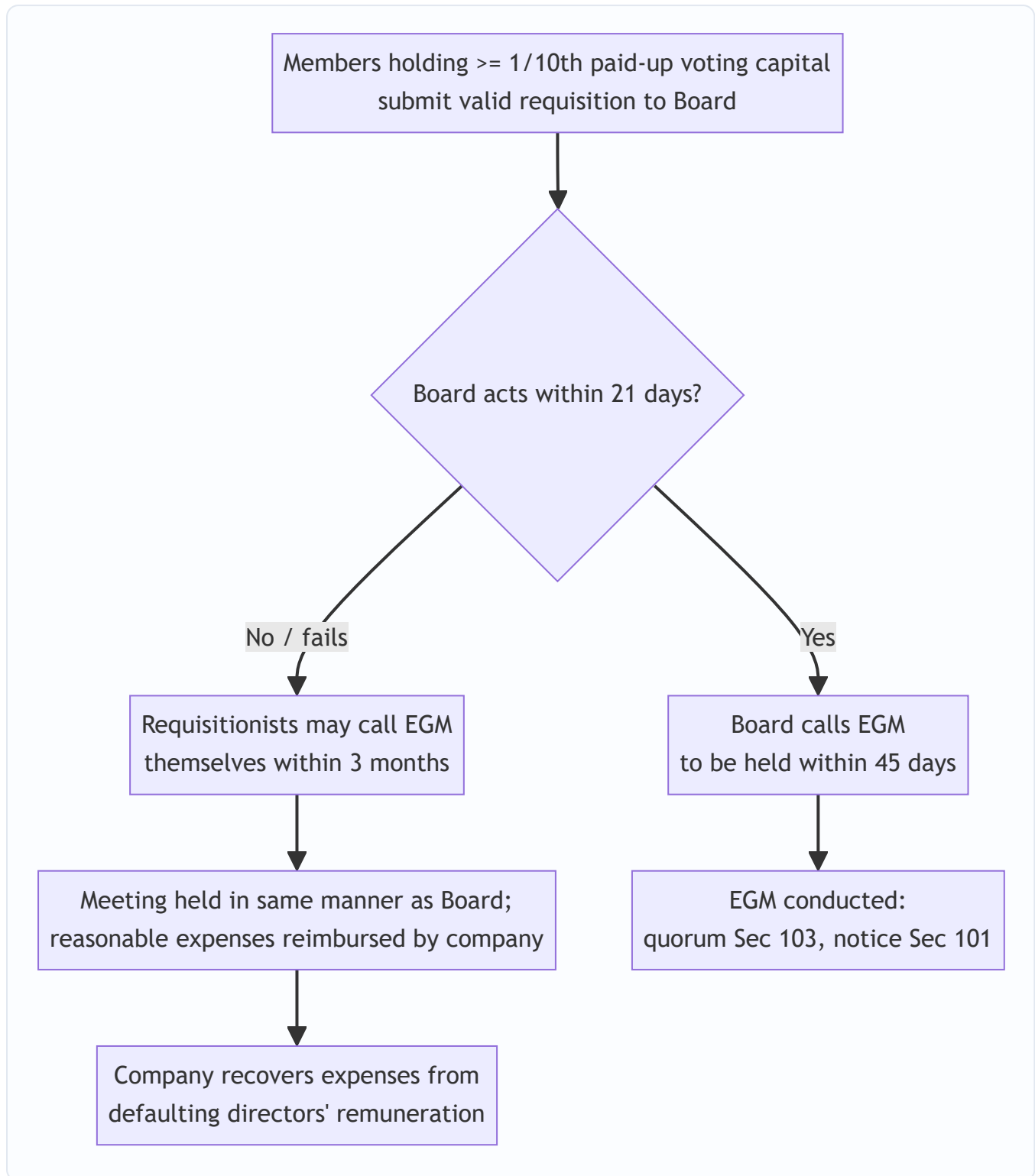
**C4. Explain "special notice" (Sec 115) and the resolutions requiring it. Answer (Sec 115):** Where any provision of the Act or the articles requires **special notice** for a resolution, notice of intention to move it must be given to the company by members holding **not less than 1% of total voting power** or holding shares on which aggregate **paid-up value ≤ ₹5,00,000**, at least **14 days before the meeting** (exclusive of

the meeting day). The company then gives its members notice of the resolution. Examples requiring special notice: **appointing an auditor other than the retiring auditor** or providing that the retiring auditor shall not be re-appointed (Sec 140), and **removal of a director** and appointing someone in his place (Sec 169).

**C5. Explain Sec 113 (representation of body corporate) and Sec 112 (representation of President/Governor). Answer: - Sec 113:** A **body corporate** which is a member of a company may, by **resolution of its Board**, authorise a person as its **representative** at a meeting. Such a **corporate representative** is entitled to exercise the **same rights and powers as an individual member**, including voting on a show of hands and on a poll, and can be counted for **quorum**. This differs from a proxy (who cannot vote on show of hands / not counted for quorum). - **Sec 112:** The **President of India or Governor of a State**, if a member, may appoint a representative to attend meetings and exercise the rights of a member.

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## Mermaid Diagram — EGM by Requisition (Sec 100)



## SECTION D — MCQs / Case Scenarios (correct option + one-line reason)

**D1.** Notice of change in situation of registered office must be filed with the Registrar within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 12(4), filed in Form INC-22.

**D2.** An index of members is compulsory when the number of members exceeds: (a) 20 (b) 50 (c) 100 (d) 200 **Answer: (b) 50** — Sec 88(2) (unless register is itself in index form).

- D3.** The threshold for being a Significant Beneficial Owner is holding not less than: (a) 5% (b) 10% (c) 25% (d) 26% **Answer: (b) 10%** — Sec 90 read with SBO Rules (shares/voting/dividend rights).
- D4.** The annual return must be filed within \_\_\_ days of the AGM: (a) 30 (b) 45 (c) 60 (d) 90 **Answer: (c) 60 days** — Sec 92(4), Form MGT-7.
- D5.** The first AGM of a company must be held within \_\_\_ from the close of the first financial year: (a) 6 months (b) 9 months (c) 12 months (d) 15 months **Answer: (b) 9 months** — Sec 96(1) proviso.
- D6.** Minimum clear days' notice for a general meeting: (a) 14 (b) 21 (c) 30 (d) 7 **Answer: (b) 21 clear days** — Sec 101(1).
- D7.** Quorum for a public company having 3,000 members is: (a) 5 (b) 15 (c) 30 (d) 2 **Answer: (b) 15 members** — Sec 103(1)(a) (members between 1000 and 5000).
- D8.** A proxy instrument must be deposited before the meeting at least: (a) 24 hours (b) 48 hours (c) 72 hours (d) 12 hours **Answer: (b) 48 hours** — Sec 105(4).
- D9.** A special resolution is passed when votes in favour are not less than \_\_\_ the votes against: (a) two times (b) three times (c) equal to (d) four times **Answer: (b) three times** (i.e.,  $\geq 75\%$ ) — Sec 114(2).
- D10.** Every specified resolution (incl. special resolutions) must be filed in Form MGT-14 within: (a) 15 days (b) 30 days (c) 45 days (d) 60 days **Answer: (b) 30 days** — Sec 117(1)/(3).
- D11.** Minutes of a general/Board meeting must be prepared and entered within \_\_\_ of the meeting: (a) 7 days (b) 15 days (c) 30 days (d) 45 days **Answer: (c) 30 days** — Sec 118(1).
- D12.** A poll may be demanded by members holding paid-up shares of value not less than: (a) ₹1,00,000 (b) ₹5,00,000 (c) ₹10,00,000 (d) ₹50,000 **Answer: (b) ₹5,00,000** or  $\geq 1/10$ th voting power — Sec 109(1).
- D13.** Which entity is NOT required to hold an AGM? (a) Public company (b) Private company (c) One Person Company (d) Listed company **Answer: (c) One Person Company** — Sec 96(1) proviso; also relevant to Sec 122 (OPC provisions).
- D14.** Special notice under Sec 115 must be given at least \_\_\_ before the meeting: (a) 7 days (b) 14 days (c) 21 days (d) 3 days **Answer: (b) 14 days** — Sec 115.
- D15. Case Scenario:** A body corporate, a member of ABC Ltd, sends Mr. X as its representative under a Board resolution. At the AGM, ABC's Chairman refuses to count X for quorum, treating him as a proxy. (a) Chairman is right — X is a proxy (b) Chairman is wrong — X is a corporate representative and counts for quorum (c) X can vote only on a poll (d) X cannot vote at all **Answer: (b)** — Under **Sec 113**, a corporate representative has the **same rights as an individual member**, counts for **quorum**, and votes on show of hands and poll — unlike a proxy.
- D16.** Registers under Sec 88 may be kept at a place other than the registered office only if approved by: (a) Ordinary resolution (b) Board resolution (c) Special resolution (d) Registrar's order **Answer: (c) Special resolution** — Sec 94(1) proviso (place where  $> 1/10$ th members reside).
- D17.** For which companies is MGT-8 (PCS certification of annual return) mandatory? (a) All companies (b) Listed cos. & those with paid-up capital  $\geq ₹10$  cr or turnover  $\geq ₹50$  cr (c) OPC only (d) Private companies only **Answer: (b)** — Sec 92(2) read with the Rules.
- D18. Case Scenario:** MNO Ltd (400 members) wants to pass a resolution for buy-back by postal ballot but also transacts its ordinary business (adoption of accounts) by postal ballot. (a) Both are valid by postal ballot (b) Buy-back is valid by postal ballot; ordinary business cannot be transacted by postal ballot (c) Neither can

be by postal ballot (d) Only ordinary business can be by postal ballot **Answer: (b)** — Under **Sec 110, ordinary business** and items where directors/auditors have a right to be heard **cannot** be transacted by postal ballot.

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## Quick citation index

Sec 12 (registered office & publication) · Sec 88 (register of members) · Sec 89 (beneficial interest) · Sec 90 (SBO) · Sec 92 (annual return) · Sec 94 (place/inspection of registers) · Sec 96 (AGM) · Sec 98 (Tribunal-called meetings) · Sec 100 (EGM/requisition) · Sec 101 (notice) · Sec 102 (explanatory statement) · Sec 103 (quorum) · Sec 105 (proxy) · Sec 107–110 (voting/poll/e-voting/postal ballot) · Sec 112–113 (representation) · Sec 114–116 (resolutions & special notice) · Sec 117 (filing resolutions) · Sec 118–119 (minutes & inspection) · Sec 120–122 (e-records / AGM report / OPC).

# Chapter 08 — Declaration & Payment of Dividend

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## 1. The Problem — the "eating the seed corn" con

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Imagine a company as a walled garden. Inside the walls live two very different groups who both want money out of it.

- **Shareholders** are the owners. They put in capital hoping the garden throws off fruit (profit). They want that fruit handed to them — the fruit is called **dividend**.
- **Creditors** — banks, debenture-holders, trade suppliers, workers owed wages — lent the company money or goods. They do **not** share in profit. Their deal is simpler and older: "You owe me a fixed sum. Pay me back." They are protected by a promise called **limited liability's flip side**: the shareholders can lose only what they put in, so in exchange, the capital the shareholders put in must stay *inside the walls* as a cushion for creditors. This is the **doctrine of capital maintenance** — the single most important idea in this entire chapter.

Now the abuse. Suppose a company had a bad year — it actually *lost* money. But the directors (who are usually the big shareholders) want cash out. So they simply pay themselves a fat dividend anyway, funded not from profit but by **digging into the capital cushion** — selling assets, dipping into share capital, or paying out of borrowed money. The garden's protective wall is quietly dismantled brick by brick and handed to the owners. When creditors later come knocking, the cupboard is bare.

This is the corporate equivalent of a farmer **eating the seed corn** — consuming the very thing that was supposed to guarantee next year's crop and everyone's debts. Or think of it as a shopkeeper paying himself a "salary" out of the till that holds his suppliers' unpaid bills.

Three specific frauds the law had to stop:

1. **Dividend out of capital** — paying owners from the creditor cushion, leaving debts unbacked.
2. **Dividend out of unreal / paper profits** — showing profit only because depreciation was skipped or a one-time asset revaluation was booked, then paying real cash against that fake profit.
3. **Dividend declared but never actually paid** — the company announces a dividend (pumping up its share price and reputation), shareholders relax, but the money is never sent, or small unclaimed amounts sit in the company's account **forever**, quietly financing the company for free.

Chapter VIII of the Companies Act, 2013 (**Sections 123 to 127**) exists to defeat exactly these three abuses. Read every rule below as an answer to "which of these three cons is this stopping?"

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## 2. The Core Idea — dividend is a *reward from real profit*, never a *withdrawal of the cushion*

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Strip everything down and the law says one sentence:

**Dividend may be paid ONLY out of profits that are genuinely earned and genuinely realised — never out of the capital that protects creditors.**

Everything else — the depreciation rule, the transfer-to-reserves rule, the rule about past reserves, the deposit-in-a-separate-account rule — is just plumbing that *guarantees* the profit is real and *guarantees* the money actually reaches the shareholder.

Two mental anchors carry the whole chapter:

- **Anchor A — "Real profit test."** Before a rupee leaves as dividend, the company must prove the profit is real: depreciation charged, past losses absorbed, no paper gains counted.
- **Anchor B — "Money must actually move."** Once declared, dividend becomes a **debt the company owes**. The law then chases that money — into the shareholder's hand within 30 days, and if unclaimed, eventually into a public fund (IEPF) rather than letting the company keep it.

Anchor A protects **creditors** (don't touch the cushion). Anchor B protects **shareholders** (you were promised it, you will get it). Hold those two and you can reconstruct almost every section.

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### 3. Why It's Built This Way — the logic of capital protection

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Why not just let companies pay whatever dividend they like? Because of the grand bargain of **limited liability**.

A shareholder in a limited company can never be forced to pay the company's debts beyond their shareholding. That is a huge gift — it makes investing safe and makes capitalism possible. But it creates a moral hazard: if owners can't be chased personally, what stops them from stripping the company of cash the moment trouble looms and leaving creditors with an empty shell?

The law's answer is a trade: **"You get limited liability, but in return, the capital you contribute is locked in as a permanent guarantee fund for creditors. You may take out the *profit* the business earns on top of that capital — but you may never take out the capital itself."**

That is the **capital maintenance doctrine**, and dividend law is its front line. This is also why:

- **Depreciation is compulsory before dividend** — because if you don't recognise that your machines are wearing out, your "profit" is fake; you'd be distributing the value of the wasting asset (a slice of capital) disguised as profit.
- **A dividend once declared can't be revoked** — because it becomes a debt owed to shareholders, and you can't just cancel debts.
- **Unclaimed dividend can't be kept** — because if the company keeps money it owes, it's effectively getting an interest-free loan from forgetful investors, and over decades that money would silently vanish into the company. The IEPF forces it into public custody.

Understand it as: **profit flows OUT (reward), capital stays IN (guarantee)**. The border between "out" and "in" is policed by Section 123.

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### 4. Full Technical Content — section by section, each with its "why"

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Chapter VIII, Companies Act 2013 = **Sections 123–127**, supported by the **Companies (Declaration and Payment of Dividend) Rules, 2014** and the **IEPF Authority (Accounting, Audit, Transfer and Refund) Rules, 2016**.

First, a vocabulary fix, because the exam loves it:

- **Dividend** is *not defined* precisely in the Act except in **Section 2(35)**: "*dividend includes any interim dividend.*" That inclusion exists to slam shut a loophole — see interim dividend below. Beyond that, dividend means a **shareholder's share of distributed profit**, in proportion to the amount paid-up on their shares (Section 51 allows dividend on paid-up basis).
- **Final dividend** — recommended by the Board, **declared by members** at the AGM.
- **Interim dividend** — declared by the **Board alone** between two AGMs.

#### 4.1 Section 123(1) — the sources of dividend (the "Real Profit" gate)

**The abuse it kills:** paying dividend out of capital or out of fake profit.

Dividend (for any financial year) may be **declared or paid ONLY out of** one or more of these three sources:

| #   | Permitted source                                                                                                                   | The condition attached                          | Why the condition exists                                                            |
|-----|------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|-------------------------------------------------------------------------------------|
| (a) | <b>Profits of the company for the current year</b> , arrived at <b>after providing for depreciation</b> per Section 123(2)         | Depreciation must be charged as per Schedule II | Un-depreciated "profit" is partly the melting value of assets = capital in disguise |
| (b) | <b>Profits of any previous financial year(s)</b> left undistributed, again <b>after providing for depreciation</b> for those years | Same depreciation discipline for past years     | Stops reviving old paper profits                                                    |
| (c) | <b>Money provided by Central or State Government</b> for payment of dividend under a guarantee                                     | Only where such a guarantee exists              | Narrow, government-backed exception                                                 |

**Critical rule embedded here — free reserves only.** The first proviso to Section 123(1) says a company **cannot declare dividend unless carried-over previous losses AND depreciation not provided in previous years are first set off against the current year's profit**. You must heal the past before you feast in the present. (This defeats the trick of ignoring accumulated losses to show a distributable profit.)

**Free reserves definition — Section 2(43):** reserves available for distribution as dividend *as per the latest audited balance sheet*, **but EXCLUDING:** - any **unrealised gains, notional gains or revaluation of assets** (a revaluation surplus is a paper gain — the asset hasn't been sold, so no real cash exists), and - any **change in carrying amount** of an asset or liability on measurement at fair value.

**Memory hook:** "Free" means **free of fantasy** — no revaluation, no notional, no fair-value pumping. Only cash-real reserves.

#### 4.2 Section 123(2) — Depreciation is compulsory

**The abuse it kills:** dividend out of profit that only *looks* like profit because the wearing-out of assets was ignored.

Depreciation must be provided in accordance with **Schedule II** (which prescribes useful lives of assets, replacing the old rate-based Schedule XIV). No skipping depreciation to inflate distributable profit.

**Why:** A factory machine worth ₹100 that will be worthless in 10 years costs the business ₹10 of value every year. If you don't book that ₹10, your profit is overstated by ₹10, and paying it out hands shareholders a piece of the machine (capital), not earnings.



## 4.3 Section 123(1) second proviso — Transfer to reserves is now VOLUNTARY

### The old regime vs new — a favourite exam trap.

Under the Companies Act **1956**, transferring a slice of profit to reserves before dividend was **compulsory** (graded rates up to 10% depending on the dividend rate).

Under the **2013 Act, Section 123(1)**, it is **entirely voluntary** — a company *may*, before declaring dividend, transfer **such percentage of its profits as it considers appropriate** to the reserves. There is **no minimum** and **no maximum** compulsory transfer.

**Why the change:** Parliament decided the earlier straitjacket was paternalistic; boards should decide retention policy. The creditor cushion is now protected by the *depreciation + free-reserves + no-capital* rules rather than a forced reserve transfer.

**Trap:** If a question says "the company must transfer X% to reserves before dividend," that is **1956-law and WRONG under the 2013 Act**.

## 4.4 Section 123(1) third proviso + Rule 3 — Dividend out of PAST (accumulated) reserves in a loss/low-profit year

**The abuse it kills:** a company has a bad year (inadequate or nil profit) but wants to keep up appearances and still pay a dividend by raiding accumulated reserves recklessly — potentially draining the cushion.

The law permits it **but only within strict limits**, set out in the **Companies (Declaration and Payment of Dividend) Rules, 2014, Rule 3**. In case of **inadequacy or absence of profits** in a year, a company may declare dividend out of **accumulated profits transferred to free reserves in previous years**, subject to **all four** of these caps:

| Cap                     | The rule                                                                                                                                                                 | Purpose of the cap                                                                            |
|-------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| <b>1. Rate cap</b>      | Rate of dividend $\leq$ <b>average of the rates</b> at which dividend was declared in the <b>immediately preceding THREE years</b>                                       | You can't suddenly pay a lavish dividend from reserves — pay only your normal historical rate |
| <b>2. Amount cap</b>    | Total amount drawn from accumulated profits $\leq$ <b>1/10th (10%) of the sum of paid-up share capital + free reserves</b> as per the latest audited financial statement | Limits the total bite taken out of the cushion in any one bad year                            |
| <b>3. Set-off first</b> | The amount so drawn shall <b>first be used to set off losses</b> incurred in the financial year in which dividend is declared                                            | Don't pay dividend while the current year is bleeding — plug the hole first                   |
| <b>4. Balance floor</b> | After such withdrawal, the <b>balance of reserves shall not fall below 15%</b> of its paid-up share capital as per the latest audited financial statement                | A permanent minimum reserve floor — the cushion can be dented but never destroyed             |

**Special relief note:** The **rate cap (Cap 1)** does **not apply** to a company that has **not declared any dividend in each of the three preceding financial years** (a first-timer or a long-dry company isn't punished by having a "zero average").

**Memory hook — "3-10-plug-15":** - 3 years' average rate, - **10%** max amount, - **plug** current losses first, - **15%** reserve floor remains.

## 4.5 Section 123(3) — Interim dividend

**The abuse Section 2(35) + 123(3) kill:** the "interim" escape hatch. Historically directors argued that an *interim* dividend (declared mid-year by the Board without waiting for the AGM) wasn't a "real" dividend, so the safeguards didn't apply — letting them push cash out mid-year without the full-profit discipline. Section 2(35) — "*dividend includes any interim dividend*" — plugs this: **every rule about real profits applies to interim dividend too.**

Rules for interim dividend under **Section 123(3)**:

- The **Board of Directors** may declare interim dividend during any financial year **or at any time between the closure of a financial year and the AGM**, out of:
  - the **surplus in the profit & loss account, and/or**
  - **profits of the financial year for which such interim dividend is sought to be declared**, and/or
  - **profits generated up to the quarter** preceding the date of declaration.
- **Loss-protection brake:** If the company has **incurred a loss during the current financial year up to the end of the quarter immediately preceding the date of declaration** of interim dividend, then the interim dividend **shall NOT be declared at a rate higher than the average dividend declared during the immediately preceding THREE financial years.**

**Why the brake:** an interim dividend is declared *before* the year's final results are known — it's a bet on profits that may not materialise. If the company is *already* in the red for the year so far, the law caps the rate to the historical average so directors can't gamble the cushion on optimism.

**Key contrasts (exam gold):** - Final dividend → **recommended by Board, DECLARED by members** at AGM (members can reduce but **not increase** the Board's recommended rate). - Interim dividend → **declared by the Board**, no member approval needed. - Both, once declared, become a debt and follow the payment rules below.

## 4.6 Section 123(4) — Deposit into a separate bank account

**The abuse it kills:** "declared but not paid." A company announces a dividend (great for its image and share price) but keeps the cash mingled in its working accounts and drips it out — or never pays.

**Rule:** The amount of dividend (including interim) **must be deposited in a SEPARATE bank account within 5 days** of declaration. This ring-fences the money so it can't be used for anything else. It is *earmarked* the moment it's declared.

## 4.7 Section 123(5) — How and to whom dividend is paid

- Dividend is payable **only to the registered shareholder**, or to their order, or to their banker.
- Dividend must be paid in **cash** — **NOT in kind**. ("Cash" includes cheque, warrant, or **electronic mode**.)
- **Why no dividend in kind:** to stop companies fobbing off shareholders with unsaleable inventory or inflated-value assets instead of real money. (*Exception you should note: the prohibition on payment in kind does not bar the capitalisation of profits/reserves through a bonus issue, or buy-back — those are governed by separate sections. Confirm nuance in ICAI material.*)

## 4.8 Section 123(6) — Defaulters cannot declare dividend

A company which **fails to comply with Sections 73 and 74** (acceptance and repayment of **deposits**) shall **not, so long as such failure continues, declare any dividend** on its equity shares.

**Why:** You cannot reward owners while you are defaulting on repaying depositors (a class of creditor). Creditors before owners — the capital-protection hierarchy in action.

#### 4.9 Section 124 — Unpaid / Unclaimed Dividend and the journey to the IEPF

**The abuse it kills:** small dividends left unclaimed by forgetful or untraceable shareholders sitting in the company's account **indefinitely**, effectively becoming a free perpetual loan to the company — and eventually being absorbed by it.

Here is the full lifecycle (this is heavily examined — learn the timeline):

1. **If dividend is not paid or claimed within 30 days** of declaration (i.e. it's now "unpaid/unclaimed"), the company must, **within 7 days** after those 30 days expire (**i.e. by day 37**), transfer the total unpaid/unclaimed amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank. ( $30 + 7 = 37$  days total.)
2. **Penalty for delay:** if the company defaults in transferring, it must pay **interest @ 12% p.a.** on the amount not transferred, from the date of default — and the interest accrues to the benefit of the members in proportion.
3. **Transparency:** within **90 days** of transferring to the Unpaid Dividend Account, the company must place a **statement of names, last-known addresses and unpaid amounts on its website** (and the IEPF website), so rightful owners can find their money.
4. **The 7-year rule → IEPF:** Any money in the Unpaid Dividend Account that **remains unpaid/unclaimed for 7 years** from the date it was first transferred to that account **must be transferred to the Investor Education and Protection Fund (IEPF)** established under Section 125. Interest accrued is also transferred.
5. **Shares follow the dividend — the sting in the tail:** Under **Section 124(6)**, **all shares in respect of which dividend has not been paid or claimed for 7 consecutive years** shall **also be transferred to the IEPF** (in the name of the IEPF Authority). *This is the big trap — not just the money, the actual shares move.* The shareholder isn't wiped out permanently — they can **claim both the shares and the dividends back** from the IEPF Authority by following the refund procedure.

**Penalty (Section 124(7)):** If a company fails to comply with Section 124, the **company is punishable with a fine** and **every officer in default** likewise (learn the range from the current bare Act — historically ₹5 lakh–₹25 lakh for the company and ₹1 lakh–₹5 lakh for officers; *confirm exact current figures in ICAI material / bare Act as fine amounts have been amended*).

#### 4.10 Section 125 — The Investor Education and Protection Fund (IEPF)

**The purpose:** rather than let abandoned investor money enrich the company, pool it into a public fund used to **educate and protect investors** and to **refund rightful claimants**.

**What gets credited to the IEPF (Section 125(2)) — learn the main heads:** - amounts in **Unpaid Dividend Accounts** unclaimed for 7 years; - **application money** received for securities and due for refund, unclaimed for 7 years; - **matured deposits** and **matured debentures** with companies, unclaimed for 7 years; - **interest** accrued on all the above; - **sale proceeds of fractional shares** on bonus/merger, and **redemption of preference shares** amounts, unclaimed for 7 years; - grants and donations by Central Govt, State Govts, companies or other institutions; - **interest/income earned** on investments of the Fund.

**Administered by:** the **IEPF Authority** (Section 125(5)/(6)), a statutory body under the Central Government.

**Use of the Fund (Section 125(3)):** refund of unclaimed dividends/deposits/debentures/application money **to rightful claimants**; promotion of **investor education, awareness and protection**; distribution of disgorged amounts to eligible/identifiable victims; reimbursement of legal expenses in class actions, etc.

**The refund right (Section 125(3)(a)):** the rightful owner is **never permanently deprived** — they may apply to the IEPF Authority and **reclaim** the transferred amount and/or shares. This is the humane counterweight: the company can't keep the money, but the investor can always get it back.

#### 4.11 Section 126 — Right to dividend, rights shares and bonus shares kept in abeyance

**The abuse it kills:** uncertainty over who owns dividend/rights/bonus when shares are **caught mid-transfer** (transfer deed lodged but not yet registered).

**Rule:** Where a transfer of shares has been lodged but not yet registered, the company must: - **transfer the dividend to the Unpaid Dividend Account** (unless the registered holder authorises paying it to the transferee), and - **keep in abeyance** (hold) any **rights shares** offer and any **bonus shares** in relation to those shares, until the transfer is registered.

**Why:** prevents dividend/benefits being paid to the "wrong" person while ownership is legally in limbo.

#### 4.12 Section 127 — Punishment for failure to pay declared dividend

**The abuse it kills:** the ultimate "declared but not paid" — the company announces a dividend, creating a legal debt, then simply doesn't pay it within the deadline.

**Rule:** Where a dividend has been **declared but not paid or the warrant not posted within 30 days** from declaration: - **Every director** who is knowingly a party to the default is **punishable with imprisonment up to 2 years AND fine of not less than ₹1,000 for every day the default continues**; and - the **company is liable to pay simple interest @ 18% p.a.** during the period the default continues.

**Note the escalation:** 18% here vs 12% under Section 124 — Section 127 punishes *not paying the shareholder at all* (worse) more harshly than *not transferring unclaimed money to the special account* (Section 124).

**Five exceptions — when NON-payment within 30 days is NOT an offence (learn these; classic exam):** 1. Dividend **could not be paid due to operation of law** (e.g. a court order restrains payment); 2. A shareholder **gave directions** about payment that couldn't be complied with, and this was communicated to them; 3. There is a **dispute over the right to receive** the dividend; 4. The dividend was **lawfully adjusted** by the company against a sum **due from the shareholder** (a set-off); 5. The **non-payment was not due to any default of the company** (e.g. shareholder's address unknown / instrument returned undelivered).

**Why exceptions exist:** the crime is *wrongful* withholding. If the company did nothing wrong — it was ready and willing to pay but the law, a dispute, or the shareholder blocked it — there's no culpability.

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## 5. Applied Scenarios — facts → analysis → conclusion

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### Scenario 1 — The revaluation dividend

**Facts:** Zenith Ltd earned an operating profit of ₹40 lakh this year but wants to declare a dividend of ₹1.2 crore. Its accountant points out that the company revalued its head-office building upward this year, creating

a **revaluation surplus of ₹1 crore**, and proposes treating that surplus as a "free reserve" available for dividend.

**Analysis:** Section 123(1) permits dividend only out of profits (current/past, after depreciation) or free reserves. **Free reserves are defined in Section 2(43) to specifically EXCLUDE any surplus arising from revaluation of assets** — it is an *unrealised/notional* gain; the building hasn't been sold, so there is no real cash behind it. Distributing against it would be paying dividend out of a paper profit, i.e. effectively out of capital.

**Conclusion:** The ₹1 crore revaluation surplus is **not distributable**. Zenith can pay dividend only from its ₹40 lakh real profit (after depreciation) plus any genuine accumulated free reserves — subject, if it dips into reserves, to Rule 3 caps.

## Scenario 2 — The bad-year dividend from reserves

**Facts:** Orion Ltd has **paid-up capital ₹50 lakh** and **free reserves ₹80 lakh**. This year profits are negligible, but it wants to keep its dividend record intact. Its dividend rates in the last three years were **12%, 10% and 8%**. It proposes a **14%** dividend funded from accumulated reserves. It also has a current-year loss of ₹3 lakh.

**Analysis:** This is a dividend out of past reserves in a year of inadequate profit → **Rule 3** applies with its four caps. - **Rate cap:** average of last 3 years =  $(12+10+8)/3 = 10\%$ . Proposed 14% **exceeds** the cap → not allowed; max rate is **10%**. - **Amount cap:** max withdrawal = 10% of (paid-up capital + free reserves) = 10% of (₹50L + ₹80L) = **₹13 lakh**. - **Set-off first:** the current-year loss of ₹3 lakh must be **set off** from the amount drawn before any distribution. - **Reserve floor:** after withdrawal, reserves must stay  $\geq 15\%$  of paid-up capital =  $15\%$  of ₹50L = **₹7.5 lakh**; drawing up to ₹13L from ₹80L leaves ₹67L, comfortably above the floor.

**Conclusion:** Orion may declare dividend from reserves but **only at 10% (not 14%)**, capped at ₹13 lakh total drawdown, with the ₹3 lakh loss plugged first, and reserves left above ₹7.5 lakh. The 14% proposal is **invalid**.

## Scenario 3 — The forgotten dividend and the vanishing shares

**Facts:** In FY 2017-18, Vega Ltd declared a dividend of ₹5,000 to Mr. A, who never claimed it (wrong address on record). Every year since, his dividends went unclaimed too. It is now FY 2025-26. Vega's board says: "It's our money now, he never claimed it."

**Analysis:** Under **Section 124(1)**, unclaimed dividend had to be moved to the **Unpaid Dividend Account within 37 days** of each declaration. Under **Section 124(5)**, amounts unclaimed for **7 years** from that transfer must go to the **IEPF**. The FY2017-18 dividend crossed 7 years — it belongs in the IEPF now. Crucially, under **Section 124(6)**, because **dividends were unclaimed for 7 consecutive years, the SHARES themselves must be transferred to the IEPF Authority** — Vega cannot keep them either.

**Conclusion:** Vega's claim is wrong on both counts. The money goes to the IEPF, and Mr. A's **shares are transferred to the IEPF Authority**. However, Mr. A is not destroyed — under **Section 125(3)(a)** he may apply to the **IEPF Authority and reclaim both his shares and all the dividends**.

## Scenario 4 — The interim dividend gamble

**Facts:** Comet Ltd's board wants to declare an interim dividend at **20%** in December. But for the nine months to end-September (the quarter immediately preceding), the company has actually **made a loss**. Its dividend over the previous three years averaged **11%**.

**Analysis:** Under **Section 123(3)**, if a company has **incurred a loss in the current financial year up to the end of the quarter immediately preceding** the declaration of interim dividend, the interim dividend rate **cannot exceed the average of the last three years' rates**. Here the company is loss-making for the period, so the cap = **11%**.

**Conclusion:** Comet **cannot declare 20%**; the interim dividend is capped at **11%**. This brake stops directors from gambling the creditor cushion on the hope of a year-end turnaround.

### **Scenario 5 — Declared but unpaid**

**Facts:** Nova Ltd declared a final dividend at the AGM on 1 August. By 15 September, warrants still haven't been posted to shareholders, and there's no legal impediment. A director claims "declaration is enough; payment can wait."

**Analysis:** Under **Section 127**, a declared dividend must be **paid / warrant posted within 30 days**. The deadline was 31 August; it's now overdue with no valid excuse (none of the five exceptions applies).  
Consequence: **every defaulting director** faces **imprisonment up to 2 years and fine  $\geq$  ₹1,000/day** of continued default, and the **company pays interest @ 18% p.a.** for the default period.

**Conclusion:** The director is wrong. Declaration created a **debt**; non-payment within 30 days is a punishable offence.

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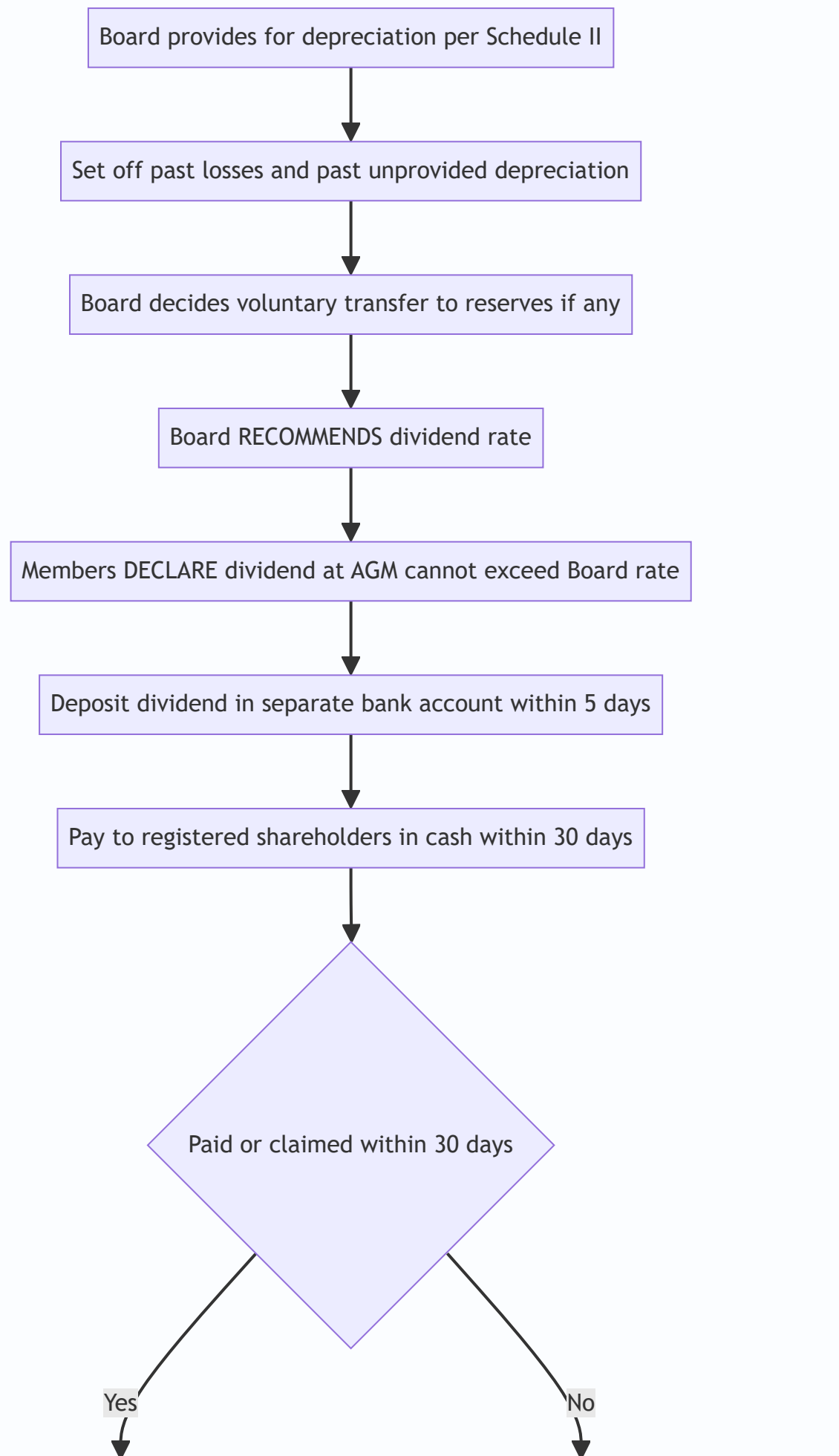
## 6. Procedure / Compliance Summary

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Final dividend — the full flow







Compliance complete

Transfer to Unpaid Dividend Account by day 37

Figure 1 — The life of a final dividend from real-profit gate to the unpaid-dividend fork.

## The unpaid-dividend timeline to IEPF

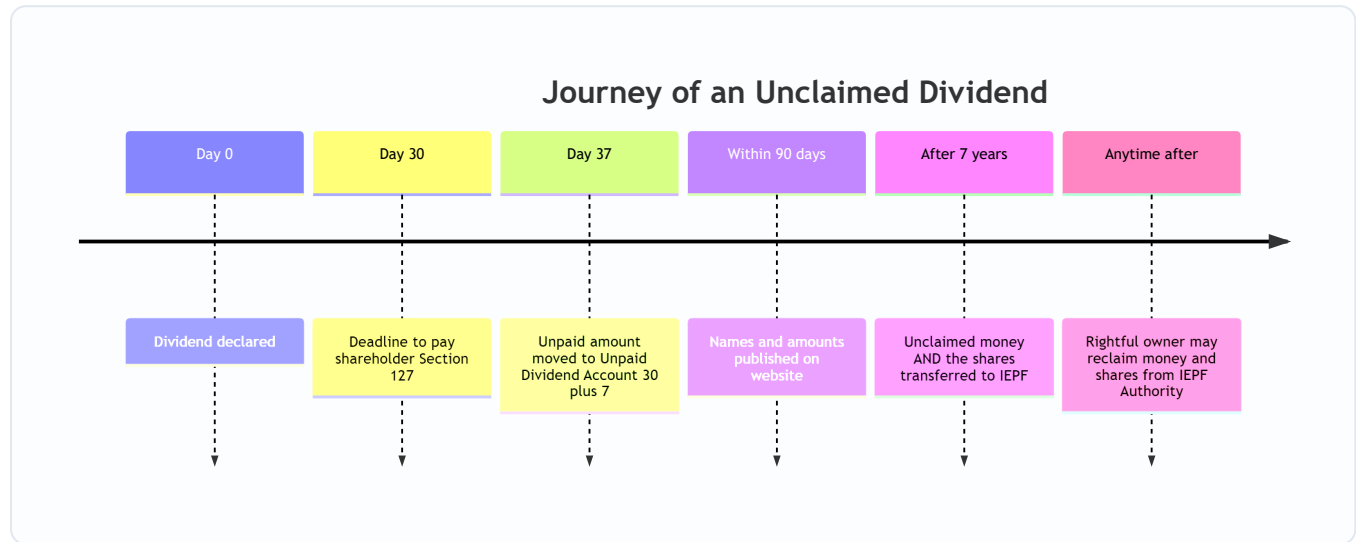
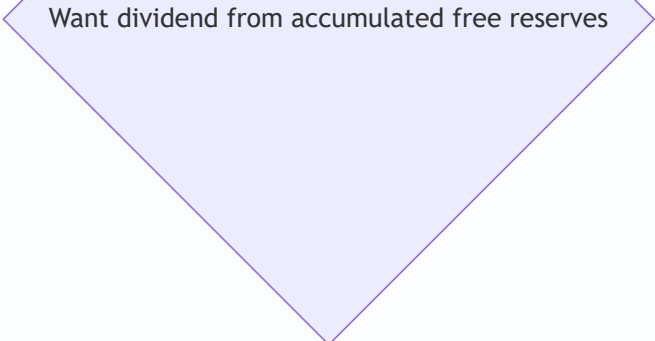


Figure 2 — Time-limits every examiner tests: 30, 37, 90 days and 7 years.

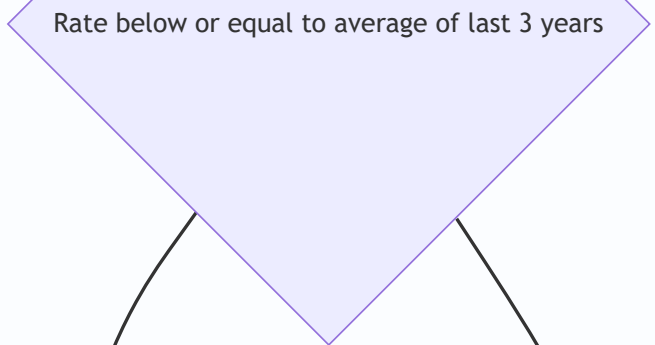
## Dividend-out-of-reserves decision tree (Rule 3)



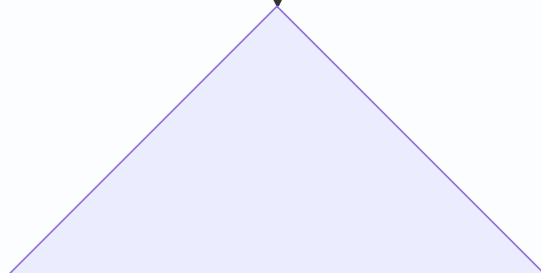
Profits inadequate or absent this year

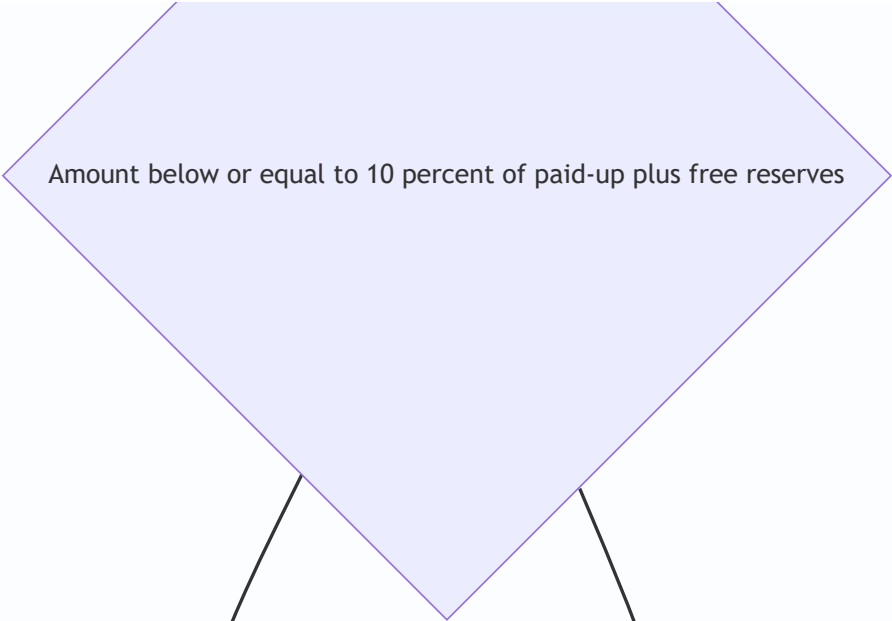


Yes



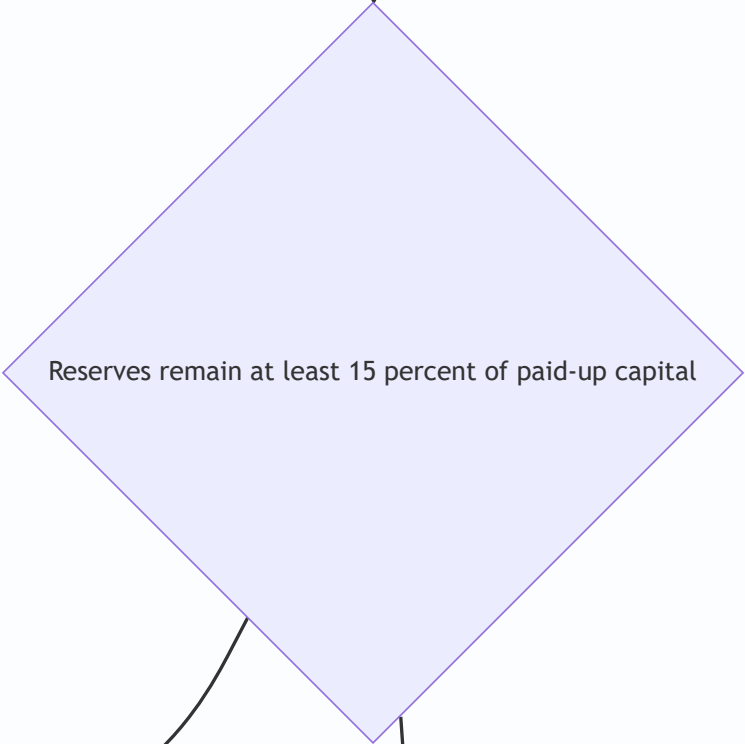
Yes





Yes

Set off current year losses first



Yes

Dividend from reserves is valid

No

No

No

Not allowed cap at 3 year average

Figure 3 — The 3-10-plug-15 gate for raiding past reserves in a lean year.

## Compliance checklist

| Step                               | Requirement          | Section / Rule      | Time limit            |
|------------------------------------|----------------------|---------------------|-----------------------|
| Charge depreciation                | Per Schedule II      | 123(2)              | Before declaring      |
| Set off past losses / depreciation | Mandatory            | 123(1) 1st proviso  | Before declaring      |
| Transfer to reserves               | Voluntary, any %     | 123(1) 2nd proviso  | Optional              |
| Dividend from past reserves        | 3-10-plug-15 caps    | Rule 3              | If profits inadequate |
| Deposit in separate account        | Ring-fence the cash  | 123(4)              | Within 5 days         |
| Pay shareholder (cash)             | To registered holder | 123(5), 127         | Within 30 days        |
| Transfer to Unpaid Dividend A/c    | If unclaimed         | 124(1)              | Within 37 days        |
| Publish unclaimed list on website  | Transparency         | 124(2)              | Within 90 days        |
| Transfer to IEPF (money + shares)  | If 7 years unclaimed | 124(5), 124(6), 125 | After 7 years         |

## 7. Connections — how this chapter wires into the rest of the Act

- **Capital maintenance family:** Dividend law (S.123) is one pillar; the others are **reduction of capital (S.66)**, **buy-back of securities (S.68)**, and the **prohibition on a company buying its own shares (S.67)**. All four police the same border: capital must not leak out to shareholders except through tightly controlled gates.
- **Deposits (S.73–74):** Section 123(6) directly links here — deposit-defaulters can't pay dividend. Creditors (depositors) outrank owners.
- **Accounts & audit (S.128–138):** "Profit" for dividend is measured from the audited financial statements; depreciation per **Schedule II**; free reserves per the **latest audited balance sheet**.
- **Bonus issue (S.63):** A bonus issue *capitalises* reserves into shares — the opposite of dividend (which distributes them as cash). Note free reserves used differently.
- **Preference shares (S.55):** Preference shareholders get dividend *before* equity, at a fixed rate — the "preference." Section 123 sources still govern.
- **AGM (S.96) & Board powers (S.179):** Final dividend is a piece of **ordinary business at the AGM**; interim dividend is a **Board power**.
- **CSR (S.135):** "Net profit" definitions differ between dividend and CSR — don't confuse them.

## 8. Traps & Examiner Tricks

1. **"Transfer to reserves is compulsory."** FALSE under the 2013 Act — it's **voluntary** (S.123(1)). The compulsory graded transfer was **1956 law**. Classic trap.
2. **Members increasing the dividend at AGM.** Members can **declare** the dividend but **cannot exceed** the rate recommended by the Board. They may only **reduce** it.

3. **Revaluation surplus as "free reserve."** Never distributable — **S.2(43)** excludes revaluation / notional / unrealised gains. Also excludes fair-value re-measurement changes.
  4. **The 37-day figure.** Unclaimed dividend → Unpaid Dividend Account is **30 + 7 = 37 days**, NOT 30 and NOT 7 alone.
  5. **Only the money moves to IEPF? No — the SHARES move too** (S.124(6)) after 7 consecutive years of unclaimed dividend. Very frequently tested.
  6. **"Money in IEPF is lost forever."** FALSE — the rightful owner can **always reclaim** money AND shares from the IEPF Authority (S.125(3)(a)).
  7. **12% vs 18% interest.** S.124 default (failure to transfer to Unpaid Dividend A/c) = **12% p.a.**; S.127 (failure to pay declared dividend to shareholder) = **18% p.a.** Don't swap them.
  8. **Dividend in kind.** Prohibited — dividend must be paid in **cash** (includes cheque/warrant/electronic). A company can't distribute goods as dividend.
  9. **Interim dividend loss-brake.** If loss up to the preceding quarter, interim rate  $\leq$  **3-year average**. Students forget this and let the Board declare any rate.
  10. **Deposit-defaulter paying dividend.** S.123(6) bars it while default under S.73/74 continues.
  11. **"Dividend must be paid within 30 days of the AGM."** Careful — it's 30 days **from declaration** (for final, declaration is at the AGM; for interim, from the Board's declaration).
  12. **Depreciation optional if profits are huge?** Never — depreciation per Schedule II is **always** mandatory before dividend (S.123(2)).
  13. **Set-off of past losses.** Must set off **carried-over losses AND unprovided past depreciation** before declaring — even out of current profits (1st proviso to S.123(1)).
- 

## 9. First-Principles Recap

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Rebuild the whole chapter from two seeds:

**Seed 1 — Protect the creditor's cushion (capital maintenance).** Because shareholders enjoy limited liability, the capital they contribute is frozen as a guarantee for creditors. Therefore dividend may leave the company **only from real, realised profit**, never from capital. From this single idea you regenerate: - pay only out of current/past **profits after depreciation** or a government guarantee (S.123(1)); - **depreciation is compulsory** (S.123(2)) — unreal profit = capital in disguise; - **free reserves exclude revaluation/notional gains** (S.2(43)) — paper profit isn't cash; - **set off past losses first** (1st proviso); - raiding reserves in a lean year is fenced by **3-10-plug-15** (Rule 3); - **deposit-defaulters can't pay dividend** (S.123(6)) — creditors before owners; - interim dividend gets the **loss-brake** (S.123(3)) because it bets on unearned profit.

**Seed 2 — Once promised, the money must actually reach the shareholder (and never silently vanish into the company).** A declared dividend is a **debt**. From this you regenerate: - **deposit in a separate account in 5 days** (S.123(4)) — ring-fence it; - **pay in cash within 30 days**, else criminal liability + **18%** interest (S.127); - unclaimed → **Unpaid Dividend Account in 37 days** + **12%** interest on default (S.124); - unclaimed for **7 years** → **money AND shares to IEPF** (S.124/125); - but the owner can **always reclaim** from the IEPF Authority.

Two seeds, two protected groups (creditors, shareholders), one border (profit out, capital in). Master the border and the sections are inevitable, not arbitrary.

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## 10. Quick-Revision Sheet

### Key sections at a glance

| Section / Rule  | Deals with                  | One-line essence                                                                                                          |
|-----------------|-----------------------------|---------------------------------------------------------------------------------------------------------------------------|
| <b>S.2(35)</b>  | Definition                  | "Dividend includes interim dividend"                                                                                      |
| <b>S.2(43)</b>  | Free reserves               | Distributable reserves EXCLUDING revaluation / notional / unrealised gains                                                |
| <b>S.123(1)</b> | Sources                     | Current profit / past profit (after depreciation) / govt guarantee; set off past losses first; reserve transfer VOLUNTARY |
| <b>S.123(2)</b> | Depreciation                | Compulsory per Schedule II before dividend                                                                                |
| <b>Rule 3</b>   | Dividend from past reserves | 3-year avg rate, 10% amount cap, plug losses, 15% reserve floor                                                           |
| <b>S.123(3)</b> | Interim dividend            | Board declares; loss-brake caps rate at 3-year average                                                                    |
| <b>S.123(4)</b> | Separate account            | Deposit within 5 days                                                                                                     |
| <b>S.123(5)</b> | Mode                        | Cash only, to registered holder; no dividend in kind                                                                      |
| <b>S.123(6)</b> | Deposit-defaulters          | Cannot declare dividend while S.73/74 default continues                                                                   |
| <b>S.124</b>    | Unpaid dividend             | Unpaid A/c in 37 days; 12% default interest; 90-day website disclosure; 7-yr rule; shares also to IEPF                    |
| <b>S.125</b>    | IEPF                        | Fund for investor education + refunds; owner can reclaim                                                                  |
| <b>S.126</b>    | Abeyance                    | Dividend/rights/bonus held pending transfer registration                                                                  |
| <b>S.127</b>    | Non-payment                 | Pay in 30 days else director jail up to 2 yrs + ₹1,000/day; company 18% interest; 5 exceptions                            |

## Time-limits & thresholds table

| Item                                                          | Limit                                             |
|---------------------------------------------------------------|---------------------------------------------------|
| Deposit dividend in separate bank account                     | <b>5 days</b> from declaration                    |
| Pay dividend to shareholder                                   | <b>30 days</b> from declaration                   |
| Transfer unclaimed dividend to Unpaid Dividend A/c            | <b>37 days</b> (30 + 7)                           |
| Publish unclaimed list on website                             | <b>90 days</b> of transfer to Unpaid Dividend A/c |
| Unclaimed period → transfer to IEPF (money + shares)          | <b>7 years</b>                                    |
| Interest — failure to transfer to Unpaid Dividend A/c (S.124) | <b>12% p.a.</b>                                   |
| Interest — failure to pay declared dividend (S.127)           | <b>18% p.a.</b>                                   |
| Rate cap on dividend from past reserves (Rule 3)              | ≤ <b>average of last 3 years</b>                  |
| Amount cap on dividend from past reserves (Rule 3)            | ≤ <b>10%</b> of (paid-up capital + free reserves) |
| Minimum reserve floor after such withdrawal (Rule 3)          | <b>15%</b> of paid-up capital                     |
| Director imprisonment for non-payment (S.127)                 | up to <b>2 years</b>                              |
| Fine per day of default (S.127)                               | ≥ <b>₹1,000/day</b>                               |
| Compulsory transfer to reserves before dividend               | <b>NIL — voluntary</b> under 2013 Act             |

## 15-second mnemonics

- **Sources:** "*Profit now, profit before, or Government's door*" (S.123(1)).
- **Reserves raid:** "3-10-plug-15."
- **Timeline:** "5 to ring-fence, 30 to pay, 37 to park, 90 to publish, 7 years to IEPF."
- **Interest:** "12 for parking late, 18 for paying never."
- **The sting:** "Seven years unclaimed — money AND shares gone to IEPF (but reclaimable)."

**Confirm in the current bare Act / ICAI material:** exact fine ranges under S.124(7) and S.127 (amended over time), and the precise wording of Schedule II useful lives. The principles and time-limits above are the examinable core.

# Q&A — Declaration & Payment of Dividend

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CA Intermediate — Corporate & Other Laws. Statute: **Companies Act, 2013**, Sections **123–127**, definitions **S.2(35)** and **S.2(43)**, and the **Companies (Declaration and Payment of Dividend) Rules, 2014**. Every answer cites the governing provision. No provision is invented.

## Section A — Concept-Check Questions (with answers)

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**A1. Define "dividend" and state where it is defined.** *Answer:* Under **S.2(35)**, "dividend" includes any interim dividend. It is not exhaustively defined; judicially it means the portion of distributable profit paid to shareholders as a return on their investment. The word derives from "dividendum" (that which is to be divided). This ties to the core idea: dividend is a **reward from real profit**, not a withdrawal of the shareholders' capital cushion.

**A2. What are the three permitted sources of dividend under S.123(1)?** *Answer:* Per **S.123(1)**, dividend for a financial year may be paid out of: (a) **profits of the company for that year** arrived at after providing for depreciation per S.123(2); (b) **profits for previous financial years** (accumulated after providing depreciation) remaining undistributed; or (c) **money provided by the Central/State Government** for dividend in pursuance of a guarantee. Profits from any of (a) and (b) may be used, but only after transfers to reserves the company chooses to make. This enforces **capital maintenance** — you distribute the harvest, not the seed corn.

**A3. Is transfer to reserves before declaring dividend mandatory?** *Answer:* No. Under the second proviso to **S.123(1)**, a company **may** (before declaring dividend) transfer such percentage of profits to reserves as it considers appropriate. The earlier mandatory transfer regime is gone; reserve transfers are now **voluntary**.

**A4. Must depreciation be provided before dividend? Under which provision?** *Answer:* Yes. **S.123(2)** requires depreciation to be provided in accordance with **Schedule II** before profits are treated as available for dividend. Distributing without charging depreciation would inflate profit and erode capital — the classic "eating the seed corn" fraud.

**A5. Where must dividend be deposited once declared, and within what time?** *Answer:* Under **S.123(4)**, the amount of declared dividend (including interim) must be **deposited in a separate bank account** within **5 days** of declaration. This ring-fences shareholders' money so it cannot be recycled into working capital.

**A6. In what form must dividend be paid? Can it be paid in kind?** *Answer:* Under **S.123(5)**, dividend must be paid **in cash** (or by cheque, warrant, or electronic mode) to the registered shareholder or his order. It **cannot be paid in kind**. Capitalisation of profits into bonus shares is not "dividend" and is governed separately (S.63).

**A7. Who may declare interim dividend and out of what?** *Answer:* Under **S.123(3)**, the **Board of Directors** may declare interim dividend during any financial year (or between year-end and AGM) out of the **surplus in the profit and loss account and/or profits of the current financial year**. If the company has incurred a loss up to the end of the quarter immediately preceding the date of declaration, the interim dividend **rate cannot exceed the average dividend declared in the immediately preceding three financial years**.

**A8. A company has defaulted on repayment of deposits. Can it declare dividend?** *Answer:* No. Under **S.123(6)**, a company that has **failed to comply with S.73 (acceptance of deposits) and S.74 (repayment**

**of deposits)** shall **not declare any dividend** so long as the default continues. This is a "clean hands" gate — creditor obligations outrank shareholder rewards.

**A9. What happens to dividend that remains unpaid or unclaimed after 30 days?** *Answer:* Under **S.124(1)**, if declared dividend is not paid/claimed within **30 days** of declaration, the company must, within **7 days** after those 30 days (i.e., by day 37), transfer the unpaid amount to a special account called the **"Unpaid Dividend Account"** opened in a scheduled bank.

**A10. When does unpaid dividend move to the IEPF, and what else moves with it?** *Answer:* Under **S.124(5)**, money in the Unpaid Dividend Account that remains unpaid/unclaimed for **7 years** from the date of transfer to that account is transferred to the **Investor Education and Protection Fund (IEPF)**. Under **S.124(6)**, the **underlying shares** on which dividend has not been claimed for 7 consecutive years are also transferred to the IEPF.

**A11. Can a shareholder recover money once it goes to the IEPF?** *Answer:* Yes. Under **S.125(3)** read with the IEPF Rules, a claimant may apply to the IEPF Authority to reclaim the amount/shares transferred. Transfer to IEPF is not forfeiture — the shareholder's claim survives.

**A12. What is the penalty for failure to pay declared dividend within 30 days?** *Answer:* Under **S.127**, where a dividend has been declared but not paid/warrant not posted within **30 days**, every director knowingly a party to the default is punishable with **imprisonment up to 2 years and fine not less than Rs. 1,000 per day** during default, and the company is liable to pay **interest at 18% p.a.** during the period of default.

---

## Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

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**B1. Depreciation skipped to show profit.** *Facts:* Alpha Ltd earned an operating surplus of Rs. 50 lakh but did not charge depreciation of Rs. 20 lakh, and declared dividend on the Rs. 50 lakh "profit". *Analysis:* **S.123(2)** mandates depreciation per Schedule II before profit is available for dividend. True distributable profit is Rs. 30 lakh, not Rs. 50 lakh. Declaring on the un-depreciated figure distributes capital. *Conclusion:* The declaration is **not in accordance with S.123(1)/(2)**; dividend may only be paid on profit after providing Rs. 20 lakh depreciation.

**B2. Dividend out of past reserves in a loss year.** *Facts:* Beta Ltd earns no profit this year but wishes to declare dividend out of accumulated free reserves. Its rate history and reserves must be tested. *Analysis:* **Rule 3** of the Dividend Rules permits dividend out of accumulated profits transferred to free reserves, subject to conditions: (i) the **rate shall not exceed the average of the rates of the three immediately preceding years**; (ii) total amount drawn **shall not exceed 1/10th (10%) of paid-up capital + free reserves**; (iii) the drawn amount is first used to **set off the current year's loss**; and (iv) the balance of reserves after withdrawal **shall not fall below 15% of paid-up share capital**. (Condition (i) does not apply to a company that has not declared dividend in each of the three preceding years.) *Conclusion:* Beta may declare only if all four limbs — **3-year-average rate, 10% ceiling, loss set-off, and 15% floor** — are satisfied.

**B3. Interim dividend after a loss-making quarter.** *Facts:* Gamma Ltd's Board wants to declare interim dividend in Q3, but the company incurred a loss during the current financial year up to the end of Q2. Its average dividend over the last three years was 12%. The Board proposes 15%. *Analysis:* Under the proviso to **S.123(3)**, where the company has incurred a loss during the current FY up to the end of the quarter

immediately preceding the date of declaration, the interim dividend rate **cannot exceed the average dividend declared during the immediately preceding three financial years** (12%). *Conclusion:* The 15% proposal is **invalid**; interim dividend cannot exceed **12%**.

**B4. Deposit default but strong profits.** *Facts:* Delta Ltd has robust profits but has failed to repay matured public deposits under S.74. It proposes to declare a 20% dividend. *Analysis:* **S.123(6)** bars any company that has failed to comply with S.73 and S.74 from declaring dividend while the default subsists, regardless of profitability. *Conclusion:* Delta **cannot declare any dividend** until the deposit default is fully cured.

**B5. Unclaimed dividend not transferred.** *Facts:* Epsilon Ltd declared dividend on 1 April; by 1 May, Rs. 3 lakh remained unclaimed. The company kept the money in its current account and used it for operations. *Analysis:* Under **S.124(1)**, the unpaid Rs. 3 lakh had to be transferred to a **Unpaid Dividend Account** within 7 days after the 30-day period (by ~7 May). Under **S.124(3)**, if not transferred, the company must pay **interest at 12% p.a.** on the amount, and the interest enures to the members. Using the money as working capital breaches the ring-fencing under S.123(4)/124. *Conclusion:* Epsilon is in default of **S.124(1)**, liable for **12% interest** under **S.124(3)**, and officers face penalties under **S.124(7)**.

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## Section C — Past-Paper-Style Descriptive Questions (model answers)

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**C1. "Dividend can only be paid out of profits." Discuss the sources of dividend under the Companies Act, 2013.** *Answer:* **S.123(1)** codifies three sources: (a) **current year's profits** after providing depreciation under **S.123(2)** (Schedule II); (b) **undistributed profits of previous years** transferred to reserves; and (c) **money provided by Government** under a guarantee. The second proviso makes transfer to reserves **voluntary**. Where profits are inadequate/absent, **Rule 3** allows drawing from free reserves subject to the **3-10-15** discipline: rate not exceeding the **3-year average**, withdrawal capped at **10% of (paid-up capital + free reserves)**, and residual reserves not below **15% of paid-up capital**, with the sum first applied to set off current-year losses. Underlying all this is **capital maintenance** — dividend rewards real profit and must never return capital to members ahead of creditors, which is the price of **limited liability**.

**C2. Explain the statutory scheme for unpaid/unclaimed dividend and the IEPF (S.124–S.125).** *Answer:* **S.124(1)**: unpaid/unclaimed dividend must be moved to an **Unpaid Dividend Account** within **7 days** after the **30-day** payment window. **S.124(2)**: the company must, within 90 days, place a statement of unclaimed amounts on its website and the IEPF/MCA website. **S.124(3)**: default in transfer attracts **12% p.a. interest** for members' benefit. **S.124(5)**: amounts unclaimed for **7 years** in that account go to the **IEPF**. **S.124(6)**: the **shares** underlying 7-year unclaimed dividends are transferred to the IEPF (a nominee mechanism). **S.125** establishes the **IEPF**, credits to it, and its uses (refunds to claimants, investor education, etc.), with a claimant's right to reclaim under **S.125(3)**. The philosophy: unclaimed money is stewarded, never confiscated.

**C3. Distinguish interim dividend from final dividend and state the safeguards on interim dividend (S.123(3)).** *Answer:* A **final dividend** is recommended by the Board and **declared by members** in the AGM; an **interim dividend** is declared **by the Board** between two AGMs under **S.123(3)**. Sources of interim dividend are the **surplus in the P&L account and current-year profits**. Safeguard: if the company has **incurred a loss during the current FY up to the end of the preceding quarter**, interim dividend rate cannot exceed the **average dividend of the preceding three years**. Both interim and final dividends must be **deposited in a separate account within 5 days (S.123(4))**, paid in cash (**S.123(5)**), and paid within **30 days (S.127)**.

**C4. State the consequences of failure to distribute declared dividend within 30 days (S.127) and the exceptions.** *Answer:* Under **S.127**, on failure to pay declared dividend or post the warrant within **30 days**, every defaulting director faces **imprisonment up to 2 years and fine of at least Rs. 1,000/day** during default, and the company pays **interest at 18% p.a.** **Exceptions (provisos):** no offence if (a) non-payment is due to **operation of law**; (b) a shareholder has given **directions that could not be complied with** and this was communicated; (c) there is a **dispute over entitlement**; (d) the dividend was **lawfully adjusted** against a sum due from the shareholder; or (e) the default was **not due to any fault of the company**.

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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

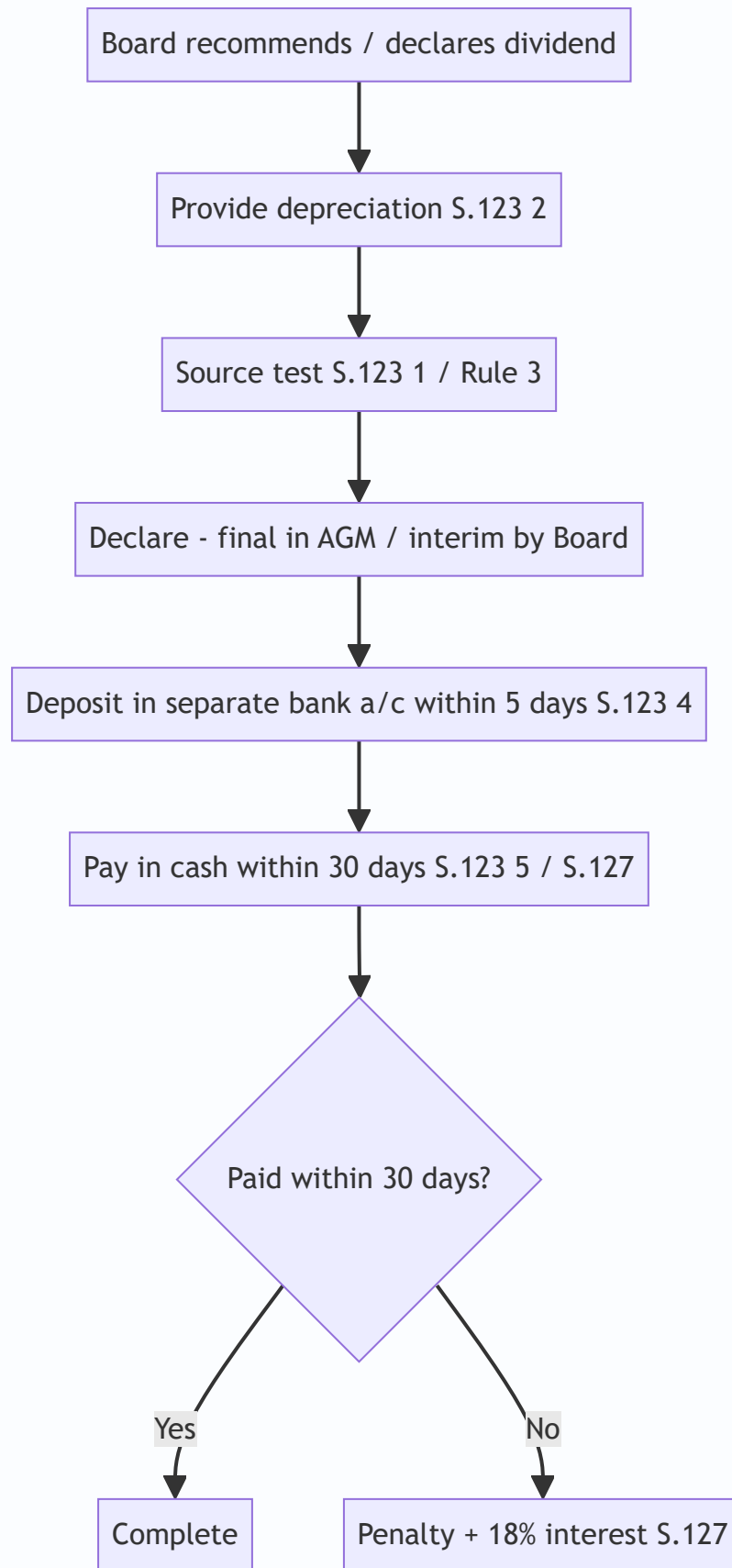
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- D1.** Declared dividend must be deposited in a separate bank account within — A) 30 days B) 7 days C) 5 days D) 90 days **Answer: C.** S.123(4) requires deposit within **5 days** of declaration.
- D2.** Unpaid dividend is transferred to the Unpaid Dividend Account within — A) 7 days of declaration B) 7 days after the 30-day period C) 30 days after 7 days D) 90 days **Answer: B.** S.124(1) — transfer within 7 days after the 30-day window (day 37).
- D3.** Shares are transferred to IEPF when dividend is unclaimed for — A) 3 years B) 5 years C) 7 consecutive years D) 10 years **Answer: C.** S.124(6) — 7 consecutive years of unclaimed dividend.
- D4.** Interest payable by the company for failure to distribute declared dividend within 30 days (S.127) is — A) 12% B) 15% C) 18% D) 24% **Answer: C.** S.127 fixes interest at **18% p.a.**
- D5.** Interest for failure to transfer unpaid dividend to the Unpaid Dividend Account (S.124(3)) is — A) 12% p.a. for members B) 18% p.a. C) 9% p.a. D) No interest **Answer: A.** S.124(3) — **12% p.a.**, enuring to the members.
- D6.** Under Rule 3, reserves remaining after withdrawal for dividend must not fall below — A) 10% of paid-up capital B) 15% of paid-up capital C) 25% of free reserves D) 5% of turnover **Answer: B.** Rule 3 — residual free reserves must be at least **15% of paid-up share capital**.
- D7.** Dividend may be paid in — A) Cash only (incl. cheque/warrant/electronic) B) Kind C) Bonus shares D) Any mode the Board chooses **Answer: A.** S.123(5) — payable **in cash**, not in kind.
- D8. Case scenario:** Zeta Ltd defaulted under S.73 on repayment of deposits and simultaneously had large profits. It declared dividend. Which provision is breached? A) S.123(2) B) S.123(4) C) S.123(6) D) S.127 **Answer: C.** S.123(6) prohibits dividend while a deposit default (S.73/S.74) subsists.
- D9. Case scenario:** A shareholder is untraceable and dividend stays unclaimed for 7 years in the Unpaid Dividend Account. What happens? A) It is forfeited B) It goes to IEPF but remains claimable C) It reverts to the company D) It is paid to directors **Answer: B.** S.124(5) + S.125(3) — transferred to IEPF but the member may reclaim.
- D10.** "Dividend includes any interim dividend" is stated in — A) S.2(43) B) S.2(35) C) S.123(3) D) S.2(31) **Answer: B.** S.2(35) defines "dividend" to include interim dividend. (S.2(43) defines "free reserves".)
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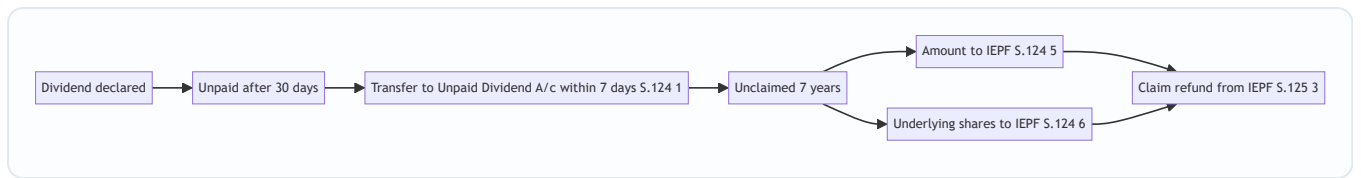
## Procedure — Mermaid Diagrams

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### Diagram 1: Declaration to payment timeline



**Diagram 2: Unpaid dividend to IEPF**



**Diagram 3: Rule 3 dividend-out-of-reserves test**





Inadequate/no profit

Rate  $\leq$  3-yr average?

Yes

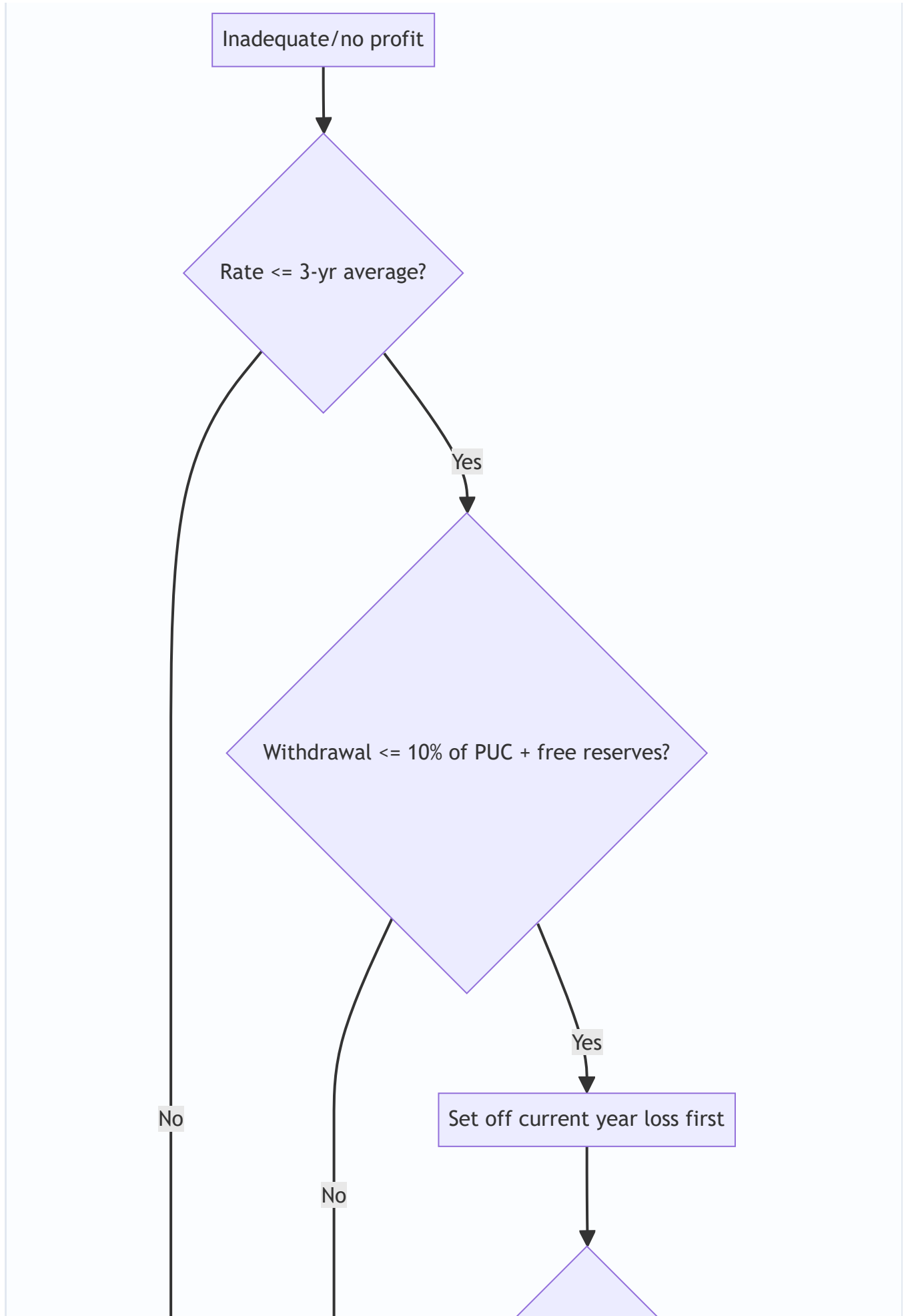
Withdrawal  $\leq$  10% of PUC + free reserves?

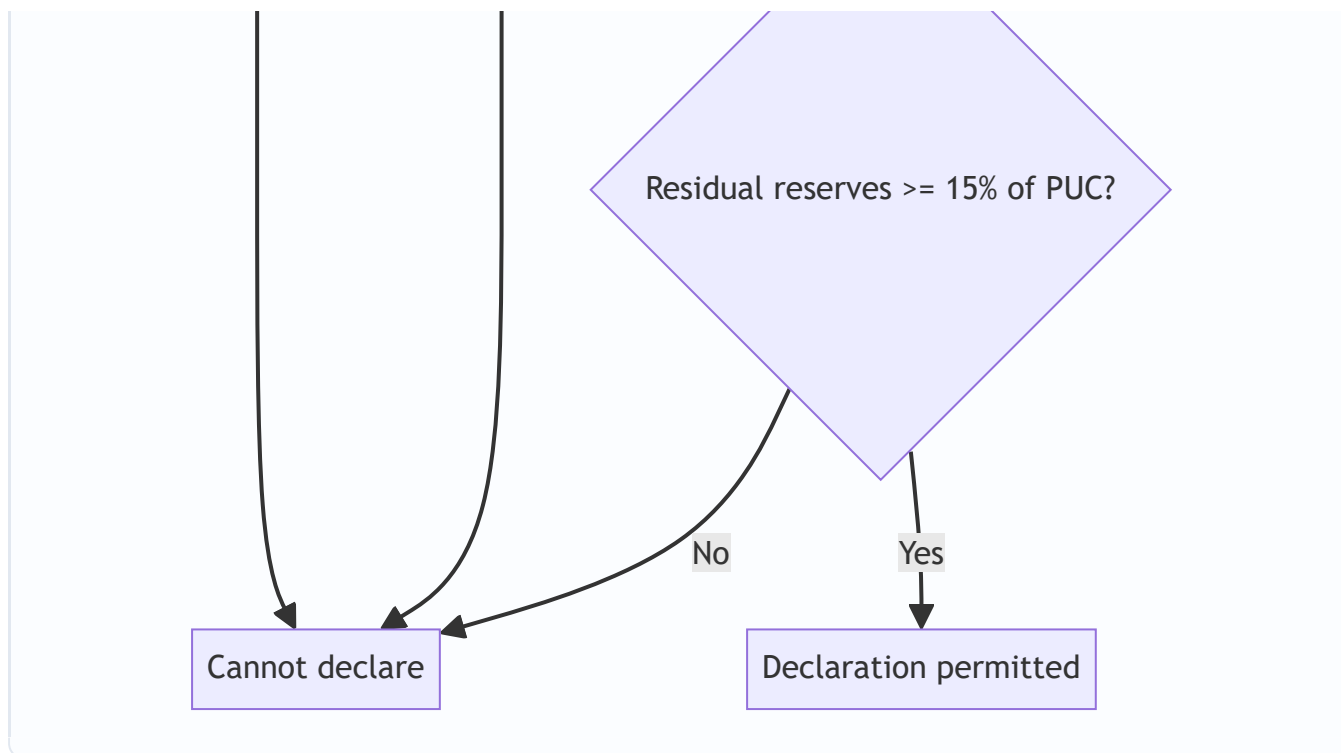
Yes

Set off current year loss first

No

No





## Traps & Examiner Tricks (quick hits)

1. **Depreciation is mandatory (S.123(2)) but reserve transfer is voluntary** — don't reverse these.
2. **5 days** = deposit in separate account; **30 days** = pay; **37 days (7 after 30)** = Unpaid Dividend Account. Don't confuse the three clocks.
3. **7 years** unclaimed → IEPF (amount **and** shares) — not 3 or 5.
4. **S.124(3) interest = 12%** (delayed transfer to Unpaid A/c) vs **S.127 interest = 18%** (delayed payment to member). Different rates, different defaults.
5. **Rule 3 numbers: 3 (avg rate), 10% (ceiling), 15% (floor)** — plug in exactly.
6. **Deposit default (S.123(6)) is an absolute bar** — profitability is irrelevant.
7. **Dividend is cash only (S.123(5))** — "dividend in kind" is a trap; bonus shares are S.63, not dividend.
8. **Interim dividend is declared by the Board (S.123(3))**, final dividend by members in AGM — a common mix-up.
9. **Interim dividend loss-quarter cap** = 3-year average rate — students forget this proviso.
10. **Transfer to IEPF is not forfeiture** — the member retains a right to reclaim (S.125(3)).
11. **S.126 (abeyance)**: where shares are subject to a registration/transfer dispute, dividend is **kept in abeyance / transferred to Unpaid Dividend Account** pending resolution — not paid to the transferor by default.
12. **"Profits" for dividend need not equal book profits** — they are post-depreciation, post-set-off distributable profits.
13. **S.127 exceptions** (operation of law, shareholder's un-compliable directions, disputed entitlement, lawful adjustment, no fault of company) — cite them, don't assume the penalty is automatic.

## First-Principles Recap — Two Seeds

- **Seed 1 — Distribute the harvest, never the seed corn.** Dividend flows only from *real, post-depreciation profit* (S.123(1)/(2)); paying out of capital would let owners escape with the cushion that protects creditors. This is **capital maintenance**, the quid pro quo for **limited liability**.
- **Seed 2 — Shareholders' money, once declared, is held in trust.** Ring-fencing (S.123(4)), cash-only payment (S.123(5)), the Unpaid Dividend Account and IEPF (S.124–125), abeyance (S.126) and penalties (S.127) all exist so that a declared dividend reaches the right owner and is never quietly recycled or forfeited.

## Quick-Revision Sheet

### Key Sections Table

| Section  | Subject                                              |
|----------|------------------------------------------------------|
| S.2(35)  | Definition of "dividend" (includes interim)          |
| S.2(43)  | Definition of "free reserves"                        |
| S.123(1) | Sources of dividend                                  |
| S.123(2) | Depreciation before dividend (Schedule II)           |
| S.123(3) | Interim dividend by Board; loss-quarter cap          |
| S.123(4) | Deposit in separate account within 5 days            |
| S.123(5) | Dividend payable in cash only                        |
| S.123(6) | Bar on dividend during deposit default (S.73/74)     |
| Rule 3   | Dividend out of reserves — 3 / 10% / 15%             |
| S.124    | Unpaid Dividend Account and IEPF transfer            |
| S.125    | Investor Education and Protection Fund; refunds      |
| S.126    | Right to dividend kept in abeyance (disputed shares) |
| S.127    | Penalty for non-payment within 30 days; 18% interest |

### Time-Limits / Thresholds Table

| Trigger                                     | Limit                          | Provision    |
|---------------------------------------------|--------------------------------|--------------|
| Deposit in separate bank account            | 5 days of declaration          | S.123(4)     |
| Pay dividend to member                      | 30 days of declaration         | S.127        |
| Transfer unpaid to Unpaid Dividend A/c      | 7 days after the 30-day window | S.124(1)     |
| Interest for delayed transfer to Unpaid A/c | 12% p.a. (for members)         | S.124(3)     |
| Publish unclaimed statement                 | within 90 days                 | S.124(2)     |
| Unclaimed → IEPF (amount + shares)          | 7 years                        | S.124(5)/(6) |
| Interest for non-payment to member          | 18% p.a.                       | S.127        |
| Reserve-withdrawal rate cap                 | 3-year average rate            | Rule 3       |
| Reserve-withdrawal amount cap               | 10% of (PUC + free reserves)   | Rule 3       |
| Residual reserves floor                     | 15% of paid-up capital         | Rule 3       |

# Chapter 09 — Accounts of Companies

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Chapter IX of the Companies Act 2013 — Sections 128 to 138. The chapter that turns a company from a private black box into a place a stranger can safely lend to, invest in, or regulate.

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## 1. The Problem — Why Would Anyone Trust a Company They Cannot See Inside?

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A company is a legal fiction. It has no conscience, no fear of hell, and — crucially — **limited liability**. The people who run it (the Board) are almost never the people who fund it (thousands of scattered shareholders and lenders). This split between **management and ownership** is the original sin that the entire law of accounts exists to police.

Left unregulated, here is exactly how people cheated:

- **The vanishing books.** A director who kept the books in his own head, or in a locked drawer, or destroyed them the night before an inspection, could deny a fraud ever happened. No records, no proof, no liability.
- **The rosy picture.** Management could paint the company as wildly profitable to keep the share price up, keep drawing salaries and dividends, and keep lenders lending — right up to the morning it collapses. Investors lose money they were *lured* into.
- **The invisible subsidiary trick.** A parent company would shove its losses, its debts, its garbage into a subsidiary and show only the clean parent to the world. The group is rotten but each individual balance sheet looks fine. (Enron did exactly this with "special purpose entities.")
- **The controls that never existed.** Cash walks out, purchases are inflated to pay kickbacks, sales are invented — all because no one built a *system* to catch it, and no one was accountable for the absence of that system.
- **The company that took society's resources and gave nothing back.** Large, profitable companies use public infrastructure, public goods, public trust — and historically returned zero to the society that enabled them.

Every section from 128 to 138 is a **fix for one of these specific abuses**. Do not memorise them as a list. Read each as a plugged loophole.

The famous frauds behind this chapter — **Satyam (2009)** in India (₹7,000+ crore of fictitious cash and fabricated books) and **Enron/WorldCom** globally — are the reason Parliament tightened accounts, controls, and created a super-regulator (NFRA). Satyam is *why* internal financial controls and NFRA exist in their current form.

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## 2. The Core Idea — "Record It, Present It Truthfully, Prove You Controlled It, Give Back, and Let a Watchdog Check."

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Strip the chapter to one sentence and it says:

**A company must keep honest books (128), turn them into a true-and-fair public statement signed by accountable humans (129 + 134), prove it had systems to prevent lies (134 IFC + 143 auditor check), share its surplus with society if it is large (135 CSR), and submit to an independent quality regulator (132 NFRA) — with everything ultimately *filed* on public record.**

The five moves, in order of the information's life:

| Move                               | Section                | What it forces                                                                    |
|------------------------------------|------------------------|-----------------------------------------------------------------------------------|
| 1. <b>Capture</b> the truth        | 128                    | Keep proper books of account, accrual + double-entry, for 8 years                 |
| 2. <b>Present</b> the truth        | 129, 133               | True-and-fair financial statements per notified accounting standards              |
| 3. <b>Consolidate</b> the truth    | 129(3)                 | If you have subsidiaries, show the <i>whole group</i> , not just the clean parent |
| 4. <b>Own</b> the truth            | 134                    | Board must sign, report, and declare its internal controls                        |
| 5. <b>Give back</b> from the truth | 135                    | Large companies must spend 2% on CSR                                              |
| 6. <b>Police</b> the truth         | 132 (NFRA),<br>137/138 | Independent regulator + mandatory filing + internal audit                         |

Everything else is detail hanging off this skeleton.

### 3. Why It's Built This Way — The Design Logic

**Why *mandatory* and not *voluntary*?** Because the people who benefit from lying (management) are the very people who would choose whether to disclose. You can never let the fox decide whether to install the henhouse camera. So the law removes discretion.

**Why *accrual and double-entry* (128)?** Cash accounting hides the truth beautifully — you can look rich simply by not paying your bills yet. Accrual forces you to recognise a liability the moment it arises, and double-entry means every rupee has a source and a use, so fabrication requires *two* consistent lies, not one. Harder to cook.

**Why *true and fair* rather than merely "*correct*" (129)?** "Correct" invites malicious compliance — technically-accurate numbers arranged to mislead. "True and fair" is a *higher, purposive* standard: the overall impression must not deceive. It defeats the letter-of-the-law cheat.

**Why *make specific humans sign* (134)?** A statement no one signs is a statement no one can be jailed for. Signatures convert "the company misled us" (unpunishable abstraction) into "*you*, Chairman, and *you*, CFO, certified this" (a defendant).

**Why *consolidation* (129(3))?** Because economic reality follows control, not legal boundaries. If you control it, its losses are your losses. Consolidation refuses to let a corporate group hide behind the separate legal personality of its own subsidiaries.

**Why *CSR as law* (135)?** India is the first major economy to make CSR statutorily mandatory (with teeth). The logic: large companies extract enormous value from society and the commons; a modest, transparent 2%

giveback, *governed and disclosed*, is the price of that licence. Making it "comply-or-explain," and later "comply-or-transfer-and-explain," stops it being empty PR.

**Why a separate NFRA (132)?** Because the accounting profession policing itself (ICAI) has an inherent conflict — auditors are members, and members were signing off on frauds like Satyam. An *independent* regulator with the power to investigate and debar breaks that cosy circle for the largest, most systemically-important companies.

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## 4. Full Technical Content — Section by Section, Each Wrapped in Its Why

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### Section 128 — Books of Account

**The abuse it kills:** the vanishing/incomplete/one-sided books. If records can be sloppy, absent, or destroyed, fraud is unprovable.

**Definition (read with Sec 2(13)):** "Books of account" includes records of all sums received and expended, all sales and purchases of goods and services, assets and liabilities, and (for prescribed companies) cost records under Sec 148.

**What 128 requires:** - Every company shall **keep proper books of account** giving a **true and fair view** of its affairs, **including its branches**. - Kept on **accrual basis** and according to the **double-entry** system. (*Why: as explained — hardest to fabricate.*) - Kept at the **registered office**. (*Why: a fixed, known, regulator-reachable location.*) - May be kept at **another place in India** if the Board so decides — but the company must **file a notice with the Registrar (ROC) in writing within 7 days** giving the full address. (*Why: flexibility, but the regulator must always know where to find them.*)

**Electronic mode (Rule):** Books may be kept in electronic form. They must remain **accessible in India** so as to be usable for subsequent reference, and back-ups of books maintained on servers **physically located in India** must be kept on servers physically located in India **on a periodic basis** (annual intimation to ROC of the service provider details). (*Why: to stop the "the server is offshore, we cannot produce records" dodge.*)

**Retention period — the number to memorise:** books together with vouchers must be preserved in good order for **not less than 8 financial years** immediately preceding the current year. If an **investigation** has been ordered, the Central Government may direct retention for **longer**. (*Why 8? Long enough to cover the limitation and investigation window; longer if the law is actively looking.*)

**Who is responsible (the "officer in default"):** the **Managing Director, the whole-time director in charge of finance, the Chief Financial Officer (CFO)**, or any other person charged by the Board. (*Why name them: no anonymous blame.*)

**Penalty for contravention:** the responsible persons are punishable with **imprisonment up to 1 year, or fine of ₹50,000 up to ₹5,00,000, or both**. (*A rare provision carrying imprisonment — signalling how central honest books are.*)

**Memory hook — "128 = the foundation stone."** 1-2-8 → keep it at 1 place (registered office), for a minimum retention, prove it in India. Everything downstream is built on these books being real.

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## Section 129 — Financial Statements

**The abuse it kills:** the rosy-picture and the invisible-subsidary tricks.

**"Financial statements" (Sec 2(40))** includes: (i) **Balance Sheet**, (ii) **Statement of Profit and Loss** (or Income & Expenditure account for non-profit-oriented), (iii) **Cash Flow Statement**, (iv) **Statement of Changes in Equity** (if applicable), and (v) **Notes**. *(Exemption: a One Person Company, small company, dormant company, and specified private company/start-up need NOT include a Cash Flow Statement.)*

**Core mandate of 129(1):** - Financial statements shall give a **true and fair view** of the state of affairs. - Shall **comply with the accounting standards** notified under **Sec 133**. - Shall be in the **form(s) in Schedule III**.

*(The "true and fair" + "accounting standards" + "prescribed form" trio is the anti-manipulation lock: you cannot invent your own favourable presentation.)*

**The disclosure-vs-secrecy carve-out:** insurance, banking, and electricity companies (governed by their own special Acts) follow those forms — 129 does not force a one-size-fits-all where a specialised regulator already prescribes.

**129(3)–(4) — Consolidated Financial Statements (CFS):** - Where a company has one or more **subsidiaries, associates, or joint ventures**, it shall **prepare a consolidated financial statement** of the company **and all** subsidiaries/associates/JVs, in the same form and manner as its own, laid before the AGM **in addition to** its standalone statements. *(Why: show the whole group; kill the hide-losses-in-a-sub trick.)* - "Subsidiary" here **includes associate and joint venture** for consolidation purposes. - A separate statement (**Form AOC-1**) containing the salient features of each subsidiary/associate/JV's financials must be attached.

**129(5):** If the financial statements **do not comply** with accounting standards, the company must **disclose the deviation, the reasons, and the financial effect**. *(Why: forced confession beats silent non-compliance.)*

**129(7) — Penalty:** the MD/WTM in charge of finance/CFO/other responsible person is punishable with **imprisonment up to 1 year, or fine ₹50,000 to ₹5,00,000, or both**, for failing to comply with 129.

**Note / confirm in bare Act:** exact CFS applicability for a company with *only* associates/JVs (no subsidiary) and the small-company CFS relaxations are subject to Rule 6 of the Companies (Accounts) Rules — confirm current exemptions in ICAI material.

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## Section 133 — Central Government Prescribes Accounting Standards

**The abuse it kills:** every company inventing its own "accounting method" so numbers are non-comparable and manipulable.

- The Central Government **prescribes the accounting standards** recommended by **ICAI** in consultation with and after examination by the **National Financial Reporting Authority (NFRA)**. *(Why the chain: professional expertise (ICAI) + independent oversight (NFRA) + legal force (CG). No single body controls the rules.)*
  - These are the **AS / Ind AS** you apply. *(A common, mandatory yardstick makes companies comparable and lies detectable.)*
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## Section 134 — Financial Statement, Board's Report, and the Directors' Responsibility Statement

**The abuse it kills:** the unsigned, unaccountable statement — and management pretending they had controls when they had none.

**134(1) — Signing (authentication):** - Financial statements, including consolidated ones, must be **approved by the Board** and signed on behalf of the Board by: - the **Chairperson** (if authorised) **OR** by **two directors**, one of whom shall be the **Managing Director**, and - the **CEO** (if a director), the **CFO**, and the **Company Secretary**, wherever they are appointed. - For a **One Person Company**, signature by **one director** suffices.

*(Why the multiple signatures: spread accountability across the people who actually run and account for the company. You cannot all claim ignorance.)*

**134(3) — The Board's Report** must be attached to the financial statements and must include, among many items: - extract of annual return / web-link to annual return (Sec 92), - number of **Board meetings**, - **Directors' Responsibility Statement** (below), - details of **fraud reported by auditors** (Sec 143(12)), - declaration by **independent directors**, - company's policy on **directors' appointment and remuneration**, - explanations to every **qualification/adverse remark** made by the auditor and the company secretary in practice, *(Why: force management to publicly answer the auditor's red flags)* - particulars of **loans, guarantees, investments** (Sec 186), - particulars of **related party contracts** in **Form AOC-2** (Sec 188), - **conservation of energy, technology absorption, foreign exchange earnings/outgo**, - **risk management policy**, - **CSR policy and report** (Sec 135), - statement on **formal annual evaluation** of the Board (listed/prescribed cos), - **material changes** and commitments affecting financial position after the year-end.

**134(3)(c) + 134(5) — Directors' Responsibility Statement (DRS):** the directors must affirmatively state that: 1. applicable **accounting standards** were followed; 2. **accounting policies** were selected and applied consistently, with prudent judgements, to give a true and fair view; 3. proper and sufficient care was taken for **maintenance of adequate accounting records** to safeguard assets and prevent/detect fraud; 4. the accounts were prepared on a **going concern** basis; 5. **(for listed companies)** the directors had laid down **Internal Financial Controls (IFC)** and that such IFC are **adequate and operating effectively**; 6. the directors devised proper systems to ensure **compliance with all applicable laws** and that such systems were adequate and operating effectively.

**Internal Financial Controls — the definition to memorise (Explanation to 134(5)(e)):** IFC means the **policies and procedures adopted by the company for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information.**

*(Why IFC exists: post-Satyam, "we didn't know the cash was fake" is no longer a defence. Directors must build systems to catch fraud and then certify those systems work. The auditor independently reports on IFC adequacy under Sec 143(3)(i).)*

**134(8) — Penalty:** company punishable with fine of **₹3,00,000**; and every officer in default with fine of **₹50,000**. *(Post-2020 amendment reframed several accounts penalties as monetary; confirm current figures in ICAI material.)*

**Memory hook — 134 = "the *signature and confession* section."** Sign it (134(1)), report it (134(3)), and swear you controlled it (134(5) DRS + IFC).

## Section 135 — Corporate Social Responsibility (CSR)

**The abuse it kills:** the extractive company that takes from society and returns nothing — and the fake, unbudgeted "charity" used as PR without governance.

**Applicability — the three trigger thresholds (any ONE, in the *immediately preceding financial year*):**

| Trigger    | Threshold            |
|------------|----------------------|
| Net worth  | ₹500 crore or more   |
| Turnover   | ₹1,000 crore or more |
| Net profit | ₹5 crore or more     |

If a company crosses **any one**, Sec 135 applies. (*Why "any one": you cannot be huge on two metrics and dodge by being small on the third.*)

**The CSR Committee (135(1)):** such a company must constitute a **CSR Committee of the Board** with **3 or more directors, at least one being an independent director**. (*For a company not required to appoint an independent director, 2 directors suffice.*) (*Why a Board committee: CSR is a governance duty, not a marketing budget.*)

**Relaxation:** where the amount to be spent does **not exceed ₹50 lakh**, the requirement to constitute a **CSR Committee is not applicable**, and the Board itself discharges the functions.

**The 2% obligation (135(5)):** the Board shall ensure the company spends, in every financial year, **at least 2% of the average net profits** made during the **three immediately preceding financial years** (or years available, if incorporated later) on CSR activities per its policy.

- **"Net profit"** is computed as per **Sec 198** (with prescribed exclusions — e.g. profits from overseas branches, dividends from other CSR-covered companies). (*Why Sec 198: a single, manipulation-resistant profit definition.*)

**The "comply or explain" → "comply or transfer" evolution — this is the heavily-tested part:** - If the company **fails to spend** the 2%, the Board must, in its report, **specify the reasons** for not spending. -

**Unspent amount tied to an ongoing project:** must be transferred within **30 days** of the end of the financial year to a **special account** — the **"Unspent CSR Account"** — in a scheduled bank, and **spent within 3 financial years**; if still unspent after 3 years, transferred to a **Schedule VII fund** (e.g. PM National Relief Fund) within **30 days** of the end of the third year. - **Unspent amount not tied to an ongoing project:** must be transferred within **6 months** of the end of the financial year to a **fund specified in Schedule VII**.

(*Why the ongoing-project distinction: genuine multi-year projects (a school, a hospital) legitimately can't spend all at once, so the law gives them a 3-year ring-fenced runway; money with no genuine plan must go to a public fund, not sit idle as a fake "commitment."*)

**Excess spending set-off:** if a company spends **more** than required, it may **set off the excess** against the obligation for the succeeding **3 financial years** (subject to conditions/board resolution).

**Penalty (135(7)) for default in transferring/spending:** company liable to pay **twice the unspent amount** required to be transferred (or ₹1 crore, whichever is **less**); every officer in default liable to **one-tenth of the unspent amount** (or ₹2 lakh, whichever is **less**). *(Why a money penalty pegged to the unspent sum: it removes the incentive to save money by not spending — non-compliance now costs more than compliance.)*

**Where CSR money may go (Schedule VII):** eradicating hunger/poverty, education, gender equality, environmental sustainability, protection of heritage, measures for armed-forces veterans, sports, PM relief funds, technology incubators, rural/slum development, disaster management, etc. *(Activities in the normal course of business do NOT count as CSR — else every company would relabel its ordinary operations as charity.)*

**Memory hook — "500 / 1000 / 5" and "2% of last 3 years."** Net worth 500 cr, Turnover 1000 cr, Profit 5 cr → spend 2% of the trailing-3-year average. Unspent + ongoing = 30 days to Unspent Account, 3 years to use, else Schedule VII. Unspent + not ongoing = 6 months to Schedule VII.

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## Section 136 — Right of Members to Copies

**The abuse it kills:** hiding the finished statements from the very owners entitled to see them.

- A **copy of the financial statements** (including CFS, auditor's report, and every attached document) must be **sent to every member, trustee for debenture-holders, and every person entitled, at least 21 days before the AGM**. *(Why 21 days: enough time to read and challenge before voting.)*
- Listed companies may send a **statement of salient features (Form AOC-3)** or place documents on the website, subject to conditions.

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## Section 137 — Filing with the Registrar

**The abuse it kills:** keeping the truth private. Disclosure to members is not enough; the *public* and creditors need it too.

- A copy of the **adopted financial statements** (with CFS and all attachments) must be **filed with the ROC in Form AOC-4 (and AOC-4 CFS / XBRL where applicable) within 30 days of the AGM**. *(Why 30 days and public: creditors and future investors — who never attend the AGM — rely on the public record.)*
- **If the AGM was not held**, the statements must still be filed **within 30 days of the last date on which the AGM should have been held**, with reasons. *(No AGM is not an escape from filing.)*
- **OPC:** file within **180 days** from the close of the financial year (it holds no AGM).
- **Penalty (137(3)):** company fined **₹10,000 + ₹100 per day** of continuing default (subject to a cap); the MD/CFO/officer in default similarly fined. *(A per-day penalty makes delay progressively painful — confirm exact caps in ICAI material.)*

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## Section 138 — Internal Audit

**The abuse it kills:** the absence of any *ongoing, internal* check between the annual statutory audits — the gap in which fraud grows for a whole year unnoticed.

- **Prescribed classes** of companies must appoint an **internal auditor** (a chartered accountant, cost accountant, or such professional/ employee as the Board decides) to conduct internal audit of functions

and activities.

- **Who is caught (Rule 13):**
- **Every listed company;**
- **Unlisted public company** with **paid-up capital** ≥ ₹50 crore, OR **turnover** ≥ ₹200 crore, OR **outstanding loans/borrowings from banks/PFIs** > ₹100 crore, OR **outstanding deposits** ≥ ₹25 crore (any one);
- **Private company** with **turnover** ≥ ₹200 crore, OR **outstanding loans/borrowings** > ₹100 crore (any one).

*(Why size-based: internal audit is costly; the law imposes it where the money at stake and public interest justify it. Below the threshold, the annual statutory audit is deemed enough.)*

**Note:** internal audit (138, ongoing, management-facing) is distinct from **statutory audit** (Sec 139–143, annual, shareholder-facing) and from **cost audit** (Sec 148). Do not conflate them.

## Section 132 — National Financial Reporting Authority (NFRA)

**The abuse it kills:** the profession judging itself. When auditors *are* ICAI members and ICAI both sets standards and disciplines members, a Satyam-scale audit failure can slip through. NFRA breaks the conflict for the biggest players.

**What NFRA is:** an **independent regulator** constituted by the Central Government to oversee **accounting and auditing standards and the quality of audits** of specified large/public-interest entities.

**Its powers/functions (132(2)–(4)):** - **Recommend** accounting and auditing policies and standards to the CG (feeds into Sec 133). - **Monitor and enforce compliance** with those standards. - **Oversee the quality of service** of the professions and suggest improvements. - **Investigate**, either *suo motu* or on CG reference, into **matters of professional or other misconduct** by any chartered accountant or CA firm relating to prescribed companies. **Where NFRA is investigating, no other body (i.e. ICAI) may proceed** on the same matter — one forum, no double jeopardy or forum-shopping. - Has the powers of a **civil court** (summoning, discovery, evidence).

**Its penalty powers where misconduct is proved:** - **Penalty:** not less than ₹1 lakh, extendable to **5 times the fees received** (for individuals); not less than ₹5 lakh, extendable to **10 times the fees received** (for firms). - **Debarment** of the member/firm from practice / from being appointed as auditor for a period of **6 months to 10 years**. *(Why so severe: an auditor's signature is a public trust; abusing it must end careers, not just cost a fine.)*

**Who NFRA covers (Rule 3 — jurisdiction):** broadly, **listed companies; unlisted public companies above prescribed thresholds** (paid-up capital ₹500 cr / turnover ₹1,000 cr / aggregate loans-debentures-deposits ₹500 cr as on the preceding 31 March); **insurance, banking, electricity companies**; and bodies referred by the CG. *(Why only the big/public-interest ones: NFRA is a heavy instrument reserved for systemically important entities; smaller companies stay under ICAI.)*

**Appeals:** against NFRA orders lie to the **Appellate Tribunal (NCLAT / the Appellate Authority)** as prescribed.

**Memory hook — "NFRA = the *auditor's auditor*."** It stands above the profession for the largest companies, so the watchmen are themselves watched.

## 5. Applied Scenarios (Facts → Analysis → Conclusion)

**Scenario A — The offshore-server dodge.** *Facts:* Zenith Ltd keeps all its books of account only on a cloud server physically located in Singapore. During an ROC inspection, Zenith says the records "cannot be produced immediately" as the server is abroad. Is Zenith compliant with Sec 128? *Analysis:* Sec 128 read with the Accounts Rules permits electronic books, **but** they must remain **accessible in India** for subsequent reference, and a **back-up on servers physically located in India** must be maintained. Zenith's Singapore-only storage, with no India back-up and non-availability on inspection, defeats the very purpose of the rule (regulator reachability). *Conclusion:* **Contravention of Sec 128.** The MD/CFO/officer in default is liable — imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000.

**Scenario B — The clean parent, the dirty subsidiary.** *Facts:* Apex Ltd is highly profitable on a standalone basis. It has pushed ₹300 crore of losses and debt into its 90%-owned subsidiary, Nadir Pvt Ltd. Apex lays only its **standalone** financial statements before the AGM, arguing Nadir is a "separate legal person." *Analysis:* Separate legal personality is real for liability, but Sec **129(3)** overrides it for *reporting*: where a company has subsidiaries (including associates/JVs), it **must** prepare **Consolidated Financial Statements** covering the whole group and lay them before the AGM **in addition** to standalone statements, with **Form AOC-1** salient features attached. Showing only the clean parent is precisely the abuse 129(3) was written to stop. *Conclusion:* Apex is in **default of Sec 129(3)/(4)**; the responsible officers face imprisonment up to 1 year and/or fine ₹50,000–₹5,00,000. The consolidated picture (which reveals the group's true, weaker position) must be presented.

**Scenario C — CSR: "we'll spend it later."** *Facts:* Meridian Ltd had a net profit of ₹8 crore in FY 2025-26 (crossing the ₹5 crore trigger). Its 2% CSR obligation on the trailing-three-year average works out to ₹15 lakh. It identifies an **ongoing** three-year school-construction project but spends only ₹5 lakh this year, leaving ₹10 lakh unspent. It does nothing with the balance and simply notes "will spend next year" in the Board's report. *Analysis:* Because the unspent ₹10 lakh relates to an **ongoing project**, Sec **135(6)** requires transfer to a **special "Unspent CSR Account"** in a scheduled bank **within 30 days** of the financial year-end, to be spent within **3 financial years**. Merely noting an intention in the Board's report is insufficient for ongoing-project money. *Conclusion:* **Default under Sec 135.** Failure to transfer attracts the 135(7) penalty — company liable to pay **twice the unspent amount or ₹1 crore, whichever is less**; officers in default **one-tenth of the unspent amount or ₹2 lakh, whichever is less**. Meridian should have opened the Unspent CSR Account and transferred ₹10 lakh within 30 days.

**Scenario D — The unsigned truth.** *Facts:* Solaris Ltd's financial statements are approved by the Board but signed only by the Company Secretary; no director signs. The CFO argues "the Board approved them, that's enough." *Analysis:* Sec **134(1)** requires signature **on behalf of the Board** by the **Chairperson if authorised, or by two directors one of whom is the MD**, plus the **CEO (if director), CFO, and CS** where appointed. Board *approval* and Board *authentication by named directors* are different acts; the DRS accountability under 134(5) attaches to directors, not the CS alone. *Conclusion:* The statements are **not validly authenticated**; Sec 134 is contravened. Correct course: obtain signatures of the requisite directors + CFO + CS before the statements are issued/filed.



**Scenario E — Which regulator disciplines the auditor?** *Facts:* The statutory auditor of a **listed** company, Titan Ltd, is alleged to have colluded in overstating revenue. Both ICAI and NFRA appear interested in investigating. *Analysis:* Titan is a listed company — squarely within NFRA's Rule 3 jurisdiction. Under Sec **132(4)**, where NFRA has initiated investigation into professional misconduct for a prescribed company, **no other institute or body (ICAI) may initiate or continue** proceedings on the same matter. NFRA can impose penalty (up to 5×/10× fees) and **debar 6 months to 10 years**. *Conclusion:* **NFRA has exclusive jurisdiction** here; ICAI stands down for this matter. (For a small unlisted private company outside Rule 3, ICAI would retain jurisdiction.)

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## 6. Procedure / Compliance Summary

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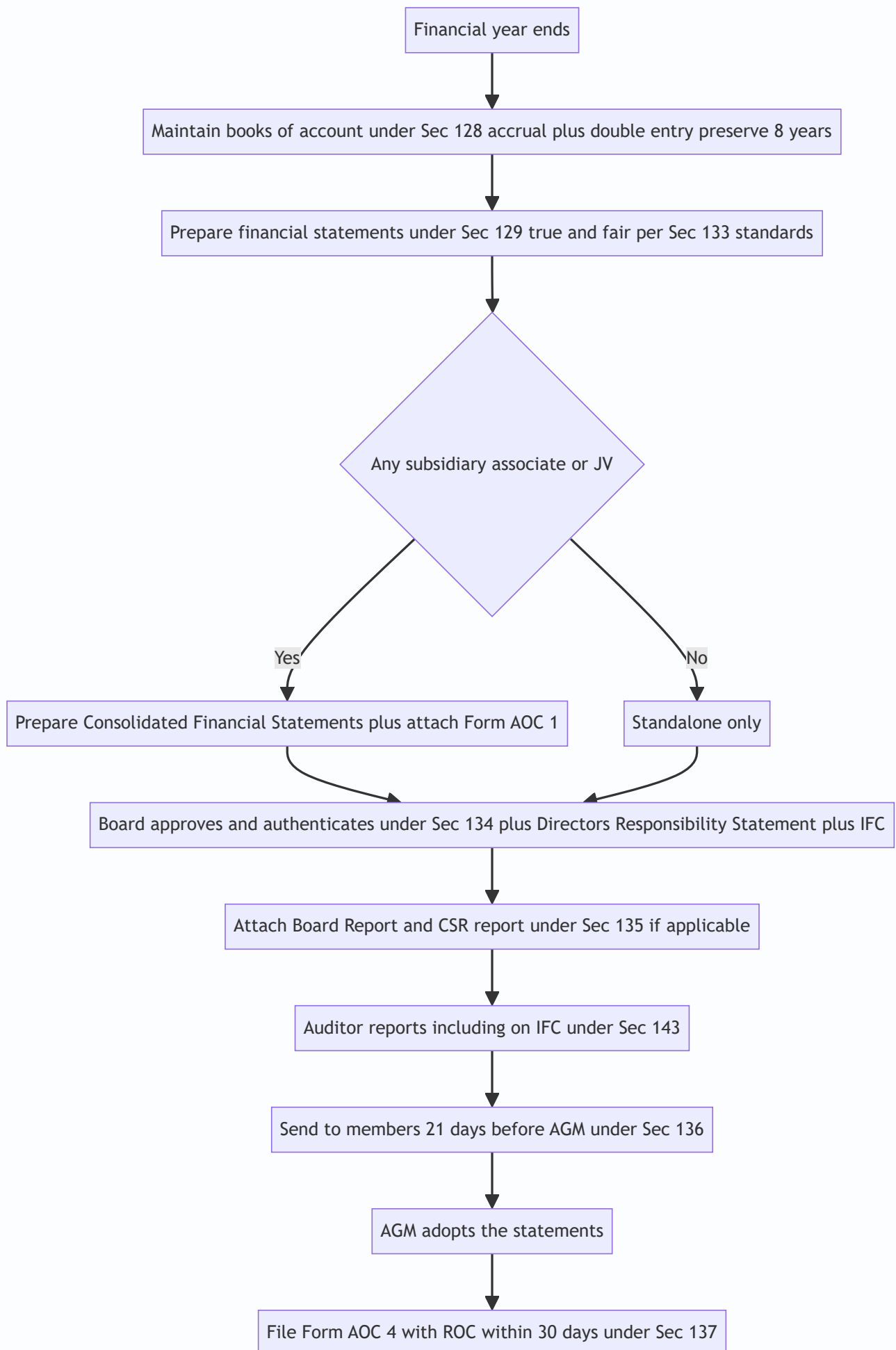


Figure 1 — The life of a company's accounts from books to public filing.

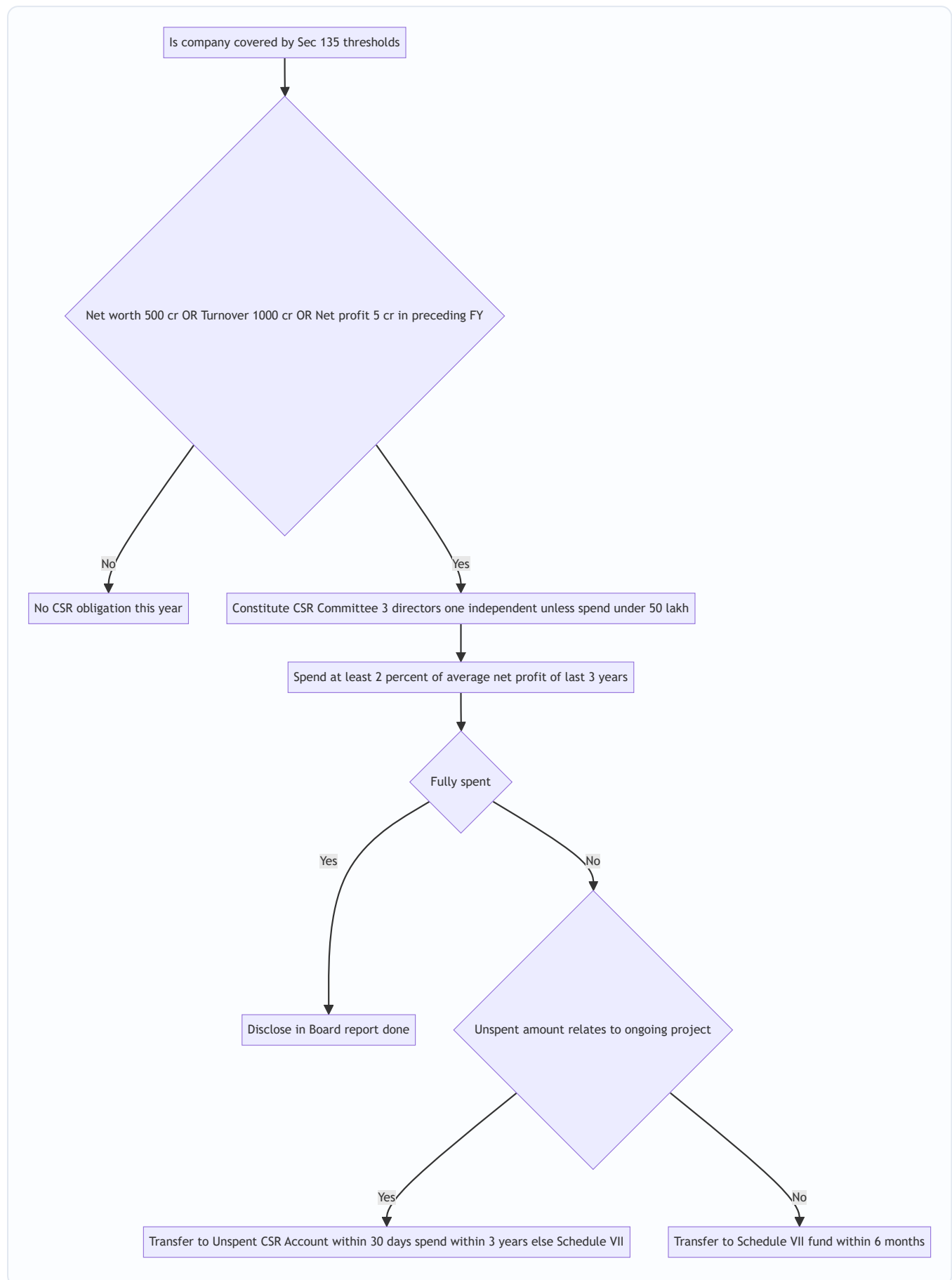


Figure 2 — CSR decision tree under Section 135.

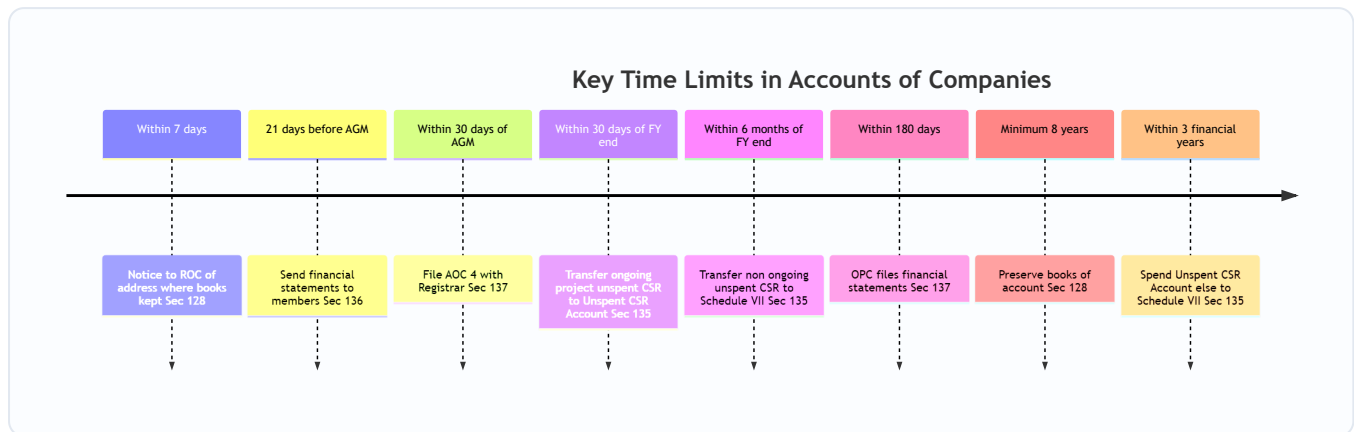


Figure 3 — Every statutory clock in this chapter on one timeline.

**One-page compliance checklist:** 1. Keep books at registered office (or file ROC notice within 7 days if elsewhere); accrual + double entry; India back-up. **[128]** 2. Prepare true-and-fair statements per Sec 133 standards, Schedule III form. **[129, 133]** 3. If group exists → prepare CFS + AOC-1. **[129(3)]** 4. Board approves + authenticates (two directors incl. MD, CEO, CFO, CS) + DRS + IFC declaration. **[134]** 5. Attach Board's Report with all 134(3) contents + CSR report. **[134, 135]** 6. Auditor's report incl. IFC opinion. **[143]** 7. Circulate to members ≥ 21 days pre-AGM. **[136]** 8. Adopt at AGM; file AOC-4 within 30 days. **[137]** 9. CSR: spend 2%; transfer unspent per ongoing/non-ongoing rule. **[135]** 10. Appoint internal auditor if threshold crossed. **[138]**

## 7. Connections — How This Chapter Wires into the Rest of the Act

- **Sec 139–143 (Audit & Auditors):** the natural sequel. The financial statements *prepared* under this chapter are *checked* by the auditor next chapter. **Sec 143(3)(i)** auditor's opinion on **IFC** directly closes the loop opened by 134(5) DRS. **Sec 143(12)** fraud reporting feeds back into the Board's Report (134(3)).
- **Sec 92 (Annual Return):** filed alongside accounts as the other half of the annual disclosure; the Board's report links to it.
- **Sec 96 (AGM):** accounts are *laid* and *adopted* here; the 21-day (136) and 30-day (137) clocks pivot on the AGM date.
- **Sec 123 (Dividend):** you can only declare dividend out of profits *as computed under these accounts* — dishonest accounts would corrupt dividend law too.
- **Sec 148 (Cost Records & Cost Audit):** an extension of "books of account" for specified industries.
- **Sec 447 (Fraud):** the ultimate backstop — falsified books/statements can escalate to the fraud offence with harsh imprisonment.
- **Sec 198 (Net profit calculation):** the shared engine for CSR spend and managerial remuneration — learn it once, use it twice.
- **Sec 2(40), 2(13), 2(85) (definitions):** "financial statement," "book of account," "small company" — the definitions that switch exemptions on and off.

## 8. Traps & Examiner Tricks

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1. **"Books at registered office — file within how many days if kept elsewhere?"** Answer: **7 days'** written notice to ROC. Students confuse this with the 30-day filing of AOC-4. Different clocks.
  2. **8 years, not 7, not 10.** Retention of books = **minimum 8 financial years** (longer if investigation ordered). A classic one-mark trap.
  3. **CSR trigger is "any ONE," not "all three."** And it is measured in the **immediately preceding** financial year. Also: the **2%** is of the **average of the last 3 years'** net profits — students wrongly apply 2% of the current year.
  4. **Ongoing project → 30 days → Unspent CSR Account (3 years). Non-ongoing → 6 months → Schedule VII directly.** The two routes are the single most-tested CSR point. Mixing them loses marks.
  5. **Cash Flow Statement exemption.** OPC, small company, dormant company (and specified start-ups) are **not** required to include a Cash Flow Statement in their financial statements. Examiners love asking "which company need not prepare a cash flow statement?"
  6. **Consolidation covers associates & JVs, not just subsidiaries.** The trap: "Company has no subsidiary, only an associate — must it consolidate?" Generally yes (confirm current Rule 6 relaxations).
  7. **NFRA vs ICAI jurisdiction.** Once NFRA takes up a prescribed company's misconduct matter, **ICAI cannot proceed** on the same matter. And NFRA covers **large/listed/public-interest** entities — *not* every company.
  8. **Internal audit (138) ≠ statutory audit (139).** Internal audit is ongoing and management-facing; thresholds differ by company type. Don't quote statutory-audit rules for an internal-audit question.
  9. **"Approved by Board" ≠ "authenticated/signed."** Sec 134(1) needs specific signatories (two directors incl. MD, plus CEO/CFO/CS). Board approval alone is not authentication.
  10. **CSR is "comply or explain" — but for unspent amounts it is now "comply or transfer and explain," with a monetary penalty.** The old idea that "CSR has no penalty" is outdated after the 2019/2020 amendments. Penalty = twice the unspent amount or ₹1 crore, whichever is less.
  11. **Activities in the normal course of business do NOT count as CSR.** A pharma company giving away medicines it sells cannot count that as CSR.
  12. **"True and fair," not "true and correct."** The statutory phrase is *true and fair view*. Writing "true and correct" can cost you the definitional mark.
- 

## 9. First-Principles Recap

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Forget every section number for a moment and rebuild the chapter from the human problem:

*A company is money that strangers handed to managers they will never meet.*

1. Those managers could **lie about what happened** → so the law forces **honest, tamper-resistant books** (accrual + double-entry, 8-year retention, India-reachable). **[128]**
2. They could **present those books misleadingly** → so the law demands a **true-and-fair** statement in a **standard form** using **common accounting standards**. **[129, 133]**
3. They could **hide the rot in a subsidiary** → so the law demands the **whole group be consolidated**. **[129(3)]**

4. No one could be **blamed** for a faceless document → so the law makes **named humans sign** and **swear their controls worked** (DRS + IFC). **[134]**
5. The company could **take from society and give nothing** → so if it is **large**, it must **give back 2%**, transparently governed, with money it doesn't spend **ring-fenced or surrendered**. **[135]**
6. The truth could stay **private** → so it must be **shown to members** (21 days) and **filed publicly** (30 days). **[136, 137]**
7. Fraud could grow **between annual audits** → so large companies run **internal audit** all year. **[138]**
8. The **auditors themselves** could be captured → so an **independent regulator** watches the biggest ones. **[132 — NFRA]**

Every number in the Quick-Revision Sheet below is just one of these eight sentences wearing a section number.

## 10. Quick-Revision Sheet

### Sections at a glance

| Sec        | Title                    | Core purpose (the "why")                  | Must-know number                                                                      |
|------------|--------------------------|-------------------------------------------|---------------------------------------------------------------------------------------|
| <b>128</b> | Books of account         | Honest, tamper-proof, reachable records   | 7 days ROC notice if kept elsewhere; <b>8 years</b> retention; accrual + double-entry |
| <b>129</b> | Financial statements     | Truthful presentation; whole-group view   | True & fair; <b>CFS + AOC-1</b> if group; deviation must be disclosed (129(5))        |
| <b>132</b> | NFRA                     | Independent regulator over the profession | Penalty up to <b>5× / 10×</b> fees; debar <b>6 months–10 years</b>                    |
| <b>133</b> | Accounting standards     | Common yardstick; comparability           | CG prescribes on ICAI + NFRA advice (AS/Ind AS)                                       |
| <b>134</b> | Board report + DRS + IFC | Named accountability; prove controls      | Sign: 2 directors incl. MD + CEO/CFO/CS; DRS 6 points; IFC definition                 |
| <b>135</b> | CSR                      | Large firms give back to society          | Trigger <b>500cr / 1000cr / 5cr</b> ; spend <b>2%</b> of avg last-3-yr profit         |
| <b>136</b> | Members' copies          | Owners see before they vote               | <b>21 days</b> before AGM                                                             |
| <b>137</b> | Filing with ROC          | Public & creditors see the truth          | <b>AOC-4 within 30 days</b> of AGM; OPC <b>180 days</b>                               |
| <b>138</b> | Internal audit           | Catch fraud between annual audits         | Thresholds by company class (Rule 13)                                                 |

## CSR thresholds & routes

| Item                                  | Rule                                                                                                                 |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| Applicability (any one, preceding FY) | Net worth $\geq$ ₹500 cr / Turnover $\geq$ ₹1,000 cr / Net profit $\geq$ ₹5 cr                                       |
| CSR Committee                         | 3+ directors, $\geq$ 1 independent (waived if spend $\leq$ ₹50 lakh)                                                 |
| Spend                                 | 2% of average net profit (Sec 198 basis) of last 3 FYs                                                               |
| Unspent — ongoing project             | → Unspent CSR A/c within <b>30 days</b> ; use within <b>3 years</b> ; else Schedule VII within 30 days of year 3 end |
| Unspent — non-ongoing                 | → Schedule VII fund within <b>6 months</b>                                                                           |
| Penalty (135(7))                      | Company: 2× unspent or ₹1 cr (lower). Officer: 1/10 unspent or ₹2 lakh (lower)                                       |

## Key time limits

| Time                 | Event                                | Sec |
|----------------------|--------------------------------------|-----|
| 7 days               | Notice to ROC of address of books    | 128 |
| 21 days before AGM   | Send statements to members           | 136 |
| 30 days of AGM       | File AOC-4                           | 137 |
| 30 days of FY end    | Transfer ongoing-project unspent CSR | 135 |
| 6 months of FY end   | Transfer non-ongoing unspent CSR     | 135 |
| 180 days of FY close | OPC files statements                 | 137 |
| 3 financial years    | Spend Unspent CSR Account            | 135 |
| 8 years (min)        | Preserve books of account            | 128 |

## Definitions to reproduce verbatim

- **Financial statement (2(40))** = Balance Sheet + P&L (or Income & Expenditure) + Cash Flow + Statement of Changes in Equity (if any) + Notes. (*Cash flow exempt for OPC/small/dormant.*)
- **Internal Financial Controls (Expl. to 134(5)(e))** = policies and procedures for orderly and efficient conduct of business, adherence to company policies, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of accounting records, and timely preparation of reliable financial information.
- **Standard phrase:** financial statements must give a **"true and fair view."**

**Confirm in ICAI/bare Act before the exam:** current monetary penalty figures under 134(8), 137(3), and 132 (revised by the Companies Amendment Acts 2019/2020); the precise CFS relaxations under Rule 6 of the Companies (Accounts) Rules; and NFRA Rule 3 threshold figures — these have been amended and ICAI study material carries the exam-authoritative numbers.

# Q&A — Accounts of Companies

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CA Intermediate · Corporate & Other Laws · Companies Act, 2013, Chapter IX (Sections 128–138) + Section 132

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## Section A — Concept-Check Questions (short, with answers)

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**A1. Where must a company keep its books of account, and can they be kept elsewhere?** Under **Sec 128(1)**, every company shall keep books of account at its **registered office**. The Board may decide to keep them at **any other place in India**, but must file **notice in writing with the Registrar (AOC-5)** within **7 days**, giving the full address. Books must give a **true and fair view**, be kept on **accrual basis** and **double-entry system**.

**A2. Can books of account be maintained in electronic form?** Yes. **Proviso to Sec 128(1) r/w Rule 3, Companies (Accounts) Rules 2014** permits electronic maintenance, provided records remain **accessible in India**, are **retained completely** in original format, remain **legible**, and a **back-up** is kept on servers physically located in India (for foreign-server records, back-up must be periodically taken and kept in India).

**A3. For how long must books of account be preserved?** **Sec 128(5)**: books together with vouchers must be kept in good order for **not less than 8 financial years** immediately preceding the current year. If an **investigation** is ordered, the Central Government may direct a longer period.

**A4. Whose responsibility is maintenance of books, and what is the penalty for default?** **Sec 128(6)**: MD, WTD in charge of finance, CFO, or any other person charged by the Board. Penalty (**Sec 128(6)**): imprisonment up to **1 year** or fine **₹50,000–₹5,00,000**, or both.

**A5. Define "financial statement" under the Act.** **Sec 2(40)**: includes (i) balance sheet, (ii) profit & loss account (or income & expenditure account for non-profit), (iii) cash flow statement, (iv) statement of changes in equity (if applicable), and (v) explanatory notes. **A One Person Company, small company, dormant company and start-up private company need NOT prepare a cash flow statement.**

**A6. What is a "true and fair view" and Schedule III?** **Sec 129(1)**: financial statements must give a true and fair view, comply with **accounting standards (Sec 133)**, and be in the **form given in Schedule III**. For specified entities (banks, insurance, electricity), the respective governing Act's form prevails.

**A7. When must Consolidated Financial Statements (CFS) be prepared?** **Sec 129(3)**: where a company has one or more **subsidiaries, associates or joint ventures**, it shall prepare a CFS in the same form and manner as its own statements, laid before the AGM in addition to standalones. "Subsidiary" here **includes associate and JV** (Explanation).

**A8. Who prescribes accounting standards?** **Sec 133**: the Central Government prescribes standards recommended by ICAI in consultation with, and after examination by, **NFRA**.

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## Section B — Applied Scenario Questions (Facts → Analysis → Conclusion)

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**B1. CSR applicability trigger.** *Facts*: Alpha Ltd for FY 2024-25 has net worth ₹450 crore, turnover ₹900 crore, net profit ₹4.2 crore. It contends CSR does not apply as profit is small. *Analysis*: **Sec 135(1)** applies if **any one** threshold is met in the immediately preceding FY — net worth **≥ ₹500 cr**, or turnover **≥ ₹1,000 cr**, or net profit **≥ ₹5 cr**. Alpha meets none (net worth < 500, turnover < 1000, profit < 5). *Conclusion*: CSR provisions



do **not** apply to Alpha for the year. Had any single limit been crossed, it must spend **2% of average net profit of the preceding 3 FYs** (Sec 135(5)).

**B2. Unspent CSR amount.** *Facts:* Beta Ltd, covered under CSR, was required to spend ₹80 lakh but spent only ₹50 lakh. ₹20 lakh relates to an ongoing project; ₹10 lakh is unspent with no ongoing project. *Analysis:* **Sec 135(6):** amount relating to **ongoing projects** must be transferred to a **special "Unspent CSR Account"** within **30 days** of FY-end and spent within **3 financial years**. **Sec 135(5) proviso:** unspent amount **not** relating to ongoing projects must be transferred to a **Schedule VII fund** (e.g., PM CARES) within **6 months** of FY-end. *Conclusion:* ₹20 lakh → Unspent CSR Account within 30 days; ₹10 lakh → Schedule VII fund within 6 months. Non-compliance attracts penalty under **Sec 135(7)**.

**B3. Circulation of financial statements.** *Facts:* Gamma Ltd, a listed company, wishes to send only salient features instead of full statements to members holding shares in physical form. *Analysis:* **Sec 136(1):** a copy of the financial statements, CFS, auditor's report and every attached document must be sent **21 days before the AGM** to every member, trustee for debenture-holders, and other entitled persons. **Listed companies** may send **salient features in the prescribed form (AOC-3)** if full statements are made available on the website — but must send **full statements to members who ask**. *Conclusion:* Gamma may send salient features provided the full documents are on its website and available on request; otherwise full statements are mandatory.

**B4. Filing with the Registrar after AGM not held.** *Facts:* Delta Ltd could not hold its AGM. Directors are unsure whether to file financial statements. *Analysis:* **Sec 137(1):** adopted financial statements must be filed with the Registrar in **AOC-4** within **30 days of the AGM**. **First proviso:** if not adopted at AGM/adjourned AGM, file **unadopted** statements within 30 days as provisional. **Sec 137(1) third proviso:** where **AGM is not held**, file the statements along with reasons **within 30 days of the last date before which the AGM should have been held**. *Conclusion:* Delta must still file within 30 days of the due date of the AGM, with reasons for non-holding.

**B5. Internal audit.** *Facts:* Epsilon Ltd (unlisted public) has paid-up capital ₹60 crore and outstanding loans from banks ₹120 crore. It has no internal auditor. *Analysis:* **Sec 138 r/w Rule 13:** internal audit is mandatory for an **unlisted public company** if it has paid-up capital  $\geq$  **₹50 cr**, or turnover  $\geq$  **₹200 cr**, or outstanding loans/borrowings from banks/PFIs  $>$  **₹100 cr**, or deposits  $\geq$  **₹25 cr** (any one). Epsilon crosses two limits. *Conclusion:* Epsilon must appoint an **internal auditor** (a CA/CMA or such professional, whether or not in employment). Default is a **non-compliance** under Sec 138.

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## Section C — Past-Paper-Style Descriptive Questions (model answers)

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**C1. Explain the contents of the Board's Report under Section 134, and the Directors' Responsibility Statement.** **Sec 134(3)** requires the Board's Report to include, inter alia: web-address of annual return (Sec 92); number of Board meetings; **Directors' Responsibility Statement**; details of frauds reported by the auditor (Sec 143(12)); a statement on declaration by independent directors; company's policy on directors' appointment and remuneration; comments on qualifications/adverse remarks in the auditor's/CS's reports; particulars of loans, guarantees and investments (Sec 186); related-party contracts (Sec 188 – AOC-2); dividend recommended; material changes affecting financial position; conservation of energy, technology absorption, foreign exchange; risk management policy; **CSR policy** (Sec 135); and **adequacy of internal financial controls (IFC)**. The **Directors' Responsibility Statement (Sec 134(5))** confirms: applicable accounting standards followed; accounting policies applied consistently and prudent judgments made to

give a true and fair view; proper and sufficient care for maintenance of accounting records and prevention of fraud; accounts on **going concern** basis; (for listed companies) **internal financial controls** laid down were adequate and operating effectively; and proper systems to ensure compliance with all laws were in place and operating. The report is signed by the **Chairperson if authorised, else by at least two directors** (one being MD where there is one) — **Sec 134(6)**. Penalty for default: company **₹3,00,000** and every officer in default **₹50,000 (Sec 134(8))**.

**C2. Discuss the constitution and functions of the National Financial Reporting Authority (NFRA) under Section 132. Sec 132(1)** empowers the Central Government to constitute **NFRA** to provide for matters relating to accounting and auditing standards. **Powers/functions (Sec 132(2))**: (a) recommend accounting and auditing standards; (b) monitor and enforce compliance; (c) oversee the quality of service of professions associated with ensuring compliance and suggest measures for improvement. **Sec 132(4)**: NFRA may **investigate** professional or other misconduct of prescribed classes of companies/bodies corporate or their **CAs**; for this it has powers of a **civil court**. Where misconduct is proved it can impose **penalty** — for individuals **₹1 lakh up to 5 times fees**, for firms **₹10 lakh up to 10 times fees** — and **debar** the member/firm from practice for **6 months to 10 years**. Appeals lie to the **Appellate Tribunal (Sec 132(5))**. Once NFRA initiates action, no other institute/body can initiate parallel proceedings in the same matter.

**C3. State the provisions for re-opening and voluntary revision of financial statements (Sec 130 & 131). Sec 130 (compulsory re-opening / recasting)**: a company shall **not** re-open its books or recast financial statements except on an **order of a court or the Tribunal (NCLT)**, made on an application by the Central Government, Income-tax authorities, SEBI, any other statutory regulatory body or authority, or any person concerned, where earlier accounts were prepared in a **fraudulent manner** or the affairs were **mismanaged** casting doubt on reliability. Notice is given to affected parties. **No order** shall relate to a period **beyond 8 financial years** (except where Sec 128(5) directs longer retention). **Sec 131 (voluntary revision)**: if it appears to the directors that the **financial statements or Board's report do not comply** with Sec 129 or Sec 134, they may prepare **revised** statements/report for **any of the 3 preceding financial years** after obtaining **Tribunal approval**. Revision is confined to correction of non-compliance; may be done **only once** in a financial year.

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## Section D — MCQs / Case Scenarios (answer + one-line reason)

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**D1.** Notice to the Registrar for keeping books at a place other than the registered office (AOC-5) must be filed within: (a) 15 days (b) 30 days (c) **7 days** (d) 60 days. **Ans: (c)** — Proviso to **Sec 128(1)**.

**D2.** Minimum period for preservation of books of account: (a) 5 years (b) 6 years (c) **8 years** (d) 10 years. **Ans: (c)** — **Sec 128(5)**.

**D3.** Financial statements must be filed with the Registrar within \_\_\_\_ of the AGM: (a) 7 days (b) **30 days** (c) 60 days (d) 21 days. **Ans: (b)** — **Sec 137(1)**, in Form **AOC-4**.

**D4.** A CSR committee is required to have at least: (a) 2 directors (b) **3 directors, one of whom is independent** (c) 5 directors (d) only the MD. **Ans: (b)** — **Sec 135(1)**. *(An unlisted/private company not required to appoint an independent director may constitute the committee without one; where CSR spend ≤ ₹50 lakh, the committee itself is not mandatory and the Board discharges its functions.)*

**D5.** CFS is required when a company has: (a) only subsidiaries (b) only associates (c) **subsidiaries, associates or joint ventures** (d) only JVs. **Ans: (c)** — **Sec 129(3)** Explanation includes associate & JV.

**D6.** Financial statements must be circulated to members before the AGM at least: (a) 14 days (b) **21 days** (c) 7 days (d) 30 days. **Ans: (b) — Sec 136(1).**

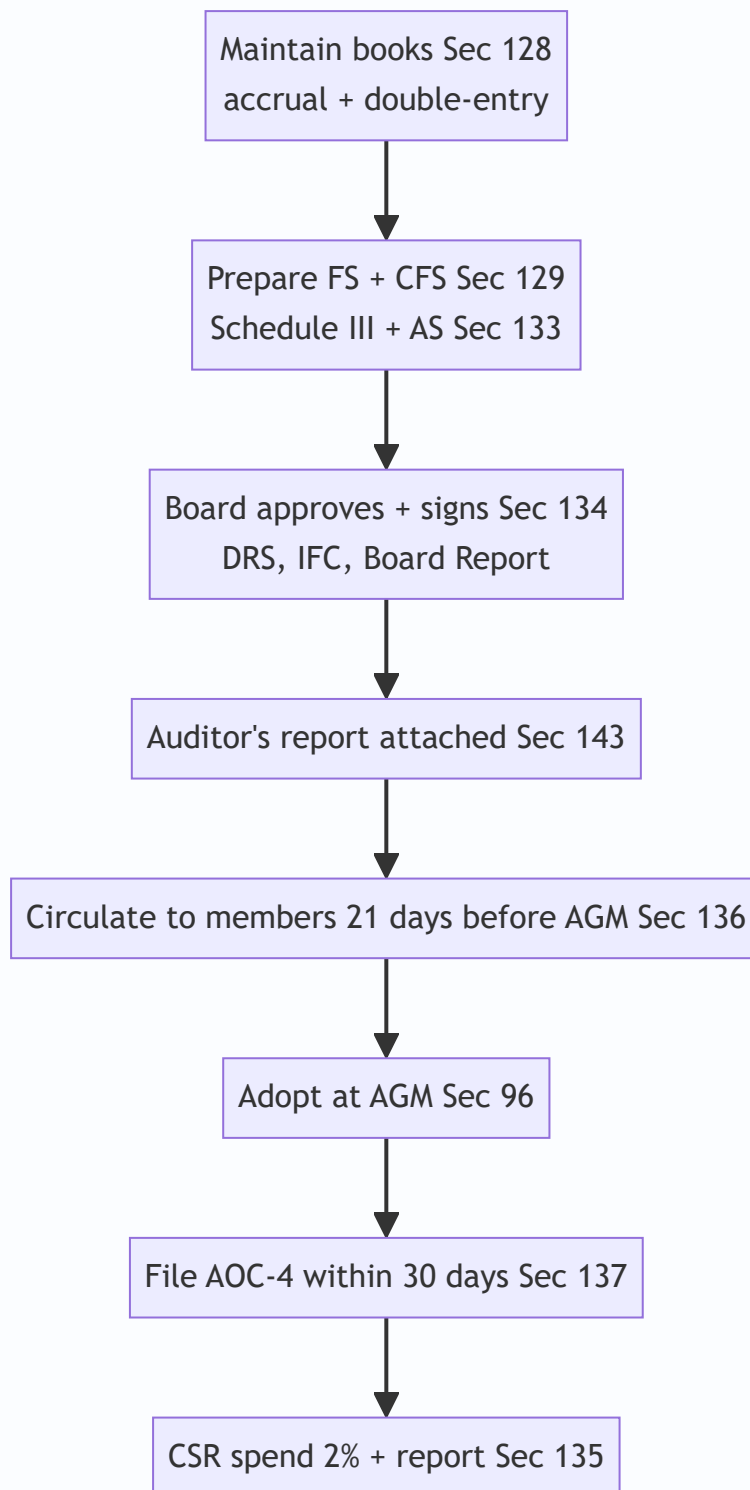
**D7.** The Directors' Responsibility Statement requirement on effectiveness of **internal financial controls** applies specifically to: (a) all companies (b) **listed companies** (c) OPCs (d) small companies. **Ans: (b) — Sec 134(5)(e).**

**D8.** Unspent CSR amount **not** relating to an ongoing project must be transferred to a Schedule VII fund within: (a) 30 days (b) 3 months (c) **6 months** (d) 1 year. **Ans: (c) — Proviso to Sec 135(5).**

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## Procedure — Adoption, Circulation & Filing of Financial Statements

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### Connections to Other Provisions

- **Sec 92** — Annual Return; web-link disclosed in Board's Report (Sec 134(3)(a)).
- **Sec 96** — AGM at which financial statements are laid and adopted (feeds Sec 137 filing).

- **Sec 123** — Dividend declared out of profits computed from these financial statements; recommended in the Board's Report.
- **Sec 139–143** — Auditor appointment and audit; the **auditor's report** is attached to and read with the financial statements (Sec 134/136); fraud reporting (Sec 143(12)) flows into the Board's Report.
- **Sec 148** — Cost records/cost audit for prescribed companies, forming part of the books under Sec 128.
- **Sec 198** — Manner of computing **net profit**, used to determine the **average net profit** for CSR spend under Sec 135(5).
- **Sec 447** — Punishment for **fraud**; underlies Sec 130 re-opening (fraudulent accounts) and NFRA action under Sec 132.

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## Traps & Examiner Tricks (12)

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1. **AOC-5 is 7 days, not 30** — filing for books kept away from registered office.
2. **8 years preservation** for books (Sec 128(5)) vs **3 preceding FYs** for voluntary revision (Sec 131) vs **8 FYs** cap on re-opening (Sec 130). Don't mix.
3. **CSR thresholds use "immediately preceding FY"** for applicability but **average of 3 preceding FYs** for the 2% spend.
4. **CSR spend basis is Sec 198 net profit**, not book profit.
5. **CFS includes associates & JVs**, not just subsidiaries (Sec 129(3) Explanation).
6. **Cash flow statement exemption** — OPC, small company, dormant company, start-up private company (Sec 2(40) proviso). Do not extend to all private companies.
7. **IFC effectiveness in DRS** is for **listed** companies only (Sec 134(5)(e)).
8. **AOC-4 is 30 days from AGM**; when **no AGM is held**, 30 days from the **due date** of the AGM (with reasons).
9. **Sec 130 re-opening needs Court/Tribunal order** — a company **cannot** re-open books on its own.
10. **Sec 131 revision requires Tribunal approval** and can be done **only once per FY**, for the last **3 FYs**.
11. **CSR committee not mandatory** where CSR obligation  $\leq$  ₹50 lakh — Board discharges its functions.
12. **NFRA vs ICAI** — once NFRA initiates misconduct proceedings, ICAI cannot act on the same matter (Sec 132(4)).

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## First-Principles Recap

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The management–ownership split lets managers control assets they do not own — the gap that enabled **Satyam** and **Enron**. Chapter IX closes that gap through a chain: **capture** honestly (Sec 128 books), **present** truthfully (Sec 129 + 133 + Schedule III), **consolidate** the whole group (Sec 129(3) CFS), **own** the numbers (Sec 134 Board Report + DRS + IFC), **give back** to society (Sec 135 CSR), and **police** the system (Sec 136 members' copies, Sec 137 public filing, Sec 138 internal audit, Sec 132 NFRA). Each rule removes one hiding place for fraud.

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## Quick-Revision Sheet

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Sections table

| Sec | Subject                                                                      |
|-----|------------------------------------------------------------------------------|
| 128 | Books of account (accrual, double-entry, 8-yr preservation, AOC-5 in 7 days) |
| 129 | Financial statements, true & fair, Schedule III; <b>129(3)</b> CFS           |
| 130 | Re-opening/recasting on Court/Tribunal order                                 |
| 131 | Voluntary revision (3 preceding FYs, Tribunal approval)                      |
| 132 | NFRA                                                                         |
| 133 | Accounting standards (CG on ICAI + NFRA advice)                              |
| 134 | Board's Report, DRS, IFC, signing                                            |
| 135 | CSR                                                                          |
| 136 | Right of members to copies (21 days)                                         |
| 137 | Filing with Registrar (AOC-4, 30 days)                                       |
| 138 | Internal audit                                                               |

**CSR thresholds (any one, Sec 135(1)):** Net worth  $\geq$  ₹500 cr · Turnover  $\geq$  ₹1,000 cr · Net profit  $\geq$  ₹5 cr.  
Spend = **2% of average net profit of 3 preceding FYs (Sec 198).**

**Internal audit thresholds (Rule 13):** Unlisted public — capital  $\geq$  ₹50 cr / turnover  $\geq$  ₹200 cr / bank-PFI loans  $>$  ₹100 cr / deposits  $\geq$  ₹25 cr. Private — turnover  $\geq$  ₹200 cr / bank-PFI loans  $>$  ₹100 cr. Every **listed** company: always.

**Time limits:** AOC-5 — **7 days**; books preserved — **8 years**; circulate FS — **21 days** before AGM; file AOC-4 — **30 days** after AGM; unspent CSR (ongoing) transfer — **30 days**, spend within **3 FYs**; unspent CSR (non-ongoing) to Schedule VII fund — **6 months**.

**Key definitions:** *Financial statement* — Sec 2(40); *Books of account* — Sec 2(13); *True & fair view* — Sec 129(1).

# Chapter 10 — Audit & Auditors

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Chapter XI of the Companies Act 2013, Sections 139 to 148, read with the Companies (Audit and Auditors) Rules 2014.

## 1. The Problem — Who watches the people who spend other people's money?

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Start with the raw situation a company creates.

A company is a machine for pooling money from **many** people (shareholders, banks, debenture-holders, the public) and handing physical control of that money to a **few** people (the Board and management). The people who own the money do **not** run the business. The people who run the business do **not** own most of the money. This is the classic **agency gap**: the manager (agent) has custody, the owner (principal) has the risk.

Now watch what naturally goes wrong:

- The directors prepare the accounts **themselves**. So the same people who decide how the money was spent also decide how to *describe* how it was spent. A director who wasted crores can simply draw a rosy balance sheet and a shareholder sitting 800 km away has **no way to know**.
- A shareholder cannot walk into the warehouse and count the stock. A depositor cannot inspect the loan ledgers. The information is locked inside the company, written by the very people whose performance it grades.
- Historically this produced disaster after disaster — inflated profits to justify fat dividends and higher share prices, hidden losses, fictitious sales, siphoning through fake vendors. **Satyam (2009)** in India is the textbook case: over ₹7,000 crore of cash and bank balances simply did not exist, yet the audited accounts said they did.

So the deep problem is a **trust gap built into the corporate form itself**. Ownership is separated from control, and the controllers write their own report card. Without an outside check, "limited liability company" would just be a licence to raise public money and lie about it.

The law's answer is deceptively simple: force every company to appoint an **independent expert** — the **auditor** — whose only job is to look at the accounts management prepared and tell the *owners* (not management) whether those accounts are **true and fair**. Every rule in this chapter exists to make that watchdog (a) qualified, (b) genuinely independent, and (c) unable to be quietly silenced.

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## 2. The Core Idea — An independent referee appointed *by the owners*, reporting *to the owners*, whom management cannot fire

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Hold three ideas in your head and the whole chapter falls into place:

1. **The auditor is the shareholders' agent, not management's**. That is why the auditor is appointed by the **members in general meeting** (Sec 139), reports **to the members** (Sec 143), and can only be removed with heavy safeguards (Sec 140). Management pays the auditor but does not *own* the auditor.

2. **Independence is the whole ballgame.** A watchdog that is friends with, financially entangled with, or dependent on the person it watches is worthless. So the Act attacks every channel of capture: who *can* be an auditor (Sec 141 eligibility/disqualification), how long they can stay (Sec 139 rotation), and what *other* money they may earn from the client (Sec 144 prohibited services).

3. **Powers must match duty.** You cannot ask a watchdog to certify the truth and then lock the records away from it. So Sec 143 gives the auditor a **right of access at all times** to all books and the power to demand information — and pairs it with a **duty to report** including a duty to blow the whistle on fraud.

Mnemonic for the section spine: "**139 hire, 140 fire, 141 who's fit, 142 pay, 143 do the job, 144 don't moonlight, 145 sign, 146 attend, 147 punish, 148 cost.**"

### 3. Why it's built this way — design choices and the abuse each one blocks

| Design choice                                                                                            | The abuse it kills                                                                             |
|----------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Appointed <b>by members</b> , not the Board                                                              | Stops management from hand-picking a friendly auditor and reporting to itself                  |
| <b>First auditor by Board within 30 days</b>                                                             | A company must not operate even one day without a watchdog                                     |
| <b>Five-year term with ratification removed</b> , then <b>rotation</b>                                   | A cosy multi-decade relationship breeds "audit capture" — familiarity that dulls scepticism    |
| <b>Rotation of firm/partner</b> (Sec 139(2))                                                             | Prevents the auditor from becoming, in effect, part of management                              |
| <b>Sec 141 disqualifications</b> (no shareholding, no loans, no business relationship, indebtedness cap) | Removes every financial hook management could use to buy silence                               |
| <b>Sec 144 ban on non-audit services</b>                                                                 | Stops the auditor auditing its <i>own</i> consultancy work — you cannot mark your own homework |
| <b>Sec 140 removal needs Central Government + special resolution</b>                                     | Stops management from sacking an honest auditor who refuses to sign                            |
| <b>Sec 143 right of access "at all times"</b>                                                            | Stops management from starving the auditor of records                                          |
| <b>Sec 143(12) fraud reporting</b>                                                                       | Turns the auditor from a passive certifier into an active gatekeeper                           |
| <b>Sec 147 penalties + Sec 245 class action + civil liability</b>                                        | Gives the duty teeth; an unenforced duty is decoration                                         |

The unifying logic: **remove every reason and every route for the auditor to be captured, then arm the auditor with access and back it with liability.**



## 4. Full Technical Content — section by section, each with its "why"

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### 4.1 Sec 139 — Appointment of Auditors

**Why:** If the Board appointed the auditor, the watched would choose the watcher. So the power sits with the **members**, and gaps (first year, casual vacancies) are plugged so no company is ever unwatched.

**(a) First auditor of a company (other than a Government company) — Sec 139(6)** - Appointed by the **Board within 30 days** of registration. - If the Board fails, the **members appoint within 90 days** at an **extraordinary general meeting (EGM)**. - Holds office **till the conclusion of the first AGM**. - *Why 30 days:* the company starts transacting immediately; it needs a watchdog from day one, and the Board is the only body that exists before the first AGM.

**(b) First auditor of a Government company — Sec 139(7)** - Appointed by the **Comptroller and Auditor-General of India (C&AG) within 60 days** of registration. - If C&AG fails → **Board within 30 next days** → if Board fails → **members within 60 days** at EGM. - *Why C&AG:* public money, so the state's own auditor leads.

**(c) Subsequent auditor — non-Government company — Sec 139(1)** - Appointed by **members at the first AGM**, to hold office **from the conclusion of that AGM till the conclusion of the sixth AGM** — i.e. a **5-year block** (subject to Sec 139(2) rotation). - The appointment must be **confirmed/agreed** by obtaining the auditor's written consent and a **certificate** (Sec 139(1) proviso + Rule 4) that the appointment is within limits and the auditor is eligible under Sec 141. - Company must **inform the auditor** of the appointment and **file Form ADT-1 with the Registrar within 15 days** of the meeting. - **Annual ratification is NO LONGER required**. The original 2013 Act had a proviso requiring members to *ratify* the appointment at every AGM; this was **omitted by the Companies (Amendment) Act 2017 (w.e.f. 7 May 2018)**. *Why removed:* yearly ratification was a backdoor to pressure the auditor annually — defeating the point of a secure 5-year term. **Trap: if a question is set in the old framework it may still mention ratification; for current law, ratification is gone.**

**(d) Subsequent auditor — Government company — Sec 139(5)** - Appointed by **C&AG within 180 days** from the commencement of the financial year; holds office till conclusion of the AGM.

**Memory hook for the timeline:** *First auditor = fast (30/90 days). Subsequent = five-year settled term. Government = C&AG leads with longer clocks (60/180).*

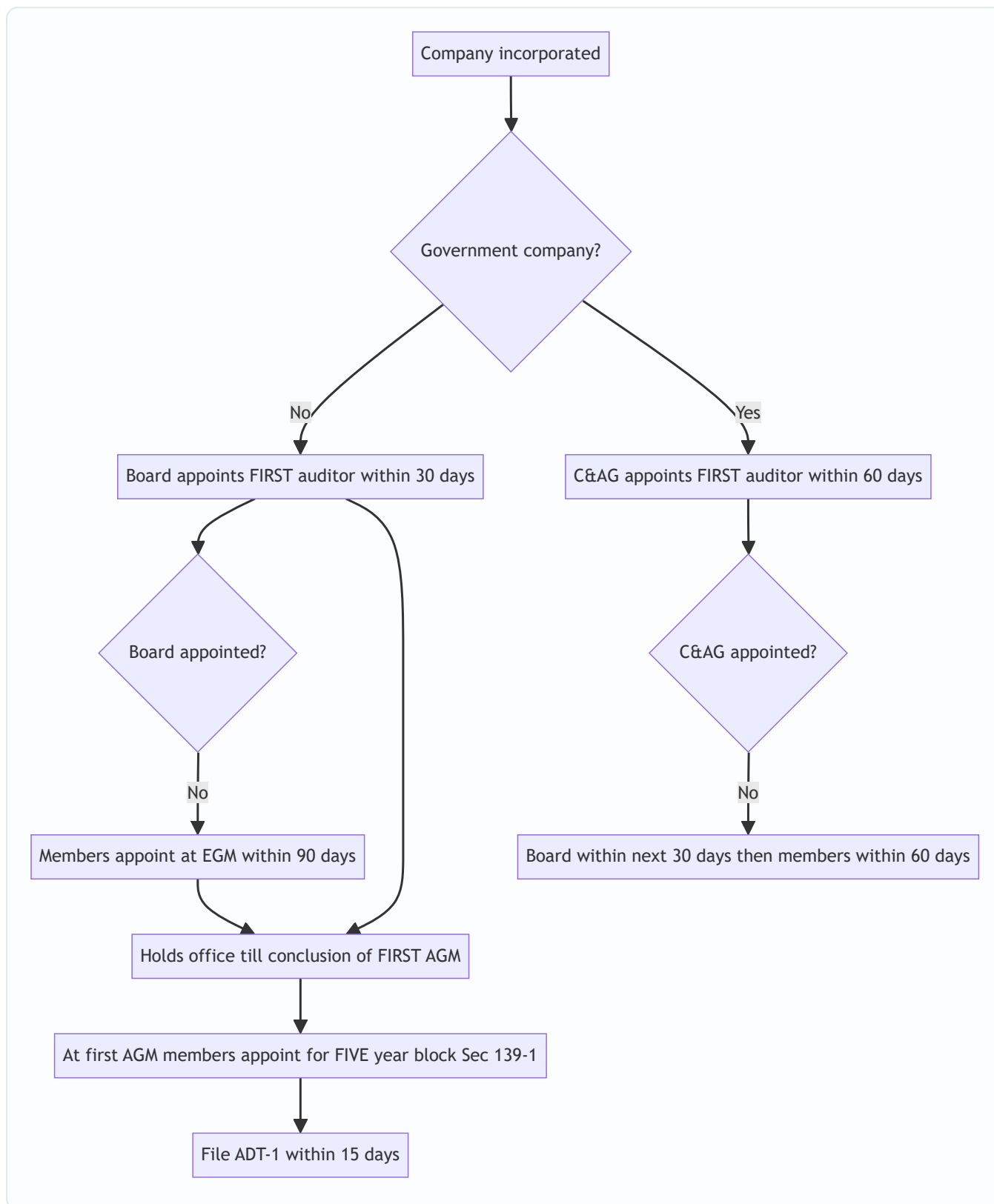


Figure 4.1 — Appointment pathways ensure a company is never left without a watchdog.

**(e) Rotation of auditors — Sec 139(2)** (the anti-familiarity rule)

**Why:** An auditor who has served the same client for decades becomes emotionally and commercially embedded — the "familiarity threat". Fresh eyes catch what tired eyes rationalise. So certain classes of company **must rotate**.

Applies to: - Every **listed company**, and - The following **classes of unlisted companies** (Rule 5): - **Unlisted public companies** with **paid-up share capital  $\geq$  ₹10 crore**; - **Private companies** with **paid-up share capital  $\geq$  ₹50 crore**; - **Any company** (public or private) having **public borrowings from banks/financial institutions/public deposits  $\geq$  ₹50 crore**.

Rotation limits: - An **individual** auditor may not serve **more than one term of 5 consecutive years**. - An **audit firm** may not serve **more than two terms of 5 consecutive years** (i.e. 10 years). - After the maximum, a **cooling-off period of 5 years** before re-appointment in the same company. - **Common-partner anti-avoidance**: an incoming firm that shares a common partner with the outgoing firm (whose tenure expired) cannot be appointed for the cooling-off period — otherwise firms would just swap names. - Members may, by resolution, provide for **rotating the audit partner and team** at intervals, or that the firm's audit be conducted by **more than one auditor (joint audit)**. - Transitional rule: companies existing on commencement had **3 years** to comply.

**Memory hook:** *Individual =  $1 \times 5$ , Firm =  $2 \times 5$ , then sit out 5.*

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## 4.2 Sec 140 — Removal, Resignation and the special notice route

**Why:** The single most dangerous moment for independence is when the auditor is about to say something management hates. If management could just fire the auditor, the watchdog could be muzzled the instant it barks. So removal is deliberately **hard**, resignation is made **transparent**, and a member's right to change the auditor is **procedurally controlled**.

**(a) Removal before expiry of term — Sec 140(1)** Requires **all** of: 1. A **Board resolution**, then 2.

**Application to the Central Government** (Form ADT-2) within **30 days** of the Board resolution, then 3. A **special resolution** of members within **60 days** of receiving CG approval, and 4. The auditor must be given a **reasonable opportunity of being heard**.

*Why the CG gate:* it inserts a neutral outsider between management and the sack, so an honest auditor cannot be quietly removed for doing the job.

**(b) Resignation — Sec 140(2) & (3)** - A resigning auditor must file **Form ADT-3** with the company and the Registrar (and with the C&AG for Government companies) within **30 days** of resignation, stating the **reasons and facts** for resigning. - Penalty for default: **₹50,000 or the auditor's remuneration, whichever is less**, plus **₹500 per day** of continuing default (capped — confirm the current cap of ₹5 lakh in the bare Act). -

*Why:* a corrupt resignation ("I quit for personal reasons") could hide the fact that the auditor fled rather than sign off on fraud. Forcing disclosure of *reasons* exposes it.

**(c) Auditor NOT re-appointed — right to representation — Sec 140(4)** Where a **special notice** is given for a resolution appointing *someone other than the retiring auditor*, or expressly providing that the retiring auditor shall **not** be re-appointed: - The company must send a copy to the **retiring auditor**. - The retiring auditor may make a **written representation** and require it to be **circulated to members**; if not circulated in time, it must be **read out at the meeting**. - *Why:* gives the ousted watchdog a megaphone to the owners, so a whistle-blowing auditor cannot be silently swapped out.

**(d) Tribunal-ordered removal — Sec 140(5)** If the **Tribunal (NCLT)** is satisfied — on its own motion or on application by the CG or any person — that the auditor has **acted fraudulently or abetted/colluded in fraud**, it may **direct the company to change the auditor**. An auditor removed this way is **debarred for 5 years** and is liable under Sec 447 (fraud). - *Why:* the state needs a fast route to eject a captured or crooked auditor without waiting for the members.

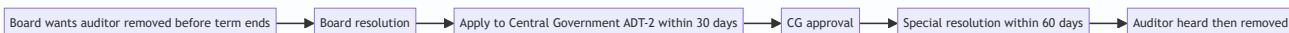


Figure 4.2 — Removal is deliberately slow and gated so honest auditors cannot be muzzled.

### 4.3 Sec 141 — Eligibility, Qualifications and Disqualifications

**Why:** Two separate threats. (1) **Competence** — an unqualified person cannot detect sophisticated fraud, so only a **Chartered Accountant** may audit. (2) **Independence** — a qualified person who is financially or personally entangled with the client will not *want* to detect fraud, so a long list of relationships disqualifies.

**Eligibility — Sec 141(1) & (2):** - Only a person who is a **Chartered Accountant** (holding a certificate of practice under the CA Act 1949) is qualified. - A **firm** (including an **LLP**) may be appointed if a **majority of its partners** practising in India are qualified CAs. Only the CA partners may **sign** on behalf of the firm.

**Disqualifications — Sec 141(3):** a person is NOT eligible if they are — (a) a **body corporate** other than an LLP — *why: limited liability would let the auditor hide behind a corporate veil and dilute accountability*; - (b) an **officer or employee** of the company — *why: you cannot audit yourself*; - (c) a **partner or employee of an officer/employee** of the company — *why: closes the proxy loophole*; - (d) a person (or their **relative or partner**) who — - **holds any security or interest** in the company / its subsidiary / holding / associate / fellow-subsidiary. **Relaxation:** a *relative* may hold securities of **face value up to ₹1,00,000** (Rule 10; a corrective window applies if the limit is exceeded); - is **indebted** to the company (etc.) for an amount **exceeding ₹5,00,000**; - has given a **guarantee/security** for a third party's debt to the company **exceeding ₹1,00,000**; - *why: any of these gives management money-power over the auditor*; - (e) a person or firm having a **business relationship** (directly or indirectly) with the company / subsidiary / holding / associate — beyond permitted professional/ordinary commercial arm's-length transactions — *why: a commercial dependence is a leash*; - (f) a person whose **relative is a director or is in the employment of the company as a director or KMP** — *why: family loyalty defeats independence*; - (g) a person in **full-time employment elsewhere**, OR who (with partners) already holds appointment as auditor of **more than 20 companies** (the ceiling; excludes OPCs, dormant, small companies and private companies with paid-up capital < ₹100 crore for counting purposes) — *why: an overloaded auditor cannot do a real audit*; - (h) a person **convicted of an offence involving fraud** and **less than 10 years** have elapsed since conviction — *why: a proven fraudster is unfit to certify honesty*; - (i) a person who, directly or indirectly, renders **prohibited services under Sec 144** — links the disqualification list to the non-audit-services ban.

**Vacation of office — Sec 141(4):** if an auditor **incurs any Sec 141(3) disqualification after appointment**, they must **vacate office immediately**, and it is treated as a **casual vacancy** (filled under Sec 139(8)).

**Casual vacancy — Sec 139(8)** (worth memorising because it interlocks with 141(4)): - Caused by **resignation** → filled by **Board within 30 days** AND **approved by members at a general meeting within 3 months** of the Board's recommendation; holds office till the next AGM. - Caused by any **other reason** → filled by the **Board within 30 days**. - In a **Government company** → filled by the **C&AG within 30 days**; failing which the Board within next 30 days.

**Memory hook for the money limits:** "1-5-1": *relative securities ₹1 lakh, indebtedness ₹5 lakh, guarantee ₹1 lakh*. Ceiling of companies = **20**.

## 4.4 Sec 142 — Remuneration of Auditor

**Why:** Whoever controls the auditor's pay controls the auditor. So the *fixing* of remuneration is tied back to the appointing body. - Remuneration is fixed in the **general meeting** or in the manner the meeting determines (the first auditor's remuneration may be fixed by the Board). - It **includes** expenses incurred in connection with the audit and any facility extended, but **excludes** any sum paid for **other services** rendered at the company's request. - *Why the exclusion is stated:* it forces a clean line between audit fees and other-service fees — the very entanglement Sec 144 targets.

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## 4.5 Sec 143 — Powers and Duties of Auditors

**Why:** A duty to certify the truth is meaningless without the *power* to reach the truth, and a power to inspect is pointless without a *duty* to report honestly. Sec 143 supplies both blades.

**Powers — Sec 143(1):** - **Right of access at all times** to the **books of account and vouchers** of the company, wherever kept, and of its **subsidiaries** (to the extent needed for consolidation). - **Right to require information and explanation** from officers as the auditor thinks necessary — with specific inquiry duties (loans properly secured, whether book entries are prejudicial, whether personal expenses charged to revenue, whether shares allotted for cash actually received cash, etc.). - *Why "at all times":* management must not be able to stall by saying "come back later"; delay is the friend of fraud.

**Duty — the audit report — Sec 143(2) & (3):** The auditor reports **to the members** on the accounts and on every financial statement, stating whether they give a **true and fair view**. The report must state, among other things: - whether they obtained all **information and explanations** necessary; - whether **proper books of account** have been kept; - whether the balance sheet and P&L **agree with the books**; - whether the accounts comply with **accounting standards**; - any **observation or qualification** and its effect; - whether the company has **adequate internal financial controls (IFC)** and their operating effectiveness (for applicable companies); - **disclosure of any pending litigation, foreseeable losses, delays in transferring amounts to the Investor Education and Protection Fund**, etc. (Rule 11). - *Why report to members:* re-states the core idea — the auditor serves the owners, not the Board.

**The "true and fair" duty & CARO:** the government also mandates the **Companies (Auditor's Report) Order (CARO 2020)** for prescribed companies, requiring the auditor to comment on specific risk areas (fixed assets, inventory, related-party loans, statutory dues, fraud, etc.). *Why: a free-form report let auditors bury bad news; CARO forces a checklist of the areas fraud usually hides in.*

**Duty to sign — Sec 145:** only the person appointed as auditor (or a partner so authorised) may **sign** the report; qualifications/observations are **read before the company in general meeting**.

**Right to attend meetings — Sec 146:** the auditor is entitled to receive notice of and attend **general meetings** and be heard on any part concerning them. *Why: so the auditor can defend a qualified report directly to the owners, not have it spun by management.*

**Fraud reporting — Sec 143(12)** (the gatekeeper duty — heavily examined): If, in the course of the audit, the auditor has **reason to believe** an **offence of fraud** is being or has been committed **against the company by officers or employees**: - If the amount is **₹1 crore or more** → report to the **Central Government** (route: to the Board/Audit Committee first for reply within 45 days, then to the CG within 15 days along with the reply, in **Form ADT-4**) within the prescribed time. - If the amount is **less than ₹1 crore** → report to the **Board or Audit Committee** within **2 days**, and the matter is **disclosed in the Board's Report**. - Failure to report is punishable under **Sec 143(15)** — fine (for listed companies **₹5 lakh** and others **₹1 lakh** range;

confirm current figures in the bare Act). - **Protection:** no auditor is liable for doing this in **good faith**. - *Why:* pre-2013, auditors could see fraud and stay silent ("not my job to police management"). Sec 143(12) converts the auditor into an **active whistle-blower** — the direct legislative response to Satyam.

**Branch audit — Sec 143(8):** - Accounts of a **branch** may be audited by the **company's auditor** OR by **another qualified person** (a "branch auditor") appointed under Sec 139. - A **foreign branch** may be audited by the company's auditor or by a person qualified under the **laws of that foreign country**. - The **branch auditor sends a report to the company's (principal) auditor**, who deals with it in the main audit report **as they consider necessary**. - *Why:* a company may have branches across the country/world that one auditor cannot physically cover; but the **principal auditor stays responsible for consolidation**, so accountability is not fragmented.

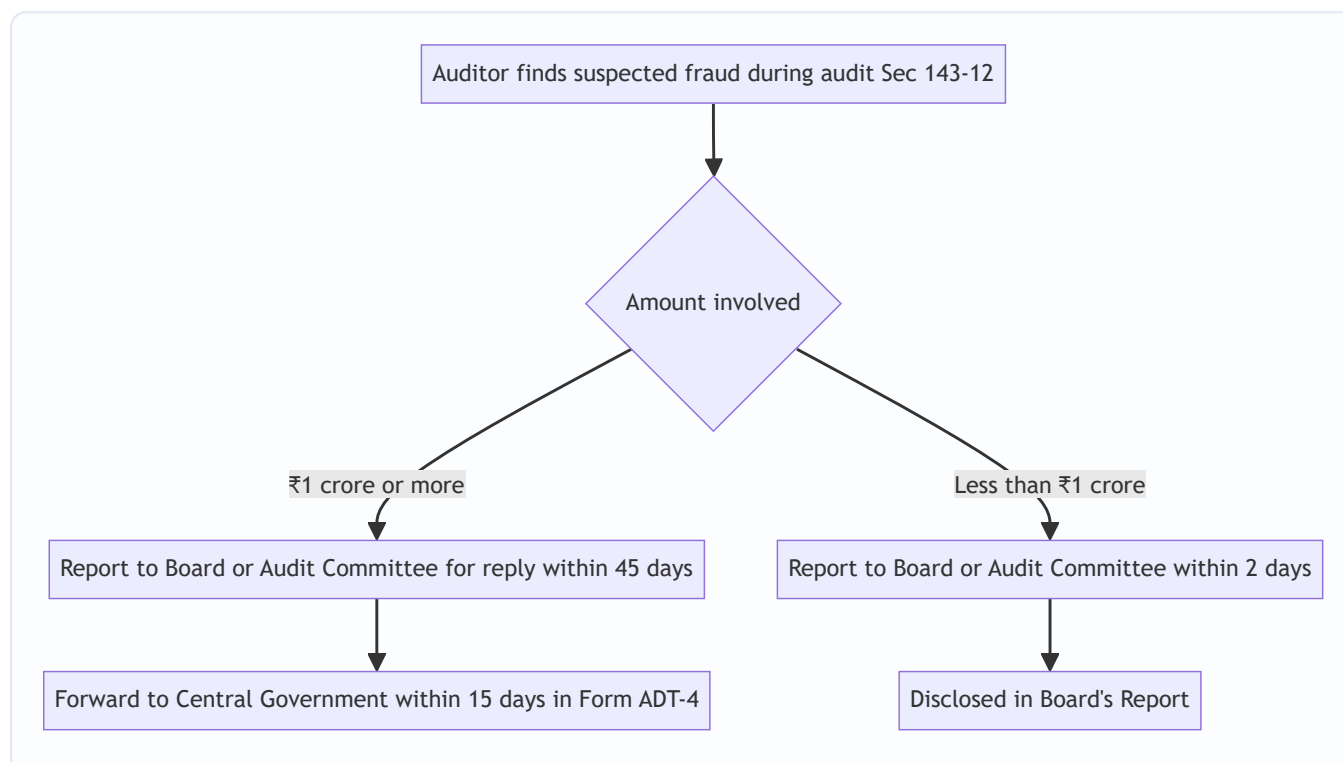


Figure 4.3 — The fraud-reporting duty turns the auditor from passive certifier into gatekeeper.

#### 4.6 Sec 144 — Auditor NOT to render certain services (the independence firewall)

**Why:** The deepest capture is not a bribe — it is a **conflict of interest disguised as extra business**. If the same firm designs a company's accounting system, keeps its books, values its assets, then *audits* those very outputs, it is grading its own work and will never flag its own mistakes. Sec 144 draws a firewall: an auditor may not, directly or indirectly, render the following **prohibited services** to the company, its **holding** or **subsidiary**:

1. **Accounting and book-keeping** services;
2. **Internal audit**;
3. **Design and implementation of any financial information system**;
4. **Actuarial** services;
5. **Investment advisory** services;
6. **Investment banking** services;

7. **Rendering of outsourced financial services;**
8. **Management services;**
9. **Any other service prescribed.**

"Directly or indirectly" is defined widely to catch services rendered through **relatives, the auditor's firm, its network, or any entity in which the auditor has significant influence** — closing the "we'll just route it through an affiliate" loophole. - *Why the exact list*: each item is a service whose *output the auditor would otherwise have to audit* — self-review threat. Permitted work (e.g. tax representation, certification the law requires) stays allowed because it does not create a self-review conflict. - **Memory hook**: "A-I-D-A-I-I-O-M" — *Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management.*"

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#### 4.7 Sec 147 — Punishment / Auditor Liability

**Why**: A duty with no penalty is advice. Liability is what makes the watchdog bite.

**Company default (Sec 147(1))**: if a company contravenes Secs 139–146, the **company** is liable to fine (₹25,000–₹5,00,000) and **every officer in default** to fine (₹10,000–₹1,00,000) — confirm current figures.

**Auditor default (Sec 147(2))**: - If an auditor contravenes Sec 139, 143, 144 or 145 → fine **₹25,000 to ₹5,00,000** or **four times the remuneration, whichever is less**. - If the contravention was **wilful and with intent to deceive** the company/shareholders/creditors/tax authorities → **imprisonment up to 1 year + fine ₹50,000 (or 4× remuneration) up to ₹25,00,000**.

**Consequences of a wilful/fraudulent default — Sec 147(3)**: - **Refund the remuneration** received; and - **Pay damages** to the company, statutory bodies or any person for loss arising from **incorrect or misleading statements** in the audit report.

**Firm-level liability — Sec 147(4)/(5)**: where the auditor is a **firm** and the wrongdoing was committed **knowingly or with the connivance of a partner**, the **firm and the concerned partner(s) are jointly and severally liable** civilly and criminally. - *Why joint-and-several partner liability*: stops a firm from ring-fencing the guilty partner and hiding behind the entity.

**Other liability channels**: - **Sec 447 (fraud)** — for fraudulent conduct, imprisonment 6 months to 10 years + fine up to 3× the amount involved. - **Sec 245 — class action** — members/depositors may sue the auditor/audit firm for damages for any improper or misleading statement or fraudulent/unlawful conduct. - **NFRA (Sec 132)** — the **National Financial Reporting Authority** can investigate professional misconduct of auditors of prescribed (large/listed) companies, **debar** an auditor/firm for **6 months to 10 years**, and impose monetary penalties. *Why NFRA exists*: after major scandals, self-regulation by ICAI alone was seen as insufficient for the biggest companies; NFRA is an **independent public regulator** of auditors. - **Professional misconduct under the Chartered Accountants Act 1949** — disciplinary action by ICAI.

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#### 4.8 Sec 148 — Cost Records and Cost Audit (basics)

**Why**: In regulated or resource-heavy industries (power, telecom, pharma, cement, sugar, fertilisers, defence, etc.), the *cost of production* is a matter of **public interest** — it feeds price regulation, subsidy claims, anti-dumping and consumer protection. A normal financial audit checks whether the accounts are true and fair; it does **not** verify whether the *costing* is honest. So the Act creates a **separate cost audit**.



- The **Central Government** may, by order, direct that specified classes of companies (engaged in **production of prescribed goods or provision of prescribed services**) maintain **cost records** in their books, subject to turnover/thresholds prescribed in the **Companies (Cost Records and Audit) Rules 2014**.
- Where required, the audit of such cost records is done by a **Cost Accountant** (member of the Institute of Cost Accountants of India) — **not a Chartered Accountant**. *Why: costing is the cost accountant's professional domain.*
- The **cost auditor is appointed by the Board** (on the Audit Committee's recommendation where applicable) — **contrast with the financial auditor appointed by members**. Remuneration is fixed by the Board and ratified by members.
- **Disqualifications:** a person disqualified under Sec 141 cannot be a cost auditor; and the **financial (statutory) auditor cannot also be the cost auditor** — same self-review firewall logic as Sec 144.
- The cost auditor submits the **cost audit report to the Board (Form CRA-3)**; the company files it with the **Central Government (Form CRA-4)** within the prescribed time. Cost records are maintained in **Form CRA-1**; the cost auditor is appointed via **Form CRA-2**.
- The provisions of **Sec 143** (powers/duties) apply to a cost auditor **as they apply to a financial auditor** — so the cost auditor has the same access and reporting spine.

**Memory hook:** *Financial audit = CA, appointed by members, is the account true and fair. Cost audit = Cost Accountant, appointed by Board, is the costing honest. CRA-1 records, CRA-2 appoint, CRA-3 report to Board, CRA-4 file with CG.*

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## 5. Applied Scenarios (facts → analysis → conclusion)

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**Scenario A — The relative's shares.** *Facts:* CA Ramesh is proposed as auditor of Zeta Ltd. His wife holds equity shares in Zeta Ltd of **face value ₹1,60,000**. *Analysis:* Sec 141(3)(d)(i) disqualifies a person if the person, **or their relative or partner**, holds any security in the company. A **relative** is allowed a corrective face-value limit of **₹1,00,000** (Rule 10). ₹1,60,000 exceeds that limit. (Note the limit is on **face value**, not market value — a classic trap.) *Conclusion:* Ramesh is **disqualified**. He can be appointed only if the excess holding is corrected within the prescribed period; otherwise he must vacate/decline.

**Scenario B — The consulting firm that also audits.** *Facts:* PQR & Associates are the statutory auditors of Nova Ltd. Nova's Board asks them to **design and implement Nova's new ERP-based financial information system** for a separate fee. *Analysis:* Sec 144 prohibits an auditor from rendering **"design and implementation of any financial information system"** to the audited company, directly or indirectly. Auditing a financial system you built yourself is self-review — the very conflict the firewall blocks. *Conclusion:* PQR & Associates **cannot** provide that service while acting as auditor. Doing so would breach Sec 144, trigger disqualification under Sec 141(3)(i) and penalties under Sec 147.

**Scenario C — The auditor who smells fraud.** *Facts:* During the audit of Orion Ltd, auditor CA Sneha finds strong evidence that the CFO has siphoned **₹3.2 crore** through fake vendors. *Analysis:* Sec 143(12) requires an auditor with reason to believe an offence of fraud against the company by an officer/employee to report it. Since the amount is **₹1 crore or more**, the route is: report to the **Board/Audit Committee** seeking a reply within **45 days**, then forward to the **Central Government within 15 days in Form ADT-4**. Silence attracts penalty under Sec 143(15); good-faith reporting is protected. *Conclusion:* Sneha **must** report to the CG via the ADT-4 route. She is not liable for reporting in good faith; she **would** be liable for failing to report.



**Scenario D — Management tries to sack the auditor mid-term.** *Facts:* The Board of Delta Ltd, unhappy that its auditor intends to qualify the accounts, passes a resolution to remove the auditor and appoint a friendlier firm immediately. *Analysis:* Removal **before expiry of term** requires the full Sec 140(1) gauntlet: Board resolution → **application to the Central Government (ADT-2) within 30 days** → **special resolution** of members within 60 days of CG approval → auditor given a **reasonable opportunity of being heard**. A Board resolution alone is void. *Conclusion:* Delta cannot remove the auditor by Board action. Without CG approval and a special resolution, the removal is **invalid** — the safeguard exists precisely to stop this.

**Scenario E — Too many audits.** *Facts:* CA Vikram already holds appointment as auditor in **19 companies** (excluding OPCs, small and dormant companies). Two public companies each with paid-up capital ₹200 crore now offer him appointment. *Analysis:* Sec 141(3)(g) caps a person at **20 companies** for the countable classes. He has 19 countable; accepting **both** would make 21. *Conclusion:* He may accept **one** (reaching 20) but **not both**. Accepting both would disqualify him.

## 6. Procedure / Compliance Summary

**Appointment of first auditor (non-Govt):** Board meeting within 30 days → pass resolution → obtain written consent + Sec 139(1) certificate → intimate auditor → (no ADT-1 mandatory for first auditor per general view; confirm) holds office till first AGM.

**Appointment of subsequent auditor:** Obtain consent + eligibility certificate (Rule 4) → members pass ordinary resolution at AGM for 5-year block → company intimates auditor → **file Form ADT-1 within 15 days**.

**Casual vacancy (resignation):** Board fills within 30 days → members approve within 3 months → holds office till next AGM.

**Removal before term:** Board resolution → **ADT-2 to CG within 30 days** → CG approval → special resolution within 60 days → opportunity of hearing.

**Resignation:** Auditor files **ADT-3 within 30 days** stating reasons.

**Fraud report (≥₹1 cr):** Board/Audit Committee (45-day reply window) → **ADT-4 to CG within 15 days**.

**Cost audit:** Board appoints cost auditor (**CRA-2**) → records in **CRA-1** → report to Board (**CRA-3**) → file with CG (**CRA-4**).

| Form                          | Purpose                                                                  |
|-------------------------------|--------------------------------------------------------------------------|
| ADT-1                         | Notice of appointment of auditor to Registrar (within 15 days)           |
| ADT-2                         | Application to CG for removal of auditor before term                     |
| ADT-3                         | Notice of resignation by auditor (within 30 days, with reasons)          |
| ADT-4                         | Report of fraud (≥₹1 crore) to Central Government                        |
| CRA-1 / CRA-2 / CRA-3 / CRA-4 | Cost records / appointment / cost audit report to Board / filing with CG |

## 7. Connections — how this chapter wires into the rest of the Act

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- **Sec 128–129 (Books of account & financial statements):** the auditor audits what these sections require management to prepare. The duty in 143 presupposes the records in 128.
- **Sec 134 (Board's Report):** small frauds (<₹1 cr) reported under 143(12) are disclosed here; the auditor's qualifications feed the Board's responsibility statement.
- **Sec 177 (Audit Committee):** in prescribed companies the Audit Committee recommends appointment/remuneration of the auditor and receives fraud reports — an extra independence layer between management and auditor.
- **Sec 132 (NFRA):** the external regulator that disciplines auditors of large/listed companies.
- **Sec 245 (Class action) & Sec 447 (Fraud):** the liability muscle behind Sec 147.
- **Accounting Standards (Sec 133) & CARO 2020:** the yardsticks the auditor certifies against.
- **Chartered Accountants Act 1949:** supplies *who* is a CA and the disciplinary machinery for professional misconduct.

The through-line: every neighbouring section either **feeds the auditor information, defines the standard the auditor certifies against**, or **provides the consequence when the auditor or company fails**.

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## 8. Traps & Examiner Tricks

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- **Ratification is gone.** The proviso to Sec 139(1) requiring annual ratification was **omitted (w.e.f. 7 May 2018)**. Old materials still say "ratify at every AGM." For current law, do **not** require ratification.
- **Face value vs market value.** The relative's securities limit (₹1,00,000) is on **face value**. A question giving *market value* is baiting you.
- **Individual vs firm rotation.** Individual = **one** 5-year term; firm = **two** 5-year terms; **then 5-year cooling-off**. Do not mix them up.
- **Who appoints whom.** Financial auditor → **members**. First auditor → **Board (30 days)**. Government company → **C&AG**. Cost auditor → **Board**. Casual vacancy by resignation needs **members' approval within 3 months**; by other reasons **Board alone**.
- **Removal vs non-reappointment.** *Removal before term* = Sec 140(1) with **CG approval + special resolution**. Merely **not re-appointing** at AGM via special notice = Sec 140(4) (representation rights) — no CG approval. Examiners swap these.
- **Fraud thresholds.** **₹1 crore** is the line. ≥₹1 cr → CG via **ADT-4** (45-day + 15-day route). <₹1 cr → Board/Audit Committee within **2 days** + Board's Report. Learn both timelines.
- **Body corporate can't audit — but LLP can.** Sec 141(3)(a) bars body corporates **other than LLPs**.
- **Sec 144 "directly or indirectly."** Routing a prohibited service through a relative, network firm or affiliate is still a breach.
- **Cost audit ≠ financial audit.** Cost auditor is a **Cost Accountant** appointed by the **Board**; the statutory auditor **cannot** also be the cost auditor.
- **Ceiling of 20 companies** excludes OPCs, dormant, small companies and (for counting) private companies with paid-up capital below ₹100 crore.
- **"At all times" access** — no examiner should catch you saying the auditor needs permission to inspect books.

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## 9. First-Principles Recap

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Strip everything away and one sentence remains: **a company separates the people who own the money from the people who spend it, and lets the spenders write the report on the spending — so the law inserts an independent expert, chosen by and reporting to the owners, whom the spenders cannot silence.**

From that single idea, every rule regenerates: - To make the watchdog **loyal to owners** → appoint by members (139), report to members (143), hard to remove (140). - To make it **competent** → only a CA (141(1)). - To make it **independent** → no financial or family hooks (141(3)), no self-review consulting (144), rotate before it goes native (139(2)). - To let it **do the job** → access at all times + power to demand information (143(1)). - To make it **bite** → duty to report fraud (143(12)) and heavy civil/criminal liability plus NFRA (147, 132, 447, 245).

If you forget a threshold, ask "which capture route or blindness is this closing?" and the provision reappears.

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## 10. Quick-Revision Sheet

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### Key sections

| Section    | Deals with                                                      |
|------------|-----------------------------------------------------------------|
| 139(1)     | Subsequent auditor — members, 5-year block                      |
| 139(2)     | Rotation of auditors                                            |
| 139(5)/(7) | Government company auditor — C&AG                               |
| 139(6)     | First auditor — Board within 30 days                            |
| 139(8)     | Casual vacancy                                                  |
| 140(1)     | Removal before term — CG + special resolution                   |
| 140(2)/(3) | Resignation — ADT-3 within 30 days                              |
| 140(4)     | Representation on non-reappointment                             |
| 140(5)     | Tribunal-ordered removal for fraud                              |
| 141        | Eligibility, qualifications, disqualifications                  |
| 142        | Remuneration                                                    |
| 143        | Powers and duties; 143(8) branch audit; 143(12) fraud reporting |
| 144        | Prohibited non-audit services                                   |
| 145        | Signing of audit report                                         |
| 146        | Right to attend general meetings                                |
| 147        | Punishment / liability                                          |
| 148        | Cost records and cost audit                                     |
| 132        | NFRA (external regulator)                                       |

### Key limits and time-frames

| Item                                            | Limit / Time                                        |
|-------------------------------------------------|-----------------------------------------------------|
| First auditor — Board appoints                  | within <b>30 days</b> of incorporation              |
| First auditor — members (if Board fails)        | within <b>90 days</b> at EGM                        |
| Government first auditor — C&AG                 | within <b>60 days</b>                               |
| Subsequent auditor term                         | <b>5 years</b> (till 6th AGM)                       |
| Rotation — individual / firm                    | <b>1×5 yrs / 2×5 yrs</b> , cooling-off <b>5 yrs</b> |
| ADT-1 filing                                    | within <b>15 days</b> of appointment                |
| Removal application to CG (ADT-2)               | within <b>30 days</b> of Board resolution           |
| Special resolution after CG approval            | within <b>60 days</b>                               |
| Resignation (ADT-3)                             | within <b>30 days</b>                               |
| Casual vacancy by resignation — member approval | within <b>3 months</b>                              |
| Relative's securities (face value)              | up to <b>₹1,00,000</b>                              |
| Indebtedness disqualification                   | exceeding <b>₹5,00,000</b>                          |
| Guarantee/security disqualification             | exceeding <b>₹1,00,000</b>                          |
| Ceiling on number of company audits             | <b>20</b> countable companies                       |
| Fraud reporting threshold to CG                 | <b>₹1 crore</b> (ADT-4; 45-day + 15-day route)      |
| Fraud below threshold — to Board/AC             | within <b>2 days</b> , disclosed in Board's Report  |
| Auditor conviction bar                          | fraud conviction within last <b>10 years</b>        |
| NFRA debarment                                  | <b>6 months to 10 years</b>                         |

**Rotation rule in one line:** *Individual 1×5, firm 2×5, then cool off 5 — no common-partner swap.*

**Sec 144 prohibited-services hook:** *A-I-D-A-I-I-O-M* (Accounting, Internal audit, Design of FIS, Actuarial, Investment advisory, Investment banking, Outsourced financial, Management).

Where exact penalty figures or fine caps are stated above, **confirm the current amounts in the latest ICAI study material / bare Act**, as monetary penalties are periodically amended.

# Q&A — Audit & Auditors

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CA Intermediate — Corporate & Other Laws | Companies Act, 2013 (Chapter X, Sections 139–148) read with the Companies (Audit and Auditors) Rules, 2014.

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## First-Principles Frame (read before answering)

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Shareholders own the company but managers run it. This creates an **agency gap** and a **trust gap** — owners cannot verify the numbers management prepares about itself. The law's answer is an **independent referee**: a statutory auditor who is appointed by the owners (not management), reports to the owners, cannot be casually sacked by management, must be independent (no financial/other links), and is legally liable for negligence. Every section below is a tool to protect that independence. Keep asking: "*Does this rule strengthen or weaken the auditor's independence from the Board?*"

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## Section A — Concept-Check Questions (with answers)

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**A1. Who appoints the first auditor of a company (other than a Government company), and within what time?** The Board of Directors under **Sec 139(6)** appoints the first auditor within **30 days** of registration. If the Board fails, the members appoint within **90 days** at an extraordinary general meeting. The first auditor holds office till the conclusion of the first Annual General Meeting (AGM).

**A2. For how long is a subsequent auditor appointed at the AGM?** Under **Sec 139(1)**, an auditor is appointed to hold office from the conclusion of that AGM till the conclusion of the **sixth** AGM (i.e., a five-year term), subject to ratification being *no longer required* (the ratification proviso was omitted by the 2017 amendment).

**A3. State the rotation rule under Sec 139(2).** Listed companies and prescribed classes of companies cannot appoint/re-appoint (a) an **individual** auditor for more than **one term of 5 consecutive years**, and (b) an **audit firm** for more than **two terms of 5 consecutive years**. A cooling-off period of **5 years** applies before re-appointment.

**A4. What is the auditor's core duty under Sec 143(1)?** The auditor has a right of access **at all times** to the books, accounts and vouchers of the company (and branches), and may require information from officers. Sec 143(2) requires the auditor to make a report to the members on the accounts giving a **true and fair view**.

**A5. Distinguish "eligibility" from "disqualification" under Sec 141.** Sec 141(1)–(2) sets **eligibility**: only a Chartered Accountant (or a firm/LLP whose majority partners practising in India are qualified) may be appointed. Sec 141(3) lists **disqualifications** (e.g., body corporate except LLP, officer/employee of the company, indebtedness beyond Rs. 5 lakh, holding security in the company, etc.).

**A6. What is the fraud-reporting threshold to the Central Government?** Under **Sec 143(12)** read with Rule 13, if fraud involving an amount of **Rs. 1 crore or more** is suspected, the auditor reports to the **Central Government** (via the Board/Audit Committee and then Form ADT-4). Fraud **below Rs. 1 crore** is reported to the **Audit Committee/Board** and disclosed in the Board's Report.

**A7. Name any four services prohibited to an auditor under Sec 144.** Any four of: accounting and book-keeping; internal audit; design and implementation of financial information systems; actuarial services;

investment advisory/banking services; rendering of outsourced financial services; and management services. These may not be rendered to the company, its holding or subsidiary.

**A8. What does Sec 142 govern, and who fixes remuneration? Sec 142** — remuneration of the auditor is fixed in the **general meeting** or in such manner as the meeting may determine. The Board fixes the remuneration of the **first** auditor.

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## Section B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

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**B1. Indebtedness disqualification.** *Facts:* Mr. X, a CA, is proposed as auditor of ABC Ltd. His spouse owes ABC Ltd Rs. 6 lakh on a personal loan. Is Mr. X eligible? *Analysis:* Under **Sec 141(3)(d)(ii)**, a person is disqualified if he, his relative or partner is **indebted** to the company for an amount exceeding **Rs. 5 lakh**. A spouse is a "relative". The debt (Rs. 6 lakh) exceeds the threshold. *Conclusion:* Mr. X is **disqualified** and cannot be appointed auditor of ABC Ltd.

**B2. Ceiling on number of audits.** *Facts:* CA Ravi is already the auditor of 20 companies (of which 6 are One Person Companies and small companies). PQR Ltd (a public company) offers him its audit. *Analysis:* Under **Sec 141(3)(g)**, an individual cannot be auditor of more than **20 companies**, but OPCs, small companies, dormant companies and private companies having paid-up capital below Rs. 100 crore are **excluded** from the count. Ravi's countable audits = 20 – 6 = 14. *Conclusion:* Ravi has capacity; he **can** accept PQR Ltd's audit as it is within the 20-company ceiling.

**B3. Casual vacancy by resignation.** *Facts:* The auditor of LMN Ltd (a non-Government company) resigns mid-term. How and when is the vacancy filled? *Analysis:* Under **Sec 139(8)(i)**, a casual vacancy caused by **resignation** is filled by the Board within **30 days**, but such appointment must be **approved by the company in general meeting** within **3 months** of the Board's recommendation. The resigning auditor must also file **Form ADT-3** under Sec 140(2) within 30 days. *Conclusion:* Board fills within 30 days + members ratify within 3 months; the resigning auditor holds office till that AGM only.

**B4. Removal before expiry of term.** *Facts:* The Board of RST Ltd wants to remove its auditor two years into the five-year term because the auditor raised uncomfortable qualifications. *Analysis:* Under **Sec 140(1)**, an auditor may be removed before term expiry only by a **special resolution** after obtaining **previous approval of the Central Government** (Form ADT-2 within 30 days of Board resolution; special resolution within 60 days of CG approval). The auditor must be given a **reasonable opportunity of being heard**. *Conclusion:* The Board alone cannot remove the auditor; the safeguard exists precisely to protect independence when an auditor is inconvenient. The multi-step process (CG approval + special resolution + hearing) must be followed.

**B5. Non-audit service through a network firm.** *Facts:* MNO & Co. is the statutory auditor of DEF Ltd. Its associate network firm provides internal audit services to DEF Ltd's subsidiary. *Analysis:* **Sec 144** prohibits the auditor (directly or indirectly through any entity in which the auditor/its partner has an interest, including associate/network firms) from rendering **internal audit** to the company, its **holding or subsidiary**. *Conclusion:* The arrangement **violates Sec 144**; the network firm cannot render internal audit to DEF Ltd's subsidiary while MNO & Co. is the statutory auditor.

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "Explain the procedure and safeguards for removal of an auditor before expiry of term under Section 140(1)." Model answer:** Removal of an auditor before the expiry of the term is a serious step and the Act builds in safeguards to protect auditor independence. Under **Sec 140(1)** read with **Rule 7**: (1) the Board passes a resolution proposing removal; (2) an application in **Form ADT-2** is made to the Central Government within **30 days** of the Board resolution; (3) after CG approval, a **general meeting** is held within **60 days** of receipt of approval to pass a **special resolution**; (4) the auditor is given a **reasonable opportunity of being heard** before removal. All four conditions are cumulative. This layered process ensures management cannot silence an auditor who reports unfavourably.

**C2. "Discuss the auditor's duty regarding reporting of fraud under Section 143(12)." Model answer:** Under **Sec 143(12)** read with **Rule 13**, if in the course of performance of duties the auditor has reason to believe that a fraud is being or has been committed against the company by officers or employees: (a) where the amount is **Rs. 1 crore or more**, the auditor must report to the Central Government — first forwarding the matter to the Board/Audit Committee within **2 days** seeking their reply within **45 days**, then reporting to the CG in **Form ADT-4** within **15 days** of receiving the reply (or on expiry of the period); (b) where the amount is **less than Rs. 1 crore**, the auditor reports to the **Audit Committee or Board**, and the matter is disclosed in the **Board's Report**. The duty also extends to cost auditors and secretarial auditors. Non-reporting attracts penalty under **Sec 143(15)**.

**C3. "Write a short note on rotation of auditors under Section 139(2)." Model answer:** To prevent the familiarity threat from a long-standing auditor relationship, **Sec 139(2)** mandates rotation for listed companies and prescribed classes (unlisted public companies with paid-up capital  $\geq$  Rs. 10 crore, private companies  $\geq$  Rs. 50 crore, or companies with borrowings/deposits  $\geq$  Rs. 50 crore). An **individual** auditor may serve one term of **5 years**; an **audit firm** may serve two terms of **5 years each (10 years)**. After completing the maximum term, a **5-year cooling-off** applies before re-appointment. Incoming and outgoing firms with common partners are treated as the same firm to prevent circumvention. Members may also resolve to rotate the audit partner and team periodically.

**C4. "State the provisions relating to cost audit under Section 148." Model answer:** Under **Sec 148**, the Central Government may, by order, direct that specified companies engaged in the production of goods or provision of services (as prescribed classes) maintain **cost records** and get them audited. The **cost auditor** must be a **Cost Accountant** and is **appointed by the Board** (not the members), while remuneration is fixed by the Board and ratified by members. The cost auditor submits the cost audit report to the Board, and the company files it with the CG in **Form CRA-4**. A statutory (financial) auditor under Sec 139 **cannot** be appointed as cost auditor. Cost audit supplements, but is separate from, financial audit.

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## Procedure — Appointment Flow (Mermaid)

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Syntax error in text  
mermaid version 10.9.6



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## Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

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- D1.** The first auditor of a non-Government company is appointed by the Board within: (a) 15 days (b) 30 days (c) 60 days (d) 90 days **Answer: (b) 30 days** — Sec 139(6): Board appoints first auditor within 30 days of registration.
- D2.** Maximum term of an **audit firm** in a rotation-covered company: (a) 5 years (b) 10 years (c) 15 years (d) unlimited **Answer: (b) 10 years** — Sec 139(2): two terms of five consecutive years for a firm.
- D3.** Indebtedness of the auditor to the company is a disqualification if it exceeds: (a) Rs. 1 lakh (b) Rs. 5 lakh (c) Rs. 10 lakh (d) Rs. 1 crore **Answer: (b) Rs. 5 lakh** — Sec 141(3)(d)(ii).
- D4.** Fraud must be reported to the **Central Government** (Form ADT-4) where the amount involved is: (a) Rs. 10 lakh or more (b) Rs. 50 lakh or more (c) Rs. 1 crore or more (d) any amount **Answer: (c) Rs. 1 crore or more** — Sec 143(12) read with Rule 13.
- D5.** Which of the following is a **prohibited** service under Sec 144? (a) Tax audit (b) Internal audit (c) Attending AGM (d) Signing the audit report **Answer: (b) Internal audit** — Sec 144 bars internal audit for the company/holding/subsidiary.
- D6.** Remuneration of the auditor (other than first auditor) is fixed: (a) by the Board (b) by the Registrar (c) in the general meeting (d) by NFRA **Answer: (c) in the general meeting** — Sec 142(1).
- D7. Case scenario:** GHI Ltd's auditor resigns on 1 April. Which form must the resigning auditor file, and within how many days? (a) ADT-1, 15 days (b) ADT-3, 30 days (c) ADT-2, 30 days (d) ADT-4, 15 days **Answer: (b) ADT-3 within 30 days** — Sec 140(2): resigning auditor files statement of reasons in Form ADT-3.
- D8. Case scenario:** A **body corporate** (other than an LLP) is proposed as auditor. It is: (a) eligible (b) eligible with CG approval (c) disqualified (d) eligible if all directors are CAs **Answer: (c) disqualified** — Sec 141(3)(a): a body corporate other than an LLP cannot be an auditor.
- D9.** Under Sec 147, if an auditor contravenes provisions with intent to deceive, and it is proved the act was wilful, the auditor is liable to refund remuneration and pay damages, plus: (a) only a fine (b) fine and possible imprisonment (c) censure only (d) nothing further **Answer: (b) fine and possible imprisonment** — Sec 147(2)/(4): fine and, for wilful default with intent to deceive, imprisonment up to one year.
- D10.** A cost auditor under Sec 148 is appointed by: (a) members at AGM (b) the Board of Directors (c) the Central Government (d) the Audit Committee alone **Answer: (b) the Board of Directors** — Sec 148(3): cost auditor appointed by the Board; remuneration ratified by members.
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## Traps and Examiner Tricks

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- **Ratification removed:** The annual ratification of the auditor's appointment (old proviso to Sec 139(1)) was **omitted in 2017**. Do not write that members ratify every year.
- **Rs. 5 lakh vs Rs. 1 crore:** Rs. 5 lakh = indebtedness disqualification (Sec 141); Rs. 1 crore = fraud-reporting-to-CG threshold (Sec 143). Examiners swap these.
- **Who appoints whom:** First auditor = Board (Sec 139(6)); subsequent = members (Sec 139(1)); cost auditor = Board (Sec 148); casual vacancy by resignation = Board + members' approval (Sec 139(8)).
- **Counting the 20:** OPCs, small, dormant and small private companies are **excluded** from the 20-company ceiling (Sec 141(3)(g)).

- **Removal ≠ non-reappointment:** Sec 140(1) removal needs CG approval + special resolution; simply *not re-appointing* at term-end does not.

## Connections

- **Audit Committee (Sec 177):** recommends appointment and reviews auditor independence — feeds directly into Sec 139/144.
- **NFRA (Sec 132):** oversight, investigation and disciplinary powers over auditors of prescribed (large/listed) companies — the enforcement muscle behind Sec 143/147.
- **Board's Report (Sec 134):** carries qualifications, fraud disclosures below Rs. 1 crore, and explanations to auditor's remarks.
- **Fraud definition (Sec 447):** the substantive offence that Sec 143(12) reporting feeds into.

## Quick-Revision Sheet

| Topic                        | Section    | Key number/rule                                          |
|------------------------------|------------|----------------------------------------------------------|
| First auditor                | 139(6)     | Board, 30 days (members 90 days)                         |
| Subsequent auditor           | 139(1)     | Members, 5-year term                                     |
| Rotation                     | 139(2)     | Individual 5 yrs / firm 10 yrs; cool-off 5 yrs           |
| Casual vacancy (resignation) | 139(8)     | Board 30 days + members 3 months                         |
| Removal before term          | 140(1)     | ADT-2, CG approval, special resolution, hearing          |
| Resignation filing           | 140(2)     | Form ADT-3, 30 days                                      |
| Eligibility                  | 141(1)-(2) | CA / firm with majority CA partners                      |
| Disqualifications            | 141(3)     | Body corporate, indebtedness > Rs. 5 lakh, 20-co ceiling |
| Remuneration                 | 142        | General meeting                                          |
| Powers & duties, fraud       | 143        | Access at all times; fraud ≥ Rs. 1 cr → CG (ADT-4)       |
| Prohibited services          | 144        | Book-keeping, internal audit, actuarial, etc.            |
| Liability                    | 147        | Fine + imprisonment (wilful, intent to deceive)          |
| NFRA oversight               | 132        | Prescribed companies                                     |
| Cost audit                   | 148        | Cost Accountant, appointed by Board, CRA-4               |

*First-principles recap: Every rule above exists to keep the referee independent — appointed by owners, hard to sack, free of financial entanglement, barred from selling other services, and personally liable. Read each section as an answer to the question: "How do we make sure the auditor works for the shareholders, not the managers?"*

# Chapter 11 — The Limited Liability Partnership Act 2008

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## 1. The Problem — Two doors, each with a trap

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Imagine you are three chartered accountants, or three architects, or two friends with a software idea in 2005. You want to go into business together. India offers you exactly two legal front doors, and each one has a knife hidden behind it.

**Door 1 — The traditional Partnership (Indian Partnership Act, 1932).** It is beautiful for one reason: it is *flexible and cheap*. You and your partners simply agree — orally or on a stamp paper — how you'll share profits, who does what, how decisions get made. No minimum capital, no board meetings, no filing your accounts with a government registry for the whole world to read. You just *run the business*.

But behind this door is the trap that has ruined countless families: **unlimited, joint and several liability**. If your firm borrows Rs. 2 crore and the business collapses, the creditor does not politely limit himself to the firm's assets. He comes for your *personal house, your car, your savings* — and not just for your share, for the *entire* debt. Worse, under the "agency" principle of partnership, you are liable for the wrongful acts of your *co-partner*. Your partner in Chennai signs a reckless contract; the creditor sells *your* house in Delhi. You did nothing wrong, yet you pay everything. A traditional firm also cannot own property in its own name, cannot sue in its own name cleanly, and legally *dies* every time a partner leaves or dies (no perpetual succession). And the Partnership Act capped partners at a small number, choking growth.

**Door 2 — The Company (then Companies Act 1956).** This door solves the liability trap perfectly: **limited liability**. Your risk is capped at the money you put in. The company is a separate legal person — it owns property, sues, and survives its members. Wonderful.

But behind *this* door is a different knife: **rigidity and cost**. A company forces on you a rigid internal architecture you never asked for — a board of directors distinct from the shareholders, statutory board meetings and AGMs with quorum and notice rules, maintenance of statutory registers, mandatory audit regardless of size, filing of annual returns and financials, restrictions on how directors are paid, and a mountain of ongoing compliance. For a two-person consultancy, this is like being forced to wear a suit of armour to walk to the corner shop. The *governance* of a company is designed for a large body of passive investors and professional managers who are *different people* — but in a small professional firm, the owners *are* the managers. The company form doesn't fit them.

So the real-world abuse/failure was this: **professionals and small entrepreneurs were forced to choose between losing their house (partnership) or drowning in paperwork built for someone else (company)**. There was no vehicle that gave you the *internal freedom of a partnership* and the *external shield of a company* at the same time. Talented people either stayed small to avoid personal ruin, or incorporated a company and suffocated, or took on unlimited risk and got wiped out by a partner's mistake.

The Limited Liability Partnership Act, 2008 (in force largely from 31 March 2009, with the LLP Rules 2009) was written to build a *third door* with neither knife behind it.

## 2. The Core Idea — A body corporate that thinks like a partnership

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The LLP is a deliberate **hybrid**. Hold these three ideas together and the whole Act unfolds from them:

1. **Outside, it behaves like a company.** It is a *body corporate* — a separate legal person with its own name, its own property, perpetual succession (it survives partners leaving or dying), and its own liability. So creditors deal with *the LLP*, not with the partners' personal wealth.
2. **Inside, it behaves like a partnership.** The relationship *among* the partners is governed by a private contract — the **LLP Agreement** — which they write however they like. No compulsory board, no compulsory AGM, no rigid capital rules. Mutual rights and duties are whatever the partners agree.
3. **The shield is the whole point.** Each partner's liability is *limited* to their agreed contribution. Critically, **one partner is not liable for the wrongful acts of another partner** — the very trap of traditional partnership is deleted. You answer for your own misconduct, not your co-partner's.

The one-line mental model: "**An LLP is a partnership that has been given a company's skin.**" The skin (separate entity + limited liability) faces the world; the partnership beats inside.

### 3. Why it's built this way — Design choices as answers to abuses

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Every peculiar rule in the Act is a patch for a specific way the earlier forms failed. Read the Act as a list of fixes:

- **Why a "body corporate" and not just a contract?** Because the partnership's fatal flaw was that it had *no separate existence* — no perpetual succession, no property-owning capacity, and partners were personally exposed. Making the LLP a body corporate (Section 3) surgically removes all of those.
- **Why must there be at least 2 partners, but no maximum?** The minimum of 2 preserves the essential "partner-ship" idea (you can't have a partnership with yourself). Removing the maximum fixes the old Partnership Act's cap that strangled large professional firms (think big audit or law firms with hundreds of partners).
- **Why invent "Designated Partners"?** A company has directors who are personally accountable to the regulator for compliance. A pure partnership has *nobody* the government can hold responsible for filings. If the LLP is going to enjoy limited liability, the State demands *at least someone* be personally answerable for the paperwork and legal compliance. Designated Partners are that named, accountable human interface — the price of the shield.
- **Why must at least one Designated Partner be resident in India?** So the regulator always has *somebody within reach of Indian jurisdiction* to summon. Limited liability must not become a way for everyone to hide abroad.
- **Why is the LLP Agreement optional-but-backstopped by the First Schedule?** Freedom of contract is the whole selling point, so the Act won't force terms on you. But if partners are careless and write nothing (or leave gaps), disputes would be chaos — so the **First Schedule** supplies default rules that apply *unless the agreement says otherwise*. Flexibility with a safety net.
- **Why does the shield have exceptions (fraud carve-out)?** Because limited liability is a privilege, not a license to cheat. If partners use the LLP to defraud creditors, the law must be able to *pierce* the shield — otherwise the form becomes a fraud machine. Hence Section 30.
- **Why allow conversion into an LLP but make conversion out harder?** Government policy wanted to *migrate* businesses into this transparent, filed, limited-liability form. So conversion from firm/private company/unlisted public company *into* LLP is expressly enabled (Schedules 2–4).

Once you see each provision as a plugged hole, you never have to memorise them as arbitrary facts.

## 4. Full Technical Content — Section by section, each with its "why"

Reminder: cite the exact sections in the exam. Where a precise number or figure is one that ICAI periodically revises (especially small-LLP thresholds and penalty amounts under the 2021 amendment), I flag it — **confirm the current figure in ICAI material / the bare Act.**

### 4.1 Nature and Definition — Sections 2 and 3

**Section 3 — LLP is a body corporate.** An LLP is a **body corporate** formed and incorporated under this Act, and is a **legal entity separate from its partners**. It has **perpetual succession** — a change in partners does not affect its existence, rights, or liabilities.

*Why:* This single section imports the two "company-like" virtues the partnership lacked — separate personality and perpetual succession — killing the "firm dies when a partner leaves" problem.

**Section 2 — Key definitions** (know these precisely): - *Business* includes every trade, profession, service and occupation. (*Why broad:* the LLP was designed for professionals, not just traders.) - *Partner* means any person who becomes a partner in accordance with the LLP agreement. - *Designated Partner* means a partner designated as such under Section 7. - *LLP Agreement* means the written agreement between the partners, or between the LLP and its partners, determining their mutual rights and duties. - *Body corporate* is defined to include an LLP, a company, and an LLP incorporated outside India — but *excludes* a corporation sole, co-operative society, and other bodies notified by the Central Government. - *Foreign LLP* — an LLP formed/incorporated outside India which establishes a place of business in India.

**Section 4 — Indian Partnership Act 1932 does NOT apply.** The provisions of the Partnership Act, 1932 do not apply to an LLP.

*Why:* An LLP is a creature of *this* Act. The old partnership law (with its unlimited-liability agency rules) is exactly what we are escaping, so it is switched off. This is a favourite exam trap — students wrongly assume the 1932 Act governs LLPs.

**Section 14 — Effect of registration.** On incorporation an LLP can, in its own name: (a) **sue and be sued**; (b) **acquire, own, hold and dispose of property** (movable/immovable, tangible/intangible); (c) **have a common seal, if it chooses** (a seal is optional); and (d) do all other lawful acts a body corporate may do.

*Why:* These are the concrete practical powers a traditional firm lacked. Note the seal is *optional* — flexibility again.

### 4.2 Nature of Liability — Section 27 and 28 (the heart of the shield)

**Section 27 — Extent of liability of the LLP.** - An LLP is **not bound** by anything done by a partner in dealing with a person **if** (a) the partner **has no authority** to act for the LLP in that matter, *and* (b) the other person **knows** the partner has no authority *or* does not know/believe him to be a partner. (*Why:* protects the LLP from unauthorised acts, but only where the outsider was on notice.) - The LLP **is liable** if a partner is liable for a **wrongful act or omission** done in the *course of the business* of the LLP *or with its authority*. - **The liabilities of the LLP are met out of the property of the LLP.**

*Why the last line is gold:* it locates the debt on the *entity's* assets — the firewall between business debt and personal wealth.

**Section 28 — Extent of liability of a partner.** - A partner is **not personally liable**, directly or indirectly, for an obligation of the LLP (whether arising in contract or otherwise) **solely by reason of being a partner.** - **A partner is NOT liable for the wrongful act or omission of any OTHER partner.** - BUT a partner *remains* personally liable for **his own** wrongful act or omission.

*Why:* This is the exact reversal of the traditional partnership's cruelty. In a 1932 firm, every partner is an agent of every other, so all are liable for one's wrong. Section 28 cuts that chain: you carry only your own sins.

**Memory hook — "Your own sin, your own skin."** The shield covers you for the *firm's* debts and your *partner's* wrongs; it does *not* cover your *own* wrongdoing.

#### 4.3 The exceptions that keep the shield honest — Sections 30 and 31

**Section 30 — Unlimited liability in case of fraud.** If the LLP or any of its partners acts **with intent to defraud** creditors or for any fraudulent purpose, the **liability of the LLP and the partners who acted with such intent is UNLIMITED.** (A partner who was *not* party to the fraud keeps the shield.) There are also penalties — fine and imprisonment for those involved.

*Why:* Limited liability is a privilege granted for honest enterprise. The moment it is weaponised to cheat creditors, the law strips it away. This is the "anti-abuse" valve.

**Section 31 — Whistle-blowing protection.** The Tribunal may reduce or waive penalties for a partner/employee who provides useful information leading to conviction, and such persons are protected from discharge/demotion/harassment for whistle-blowing.

*Why:* Encourages insiders to expose fraud — supports Section 30's enforcement.

#### 4.4 Partner as agent — Section 26

**Section 26 — Every partner is the agent of the LLP, but NOT of the other partners.**

*Why this careful wording:* In a 1932 firm each partner is agent of the firm *and* of the co-partners (that mutual agency is what spread liability). The LLP keeps partners as agents of the *entity* (so they can transact for it) but severs the agency *between partners* — which is precisely what makes Section 28's no-cross-liability rule coherent.

#### 4.5 Partners — Sections 5, 6, 7

**Section 5 — Who can be a partner.** Any *individual* or *body corporate* may be a partner. An individual **cannot** be a partner if: (a) declared of **unsound mind** by a competent court and the finding is in force; (b) an **undischarged insolvent**; or (c) has **applied to be adjudicated an insolvent** and the application is pending.

*Why body-corporate partners allowed:* fixes another partnership limitation — a company could not be a partner in a 1932 firm in the same clean way. It lets corporate groups structure joint ventures through LLPs.

**Section 6 — Minimum number of partners.** - An LLP must have **at least two partners.** - If the number falls below 2 and the LLP carries on business for **more than six months** while so reduced, then the **sole remaining partner** who *knows* he is carrying on business alone becomes **personally liable** (jointly with the LLP) for obligations incurred during that period.

*Why the 6-month grace:* people leave; forcing instant dissolution would be harsh. But the shield is a group privilege — run it alone beyond six months and you personally lose the shield for that period. **Contrast trap:** there is **no upper limit** on partners (unlike a private company's 200-member cap).



**Section 7 — Designated Partners (DPs).** - Every LLP must have at least **TWO Designated Partners** who are **individuals** (a body corporate can be a partner but obviously cannot itself be a DP — its *nominee individual* can be). - **At least ONE Designated Partner must be RESIDENT IN INDIA.** "Resident in India" means a person who has **stayed in India for at least 120 days during the financial year** (this figure was amended — earlier it was 182 days; **confirm the current threshold in ICAI material / bare Act**). - Every DP must obtain a **Designated Partner Identification Number (DPIN)** and give **prior consent** to act. - If no partner is a DP, or if at any time there is only one DP, **every partner is deemed to be a Designated Partner.** (Why: ensures accountability never lapses.)

*Why DPs exist:* they are the humans **responsible for compliance** — doing all acts, matters and things required to be done by the LLP under the Act (filings, statements of account, etc.) and are **liable to all penalties** imposed on the LLP for contravention of those provisions. They are the LLP's answerable face to the Registrar.

**Memory hook — "2 DPs, 1 in India, both individuals."**

## **4.6 Incorporation — Sections 11, 12, 13, 15, 16**

The birth sequence:

**Section 11 — Incorporation document.** Two or more persons *associated for carrying on a lawful business with a view to profit* subscribe their names to an **incorporation document** and file it with the **Registrar** (of the State in which the registered office is situated), along with a **statement** (by an advocate/CA/CS/Cost Accountant engaged in formation *and* by a subscriber) that all requirements of the Act regarding incorporation have been complied with.

The incorporation document must state: name of the LLP; proposed business; address of registered office; name and address of each partner; name and address of the designated partners; and other prescribed details.

*Why the professional's statement:* a compliance gate-keeper certifying legality *before* the shield is granted.

**Section 12 — Incorporation by registration.** The Registrar registers the document (within 14 days) and issues a **Certificate of Incorporation**, signed and sealed. The certificate is **conclusive evidence** that the LLP is incorporated.

*Why "conclusive":* gives certainty — outsiders can rely on the certificate and need not investigate the formation process.

**Section 13 — Registered office and service.** Every LLP must have a **registered office** to which communications may be addressed. A document may be served by sending it there by post/prescribed manner. Change of registered office must be filed with the Registrar.

**Section 15 — Name.** Every LLP's name must **end with "Limited Liability Partnership" or "LLP"**. The name must **not be undesirable** or identical/too similar to an existing LLP, company, or registered trademark.

*Why the mandatory suffix:* it *warns the world* that they are dealing with a limited-liability entity — creditors are on notice that recovery is capped at the LLP's assets. (Same logic as "Ltd"/"Pvt Ltd" for companies.)

**Section 16–17 — Reservation and change of name.** A name can be reserved by application; the Central Government can direct a change of name if it is identical/too nearly resembling another, or was obtained by wrong information.

**Section 21 — Publication of name and limited liability.** Every LLP must ensure its **name, registered-office address and registration number** appear on its invoices and official correspondence. Penalty for default.

*Why:* continuous public notice of limited-liability status — the "warning label" must stay on.

## 4.7 The LLP Agreement — Sections 22, 23 and the First Schedule

**Section 22 — Effect of incorporation on partners.** The persons who subscribed to the incorporation document are the LLP's partners on incorporation. Afterwards, a person may become a partner per the LLP agreement.

**Section 23 — Relationship of partners.** - The **mutual rights and duties** of the partners, and of the LLP and its partners, are governed by the **LLP Agreement**. - The agreement (and any changes) must be **filed with the Registrar** in the prescribed form (Form 3) within prescribed time. - **In the absence of agreement** on any matter, the mutual rights and duties are determined by the provisions in the **FIRST SCHEDULE**.

*Why the First Schedule fallback:* freedom to contract, but no vacuum. If partners forget to address, say, profit-sharing, the Schedule fills the gap.

**Key default rules in the First Schedule (apply only if the agreement is silent):** - All partners are entitled to **share equally** in the capital, profits and losses. - The LLP must **indemnify** each partner for payments made in the ordinary and proper conduct of business. - Every partner may **take part in the management** of the LLP. - **No partner is entitled to remuneration** for acting in the business/management. (*A crucial default trap.*) - **No person may be introduced as a partner without the consent of ALL existing partners.** - Any *ordinary* matter is decided by a **majority** of partners, and every partner has **one vote**; but **no change in the nature of the business** may be made without the consent of **all** partners. - The LLP must keep **records and accounts** open to inspection by any partner. - **Disputes** among partners not resolved by the agreement go to arbitration-style resolution / the mechanism provided.

*Why "no remuneration by default" and "equal share by default":* these mirror the classic partnership defaults — the Act deliberately makes the LLP *feel* like a partnership when the parties say nothing.

**Memory hook — "Silence speaks the First Schedule."**

## 4.8 Cessation, changes and their filing — Sections 24, 25

**Section 24 — Cessation of partnership interest.** A person ceases to be a partner: (a) as per the **agreement**; or, if the agreement is silent, (b) by giving **30 days' notice** in writing to the other partners; or on **death, dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**.

Important protections: - A former partner (or their estate) is **entitled to receive** their capital contribution and their share of accumulated profits (less losses), unless the agreement provides otherwise. - A person who has ceased to be a partner is **still regarded, in relation to a third party, as a partner** *until* the third party has notice of the cessation *or* notice is delivered to the Registrar.

*Why the "still regarded as partner" rule:* protects outsiders who dealt with the firm believing X was a partner — the shield can't be used to spring surprises on creditors. Notice to the Registrar/third party is the cut-off. Compare Section 31/32 "holding out" logic of the 1932 Act.

**Section 25 — Registration of changes in partners.** A partner must inform the LLP of changes in his name/address; the LLP must **file notice with the Registrar within 30 days** of a person becoming or ceasing to be a partner. Penalties for default.



*Why:* keeps the public register accurate — the whole limited-liability bargain depends on outsiders being able to trust the register.

#### 4.9 Financial disclosure and solvency — Sections 34, 35

**Section 34 — Maintenance of books of account, other records and audit.** - Every LLP must maintain **proper books of account** (may be on cash or accrual basis, double-entry) at its registered office. - Every LLP must prepare a **Statement of Account and Solvency** within **six months from the end of the financial year** and file it with the Registrar (Form 8). - Accounts are **audited** as prescribed — but **small LLPs are exempt from audit**: audit is required only if **turnover exceeds Rs. 40 lakh or contribution exceeds Rs. 25 lakh (confirm current thresholds in ICAI material / bare Act)**.

*Why the audit exemption:* answers the "company drowns small firms in compliance" complaint — tiny LLPs are spared mandatory audit, but larger ones must be audited to protect creditors.

**Section 35 — Annual Return.** Every LLP must file an **Annual Return** with the Registrar within **60 days of the close of the financial year** (Form 11). Penalty for default.

*Why two filings:* the Statement of Account & Solvency (Form 8) shows the *financial* picture; the Annual Return (Form 11) shows the *structural* picture (who the partners are). Together they keep the register honest — the transparency the State demands in exchange for the shield.

#### 4.10 Conversion into an LLP — Sections 55, 56, 57 and Schedules 2, 3, 4

The Act actively *invites* existing businesses to migrate into the LLP form:

| Converting from               | Section           | Schedule               |
|-------------------------------|-------------------|------------------------|
| Firm (partnership) → LLP      | <b>Section 55</b> | <b>Second Schedule</b> |
| Private company → LLP         | <b>Section 56</b> | <b>Third Schedule</b>  |
| Unlisted public company → LLP | <b>Section 57</b> | <b>Fourth Schedule</b> |

**Common conditions / effects of conversion (from the Schedules):** - **Firm → LLP:** *all* partners of the firm, and no one else, must become partners of the LLP (partners must be the *same* people). - **Company → LLP:** *all* shareholders of the company, and no one else, become partners; there must be **no security interest (charge)** subsisting on the company's assets at the time of application; and (for the exam) generally the company must be up to date on filings. - On registration, the Registrar issues a **Certificate of Registration** as an LLP. - **All assets, liabilities, rights, privileges, obligations and undertakings** of the firm/company **vest in the LLP** automatically, and the firm/company is **deemed dissolved** and removed from the records of the Registrar of Firms/Companies. No separate conveyance is needed. - **Continuing liability of partners on conversion:** for a period (commonly **60 days**), the LLP must ensure that every official correspondence bears a statement that it was converted from a firm/company and the details thereof. - Existing agreements, contracts, and legal proceedings continue in favour of / against the LLP.

*Why conversion "vests everything automatically":* to make migration frictionless — otherwise every asset and contract would have to be individually re-assigned, which would kill adoption. **Note:** there is **no direct statutory route to convert an LLP into a company** under the LLP Act itself (that pathway is dealt with, if at all, under the Companies Act 2013 read with rules — **confirm in ICAI material**). This asymmetry reflects the policy of *pulling* businesses into the LLP form.

## 4.11 Winding up and dissolution — Sections 63–65

An LLP may be wound up either **voluntarily** or **by the Tribunal (NCLT)** (Section 64). Grounds for winding up by the Tribunal include: the LLP *decides* to be wound up by Tribunal; number of partners reduced below 2 for **more than 6 months**; inability to pay its debts; acting against the sovereignty/integrity/security of India; default in filing the Statement of Account & Solvency or Annual Return for **five consecutive financial years**; or the Tribunal being of the opinion that it is **just and equitable** to wind it up.

*Why these grounds:* they mirror the abuses the disclosure regime targets — a chronic non-filer (5 years) has defeated the transparency bargain and loses the right to exist.

*(There is also a simpler "strike-off" route for defunct LLPs under the rules — confirm the procedural detail in ICAI material.)*

## 4.12 Foreign LLPs and miscellaneous

- **Section 59 — Foreign LLPs:** a Foreign LLP establishing a place of business in India must comply with prescribed regulations. (*Why:* extends the register/notice regime to foreign entities operating here.)
- **Section 58 — Registrar's certificate of registration on conversion** is conclusive.
- **Compromise, arrangement, amalgamation** of LLPs — Sections 60–62 (Tribunal-driven, mirroring company law).

## 5. Applied Scenarios — Facts → Analysis → Conclusion

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**Scenario A — The reckless co-partner.** *Facts:* Anil, Bina and Chetan run "ABC Consultants LLP". Chetan, acting alone and negligently, gives disastrous professional advice to a client who then sues for Rs. 1 crore. The LLP's assets are only Rs. 30 lakh. The client wants to attach Anil's and Bina's personal flats.

*Analysis:* Under **Section 27**, the LLP is liable for a partner's wrongful act done in the course of its business, and that liability is met out of **LLP property**. Under **Section 28**, Anil and Bina are **not liable for Chetan's wrongful act** and are not personally liable merely for being partners. **Chetan**, however, remains personally liable for **his own** wrongful act (Section 28 proviso). No fraud is alleged, so Section 30 doesn't bite.

*Conclusion:* The client recovers Rs. 30 lakh from the LLP's assets and may pursue **Chetan personally** for the balance. **Anil's and Bina's flats are safe.** ("Your own sin, your own skin.")

**Scenario B — The vanishing partner and the trusting supplier.** *Facts:* Deepa retires from "DEF Traders LLP" on 1 April. The LLP does not file notice with the Registrar. On 20 May, a supplier, who had earlier dealt with Deepa and did not know of her exit, extends credit to the LLP believing Deepa is still a partner. The LLP defaults.

*Analysis:* Under **Section 24**, a person who has ceased to be a partner is still **regarded as a partner in relation to a third party** until the third party has **notice** of the cessation or notice is filed with the **Registrar**. Here neither had happened by 20 May. Note also **Section 25** obliges the LLP to file the change within 30 days — breached.

*Conclusion:* As against this particular supplier, **Deepa may still be treated as a partner** for that transaction because the required notice had not been given. Lesson: cessation must be *published/**filed* to be effective against outsiders. (This mirrors "holding out" logic and shows the shield can't ambush creditors.)

**Scenario C — Silence in the agreement.** *Facts:* Two friends form "GH Designs LLP" but, in a hurry, never sign an LLP Agreement. G works full-time and demands a salary of Rs. 50,000 per month and a 70% profit

share (arguing he does more work). H disagrees.

*Analysis:* Where the agreement is silent, **Section 23(4)** makes the **First Schedule** govern. Under the First Schedule: partners **share profits equally**, and **no partner is entitled to remuneration** for managing the business.

*Conclusion:* G is entitled to **50%** of profits, **not 70%**, and to **no salary** — unless they *agree otherwise in writing* (and file it). "Silence speaks the First Schedule." The remedy is to actually draft and file an LLP Agreement.

**Scenario D — Down to one partner.** *Facts:* "JK Ventures LLP" had two partners; one dies on 1 January. The survivor, K, continues the business alone and by 15 August (over 6 months later) the LLP incurs a large debt.

*Analysis:* **Section 6(2):** if the LLP carries on business with fewer than 2 partners for **more than six months**, the person who is the sole partner *and knows it* becomes **personally liable** (jointly with the LLP) for obligations incurred *during* that excess period. Six months from 1 January ends around 1 July; the August debt falls in the exposed window.

*Conclusion:* K is **personally liable** for the August debt — the shield lapses for solo operation beyond six months. K should have inducted a second partner before July. (If sustained, this is also a ground for winding up under Section 64.)

**Scenario E — The fraudulent shield.** *Facts:* Partners in "LM Exports LLP" deliberately take large advances from creditors intending never to deliver, siphoning the money out, planning to hide behind limited liability.

*Analysis:* **Section 30** — where the LLP or its partners act with **intent to defraud creditors**, the liability of the LLP *and* of the partners who acted with such intent is **UNLIMITED**, plus penalties.

*Conclusion:* The fraudulent partners **lose the shield entirely** and are personally liable without limit; a non-participating partner keeps the shield. Limited liability is for honest business, not fraud.

## 6. Procedure / Compliance Summary

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### A. Incorporation flow

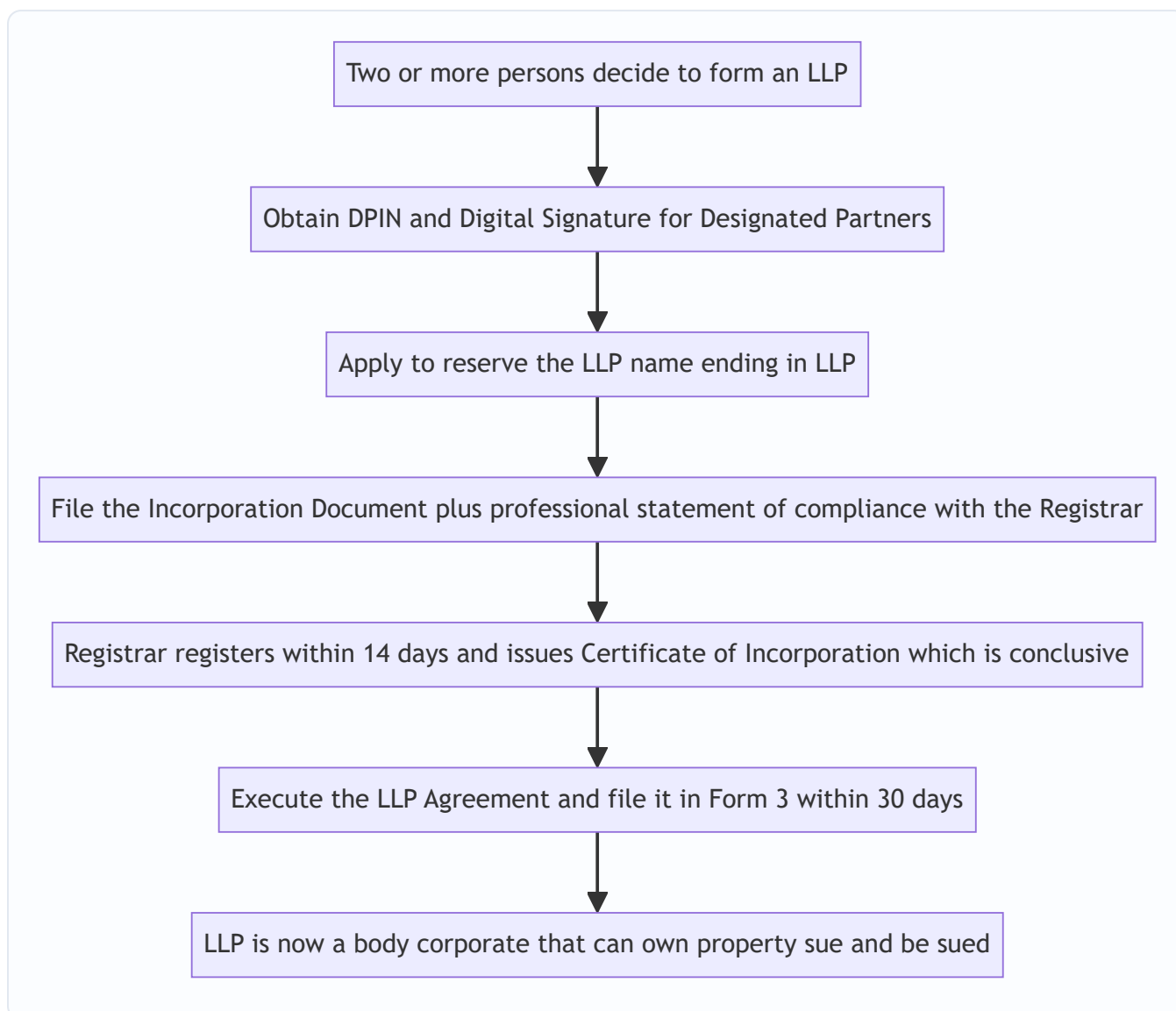


Figure 1 — From decision to a living body corporate: name, document, certificate, agreement.

## B. Annual / ongoing compliance

| Compliance                                                      | Provision | Form    | Time limit                           |
|-----------------------------------------------------------------|-----------|---------|--------------------------------------|
| File LLP Agreement / changes                                    | S. 23     | Form 3  | Within 30 days                       |
| Notify change of partners                                       | S. 25     | Form 4  | Within 30 days                       |
| Annual Return                                                   | S. 35     | Form 11 | Within <b>60 days</b> of close of FY |
| Statement of Account & Solvency                                 | S. 34     | Form 8  | Within <b>6 months</b> of end of FY  |
| Audit (if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh) | S. 34     | —       | With annual accounts                 |
| Name/LLP status on correspondence                               | S. 21     | —       | Continuous                           |

(Confirm current forms, thresholds and any late-fee/penalty figures in ICAI material / MCA rules.)

## C. The liability decision tree

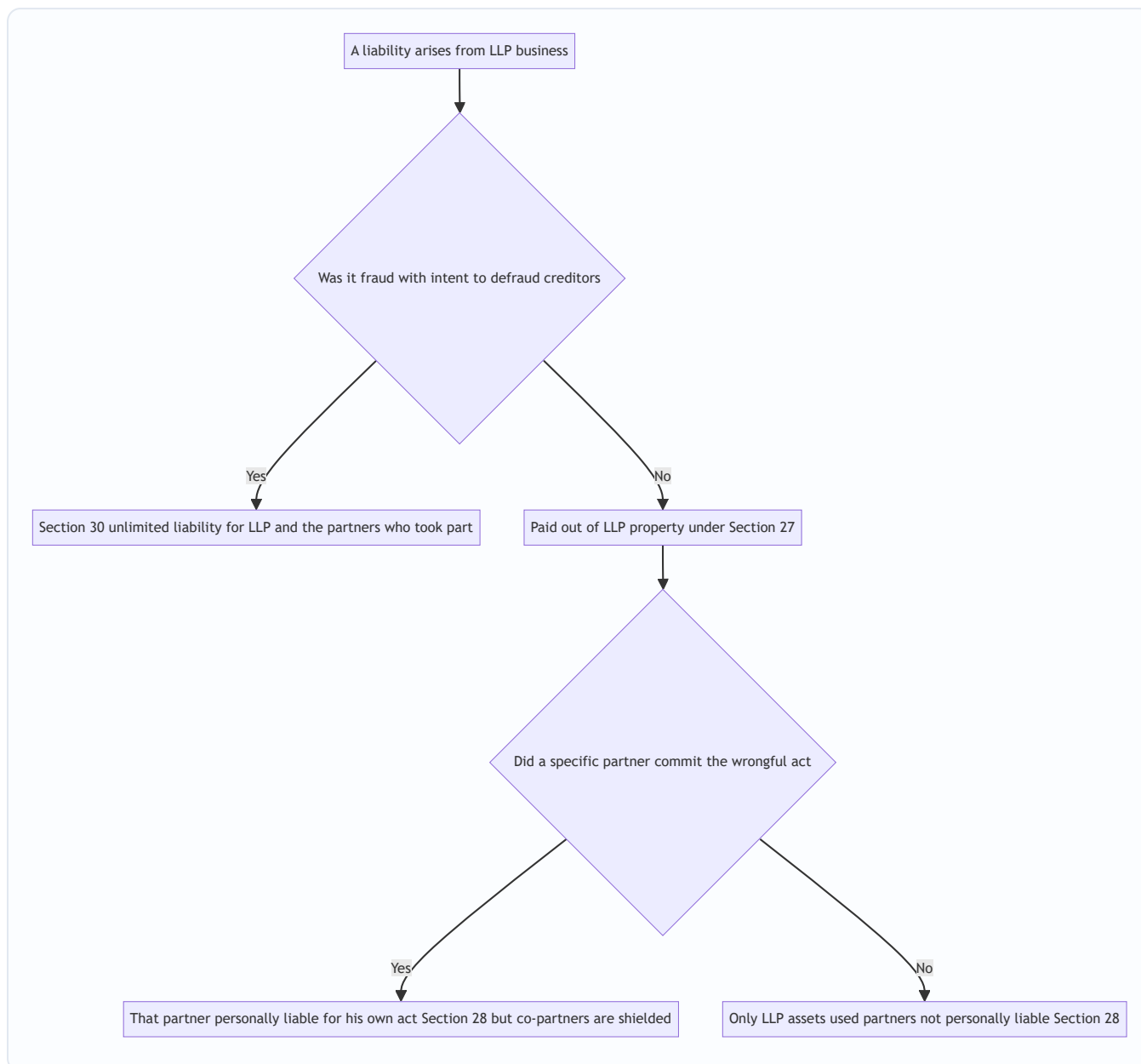


Figure 2 — Where the money comes from: fraud breaks the shield, own-wrong reaches one partner, everything else stops at the LLP's assets.

#### D. Conversion flow

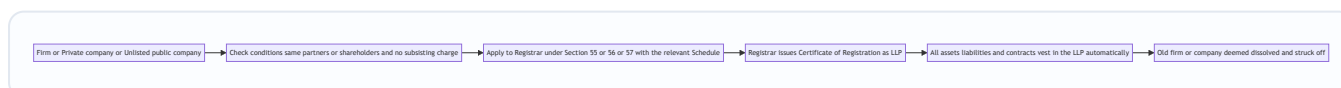


Figure 3 — Migration into an LLP: conditions, certificate, automatic vesting, dissolution of the old entity.

## 7. Connections — how this chapter links to the rest of the syllabus

- **Companies Act 2013 — "Body corporate" and "separate legal personality"**: the LLP borrows the *Salomon v. Salomon* principle (separate entity, limited liability) that you studied for companies. The **piercing of the veil** for fraud (Section 30 LLP) is the cousin of lifting the corporate veil under company law.

- **Indian Partnership Act 1932:** the deliberate *contrast*. LLP switches the 1932 Act **off** (Section 4), deletes mutual agency between partners (Section 26), and the **First Schedule defaults** are consciously modelled on 1932 defaults (equal profit share, no remuneration, unanimous consent for new partners) — so learning one reinforces the other.
- **Number of members / "association of persons" rule (S. 464 Companies Act):** the old ceiling on partners that the LLP abolishes (no maximum).
- **Interpretation of Statutes:** the "conclusive evidence" clauses (certificates) are a neat example of a *conclusive proof* provision — no evidence may be led to contradict them.
- **NCLT jurisdiction:** winding up and compromise/arrangement of LLPs go to the **Tribunal**, the same forum you meet in company law.

## 8. Traps & Examiner Tricks

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1. **"The Partnership Act 1932 governs LLPs." FALSE.** Section 4 expressly disapplies it. Classic trap.
2. **Minimum vs maximum partners.** Minimum **2** partners; **NO maximum**. (Don't confuse with a private company's 200-member cap.) Minimum **2 Designated Partners**, at least one **resident in India**, both **individuals**.
3. **Falling below 2 partners.** Not instant death — a **6-month** grace; only *after* 6 months does the **sole knowing partner** become personally liable. (Winding-up ground kicks in only after 6 months too.)
4. **The residency figure.** Often tested. Currently a DP must have stayed in India **≥ 120 days** in the FY (amended down from 182) — **confirm the current figure**. Don't blindly write 182.
5. **"A partner is liable for a co-partner's wrongful act." FALSE** (Section 28) — that's the *old* partnership rule. But a partner **is** liable for his **own** wrongful act, and **all fraudsters** lose the shield (Section 30).
6. **Remuneration by default.** If the agreement is silent, **no partner gets a salary** and **profits are shared equally** — even if one partner works far more. Examiners love the "he does more work" fact pattern.
7. **Common seal is OPTIONAL** (Section 14). Don't say it's mandatory.
8. **Two annual filings, two different deadlines:** Annual Return (Form 11) within **60 days**; Statement of Account & Solvency (Form 8) within **6 months**. Swapping these is a common slip.
9. **Body corporate can be a PARTNER but cannot be a DESIGNATED PARTNER** (only individuals can be DPs — a corporate partner acts through its nominee).
10. **Cessation needs notice to bind outsiders** (Section 24): a retired partner can still be treated as a partner by a creditor until notice reaches the third party *or* the Registrar.
11. **Certificate of Incorporation is CONCLUSIVE evidence** (Section 12) — outsiders can't challenge the formation.
12. **No direct LLP → company conversion under the LLP Act.** Conversion runs *into* the LLP (firm/company → LLP), not the other way in this Act. Don't assert a symmetrical route.
13. **Audit exemption thresholds:** turnover > **Rs. 40 lakh** OR contribution > **Rs. 25 lakh** triggers audit — below both, exempt. Reversing the "OR" into "AND" is a trap.
14. **Registrar, not RoC of companies for firms:** LLPs register with the **Registrar (of LLPs)** under this Act — think MCA/Registrar, not the Registrar of Firms.

## 9. First-Principles Recap

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Start from the pain and rebuild the Act:

1. **The pain:** partnership = flexible but personally ruinous (unlimited + liable for partner's wrongs + dies on exit). Company = safe but rigid and expensive.
2. **The invention:** give a partnership a **company's skin**. → **Section 3:** body corporate, separate entity, perpetual succession.
3. **Put the shield in:** debts hit the **entity's** property (S. 27); a partner isn't liable just for being one and isn't liable for a *co-partner's* wrong (S. 28). To make that coherent, sever mutual agency (S. 26).
4. **Keep the shield honest:** fraud → **unlimited** liability (S. 30); solo-running past 6 months → personal liability (S. 6).
5. **Keep the inside free:** mutual rights = **private LLP Agreement** (S. 23); gaps filled by the **First Schedule** (equal share, no salary, unanimous new-partner consent).
6. **Make someone answerable to the State** (price of the shield): **2 Designated Partners, 1 resident, both individuals** (S. 7), responsible for filings and penalties.
7. **Warn and inform the world** (so creditors accept a capped recovery): mandatory **"LLP" suffix** (S. 15), name on correspondence (S. 21), public **register** kept current by filing changes (S. 25) and annual disclosures — Annual Return (S. 35) and Statement of Account & Solvency (S. 34).
8. **Invite migration:** convert firm/private/unlisted-public company **into** an LLP with **automatic vesting** (S. 55–57, Schedules 2–4).

If you can regenerate the section numbers from *why each one had to exist*, you have understood, not memorised.

## 10. Quick-Revision Sheet

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**Key sections at a glance**

| Section  | Content                                                                                                   |
|----------|-----------------------------------------------------------------------------------------------------------|
| S. 2     | Definitions (partner, DP, LLP agreement, body corporate, foreign LLP)                                     |
| S. 3     | LLP is a <b>body corporate</b> , separate entity, perpetual succession                                    |
| S. 4     | <b>Partnership Act 1932 does NOT apply</b>                                                                |
| S. 5     | Who can be a partner (individual/body corporate; not unsound-mind/insolvent)                              |
| S. 6     | <b>Min 2 partners</b> ; below 2 for > <b>6 months</b> → sole partner personally liable; <b>no maximum</b> |
| S. 7     | <b>Min 2 Designated Partners</b> , both individuals, <b>≥ 1 resident in India</b> ; DPIN; consent         |
| S. 11–12 | Incorporation document + professional statement; Certificate of Incorporation ( <b>conclusive</b> )       |
| S. 13    | Registered office                                                                                         |
| S. 14    | Powers: sue/be sued, own property, <b>optional</b> common seal                                            |
| S. 15    | Name must end with " <b>LLP</b> "/" <b>Limited Liability Partnership</b> "                                |
| S. 21    | Name & registration number on correspondence                                                              |
| S. 22–23 | Partners; <b>LLP Agreement</b> governs mutual rights; <b>First Schedule</b> fills gaps                    |
| S. 24    | Cessation of partner; notice needed to bind third parties                                                 |
| S. 25    | File change of partners within <b>30 days</b>                                                             |
| S. 26    | Partner is agent of the <b>LLP</b> , not of other partners                                                |
| S. 27    | LLP's liability met out of <b>LLP property</b>                                                            |
| S. 28    | Partner <b>not liable for co-partner's</b> wrong; liable for <b>own</b> wrong                             |
| S. 30    | <b>Fraud</b> → <b>unlimited</b> liability + penalties                                                     |
| S. 31    | Whistle-blower protection                                                                                 |
| S. 34    | Books; <b>Statement of Account &amp; Solvency</b> (Form 8) within <b>6 months</b> ; audit exemption       |
| S. 35    | <b>Annual Return</b> (Form 11) within <b>60 days</b>                                                      |
| S. 55–57 | Conversion <b>into</b> LLP (Firm / Pvt Co / Unlisted Public Co) — Schedules 2/3/4                         |
| S. 63–65 | Winding up (voluntary / by Tribunal) & dissolution                                                        |

### Limits & thresholds table



| Item                                                    | Figure                                              |
|---------------------------------------------------------|-----------------------------------------------------|
| Minimum partners                                        | 2                                                   |
| Maximum partners                                        | None                                                |
| Minimum Designated Partners                             | 2 (individuals)                                     |
| DPs resident in India                                   | At least 1                                          |
| Residency test for a DP                                 | Stay ≥ <b>120 days</b> in the FY ( <i>confirm</i> ) |
| Grace period below 2 partners before personal liability | <b>6 months</b>                                     |
| Certificate of Incorporation issued within              | 14 days                                             |
| File LLP Agreement / changes (Form 3)                   | 30 days                                             |
| Notify change of partners (Form 4)                      | 30 days                                             |
| Annual Return (Form 11)                                 | <b>60 days</b> of FY close                          |
| Statement of Account & Solvency (Form 8)                | <b>6 months</b> of FY end                           |
| Audit required if turnover >                            | <b>Rs. 40 lakh</b> ( <i>confirm</i> )               |
| Audit required if contribution >                        | <b>Rs. 25 lakh</b> ( <i>confirm</i> )               |
| Non-filing ground for winding up                        | <b>5 consecutive</b> FYs                            |
| Cessation notice / "still a partner to outsiders" until | Notice to third party or Registrar                  |

**The four one-liners to never forget** 1. "*A partnership wearing a company's skin*" — flexibility inside, shield outside (S. 3, S. 23, S. 28). 2. "*Your own sin, your own skin*" — you answer for your own wrong, never your partner's (S. 28), and fraud kills the shield (S. 30). 3. "*Silence speaks the First Schedule*" — no agreement → equal shares, no salary, unanimous new partners (S. 23). 4. "*2 DPs, 1 in India, both individuals*" — the accountable human face that pays for the shield (S. 7).

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**Contrast table — LLP vs Company vs Traditional Partnership** (*examiner favourite*)

| Feature                               | Traditional Partnership (1932)     | LLP (2008)                     | Company (2013)                          |
|---------------------------------------|------------------------------------|--------------------------------|-----------------------------------------|
| Governing law                         | Indian Partnership Act 1932        | LLP Act 2008                   | Companies Act 2013                      |
| Separate legal entity                 | <b>No</b>                          | <b>Yes</b>                     | <b>Yes</b>                              |
| Perpetual succession                  | No (ends on death/exit)            | <b>Yes</b>                     | <b>Yes</b>                              |
| Liability of owners                   | <b>Unlimited</b> , joint & several | <b>Limited</b> to contribution | Limited to shares/guarantee             |
| Liable for partner's/co-owner's wrong | <b>Yes</b> (mutual agency)         | <b>No</b> (S. 28)              | N/A                                     |
| Min / Max members                     | 2 / capped (small)                 | 2 / <b>no max</b>              | Pvt 2–200; Public 7–no max; OPC 1       |
| Internal governance                   | Free (agreement)                   | <b>Free (LLP Agreement)</b>    | Rigid (Board, AGM, statutory registers) |
| Compulsory audit                      | No                                 | <b>Only above thresholds</b>   | <b>Yes</b> (generally)                  |
| Managed by                            | Partners                           | Partners / Designated Partners | Directors (distinct from shareholders)  |
| Public filing of accounts             | No                                 | <b>Yes</b> (Form 8/11)         | <b>Yes</b>                              |
| Can own property / sue in own name    | No (through partners)              | <b>Yes</b>                     | <b>Yes</b>                              |
| Name must end with                    | —                                  | <b>"LLP"</b>                   | "Limited"/"Private Limited"             |

Figure 4 (table) — The third door: LLP takes the freedom column from partnership and the shield column from company.

# Q&A — The Limited Liability Partnership Act 2008

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Exam-oriented question bank. Every question is immediately followed by a complete model answer with section citations. All references are to the **Limited Liability Partnership Act, 2008** (LLP Act) unless otherwise stated. Companies Act 2013 and Indian Partnership Act 1932 are cited where relevant.

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## SECTION A — Concept-Check (Short Questions + Answers)

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**A1. Define a Limited Liability Partnership. What is its legal character? Answer:** Under **Section 2(1)(n)**, an LLP is a partnership formed and registered under the Act. **Section 3** declares that an LLP is a **body corporate** formed and incorporated under the Act, and is a **legal entity separate from its partners** having **perpetual succession**. Any change in partners does not affect the existence, rights or liabilities of the LLP. Thus it combines the organisational flexibility of a partnership with the separate-entity and limited-liability features of a company.

**A2. Does the Indian Partnership Act, 1932 apply to an LLP? Answer:** No. **Section 4** expressly provides that the provisions of the **Indian Partnership Act, 1932 shall not apply** to an LLP. The mutual rights and duties of partners and of the LLP are governed by the **LLP agreement**, and in its absence by **Schedule I**.

**A3. Who can be a partner in an LLP and what is the minimum requirement? Answer:** Under **Section 5**, any **individual or body corporate** may be a partner. An individual is disqualified only if declared of unsound mind, an undischarged insolvent, or one whose insolvency application is pending. **Section 6(1)** requires a **minimum of two partners**. Under **Section 6(2)**, if the number falls below two and business is carried on for more than **6 months** with a single partner, that sole partner (who knows the fact) becomes **personally liable** for the obligations incurred during that period.

**A4. What is a "designated partner"? What are the statutory requirements? Answer:** Under **Section 7**, every LLP must have at least **two designated partners** who are **individuals**, and **at least one must be resident in India** (stayed in India  $\geq$  **120 days** during the financial year). Designated partners are responsible for compliance and are answerable for penalties. Every designated partner must obtain a **Designated Partner Identification Number (DPIN)** under **Section 7(6)**. **Section 8** makes designated partners responsible for doing all acts required under the Act and liable for penalties on contravention.

**A5. State the effect of Section 14 (effect of registration). Answer:** On registration, by its name an LLP is **capable of** (a) suing and being sued, (b) acquiring, owning, holding and developing/disposing of **property** (movable/immovable, tangible/intangible), (c) having a **common seal** (if it chooses), and (d) doing and suffering such other acts as bodies corporate may lawfully do. This confirms separate legal personality.

**A6. When does a person cease to be a partner (Section 24)? Answer:** A person may cease to be a partner per the **LLP agreement**, or in absence of agreement by giving **30 days' notice** in writing to the other partners. A person also ceases on **death**, **dissolution** of the LLP, being declared of **unsound mind**, or being **adjudged insolvent**. The cessation does not by itself discharge liability already incurred.

**A7. Explain the extent of liability of partners under Section 27 and Section 28. Answer:** **Section 27(3)** provides that an obligation of the LLP, whether in contract or otherwise, is **solely the obligation of the LLP**, met out of its property. **Section 28(1)** provides that a partner is **not personally liable**, directly or indirectly, for obligations of the LLP solely by reason of being a partner. However, **Section 27(1)** — no vicarious liability

for a partner's wrongful acts done without authority — and the **fraud exception in Section 30** are the limits to this shield.

**A8. What is the position on liability in case of fraud (Section 30)? Answer:** Under **Section 30(1)**, where the LLP or a partner acts with **intent to defraud** creditors or for any fraudulent purpose, the liability of the LLP **and** the partners who acted with such intent is **unlimited** for all debts/obligations. **Section 30(2)** imposes a fine of **₹50,000 to ₹5,00,000** and possible imprisonment. This is the LLP's "veil-piercing" provision.

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## SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

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**B1. Falling below minimum partners. Facts:** XY LLP has two partners, X and Y. Y dies on 1 April. X continues the business alone for 8 months and incurs a debt of ₹10 lakh to a supplier. X argues the debt is the LLP's alone. **Analysis:** **Section 6(1)** requires a minimum of two partners. **Section 6(2)** states that where business is carried on with **only one partner for more than 6 months**, the sole partner who knows he is the only one becomes **personally liable** for the obligations of the LLP incurred during that period. Here X carried on for 8 months (> 6 months) knowing Y had died. **Conclusion:** X is **personally liable** for the ₹10 lakh debt incurred after the 6-month grace period, jointly with the LLP. The limited-liability shield of Section 28 is lost for that period.

**B2. Partner acting without authority. Facts:** P, a partner of ABC LLP, borrows ₹5 lakh from Z in the LLP's name for his personal use. Z knew P had no authority to bind the LLP and also knew P was not acting for the firm. **Analysis:** Under **Section 27(1)**, an LLP is **not bound** by anything done by a partner in dealing with a person if (a) the partner has **no authority** to act, **and** (b) the person **knows** he has no authority or does not know/believe him to be a partner of the LLP. Both conditions are satisfied — Z knew P lacked authority and knew it was personal. **Conclusion:** The LLP is **not liable** to Z. Z can proceed only against P personally. Had Z been unaware of the lack of authority, **Section 27(2)** (partner as agent of LLP) would have bound the LLP.

**B3. Fraudulent conduct. Facts:** Two partners of MNO LLP siphon funds and deliberately incur liabilities to defraud creditors before winding up. Creditors seek to reach the partners' personal assets. **Analysis:** **Section 30(1)** removes the limited-liability protection where business is carried on **with intent to defraud creditors** or for a fraudulent purpose. In such a case the liability of the LLP **and of the partners who acted with fraudulent intent** becomes **unlimited**. **Conclusion:** The two fraudulent partners are **personally and unlimitedly liable** to creditors, and are additionally liable to a fine of **₹50,000–₹5,00,000** with possible imprisonment under **Section 30(2)**. Innocent partners are not caught by the unlimited liability.

**B4. Holding out. Facts:** R is not a partner of DEF LLP but allows the LLP to represent to a bank that he is a partner. On the faith of that, the bank extends credit. The LLP defaults. **Analysis:** **Section 29(1)** provides that a person who **by words or conduct represents himself, or knowingly permits himself to be represented, as a partner** is liable to any person who has on the faith of such representation given credit to the LLP — whether or not the person represented is aware of it. **Conclusion:** R is liable to the bank as though he were an actual partner (**liability by holding out**), even though he is not on the register.

**B5. Business transfer / assignment of partner's interest. Facts:** G, a partner in GHI LLP, assigns his profit-share to his creditor C to settle a personal debt. C claims he is now a partner and demands access to accounts and management. **Analysis:** Under **Section 42**, the rights of a partner to a **share of profits and losses and to receive distributions** are **transferable** (wholly or in part). However, such transfer does **not** by

itself cause the partner's cessation nor entitle the transferee to **participate in management** or to access information about the LLP's transactions. **Conclusion:** C is entitled only to receive G's share of profits/distributions. C is **not a partner** and has **no management or information rights**. G continues as partner.

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## SECTION C — Past-Paper-Style Descriptive Questions (Model Answers)

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**C1. "An LLP is a hybrid of a company and a partnership." Discuss the salient features of an LLP under the LLP Act, 2008. Answer:** 1. **Body corporate / separate legal entity** — Section 3; distinct from partners with perpetual succession. 2. **Limited liability** — Section 27(3) and Section 28: obligations are the LLP's own; partners not personally liable merely for being partners. 3. **Partnership Act excluded** — Section 4; internal relations governed by LLP agreement / Schedule I. 4. **Perpetual succession** — Section 3(2): change of partners does not dissolve the LLP. 5. **Minimum two partners** — Section 6; at least **two designated partners**, one resident in India — Section 7. 6. **Capacity** — Section 14: can sue/be sued, own property, common seal. 7. **Mutual agency** — Section 26: each partner is an agent of the **LLP** but **not** of other partners (unlike Section 18 of the Partnership Act 1932). 8. **Perpetual existence independent of partners; property held in LLP's name.**

**C2. Explain the provisions relating to incorporation of an LLP (Sections 11 to 13). Answer: - Section 11 — Incorporation document:** Two or more persons associated for carrying on a lawful business **with a view to profit** subscribe their names to an incorporation document, file it with the Registrar (of the State where the registered office is situated) with the prescribed fee, along with a **statement** by an advocate/CA/CS/Cost Accountant engaged in formation and by a subscriber that the requirements of the Act have been complied with. The incorporation document states the name, proposed business, registered office address, name/address of every partner and designated partner. Making a **false statement** knowingly attracts imprisonment up to 2 years and fine (₹10,000–₹5,00,000). - **Section 12 — Incorporation by registration:** The Registrar registers the document within **14 days** and issues a **certificate of incorporation**, which is **conclusive evidence** that the LLP is incorporated. - **Section 13 — Registered office:** Every LLP must have a registered office to which communications may be addressed. Change of registered office is made per the LLP agreement; the Act prescribes filing of notice of change with the Registrar.

**C3. Discuss the requirement and role of "Designated Partners" (Sections 7, 8, 9, 10). Answer: - Section 7(1):** Minimum **two designated partners**, both individuals, **at least one resident in India** (in India  $\geq$  120 days in the financial year). - **Section 7(3)–(4):** Consent of each designated partner to be filed; particulars to be with the Registrar. - **Section 7(6):** Every designated partner must have a **DPIN**. - **Section 8:** Designated partners are **responsible** for compliance with the Act (filings, returns) and **liable to penalties** for contravention. - **Section 9:** LLP must ensure it always has the requisite number; a vacancy must be filled within **30 days**; if no designated partner is appointed or only one exists, **every partner** is deemed a designated partner. - **Section 10:** Penalty for contravention of Sections 7/8/9 — the LLP and its partners are punishable with fine.

**C4. Explain the provisions relating to conversion of a firm/private company/unlisted public company into an LLP (Sections 55–58, Schedules 2–4). Answer: - Section 55** read with **Schedule 2** — a **firm** may convert into an LLP; all partners of the firm become partners of the LLP and no one else. - **Section 56** read with **Schedule 3** — a **private company** may convert into an LLP; all shareholders become partners and no one else. - **Section 57** read with **Schedule 4** — an **unlisted public company** may convert into an LLP; likewise all shareholders become partners. - **Section 58** — On conversion the Registrar issues a **certificate**

**of registration**; the LLP must within **15 days** inform the concerned Registrar of Firms/Companies. On and from the date in the certificate, **all assets, liabilities, interests, rights, privileges, obligations** of the firm/company vest in the LLP, and the firm/company is **deemed dissolved / removed** from the records. Pending proceedings continue against the LLP. Conditions in the Schedules include that there is **no security interest** subsisting/in force at the time (for firm conversion) and that the entity is **solvent** and up-to-date on filings.

**C5. Write short notes on: (a) Extent of liability of LLP (Section 27); (b) Whistle blowing (Section 31).**

**Answer: (a) Section 27 — Extent of liability of LLP:** The LLP is **not bound** by an unauthorised act of a partner where the other party knew of the lack of authority (Sec 27(1)). The LLP is **liable** if a partner is liable for a wrongful act/omission in the course of business or with authority (Sec 27(2)). Any such liability is **met out of the property of the LLP** and is the LLP's obligation alone (Sec 27(3)/(4)). **(b) Section 31 — Whistle blowing:** The Court/Tribunal may **reduce or waive penalty** against a partner or employee of an LLP who provides useful information leading to conviction or detection of an offence. Such a partner/employee is **protected against discharge, demotion, suspension, harassment or discrimination** in the terms of employment merely for providing such information. This encourages internal disclosure of fraud/wrongdoing.

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## SECTION D — MCQs / Case Scenarios (Correct Option + One-line Reasoning)

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**D1.** Minimum number of designated partners in an LLP is: (a) 1 (b) 2 (c) 3 (d) 7 **Answer: (b) 2** — Section 7(1) requires at least two designated partners, at least one resident in India.

**D2.** The maximum number of partners in an LLP is: (a) 20 (b) 50 (c) 100 (d) No limit **Answer: (d) No limit** — Section 6(1) prescribes only a **minimum of two**; there is no statutory maximum.

**D3.** The Registrar shall register the incorporation document within: (a) 7 days (b) 14 days (c) 30 days (d) 60 days **Answer: (b) 14 days** — Section 12(1).

**D4.** If an LLP carries on business with a single partner for more than 6 months, the sole partner: (a) Has no liability (b) Is personally liable for obligations during that period (c) Faces LLP dissolution automatically (d) Is fined ₹1 lakh **Answer: (b)** — Section 6(2) imposes personal liability on the sole partner who knew.

**D5.** The Indian Partnership Act, 1932 in relation to an LLP: (a) Applies fully (b) Applies partly (c) Does not apply (d) Applies only to designated partners **Answer: (c) Does not apply** — Section 4.

**D6.** In the absence of an LLP agreement, mutual rights and duties are governed by: (a) Companies Act 2013 (b) Schedule I to the LLP Act (c) Partnership Act 1932 (d) The Registrar's directions **Answer: (b) Schedule I** — default provisions apply where the agreement is silent.

**D7.** A resident partner for Section 7 must have stayed in India during the financial year for at least: (a) 60 days (b) 120 days (c) 182 days (d) 240 days **Answer: (b) 120 days** — Section 7(1) Explanation (as amended).

**D8.** Where a person carries on business with intent to defraud creditors, liability of the LLP and the guilty partners is: (a) Limited to capital (b) Nil (c) Unlimited (d) Limited to ₹5 lakh **Answer: (c) Unlimited** — Section 30(1); plus fine ₹50,000–₹5,00,000 under Section 30(2).

**D9.** A partner's right assignable under Section 42 is: (a) Right to manage (b) Right to a share of profits and distributions (c) Right to access accounts (d) All rights of a partner **Answer: (b)** — Section 42; assignment does not give management or information rights.

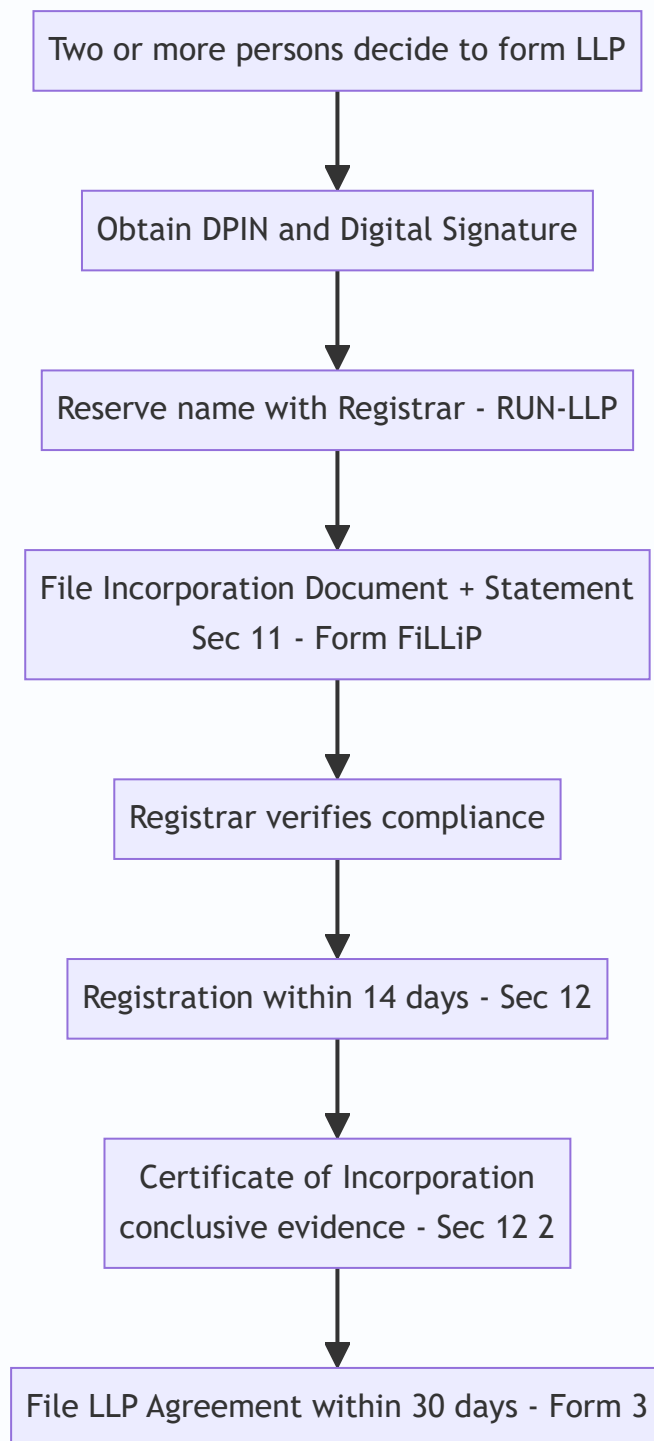
**D10.** The Statement of Account and Solvency and Annual Return are filed under: (a) Sections 34 & 35 (b) Sections 11 & 12 (c) Sections 55 & 56 (d) Sections 63 & 64 **Answer: (a) Sections 34 & 35** — Section 34 (accounts/Statement of Account and Solvency within 6 months of year-end) and Section 35 (Annual Return within 60 days of close of financial year).

**D11.** A certificate of incorporation issued under Section 12 is: (a) Prima facie evidence (b) Conclusive evidence of incorporation (c) Not evidence (d) Evidence of solvency **Answer: (b) Conclusive evidence** — Section 12(2).

**D12.** Winding up of an LLP may be: (a) Only voluntary (b) Only by Tribunal (c) Voluntary or by the Tribunal (d) Only by the Registrar **Answer: (c)** — Section 63 (voluntary or by Tribunal); Section 64 lists grounds for winding up by Tribunal.

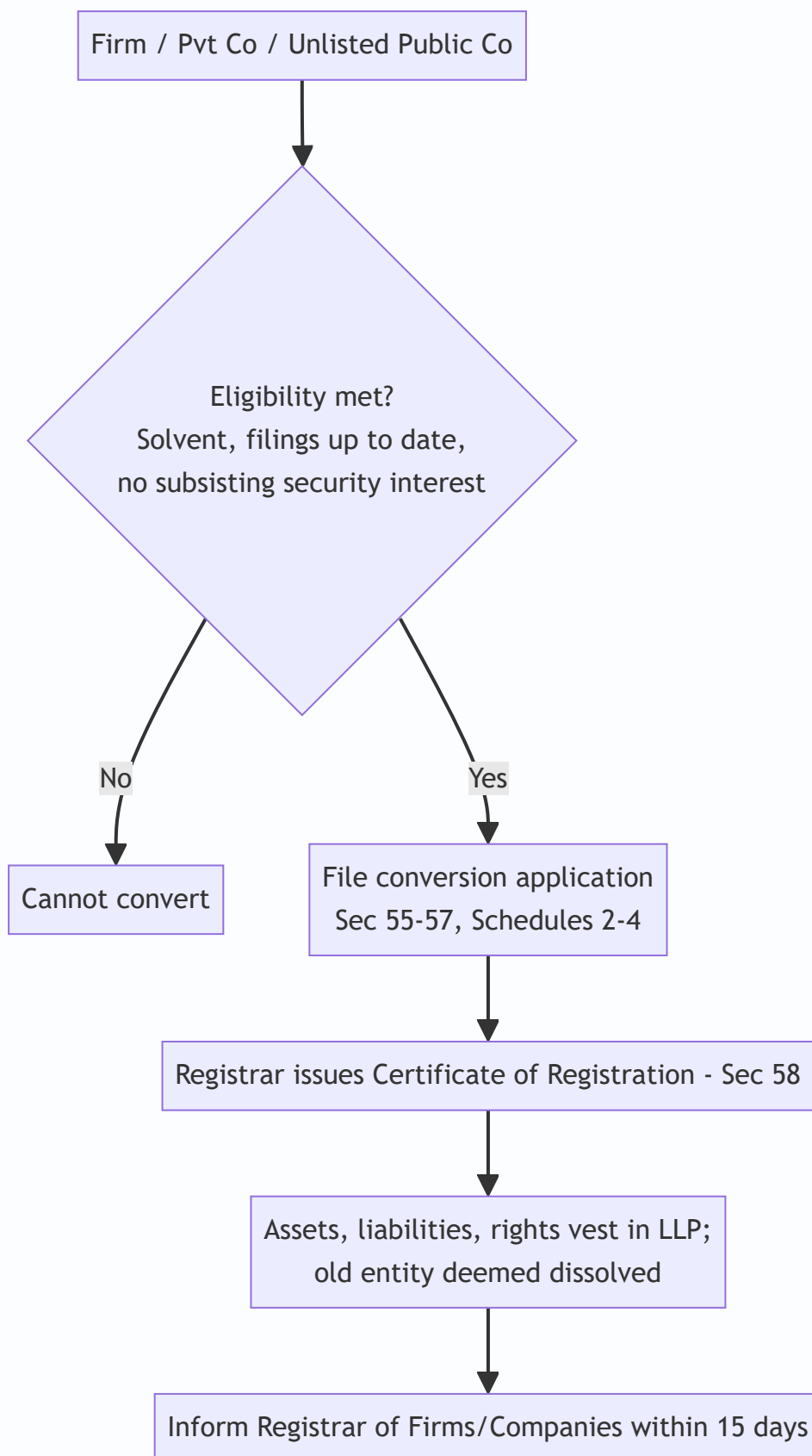
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## Key Procedure — Incorporation of an LLP (Mermaid)





## Key Procedure — Conversion into LLP (Mermaid)



## First-Principles Recap

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- An LLP exists to solve **two traps**: unlimited personal liability in a partnership (Partnership Act 1932) and the rigidity/compliance burden of a company (Companies Act 2013).
  - It is a **body corporate** (Section 3) yet governed internally by **contract** (Section 4 + LLP agreement + Schedule I) — company-like shell, partnership-like flexibility.
  - The **liability shield** (Sections 27–28) is real but is **defeated by fraud** (Section 30), by **falling below two partners** for 6 months (Section 6(2)), and by **holding out** (Section 29).
  - Each partner is agent of the **LLP only**, not of co-partners (Section 26) — this is the design fix that makes limited liability workable.
  - Compliance rests on **designated partners** (Sections 7–10) who file the **Statement of Account & Solvency (Sec 34)** and **Annual Return (Sec 35)**.
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## Quick-Revision Sheet

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### Key Sections Table

| Section  | Subject                                                    |
|----------|------------------------------------------------------------|
| 2        | Definitions (LLP, partner, designated partner)             |
| 3        | LLP is a body corporate / separate legal entity            |
| 4        | Partnership Act 1932 not to apply                          |
| 5        | Who may be a partner                                       |
| 6        | Minimum two partners; sole-partner liability               |
| 7        | Designated partners; resident condition; DPIN              |
| 8–10     | Duties, changes and penalties re designated partners       |
| 11–13    | Incorporation document, registration, registered office    |
| 14       | Effect of registration (capacity)                          |
| 15–17    | Name, reservation, change of name                          |
| 21       | Publication of name and limited liability                  |
| 22–25    | Partners, relationship, cessation, registration of changes |
| 26       | Partner as agent of LLP                                    |
| 27–28    | Extent of liability of LLP and of partners                 |
| 30       | Unlimited liability in case of fraud                       |
| 31       | Whistle blowing                                            |
| 34–35    | Accounts / Statement of Account & Solvency; Annual Return  |
| 42       | Transfer of partner's economic rights                      |
| 55–58    | Conversion (firm / pvt co / unlisted public co)            |
| 59       | Foreign LLPs                                               |
| 63–65    | Winding up and dissolution; rules                          |
| Sch I–IV | Default terms; conversion conditions                       |

## Limits / Deadlines Table

| Item                               | Limit / Period             | Section |
|------------------------------------|----------------------------|---------|
| Minimum partners                   | 2                          | 6(1)    |
| Minimum designated partners        | 2 (one resident)           | 7(1)    |
| Resident stay in India             | ≥ 120 days                 | 7(1)    |
| Sole-partner grace period          | 6 months                   | 6(2)    |
| Registration of incorporation      | within 14 days             | 12(1)   |
| Notice of cessation (no agreement) | 30 days                    | 24      |
| Fill designated-partner vacancy    | 30 days                    | 9       |
| File LLP agreement                 | 30 days                    | Rules   |
| Statement of Account & Solvency    | within 6 months of FY end  | 34      |
| Annual Return                      | within 60 days of FY close | 35      |
| Inform Registrar post-conversion   | 15 days                    | 58      |
| Fraud fine                         | ₹50,000–₹5,00,000          | 30(2)   |

## Contrast Table — LLP vs Company vs Partnership

| Feature                | LLP (LLP Act 2008)                   | Company (Companies Act 2013)   | Partnership (Partnership Act 1932)      |
|------------------------|--------------------------------------|--------------------------------|-----------------------------------------|
| Legal status           | Separate body corporate (Sec 3)      | Separate body corporate        | No separate entity                      |
| Liability of members   | Limited (Sec 28)                     | Limited                        | Unlimited, joint & several              |
| Governing internal law | LLP agreement / Sch I (Sec 4)        | Articles + Act                 | Partnership deed / Act 1932             |
| Perpetual succession   | Yes (Sec 3)                          | Yes                            | No                                      |
| Min members            | 2 (Sec 6)                            | 2 private / 7 public           | 2                                       |
| Max members            | No limit                             | 200 private / unlimited public | 50 (Rules under Cos Act)                |
| Agency                 | Partner = agent of LLP only (Sec 26) | Directors/officers             | Each partner = agent of firm & partners |
| Registration           | Mandatory (Sec 12)                   | Mandatory                      | Optional                                |
| ...                    |                                      |                                |                                         |

# Chapter 12 — The General Clauses Act 1897

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The General Clauses Act, 1897 — the "law about laws." Central Act No. 10 of 1897, containing 30-odd sections that supply the default meanings and interpretation rules for **every** Central Act and Regulation, including the Companies Act 2013.

## 1. The Problem — every statute re-inventing the wheel (and contradicting itself)

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Imagine Parliament is drafting a new law — say the Companies Act. The draftsman writes "any **person** who contravenes this section shall be liable...". Immediately a question arises: does "person" mean only a living human being? What about a *company*? A *partnership firm*? A *trust*? If "person" means only humans, then a company could break the law and no one could be prosecuted, because a company is not a human.

So the draftsman stops and writes a definition: "*In this Act, 'person' includes a company, an association, and a body of individuals whether incorporated or not.*" Good. Now he writes "the annual return shall be filed within one **month**." New question: is a month 30 days? 31? The calendar month? So he stops and defines "month" too. Then "year." Then "immovable property." Then "good faith." Then "oath." The Act balloons with dozens of definitions that have **nothing to do with company law** — they are just plumbing that every statute needs.

Now multiply this across **hundreds** of Central Acts. The Income-tax Act, the Negotiable Instruments Act, the Contract Act, the SEBI Act — each one separately defining "person," "month," "year," "government," "immovable property." This creates three disasters:

**Disaster 1 — bloat and waste.** The same twenty definitions are copied into hundreds of statutes. Parliament wastes time; the statute book swells with repetition.

**Disaster 2 — inconsistency.** Because each draftsman writes his own version, "month" might mean a calendar month in one Act and 30 days in another. "Person" might include companies in one law and exclude them in another. A citizen reading two laws cannot know which meaning applies. The law becomes a lottery.

**Disaster 3 — silent gaps.** Worse than inconsistency is *silence*. Suppose an Act says "file within one month" but forgets to say what happens if the **last day is a Sunday** and the court is closed. Or a new Act **repeals** an old one, but a prosecution was already pending under the old Act — does the repeal wipe out the case, letting the accused walk free on a technicality? If every statute is silent on these mechanical questions, courts must guess, and guesses differ.

There is a fourth, subtler abuse. When a new law repeals an old one, a clever defendant argues: "The offence I committed was under the *old* Act. The old Act no longer exists — it was repealed. Therefore there is no law under which I can be punished." Without a rule to the contrary, **repeal becomes an amnesty** for everyone with a pending case. Rights that had already accrued, liabilities already incurred, penalties already earned — all could evaporate the moment Parliament modernised a statute.

So the real problem is this: **statutes need a huge amount of shared, boring, mechanical machinery** — definitions, timing rules, repeal-survival rules, service rules — and if each statute must supply its own, the result is bloated, contradictory, and full of exploitable gaps.

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## 2. The Core Idea — one master dictionary + rulebook that sits behind all laws

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The solution is beautifully economical: **write the boring machinery ONCE, in a single meta-statute, and declare that it applies by default to every other Central Act unless that Act says otherwise.**

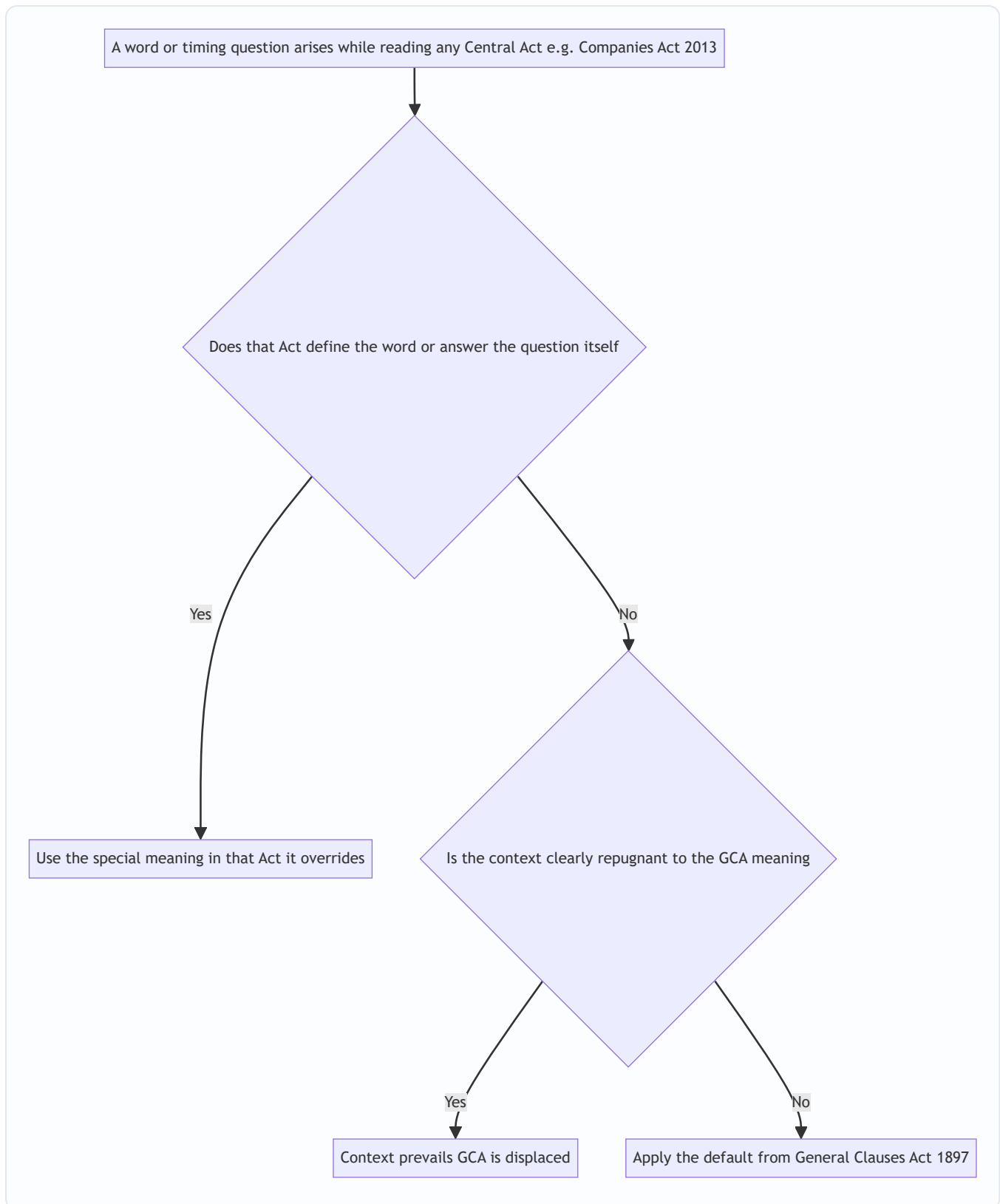
The General Clauses Act 1897 is that meta-statute. Think of it as two things bundled together:

1. **A default dictionary** (Section 3) — supplying the standard meaning of common words like "person," "month," "year," "immovable property," "good faith," "government," "offence." Any Central Act that uses these words gets the GCA meaning *automatically*, without repeating the definition — **unless** that Act supplies its own definition or the context clearly requires otherwise.
2. **A default rulebook** (Sections 5–30) — supplying standard rules for the mechanical questions every statute faces: *When does a law come into force? How do you count "from" and "to" dates? What if the last day is a holiday? What survives when a law is repealed? How is a document "served by post"? Does "he" include "she," and does the singular include the plural?*

The governing principle is the phrase you will see again and again: **"unless there is anything repugnant in the subject or context"** and **"unless a different intention appears."** This makes the GCA a **fallback, not a dictator**. It fills silences. If the Companies Act 2013 defines "financial year" its own way (and it does, in Section 2(41)), that special definition *wins*. But where the Companies Act is *silent* — say, on how to count a 30-day period, or what "good faith" means, or whether "person" includes a firm — the GCA quietly supplies the answer.

This is why the GCA is often called an **aid to interpretation** rather than a substantive law. It does not create rights or offences of its own. It is the invisible interpretive layer that makes every other Act complete, consistent, and gap-free. Learn it once; it pays interest across the entire statute book.

*The GCA as a default layer behind every Central Act.*



### 3. Why it's built this way — the logic behind each design choice

Every feature of the GCA answers a specific way the system could break. Learn the threat and the rule becomes obvious.

**"Why make the definitions merely a *default* rather than *absolute*?"** — Because a single meaning cannot fit every context. "Person" must include companies in tax law, but in a marriage law "person" clearly means a

human. So the GCA gives a sensible standard meaning but always yields to the individual Act's own definition or to an obviously different context. It fills gaps without straitjacketing Parliament.

**"Why does the GCA apply only to Central Acts and Central-made Regulations?"** — Because Parliament can only legislate defaults for its *own* laws. State legislatures each have their own General Clauses Acts for state laws. The Central GCA governs Central Acts (and Regulations, and — via Section 30 — Ordinances). This is federalism: each legislature supplies the machinery for its own statute book.

**"Why does a repealed law's effect survive (Section 6)?"** — Precisely to defeat the "repeal is an amnesty" trick from Section 1. If repeal automatically wiped out all pending cases and accrued rights, then every legal modernisation would be a jailbreak, and no one would ever collect a debt or finish a prosecution begun under an old law. Section 6 says: repeal changes the law *going forward*, but it does **not** unwind the past — rights already accrued, liabilities already incurred, penalties already earned, and proceedings already begun all survive. The old law is dead for the future but its completed effects live on.

**"Why a special rule for counting 'from' and 'to' (Section 9)?"** — Because otherwise every deadline is ambiguous. "Within 30 days *from* 1st April" — is the 1st itself day one, or day zero? Different assumptions produce different deadlines and different winners in litigation. Section 9 fixes a single convention: the word **"from"** *excludes* the opening day; the word **"to"** *includes* the closing day. One rule, applied everywhere, kills the ambiguity.

**"Why a rule for holidays (Section 10)?"** — Because a citizen should not lose a right through no fault of his own. If the last day to file falls on a Sunday when the court is bolted shut, punishing him for filing on Monday would be unjust — he *could not* have filed on time. Section 10 says: if the office is closed on the last day, doing the act on the *next open day* counts as on-time. It protects diligence against the accident of the calendar.

**"Why deem postal service complete on posting (Section 27)?"** — Because otherwise a dishonest recipient could defeat every notice simply by refusing to receive it or denying it arrived. If service depended on proof of *actual receipt*, the recipient controls whether the law reaches him. Section 27 shifts the risk: once the sender correctly addresses, pre-pays, and posts by registered post, service is *presumed* effected in the ordinary course — and it is now the *recipient's* burden to prove it did not arrive. The sender, who did everything right, is protected.

**"Why say 'he' includes 'she' and singular includes plural (Section 13)?"** — Pure economy again. Without it, a draftsman must write "he or she," "the director or directors," endlessly. Section 13 lets statutes be written in the singular masculine as shorthand, read to cover all genders and numbers, saving oceans of words while closing the gap a literalist might exploit ("the Act says 'he,' so it doesn't apply to a woman director").

**"Why say a power to make rules includes the power to amend or rescind them (Section 21)?"** — Because a power frozen at first use is useless. If the government could issue a notification but never modify it, every rule would be permanent and un-fixable. Section 21 reads a *continuing* power into every rule-making power: whoever can make can also add to, amend, vary, or rescind — using the same procedure. It keeps delegated legislation alive and correctable.

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## 4. Full Technical Content — section by section, each with its "why"

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The GCA has three functional blocks: **(A) Preliminary & Definitions** (Ss. 1–4), **(B) General Rules of Construction** (Ss. 5–13 and the timing/gender rules), and **(C) Powers, Functionaries, and Supplemental**



**rules** (Ss. 14–30). For the CA Intermediate exam, master the definitions in Section 3 and the construction rules in Sections 5–27.

#### 4.1 Preliminary — Sections 1 to 4

- **Section 1 — Short title and extent.** The Act is the "General Clauses Act, 1897" and extends to the whole of India. *Why*: housekeeping — it names itself and fixes its territorial reach.
- **Section 3 — Definitions.** The heart of the dictionary. It defines around 65 terms that apply to the GCA itself and to *all Central Acts and Regulations made after the commencement of this Act*, **unless there is anything repugnant in the subject or context**. That closing phrase is the whole philosophy: these meanings are defaults, displaced by context.
- **Section 4 — Application of definitions to earlier Acts.** Some (not all) of the Section 3 definitions are extended to Central Acts made *before* 1897 as well. *Why*: to give even older statutes the benefit of the standard meanings, so the whole statute book — old and new — reads consistently.

#### 4.2 The important general definitions — Section 3

These are the exam-favourite definitions. Each is a default meaning that flows silently into the Companies Act and every other Central Act. (Sub-clause numbers below follow the bare Act; **confirm exact clause numbers in ICAI material / bare Act**, as they shift slightly across editions.)

| Term (Section 3 clause)                    | Default meaning under the GCA                                                                                                                                                                               | The "why" / the trap it closes                                                                                                                                                                                 |
|--------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Affidavit</b> [3(3)]                    | <i>Includes</i> affirmation and declaration, in the case of persons by law allowed to affirm or declare instead of swearing.                                                                                | So a person whose religion or conscience forbids oaths can still give sworn evidence — no one is shut out of the legal process.                                                                                |
| <b>Financial Year</b> [3(21)]              | The year commencing on the <b>1st day of April</b> .                                                                                                                                                        | Fixes a uniform accounting year. <i>Trap</i> : the Companies Act 2013 has its <b>own</b> definition in <b>Section 2(41)</b> — for company law that special one governs. GCA fills only where an Act is silent. |
| <b>Good Faith</b> [3(22)]                  | A thing is done in "good faith" where it is in fact done <b>honestly, whether it is done negligently or not</b> .                                                                                           | The GCA test is <b>honesty, not care</b> . <i>Contrast trap</i> : under the Indian Penal Code, "good faith" requires <b>due care and attention</b> — the opposite emphasis. Examiners love this clash.         |
| <b>Government / the Government</b> [3(23)] | <i>Includes</i> both the <b>Central Government</b> and any <b>State Government</b> .                                                                                                                        | Prevents a defendant arguing a duty owed to "the Government" meant only one tier.                                                                                                                              |
| <b>Immovable Property</b> [3(26)]          | <i>Includes</i> <b>land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth</b> .                                                    | A broad, inclusive definition so mortgages, easements, and rights over land are all covered.                                                                                                                   |
| <b>Movable Property</b> [3(36)]            | Property of <b>every description, except immovable property</b> .                                                                                                                                           | Defined as the <i>residue</i> — whatever is not immovable is movable. Clean and gap-free.                                                                                                                      |
| <b>Local Authority</b> [3(31)]             | A municipal committee, district board, body of port commissioners, or other authority legally entitled to, or entrusted by government with, the <b>control or management of a municipal or local fund</b> . | Identifies bodies that handle public local money, for statutes conferring powers or duties on them.                                                                                                            |
| <b>Month</b> [3(35)]                       | A month reckoned according to the <b>British (Gregorian) calendar</b> .                                                                                                                                     | So "one month" runs from a date in one calendar month to the corresponding date in the next — <b>not</b> a fixed 30 days. This changes deadline maths.                                                         |
| <b>Year</b> [3(66)]                        | A year reckoned according to the <b>British calendar</b> (i.e., 1 January to 31 December).                                                                                                                  | Uniform calendar year unless the Act says otherwise (e.g., financial year).                                                                                                                                    |
| <b>Oath</b> [3(39)]                        | <i>Includes</i> affirmation and declaration in the case of persons allowed to affirm/declare instead of swearing.                                                                                           | Same inclusiveness principle as "affidavit."                                                                                                                                                                   |
| <b>Offence</b> [3(38)]                     | Any <b>act or omission made punishable by any law for the time being in force</b> .                                                                                                                         | Note "act <b>or omission</b> " — failing to do a required thing is an offence too. And "for the time being in force" ties it to current law.                                                                   |

| Term (Section 3 clause)                   | Default meaning under the GCA                                                                                                                                                  | The "why" / the trap it closes                                                                                                                             |
|-------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Person</b> [3(42)]                     | <i>Includes</i> any <b>company or association or body of individuals, whether incorporated or not.</b>                                                                         | The keystone definition. It lets statutes bind and prosecute <b>companies and firms</b> , not just humans. Without it, corporate liability would collapse. |
| <b>Registered</b> (re a document) [3(49)] | Registered in India under the law for the registration of documents (the Registration Act) for the time being in force.                                                        | Ties the word to the actual registration regime.                                                                                                           |
| <b>Rule</b> [3(51)]                       | A rule made in exercise of a power conferred by any enactment; <i>includes</i> a Regulation made as a rule under any enactment.                                                | Distinguishes delegated rules from the parent Act.                                                                                                         |
| <b>Document</b> [3(18)]                   | Any matter expressed or described upon any substance by letters, figures, or marks, intended to be used for recording that matter.                                             | Broad enough to cover writings, maps, inscriptions — anything recording meaning.                                                                           |
| <b>Imprisonment</b> [3(27)]               | Imprisonment of either description (rigorous or simple) as defined in the Indian Penal Code.                                                                                   | Borrows the IPC meaning so sentencing terms are consistent.                                                                                                |
| <b>Swear / Oath &amp; Writing</b> [3(65)] | Expressions referring to "writing" are construed as <i>including</i> printing, lithography, photography, and other modes of representing or reproducing words in visible form. | So "in writing" future-proofs against new recording technologies.                                                                                          |

**Why definitions matter for a company-law paper:** the Companies Act 2013 constantly uses words like "person," "document," "month," "immovable property," "good faith," "registered." Where the 2013 Act does not itself define them (and it does not define most), the GCA meaning is what a court applies. So these are not trivia — they are the *actual* operative meanings in your main Act.

#### 4.3 Coming into operation — Section 5

**Problem it fixes:** A Bill becomes an Act, but *from which moment* is it binding law? If the Act itself forgets to say, when does it start?

**Rule (Section 5):** Where any Central Act is **not expressed to come into operation on a particular day**, it comes into operation on the day it **receives the assent** — of the President (after the Constitution; of the Governor-General before it). *Why:* fills the silence with a definite, verifiable moment — assent — so there is never a limbo period of doubt.

**Fine point (interpretation of "commencement"):** an enactment comes into force at the **beginning of the day** on which it commences — i.e., the immediately preceding midnight. So a law commencing "on 1 April" is in force from the first instant of 1 April.

#### 4.4 Effect of repeal — Section 6 (the star section)

**Problem it fixes:** the "repeal-as-amnesty" abuse. When a new Central Act repeals an old one, does everything done under the old law vanish?

**Rule (Section 6):** Where any Central Act or Regulation *made after the commencement of the GCA* repeals any enactment, then **unless a different intention appears**, the repeal shall **NOT**:

| Section 6 clause | The repeal does NOT...                                                                                                                                                               | Reason                                                                                      |
|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| 6(a)             | revive anything not in force or existing at the time the repeal takes effect                                                                                                         | Repealing Law B does not resurrect the older Law A that B had itself replaced — no zombies. |
| 6(b)             | affect the <b>previous operation</b> of the repealed enactment or anything <b>duly done or suffered</b> under it                                                                     | Past actions stand; you cannot un-ring the bell.                                            |
| 6(c)             | affect any <b>right, privilege, obligation or liability acquired, accrued or incurred</b> under the repealed enactment                                                               | Accrued rights and liabilities survive — a debt owed stays owed.                            |
| 6(d)             | affect any <b>penalty, forfeiture or punishment incurred</b> for any offence under the repealed enactment                                                                            | Guilt already incurred is not washed away by repeal.                                        |
| 6(e)             | affect any <b>investigation, legal proceeding or remedy</b> in respect of the above; such proceeding may be <b>continued or enforced</b> as if the repealing Act had not been passed | Pending cases proceed to conclusion under the old law.                                      |

**Memory hook — the "5 survivors" (a-b-c-d-e):** No-revival, Previous operation, Accrued rights, incurred Penalties, pending Proceedings. Repeal kills the law's *future*; Section 6 preserves its *finished past*.

**Crucial qualifier — "unless a different intention appears."** If the repealing Act *itself* says the old proceedings die, that wins. Section 6 is a default, not a straitjacket.

#### 4.5 Repeal-and-re-enactment; textual amendments — Sections 6A, 7, 8, 24

- **Section 6A — Repeal of an Act that only made a textual amendment.** If Act X merely inserted/amended words into Act Y, and X is later repealed, the *amendment already made to Y* is **not undone** (unless a different intention appears). *Why:* an amending Act, once it has done its surgery, is spent; repealing the spent scalpel does not reverse the surgery.
- **Section 7 — Revival of repealed enactments.** To *revive* a wholly or partly repealed enactment, the reviving Act must **expressly state** the revival. *Why:* revival is a serious step; it must be deliberate and explicit, never accidental.
- **Section 8 — Construction of references to repealed enactments.** Where an Act is repealed and **re-enacted** (with or without modification), any reference in another law to the repealed provision is read as a reference to the **corresponding provision** in the new law. *Why:* so a repeal-and-replace does not silently break every cross-reference in the statute book.
- **Section 24 — Continuation of orders, rules, etc.** Where a law is repealed and re-enacted, any rule, notification, order, appointment, etc. made under the old law **continues in force** as if made under the new law, so far as consistent, until superseded. *Why:* avoids a governance vacuum between old and new regimes.

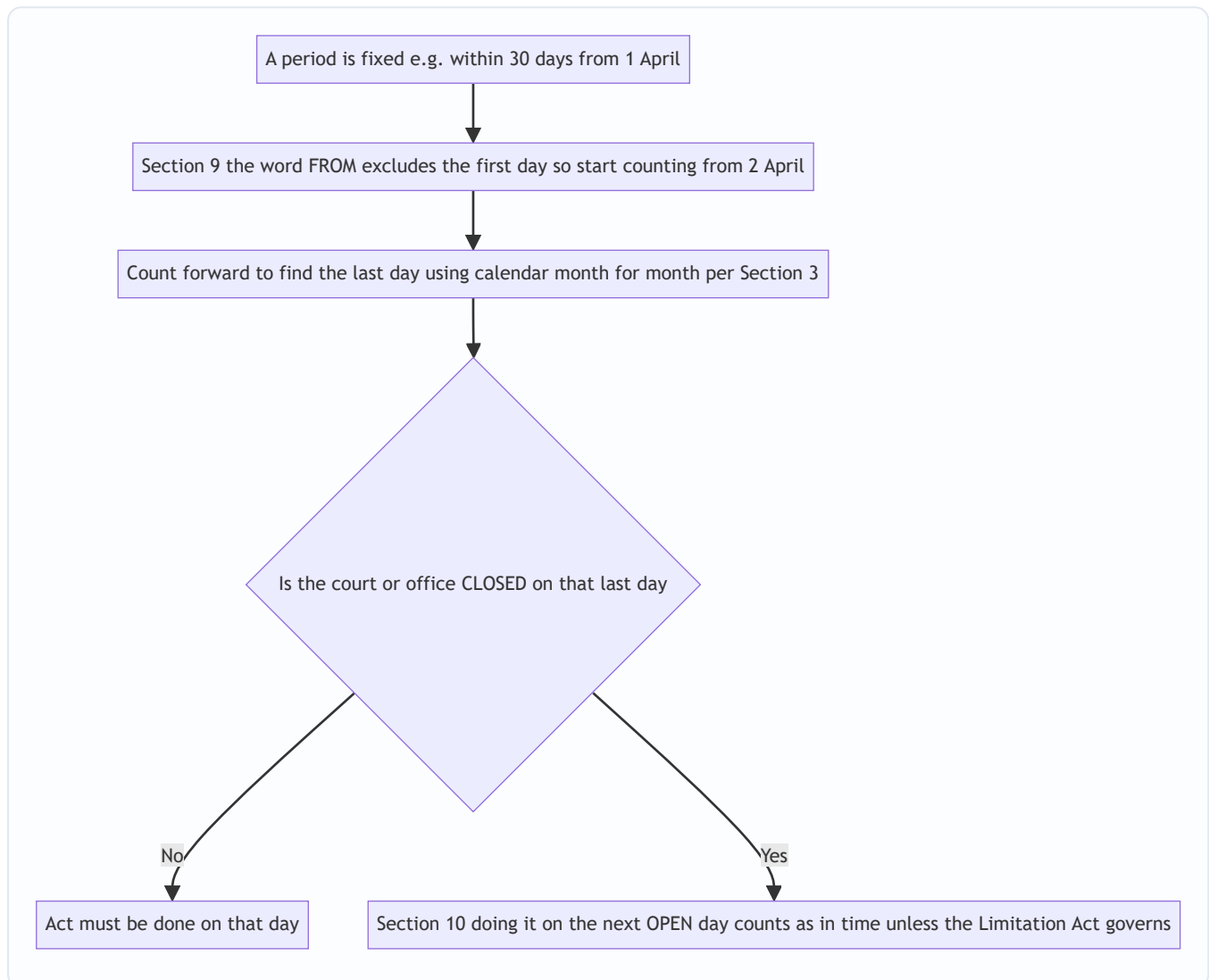
#### 4.6 Computation of time — Sections 9 and 10

These two are the arithmetic engine of every deadline.

- **Section 9 — "from" and "to."** In any Central Act, to express the *first* in a series of days or any other period of time, use the word **"from"** — and that first day is **EXCLUDED**. To express the *last*, use **"to"** — and that last day is **INCLUDED**. Mnemonic: **"From = First out; To = Terminal in."**

- **Section 10 — court/office closed on the last day.** Where any act or proceeding is directed to be done in a **court or office** on a certain day or within a prescribed period, and the court/office is **closed** on that day (or the last day of the period), the act is deemed done **in time** if done on the **next day the court/office is open**. *Proviso:* Section 10 does **NOT apply** to acts/proceedings governed by the **Limitation Act, 1963** (which has its own equivalent rule in its Section 4). *Why the carve-out:* to avoid two overlapping holiday rules for the same limitation matter.

*Counting a deadline the GCA way — Sections 9 and 10 working together.*



#### 4.7 Gender, number, and continuing powers — Sections 13, 14, 16, 21, 22

- **Section 13 — Gender and number.** In every Central Act, unless the context otherwise requires: **(1)** words importing the **masculine gender** are taken to **include females**; **(2)** words in the **singular include the plural**, and vice versa. *Why:* lets statutes be drafted compactly while covering everyone.
- **Section 14 — Powers exercisable "from time to time."** Where a power is conferred by a Central Act, it may be exercised **from time to time** as occasion requires (unless a different intention appears). *Why:* a power is not exhausted by a single use.
- **Section 16 — Power to appoint includes power to suspend or dismiss.** The authority that can *appoint* a person can also **suspend or dismiss** that person (unless a different intention appears). *Why:* accountability — whoever hires can fire.

- **Section 21 — Power to make also power to amend/rescind.** A power to issue **notifications, orders, rules or bye-laws** includes the power to **add to, amend, vary, or rescind** them, exercised the **same way** and subject to the same conditions as the original power. *Why:* keeps delegated legislation living and correctable. (Note: this applies to *executive/legislative* instruments, not to quasi-judicial orders, which cannot be casually reopened.)
- **Section 22 — Anticipatory action between passing and commencement.** Where an Act is not yet in force but empowers rule-making, the rules may be **made in advance** so they are ready the moment the Act commences (though they take effect only on commencement). *Why:* prevents a machinery gap on day one.

#### 4.8 Offences, fines, and double jeopardy — Sections 25, 26

- **Section 25 — Recovery of fines.** Provisions of the Code of Criminal Procedure for the time being in force relating to recovery of fines apply to fines imposed under any Act (unless the Act says otherwise). *Why:* one uniform machinery to collect fines.
- **Section 26 — Offence punishable under two or more enactments.** Where an act or omission is an offence under **two or more enactments**, the offender may be **prosecuted and punished under either or any** of them — **but shall NOT be punished twice for the same offence**. *Why:* mirrors the *double jeopardy* protection (Article 20(2) of the Constitution). You can be *charged* under multiple laws, but not *punished twice* for one wrong.

#### 4.9 Service of documents by post — Section 27

**Problem it fixes:** a recipient dodging notices by denying receipt.

**Rule (Section 27):** Where any Central Act requires a document to be **served by post** (whether the word used is "serve," "give," "send" or the like), then **unless a different intention appears**, service is **deemed to be effected** by: (1) properly **addressing**, (2) **pre-paying**, and (3) **posting by registered post** a letter containing the document — and **unless the contrary is proved**, service is deemed to have occurred **at the time the letter would be delivered in the ordinary course of post**.

**Two limbs to memorise:** - **Presumption of effecting service** = arises on correct addressing + pre-paying + registered posting. - **Presumption of time of service** = ordinary course of post — but **rebuttable** ("unless the contrary is proved").

*Why:* the sender who does everything right is protected; the burden shifts to the recipient to disprove delivery. This section is directly relevant to serving notices under the Companies Act 2013.

#### 4.10 Reach into Ordinances — Section 30

Section 30 applies the GCA's rules to **Ordinances** promulgated by the President/Governor as if they were Central Acts. *Why:* an Ordinance is temporary law with full force; it needs the same interpretive machinery.

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### 5. Applied Scenarios — facts → legal analysis → conclusion

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**Scenario 1 — "Person" includes a company (Section 3(42)).** *Facts:* A penal section of a Central Act says "**any person** who fails to file the prescribed statement shall be punishable with fine." Zenith Ltd, a company, fails to file. Zenith argues: "A company is not a *person* — it is an artificial entity, not a human being — so I cannot be prosecuted." *Analysis:* The Act does not itself define "person," so the GCA default applies. Under

**Section 3(42)**, "person" *includes* any company or body of individuals, incorporated or not. Nothing in the penal context is repugnant to that meaning — indeed the section is aimed at filing entities like companies. *Conclusion*: "Person" covers Zenith Ltd. The company can be prosecuted and fined. Its argument fails.

**Scenario 2 — Repeal does not kill a pending prosecution (Section 6).** *Facts*: Mr A committed an offence under the (imaginary) Old Regulation Act, 2010. A prosecution was launched. In 2024, Parliament repeals the 2010 Act and replaces it with a new Act. The new Act is silent on pending cases. Mr A moves to quash the prosecution, arguing the offence-creating law no longer exists. *Analysis*: The repeal is by a Central Act made after 1897, so **Section 6** applies **unless a different intention appears** — and here the new Act is silent, so no contrary intention. Under **Section 6(c), (d) and (e)**, the repeal does not affect a liability *incurred*, a penalty *incurred*, or a *legal proceeding* in respect of an offence under the repealed Act; such proceeding may be **continued as if the Act had not been repealed**. *Conclusion*: The prosecution survives and continues to judgment under the old law. Mr A cannot escape via the repeal.

**Scenario 3 — Counting "30 days from" with a closed office (Sections 9 and 10).** *Facts*: A Central Act requires a return to be filed "**within 30 days from 1st April**." Counting 30 days, the last day works out to **1st May**, which happens to be a public holiday when the filing office is closed. The company files on **2nd May**. The department alleges late filing. *Analysis*: Under **Section 9**, "**from 1st April**" **excludes** 1st April; counting begins 2nd April. The 30th day is the last day. Under **Section 10**, because the office was **closed** on that last day (1st May), doing the act on the **next open day** (2nd May) is deemed done **in time** — provided this is not a matter governed by the Limitation Act, 1963. *Conclusion*: The filing on 2nd May is **in time**. No late-filing default.

**Scenario 4 — "Good faith": honesty vs. due care (Section 3(22) vs IPC).** *Facts*: A public officer, acting under a Central Act (not the IPC), makes an honest but *negligent* decision. He claims protection for acts done "in good faith." Opposing counsel says his negligence destroys good faith. *Analysis*: For the Central Act in question, the GCA definition governs. Under **Section 3(22)**, a thing is done in good faith if done **honestly, whether negligently or not**. Negligence does *not* by itself negate good faith under the GCA. (Only if the statute were the **IPC**, whose own definition requires *due care and attention*, would negligence defeat good faith.) *Conclusion*: Under the GCA standard, the officer acted in good faith despite the negligence; the protection holds.

**Scenario 5 — Service by post presumed effected (Section 27).** *Facts*: A company sends a statutory notice to a member by **registered post**, correctly addressed and pre-paid. The member later claims he "never received it" and the notice is invalid. *Analysis*: The Act requires service "by post." Under **Section 27**, service is **deemed effected** by correctly addressing, pre-paying and posting by registered post; and deemed to occur when the letter would arrive in the ordinary course — **unless the contrary is proved**. A bare denial of receipt is generally not enough to rebut the presumption without cogent evidence. *Conclusion*: Service is presumed valid; the burden lies on the member to prove non-delivery. His unsupported denial likely fails.

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## 6. Procedure / Compliance summary — how to use the GCA when reading any Act

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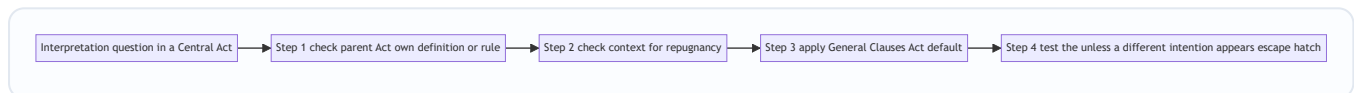
The GCA is not "complied with" like a filing requirement; it is *applied* as an interpretive tool. The disciplined method:

1. **Read the operative provision** in the Central Act you are working with (e.g., a Companies Act section).



2. **Spot the machinery word or question** — a defined term ("person," "month," "immovable property"), a timing phrase ("within...from..."), a repeal, or a service requirement.
3. **Check the parent Act first.** Does *that* Act define the term or answer the question itself? If yes → the special provision **overrides** the GCA. (Companies Act 2013 examples: "financial year" in Section 2(41), "person"-related terms in Section 2.)
4. **Check the context.** Is the GCA's default meaning *repugnant* to the subject or context? If clearly yes → context prevails.
5. **Otherwise apply the GCA default** — the Section 3 definition, or the relevant construction rule (Ss. 5–27).
6. **Watch the "unless a different intention appears" escape hatch** in Sections 6, 21, 27, etc. — always ask whether the specific Act has displaced the default.

*Decision order — special provision beats general default.*



## 7. Connections — where the GCA plugs into the rest of the syllabus

- **Companies Act 2013 (the whole paper).** Every undefined common word in the 2013 Act draws its meaning from the GCA — "person," "document," "month," "immovable property," "good faith," "registered," "writing." When a Companies Act section sets a deadline "within X days from," you compute it with **Sections 9 and 10**. When a notice must be "served by post," **Section 27** governs the presumption.
- **Interpretation of Statutes (companion chapter).** The GCA is the *statutory* limb of interpretation; the common-law rules (literal, golden, mischief, harmonious construction; internal/external aids) are the *judicial* limb. Together they form the complete toolkit. The GCA supplies fixed defaults; the interpretation rules resolve genuine ambiguity the GCA does not touch.
- **The Constitution.** Section 26 (no double punishment) mirrors **Article 20(2)** (double jeopardy). Section 5 (commencement on assent) connects to the President's assent power under **Article 111**.
- **Limitation Act, 1963.** Section 10's proviso *carves out* Limitation-Act matters, which have their own holiday rule (Section 4 of that Act). Know the boundary.
- **General procedure across all Central Acts** — FEMA, LLP Act, IBC, etc. — all inherit the GCA defaults, making this chapter's payoff far larger than its size.

## 8. Traps & Examiner Tricks

1. **"Financial year" trap.** The GCA says financial year starts **1st April (Section 3(21))** — but the **Companies Act 2013 has its OWN definition in Section 2(41)**. For company-law questions, the special definition governs; the GCA fills only where the Act is silent. Examiners test whether you know special beats general.
2. **"Good faith" — honesty vs. due care.** GCA = **honest, negligence irrelevant**. IPC = **due care and attention required**. The examiner presents a negligent-but-honest actor and asks which standard applies — answer depends on *which* Act governs the matter.
3. **"From" and "to" (Section 9).** Students routinely include the first day. Remember: **"from" excludes the first day; "to" includes the last day**. A single day's error flips the answer.



4. **Section 10 does NOT apply to Limitation-Act matters.** Don't blindly extend "office closed → next open day" to every deadline; the Limitation Act 1963 governs its own matters (its Section 4).
  5. **"Month" = calendar month, not 30 days (Section 3(35)).** "One month from 15th January" ends **15th February**, not "January 15 + 30 days." A trap when a February is involved.
  6. **Section 6 "unless a different intention appears."** The 5 survivors of repeal are a *default*. If the repealing Act expressly ends pending proceedings, Section 6 yields. Never state Section 6 as absolute.
  7. **Section 26 — prosecuted vs. punished.** You *may be prosecuted under multiple laws* but **not punished twice**. Students wrongly say "cannot be prosecuted under two Acts." The bar is on double *punishment*, not double *prosecution*.
  8. **Section 27 — "unless the contrary is proved."** The *time* of service is a **rebuttable** presumption. Don't call it conclusive.
  9. **GCA governs only CENTRAL Acts/Regulations (and Ordinances via Section 30).** State laws follow their own State General Clauses Acts. Don't apply the Central GCA to a State statute.
  10. **The GCA is a default, not a command.** Its recurring phrase — "unless there is anything repugnant in the subject or context" / "unless a different intention appears" — means the parent Act and context always win. Treating GCA meanings as mandatory-everywhere is the deepest error.
  11. **Section 21 vs. quasi-judicial orders.** Power to make rules/notifications includes power to amend/rescind — but this does **not** let an authority casually reopen a *quasi-judicial* order once passed.
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## 9. First-Principles Recap — rebuild the whole chapter from one idea

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Start from a single frustration: **every statute needs the same boring machinery** — a dictionary of common words and a rulebook for timing, repeal, and service. Copying that machinery into each Act would cause **bloat, contradiction, and exploitable gaps**.

The fix: **write the machinery once, in a meta-law, and make it the silent default behind every Central Act — overridable whenever the specific Act speaks.** That meta-law is the **General Clauses Act, 1897**.

From that one idea, everything follows: - **A default dictionary (Section 3)** — so "person" covers companies, "month" means a calendar month, "good faith" means honesty, and every Central Act reads consistently. - **Commencement rule (Section 5)** — assent fixes the start moment, so no law floats in limbo. - **Repeal-survival (Section 6)** — because repeal must change the *future*, not erase the *finished past*; otherwise every modernisation is an amnesty. The **5 survivors**: no-revival, previous operation, accrued rights, incurred penalties, pending proceedings. - **Timing arithmetic (Sections 9 & 10)** — "from" excludes, "to" includes; a closed office on the last day forgives you to the next open day — so deadlines are certain and diligence isn't punished by the calendar. - **Economy rules (Sections 13, 14, 16, 21, 22)** — "he" includes "she," singular includes plural, powers are continuing and amendable — so statutes stay compact yet complete. - **Fair-process rules (Sections 26, 27)** — no double punishment; postal service is presumed once you post correctly — so process is fair to both sides.

And over all of it hangs the master switch: **"unless a different intention appears."** The GCA never overrides a statute that speaks for itself; it only fills silences. That is why it is called an **aid to interpretation** — the invisible layer that makes every other Indian Central Act complete.

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## 10. Quick-Revision Sheet

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Key sections at a glance:

| Section      | Topic                      | One-line rule                                                                                                                                  |
|--------------|----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1</b>     | Short title & extent       | "General Clauses Act, 1897"; extends to whole of India.                                                                                        |
| <b>3</b>     | Definitions                | ~65 default meanings for all Central Acts, <b>unless context repugnant</b> .                                                                   |
| <b>3(21)</b> | Financial Year             | Year commencing <b>1st April</b> (Companies Act Sec 2(41) overrides for company law).                                                          |
| <b>3(22)</b> | Good Faith                 | Done <b>honestly, whether negligently or not</b> (contrast IPC = due care).                                                                    |
| <b>3(23)</b> | Government                 | Includes <b>both Central and State</b> Government.                                                                                             |
| <b>3(26)</b> | Immovable Property         | Includes land, benefits from land, things attached to earth.                                                                                   |
| <b>3(35)</b> | Month                      | Reckoned by the <b>British/Gregorian calendar</b> (not 30 days).                                                                               |
| <b>3(36)</b> | Movable Property           | Everything <b>except</b> immovable property.                                                                                                   |
| <b>3(38)</b> | Offence                    | Any <b>act or omission</b> punishable by law in force.                                                                                         |
| <b>3(42)</b> | Person                     | <b>Includes company, association, body of individuals</b> , incorporated or not.                                                               |
| <b>3(66)</b> | Year                       | Reckoned by the <b>British calendar</b> (1 Jan–31 Dec).                                                                                        |
| <b>5</b>     | Commencement               | If Act silent, in force on the day of <b>assent</b> ; effective from start of that day.                                                        |
| <b>6</b>     | Effect of repeal           | 5 survivors: no-revival / previous operation / accrued rights / incurred penalties / pending proceedings — <b>unless different intention</b> . |
| <b>6A</b>    | Repeal of amending Act     | Amendment already made is <b>not undone</b> .                                                                                                  |
| <b>7</b>     | Revival                    | Must be <b>expressly</b> stated.                                                                                                               |
| <b>8</b>     | References to repealed Act | Read as reference to <b>corresponding re-enacted provision</b> .                                                                               |
| <b>9</b>     | "From / To"                | <b>"From"</b> excludes first day; <b>"to"</b> includes last day.                                                                               |
| <b>10</b>    | Office closed              | Act done on <b>next open day</b> is in time — <b>not</b> for Limitation-Act matters.                                                           |
| <b>13</b>    | Gender & number            | Masculine includes feminine; singular includes plural (and vice versa).                                                                        |
| <b>14</b>    | Powers                     | Exercisable <b>from time to time</b> .                                                                                                         |
| <b>16</b>    | Power to appoint           | Includes power to <b>suspend or dismiss</b> .                                                                                                  |
| <b>21</b>    | Power to make              | Includes power to <b>add / amend / vary / rescind</b> (same procedure).                                                                        |
| <b>22</b>    | Anticipatory rules         | Rules may be made <b>before commencement</b> , effective on commencement.                                                                      |
| <b>24</b>    | Continuation               | Rules/orders under repealed law <b>continue</b> under re-enacted law.                                                                          |
| <b>25</b>    | Recovery of fines          | CrPC fine-recovery machinery applies.                                                                                                          |
| <b>26</b>    | Two enactments             | May be <b>prosecuted under either</b> , but <b>not punished twice</b> .                                                                        |
| <b>27</b>    | Service by post            | Deemed effected by correctly <b>addressing + pre-paying + registered posting</b> ; time = ordinary course, <b>rebuttable</b> .                 |

| Section | Topic      | One-line rule                      |
|---------|------------|------------------------------------|
| 30      | Ordinances | GCA rules apply to Ordinances too. |

#### Time-limits / thresholds table:

| Item                                      | GCA rule                                                       |
|-------------------------------------------|----------------------------------------------------------------|
| First day of a period expressed by "from" | <b>Excluded</b> (Section 9).                                   |
| Last day of a period expressed by "to"    | <b>Included</b> (Section 9).                                   |
| Last day is a holiday / office closed     | Do it on the <b>next open day</b> = in time (Section 10).      |
| Section 10 exception                      | Does <b>not</b> apply to Limitation Act, 1963 matters.         |
| "Month"                                   | <b>Calendar month</b> (Section 3(35)).                         |
| "Year" / "Financial Year"                 | Calendar year / <b>1 April</b> -start year (Ss. 3(66), 3(21)). |
| Commencement when Act silent              | Day of <b>assent</b> (Section 5).                              |
| Repeal survivors                          | <b>5 things</b> protected under Section 6(a)–(e).              |
| Double punishment                         | <b>Barred</b> ; double prosecution permitted (Section 26).     |

**Master mnemonics:** - **GCA = Dictionary + Rulebook**, both **default only** ("unless a different intention appears"). - **Section 6 survivors** — "*No zombies, Past stands, Rights kept, Penalties due, Cases go on.*" - **Section 9** — "*From = First out, To = Terminal in.*" - **Section 27** — "*Address + Pre-pay + Registered post = served.*"

Exam note: where this chapter gives a Section 3 sub-clause number, **confirm the exact clause number against the current bare Act / ICAI study material**, as sub-clause numbering is renumbered across editions; the *principle* of each definition is stable and is what carries marks.

# Q&A — The General Clauses Act 1897

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Exam-oriented question bank for CA Intermediate — Corporate & Other Laws. Every question is followed by a complete model answer with the exact Section cited. Statute referenced: **The General Clauses Act, 1897** (with cross-references to the Companies Act, 2013 where relevant). No invented provisions.

## SECTION A — Concept-Check Questions (with answers)

---

**A1. What is the object and utility of the General Clauses Act, 1897? Answer:** The General Clauses Act, 1897 is an "interpretation Act." Its object is to (a) shorten the language of Central legislation by avoiding repetition of definitions and standard provisions, (b) provide uniform definitions of recurring words and expressions, (c) state rules of construction to guard against slips and mistakes, and (d) preserve accrued rights when statutes are repealed. It applies to all Central Acts and Regulations unless a **different intention appears** in the enactment concerned (Sections 3 and 4).

**A2. Define "financial year" under the General Clauses Act. Answer:** Under **Section 3(21)**, "financial year" means the year commencing on the **1st day of April**. This is distinct from a "year" which, under **Section 3(66)**, means a year reckoned according to the British calendar (1 January to 31 December).

**A3. How is "month" defined and why does it matter? Answer:** Under **Section 3(35)**, "month" means a month reckoned according to the **British calendar**. Therefore a month runs from a date in one calendar month to the corresponding date in the next, not as 30 days. E.g., a period of one month from 15 January ends on 15 February.

**A4. Distinguish "immovable property" and "movable property" as defined. Answer:** **Section 3(26)** — "immovable property" includes land, benefits to arise out of land, and things attached to the earth or permanently fastened to anything attached to the earth. **Section 3(36)** — "movable property" means property of every description **except immovable property**.

**A5. What do Sections 3(7), 3(22) and 3(60) define regarding "Government"? Answer:** **Section 3(7)** defines "Central Government," **Section 3(60)** defines "State Government," and **Section 3(23)** deals with Government securities. "Government" (Section 3(23))... "Government" per 3(23) is Government securities; "Government" itself under 3(23)? — precisely, **Section 3(23)** = "Government/Govt." includes both Central and State Government. These uniform definitions save every Central Act from re-defining who exercises executive power.

**A6. State the rule of construction regarding gender and number. Answer:** Under **Section 13**, in every Central Act and Regulation, unless a contrary intention appears — (1) words importing the **masculine gender** shall be taken to include females; and (2) words in the **singular** shall include the plural, and vice versa.

**A7. What does Section 9 lay down about the words "from" and "to"? Answer:** **Section 9** provides that in any Central Act/Regulation, to exclude the first day in a series of days or a period, the word **"from"** is used, and to include the last day the word **"to"** is used. Effect: "from" excludes the opening day; "to" includes the closing day.

---

## SECTION B — Applied Scenario Questions (Facts → Legal Analysis → Conclusion)

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**B1.** A notice under a Central Act must be given "within 15 days from 1st March." Mr. X gives it on 16th March. Is it in time? **Answer (Facts → Analysis → Conclusion):** - **Facts:** Period of 15 days computed "from 1st March"; notice served 16th March. - **Analysis:** **Section 9** states that the word "from" **excludes** the first day. Hence 1st March is excluded and counting begins on 2nd March. Fifteen days therefore run 2nd–16th March, so the 15th day is 16th March. - **Conclusion:** The notice given on 16th March is **within time** and valid.

**B2.** A statutory application had to be filed "within one month" from 30th January. The office was closed on the last day. When can it validly be filed? **Answer:** - **Facts:** Limitation of "one month" from 30th January; last day a holiday. - **Analysis:** "Month" = British calendar month (**Section 3(35)**), so one month from 30th January expires on the corresponding date in February. As February has no 30th, it expires on the last day of February. Under **Section 10**, where an act is allowed to be done within a prescribed period and the **court/office is closed** on the last day, the act may be done on the **next day it is open**. (Note: Section 10 excepts the Limitation Act, 1963 which has its own s.4.) - **Conclusion:** The application filed on the next working day after the closed last day is **valid**.

**B3.** A Central Act empowers the Government to "issue a notification fixing rates." Later the Government wants to amend those rates. Does it need fresh statutory authority? **Answer:** - **Facts:** Power to issue notification given; Government now wishes to amend/rescind. - **Analysis:** Under **Section 21**, where a Central Act confers power to issue notifications, orders, rules or bye-laws, that power **includes** a power, exercisable in the like manner and subject to like conditions, to **add to, amend, vary or rescind** the notification, order, rule or bye-law. - **Conclusion:** No fresh authority is needed; the Government may amend or rescind the rates under Section 21, following the same procedure as for the original notification.

**B4.** An authority is empowered "to appoint" an officer to a post. Can the same authority suspend or dismiss that officer? **Answer:** - **Facts:** Power "to appoint" conferred; question of power to suspend/dismiss. - **Analysis:** **Section 16** provides that where a Central Act/Regulation confers power to make an appointment, the authority having such power shall, unless a different intention appears, also have the power to **suspend or dismiss** the person appointed. (Complementarily, **Section 15** allows appointment by name or by virtue of office.) - **Conclusion:** The appointing authority also possesses the power to suspend or dismiss the officer.

**B5.** A repealed Act had imposed a penalty on Mr. Y for a contravention committed before repeal. After repeal, can proceedings still continue? **Answer:** - **Facts:** Contravention and liability accrued under an Act later repealed. - **Analysis:** Under **Section 6**, unless a different intention appears, repeal does not — (a) revive anything not in force; (b) affect the previous operation of the repealed enactment or **anything duly done**; (c) affect any **right, privilege, obligation or liability acquired, accrued or incurred**; (d) affect any **penalty, forfeiture or punishment** incurred; or (e) affect any investigation, legal proceeding or remedy — which may be continued as if the repealing Act had not been passed. - **Conclusion:** The penalty and proceedings against Mr. Y **survive the repeal** and may be continued under Section 6.

**B6.** A notice under the Companies Act, 2013 is sent by registered post, properly addressed and stamped. The addressee claims he never received it. Is service proved? **Answer:** - **Facts:** Notice properly addressed, pre-paid and posted by registered post; non-receipt alleged. - **Analysis:** **Section 27** of the General Clauses Act provides that where any Act requires a document to be served "**by post**," service is deemed effected by properly addressing, pre-paying and posting the letter, and unless the contrary is proved, service is deemed to be effected at the time the letter **would be delivered in the ordinary course of post**. This aligns with

service provisions under Section 20 of the Companies Act, 2013. - **Conclusion:** Service is presumed to be validly effected; the burden shifts to the addressee to prove non-delivery.

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## SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. Explain the effect of repeal of an enactment under Section 6 of the General Clauses Act, 1897.**

**Model Answer:** Section 6 protects the past operation of a repealed law. Where any Central Act or Regulation is repealed, then unless a different intention appears, the repeal shall **not**: (a) revive anything not in force at the time of repeal; (b) affect the previous operation of the repealed enactment or anything duly done or suffered thereunder; (c) affect any right, privilege, obligation or liability acquired, accrued or incurred under it; (d) affect any penalty, forfeiture or punishment incurred in respect of any offence committed against it; or (e) affect any investigation, legal proceeding or remedy in respect of such right, liability, penalty or forfeiture. Such proceedings may be instituted, continued or enforced as if the repealing Act had not been passed. The provision thus safeguards **vested/accrued rights and pending actions** and prevents a repeal from operating retrospectively to defeat them.

**C2. Write short notes on: (i) "Coming into operation of enactments" and (ii) "Effect of repeal of a repealing Act." Model Answer:**

(i) **Section 5** — Where any Central Act is not expressed to come into operation on a particular day, it comes into operation on the day it receives the **assent of the President** (for Acts passed after commencement of the Constitution). Thus the date of enforcement is fixed unless the Act itself provides otherwise. (ii) **Section 7 & Section 6A** — Under **Section 7**, to revive a repealed enactment, express words are required; a repeal does not automatically revive earlier repealed law. Under **Section 6A**, where a Central Act repeals any enactment by which the text of any Central Act was **amended** by express omission, insertion or substitution, the repeal shall not affect the continuance of the amendment already made unless a contrary intention appears.

**C3. Explain the rules relating to computation of time under Sections 9 and 10. Model Answer:** **Section 9** governs the exclusion/inclusion of terminal days: the word **"from"** excludes the first day of a period, and the word **"to"** includes the last day. **Section 10** deals with acts to be done within a prescribed period: if the last day on which an act (proceeding in a court or office) may be done is a day when the court/office is **closed**, the act is deemed done in time if done on the **next day the court/office reopens**. However, Section 10 does **not** apply to any act to which the **Limitation Act, 1963** applies, since that Act contains its own provision (Section 4). Together these sections ensure fairness in reckoning statutory periods.

**C4. Discuss the rule of construction that "power to make includes power to add, amend, vary or rescind" and its practical significance for delegated legislation. Model Answer:** **Section 21** codifies a fundamental rule for subordinate/delegated legislation: where a Central Act or Regulation confers a power to issue **notifications, orders, rules or bye-laws**, that power carries with it an implied power to **add to, amend, vary or rescind** any such instrument, exercisable in the **like manner and subject to like sanction and conditions** as the original power. Practical significance: the executive need not seek fresh legislative authority each time a subordinate instrument requires modification; but the power to amend is **co-extensive** with the power to make — it must follow the same procedure (e.g., previous publication, consultation) that governed the original. This provides both flexibility and procedural discipline in administrative rule-making.

**C5. State the rules of construction contained in Sections 13, 14 and 15 of the Act. Model Answer: -**

**Section 13 (Gender and number):** Masculine includes feminine; singular includes plural and vice versa — unless a contrary intention appears. - **Section 14 (Powers exercisable from time to time):** Where a Central



Act confers a power, that power may be exercised **from time to time as occasion requires**, unless a different intention appears. Thus a power once used is not exhausted. - **Section 15 (Power to appoint):** Where power is given to appoint a person to fill an office or execute a function, the appointment may be made either by **name or by virtue of office**. These uniform construction rules avoid repetitive drafting and prevent narrow interpretations that would frustrate the statute's purpose.

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## SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

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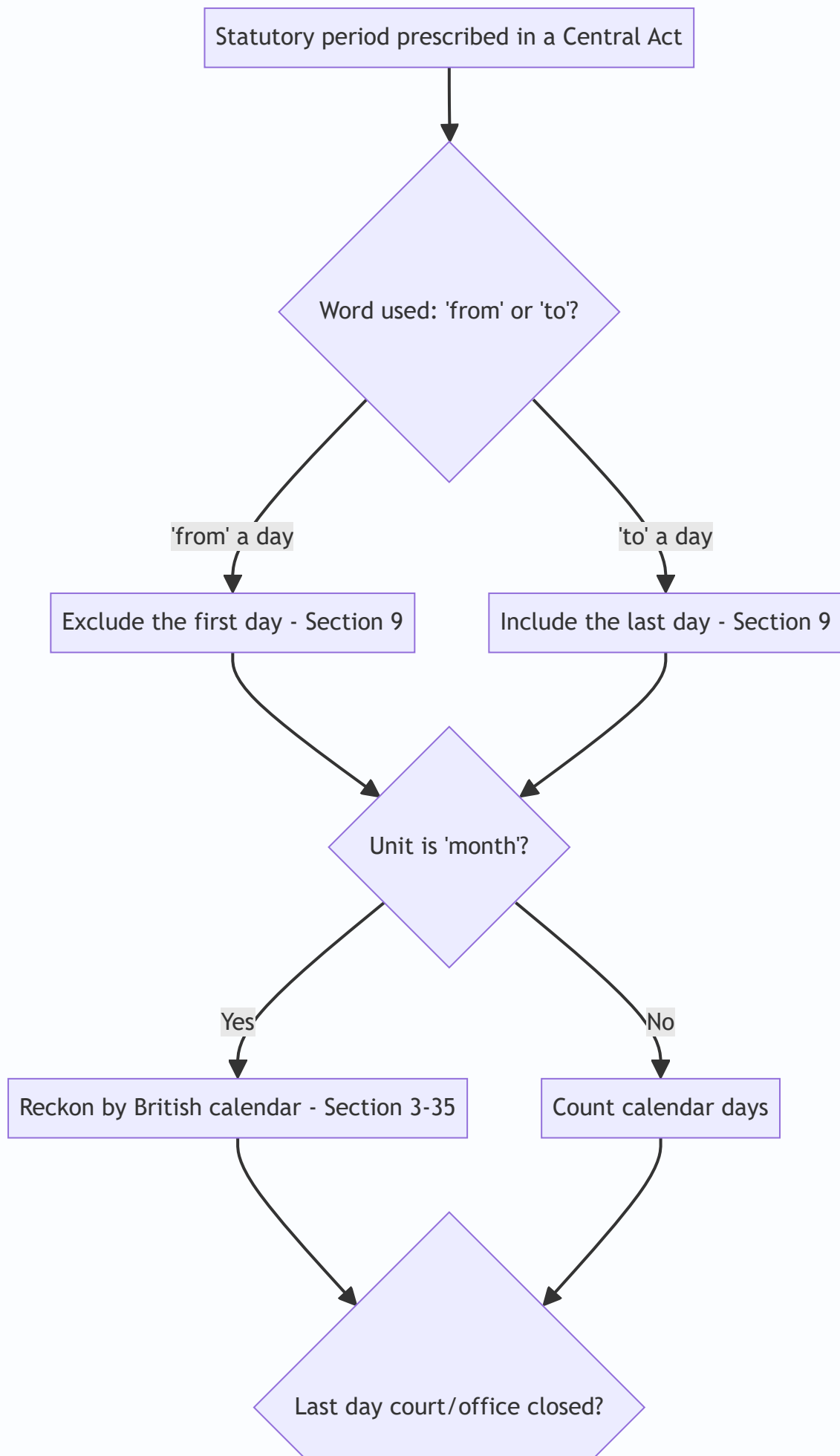
- D1.** "Financial year" under the General Clauses Act commences on: (a) 1 January (b) 1 April (c) 1 July (d) 1 October **Answer: (b) 1 April.** *Reason:* Section 3(21) defines financial year as the year commencing on 1st April.
- D2.** The word "month" means: (a) 30 days (b) 28 days (c) a month per the British calendar (d) a lunar month **Answer: (c) a month per the British calendar.** *Reason:* Section 3(35) reckons a month by the British calendar, not fixed days.
- D3.** In a Central Act, the word "from" a specified day: (a) includes that day (b) excludes that day (c) includes only if a holiday (d) depends on context **Answer: (b) excludes that day.** *Reason:* Section 9 provides "from" excludes the first day and "to" includes the last day.
- D4.** Power to issue a notification includes the power to amend or rescind it under: (a) Section 6 (b) Section 16 (c) Section 21 (d) Section 27 **Answer: (c) Section 21.** *Reason:* Section 21 confers implied power to add to, amend, vary or rescind such instruments.
- D5.** A repeal does **not** affect any right accrued under the repealed Act. This is provided by: (a) Section 5 (b) Section 6 (c) Section 7 (d) Section 8 **Answer: (b) Section 6.** *Reason:* Section 6 preserves accrued rights, liabilities, penalties and pending proceedings.
- D6.** Service "by post" is deemed effected when the letter would be delivered in the ordinary course of post, under: (a) Section 25 (b) Section 26 (c) Section 27 (d) Section 3(39) **Answer: (c) Section 27.** *Reason:* Section 27 raises a rebuttable presumption of service on proper addressing, pre-paying and posting.
- D7.** Where power is conferred to make an appointment, the same authority may also suspend or dismiss the appointee. This flows from: (a) Section 14 (b) Section 15 (c) Section 16 (d) Section 21 **Answer: (c) Section 16.** *Reason:* Section 16 attaches power to suspend/dismiss to the power to appoint.
- D8.** A Central Act silent on its commencement comes into force on: (a) date of gazette printing (b) date of Presidential assent (c) 1 April following (d) date of introduction **Answer: (b) date of Presidential assent.** *Reason:* Section 5 fixes the assent date as the commencement date absent a contrary provision.
- D9.** Movable property under Section 3(36) means: (a) only goods (b) property of every description except immovable property (c) shares only (d) currency only **Answer: (b) property of every description except immovable property.** *Reason:* Section 3(36) defines it residually against immovable property in Section 3(26).
- D10.** A power conferred by a Central Act, unless a contrary intention appears, may be exercised: (a) only once (b) from time to time as occasion requires (c) within one year only (d) only by the Central Government **Answer: (b) from time to time as occasion requires.** *Reason:* Section 14 makes statutory powers recurrently exercisable.
-

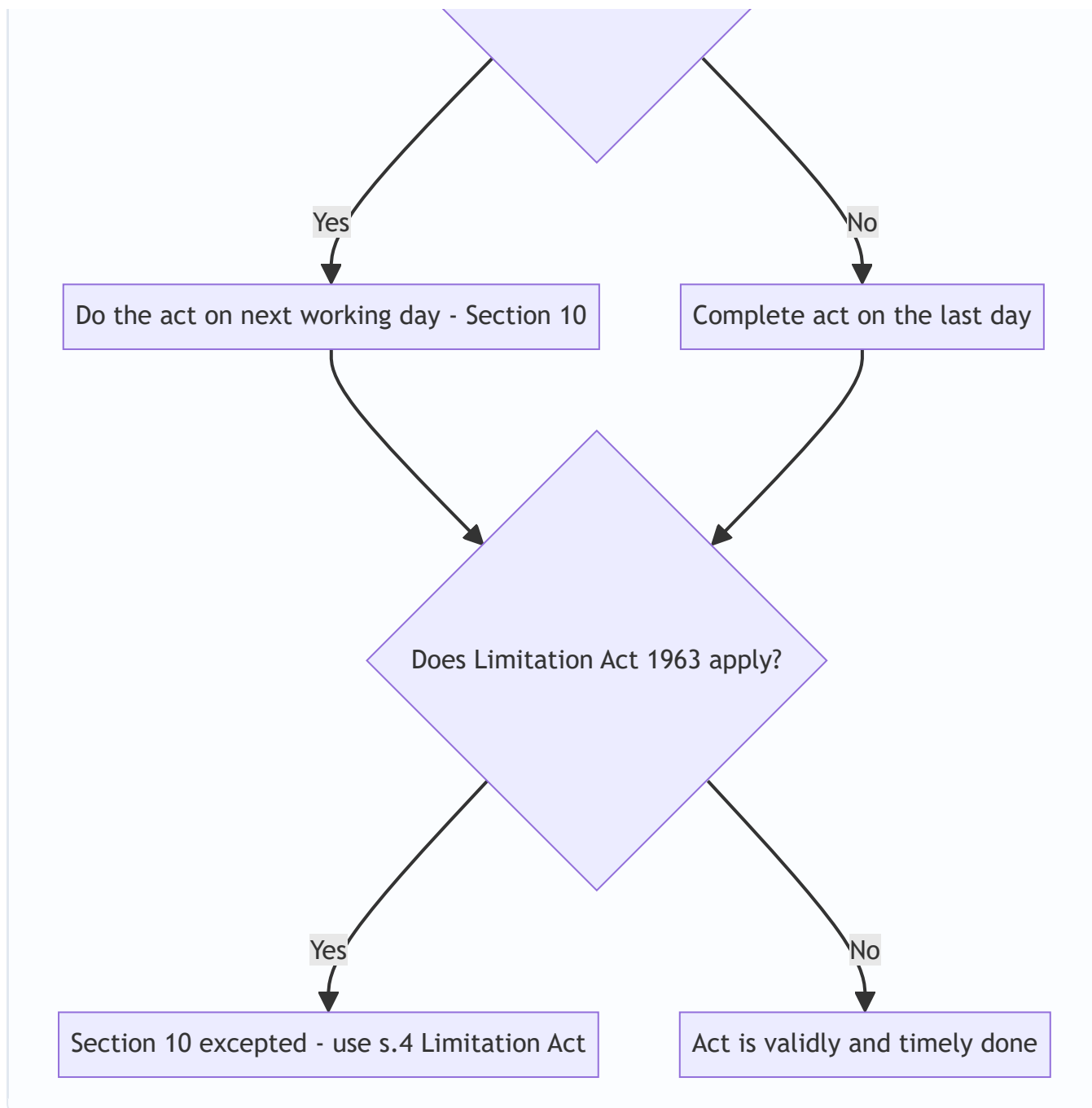


## **Mermaid Diagram — Applying the General Clauses Act to a Statutory Time**









## Quick-Revision Pointers (Section-linked)

- **Definitions:** Financial year — 1 April (**3(21)**); Year — British calendar (**3(66)**); Month — British calendar (**3(35)**); Immovable property (**3(26)**); Movable property (**3(36)**); Person — includes company/association (**3(42)**).
- **Commencement & Repeal:** Enforcement on assent (**5**); Effect of repeal — saves accrued rights (**6**); Repeal of textual-amendment Act (**6A**); Revival needs express words (**7**); References to repealed enactments read as re-enacted law (**8**).
- **Time:** "From" excludes / "to" includes (**9**); Closed last day → next open day, except Limitation Act (**10**).
- **Construction:** Gender & number (**13**); Power exercisable from time to time (**14**); Appointment by name/office (**15**); Power to appoint includes suspend/dismiss (**16**); Power to make includes amend/rescind (**21**).

- **Service:** Deemed service by post (**27**).
- **Golden rule:** All above apply "**unless a different intention appears**" (**Sections 3 & 4**) — the parent Act always prevails.

# Chapter 13 — Interpretation of Statutes

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## 1. The Problem — Why can't we just "read" the law?

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Imagine Parliament passes a law that says: "*No vehicle shall be allowed in the public park.*" Clean sentence. Ten words. Everyone understands it.

Now watch it break.

- A father wheels his toddler in a **pram**. Is a pram a "vehicle"?
- An ambulance races in to save a collapsed jogger. Is the ambulance banned?
- The park committee wants to mount a **decommissioned army tank** on a concrete plinth as a war memorial. It has wheels, an engine. Is it a "vehicle"?
- A child rides a **skateboard**. A **bicycle**? A **battery scooter**?

Suddenly the "obvious" sentence is a minefield. The lawmaker who wrote it never imagined a war-memorial tank. The words on the page are a *frozen snapshot* of an intention — but life keeps generating new situations the words never anticipated.

Here is the deeper problem. When a dispute reaches a judge, the judge is stuck between two failures:

1. **Read too literally** and you get absurd results — the ambulance is banned, the injured jogger dies. You honour the *words* but betray the *purpose*.
2. **Read too freely** and every judge becomes a mini-legislator, inventing whatever meaning suits the case. Two judges, same statute, opposite answers. The law becomes unpredictable, and citizens can no longer know in advance what is legal.

So the real problem is not "what do these words mean?" It is: **How do we find the legislature's intention in a way that is consistent, disciplined, and predictable — so that different judges, on different days, reading the same statute, reach the same answer?**

That discipline is what "Interpretation of Statutes" gives us. It is a *toolbox of rules for reading* — not to let the judge do whatever they like, but precisely to *constrain* the judge, so meaning is discovered, not manufactured.

**Memory hook — "The Vehicle in the Park".** Every rule in this chapter is an answer to some version of the pram/ambulance/tank problem. Whenever a rule feels abstract, ask: *which version of the park problem does this fix?*

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## 2. The Core Idea — Interpretation vs Construction, and the Golden Thread

**Interpretation** is the process of ascertaining the *true, legal* meaning of the words used in a statute.

**Construction** is the process of drawing *conclusions* about cases that lie *beyond* the direct expression of the text — filling the gaps the words leave. In practice the exam uses the two words almost interchangeably, but the flavour differs:

| Term                  | What it does                                        | Park example                                                           |
|-----------------------|-----------------------------------------------------|------------------------------------------------------------------------|
| <b>Interpretation</b> | Finds the meaning of the words actually used        | "Does the word <i>vehicle</i> include a bicycle?"                      |
| <b>Construction</b>   | Deduces the answer for situations words don't cover | "The Act is silent on prams — what result did the legislature intend?" |

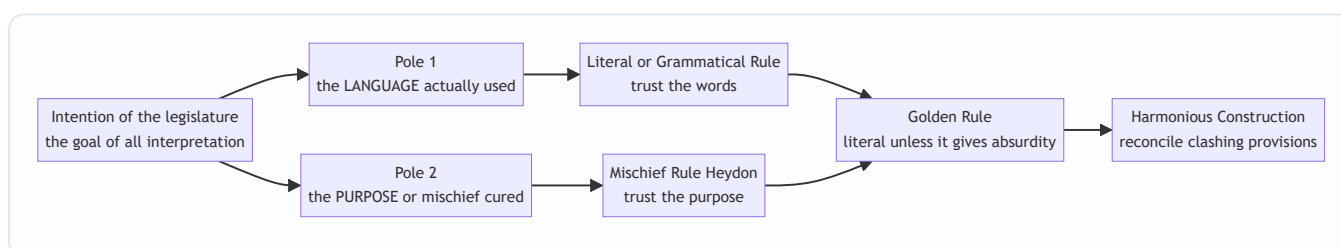
The **golden thread** running through the entire subject — repeat this until it is reflex:

**The object of all interpretation is to discover the *intention of the legislature*, and that intention is primarily gathered from the *language actually used*.**

Notice the tension baked into that single sentence. We want the *intention* (the purpose, the mischief being cured), **but** we look for it first in the *language* (the actual words). The whole chapter is a negotiation between these two poles:

- Lean entirely on **language** → you get the **Literal Rule**.
- Lean entirely on **intention/purpose** → you get the **Mischief Rule**.
- The **Golden Rule** and **Harmonious Construction** are the referees standing in between.

Figure 1 — the two poles interpretation must balance, and where each primary rule sits.



### 3. Why It's Built This Way — the constitutional bargain

Why not just let judges do "justice" freely? Because of a bargain baked into a democracy.

**Separation of powers.** The *legislature* makes law; the *judiciary* applies it. If judges could freely rewrite statutes to reach the outcome they prefer, they would be *making* law — usurping Parliament. So the primary rule (Literal) is deliberately **modest**: it tells the judge "*assume the legislature said exactly what it meant; your job is to read, not to improve.*"

**Predictability and the rule of law.** A citizen must be able to plan their conduct by reading the statute book. If meaning shifted with each judge's sense of fairness, "knowing the law" would be impossible. Rules of interpretation exist to make the *reading* reproducible.

**But language is imperfect.** Words are ambiguous, over-inclusive, under-inclusive, and can't foresee the future (the war-memorial tank). Rigid literalism sometimes produces absurdity or defeats the very object of the Act. So the system layers *escape valves* — the Golden Rule (avoid absurdity) and the Mischief Rule (serve the purpose) — but these are **subordinate**. They activate *only when literal reading fails*. This ordering is the whole architecture: start modest, escalate only when forced.



Think of it as a **hierarchy of trust**: trust the plain words first; distrust them only when they produce nonsense or defeat the statute's evident aim.

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## 4. Full Technical Content — the rules, aids, maxims and presumptions (each with its "why")

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### 4.1 The Primary Rules of Interpretation

#### (a) The Literal / Grammatical Rule — "the words are the law"

**The problem it fixes:** the danger of judges inventing meaning. If we always looked past the words to "what the judge thinks was meant," the text would become decorative.

**The rule:** where the language of the statute is *plain and unambiguous*, it must be given effect to, in its **natural, ordinary, grammatical** meaning — *regardless* of whether the result seems harsh or inconvenient. The court presumes the legislature *chose its words deliberately*. You do not add words, subtract words, or read words differently.

Two supporting doctrines live inside the Literal Rule:

- **Casus omissus** — "a case omitted." A matter that should have been, but was *not*, provided for **cannot be supplied by the court**. If Parliament forgot to mention prams, the judge may not silently insert "prams." (Otherwise the judge legislates.)
- **Ut res magis valeat quam pereat** — "let the thing have effect rather than perish." A construction that makes the statute *workable* is preferred over one that makes it a dead letter. The legislature is presumed not to waste words.

**When it applies:** as the **default and first** rule, whenever the words are clear.

**Its weakness (and why more rules are needed):** the plain words can produce absurdity (ambulance banned) or defeat the object. Enter the Golden Rule.

**Hook:** *Literal* = "the letter of the law." Read exactly what is written.

#### (b) The Golden Rule — "literal, unless it turns to nonsense"

**The problem it fixes:** blind literalism producing an *absurd, repugnant, or inconsistent* result that the legislature could not possibly have intended (banning the ambulance).

**The rule:** start with the literal meaning; **but** if that meaning leads to an **absurdity, repugnance, or inconsistency** with the rest of the statute, the court may **modify or depart** from the ordinary meaning *just enough* to avoid the absurdity — and no further. It is the Literal Rule with a *safety valve*.

**Two intensities:** - **Narrow application** — used to choose between *two possible meanings* of an ambiguous word (pick the one that isn't absurd). - **Wider application** — used even where there is only *one* literal meaning, if that meaning is so repugnant the court must strain the language to avoid it.

**When it applies:** when the literal reading is clear *but* the outcome is absurd/repugnant. It is a *correction*, not a free rewrite — the departure must be minimal.

**Classic illustration:** a statute lets a person "inherit" from another; a son murders his mother to inherit. Literally he qualifies. Golden Rule: no one may profit from their own crime — so read the provision as impliedly excluding the murderer, to avoid a repugnant result.

**Hook:** *Golden = "letter of the law, unless it produces lead."* Literal first; bend only to escape absurdity.

### (c) The Mischief Rule (Heydon's Case, 1584) — "cure the disease Parliament targeted"

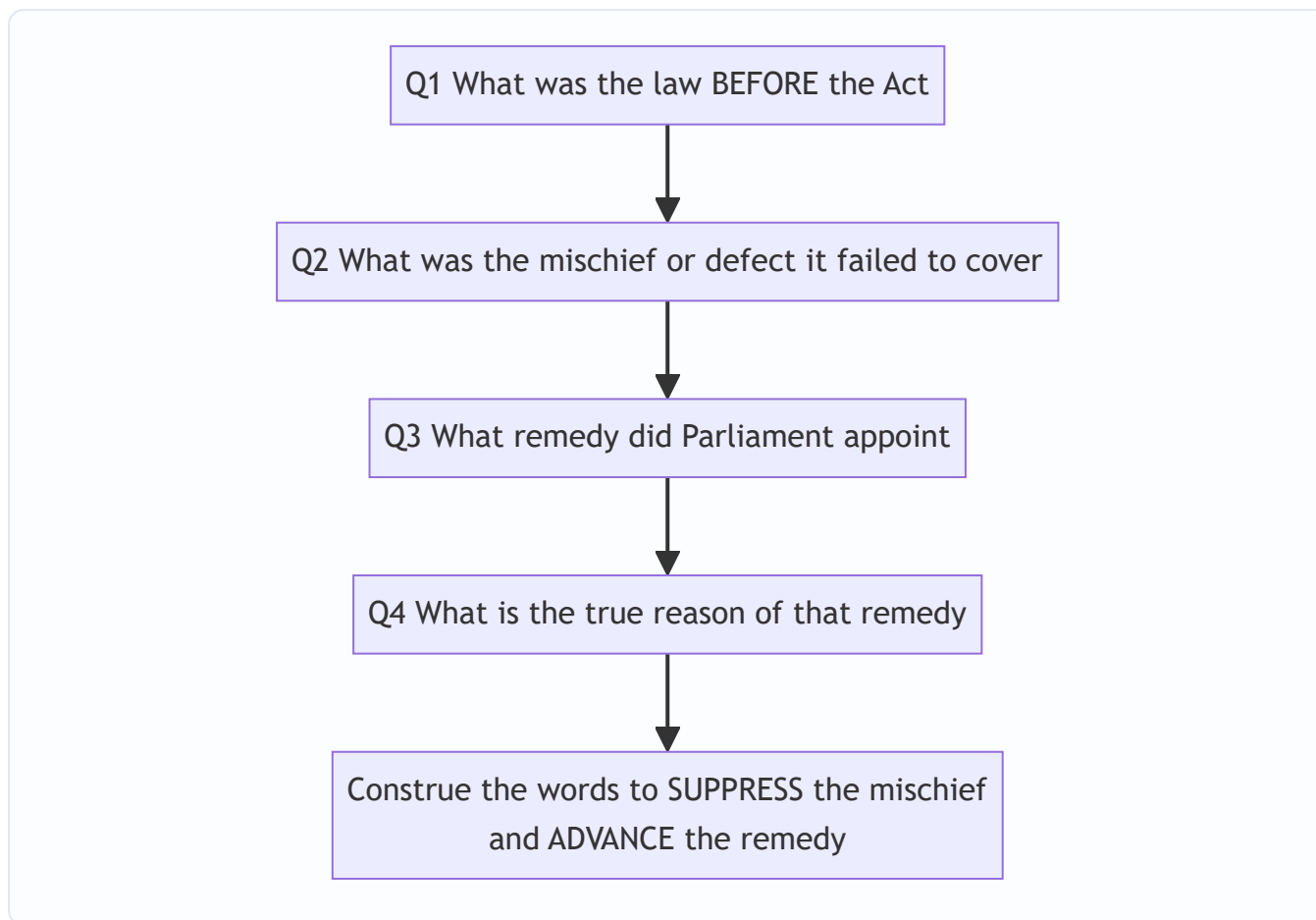
**The problem it fixes:** words that are clear enough but, read literally, *fail to catch the very evil the Act was passed to stop* — or catch things the Act was never aimed at. Here we need the *purpose*.

**The rule:** identify the **mischief** (the defect in the pre-existing law) the statute was designed to remedy, and interpret the words so as to **suppress the mischief and advance the remedy**. From *Heydon's Case*, the court asks **four questions**:

1. **What was the common law (the law) before the Act?**
2. **What was the mischief or defect** for which that law did *not* provide?
3. **What remedy** did Parliament resolve and appoint to cure the mischief?
4. **What is the true reason of the remedy?** — and the judge must then construe the Act to *suppress the mischief and advance the remedy*.

**When it applies:** especially to **remedial / welfare** statutes (labour law, consumer protection, anti-evasion tax provisions) — wherever the point of the Act is to *fix a social evil*, and a literal reading would let the evil slip through.

*Figure 2 — Heydon's four questions as a decision flow.*



**Hook:** *Mischief* = "spirit of the law." Ask "what evil was this Act hunting?" and read the words to catch that prey.

#### (d) Harmonious Construction — "make the parts agree"

**The problem it fixes:** two provisions of the *same* statute (or two statutes) that appear to **contradict** each other. If you obey one you disobey the other.

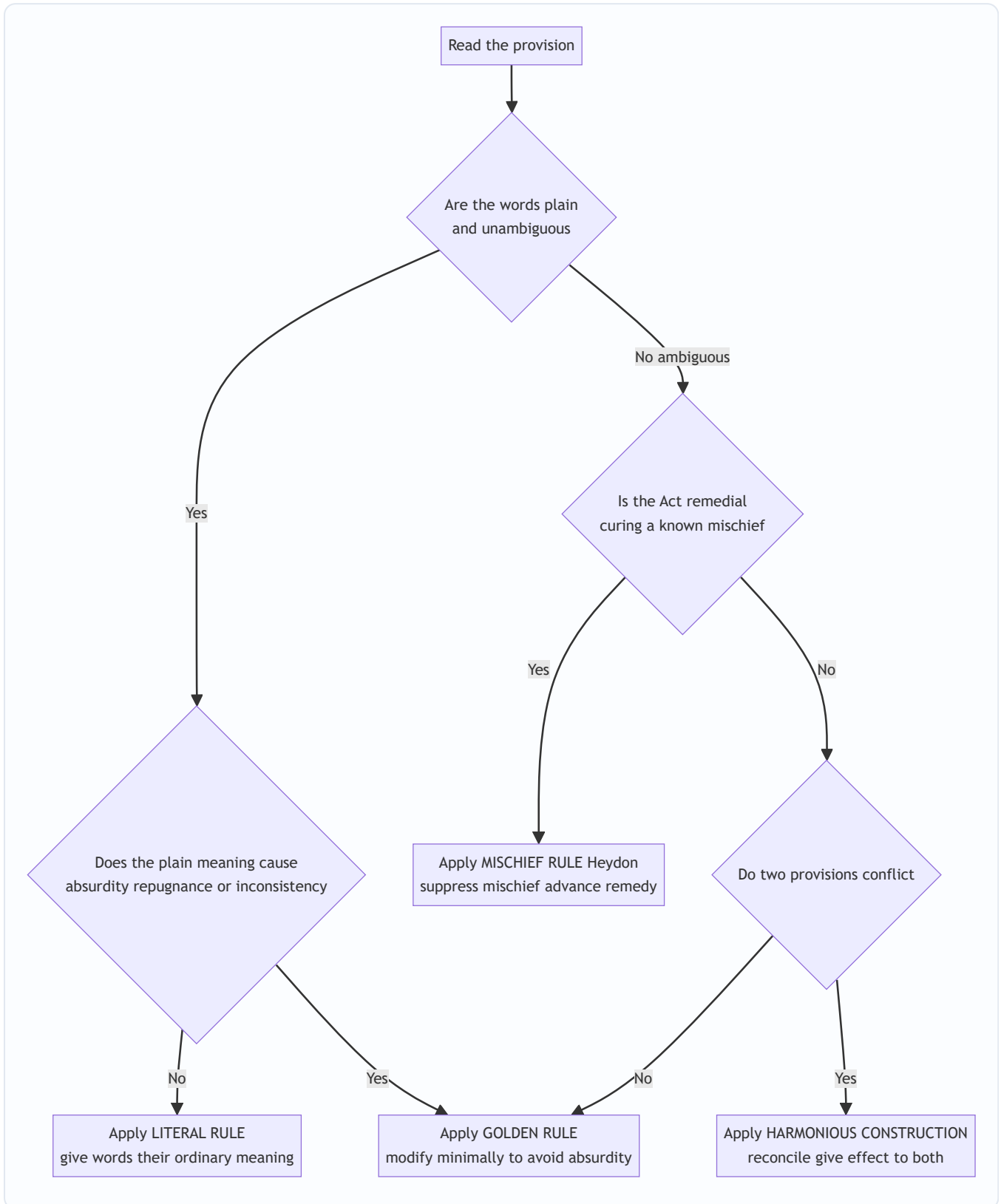
**The rule:** the statute must be read as a *whole*; the court must **reconcile** the conflicting provisions so that **both are given effect** as far as possible. The legislature is presumed *not to contradict itself*. A construction that reduces one provision to a **dead letter (redundant)** is to be avoided. Only if reconciliation is genuinely impossible does one provision yield — and even then the court gives each the widest operation that leaves room for the other.

**Special rule of harmony:** where a **general** provision and a **special** provision clash, the **special prevails** over the general on the subject it specially covers — *generalia specialibus non derogant* ("general things do not derogate from special things").

**When it applies:** internal contradictions; overlapping entries/lists; general-vs-specific conflicts.

**Hook:** *Harmonious* = "make peace, don't pick a fight." Give both provisions a job; kill neither.

Figure 3 — the master decision tree: which primary rule fires?



## 4.2 Internal Aids to Construction (found *inside* the statute)

When words are doubtful, the court first looks *within the four corners of the Act itself*. These are **internal aids** — and each answers a specific doubt.

| Internal aid                              | What doubt it resolves                                              | Key rule / caution                                                                                                                                                                                                            |
|-------------------------------------------|---------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Long Title</b>                         | What is the Act broadly <i>about</i> ?                              | Part of the Act; may be used to understand general scope and object, but cannot override clear enacting words.                                                                                                                |
| <b>Short Title</b>                        | Merely a <i>label</i> for citation (e.g., "The Companies Act 2013") | Only for identification; <b>no interpretive value</b> .                                                                                                                                                                       |
| <b>Preamble</b>                           | The <i>reason and object</i> — the "why" of the Act                 | A key to the maker's mind; useful when enacting words are ambiguous. <b>But</b> where the enacting section is clear, the preamble <b>cannot cut it down</b> .                                                                 |
| <b>Marginal notes / headings</b>          | Quick gist of a section                                             | Generally <b>NOT</b> a legitimate aid (they aren't voted on by the legislature); may be looked at <i>only</i> in case of ambiguity, with great caution.                                                                       |
| <b>Definition / Interpretation clause</b> | The <i>stipulated</i> meaning of a term for that Act                | " <b>means</b> " = exhaustive/restrictive; " <b>includes</b> " = extends/enlarges the ordinary meaning; " <b>means and includes</b> " = exhaustive but broadened; watch for " <b>unless the context otherwise requires</b> ". |
| <b>Proviso</b>                            | Carves out an <i>exception</i> to the main provision                | Deals only with the main provision it is attached to; it <b>qualifies/excepts</b> , it does not <i>enlarge</i> .                                                                                                              |
| <b>Explanation</b>                        | <i>Clarifies</i> or explains the main provision                     | Explains meaning, removes doubt, may fill a gap — but does <b>not</b> widen or contradict the section.                                                                                                                        |
| <b>Illustrations</b>                      | Worked <i>examples</i> of the section                               | Valuable to show application; but cannot <b>modify</b> the language of the section if they conflict with it.                                                                                                                  |
| <b>Schedules</b>                          | Detailed matter (forms, rates, lists)                               | Part of the Act; but the enacting section prevails if a schedule conflicts with it.                                                                                                                                           |
| <b>Punctuation</b>                        | Commas, semicolons                                                  | A <i>minor</i> aid; the meaning must first be gathered from the words. Older statutes were sometimes unpunctuated.                                                                                                            |

**Why the "means vs includes" distinction matters so much** — it is a repeat exam favourite:

- "**means**" → the definition is a *sealed box*. The term means *only* what is listed. Nothing outside gets in. (Restrictive.)
- "**includes**" → the definition is an *open door*. The term keeps its ordinary dictionary meaning **plus** the listed items. (Extensive/enlarging.)
- "**means and includes**" → exhaustive *and* deemed to cover the listed items — comprehensive, treated as a hard-and-fast definition.
- "**unless the context otherwise requires**" → the stipulated meaning is the *default*, but if a particular section's context demands a different meaning, context wins.

#### 4.3 External Aids to Construction (found *outside* the statute)

If internal aids don't settle the doubt, the court may look **outside** the Act — but cautiously, because these are secondary.

- **Dictionaries** — for the ordinary meaning of a word (but the statutory/contextual meaning prevails over the dictionary).

- **Historical background / the state of things when the Act was passed** — to understand the mischief.
- **Statement of Objects and Reasons** and **legislative history / Parliamentary debates** — admissible to understand the *background and mischief*, but **not** as *direct evidence of meaning* of the specific words (a legislator's speech doesn't bind the statute's meaning).
- **Reports of Committees / Commissions** (e.g., a Law Commission report that preceded the Bill) — good evidence of the mischief the Act sought to cure.
- **Earlier and later statutes on the same subject (*statutes in pari materia*)** — Acts dealing with the same matter are read together as one system.
- **Contemporanea expositio** — how a statute was understood *at the time it was passed* (see maxims below).
- **Usage and practice** — long, consistent administrative practice under an old statute can be a guide to its meaning.
- **Foreign decisions** — persuasive only, where the statute is *in pari materia* with the foreign one; Indian conditions and the Constitution prevail.

**Hook — "Inside before Outside."** Internal aids first (Title → Preamble → Definitions → Provisos → Explanations); only then external aids. And *no aid* — internal or external — can override the **plain, clear words** of the enacting provision.

#### 4.4 The Key Maxims (rules of *language*)

These are sub-rules that tell the court how words *keep company* with one another. Each solves a precise ambiguity.

##### (a) *Noscitur a sociis* — "a word is known by the company it keeps"

**Problem:** a word standing among others has an uncertain scope. **Rule:** a word takes colour/meaning from the *surrounding words*. If a doubtful word sits in a list, interpret it consistently with its neighbours. *Example:* in "houses, buildings, and other structures," the word "structures" is coloured by "houses/buildings" — you wouldn't stretch it to a sandcastle.

##### (b) *Ejusdem generis* — "of the same kind" (a *specialised form of noscitur a sociis*)

**Problem:** a statute lists *specific* items and then adds a general catch-all ("... and other **such** things"). Does the catch-all mean *literally anything*, or only things like the listed ones? **Rule:** where **specific words** forming a *distinct genus (category)* are **followed by general words**, the general words are **restricted to the same kind/class (genus)** as the specific ones.

**Conditions for it to apply** (all needed): 1. The statute contains an **enumeration of specific words**; 2. The specific items **constitute a class or genus** (they share a common category); 3. The class is **not exhausted** by the enumeration; 4. **General words follow** the specific ones; 5. There is **no contrary legislative intent**.

*Example:* "cats, dogs, and other animals" in a pet-licensing law → "other animals" means *other domestic pets* (same genus), not lions or whales. **But** if the specific words do **not** form a single genus, *ejusdem generis* does **not** apply, and the general words get their full width.

*Figure 4 — does ejusdem generis apply?*



Specific words followed by general words

Do the specific words  
form a common class or genus

Yes

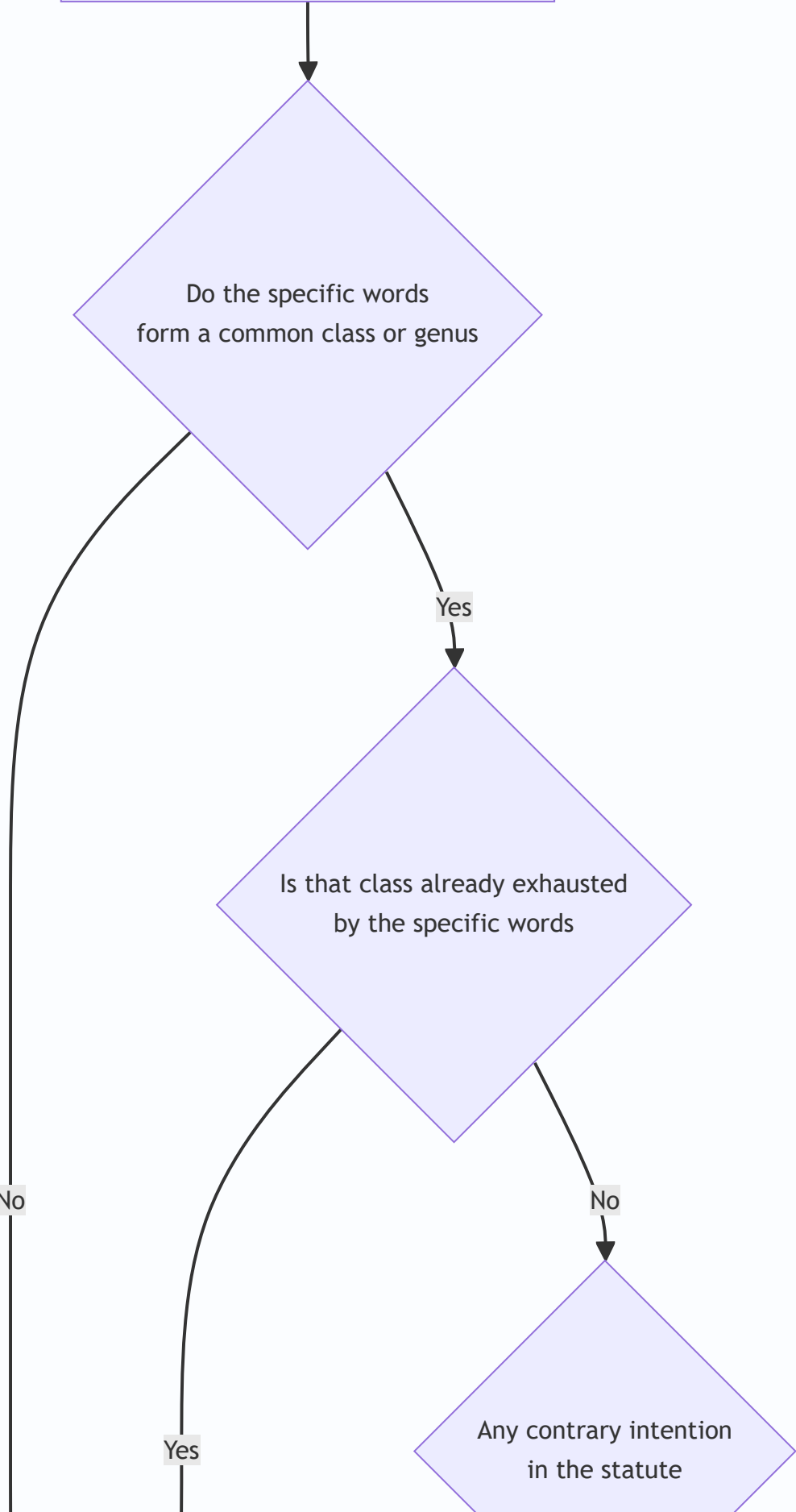
Is that class already exhausted  
by the specific words

No

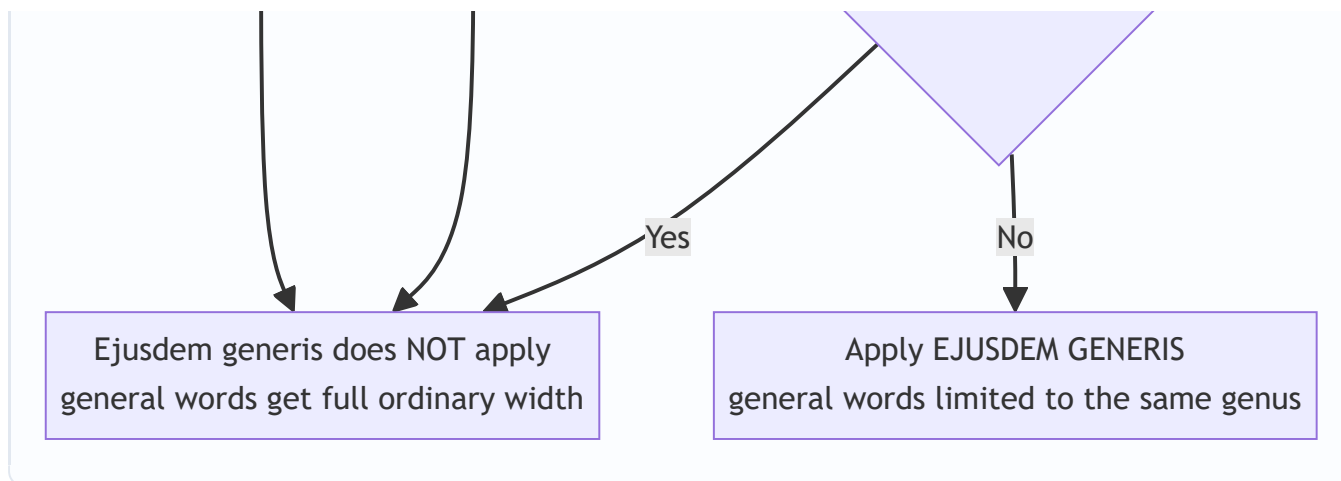
Any contrary intention  
in the statute

No

Yes







### (c) *Expressio unius est exclusio alterius* — "to express one is to exclude the other"

**Problem:** the statute expressly mentions *some* things. Does mentioning them *imply* that unmentioned things are excluded? **Rule:** the *express* mention of one or more things of a class may imply the **exclusion** of others of the same class not mentioned. *Caution (heavily tested):* this is a **weak, unsafe maxim** — a guide, not a command. The omission might be *deliberate exclusion* **or** simply an *oversight/abundant caution*. Apply it only when the mention was clearly meant to be *exhaustive*. *Example:* a rule granting relief to "widows" may, by *expressio unius*, exclude "widowers" — *unless* context shows the omission was accidental.

### (d) *Contemporanea expositio est optima et fortissima in lege* — "contemporaneous exposition is the best and strongest in law"

**Problem:** what did an *old* statute's words mean? **Rule:** the meaning given to a statute *at the time of its enactment*, by those who administered it soon after, is a strong guide to its meaning — usage over long time crystallises meaning. **Caution:** applied mainly to **old/ancient** statutes; it is **not** applied to *modern* statutes, whose words are read in their present sense.

### (e) A few more worth carrying into the exam

- ***Generalia specialibus non derogant*** — special provisions override general ones (the harmony rule seen above).
- ***Reddendo singula singulis*** — "rendering each to each": where a sentence has several subjects and several objects, match each to its appropriate counterpart. *E.g.*, "I devise and bequeath my real and personal property" → *devise* attaches to *real* property, *bequeath* to *personal* property.
- ***Ut res magis valeat quam pereat*** — prefer the construction that makes the statute effective over one that makes it futile.

## 4.5 Presumptions in Interpretation

When the text is silent or doubtful, courts fall back on **default assumptions** about what a rational legislature intends — unless the statute clearly says otherwise. Know these:

| Presumption                                          | The court presumes...                                                                                                                                          | Rebuttable by                                                                        |
|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| <b>Against ousting jurisdiction of courts</b>        | The legislature does <b>not</b> intend to take away the ordinary courts' jurisdiction                                                                          | Clear, express words                                                                 |
| <b>Against retrospective operation</b>               | A statute operates <b>prospectively</b> ; it does <b>not</b> take away vested rights or impose new liabilities for the past — <i>especially</i> penal statutes | Express words or necessary implication (procedural laws are generally retrospective) |
| <b>Against exceeding territory</b>                   | Legislation applies <b>within India</b> only, not extra-territorially                                                                                          | Express extra-territorial provision                                                  |
| <b>Constitutionality</b>                             | The legislature intends a <b>valid, constitutional</b> law; read it to save it if possible                                                                     | Only if unconstitutionality is unavoidable                                           |
| <b>Against absurdity / injustice / inconvenience</b> | The legislature did not intend absurd, unjust or inconvenient results                                                                                          | The plain words compel it                                                            |
| <b>Mens rea in criminal statutes</b>                 | A guilty mind is required for a crime, unless the statute excludes it                                                                                          | Words creating strict/absolute liability                                             |
| <b>Words used in the same sense throughout</b>       | The same word carries the same meaning across the Act                                                                                                          | Contrary context                                                                     |
| <b>Against implied repeal / surplusage</b>           | The legislature wastes no words and does not repeal earlier law by implication                                                                                 | Irreconcilable inconsistency                                                         |

**Strict vs Liberal construction — the presumption that decides tone:** - **Penal and taxing statutes are construed *strictly*.** Why? Because they *hurt* the citizen (jail; money taken). If two readings are possible, the one **favouring the subject** is preferred, and nothing is taxed/punished unless clearly within the letter. The State must speak plainly before it punishes or taxes. - **Remedial / welfare / beneficial statutes are construed *liberally*.** Why? Their purpose is to *help* people; a generous reading advances the remedy (Mischief Rule energy). Ambiguity is resolved in favour of the class the Act protects.

**Hook:** "*Sword statutes narrow, shield statutes wide.*" Laws that wound (penal/tax) are read narrowly; laws that protect (welfare) are read widely.

## 5. Applied Scenarios (exam-style)

**Scenario 1 — The war-memorial tank (Literal vs Golden vs Mischief).** A municipal bye-law: "*No vehicle shall enter the park.*" The committee mounts a decommissioned tank as a memorial. A citizen sues, saying a tank is a "vehicle." - **Literal:** a tank has wheels and an engine → it is a vehicle → banned. But this is *absurd* — a static memorial threatens no one. - **Golden Rule:** modify to avoid absurdity — the bolted-down memorial is not "entering" as a vehicle. - **Mischief Rule (best):** the mischief was *danger and disturbance to park-users from moving traffic*. A static tank causes neither. Read "vehicle" to mean *vehicles used for transport/movement*. Memorial is allowed. **Answer:** applying the Mischief/Golden approach, the tank is permitted; the purpose, not the bare word, controls.

**Scenario 2 — "means" vs "includes" (definition clause).** Act A says "'factory' means any premises where 10 or more workers work with power." Act B says "'worker' includes an apprentice." A dispute: does Act A's "factory" cover a premises with 8 workers but huge output? Does Act B's "worker" cover a trainee not formally an apprentice? - Act A uses **"means"** → *sealed box*. Only premises with 10+ power-workers qualify. 8 workers → **not** a factory, however large the output. Court cannot stretch it (*casus omissus* — the gap can't be judicially filled). - Act B uses **"includes"** → *open door*. "Worker" keeps its ordinary meaning **plus** apprentices; a trainee doing a worker's job can be covered because the definition is *enlarging*, not exhaustive. **Answer:** the drafting verb decides the width.

**Scenario 3 — Ejusdem generis (the catch-all list).** A licensing law requires a permit to keep "*any dog, cat, rabbit or other animal*." X keeps a python and argues no permit is needed because it's a reptile; the department says "other animal" covers everything. - Test the conditions: specific words (dog, cat, rabbit) → do they form a **genus**? Yes — *common domestic pet animals*. The class isn't exhausted; general words follow; no contrary intent. → **Ejusdem generis applies:** "other animal" is limited to *animals of the same kind* (domestic pets). Whether a python fits turns on whether it is a kept domestic pet — but the department **cannot** claim the phrase covers *literally any* creature. **Answer:** the catch-all is confined to the genus of the listed animals, not the entire animal kingdom.

**Scenario 4 — Strict construction of a penal/tax provision.** A tax entry levies duty on "*manufactured tobacco*." The revenue seeks to tax a semi-processed leaf that is arguably not yet "manufactured." - Taxing statute → **strict construction**. If it is genuinely doubtful whether the leaf is "manufactured tobacco," the doubt is resolved **in favour of the assessee** (the subject). Nothing is taxed unless it falls *clearly* within the letter of the charge. **Answer:** absent clear coverage, the levy fails; the State must draft plainly.

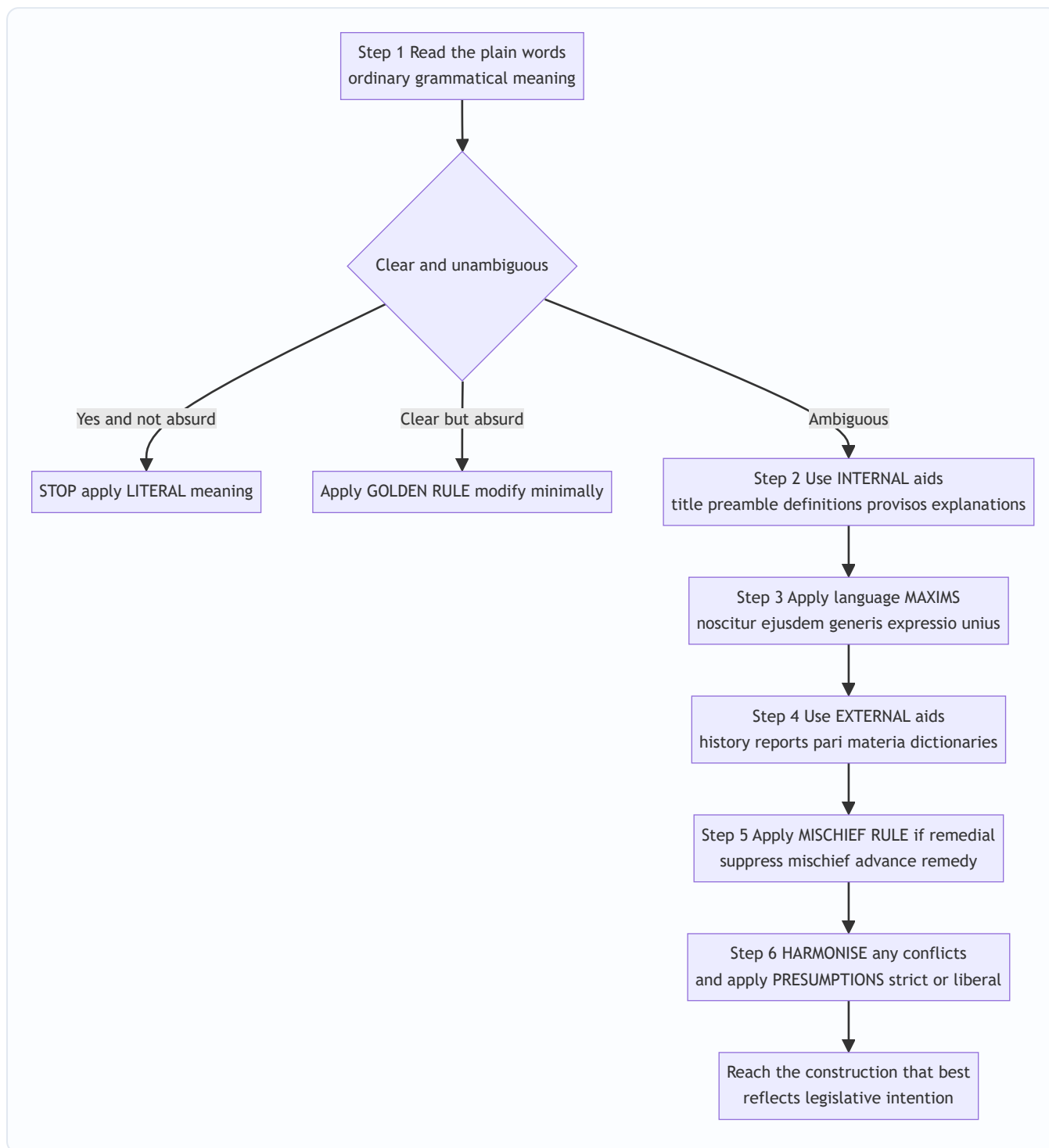
**Scenario 5 — Harmonious construction (two clashing sections).** Section 12 of an Act says "*every appeal shall be filed within 30 days*." Section 40 says "*the Tribunal may condone delay for sufficient cause*." Do they conflict? - Read as a whole, presuming no self-contradiction: Section 12 sets the *normal* limit; Section 40 is a *special* power to relax it for sufficient cause. **Both are given effect** — the limit stands, the condonation power operates as an exception. (Also *generalia specialibus*: the specific condonation power qualifies the general limit.) **Answer:** no true conflict; harmonious reading keeps both alive.

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## 6. Procedure / Summary — the order a court actually follows

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*Figure 5 — the interpretation workflow, top to bottom.*



**One-line summary of the whole system:** *Trust the words; escape only for absurdity; when in doubt look inside then outside; obey the mischief for welfare laws, reconcile clashes, and lean the way the presumption points (narrow for swords, wide for shields).*

## 7. Connections — where this plugs into the rest of the syllabus

- **The General Clauses Act, 1897** (next in most CA schemes) is the *statutory partner* of this chapter: it supplies default **definitions** ("person", "month", "immovable property"), rules on **commencement, repeal and re-enactment**, and computation of time — codified interpretation aids. This chapter is the *theory*; the General Clauses Act is the *statutory toolkit*.

- **Companies Act / SEBI / FEMA:** every time you read a definition clause ("**means**" vs "**includes**"), decide whether a **proviso** narrows a section, or reconcile two apparently clashing provisions, you are *applying this chapter*. E.g., reading whether "officer in default" includes a given person is pure interpretation.
  - **Taxation papers:** the *strict construction of taxing statutes* and *ejusdem generis* over tariff/entry lists are constantly used.
  - **Constitutional law:** *harmonious construction* famously reconciles Fundamental Rights with Directive Principles, and Union vs State legislative entries.
  - **Contract & FEMA penalties:** the *presumption of mens rea* and *strict construction of penal provisions* shape how offences and penalties are read.
- 

## 8. Traps & Examiner Tricks

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1. **"Literal rule = the highest rule always."** *False*. Literal is the *starting default*, not an absolute. It yields to the Golden Rule on absurdity. Watch for questions where literal reading gives a silly result — the examiner wants the Golden/Mischief answer.
  2. **"means" vs "includes" swapped.** The single most common definition trap. "*means*" = *exhaustive/restrictive (sealed box)*; "*includes*" = *extensive/enlarging (open door)*. If you flip them you fail the sub-question. "means and includes" = exhaustive but broad.
  3. **Applying ejusdem generis when the specific words DON'T form a genus.** If the listed items share no common class, the maxim **does not apply** and the general words get full width. Also fails if the genus is *exhausted* by the list, or a contrary intention appears.
  4. **Treating expressio unius as a hard rule.** It is **weak and unsafe** — the omission could be deliberate or an oversight. Never apply it mechanically; only where the mention was meant to be exhaustive.
  5. **Short title vs long title vs preamble confusion.** *Short title* = mere label, **no** interpretive value. *Long title* and *preamble* = legitimate aids to object/scope, but **cannot override clear enacting words**.
  6. **Marginal notes / headings as aids.** Generally **not** legitimate aids (not enacted by the legislature); usable only in ambiguity, with caution. A tempting wrong option.
  7. **Proviso vs Explanation vs Illustration.** *Proviso* = **exception/qualification** (carves out); *Explanation* = **clarifies** (removes doubt, doesn't enlarge); *Illustration* = **example** (can't override the section). Examiners love mismatching these.
  8. **Casus omissus.** A gap the legislature left **cannot** be filled by the court. If the words don't cover a case, the answer is "not covered" — *not* "the court will read it in."
  9. **Strict vs liberal direction reversed.** *Penal & taxing* = *strict, in favour of the subject*. *Welfare/remedial* = *liberal*. Getting the direction backwards is an automatic loss.
  10. **Retrospectivity default.** Presumed **prospective** (especially penal). But *procedural* amendments are generally retrospective — a classic distinguishing trap.
  11. **Contemporanea expositio on a modern Act.** It applies to **old** statutes; do **not** invoke it for a recent enactment.
  12. **"External aids override the words."** Never. No aid — internal or external, no debate or report — can defeat the **plain, unambiguous** language of the enacting provision.
-

## 9. First-Principles Recap — rebuild the chapter from one sentence

Start from the single fault line: **words are frozen, life is fluid**. A statute is a set of words written at one moment, trying to govern situations no one foresaw. Two failures loom — the judge who reads too literally (bans the ambulance) and the judge who reads too freely (becomes a legislator). Everything else is the machinery that steers between them.

- To stop the *free-reading* judge, we start with the **Literal Rule**: the words are the law; you may not add, subtract, or invent (*casus omissus*).
- To stop the *absurd* result, we add the **Golden Rule**: bend the words *minimally* when literal reading gives nonsense.
- To make sure the Act *does its job*, we add the **Mischief Rule**: find the evil Parliament hunted and read the words to catch it — especially for welfare laws.
- To keep the Act *internally coherent*, we add **Harmonious Construction**: reconcile clashing provisions; kill none.
- To *find* meaning when words are doubtful, we look **inside** (title, preamble, definitions, provisos, explanations) then **outside** (history, reports, *pari materia*, dictionaries) — but never against the plain words.
- To handle *how words behave in company*, we use the **maxims** (*noscitur a sociis*, *eiusdem generis*, *expressio unius*, *contemporanea expositio*, *reddendo singula singulis*).
- To resolve *silence*, we lean on **presumptions** (prospective, constitutional, *mens rea*, against ousting courts) — and we set the *tone*: narrow for swords (penal/tax), wide for shields (welfare).

If you can regenerate those seven moves from the "frozen words, fluid life" problem, you own the chapter.

## 10. Quick-Revision Sheet

**Golden thread:** find the *intention of the legislature*, primarily from the *language used*.

**Primary rules (and trigger):**

| Rule                         | Fires when                                       | Do                                                                                              |
|------------------------------|--------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Literal / Grammatical</b> | Words plain & unambiguous                        | Give ordinary meaning; don't add/subtract ( <i>casus omissus</i> ; <i>ut res magis valeat</i> ) |
| <b>Golden</b>                | Literal gives absurdity/repugnance/inconsistency | Modify <i>minimally</i> to avoid it                                                             |
| <b>Mischief (Heydon)</b>     | Remedial Act; literal misses the evil            | 4 Qs → suppress mischief, advance remedy                                                        |
| <b>Harmonious</b>            | Two provisions conflict                          | Reconcile; give effect to both; special over general                                            |

**Definition verbs:** *means* = exhaustive (sealed box) · *includes* = enlarging (open door) · *means and includes* = exhaustive + broad · *unless context otherwise requires* = context can override.

**Internal aids (inside → cautious):** Long title (scope) · Preamble (object) · Definitions · Proviso (exception) · Explanation (clarifies) · Illustration (example) · Schedule · Headings/marginal notes (weak) · Punctuation

(minor). Short title = label only.

**External aids:** dictionaries · historical background · Objects & Reasons · committee/commission reports · statutes *in pari materia* · usage/practice · foreign decisions (persuasive). **None** overrides plain words.

**Maxims:** - *Noscitur a sociis* — word known by its company. - *Ejusdem generis* — general words after specific words of a genus = limited to that genus (needs: specifics form a class, class not exhausted, general words follow, no contrary intent). - *Expressio unius est exclusio alterius* — express one, exclude the rest (**weak/unsafe**). - *Contemporanea expositio* — old statutes read as understood when enacted (not modern Acts). - *Generalia specialibus non derogant* — special beats general. - *Reddendo singula singulis* — match each subject to its object. - *Ut res magis valeat quam pereat* — prefer the effective construction.

**Presumptions:** prospective (esp. penal; procedural = retrospective) · against ousting court jurisdiction · constitutionality · mens rea in crimes · territorial · no surplusage/implied repeal · against absurdity/injustice.

**Tone:** Penal & Taxing = *STRICT*, favour the subject. Welfare/Remedial = *LIBERAL*, favour the protected class. Mnemonic: "**Swords narrow, shields wide.**"

**One-liner:** *Trust the words → escape absurdity → look inside then outside → serve the mischief → harmonise → let the presumption point the way.*

## Q&A — Interpretation of Statutes

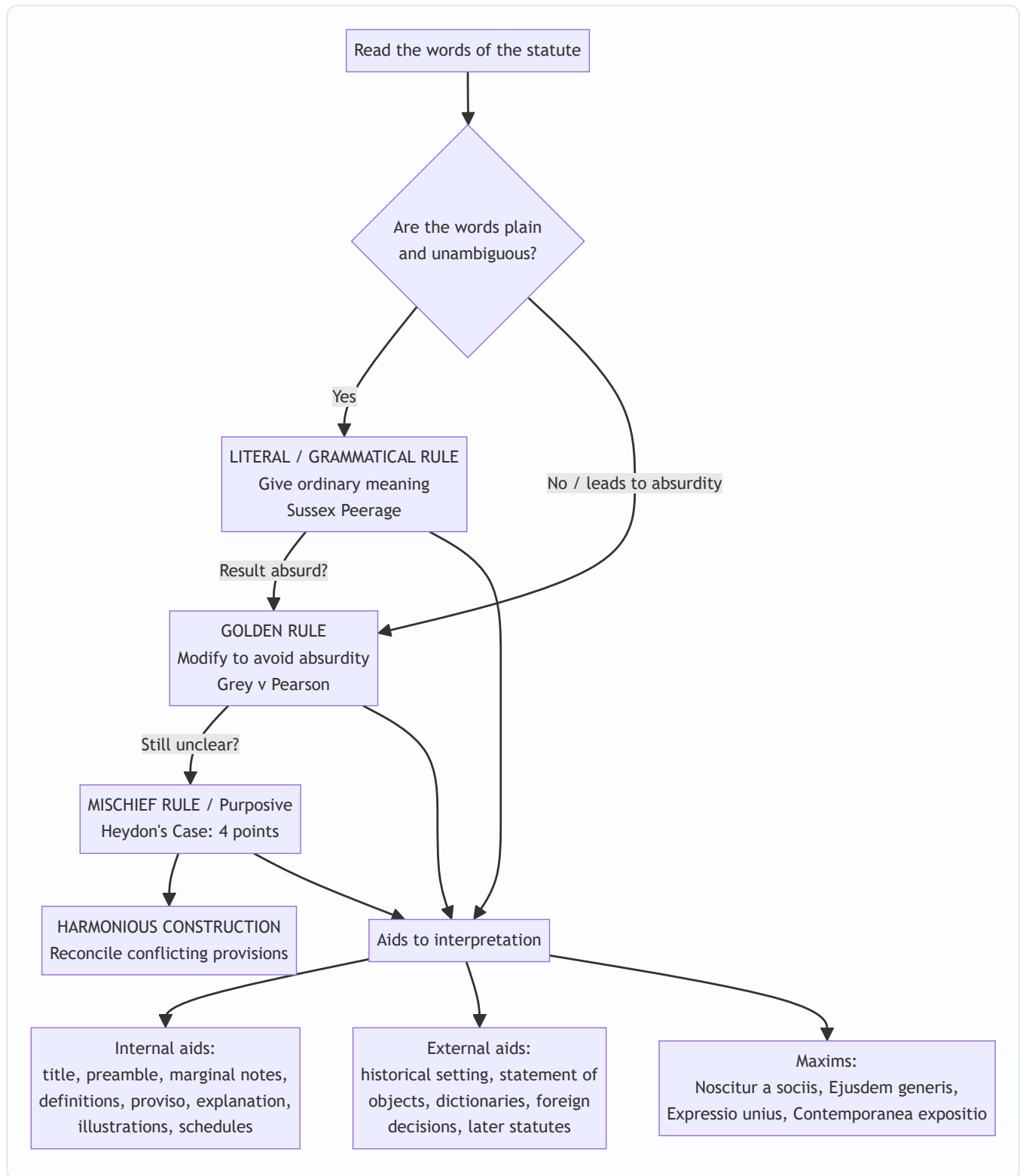
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CA Intermediate — Corporate & Other Laws. Every question is followed immediately by a complete model answer. Cite the rule/maxim by name in the exam; examiners reward precise terminology.

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## How the rules fit together (revision map)



## SECTION A — Concept-Check (short questions + answers)

**A1. Distinguish "interpretation" from "construction".** Answer: **Interpretation** is the process of ascertaining the true, literal sense/meaning of the words used in a statute. **Construction** goes a step further — it is the drawing of conclusions about matters that lie *beyond* the direct expression of the text, resolving

the legal effect of ambiguous, obscure or conflicting provisions in a way that gives effect to the legislature's intention. Interpretation looks at *what the words mean*; construction decides *how they apply* to facts. In practice the terms are used interchangeably.

**A2. State the Literal Rule and give the leading authority.** *Answer:* Where the language of a statute is **plain, clear and unambiguous**, effect must be given to it regardless of consequences; the court cannot add to or subtract from the words. The intention of the legislature is to be gathered from the words actually used. Authority: **Sussex Peerage Case** — "the only rule is to expound the words in their natural and ordinary sense." Also called the grammatical rule.

**A3. State the Golden Rule.** *Answer:* Start from the literal/grammatical meaning, but if that produces an **absurdity, inconsistency or repugnancy**, the ordinary sense may be **modified/departed from** to the extent necessary to avoid that absurdity — but no further. Authority: **Grey v. Pearson** ("the grammatical and ordinary sense... may be modified so as to avoid that absurdity and inconsistency, but no farther").

**A4. State the Mischief Rule and its four considerations.** *Answer:* From **Heydon's Case** — to suppress the mischief and advance the remedy, the court considers four points: (1) What was the **common law** before the Act; (2) What was the **mischief and defect** for which the common law did not provide; (3) What **remedy** Parliament resolved; (4) The **true reason of the remedy**. The court adopts the construction that suppresses the mischief and advances the remedy. Also called the *purposive* rule.

**A5. What is Harmonious Construction?** *Answer:* When two provisions of the same statute (or two statutes) appear to conflict, they must be read together and interpreted so that **both are given effect** and neither is rendered redundant. A construction reducing one provision to a "dead letter" is not harmonious. The court avoids a head-on clash and seeks to reconcile.

**A6. Define an internal aid and list six.** *Answer:* Internal aids are found **within the statute itself**. Examples: (1) **Long title/short title**, (2) **Preamble**, (3) **Marginal notes/headings**, (4) **Definition/interpretation clause**, (5) **Proviso**, (6) **Explanation**, plus **illustrations** and **schedules**.

**A7. Define an external aid and list four.** *Answer:* External aids lie **outside the statute**. Examples: (1) **Historical setting / parliamentary history**, (2) **Statement of Objects and Reasons**, (3) **Dictionaries**, (4) **Foreign decisions**; also **later Acts (in pari materia)**, government publications and text-books.

**A8. What is the function of a "proviso", an "explanation", and an "illustration"?** *Answer:* A **proviso** carves out an **exception** to the main enactment; it operates only on the subject matter of the main clause. An **explanation** clarifies/removes doubt about the main provision (does not ordinarily widen or restrict it, though it may make explicit what was implicit). **Illustrations** show how the section applies to concrete facts; they are helpful but cannot override the plain words of the section.

**A9. Explain "Noscitur a sociis".** *Answer:* "A word is known by the company it keeps." An ambiguous word takes colour from **words associated with it** in the same context/clause. E.g., in "books, pamphlets, newspapers and other documents", "documents" is read alongside the reading-material class.

**A10. Explain "Ejusdem generis" and its condition.** *Answer:* Where **specific words forming a distinct genus** are followed by **general words**, the general words are limited to things of the **same kind/class** as the specific ones. Condition: the specific words must constitute a category/genus that is not exhausted; if there is no common genus, the rule does not apply and the general words get their full meaning. (It is a species of *noscitur a sociis*.)

**A11. Explain "Expressio unius est exclusio alterius".** *Answer:* The **express mention of one thing implies the exclusion of another** not mentioned. Where a statute expressly enumerates the subjects to which it

applies, matters not enumerated are taken to be excluded. It is a useful servant but a dangerous master — applied cautiously, as omission may be accidental.

**A12. Explain "Contemporanea expositio est optima et fortissima in lege".** Answer: "Contemporaneous exposition is the best and strongest in law." The meaning given to a (usually old) statute by those who **applied it soon after enactment** and by long usage is a strong guide to its interpretation. Applies mainly to ancient statutes, not modern ones.

**A13. List four presumptions courts make while interpreting statutes.** Answer: (1) Statute is **not intended to be unconstitutional/ultra vires** (presumption of constitutionality); (2) Words are **not superfluous** — the legislature does nothing in vain; (3) Statute is **not retrospective** (a substantive law operates prospectively unless expressed/necessarily implied); (4) The legislature **knows the existing law** and does not intend injustice or to oust the jurisdiction of courts / to take away vested rights without clear words. Also: penal statutes are construed strictly in favour of the accused.

**A14. What is the "golden thread" running through all the rules?** Answer: The overriding object of every rule is to ascertain and give effect to the **intention of the legislature** ("*legislative intent*") as expressed in the words used, read in their context. Every rule and aid is only a means to that single end.

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## SECTION B — Applied Scenario Questions (full reasoned answers)

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**B1. The classic "No vehicles in the park" rule.** A municipal bye-law states: "No vehicle shall be permitted to enter the public park." (a) Does it bar a child's tricycle? (b) Does it bar an ambulance entering to save a collapsed visitor? Apply the rules. Answer: (a) **Literal Rule:** a tricycle is arguably a "vehicle" on the plain word, so it would be barred. But the **purpose/mischief** (Heydon) of the rule is to keep the park peaceful and safe from motorised traffic; **noscitur a sociis** and purposive reading suggest "vehicle" targets motorised traffic, so a tricycle used by a child likely falls outside the mischief. (b) A literal reading bars the ambulance, but that produces an **absurd/unjust result** (a life lost to enforce a parking rule). Applying the **Golden Rule (Grey v. Pearson)** and the **Mischief Rule**, "vehicle" is construed so as **not** to prohibit an emergency ambulance, because the legislature never intended so absurd a consequence. **Conclusion:** context and purpose modify the literal word to serve legislative intent.

**B2. General words after specific ones.** A statute empowers seizure of "houses, offices, rooms and other places" used for gaming. Police seize an **open piece of land** used for gaming. Valid? Answer: Apply **ejusdem generis**. The specific words "houses, offices, rooms" form a **genus of enclosed/indoor premises**. The general words "other places" are therefore limited to places of the **same kind** — enclosed places. An **open field** is not of that genus, so it falls outside "other places", and the seizure is **not authorised**. (Illustrates that general words are cut down to the class of the preceding specific words.)

**B3. When ejusdem generis does NOT apply.** An Act imposes a duty on "any theatre, cinema, hall, or other place of public entertainment." Does a **sports stadium** fall within "other place of public entertainment"? Answer: First test whether the specific words form a **single distinct genus**. Arguably they share the genus "places of public entertainment / assembly." A stadium is a place of public entertainment of the **same class**, so it is covered. But note the limiting principle: if the enumerated items are **so varied that no common genus exists** (or the general words are followed by words showing the widest intent, e.g. "of whatsoever kind"), *ejusdem generis* is **excluded** and the general words take their full natural meaning. State both possibilities and conclude on the genus test.

**B4. Proviso vs main enactment.** Section X: "Every company shall hold an AGM within six months of the financial year-end; provided that the Registrar may, for special reasons, extend the period by up to three months." A company claims the proviso gives a general right to a nine-month gap. Correct? *Answer:* No. A **proviso is construed as an exception** to the main enactment and operates **only within its field**. The main rule remains six months; the proviso merely enables the **Registrar**, on **special reasons**, to grant an extension. It confers **no automatic right** on the company and cannot be read to enlarge the substantive rule for everyone. A proviso should be read strictly and not so as to defeat the main provision. **Conclusion:** the company's claim fails.

**B5. Two apparently conflicting sections.** A statute in one section confers on tribunals the power to decide "all disputes" under the Act, and another section says civil courts "shall have jurisdiction to try suits of a civil nature." A litigant argues the two clash and one must be struck down. Advise. *Answer:* Apply **Harmonious Construction**. Courts do not presume conflict; the provisions must be read together so **both operate**. The specific conferment of "all disputes under the Act" on the tribunal is read as a **special jurisdiction** carved out of the general civil-court jurisdiction (also supported by *generalia specialibus non derogant* — general provisions do not derogate from special ones). Thus disputes arising **under the Act** go to the tribunal, while the civil court retains its **general** jurisdiction over other civil suits. Neither provision is rendered a dead letter. No question of striking down arises.

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## SECTION C — Past-Paper-Style Descriptive Questions (model answers)

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**C1. "The intention of the Legislature is the primary rule of interpretation." Explain the four primary rules of interpretation of statutes. (≈ 6 marks)** *Answer:* The cardinal principle is that a statute must be read to give effect to the **intention of the legislature**. The four primary rules are:

1. **Literal / Grammatical Rule** — Where words are plain and unambiguous, give them their natural and ordinary meaning; nothing is to be added or taken away (*Sussex Peerage Case*). The court presumes the legislature meant what it said.
2. **Golden Rule** — Begin with the literal meaning, but where it leads to **absurdity, repugnancy or inconsistency**, modify the ordinary sense just enough to avoid that result — "but no farther" (*Grey v. Pearson*). It is a modification/relaxation of the literal rule.
3. **Mischief Rule (Heydon's Case)** — The court looks to (i) the earlier law, (ii) the mischief/defect, (iii) the remedy provided, and (iv) the true reason of the remedy, and construes the Act so as to **suppress the mischief and advance the remedy**. This is the purposive approach.
4. **Rule of Harmonious Construction** — When provisions conflict, they are read together so that **each is given effect** and none is rendered nugatory. These rules are not watertight compartments; the court moves from the literal to the others only as ambiguity or absurdity requires, always to reach the legislative intent.

**C2. Explain "Internal Aids" and "External Aids" to interpretation with examples. (≈ 5–6 marks)** *Answer:* **Internal aids** are those found **within the statute** which the court uses to understand its provisions: - **Long and Short Title** — indicate the general purpose (the long title is part of the Act and may be referred to). - **Preamble** — expresses the scope, object and purpose; a key to the maker's mind, though it cannot control clear enacting words. - **Marginal Notes / Headings** — may throw light where a section is ambiguous, but ordinarily are not decisive (they are not voted upon). - **Definition / Interpretation Clause** — assigns special

meanings ("means", "includes"); "includes" is generally **extensive**, "means" is **exhaustive**. - **Proviso** (an exception), **Explanation** (clarifies), **Illustrations** (show application), and **Schedules** (form part of the Act).

**External aids** lie **outside the statute**: - **Historical setting / Parliamentary history** and the **Statement of Objects and Reasons** — help reveal the mischief and purpose. - **Dictionaries** — for ordinary meaning of undefined words (in the sense used in the Act). - **Foreign decisions** — persuasive where the law is similar. - **Later/earlier statutes in pari materia** and **government publications / reports**. External aids are used chiefly when the language is ambiguous.

**C3. Explain the maxims (a) Noscitur a sociis, (b) Ejusdem generis, (c) Expressio unius est exclusio alterius, (d) Contemporanea expositio.** (*≈ 6–8 marks*) *Answer:* **(a) Noscitur a sociis** — "known by its associates." The meaning of a doubtful word is gathered from the **words surrounding it**; a word takes colour from its context. It prevents a word from being read in isolation. **(b) Ejusdem generis** — "of the same kind." Where **specific words of a common genus** are followed by **general words**, the general words are confined to the **same class** as the specific ones (e.g., "other places" after "houses, offices, rooms" means enclosed places). It applies only if the specific words form a genus and that genus is not exhausted; a contrary intention (e.g., "of whatsoever nature") excludes it. It is a facet of *noscitur a sociis*. **(c) Expressio unius est exclusio alterius** — "expression of one is exclusion of the other." Express mention of specified things **impliedly excludes** those not mentioned. Applied with caution, as silence may be unintentional. **(d) Contemporanea expositio** — the exposition placed on a statute by those who **administered it soon after it was passed**, confirmed by long usage, is a strong guide; applied mainly to **ancient statutes**.

**C4. What presumptions do courts make while interpreting a statute? State any five.** (*≈ 5 marks*) *Answer:* Courts proceed on certain presumptions (rebuttable): 1. **Constitutionality** — a statute is presumed intra vires the Constitution; the court leans in favour of validity. 2. **Words are not superfluous** — every word is presumed to have been used purposefully; the legislature does nothing in vain (avoid redundancy). 3. **No retrospective operation** — a statute (especially one affecting substantive/vested rights or penal in nature) is presumed **prospective** unless retrospectivity is expressed or necessarily implied. 4. **Legislature knows the existing law** — and does not intend to make a change beyond what it declares, nor to produce injustice/inconvenience. 5. **Jurisdiction of courts is not ousted / vested rights not taken away** without clear and express words; and **penal statutes** are strictly construed in favour of the subject.

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## SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

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**D1.** The rule that words must be given their natural and ordinary meaning where they are plain is the: A) Golden Rule B) Literal Rule C) Mischief Rule D) Harmonious Rule **Ans: B.** Plain, unambiguous words get their ordinary meaning (Sussex Peerage Case).

**D2.** "Grey v. Pearson" is the leading authority for the: A) Mischief Rule B) Ejusdem generis C) Golden Rule D) Literal Rule **Ans: C.** It permits modifying the literal meaning to avoid absurdity, "but no farther."

**D3.** The four considerations of the earlier law, the mischief, the remedy and the true reason of the remedy come from: A) Heydon's Case B) Sussex Peerage Case C) Grey v. Pearson D) River Wear case **Ans: A.** Heydon's Case lays down the four-point Mischief Rule.

**D4.** "Houses, shops, rooms and other places" — "other places" is limited to enclosed premises. This applies: A) Expressio unius B) Ejusdem generis C) Contemporanea expositio D) Noscitur only **Ans: B.** General words after specific words of a genus are restricted to that class.

- D5.** A word takes its meaning from the accompanying words in the clause. This is: A) Eiusdem generis B) Noscitur a sociis C) Expressio unius D) Reddendo singula singulis **Ans: B.** Noscitur a sociis — a word is known by the company it keeps.
- D6.** A "proviso" to a section ordinarily: A) Enlarges the main provision B) Is an exception to the main enactment C) Overrides the whole Act D) Has no legal effect **Ans: B.** A proviso carves out an exception operating within the main clause's field.
- D7.** In a definition clause, the word "**includes**" generally makes the definition: A) Exhaustive B) Restrictive C) Extensive/enlarging D) Void **Ans: C.** "Includes" is normally extensive; "means" is exhaustive.
- D8.** The presumption that a statute does not operate on past transactions is the presumption against: A) Constitutionality B) Retrospectivity C) Redundancy D) Ouster of jurisdiction **Ans: B.** Statutes are presumed prospective unless retrospectivity is expressed/implied.
- D9. Case scenario.** A tax Act levies duty on "cloth, garments, textiles and other goods." The department levies duty on **steel utensils** under "other goods." The assessee objects. Which is correct? A) Duty valid — "other goods" is unlimited B) Duty invalid — ejusdem generis limits "other goods" to textile-class goods C) Golden rule applies to widen it D) Contemporanea expositio saves the levy **Ans: B.** The specific words form the genus "textile goods"; "other goods" is confined to that class, so steel utensils are outside the charge.
- D10. Case scenario.** Section A of an Act gives an appellate authority power over "all matters"; Section B reserves certain matters to a special tribunal. The court should: A) Strike down Section B B) Ignore Section A C) Read both harmoniously so each operates D) Prefer the earlier section **Ans: C.** Harmonious construction reconciles the two, aided by *generalia specialibus non derogant* (special prevails over general in its field).
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## One-line memory hooks

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- **Literal** → words are king (Sussex Peerage). **Golden** → bend words to kill absurdity, no farther (Grey v. Pearson). **Mischief** → suppress the evil, advance the cure (Heydon's 4 points). **Harmonious** → make both live.
- **Noscitur** → company you keep. **Eiusdem** → same family. **Expressio unius** → name one, exclude the rest. **Contemporanea** → old statute, old usage wins.
- Internal aids live **inside** the Act; external aids live **outside**. Golden thread throughout: **give effect to legislative intent**.



# Chapter 14 — Foreign Exchange Management Act, 1999 (Basics)

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## 1. The Problem

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Imagine you run the treasury of a poor country. You have almost no US dollars, pounds or yen in your vault — and yet almost everything your economy needs from abroad (crude oil, machinery, medicines, defence equipment) can only be bought with those foreign currencies. Foreign exchange, to you, is not just "money" — it is a **scarce, strategic national resource**, like water in a desert.

Now ask the natural question: what happens if you let every citizen, business and trader freely buy, hoard, send abroad or speculate in foreign currency? Three disasters follow:

1. **The reserves drain.** If everyone can freely convert rupees into dollars and send them out, the little foreign currency you have vanishes. Then you cannot pay for the oil that keeps the economy running. This is a **balance of payments crisis** — precisely what India faced in **1990–91**, when reserves fell to barely two to three weeks of imports.
2. **The currency collapses.** If people can freely sell rupees to buy dollars, the rupee's value crashes, imports become ruinously expensive, and inflation explodes.
3. **Money escapes control.** Wealth quietly leaves the country ("capital flight"), tax is evaded through fake invoices, and the government loses its grip on the economy.

So a scarce-forex nation builds a wall around foreign exchange. India's first wall was the **Foreign Exchange Regulation Act, 1973 (FERA)**. Its philosophy was blunt: *foreign exchange is so scarce that every dealing in it is presumed suspicious and prohibited unless the government specifically permits it*. Breaking the rules was a **crime**. You could be arrested. The burden was on **you** to prove your innocence.

That wall made sense in a starving-for-forex economy. But by the 1990s the problem had **flipped**. After the 1991 liberalisation, India opened up, foreign investment poured in, exports grew, and reserves became comfortable. Now the old wall was strangling the very growth it was meant to protect. A businessman importing a machine had to beg for permission; a criminal-law regime terrified honest traders and choked global trade.

**The new problem was therefore the opposite of the old one:** how do you *manage* a now-adequate stock of foreign exchange to keep the currency stable and promote orderly trade — without treating every honest importer and exporter as a smuggler? FERA could not do this. It was built for scarcity and suspicion. India needed a law built for **abundance and facilitation**. That law is the **Foreign Exchange Management Act, 1999 (FEMA)** — note the word: *Management*, not *Regulation*.

**Memory hook:** FERA = **F**ear + **R**estriction (control, criminal). FEMA = **M**anagement + **F**acilitation (civil, orderly). The single letter change (R → M) is the entire philosophy change.

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## 2. The Core Idea

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FEMA rests on one elegant shift in default assumptions.

**FERA's default:** *Everything in forex is prohibited unless permitted.* (Guilty until proven innocent.)

**FEMA's default:** *Everything in forex is permitted unless restricted* — **BUT** with one crucial split. FEMA divides all cross-border money dealings into two boxes:

- **Current account transactions** (the money for day-to-day living and trade — importing goods, paying for a foreign trip, sending money to a child studying abroad). Default here = **FREE**. These are the *income statement* of the nation.
- **Capital account transactions** (money that changes what you *own or owe* abroad — buying foreign shares, foreign property, giving/taking cross-border loans). Default here = **REGULATED** by the RBI. These are the *balance sheet* of the nation.

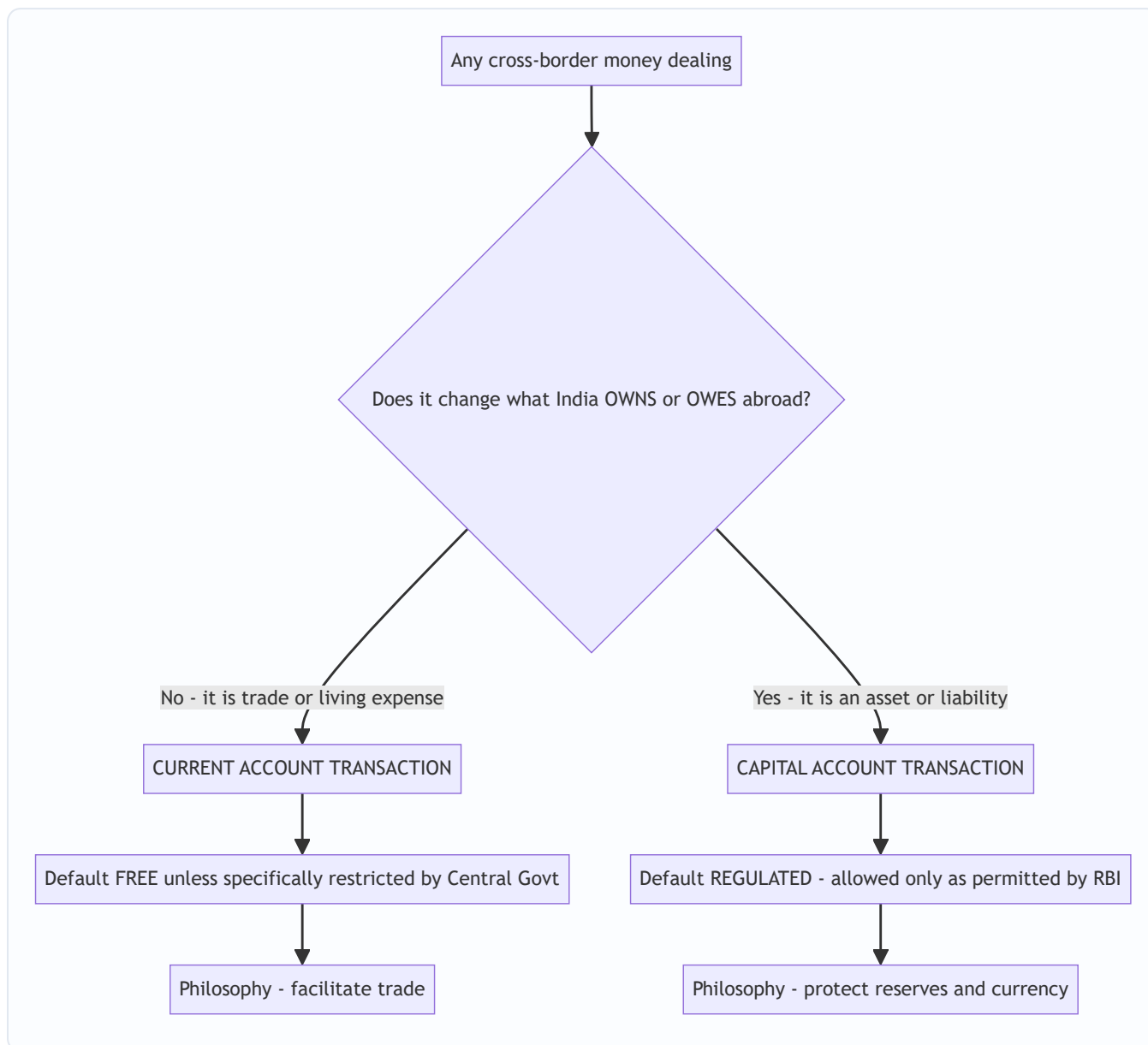
Why this split? Because current-account outflows are self-limiting and productive — you can only import so much oil, take so many holidays. But **capital flows are volatile and dangerous**: hot money can flood in and rush out overnight, and free capital flight can empty the reserves in days. So FEMA says: *let the living and trading money flow freely; keep a hand on the ownership-and-debt money.*

And because the goal is now **management, not punishment**, breaking FEMA is a **civil wrong** — you pay a **penalty**, you can **compound** (settle) the matter — not a **crime** you get jailed for.

**One-line essence:** *FEMA keeps forex orderly by freeing everyday trade money, regulating cross-border ownership money, and treating breaches as civil settlements rather than crimes.*

*Figure 14.1 — The two-box philosophy of FEMA: current account flows freely, capital account is regulated.*





### 3. Why It's Built This Way

Before drilling into provisions, understand the four design decisions that shape every section of FEMA. If you understand *why* these choices were made, you never have to memorise the sections — you can reconstruct them.

**Design choice 1 — Management, not regulation.** The 1991 reforms meant forex was no longer desperately scarce. A control regime (FERA) was now a cost, not a protection. So FEMA's stated purpose (its Preamble) is "*facilitating external trade and payments and promoting the orderly development and maintenance of the foreign exchange market in India.*" Every ambiguity in FEMA is resolved in favour of **facilitation**, not restriction — the opposite of how FERA was read.

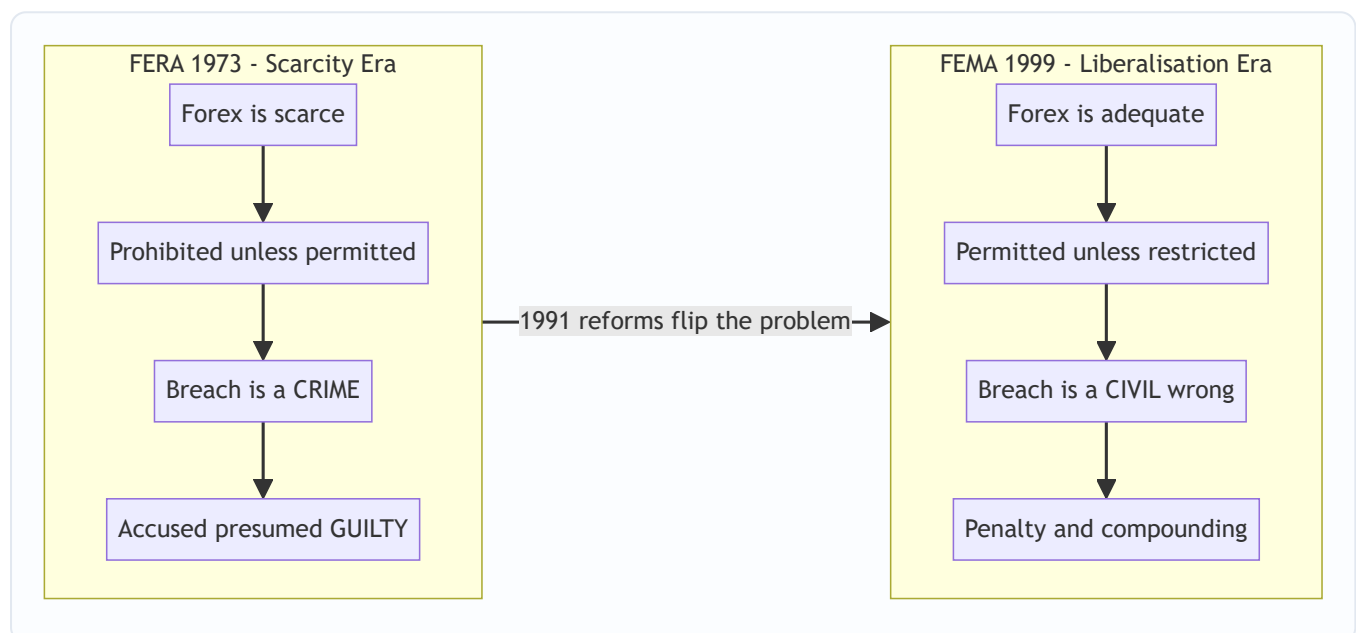
**Design choice 2 — Civil, not criminal.** Under FERA, an accused was presumed guilty and could be **arrested**; the burden lay on him. This terrified legitimate business. FEMA converts contraventions into **civil offences** attracting **monetary penalties**, removes the presumption of guilt, and — critically — allows **compounding** (voluntary settlement by paying a sum). Jail (civil imprisonment) appears only as a last resort if you refuse to

pay the penalty. The logic: an economy that wants to *attract* foreign capital cannot jail investors for paperwork errors.

**Design choice 3 — A clean division of labour.** Parliament sets the frame (the Act). The **Central Government**, being politically accountable for trade policy, controls the **current account** side (it can restrict trade payments in public interest). The **RBI**, the monetary and reserves guardian, controls the **capital account** side (it regulates flows that affect reserves and the currency). Day-to-day dealings happen only through licensed intermediaries — **Authorised Persons** (mainly banks) — so the system is monitored without the government micromanaging every transaction.

**Design choice 4 — A rule-book that can breathe.** Forex conditions change fast. So FEMA is a thin **framework Act**; the operational detail lives in **Rules** (made by the Central Government) and **Regulations** (made by the RBI), which can be amended quickly without reopening Parliament. This is why exam answers must say "as prescribed / as per Rules / as per Regulations" — the numbers live outside the Act itself.

Figure 14.2 — FERA to FEMA: the philosophy flip.



## 4. Full Technical Content (rules and provisions, each with its "why")

FEMA has **49 sections** across 7 chapters, extends to the **whole of India** (and to all branches, offices and agencies **outside India owned or controlled by a person resident in India**), and came into force on **1 June 2000**. Below is the exam-required content, each provision paired with its reason.

### 4.1 The Preamble and Objectives (the "why" baked into the Act)

The Preamble states the Act consolidates and amends the law relating to foreign exchange **with the objective of**: - **facilitating external trade and payments**, and - **promoting the orderly development and maintenance of the foreign exchange market in India**.

*Why it matters*: When two interpretations of a FEMA provision are possible, courts and the RBI lean towards the one that *facilitates* trade — because the Preamble commands it. Contrast FERA, whose object was to *conserve and regulate*. Two verbs — "facilitate" vs "conserve" — capture the entire generational shift.

## 4.2 Key Definitions (Section 2) — and why each is drawn the way it is

These definitions are the most heavily examined part of the chapter. Learn the *logic* of each boundary.

### (a) Person Resident in India — Section 2(v)

*Why residence matters:* FEMA applies its restrictions based on **residential status**, not citizenship. A resident's global forex dealings are within FEMA's reach; a non-resident is largely outside it. So *who is a resident* decides *who FEMA can control*. Citizenship is irrelevant — a foreign national living and working in India can be a resident; an Indian citizen settled abroad is a non-resident.

**The test has two limbs — a day-count limb and a purpose limb.**

A "**person resident in India**" means:

(i) A person **residing in India for more than 182 days during the preceding financial year** — BUT this does **not** include: - a person who has gone out of / stays outside India for **employment** outside India, or - for carrying on a **business or vocation** outside India, or - for any other purpose indicating an **intention to stay outside India** for an uncertain period;

AND it does **not** include a person who has **come to / stays in India otherwise than** for: - taking up **employment** in India, or - carrying on **business or vocation** in India, or - any other purpose indicating an **intention to stay in India** for an uncertain period.

*Translate the logic:* The 182-day count is only the **starting gate**. The **purpose/intention** test then overrides it. If you *leave* India for employment/business/settling abroad, you become a **non-resident immediately** — even if you were here 300 days last year. If you *come* to India for employment/business/settling, you become a **resident immediately**. Purpose beats the calendar.

**Trap alert:** FEMA counts days in the **preceding financial year** (April–March). This is different from the **Income-tax Act**, which counts days in the **current** previous year and uses **60/182-day** dual tests. Do not mix them.

The definition also expressly **includes**: - (ii) any **person or body corporate registered or incorporated in India** (so an Indian company is always a resident); - (iii) an **office, branch or agency in India** owned or controlled by a person resident **outside** India; and - (iv) an **office, branch or agency outside India** owned or controlled by a person resident **in** India.

*Why (iii) and (iv):* FEMA "follows the control." A foreign company's Indian branch operates inside India's forex system, so it is treated as resident (iii). And an Indian company's foreign branch is an extension of an Indian resident, so India keeps jurisdiction over it (iv) — this is how the Act reaches "outside India."

**Person resident outside India — Section 2(w):** simply "*a person who is not resident in India.*" (Defined by exclusion — clean and complete.)

### (b) Person — Section 2(u)

"Person" is deliberately wide, so no one escapes on a technicality. It includes: an **individual**, a **HUF**, a **company**, a **firm**, an **association of persons or body of individuals** (whether incorporated or not), **every artificial juridical person**, and **any agency, office or branch** owned or controlled by such person. *Why so broad:* forex can be moved by any legal form; the net must catch them all.

### (c) Foreign Exchange — Section 2(n) and Foreign Security — Section 2(o)

**Foreign exchange** means **foreign currency** and includes: - **deposits, credits and balances** payable in any foreign currency; - **drafts, travellers' cheques, letters of credit or bills of exchange** expressed or drawn in Indian currency but **payable in any foreign currency**; - drafts, travellers' cheques, letters of credit or bills of exchange **drawn by banks/institutions/persons outside India but payable in Indian currency**.

*Why the odd inclusions:* the drafters chased the **economic substance**, not the label. An instrument in rupees but *payable abroad in dollars* is really a claim on foreign exchange, so it is caught. **Foreign security** (2(o)) similarly covers securities denominated in foreign currency, and even rupee-denominated securities where redemption/interest is payable in foreign currency.

### (d) Currency and Current Account Transaction

**Currency — Section 2(h):** includes currency notes, coins, **postal notes, money orders, cheques, drafts, travellers' cheques, letters of credit, bills of exchange, promissory notes, credit cards** and such other similar instruments as the RBI may notify. *Why so wide:* value moves through many instruments, not just notes; RBI can add new ones (e.g., new digital instruments) by notification without amending the Act.

**Current account transaction — Section 2(j):** defined as *a transaction other than a capital account transaction* and, **without limiting its generality, includes:** - (i) payments due in connection with **foreign trade, other current business, services, and short-term banking and credit facilities** in the ordinary course of business; - (ii) payments due as **interest on loans** and as **net income from investments**; - (iii) **remittances for living expenses** of parents, spouse and children residing abroad; and - (iv) **expenses in connection with foreign travel, education and medical care** of parents, spouse and children.

*Why defined "in the negative + examples":* Rather than list every possible current transaction (impossible), FEMA defines it as *"anything that is not capital account"* and then gives illustrative buckets so ordinary trade and living payments obviously qualify. **Memory hook — the four buckets are TRADE, RETURNS, FAMILY-UPKEEP, TEMS (Travel, Education, Medical care of family).**

### (e) Capital Account Transaction — Section 2(e)

A transaction which **alters the assets or liabilities** (including contingent liabilities) **outside India of persons resident in India, or the assets or liabilities in India of persons resident outside India**; and includes transactions referred to in **Section 6(3)**.

*Why this definition is the heart of FEMA:* the phrase **"alters assets or liabilities"** is the litmus test. If money merely pays for a service or good consumed now → current. If money *creates, transfers or extinguishes a cross-border asset or liability* (a share you now own abroad, a loan you now owe abroad, property you bought abroad) → capital. **Assets/liabilities = balance sheet = capital; income/expense = P&L = current.**

Examples of capital account transactions (from the Regulations / illustrative list): investment in foreign securities; foreign direct investment; acquisition/transfer of immovable property abroad by a resident (or in India by a non-resident); borrowing/lending in foreign exchange; giving guarantees; export-import of currency; and deposits between residents and non-residents.

### (f) Authorised Person — Section 2(c)

An **authorised person** means an **authorised dealer, money changer, off-shore banking unit or any other person** for the time being **authorised by the RBI under Section 10(1)** to deal in foreign exchange or foreign securities.

*Why the gatekeeper exists:* FEMA does not let residents deal in forex directly with the world. All legitimate forex must flow **through licensed intermediaries** — mostly banks (authorised dealers) and money changers. This gives the RBI a **monitoring choke-point**: it can watch, guide and regulate the whole market through a few hundred licensed entities instead of policing a billion citizens. The AP is FEMA's "eyes on the ground."

## 4.3 Regulation of Transactions — the operative heart (Sections 3, 5, 6, 7)

### Section 3 — The general prohibition (the fence)

No person shall, **except with the general or special permission of the RBI or an authorised person**: - (a) deal in or transfer any foreign exchange/foreign security to any person not an authorised person; - (b) make any payment to or for the credit of any person resident outside India in any manner; - (c) receive any payment by order or on behalf of any person resident outside India in any manner (this catches **hawala** — receiving rupees here against a promise to pay someone abroad, with no forex actually crossing the border); - (d) enter into any financial transaction as consideration for or in association with acquisition or creation of a right to an asset outside India.

*Why Section 3 exists:* it is the **outer fence** ensuring all forex dealing is routed through the authorised channel. Everything else (Sections 5–7) is a controlled gate in this fence.

### Section 5 — Current account transactions (the free gate)

"Any person may sell or draw foreign exchange to or from an authorised person if such sale or drawal is a current account transaction." **Provided** the **Central Government** may, in **public interest** and in **consultation with the RBI**, impose **reasonable restrictions** on current account transactions.

*The logic (crucial):* The default is **FREEDOM** — a resident can freely buy forex for a current transaction. But the freedom is **not absolute**; the Central Government (the trade-policy authority) can carve out restrictions for public interest. These restrictions live in the **Foreign Exchange Management (Current Account Transactions) Rules, 2000**, which sort current transactions into three lists:

| Schedule            | Nature                                                                                       | Example (confirm exact list in ICAI / bare Rules)                                                                                                                           |
|---------------------|----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Schedule I</b>   | <b>Prohibited</b> entirely                                                                   | Remittance out of lottery winnings; income from racing/riding; purchase of a lottery ticket; remittance of dividend where dividend-balancing applies                        |
| <b>Schedule II</b>  | Allowed only with <b>prior Central Government approval</b>                                   | Remittances for certain cultural tours; multi-modal transport operators' remittances to agents abroad; certain advertising in foreign print media by State Governments/PSUs |
| <b>Schedule III</b> | Allowed with <b>RBI approval</b> only above a <b>monetary limit</b> (below the limit = free) | Private/business travel, gifts, donations, studies abroad, medical treatment, maintenance of relatives etc. — governed by the <b>Liberalised Remittance Scheme (LRS)</b>    |

Why three lists, not a blanket "free": even everyday spending needs a few guardrails — you cannot let forex bleed out on lotteries (Schedule I), some things need government sign-off (Schedule II), and large personal remittances need a ceiling so the aggregate outflow stays orderly (Schedule III). Under **LRS**, a resident individual may remit up to **USD 2,50,000 per financial year** for permitted current (and certain capital) account transactions (*confirm the current cap in ICAI material / RBI Master Direction — it has changed over time*).

## Section 6 — Capital account transactions (the regulated gate)

- **6(1):** Any person may sell or draw foreign exchange for a capital account transaction **only to the extent permitted**.
- **6(2):** The **RBI** may, in consultation with the Central Government, **specify the permissible classes** of capital account transactions and the **limits** up to which forex is admissible. (*Post the 2015 amendment, the power over debt instruments/capital flows is shared between the Central Government and RBI — the Central Government prescribes rules for capital account transactions involving debt instruments, while RBI regulates non-debt instruments and the rest. Confirm the exact split in current ICAI material.*)
- **6(3)** (*originally*) listed classes of capital account transactions RBI may regulate: transfer/issue of foreign securities by residents; transfer/issue of Indian securities by non-residents; borrowing/lending in forex and in rupees between residents and non-residents; deposits; export/import of currency; transfer of immovable property outside India by residents and in India by non-residents; guarantees, etc. (*Section 6(3) was omitted by the Finance Act, 2015, shifting this listing into rules/regulations — note this if the exam asks about amendments.*)
- **6(4):** A resident may **hold, own, transfer or invest** in foreign currency, foreign security or immovable property outside India **if** it was **acquired/held when he was a non-resident** or **inherited** from a person who was a non-resident. (*Protects legitimately-earned foreign assets.*)
- **6(5):** A non-resident may **hold, own, transfer or invest** in Indian assets if acquired when he was a resident or inherited from a resident.

Why capital account is only "to the extent permitted": because volatile capital flows are the real threat to reserves and currency stability (recall the 1991 crisis and later emerging-market crises where hot money fled overnight). The RBI keeps this gate on a **positive-permission** basis — you may do it only if a class/limit permits it — which is the mirror image of the current-account "free unless restricted" rule.

## Section 7 — Export of goods and services

Exporters must **declare** to the RBI the **full export value** (or, if not ascertainable, the value expected to be received) and furnish other particulars, and must take **reasonable steps to realise and repatriate** the proceeds.

Why: an exporter earns foreign exchange that belongs, in effect, to the national reserve pool. If exporters could leave earnings parked abroad, it would be capital flight through the back door. So the law compels **declaration + realisation + repatriation** of export proceeds.

### 4.4 Realisation, repatriation and the "no-holding" rule (Sections 8–9)

- **Section 8 — Realisation and repatriation:** where any amount of foreign exchange is **due or has accrued** to a resident, he must take **reasonable steps to realise and repatriate** it to India, as prescribed.

*Why:* forex owed to India must actually come to India.

- **Section 9 — Exemptions:** carves out sensible exceptions — e.g., possession of foreign currency/coins up to limits, foreign currency accounts held as permitted, foreign exchange acquired before a threshold date, forex received as gift/inheritance held under 6(4), forex from employment/business/services rendered while abroad, etc. *Why:* the Act should not criminalise a traveller holding leftover holiday currency; it targets systemic leakage, not ordinary life.

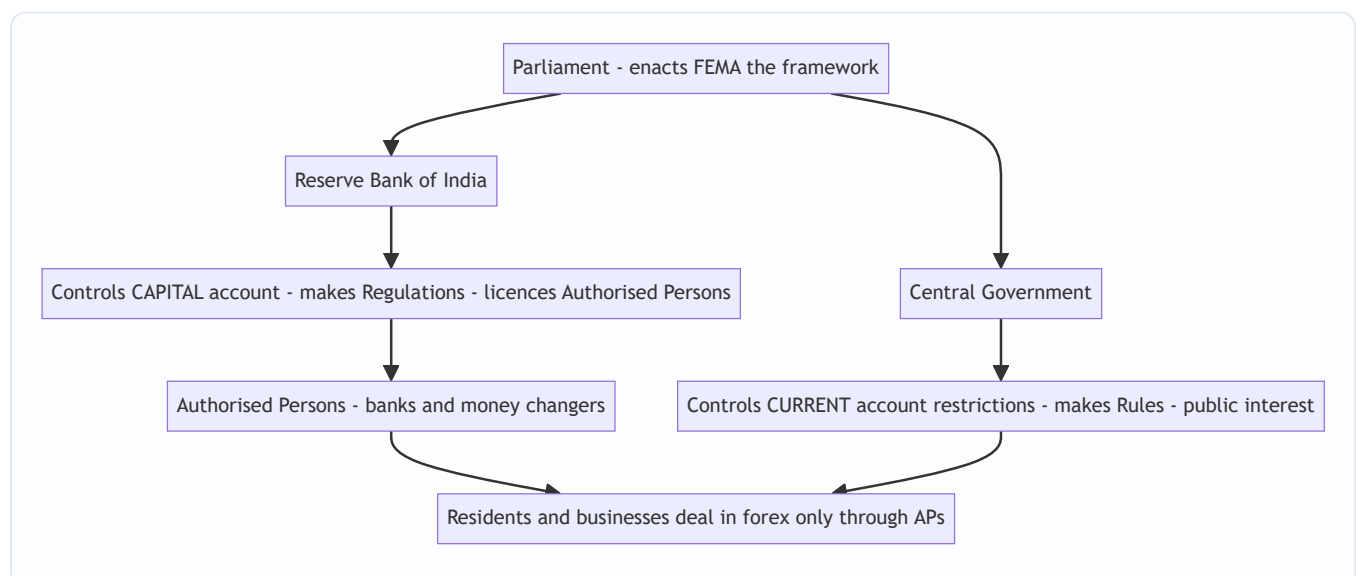
#### 4.5 Role and Powers of the RBI (Sections 10, 11, and Chapter III)

The RBI is the **operational regulator** of the entire forex market. Its key powers:

- **Section 10 — Authorised Persons:** RBI **authorises** persons to deal in forex (grants the licence), can **impose conditions**, and can **revoke** the authorisation in public interest or for breach (after a hearing). Authorised persons must **comply with RBI directions** and **not engage in transactions** not permitted; before undertaking a transaction, an AP must require a **declaration** and information from the customer to satisfy itself the transaction is not designed to contravene FEMA. If the AP has reason to believe a contravention is intended, it must **refuse** and **report** to the RBI.
- **Section 11 — RBI's power to give directions to Authorised Persons:** RBI can direct APs, inspect them, and impose penalties (up to prescribed limits) for non-compliance. *Why via APs:* controlling a few hundred licensed dealers controls the market.
- **Making Regulations (Section 47):** RBI frames the operational **Regulations** (capital account, borrowing/lending, immovable property abroad, etc.).

*Why the RBI, specifically:* the RBI holds the reserves, sets monetary policy, and manages the exchange rate. Forex management is inseparable from these functions, so the natural custodian is the central bank — Parliament merely sets the frame; the RBI runs the market.

Figure 14.3 — Who decides what under FEMA.



#### 4.6 Contravention and Penalties — the civil regime (Sections 13–15)

This is where FEMA's "civil not criminal" philosophy becomes concrete.

- **Section 13 — Penalties:** on contravention of any provision, rule, regulation, direction or condition, a person is liable to a **penalty up to thrice the sum involved** where the amount is **quantifiable**, or **up to**



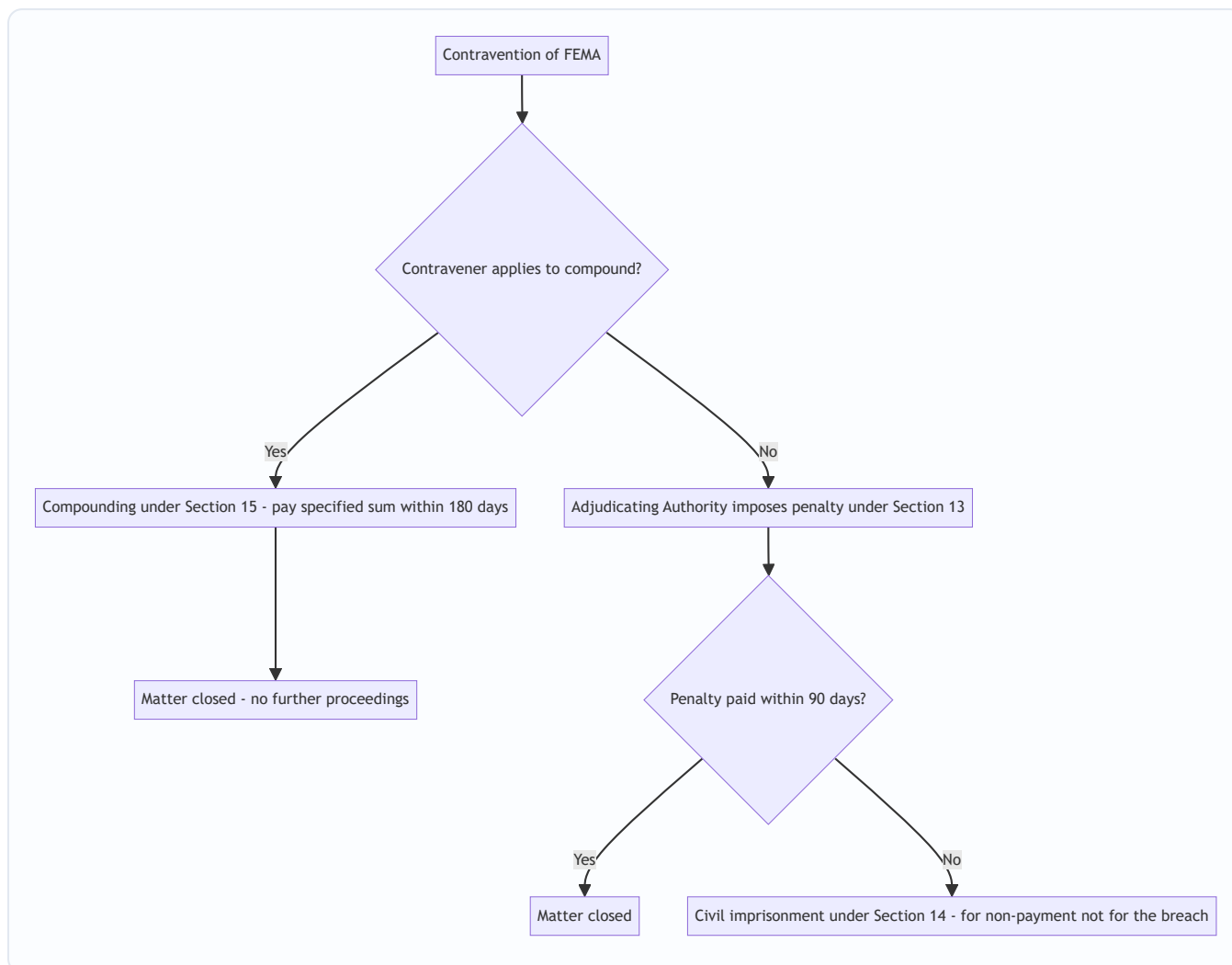
**₹2,00,000** where it is **not quantifiable**. If the contravention is **continuing**, a **further penalty up to ₹5,000 per day** during continuance. (*Newer sub-sections (13(1A) onwards, inserted in 2015) deal specifically with acquiring foreign exchange/foreign security/immovable property abroad exceeding the prescribed threshold — higher penalties, possible confiscation, and imprisonment for wilful cases. Confirm the exact figures in current ICAI/bare Act.*)

- **Adjudicating Authority (Section 16):** an officer of the Central Government adjudicates and imposes the penalty after a hearing. Note the language — **"adjudicate," not "prosecute"** — the tell-tale sign of a civil regime.
- **Section 14 — Enforcement of the penalty:** if a person **fails to pay** the penalty within **90 days**, he is liable to **civil imprisonment**. *Read this carefully:* imprisonment is **not** the punishment for the forex breach itself — it is the consequence of **refusing to pay a civil debt** (the penalty), exactly like defaulting on a court-ordered payment. FERA jailed you for the *offence*; FEMA can detain you only for *non-payment of the penalty*.
- **Section 15 — Compounding of contraventions (the master idea):** any contravention under Section 13 **may be compounded** — i.e., **voluntarily settled** — by the contravener **paying a specified sum**, on an application to the RBI (or the Directorate of Enforcement). Compounding must be completed **within 180 days** of receiving the application. Once compounded, **no further proceedings** for that contravention.

*Why compounding is the beating heart of the new regime:* it converts a potential legal battle into a quick, one-time monetary settlement. It signals FEMA's whole intent — the State wants **compliance and revenue, not incarceration**. An honest importer who missed a filing pays a compounding fee and moves on, instead of being dragged through criminal courts as under FERA.

*Figure 14.4 — The civil enforcement path of FEMA.*





#### 4.7 The appeal ladder and the Directorate of Enforcement

- **Directorate of Enforcement (ED):** investigates and can adjudicate contraventions; the **Director/officers** have powers of investigation.
- **Appeals:** from the Adjudicating Authority → to the **Special Director (Appeals)** and/or the **Appellate Tribunal**; a further appeal on a **question of law** lies to the **High Court** within 60 days. *Why an appeal ladder:* civil due process demands review; a person penalised must have a route to challenge the order.

### 5. Applied Scenarios (exam-style)

**Scenario 1 — Residential status (purpose beats day-count).** Mr. A, an Indian citizen, left India on 1 August 2023 to take up permanent employment in Dubai. During FY 2022–23 he was physically in India for 320 days. In September 2023 he wishes to open a bank account. Is he a person resident in India under FEMA?

**Answer:** No. Although the 182-day count for the preceding financial year is satisfied (320 days), Section 2(v) **excludes** a person who has gone out of India for **employment outside India**. The **purpose test overrides the day-count**. From the moment he leaves for employment abroad, he becomes a **person resident outside India**. *Contrast:* under the Income-tax Act the answer could differ — do not conflate the two laws.

**Scenario 2 — Current vs capital classification.** Classify each: (i) Mr. B remits ₹10 lakh to his son studying in the UK for tuition and living costs; (ii) Mr. C buys shares worth ₹10 lakh in a company listed in New York; (iii) an

*Indian company pays interest on a foreign-currency loan it took from a US bank.*

**Answer:** (i) **Current account transaction** — Section 2(j)(iv) expressly includes expenses for **education of children abroad** (governed under LRS / Schedule III). Free up to the prescribed limit. (ii) **Capital account transaction** — Mr. C now *owns a foreign security*; his **assets outside India are altered** (Section 2(e)). Permitted only to the extent RBI allows. (iii) **Current account transaction** — Section 2(j)(ii) includes **interest on loans**. (The *loan* itself is capital; the *interest* is a current payment. Distinguish the principal from the servicing.)

**Scenario 3 — The nature of enforcement.** *Mr. D contravened a FEMA provision involving ₹50 lakh. He argues he cannot be jailed because FEMA is "civil." Advise on (a) maximum penalty, (b) whether he can settle, (c) whether imprisonment is possible.*

**Answer:** (a) Under **Section 13**, since the amount (₹50 lakh) is **quantifiable**, penalty may extend to **thrice** the sum = **up to ₹1.5 crore** (plus ₹5,000/day if continuing). (b) Yes — under **Section 15** he may **compound** (settle) the contravention by applying to the RBI/ED and paying a specified sum, closing the matter within 180 days. (c) Imprisonment is **not** a punishment for the contravention itself, but under **Section 14**, if he **fails to pay the penalty within 90 days**, he becomes liable to **civil imprisonment** — for non-payment, not for the forex breach. So his "civil" argument is only half-right.

**Scenario 4 — The hawala catch.** *Mr. E, in India, receives ₹20 lakh in cash from a local agent, against an arrangement that his cousin in the USA will be paid an equivalent amount in dollars there. No money crosses the border. Is FEMA attracted?*

**Answer:** Yes. **Section 3(c)/3(b)** prohibits **receiving any payment by order or on behalf of a person resident outside India** without RBI/AP permission and prohibits making payment to the credit of a non-resident "in any manner." This informal value-transfer (**hawala**) is squarely hit even though no currency physically crosses the border — FEMA follows the **economic substance**, not the physical movement of notes.

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## 6. Procedure / Summary

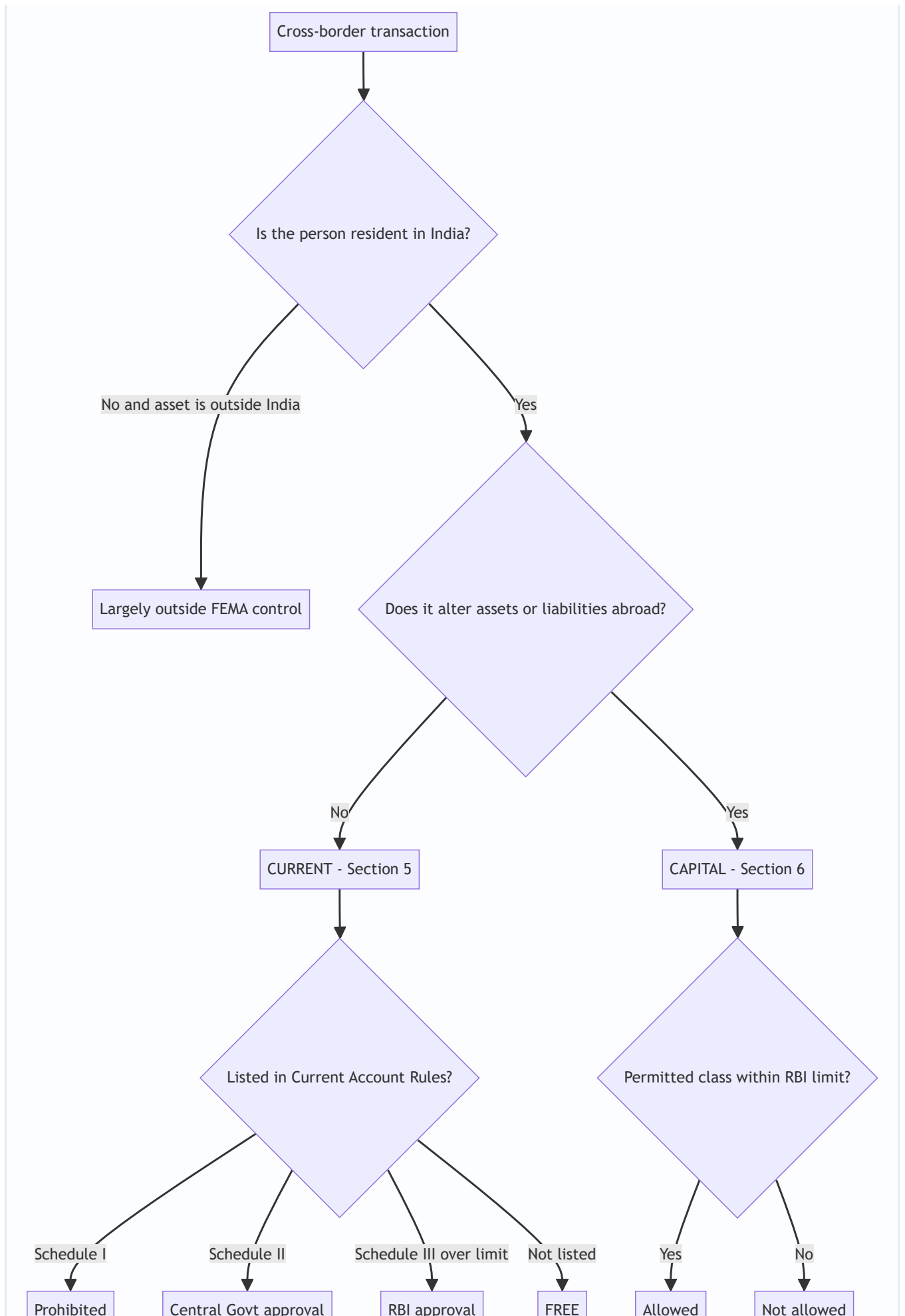
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**Deciding how a cross-border transaction is treated under FEMA — the working algorithm:**

1. **Identify the person's residential status** (Section 2(v)/(w)) — apply the **day-count** *then* the **purpose/intention** override. This decides whether FEMA even bites.
2. **Classify the transaction:** does it **alter cross-border assets/liabilities**? → **Capital** (Section 6, RBI-regulated, "only to the extent permitted"). If not → **Current** (Section 5, free unless restricted).
3. **For current:** check the **Current Account Rules 2000** — is it in **Schedule I** (prohibited), **Schedule II** (Central Govt approval), or **Schedule III** (RBI approval above LRS limit)? Otherwise **free**.
4. **For capital:** check whether RBI **Regulations** permit that class and within what **limit**.
5. **Route it through an Authorised Person** (Section 10) — all legitimate forex flows through licensed banks/money changers.
6. **If it is an export**, ensure **declaration + realisation + repatriation** (Sections 7–8).
7. **If a breach occurs:** it is a **civil contravention** → **penalty** under Section 13 → option to **compound** under Section 15 → **civil imprisonment** only if the penalty is unpaid (Section 14).

*Figure 14.5 — Master decision flow for any transaction under FEMA.*





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## 7. Connections

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- **FERA, 1973 → FEMA, 1999:** the *same subject* re-engineered from control/criminal to management/civil. Understanding FERA's scarcity logic explains *why every FEMA default flipped*.
  - **Income-tax Act, 1961 — residential status:** both use day-counts, but the **tests differ** (FEMA: 182 days in *preceding* FY + purpose override; IT Act: 182/60-day dual test in the *current* previous year, no purpose override). A favourite examiner trap — see Section 8 traps below.
  - **Companies Act, 2013 — foreign companies and FDI:** cross-border investment (FDI/ODI) is a **capital account transaction** governed by FEMA Regulations, dovetailing with company-law compliance for foreign companies.
  - **Prevention of Money Laundering Act (PMLA), 2002:** the **Directorate of Enforcement** administers *both* FEMA and PMLA. FEMA breaches (esp. hawala) often overlap with money-laundering investigations — but FEMA itself remains **civil**, whereas PMLA is **criminal**.
  - **General Clauses Act / Interpretation of Statutes:** the **Preamble** ("facilitating trade") is a key interpretive aid — when a FEMA provision is ambiguous, it is read to *facilitate*, illustrating the "purposive interpretation" studied in the Interpretation chapter.
  - **RBI Act, 1934 & FEMA:** FEMA operationalises the RBI's mandate over the exchange rate and reserves; the two are functionally intertwined.
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## 8. Traps and Examiner Tricks

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1. **"Regulation" vs "Management".** If a question asks the *object* of FEMA, the answer is **facilitating external trade/payments and orderly forex-market development** — NOT "conservation/regulation" (that was FERA). Writing "conserve foreign exchange" as FEMA's object is a classic loss of marks.
2. **Residential status — preceding vs current year.** FEMA counts **more than 182 days in the preceding financial year**; do not import the Income-tax **60/182-day** rules. And remember the **purpose test overrides** the day-count — a person leaving for employment abroad is a non-resident *immediately*, regardless of 320 days spent here.
3. **Citizenship ≠ residence.** FEMA looks at **residence, not citizenship**. A foreign citizen can be a resident; an Indian citizen can be a non-resident.
4. **Interest vs principal of a loan.** The **loan** (borrowing/lending in forex) is a **capital** account transaction; the **interest** on it is a **current** account transaction (Section 2(j)(ii)). Examiners love splitting these in one question.
5. **Current = "free"? Not absolutely.** The default is free, **but** the Central Government may impose **reasonable restrictions in public interest** (Schedules I–III). Saying "all current account transactions are freely permitted" is wrong.
6. **Who controls what. Current account → Central Government** (restrictions in public interest, in consultation with RBI). **Capital account → RBI** (permissible classes and limits). Swapping these two is a frequent error.

7. **"FEMA is civil, so no jail — ever."** Half-true. There is no jail for the *contravention*, but **Section 14 civil imprisonment** applies for **non-payment of the penalty within 90 days**. State the nuance to get full marks.
  8. **Penalty figure. Up to *thrice* the sum** (if quantifiable) or **up to ₹2,00,000** (if not), plus **₹5,000/day** for continuing default. Students often quote only one limb.
  9. **Compounding timelines.** Compounding under Section 15 must be done **within 180 days** of the application; the penalty (if imposed) must be paid within **90 days** to avoid civil imprisonment. Two different clocks — don't swap 90 and 180.
  10. **Hawala without border-crossing.** A receipt/payment "on behalf of a non-resident" is caught by **Section 3** even if no currency physically leaves India. Test of *substance*, not physical movement.
  11. **Extent of the Act.** FEMA extends to the **whole of India** *and* to **branches/offices/agencies outside India owned or controlled by a resident** — it deliberately reaches beyond India's borders through the "control" concept.
  12. **Amendment awareness. Section 6(3) was omitted (Finance Act, 2015)** and the debt/non-debt split introduced; if a question tests amendments, mention this rather than quoting the old 6(3) as current law. *Flag exact current wording against ICAI material.*
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## 9. First-Principles Recap

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Strip everything away and rebuild FEMA from a single fact: **a nation's foreign exchange is a shared strategic resource, and its value/quantity affects everyone**. From that one fact, every FEMA rule is *derivable*:

- Because forex affects the whole nation → **the State must have some control** → hence a law at all.
- Because after 1991 forex was **adequate**, not scarce → control should **facilitate**, not strangle → hence **"Management," civil, permitted-unless-restricted**.
- Because **everyday trade/living flows are self-limiting and productive** → let them run **free** → hence **current account default = free (Section 5)**.
- Because **ownership/debt flows are volatile and can drain reserves overnight** → keep a hand on them → hence **capital account = regulated, only to the extent permitted (Section 6)**.
- Because you can't police a billion people → funnel forex through **licensed banks** → hence **Authorised Persons (Section 10)**.
- Because you want investors, not prisoners → make breaches **civil**, allow **compounding**, and jail only those who **refuse to pay** → hence **Sections 13–15**.
- Because forex conditions change fast → keep the Act **thin** and push detail into **Rules (Govt) and Regulations (RBI)** → hence "as prescribed."

If you ever forget a provision, ask: *"What would a liberalising nation do to keep forex orderly while facilitating trade?"* — and you will reconstruct FEMA.

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## 10. Quick-Revision Sheet

| Item                                   | Essence                                                                                                                                                                                                                          |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Full name / date</b>                | Foreign Exchange Management Act, <b>1999</b> ; in force <b>1 June 2000</b> ; <b>49 sections</b> , 7 chapters; extends to <b>whole of India</b> + offices abroad controlled by residents                                          |
| <b>Replaced</b>                        | <b>FERA, 1973</b> (control/criminal) → FEMA (management/civil), driven by <b>1991 liberalisation</b>                                                                                                                             |
| <b>Objective (Preamble)</b>            | <b>Facilitate external trade and payments; orderly development/maintenance of the forex market</b>                                                                                                                               |
| <b>Person resident in India — 2(v)</b> | > <b>182 days in preceding FY</b> BUT <b>purpose/intention test overrides</b> ; includes Indian-incorporated bodies and India-branches of foreigners + abroad-branches of residents; <b>residence not citizenship</b>            |
| <b>Current account txn — 2(j)</b>      | "Not capital"; includes <b>trade payments, interest/net investment income, family living expenses, foreign travel/education/medical</b> . Default <b>FREE</b> (Section 5)                                                        |
| <b>Capital account txn — 2(e)</b>      | <b>Alters cross-border assets/liabilities</b> ; default <b>REGULATED</b> , "only to the extent permitted" (Section 6)                                                                                                            |
| <b>Authorised Person — 2(c)</b>        | Authorised dealer / money changer / OBU / other, licensed by <b>RBI under Section 10</b> — the gatekeeper                                                                                                                        |
| <b>Current account control</b>         | <b>Central Government</b> — reasonable restrictions in <b>public interest</b> , consulting RBI; <b>Rules 2000</b> , Schedules I ( <b>prohibited</b> ) / II ( <b>Govt approval</b> ) / III ( <b>RBI approval over LRS limit</b> ) |
| <b>Capital account control</b>         | <b>RBI</b> — specifies permissible <b>classes and limits</b> ; <b>6(4)/6(5)</b> protect assets acquired while non-resident/resident                                                                                              |
| <b>LRS</b>                             | Resident individual may remit up to <b>USD 2,50,000 / FY</b> ( <i>confirm current cap</i> )                                                                                                                                      |
| <b>Section 3</b>                       | General prohibition — no forex dealing/payment to/for non-residents except via RBI/AP ( <b>catches hawala</b> )                                                                                                                  |
| <b>Section 7–8</b>                     | Exporter must <b>declare + realise + repatriate</b> export proceeds; residents must repatriate forex due                                                                                                                         |
| <b>RBI's role</b>                      | Operational regulator — licenses APs (S.10), directs/inspects them (S.11), frames Regulations (S.47)                                                                                                                             |
| <b>Penalty — S.13</b>                  | Up to <b>3× sum</b> (if quantifiable) or up to <b>₹2,00,000</b> (if not) + <b>₹5,000/day</b> continuing                                                                                                                          |
| <b>Civil imprisonment — S.14</b>       | Only if <b>penalty unpaid within 90 days</b> — for non-payment, <b>not</b> for the breach                                                                                                                                        |
| <b>Compounding — S.15</b>              | <b>Voluntary settlement</b> by paying a sum; complete within <b>180 days</b> ; then no further proceedings                                                                                                                       |
| <b>Enforcement/appeals</b>             | <b>Directorate of Enforcement</b> → Special Director (Appeals) / <b>Appellate Tribunal</b> → <b>High Court</b> (question of law, 60 days)                                                                                        |
| <b>One-line philosophy</b>             | <i>Free the trade money, guard the ownership money, settle breaches with rupees not handcuffs.</i>                                                                                                                               |

**Flag for confirmation against current ICAI Study Material / bare Act:** exact LRS cap, current penalty figures under Section 13(1A) for foreign-asset threshold breaches, and the precise post-2015 debt/non-debt division of powers between the Central Government and RBI. The *principles* above are stable; the *numbers/wording* are periodically updated.



# Q&A — Foreign Exchange Management Act 1999 (Basics)

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Scope: Preliminary, key definitions, and the current-account/capital-account architecture of FEMA, 1999 as relevant to CA Intermediate "Corporate & Other Laws". Cite sections as written; no invented provisions.

## Section A — Concept-Check Questions (with answers)

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**A1. Why was FERA, 1973 replaced by FEMA, 1999?** FERA was a *control* and prohibition-based law framed for a foreign-exchange-scarce economy, with criminal liability and reversed burden of proof. Post-1991 liberalisation, India moved to a *management* regime. FEMA's Preamble states its object: "to consolidate and amend the law relating to foreign exchange with the objective of facilitating external trade and payments and for promoting the orderly development and maintenance of foreign exchange market in India." The shift is from *regulation of scarcity* to *facilitation of trade*, and from criminal to civil (monetary) liability.

**A2. State the extent and applicability of FEMA (Section 1).** FEMA extends to the whole of India (Section 1(2)). It also applies to all branches, offices and agencies **outside India** owned or controlled by a person resident in India, and to any contravention committed outside India by any person to whom the Act applies (Section 1(3)). It came into force on 1 June 2000.

**A3. Distinguish "Capital Account Transaction" from "Current Account Transaction".** - **Capital account transaction** [Section 2(e)]: a transaction which alters the assets or liabilities, including contingent liabilities, **outside India** of persons resident in India, or **in India** of persons resident outside India; it includes transactions referred to in Section 6(3). - **Current account transaction** [Section 2(j)]: a transaction other than a capital account transaction. It is defined **inclusively** — payments due in connection with foreign trade, other current business, services, short-term banking/credit facilities in the ordinary course; interest on loans and net income from investments; remittances for living expenses of parents, spouse and children abroad; and expenses for foreign travel, education and medical care of parents, spouse and children. - **Golden rule:** current-account transactions are **generally permitted** (freely allowed unless restricted); capital-account transactions are **generally prohibited** unless permitted. This is the reverse-mirror logic of FEMA.

**A4. Define "person resident in India" (Section 2(v)) in brief.** Broadly, a person residing in India for **more than 182 days during the preceding financial year** — but *excluding* one who has gone out of / stays outside India for employment, business or an uncertain-period stay, and *including* one who has come to / stays in India for such purposes. It also covers any person or body corporate registered/incorporated in India, an office/branch/agency in India owned or controlled by a person resident outside India, and an office/branch/agency outside India owned or controlled by a person resident in India.

**A5. What is "foreign exchange" and "foreign security"?** - **Foreign exchange** [Section 2(n)]: foreign currency and includes (i) deposits, credits and balances payable in any foreign currency; (ii) drafts, travellers' cheques, letters of credit or bills of exchange expressed or drawn in Indian currency but payable in foreign currency; and (iii) drafts, travellers' cheques, letters of credit or bills of exchange drawn by banks/institutions/persons outside India but payable in Indian currency. - **Foreign security** [Section 2(o)]: any security in the form of shares, stocks, bonds, debentures or any other instrument denominated or

expressed in foreign currency, including securities expressed in foreign currency but where redemption or interest is payable in Indian currency.

**A6. Which authority administers FEMA, and who is the "Authorised Person"?** The **Reserve Bank of India (RBI)** administers FEMA and frames Regulations. An **Authorised Person** [Section 2(c)] is an authorised dealer, money changer, off-shore banking unit or any other person authorised under **Section 10(1)** to deal in foreign exchange or foreign securities. Enforcement of contraventions rests with the **Directorate of Enforcement (Section 36)**.

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## Section B — Applied Scenario Questions (with reasoned answers)

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**B1.** *Mr. A, an Indian citizen, left India on 15 June 2024 to take up employment in Dubai. On 10 August 2024 he needs to be classified for a FEMA transaction. Is he "resident in India"?*

**Answer.** Residential status under FEMA is **purpose-driven**, not merely day-count based. Under Section 2(v), a person who has **gone out of India for taking up employment outside India** is *excluded* from "person resident in India" — irrespective of the 182-day test — from the very date of departure. Since Mr. A left on 15 June 2024 to take up employment abroad, he becomes a **person resident outside India** from 15 June 2024. Therefore on 10 August 2024 he is **non-resident** under FEMA.

**B2.** *An Indian company wants to remit USD 50,000 for its Managing Director's business travel and USD 2,50,000 to acquire equity shares of a company in the USA. Classify each transaction and state the regulatory route.*

**Answer.** - **Business travel remittance** — this is a **current account transaction** (payment in connection with current business/foreign travel). It is *generally permitted* under Section 5, subject to the Current Account Transaction Rules (i.e., is it in the prohibited Schedule I, or restricted Schedule II/III). Business travel is freely allowed. - **Acquisition of foreign equity shares** — this **alters the assets outside India** of a person resident in India, hence a **capital account transaction** [Section 2(e), overseas direct investment]. It is permitted **only** to the extent allowed under Section 6 read with RBI Regulations (Overseas Investment framework). It is *generally prohibited unless permitted*, so it must fall within the permissible limits/route.

**B3.** *Section 4 states "no person resident in India shall acquire, hold, own, possess or transfer any foreign exchange, foreign security or any immovable property situated outside India." Mr. B, resident in India, inherited a house in London from his father who was resident outside India. Is this a contravention?*

**Answer.** No. The prohibition in Section 4 is subject to the words "**save as otherwise provided in this Act.**" Section 6(4) permits a person resident in India to **hold, own, transfer or invest in foreign currency, foreign security or immovable property situated outside India if such** asset was acquired, held or owned when he was resident outside India **or inherited from a person who was resident outside India**. Since Mr. B inherited the London house from a person resident outside India, he may lawfully hold it. No contravention arises.

**B4.** *X Ltd. remitted foreign exchange declaring it was for import of machinery, but the machinery was never brought into India. What is the consequence under FEMA?*

**Answer.** Section 10(6) obliges any person acquiring foreign exchange for a declared purpose to use it **only for that purpose**, or return it to an authorised person if it cannot be so used. Section 8 further requires reasonable steps to realise and repatriate foreign exchange due. Non-use/non-import makes the remittance a **contravention** under Section 13, attracting a penalty up to **thrice the sum involved** where quantifiable (or

up to Rs. 2 lakh where not), and Rs. 5,000 per day for continuing default. It is a **civil** contravention, not a crime (unlike FERA).

**B5.** A non-resident wishes to open a branch office in India to carry on trading business. Under which limb of "person resident in India" and which section does approval flow?

**Answer.** An office/branch/agency **in India** owned or controlled by a person resident outside India is itself a **person resident in India** [Section 2(v)(iii)]. However, establishment of a branch/office in India by a person resident outside India, and its activities, are **capital account transactions** governed by Section 6(3)(g)–(h) read with RBI's Establishment of Branch/Office Regulations. Approval therefore flows through the **RBI route** (and, for certain sectors, prior Government approval).

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## Section C — Past-Paper-Style Descriptive Questions (with model answers)

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**C1. "FEMA marks a paradigm shift from FERA." Explain the key structural differences. (5 marks)**

**Model Answer.** | Basis | FERA, 1973 | FEMA, 1999 | |---|---|---| | Object | Conserve/regulate scarce forex (control) | Facilitate external trade; manage forex (facilitation) | | Nature of offence | Criminal — imprisonment | Civil — monetary penalty | | Burden of proof | On the accused (presumption of guilt) | On the enforcement authority | | Presumption | Everything prohibited unless permitted | Current-account free; capital-account restricted only | | Arrest/Prosecution | Wide powers of arrest | Arrest only on **wilful non-payment** of penalty (Section 14) | | Drafting | Negative, prohibitory | Positive, enabling |

FEMA thus decriminalises forex management, narrows the State's role to *management* of the forex market, and aligns Indian law with a liberalised, convertible-current-account economy.

**C2. Explain the scheme of Sections 3 to 9 of FEMA. (6 marks)**

**Model Answer.** - **Section 3** — Dealing in foreign exchange is prohibited *except through an authorised person*; bars unauthorised payments to/for the credit of non-residents (this is the anti-*hawala* provision). - **Section 4** — Bars holding, owning or transferring foreign exchange, foreign security or immovable property outside India, save as provided in the Act. - **Section 5** — Permits **current account transactions**; Central Government may, in public interest and in consultation with RBI, impose reasonable restrictions. - **Section 6** — Governs **capital account transactions**; RBI (in consultation with Government) may specify permissible classes and limits; Section 6(3) lists categories; Section 6(4)/(5) protect legacy assets held abroad/in India. - **Section 7** — **Export of goods and services**: exporter must furnish true declarations of full export value. - **Section 8** — Duty to **realise and repatriate** foreign exchange due to India within the prescribed period. - **Section 9** — Exemptions from realisation and repatriation (e.g., forex up to prescribed limits, foreign currency accounts held with RBI's permission).

**C3. Discuss the powers of RBI and Central Government to make rules/regulations under FEMA. (4 marks)**

**Model Answer.** FEMA distributes delegated legislation between two authorities: - **Central Government** frames **Rules** — e.g., the **Foreign Exchange Management (Current Account Transactions) Rules, 2000** under Section 5 read with Section 46, classifying current-account transactions into Schedule I (prohibited), Schedule II (Government approval) and Schedule III (RBI/limit-based). - **RBI** frames **Regulations** under Section 47 for capital account transactions (Section 6), export/import of currency, realisation and repatriation, and the like. This dual structure keeps **policy** (current-account convertibility, prohibitions) with the Government and **operational/market management** (capital account, dealer authorisation) with the RBI.

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## Section D — MCQs / Case Scenarios (correct option + reasoning)

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**D1.** FEMA, 1999 came into force on: (a) 1 January 2000 (b) **1 June 2000** (c) 1 April 2000 (d) 29 December 1999 **Ans: (b)** — Enforced 1 June 2000, though enacted 29 Dec 1999.

**D2.** A transaction which alters assets or liabilities outside India of a resident is a: (a) Current account transaction (b) **Capital account transaction** (c) Exempt transaction (d) Prohibited transaction **Ans: (b)** — Matches Section 2(e).

**D3.** Under FEMA, "person resident in India" primarily depends on residence for more than \_\_\_\_ days in the preceding financial year: (a) 90 (b) 120 (c) **182** (d) 365 **Ans: (c)** — Section 2(v), subject to the purpose test.

**D4.** Dealing in foreign exchange other than through an authorised person is barred by: (a) Section 4 (b) **Section 3** (c) Section 6 (d) Section 8 **Ans: (b)** — Section 3 is the anti-hawala provision.

**D5.** Penalty under Section 13 where the amount is quantifiable may extend up to: (a) Twice the sum (b) **Thrice the sum** involved (c) Equal to the sum (d) Five times the sum **Ans: (b)** — Up to thrice; plus Rs. 5,000/day for continuing contravention.

**D6.** *Case scenario:* Mrs. R, resident in India, remits USD 4,000 for her son's tuition fees in Canada. This is: (a) Capital account, prohibited (b) **Current account, generally permitted** (c) Capital account, RBI approval (d) Prohibited under Section 4 **Ans: (b)** — Education expense of a child is expressly within the inclusive definition of current account transaction [Section 2(j)].

**D7.** Enforcement of FEMA contraventions is entrusted to: (a) SEBI (b) CBI (c) **Directorate of Enforcement** (d) Serious Fraud Investigation Office **Ans: (c)** — Section 36 provides for the Directorate of Enforcement.

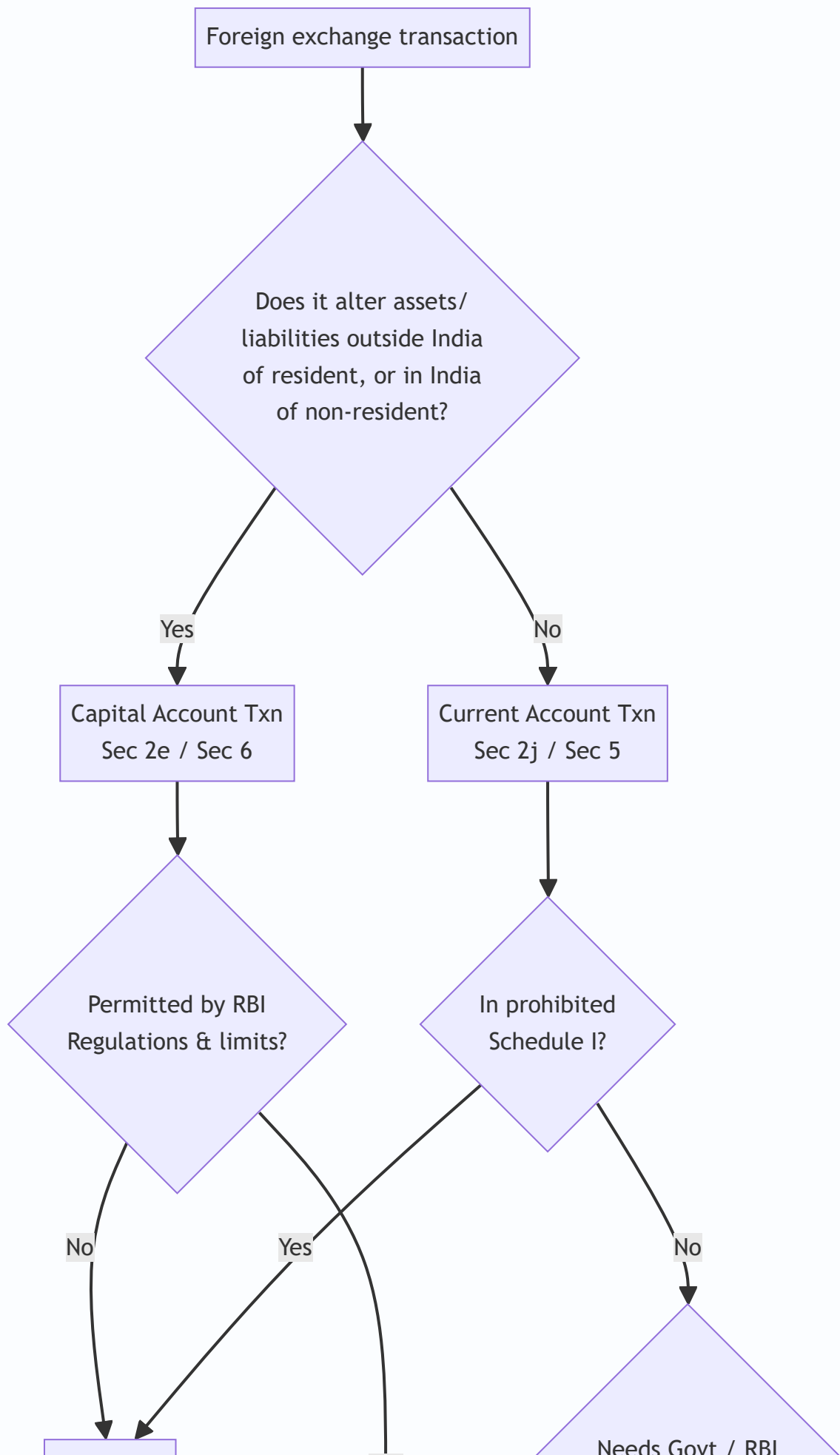
**D8.** Which authority frames Regulations for capital account transactions? (a) SEBI (b) Central Government (c) **RBI** (d) Ministry of Commerce **Ans: (c)** — RBI under Section 6 read with Section 47.

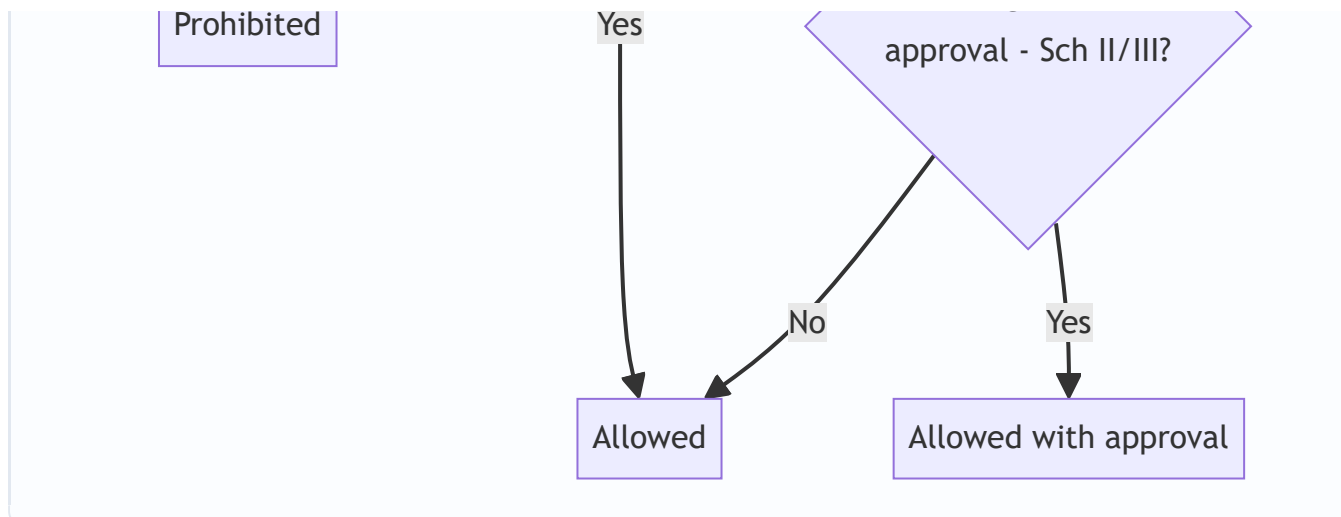
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## Mermaid — FEMA Transaction Classification Logic

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Reading the diagram: the **default** for current-account is "Allowed" (bottom-right), the **default** for capital-account is "Prohibited" — the reverse-mirror rule that examiners test.

## Traps & Examiner Tricks (rapid-fire Q&A)

- **Trap:** "Residential status = 182 days only." **Reality:** The **purpose test overrides** the day count — departure for employment/business makes one non-resident immediately (B1).
- **Trap:** "All capital account transactions are prohibited." **Reality:** They are prohibited *unless permitted* by RBI; legacy assets under Section 6(4)/(5) are protected (B3).
- **Trap:** "FEMA offences lead to imprisonment." **Reality:** FEMA imposes **civil monetary penalty**; imprisonment (Section 14) arises **only** on wilful non-payment of the penalty.
- **Trap:** Confusing rule-maker: **Current account = Central Government Rules (Sec 5/46)**; **Capital account = RBI Regulations (Sec 6/47)**.
- **Trap:** "Foreign exchange means only foreign currency." **Reality:** It **includes** instruments drawn in Indian currency but payable in foreign currency, and vice versa [Section 2(n)].

## Quick-Revision Sheet

- **Preamble object:** facilitate external trade & payments; orderly development of forex market.
- **Sec 1:** whole of India + branches/offices abroad of residents; in force 1 June 2000.
- **Sec 2:** (c) authorised person, (e) capital account, (j) current account, (n) foreign exchange, (o) foreign security, (v) person resident in India.
- **Sec 3:** no dealing except via authorised person (anti-hawala).
- **Sec 4:** no holding forex/security/property abroad, save as provided.
- **Sec 5:** current account — free (Govt may restrict via Rules).
- **Sec 6:** capital account — RBI-regulated; 6(4)/(5) legacy-asset protection.
- **Sec 7–9:** export declaration; realise & repatriate; exemptions.
- **Sec 10:** authorised persons & their duties (10(6) purpose-restriction).
- **Sec 13–14:** penalty up to thrice the sum (or Rs. 2 lakh); Rs. 5,000/day; civil, not criminal.
- **Sec 36–37:** Directorate of Enforcement.



- **Golden rule:** *Current account free, capital account restricted.*